

TRIBUTE PORTFOLIO

FRANCHISE DISCLOSURE DOCUMENT

MARRIOTT INTERNATIONAL, INC.

a Delaware corporation

Before August 1, 2022:

10400 Fernwood Road
Bethesda, Maryland 20817

On or after August 1, 2022:

7750 Wisconsin Avenue
Bethesda, Maryland 20814

(301) 380-3000

nalolodgingdev@marriott.com

www.marriott.com

The franchisee will establish and operate a full-service hotel that will be designated as a member of the “Tribute Portfolio.”

The total investment necessary to begin operation of a newly-constructed Tribute Portfolio hotel, excluding the cost of real estate and related costs (building permit, tap, and impact fees), insurance, and contingencies, ranges from \$47,843,340 to \$78,582,140 for a 200-guestroom Tribute Portfolio hotel. This includes approximately \$248,950 to \$352,250 that must be paid to the franchisor or an affiliate.

This disclosure document summarizes certain provisions of your franchise agreement and other information in plain English. Read this disclosure document and all accompanying agreements carefully. You must receive this disclosure document at least 14 calendar days before you sign a binding agreement with, or make any payment to, the franchisor or an affiliate in connection with the proposed franchise sale. **Note, however, that no governmental agency has verified the information contained in this document.**

You may wish to receive your disclosure document in another format that is more convenient for you. To discuss the availability of disclosures in different formats, contact Franchise Development at nalolodgingdev@marriott.com or (301) 380-3000.

The terms of your contract will govern your franchise relationship. Don’t rely on the disclosure document alone to understand your contract. Read all of your contract carefully. Show your contract and this disclosure document to an advisor, like a lawyer or an accountant.

Buying a franchise is a complex investment. The information in this disclosure document can help you make up your mind. More information on franchising, such as “*A Consumer’s Guide to Buying a Franchise*,” which can help you understand how to use this disclosure document, is available from the Federal Trade Commission. You can contact the FTC at 1-877-FTC-HELP or by writing to the FTC at 600 Pennsylvania Avenue, NW, Washington, D.C. 20580. You can also visit the FTC’s home page at www.ftc.gov for additional information. Call your state agency or visit your public library for other sources of information on franchising.

There may also be laws on franchising in your state. Ask your state agencies about them.

Issuance Date: March 31, 2022

How to Use This Franchise Disclosure Document

Here are some questions you may be asking about buying a franchise and tips on how to find more information:

QUESTION	WHERE TO FIND INFORMATION
How much can I earn?	Item 19 may give you information about outlet sales, costs, profits or losses. You should also try to obtain this information from others, like current and former franchisees. You can find their names and contact information in Item 20 or Exhibits M and N.
How much will I need to invest?	Items 5 and 6 list fees you will be paying to the franchisor or at the franchisor's direction. Item 7 lists the initial investment to open. Item 8 describes the suppliers you must use.
Does the franchisor have the financial ability to provide support to my business?	Item 21 or Exhibit J includes financial statements. Review these statements carefully.
Is the franchise system stable, growing, or shrinking?	Item 20 summarizes the recent history of the number of company-owned and franchised outlets.
Will my business be the only Tribute Portfolio hotel business in my area?	Item 12 and the "territory" provisions in the franchise agreement describe whether the franchisor and other franchisees can compete with you.
Does the franchisor have a troubled legal history?	Items 3 and 4 tell you whether the franchisor or its management have been involved in material litigation or bankruptcy proceedings.
What's it like to be a Tribute Portfolio hotel franchisee?	Item 20 or Exhibits M and N list current and former franchisees. You can contact them to ask about their experiences.
What else should I know?	These questions are only a few things you should look for. Review all 23 Items and all Exhibits in this disclosure document to better understand this franchise opportunity. See the Table of Contents.

What You Need to Know About Franchising *Generally*

Continuing responsibility to pay fees. You may have to pay royalties and other fees even if you are losing money.

Business model can change. The franchise agreement may allow the franchisor to change its manuals and business model without your consent. These changes may require you to make additional investments in your franchise business or may harm your franchise business.

Supplier restrictions. You may have to buy or lease items from the franchisor or a limited group of suppliers the franchisor designates. These items may be more expensive than similar items you could buy on your own.

Operating restrictions. The franchise agreement may prohibit you from operating a similar business during the term of the franchise. There are usually other restrictions. Some examples may include controlling your location, your access to customers, what you sell, how you market, and your hours of operation.

Competition from franchisor. Even if the franchise agreement grants you a territory, the franchisor may have the right to compete with you in your territory.

Renewal. Your franchise agreement may not permit you to renew. Even if it does, you may have to sign a new agreement with different terms and conditions in order to continue to operate your franchise business.

When your franchise ends. The franchise agreement may prohibit you from operating a similar business after your franchise ends even if you still have obligations to your landlord or other creditors.

Some States Require Registration

Your state may have a franchise law, or other law, that requires franchisors to register before offering or selling franchises in the state. Registration does not mean that the state recommends the franchise or has verified the information in this document. To find out if your state has a registration requirement, or to contact your state, use the agency information in Exhibit G.

Your state also may have laws that require special disclosures or amendments be made to your franchise agreement. If so, you should check the State Specific Addenda. See the Table of Contents for the location of the State Specific Addenda.

Special Risks to Consider About *This Franchise*

Certain states require that the following risk(s) be highlighted:

1. Out-of-State Dispute Resolution. The franchise agreement requires you to resolve certain disputes with the franchisor by arbitration only in Maryland. Disputes not subject to arbitration must be resolved by litigation only in Maryland. Out-of-state arbitration or litigation may force you to accept a less favorable settlement for disputes. It may also cost more to arbitrate or litigate with the franchisor in Maryland than in your own state.

Certain states may require other risks to be highlighted. Check the “State Specific Addenda” (if any) in Exhibit D to see whether your state requires other risks to be highlighted.

THE FOLLOWING APPLIES ONLY TO TRANSACTIONS GOVERNED BY THE
MICHIGAN FRANCHISE INVESTMENT ACT

THE STATE OF MICHIGAN PROHIBITS CERTAIN UNFAIR PROVISIONS THAT ARE SOMETIMES IN FRANCHISE DOCUMENTS. IF ANY OF THE FOLLOWING PROVISIONS ARE IN THESE FRANCHISE DOCUMENTS, THE PROVISIONS ARE VOID AND CANNOT BE ENFORCED AGAINST YOU:

- (a) A prohibition on the right of a franchisee to join an association of franchisees.
- (b) A requirement that a franchisee assent to a release, assignment, novation, waiver, or estoppel which deprives a franchisee of rights and protections provided in this act. This shall not preclude a franchisee, after entering into a franchise agreement, from settling any and all claims.
- (c) A provision that permits a franchisor to terminate a franchise prior to the expiration of its term except for good cause. Good cause shall include the failure of the franchisee to comply with any lawful provision of the franchise agreement and to cure such failure after being given written notice thereof and a reasonable opportunity, which in no event need be more than 30 days, to cure such failure.
- (d) A provision that permits a franchisor to refuse to renew a franchise without fairly compensating the franchisee by repurchase or other means for the fair market value, at the time of expiration, of the franchisee's inventory, supplies, equipment, fixtures, and furnishings. Personalized materials which have no value to the franchisor and inventory, supplies, equipment, fixtures, and furnishings not reasonably required in the conduct of the franchise business are not subject to compensation. This subsection applies only if: (i) the term of the franchise is less than 5 years; and (ii) the franchisee is prohibited by the franchise or other agreement from continuing to conduct substantially the same business under another trademark, service mark, trade name, logotype, advertising, or other commercial symbol in the same area subsequent to the expiration of the franchise or the franchisee does not receive at least 6 months advance notice of franchisor's intent not to renew the franchise.
- (e) A provision that permits the franchisor to refuse to renew a franchise on terms generally available to other franchisees of the same class or type under similar circumstances. This section does not require a renewal provision.
- *(f) A provision requiring that arbitration or litigation be conducted outside this state. This shall not preclude the franchisee from entering into an agreement, at the time of arbitration, to conduct arbitration at a location outside this state.
- (g) A provision which permits a franchisor to refuse to permit a transfer of ownership of a franchise, except for good cause. This subdivision does not prevent a franchisor from exercising a right of first refusal to purchase the franchise. Good cause shall include, but is not limited to:
 - (i) the failure of the proposed transferee to meet the franchisor's then current reasonable qualifications or standards.

- (ii) the fact that the proposed transferee is a competitor of the franchisor or subfranchisor.
 - (iii) the unwillingness of the proposed transferee to agree in writing to comply with all lawful obligations.
 - (iv) the failure of the franchisee or proposed transferee to pay any sums owing to the franchisor or to cure any default in the franchise agreement existing at the time of the proposed transfer.
- (h) A provision that requires the franchisee to resell to the franchisor items that are not uniquely identified with the franchisor. This subdivision does not prohibit a provision that grants to a franchisor a right of first refusal to purchase the assets of a franchise on the same terms and conditions as a bona fide third party willing and able to purchase those assets, nor does this subdivision prohibit a provision that grants the franchisor the right to acquire the assets of a franchise for the market or appraised value of such assets if the franchisee has breached the lawful provisions of the franchise agreement and has failed to cure the breach in the manner provided in subdivision (c).
- (i) A provision which permits the franchisor to directly or indirectly convey, assign, or otherwise transfer its obligations to fulfill contractual obligations to the franchisee unless provision has been made for providing the required contractual services.

THE FACT THAT THERE IS A NOTICE OF THIS OFFERING ON FILE WITH THE ATTORNEY GENERAL DOES NOT CONSTITUTE APPROVAL, RECOMMENDATION, OR ENDORSEMENT BY THE ATTORNEY GENERAL.

ANY QUESTIONS REGARDING THIS NOTICE SHOULD BE DIRECTED TO:

DEPARTMENT OF THE ATTORNEY GENERAL
CONSUMER PROTECTION DIV., FRANCHISE SECTION
525 WEST OTTAWA STREET
G. MENNEN WILLIAMS BUILDING, 1ST FLOOR
LANSING, MICHIGAN 48913
(517) 373-7117

***NOTE: NOTWITHSTANDING PARAGRAPH (f) ABOVE, WE INTEND TO SEEK ENFORCEMENT OF THE ARBITRATION CLAUSE IN THE FRANCHISE AGREEMENT TO THE FULLEST EXTENT PERMITTED UNDER THE FEDERAL ARBITRATION ACT.**

TABLE OF CONTENTS

<u>ITEM</u>	<u>HEADING</u>	<u>PAGE</u>
ITEM 1	THE FRANCHISOR AND ANY PARENTS, PREDECESSORS, AND AFFILIATES	1
ITEM 2	BUSINESS EXPERIENCE	10
ITEM 3	LITIGATION	16
ITEM 4	BANKRUPTCY	22
ITEM 5	INITIAL FEES	23
ITEM 6	OTHER FEES	29
ITEM 7	ESTIMATED INITIAL INVESTMENT	53
ITEM 8	RESTRICTIONS ON SOURCES OF PRODUCTS AND SERVICES	58
ITEM 9	FRANCHISEE’S OBLIGATIONS.....	66
ITEM 10	FINANCING.....	68
ITEM 11	FRANCHISOR’S ASSISTANCE, ADVERTISING, COMPUTER SYSTEMS, AND TRAINING	69
ITEM 12	TERRITORY	91
ITEM 13	TRADEMARKS	93
ITEM 14	PATENTS, COPYRIGHTS, AND PROPRIETARY INFORMATION	95
ITEM 15	OBLIGATION TO PARTICIPATE IN THE ACTUAL OPERATION OF THE FRANCHISE BUSINESS	97
ITEM 16	RESTRICTIONS ON WHAT THE FRANCHISEE MAY SELL.....	99
ITEM 17	RENEWAL, TERMINATION, TRANSFER, AND DISPUTE RESOLUTION	102
ITEM 18	PUBLIC FIGURES	107
ITEM 19	FINANCIAL PERFORMANCE REPRESENTATIONS.....	108
ITEM 20	OUTLETS AND FRANCHISEE INFORMATION.....	114
ITEM 21	FINANCIAL STATEMENTS	122
ITEM 22	CONTRACTS.....	123
ITEM 23	RECEIPTS.....	124

EXHIBITS

- A Term Sheet**
- B Application**
- C Franchise Agreement and Related Agreements**
- D State Amendments to Disclosure Document**
- E State Amendments to Franchise Agreement**
- F Agents for Service of Process**
- G State Regulatory Authorities**
- H System Agreements**
- I Lodging Laws and Regulations**
- J Audited Consolidated Financial Statements of Marriott International, Inc. for the Three Fiscal Years in the Period Ended December 31, 2021; Audited Financial Statements of MIF, L.L.C. for the Three Fiscal Years in the Period Ended December 31, 2021; Guarantee of MIF, L.L.C.**
- K Manuals, Standards, and Resources**
- L Service Agreements**
- M Open Outlets/Unopened Outlets**
- N Former Franchisees**
- O Comfort Letter**
- P Pre-Opening Agreement**
- Q Sample Financing Agreements**

State Effective Dates

Acknowledgment of Receipt

ITEM 1

THE FRANCHISOR AND ANY PARENTS, PREDECESSORS, AND AFFILIATES

The Franchisor. The franchisor is Marriott International, Inc. (“Marriott”), a corporation incorporated under the laws of the State of Delaware in 1997. We will refer to the franchisor as “we” or “Marriott” throughout this disclosure document. The terms “we” or “Marriott” do not include our corporate officers, employees, directors, stockholders, affiliates, or subsidiaries. We will refer to the person or entity that is considering purchasing a franchise as “you.” When we refer to the “United States” in this disclosure document, such term includes only the 50 states of the United States of America and the District of Columbia and does not include any possessions or territories of the United States. Capitalized terms not defined in this disclosure document have the meaning ascribed to them in the franchise agreement attached as Exhibit C.

We are a publicly-traded corporation listed on the NASDAQ Stock Market. Our principal business address, and the principal business address of most of our affiliates, is 10400 Fernwood Road, Bethesda, Maryland 20817 (“Marriott Headquarters”). On August 1, 2022, Marriott Headquarters will be relocated to 7750 Wisconsin Avenue Bethesda, Maryland 20814.

Brands and Businesses. We and our affiliates currently do business as AC Hotels by Marriott®, African Pride Hotels®, Aloft® Hotels, AloftSM Residences, Autograph Collection® Hotels, Autograph Collection® Residences, Bvlgari® Hotels and Resorts, Courtyard® by Marriott hotels, Delta Hotels® by Marriott, Design Hotels®, Edition® Hotels, Edition® Residences, Element® Hotels, Fairfield® by Marriott hotels, Fairfield Inn® by Marriott hotels, Fairfield Inn & Suites® by Marriott hotels, Four Points® by Sheraton hotels, Gaylord® Hotels, Homes & Villas by Marriott International®, JW Marriott® Hotels, JW Marriott® Hotels & Resorts, JW Marriott MarquisSM Hotels, JW Marriott® Residences, Le Méridien® Hotels & Resorts, Le MéridienSM Residences, Le Royal MéridienSM, Marriott Bonvoy®, Marriott® Conference Centers, Marriott Executive Apartments®, Marriott® Hotels, Marriott® Hotels and Conference Centers, Marriott® Hotels & Resorts, Marriott Marquis® Hotels, MarriottSM Residences, Marriott Resorts®, Marriott Suites® Hotels, Moxy® Hotels, MoxySM Residences, Protea Hotels® by Marriott, Protea Hotel Fire & Ice!SM, Renaissance® ClubSport® Hotels, Renaissance® Hotels, Renaissance ResidencesSM, Residence Inn® by Marriott hotels, Ritz-Carlton® Hotels and Resorts, Ritz-Carlton Reserve®, The Residences at The Ritz-CarltonSM, The Ritz-Carlton Residences®, The Ritz-Carlton Yacht Collection®, Sheraton® Hotels & Resorts, Sheraton Grand® Hotels & Resorts, Sheraton® Residences, SpringHill Suites® by Marriott hotels, St. Regis® Hotels, Resorts and Suites, St. Regis Residences®, St. Regis Residence Club®, The Luxury Collection® Hotels, Resorts and Suites, The Luxury Collection Residence Club®, Tribute Portfolio® Hotels & Resorts, Tribute PortfolioSM Residences, TownePlace Suites® by Marriott hotels, W® Hotels, W Residences®, Westin® Hotels, Westin® Hotels & Resorts, and Westin® Residences. These brands, together with any other brands we may develop or acquire in the future, are referred to as the “Company Brands.” Hotels operating under the Company Brands, whether owned, leased, managed, franchised, or part of a project containing a residential or condominium component operating under a Company Brand, are referred to as “Company Brand Hotels.”

On September 23, 2016, we acquired Starwood Hotels & Resorts Worldwide, LLC f/k/a Starwood Hotels & Resorts Worldwide, Inc. (“Starwood”), a global lodging company. Starwood was incorporated under the laws of the State of Maryland as Starwood Hotels & Resorts Worldwide, Inc. in 1980, and changed its name and organizational form to Starwood Hotels & Resorts Worldwide, LLC in 2016. Starwood is a wholly owned subsidiary of Marriott, and its principal business address is Marriott Headquarters.

We or our affiliates may directly or indirectly develop, acquire, operate, franchise and/or otherwise license other brands or businesses in the future.

Franchises Offered. Tribute Portfolio hotels and resorts (“Tribute Portfolio Hotels”) are full-service hotels that cater to business and leisure travelers. Tribute Portfolio Hotels may be new-build hotels, conversions of existing hotels, or historic or otherwise significant buildings that have been repurposed as hotels. Tribute Portfolio Hotels offer guests a unique and locally authentic experience, with inspired design and genuine hospitality and service. Individuality in offerings is a hallmark of the Tribute Portfolio. Hotels may vary in size and offer a variety of food and beverage options, including one or more restaurants and lounges, and other amenities at levels appropriate for hotels in their respective locations and tiers. Some hotels may offer boutique lodging experiences; others may offer catering, ballrooms and meeting rooms, business centers, recreational facilities, and an array of food and beverage options. A hotel joining the Tribute Portfolio will retain or create and utilize its own name, logo, and brand concept along with its designation as a member of the Tribute Portfolio. All franchised Tribute Portfolio Hotels in the United States and Canada are part of a single system.

If approved, we will offer you a non-exclusive franchise to use the “system” developed by us for full-service hotels designated as members of the Tribute Portfolio of hotels. The “system” consists of the “Tribute Portfolio” trademark; high standards of cleanliness, quality, and service; training programs and materials; advertising, marketing, and promotional programs, including loyalty programs; a reservation system; a property management system; a revenue management system; and a quality assurance program. We may unilaterally add to, merge, discontinue, or otherwise modify components of the system at any time. Modifications to the system may be made for all Tribute Portfolio Hotels or any category of those hotels. A category may have specific physical and operating standards or merely be a descriptive designation or another designation as we determine.

Residences. We have received various proposals from franchisees seeking to add a residential, condominium, or multi-family rental component to a Company Brand Hotel project. If your hotel will have a residential, condominium, or multi-family rental component, we may require that such component operates under the applicable Company Brand, and the franchise agreement will be modified and supplemented to include provisions addressing the governing documents in effect or to be used by you or others for sales, leasing, operations, maintenance and governance of the project or components thereof. In most instances, the individual units within a residential, condominium, or multi-family rental project will not be independently franchised and must be operated in connection with a Company Brand Hotel. Any proposed rental program for such units (and related documents) is subject to our approval and applicable laws, including securities laws. Given the many potential structures for these projects, we reserve the right to supplement or waive any requirements (including any standards) with respect to a particular project, depending on the location and physical layout of the project, and applicable condominium and related laws. If approved, we will generally require that facilities, amenities and areas necessary for the management of the hotel are owned and controlled by you and operated by you or your approved management company. In addition, the use of our trademarks for the operation of any residential, condominium, or multi-family component will be subject to an additional license agreement. Although we will not participate in the development or sale of any units, in certain circumstances we may grant a license allowing the units to be sold under a Company Brand pursuant to a marketing license agreement. We may also grant licenses to rent units under the Company Brands using our reservation channels, distribution channels, and loyalty programs.

Business Experience of Franchisor and Affiliates. We have offered franchises for Tribute Portfolio Hotels since March 2017. Our subsidiaries offered franchises for Tribute Portfolio Hotels between 2015 and March 2017. As of December 31, 2021, we and our subsidiaries did not operate any Tribute Portfolio Hotels in the United States and Canada.

Company Brand Hotels. The Company Brand Hotels cater to a broad spectrum of customers, and include luxury and upper-upscale full-service hotels, lifestyle hotels, extended-stay hotels, select-service hotels, all-inclusive hotels, and residences. The following is a summary of our business experience and the business of our affiliates relating to Company Brand Hotels, including the length of time we and our affiliates have operated and franchised Company Brand Hotels, and the number of franchised Company Brand Hotels operating in the United States and Canada as of December 31, 2021:

<u>FULL-SERVICE COMPANY BRAND HOTELS</u>				
Company Brand	Length of Time Operated	Length of Time Franchised	Number of Franchised Outlets Operating in the U.S. and Canada as of December 31, 2021	Additional Information
Autograph Collection Hotels	2010 – Present	2009 – Present	128	
Bvlgari Hotels and Resorts	2004 – Present	2020 – Present	0	This Company Brand was developed in 2004 with Bvlgari SpA, a world-renowned designer of jewelry and luxury goods.
Delta Hotels by Marriott	2015 – Present	2015 – Present	57	We acquired the brand, management, and franchise business of Delta Hotels and Resorts from Delta Hotels Limited Partnership in April 2015, and we subsequently changed the name of the brand to “Delta Hotels by Marriott.”
Design Hotels	Not applicable	2019 – Present	9	Our subsidiary, Design Hotels GmbH, and its predecessors have operated a distribution, sales, and marketing affiliation of independently-owned and individually-selected member hotels and resorts under the Design Hotels mark since 1993. We anticipate that the brand will transition to a non-franchise affiliation model in 2022.
Le Méridien Hotels	2005 – Present	2005 – Present	23	We began offering franchises for Le Méridien Hotels in March 2017. For Le Méridien Hotel franchise agreements signed prior to March 31, 2017, the franchisor is our subsidiary, Starwood (M) International, Inc. (“SMI”).
Marriott Hotels	1957 – Present	1968 – Present	229	
JW Marriott Hotels	1984 – Present	2000 – Present	14	
Renaissance Hotels	1997 – Present	1997 – Present	58	
Renaissance ClubSport Hotels	Not applicable	2005 – Present	2	
Ritz-Carlton Hotels	1995 – Present	2015 – Present	1	In very limited circumstances, we have granted franchises for Ritz-Carlton Hotels and Resorts in the United States and Canada.

FULL-SERVICE COMPANY BRAND HOTELS

Company Brand	Length of Time Operated	Length of Time Franchised	Number of Franchised Outlets Operating in the U.S. and Canada as of December 31, 2021	Additional Information
Sheraton Hotels	1974 – Present	1974 – Present	151	We began offering franchises for Sheraton Hotels in March 2017. For Sheraton Hotel franchise agreements signed prior to March 31, 2017, the franchisor is our subsidiary, The Sheraton LLC (“SLC”).
The Luxury Collection Hotels	1998 – Present	1998 – Present	11	We began offering franchises for The Luxury Collection Hotels in March 2017. For The Luxury Collection Hotel franchise agreements signed prior to March 31, 2017, the franchisor is SLC.
Tribute Portfolio Hotels	Not applicable	2015 – Present	40	We began offering franchises for Tribute Portfolio Hotels in March 2017. For Tribute Portfolio Hotel franchise agreements signed prior to March 31, 2017, the franchisor is our subsidiary, S Collection, Inc. (“SCI”).
W Hotels	1998 – Present	Presently not franchised in the United States and Canada	0	We intend to begin offering franchises for W Hotels in the United States and Canada in 2022.
Westin Hotels	1998 – Present	1998 – Present	91	We began offering franchises for Westin Hotels in March 2017. For Westin Hotel franchise agreements signed prior to March 31, 2017, the franchisor is our subsidiary, Westin Hotel Management, L.P. (“WHMLP”).

SELECT-SERVICE AND EXTENDED-STAY COMPANY BRAND HOTELS

Company Brand	Length of Time Operated	Length of Time Franchised	Number of Franchised Outlets Operating in the U.S. and Canada as of December 31, 2021	Additional Information
AC Hotels by Marriott	2011 – Present	2011 – Present	88	We developed the AC Hotels by Marriott concept in 2011 through a joint venture agreement between our wholly owned subsidiary, International Hotel Licensing Company, S.à r.l. (“IHLC”), and ACHM Spain Management S.L.
Aloft Hotels	2006 – Present	2006 – Present	146	We began offering franchises for Aloft Hotels in March 2017. For Aloft Hotel franchise agreements signed prior to March 31, 2017, the franchisor is SLC.

SELECT-SERVICE AND EXTENDED-STAY COMPANY BRAND HOTELS

Company Brand	Length of Time Operated	Length of Time Franchised	Number of Franchised Outlets Operating in the U.S. and Canada as of December 31, 2021	Additional Information
Courtyard by Marriott Hotels	1983 – Present	1990 – Present	849	
Element Hotels	2006 – Present	2006 – Present	71	We began offering franchises for Element Hotels in March 2017. For Element Hotel franchise agreements signed prior to March 31, 2017, the franchisor is WHMLP.
Fairfield by Marriott Hotels	1987 – Present	1989 – Present	1,105	The “Fairfield” hotel brand was established in October 1987, with Fairfield Inn by Marriott hotels. In 2000, we introduced Fairfield Inn & Suites by Marriott hotels to the brand. In March 2018, we changed the name for new and converting franchises to Fairfield by Marriott.
Four Points by Sheraton Hotels	1995 – Present	1995 – Present	159	We began offering franchises for Four Points Hotels in March 2017. For Four Points Hotel franchise agreements signed prior to March 31, 2017, the franchisor is SLC.
Moxy Hotels	Not applicable	2014 – Present	26	We anticipate operating Moxy Hotels in the future.
Residence Inn by Marriott Hotels	1987 – Present	1984 – Present	769	
SpringHill Suites by Marriott Hotels	1995 – Present	1996 – Present	486	Prior to 1998, certain SpringHill Suites hotels operated as Fairfield Suites hotels.
TownePlace Suites by Marriott Hotels	1997 – Present	1996 – Present	469	

OTHER COMPANY BRAND HOTELS

Company Brand	Length of Time Operated	Length of Time Franchised	Number of Franchised Outlets Operating in the U.S. and Canada as of December 31, 2021	Additional Information
Edition Hotels	2014 – Present	Presently not franchised in the U.S. or Canada	0	This Company Brand was developed in 2007 with Ian Schrager.
Gaylord Hotels	2012 – Present	Presently not franchised in the U.S. or Canada	0	We acquired the Gaylord brand and hotel management company from Gaylord Entertainment Company (now Ryman Hospitality Properties, Inc.) in 2012. We do not currently intend to offer franchises for

<u>OTHER COMPANY BRAND HOTELS</u>				
Company Brand	Length of Time Operated	Length of Time Franchised	Number of Franchised Outlets Operating in the U.S. and Canada as of December 31, 2021	Additional Information
				Gaylord hotels in the United States and Canada.
Marriott Executive Apartments	1997 – Present	Presently not franchised in the U.S. or Canada	0	Marriott Executive Apartments were formerly known as “Marriott Executive Residences.” We do not currently intend to offer franchises for Marriott Executive Apartments in the United States and Canada.
Protea Hotels	2014 – Present	Presently not franchised in the U.S. or Canada	0	The term “Protea Hotels” includes Protea Hotels by Marriott, Protea Hotel Fire & Ice!, and African Pride Hotels, Lodges and Country Houses. In 2014, our subsidiary acquired the brands and hotel management and franchise business of Protea Hospitality Holdings, which operated and franchised Protea Hotels throughout Africa. We do not currently intend to offer franchises for these brands in the United States and Canada, but we expect to continue offering franchises for locations outside the United States and Canada.
St. Regis Hotels	1960 – Present	Presently not franchised in the U.S. or Canada	0	We do not currently intend to offer franchises for St. Regis Hotels in the United States and Canada.

MIF, L.L.C., a Delaware limited liability company established on March 20, 2012, and a wholly-owned subsidiary of Marriott, has served as a franchisor of certain Company Brand Hotels in the United States since March 2013. MIF, L.L.C. maintains its principal business address at Marriott Headquarters. Certain of our other subsidiaries and affiliates offer franchises for Company Brand Hotels outside of the United States (“International Franchises”), including: Marriott Worldwide Corporation (“MWC”); Marriott Switzerland Licensing Company S.à r.l. acting on its own behalf (“MSLC”) and through its branch in Nevis (“MSLC - Nevis Branch”); Renaissance Hotel Holdings, Inc. (“RHHI”); IHLC acting on its own behalf and through its branch in Switzerland (“IHLC Zurich Branch”); Global Hospitality Licensing S.à r.l. (“GHL”); ACHM Global Hospitality Licensing S.à r.l. (“ACHM”); W International, Inc. (“WII”); Franchise and License (Canadian) OPS Limited Partnership (“FLO”); SII Real Estate Holdings, Inc. (“SII”); WHMLP; SMI; SCI; Luxury Hotels International of Hong Kong Limited (“LHIHK”); and Starwood EAME License and Services Company, BVBA (“SELSC”). FLO, MWC, RHHI, SCI, SII, SMI, SLC, WHMLP, and WII have a principal business address at Marriott Headquarters. IHLC, GHL and ACHM have a principal business address at 33 rue du Puits Romain, L-8070 Bertrange, Luxembourg. IHLC Zurich Branch has a business address at Bahnhofplatz 14, 8001 Zurich, Switzerland. MSLC has a principal business address at c/o Toren AG, Lindenstrasse 16, 6341 Baar, Switzerland. MSLC – Nevis Branch has a principal business address at Howard’s End, Spring Hill Road, St. Thomas Parish, Island of Nevis. LHIHK has a principal business address at 11th Floor, 1111 King’s Road, Taikoo Shing, Hong Kong. SELSC has a principal business address at Rue Auguste Orts 3-7, 1000 Brussels, Belgium.

Other Company Brands. In addition to operating and franchising Company Brand Hotels, we and our affiliates manage golf facilities and resorts and luxury yachts under the Company Brands. We and our affiliates also grant franchises or licenses to real estate developers to market, sell, and rent residential and condominium units under the Company Brands using our reservation channels, distribution channels, and loyalty programs. We may manage the day-to-day operations of the condominium or residential units on behalf of the residential or condominium owners' associations.

In 2022, we expect to begin offering and selling franchises for multi-unit family dwelling rental businesses that will offer short-term and long-term apartment rentals using our reservation and distribution channels and loyalty programs.

In 2019, we developed Homes & Villas by Marriott International, a home sharing program that offers short-term home rentals using our reservation and distribution channels and loyalty programs.

In 2019, we also launched a new all-inclusive resort platform through which select hotels and resorts may charge a nightly rate per guest that includes the cost of a room and certain other amenities such as food, beverages, and recreational programs and activities. We are currently offering and selling franchises for all-inclusive hotels and resorts under the following Company Brands: (i) Marriott Hotels & Resorts, (ii) Autograph Collection Hotels, (iii) Westin Hotels & Resorts, (iv) The Luxury Collection Hotels & Resorts, (v) Tribute Portfolio Hotels and Resorts, (vi) Delta Hotels by Marriott, and (vii) W Hotels. We may operate or grant third parties the right to operate all-inclusive resorts under any of our Company Brands. In conjunction with our entry into the all-inclusive market, IHLC acquired Elegant Hotels plc. Elegant Hotels operates seven hotels (certain of which are all-inclusive) in Barbados. These hotels were subsequently converted into Autograph Collection hotels and resorts.

In 2011, our domestic and overseas timesharing and fractional destination club business and certain related whole ownership residential development businesses (respectively, the "Marriott Destination Club" and "Marriott Whole Ownership Residential Businesses") were spun off as an independent publicly-traded company, Marriott Vacations Worldwide Corporation ("MVW"). Pursuant to long-term license agreements with Marriott and its affiliates, MVW has: (i) the exclusive right to develop and operate the Marriott Destination Club and Marriott Whole Ownership Residential Businesses and related products under the brand names Marriott Vacation Club®, Marriott Vacation Club® International, Marriott Vacation Club Destinations®, Grand Residences by MarriottSM, Sheraton® Vacation Club, Westin® Vacation Club, and other approved property names; (ii) the exclusive right to develop and operate the Marriott Destination Club and Marriott Whole Ownership Residential Businesses and related products under the brand names The Ritz-Carlton Destination Club® and The Ritz-Carlton Club®; (iii) the right to sell, market, manage, operate and/or finance certain existing vacation ownership properties under the "St. Regis Residence Club®" name, the "Luxury Collection Residence Club®" name, and under other existing property names using the "St. Regis®" and "The Luxury Collection®" marks; and (iv) the non-exclusive right to develop Whole Ownership Residential Businesses and related products under the brand name The Ritz-Carlton Residences® ((i) through (iv) collectively, "MVW Licensed Brands"). We and our affiliates may manage certain of these projects.

Except as noted above, neither we nor our affiliates have offered franchises in any other line of business.

Products and Services Available to Franchisees. Our subsidiary, Marriott International Design & Construction Services, Inc. ("Marriott Design & Construction"), provides Company Brand Businesses with a variety of design services and purchasing services for certain furniture, fixtures, equipment, and opening operating supplies. Through our procurement division ("MIP Americas"), we provide procurement services for certain recurring food, beverage, and operating supplies.

Our subsidiary, Culinary Concepts Hospitality Group, LLC d/b/a Pure Grey, licenses restaurant concepts and provides food and beverage consulting services to Company Brand Businesses on an optional basis. Pure Grey has a principal business address at 102 Franklin Street, 2nd Floor, New York, NY 10013.

In 2017, we formed Travel Ease International (Hong Kong) Limited (“Travel Ease”) with Alibaba Group Holdings Limited (“Alibaba”), a Chinese multinational e-commerce conglomerate. Travel Ease manages certain of our Chinese digital reservation and distribution channels, including an online storefront on Fliggy (Alibaba’s travel platform). Travel Ease also markets the products and services offered by Company Brand Businesses to Alibaba’s customer base and provides a link between our loyalty programs and Alibaba’s loyalty programs.

From 2012 to 2020, our affiliate, Hotel JV Services, LLC, operated Roomkey.com, a website that offered consumers the opportunity to research and compare hotels online.

Marriott may from time to time establish or invest in other businesses that provide goods and services to Company Brand Businesses.

Agents for Service of Process. Our agents for service of process are listed at Exhibit F.

Laws Applicable to the Lodging Industry. A summary of laws and regulations specific to the lodging industry is listed at Exhibit I.

Market and Competition. The market for lodging services is well developed and highly competitive. You will compete with other hotel and resort properties, ranging from national and international hotel brands to independent, local, and regional hotel operators, as well as alternative lodging companies that rent residential inventory in a manner consistent with hotels. You may also compete with other lodging facilities operating under the Company Brands and MVW Licensed Brands. Depending on your geographic location and the services offered, your business may be seasonal.

The market for residences, condominiums, and multi-family development projects is well developed, regulated, seasonal, and highly competitive. If you elect to develop or operate a residential component with your Company Brand Hotel, you will compete with local, regional, and national residential property developers and residential brands, many of which are well-established in the market with respect to both new development and re-sales. You may also compete with other Company Brands and MVW Licensed Brands that may be located close to your project. Your ability to compete in the marketplace is dependent upon a number of factors, including location, accessibility, level of service, operating efficiency, quality and appearance, marketing and advertising programs, associate satisfaction, and general economic conditions.

Both typical and special business risk factors exist in the hotel and residential industries. Risk factors that you should consider may include (without limitation): location, design, size, changing market conditions, demand, seasonality, competition, whether you manage the hotel, costs and the availability of supplies, equipment and labor, the health, continuity and abilities of your management, continuation of sources of supply, quality of labor, availability of financing, fluctuations in real estate values, cost of compliance with applicable law, developments in technology and disruptions in technology systems, environmental liabilities, insurance needs, recession or depression locally, nationally, or internationally, wars (including, potentially, the conflict in Ukraine), terrorist turmoil, strikes, political uncertainty, national or local emergencies, public health incidents, natural disasters, and liability and casualty losses. The success or failure of your business will depend upon many factors, and we urge you to consult with your professional advisors to identify and consider all risk factors that may affect your business.

COVID-19 Pandemic. The Covid-19 pandemic and global efforts undertaken to contain the pandemic continue to impact Marriott's business, the performance of Company Brand Hotels, and the lodging industry as a whole. Company Brand Hotels have experienced declines in key operating metrics as consumer travel and business travel have been impacted.

ITEM 2

BUSINESS EXPERIENCE

A list of the directors, principal officers, and other individuals who have management responsibility for the sale or operation of the franchise offered by this disclosure document follows. The location of employment for each person is Bethesda, Maryland, unless we name another location.

Directors of Marriott

Chairman Emeritus, Outgoing Executive Chairman and Chairman of the Board: J.W. Marriott, Jr.

Mr. Marriott has been a Director of Marriott and its predecessors since 1964 and Chairman of the Board since 1985. He was elected Executive Chairman and Chairman of the Board in March 2012. Mr. Marriott will retire from his role as Marriott's Executive Chairman and Chairman of the Board and assume the role of Chairman Emeritus in May 2022. Mr. Marriott joined Marriott Corporation in 1956 and became President in 1964 and Chief Executive Officer in 1972. He served as Chief Executive Officer of Marriott until March 2012. He serves as a Trustee of The J. Willard & Alice S. Marriott Foundation and is an honorary member of the executive committee of the World Travel & Tourism Council.

Director and Incoming Chairman of the Board: David S. Marriott

Mr. Marriott has been a Director of Marriott since March 2021 and will assume the role of Chairman of the Board in May 2022. Mr. Marriott was the President, U.S. Full Service, Managed by Marriott from 2018 to April 2021, and previously served as the Chief Operations Officer – The Americas, Eastern Region from 2010 to 2018. He also serves as the Chairman of the Governing Board of St. Albans School in Washington, D.C. and as a Trustee of The J. Willard & Alice S. Marriott Foundation.

Director and Chief Executive Officer: Anthony Capuano

Mr. Capuano has been a Director and Chief Executive Officer of Marriott since February 2021. Prior to that, Mr. Capuano was Group President, Global Development, Design and Operations Services from January 2020 to February 2021, and Executive Vice President, Global Chief Development Officer from June 2011 to January 2020.

Director: Isabella D. Goren

Ms. Goren has been a Director of Marriott since March 2022. She has also served as a Director of MassMutual Financial Group since December 2014. Ms. Goren was Chief Financial Officer of American Airlines, Inc. and its parent company, AMR Corporation from 2010 to 2013. She also served as a Director of Gap Inc. and LyondellBasell Industries.

Director: Deborah Marriott Harrison

Ms. Harrison has been a Director of Marriott since June 2014. Ms. Harrison has served as Global Cultural Ambassador Emeritus since May 2019. Prior to that, she was Global Officer, Marriott Culture and Business Councils from October 2013 to May 2019.

Director: Frederick A. Henderson

Mr. Henderson has been a Director of Marriott since May 2013. Mr. Henderson was Chairman and Chief Executive Officer of SunCoke Energy, Inc. from December 2010 to December 2017, and Chairman and Chief Executive Officer of SunCoke Energy Partners GP LLC, the general partner of SunCoke Energy Partners, L.P., from January 2013 to December 2017. Mr. Henderson has served as a Trustee of the Alfred P. Sloan Foundation since 2008 and became the Chairman of its Board of Trustees in 2022. Mr. Henderson has also served as a principal in the Hawksbill Group and as a Director of Horizon Global Corporation. He has served as Non-executive Chairman of Adient plc since October 2018 and has served as a Director of Adient plc since October 2016. He has also served as the Non-executive Chairman of Arconic Corp. since April 2020.

Director: Eric Hippeau

Mr. Hippeau has been a Director of Marriott since September 2016. Mr. Hippeau has been Managing Partner of Lerer Hippeau in New York, New York since June 2011. He has also served as a Director and as the Chief Executive Officer of Lerer Hippeau Acquisition since February 2021. Mr. Hippeau served as a Director of Starwood from April 1999 to September 2016.

Director: Debra L. Lee

Ms. Lee has been a Director of Marriott since June 2004. Ms. Lee was Chairman of the Board and Chief Executive Officer of BET Networks, a subsidiary of Viacom, Inc., from 2006 until her retirement in May 2018, and has been Chair of the Leading Women Defined Foundation since June 2018. She has served as a Director of AT&T Inc. since July 2019, Burberry Group plc. since October 2019, and Procter & Gamble since August 2020. She previously served as a director of WGL Holdings, Inc. from 1999 to 2018, Twitter, Inc. from May 2016 to August 2019, Eastman Kodak Company from 1999 to May 2011, and Revlon, Inc. from 2005 to 2015.

Director: Aylwin B. Lewis

Mr. Lewis has been a Director of Marriott since September 2016. Mr. Lewis was Chairman, President and Chief Executive Officer of Potbelly Sandwich Works, LLC in Chicago, Illinois from June 2008 to November 2017. He has served as a Director of Voya Financial, Inc. since October 2020, a Director of The Chefs' Warehouse, Inc. since January 2021, and a Director of Caliber Collision since January 2021. He previously served as a Director of Red Robin Gourmet Burgers, Inc. from May 2018 to November 2019, The Walt Disney Company from January 2004 to March 2019, and Starwood from January 2013 to September 2016.

Director: Margaret M. McCarthy

Ms. McCarthy has been a Director of Marriott since March 2019. Ms. McCarthy served as Executive Vice President of CVS Health Corporation from November 2018 to June 2019. Prior to that she served as Aetna, Inc.'s Executive Vice President, Operations and Technology from November 2010 to November 2018. Ms. McCarthy has served as a Director of Alignment Healthcare since December 2020, American Electric Power Company, Inc. since April 2019, and First American Financial Corporation since July 2015. She served as a Director of Brighthouse Financial, Inc. from November 2018 to June 2021.

Director: George Muñoz

Mr. Muñoz has been a Director of Marriott since August 2002. Mr. Muñoz has been a principal in the Washington, D.C.-based firm Muñoz Investment Banking Group, LLC since February 2001. He has also been a partner in the Chicago-based law firm Tobin, Petkus & Muñoz LLC (now Tobin & Muñoz) since July 2001. Mr. Muñoz has served as a Director of Altria Group, Inc. since October 2004, and as a Director of Laureate Education, Inc. since March 2013. He previously served as a Director of Anixter International, Inc. from May 2004 to June 2020. He also serves as a Trustee of the National Geographic Society.

Director: Horacio D. Rozanski

Mr. Rozanski has been a Director of Marriott since March 2021. Mr. Rozanski has served as a Director and the President and Chief Executive Officer of Booz Allen Hamilton since January 2015 and has been an employee of the firm since 1992. He also serves as Chairman of the Board of the Children's National Medical Center, as a Director of CARE USA, and as a member of the United States Holocaust Memorial Museum's Committee on Conscience.

Director: Susan C. Schwab

Ambassador Schwab has been a director of Marriott since May 2015. Ambassador Schwab has served as a Professor Emerita at the University of Maryland School of Public Policy since February 2020 and as a Professor since January 2009. She has also been a strategic advisor to Mayer Brown, LLP, a global law firm, since March 2010. Ambassador Schwab has served as a Director of Caterpillar Inc. since June 2009 and FedEx Corporation since June 2009, and served as a Director of The Boeing Company from February 2010 to April 2021.

Principal Officers of Marriott

President: Stephanie Linnartz

Ms. Linnartz has been President of Marriott since February 2021. Prior to that, Ms. Linnartz was Group President, Consumer Operations, Technology & Emerging Businesses from January 2020 to February 2021, and Executive Vice President, Global Chief Marketing and Commercial Officer from March 2013 to January 2020. Ms. Linnartz has been a Director of The Home Depot, Inc. since 2017.

Global Development Officer, U.S. & Canada: Noah J. Silverman

Mr. Silverman has been Global Development Officer, U.S. and Canada since March 2021. Prior to that, Mr. Silverman was Chief Development Officer, U.S. & Canada, Full-Service Hotels from May 2011 to March 2021.

Executive Vice President and Chief Financial Officer: Leeny Oberg

Ms. Oberg has been Executive Vice President and Chief Financial Officer since January 2016. Ms. Oberg also serves as a Director of Adobe, Inc.

Executive Vice President and General Counsel: Rena Hozore Reiss

Ms. Reiss has been Executive Vice President and General Counsel since December 2017. Prior to that, she served as Executive Vice President, General Counsel, and Secretary for Hyatt Hotels Corporation from August 2010 to October 2017.

Executive Vice President and Global Treasurer: Carolyn B. Handlon

Ms. Handlon has been Executive Vice President and Global Treasurer since January 2010.

Controller and Chief Accounting Officer: Felitia Lee

Ms. Lee has been Controller and Chief Accounting Officer since May 2020. Prior to that, she was Senior Vice President and Controller of Kohl's Corporation from September 2018 to April 2020, and Company Vice President and Controller of Pepsi Bottling Company from September 2010 to August 2018.

Group President, U.S. & Canada: Liam Brown

Mr. Brown has been Group President, U.S. & Canada since January 2021. Prior to that, he was President and Managing Director of Europe from November 2018 to January 2021, and President, Franchising, Owner Services and MxM Select Brands, North America from February 2013 to November 2018.

Global Officer – Distribution, Revenue Strategy, Engagement Centers, and Global Sales: Drew Pinto

Mr. Pinto has been Global Officer – Distribution, Revenue Strategy, Engagement Centers, and Global Sales since January 2021. Prior to that, he served as Senior Vice President, Distribution & Revenue Strategy from January 2019 to December 2020, and as Senior Vice President, Distribution from September 2016 to December 2018. He served as Vice President, Distribution Strategy, Systems & Intermediary Channels from February 2013 to September 2016.

Global Officer, Customer Experience, Loyalty, and New Ventures: Peggy Fang Roe

Ms. Roe has been Global Officer, Customer Experience, Loyalty, and New Ventures since January 2020. Prior to that, she served as Chief Sales & Marketing Officer in Asia Pacific from October 2013 to January 2020.

Secretary, Vice President and Senior Counsel: Andrew P. C. Wright

Mr. Wright has been Secretary since May 2020 and Vice President and Senior Counsel since March 2017. Prior to that, he served as Corporate Counsel from September 2013 to February 2017.

Lodging Development

Chief Development Officer, U.S. Full-Service Brands: Thomas J. Brinkman

Mr. Brinkman has been Chief Development Officer, U.S. Full Service Brands since August 2021. Prior to that, he was Senior Vice President, Lodging Development for the Western Region from January 2014 to August 2021. He is located in Scottsdale, Arizona.

Regional Vice President, U. S. Full-Service Brands – Eastern Region: Lisa Sexton

Ms. Sexton has been Regional Vice President, U. S. Full-Service Brands since October 2021. Prior to that, she was Vice President, Lodging Development for the Eastern Region from June 2015 to October 2021.

Regional Vice President, U. S. Full-Service Brands – Western Region: Paul Loehr

Mr. Loehr has been Regional Vice President, U. S. Full-Service Brands – Western Region since October 2021. Prior to that, he served as Regional Vice President, Lodging Development Division for Canada from April 2018 to October 2021 and Vice President, Lodging Development Division for the Western Region from March 2015 to April 2018.

Chief Development Officer, U.S. Luxury Brands and Global Mixed-Use: Dana A. Jacobsohn

Ms. Jacobsohn has been our Chief Development Officer, U.S. Luxury Brands and Global Mixed-Use since July 2021. Prior to that, Ms. Jacobsohn was Senior Vice President, Global Mixed-Use Development from March 2019 to July 2021 and Vice President, Mixed-Use Development from December 2014 to March 2019.

Vice President, Global Mixed-Use Development: Sarah A. Khalifa

Ms. Khalifa has been Vice President, Global Mixed-Use Development since August 2021 and was Senior Director, Mixed-Use Development from August 2019 to August 2021. Prior to that Ms. Khalifa was a Senior Associate at Clyde & Co from December 2015 to July 2019.

Lodging Operations

Chief Global Operations Officer: Erika L. Alexander

Ms. Alexander has been Chief Global Operations Officer since January 2021. Prior to that, she was Chief Lodging Services Officer, Americas from July 2015 to January 2021 and Area Vice President, Americas – Eastern Region from July 2008 to July 2015.

Global Officer, Brand and Marketing: Tina Edmundson

Ms. Edmundson has been Global Officer, Brand and Marketing since January 2020. Prior to that, she was Global Brand Officer from September 2016 to January 2020 and Global Officer, Luxury and Lifestyle Brands from April 2013 to September 2016.

Global Design Officer: Ronald T. Harrison

Mr. Harrison has been Global Design Officer since March 2011.

President, U.S. & Canada Franchising and MxM MSB Hotels: Raymond Bennett

Mr. Bennett has been President, U.S. & Canada Franchising and MxM MSB Hotels since January 2021. Prior to that, he was Chief Global Operations Officer from June 2015 to January 2021.

Senior Vice President, Luxury Brands: Chris Gabaldon

Mr. Gabaldon has been Senior Vice President, Luxury Brands since October 2020. Prior to that, he was Chief Operating Officer for Auberge Resorts Collection from March 2019 to September 2020. He served as the Area Vice President, Luxury Brands Western U.S. from January 2016 to March 2019.

Senior Vice President, Premium Brands: Jason Nuell

Mr. Nuell has been Senior Vice President, Premium Brands since September 2020. Prior to that, he was Area Vice President, Marriott Managed Select Brands, Eastern Region from April 2019 to September 2020, and Vice President, Brand Operations Design & Development, Lifestyle Brands from September 2014 to April 2019.

Senior Vice President, Owner & Franchise Services, Full-Service Franchising, U.S.: Kip W. Vreeland

Mr. Vreeland has been Senior Vice President, Owner & Franchise Services, Full-Service Franchising, U.S. since July 2012.

Senior Vice President, Asset Management and Analysis, U.S.: Catherine L. Young

Ms. Young has been Senior Vice President, Asset Management and Analysis, U.S. since July 2013.

Vice President, Owner & Franchise Services: Tara R. Cowan

Ms. Cowan has been Vice President, Owner & Franchise Services since December 2016, with responsibility for full-service hotel franchising. Prior to that, she was Director of Franchise Administration at Starwood from August 2006 to December 2016.

Vice President, Owner & Franchise Services: Tom Gilliland

Mr. Gilliland has been Vice President, Owner & Franchise Services since December 2017, with responsibility for full-service hotel franchising. Prior to that, he was Vice President of Hotel Openings and Transitions from April 2015 to December 2017.

Vice President, Owner & Franchise Services: Michael H. Rosenman

Mr. Rosenman has been Vice President, Owner & Franchise Services since October 2010, with responsibility for Owner Communications and Initiative Management, Owner Information Management and Product Integrity since June 2016, and responsibility for Contract Administration and Growth Administration since February 2013.

ITEM 3

LITIGATION

Except for the actions described below, there is no litigation that must be disclosed in this Item.

A. Data Security Incident

On November 30, 2018, Marriott announced a data security incident involving unauthorized access to the Starwood reservations database (the “Data Security Incident”). Marriott phased-out the operation of the Starwood reservation database which was the subject of the Data Security Incident. Following Marriott’s announcement of the Data Security Incident, numerous lawsuits were brought, and may continue to be brought, against Starwood, Marriott, and their respective officers and directors. Below is a summary of certain litigation matters relating to the Data Security Incident:

1. In re Marriott International Customer Data Security Breach Litigation (MDL No. 19-md-2879). Numerous putative class actions and some individual actions have been filed against Starwood and Marriott in U.S. federal and state courts alleging, among other claims, negligence, invasion of privacy, violation of federal and state consumer protection and data privacy laws, violation of municipal ordinances, violation of the European Union’s General Data Protection Regulation and similar foreign laws and regulations, conversion, misrepresentation, and unfair and deceptive trade practices. The plaintiffs in these cases seek statutory, actual, compensatory, punitive, and consequential damages, including attorneys’ fees and costs, in amounts to be proven at trial. The amount sought by all plaintiffs is not yet specified.

On December 3, 2018, two plaintiffs moved the Judicial Panel on Multidistrict Litigation (“JPML”) for transfer and consolidation of 11 then-pending federal cases and later tag-along cases. The JPML issued an order on February 6, 2019, transferring these and future “tag-along” cases to the United States District Court for the District of Maryland for coordination and captioned the MDL matter In re Marriott International Customer Data Security Breach Litigation (MDL No. 19-md-2879) (the “MDL”). Marriott has also removed the state cases to federal court and consolidated them into the MDL, with the exception of one derivative suit filed by a purported stockholder of Marriott in the Delaware Court of Chancery. The JPML has transferred or conditionally transferred nearly all tag-along cases filed thereafter, and the defendants will continue to request transfers to the MDL if new matters arise.

On July 22, 2019, consumer MDL plaintiffs filed an Amended Consolidated Complaint which added Accenture LLP and Accenture PLC as defendants. Accenture PLC was subsequently voluntarily dismissed without prejudice. The parties also selected a sub-set of claims from the Amended Consolidated Complaint to proceed at this stage of the litigation. On August 26, 2019, consumer plaintiffs filed a Second Amended Consolidated Complaint. Defendants moved to dismiss the Second Amended Consolidated Complaint on September 23, 2019 and on February 21, 2020, the Court granted in part and denied in part Marriott’s motion. Marriott filed an answer to the portions of the Second Amended Consolidated Complaint on July 13, 2020, and an Amended Answer on August 3, 2020. Discovery is complete and the plaintiffs have moved for class certification. That motion will be argued on April 20, 2022. Starwood, Marriott, and the other named defendants intend to defend vigorously against these claims.

The MDL also includes the following matters:

(a) City of Chicago v. Marriott International, Inc., et al., Case No. 8:19-cv-00654 (D. Md.). On February 14, 2019, the City of Chicago (the “City”) filed an action against Marriott

under Section 2-25-090 of the Municipal Code of Chicago. The City seeks declaratory relief, an injunction requiring Marriott to adopt additional data security measures, and a fine of up to \$10,000 per day for each alleged violation of the Code. The City also requests an order requiring Marriott to establish a fund to pay for monitoring of residents' information and other so-called precautions the city claims are necessary. On March 1, 2019, the JPML transferred this action to the District of Maryland, where it is being litigated as part of the MDL and was assigned the individual case caption *City of Chicago v. Marriott International, Inc., et al.*, Case No. 8:19-cv-00654-PWG. On June 20, 2019, the city filed a First Amended Complaint. Marriott moved to dismiss the complaint on July 15, 2019. After full briefing, the district court denied the motion on December 13, 2019. Marriott answered the First Amended Complaint on January 27, 2020. Marriott has moved for summary judgment, which the City opposed. Marriott intends to continue to vigorously defend against this action.

(b) McGrath v. Marriott International, Inc., et al., Case No. 8:19-cv-000368-PWG (D. Md.). On December 1, 2018, a putative class action lawsuit was filed in the Eastern District of New York against Marriott and certain of Marriott's officers (including Arne M. Sorenson, Kathleen Kelly Oberg, and Bao Giang Val Bauduin) alleging violations of the federal securities laws in connection with the Data Security Incident. On February 6, 2019, the JPML transferred this action to the District of Maryland, where it is being litigated as part of the MDL. The court appointed Construction Laborers Pension Trust for Southern California to serve as lead plaintiff for this securities class action, and the lead plaintiff filed an amended consolidated complaint on August 5, 2019, a second amended complaint on September 16, 2019, and a third amended complaint on July 24, 2020. The plaintiffs seek statutory, actual, compensatory, and consequential damages, including interest and attorneys' fees and costs, in amounts to be proven at trial. The defendants moved to dismiss the third amended complaint on September 8, 2020. On June 11, 2021, the Court dismissed all claims against Marriott and the other defendants. The plaintiffs have appealed the judgement and oral argument was held on March 10, 2022. We await the Court's resolution of the case. Marriott intends to continue to vigorously defend against this action.

2. Administrative Investigations. The Data Security Incident, and a subsequent data security incident occurring at the end of February 2020 involving the potential access of guest information using the login credentials of two employees at a franchise property in Russia, have resulted in investigations by regulatory authorities in various jurisdictions, including the U.S., Canada, and Australia.

(a) U.S. Investigations. Attorneys General Offices from all 50 states and the District of Columbia, the Federal Trade Commission, the Securities and Exchange Commission, and certain committees of the U.S. Senate and House of Representatives have made inquiries, opened investigations, or requested information and/or documents relating to the Data Security Incident and related matters. These matters remain generally open. We are in discussions with the U.S. state Attorneys General, the U.S. Federal Trade Commission, and certain regulatory authorities in other jurisdictions to resolve their investigations and requests.

(b) Information Commissioner's Office in the United Kingdom ("ICO") Action. In July 2019, the ICO issued a formal notice of intent under the U.K. Data Protection Act 2018 proposing a fine in the amount of £99 million against Marriott in relation to the Data Security Incident (the "Proposed ICO Fine"). On October 30, 2020, the ICO issued a penalty notice under which it found that Marriott had infringed the EU General Data Protection Regulation and imposed a fine of £18.4 million (approximately \$23.8 million). Marriott International Inc. did not

appeal the ICO's decision, but has made no admission of liability in relation to the decision or the underlying allegations.

(c) Turkish Personal Data Protection Authority ("KVKK") Action. Following an investigation into the Data Security Incident, the KVKK issued Decision No. 2019/143 on May 16, 2019, imposing an administrative fine on Marriott International, Inc. in the amount of Turkish Lira 1.450.000 (~US\$233,000). Marriott has been appealing the administrative fine in various forums since it was issued, but paid the fine in full on February 11, 2020, as it was obliged to do under Turkish law pending the outcome of its final appeal to the Turkish Constitutional Court, which was filed on February 19, 2020. This final appeal remains pending.

3. Canadian Actions. Following the disclosure of the Data Security Incident, 16 putative class action lawsuits were commenced in British Columbia, Alberta, Ontario, Quebec, and Nova Scotia. The putative class action lawsuits name as defendants variations of Starwood Canada ULC, Marriott, Starwood, Luxury Hotels International of Canada, ULC, and Marriott Hotels of Canada Ltd. The plaintiffs allege various claims, including negligence, intrusion upon seclusion, and breach of Canadian federal and provincial privacy statutes and consumer protection statutes. Some of the plaintiffs allege further or province-specific causes of action. The plaintiffs seek a combination of statutory, general, special, exemplary, punitive, and aggravated damages, including attorneys' fees and costs, in amounts to be proven at trial. All of the cases have been consolidated and will proceed as a single case in Ontario. Marriott and its affiliates dispute the allegations in the claim and intend to defend vigorously against it.

4. UK Opt-Out Representative Action. On 18 August 2020, an opt-out representative action was filed in the High Court of England & Wales against six Marriott and Starwood companies (namely, Marriott International Inc; Marriott Hotels International Limited; Marriott Hotels Limited; Starwood Hotels and Resorts Worldwide LLC; Sheraton Hotels (England) Limited; and Starwood Services (UK) Limited) in relation to the Data Security Incident under the name and title Martin John Bryant v Marriott International Inc. and others, QB-2020-002882. The representative claimant alleges breaches of data protection legislation and claims for loss of control of personal data. The representative claimant seeks damages, interest, and other relief in amounts to be proven at trial. The claim had been stayed pending the Supreme Court's decision in *Lloyd v Google*. On November 3, 2021, the Court issued its *Lloyd* decision. Plaintiffs have decided not to proceed and we are in the process of finalizing that decision.

B. Destination, Resort, and Amenity Fees

A group of State Attorneys General ("AGs") representing all 50 states and the District of Columbia have been conducting an industry-wide investigation of the display of room rates and resort, destination and other mandatory fees ("Resort Fees") on hotel and online travel agency websites. Marriott is one of several lodging companies under investigation and has been cooperating. The following is a summary of litigation matters relating to Marriott's display of room rates and destination, resort, and amenity resort fees.

1. District of Columbia v. Marriott International, Inc., 2019 CA 004497 B (D.C. Super. Ct.). On July 9, 2019, the District of Columbia filed a lawsuit against Marriott in the Superior Court of the District of Columbia alleging violations of the District of Columbia's Consumer Protection Procedures Act ("CPPA"), D.C. Code §§ 28-3901, *et seq.* The District of Columbia seeks an injunction, restitution, statutory civil penalties, and attorneys' fees and costs, in amounts to be proven at trial. Following the end of discovery, both parties moved for summary judgment. In late December 2021, the Court denied both motions and then a new judge was assigned to the case at the start of 2022. Marriott intends to vigorously defend against this action.

2. Todd Hall v. Marriott, International, Inc. (19-cv-1715-JLS-AHG) (S.D. Cal.). On September 9, 2019, a putative class action was filed against Marriott in the United States District Court for the Southern District of California alleging violations of the Consumers Legal Remedies Act, Cal. Civ. Code §§ 1750, *et seq.*, the False Advertising Law, Cal. Bus. & Prof. Code §§ 17500, *et seq.*, and the Unfair Competition Law, Cal. Bus. & Prof. Code §§ 17200, *et seq.*, as well as unjust enrichment. On November 22, 2019, the plaintiffs filed a First Amended Class Action Complaint adding claims for negligent misrepresentation, concealment/non-disclosure, and intentional misrepresentation. Marriott moved to dismiss the First Amended Class Action Complaint on January 10, 2020. On December 8, 2020 the plaintiffs filed a Second Amended Class Action Complaint adding additional named plaintiffs and Marriott filed an answer to the Second Amended Class Action Complaint on February 22, 2021. The plaintiffs seeks an injunction, disgorgement, restitution, actual and statutory damages, and attorneys' fees and costs, in amounts to be proven at trial. Discovery is nearly completed. Class certification and summary judgment motions are the next likely steps. Marriott intends to vigorously defend against these claims.

C. Other Pending Actions

1. The Fifth and Fifty-Fifth Residence Club Association, Inc. v. Vistana Signature Experiences, Inc., et al., Case No. 151907/2019, Supreme Court of the State of New York, New York Co. This matter originally consisted of two actions concerning residences in the St. Regis Hotel in New York City, New York – one brought by approximately 100 residential unit owners and the other brought by the residence's condominium board. The plaintiffs claimed that the defendants took actions that diminished the value of the residences. The complaints included allegations of breach of fiduciary duty, unjust enrichment, tortious interference, and anticompetitive actions. The plaintiffs sought actual damages, punitive damages, the disgorgement of payments under the management agreement for the residences and related agreements, and other damages in amounts to be proven at trial. The defendants prevailed in the owners' case, which was dismissed with prejudice. The condominium board's case is pending in New York state court and the defendants have filed a motion to dismiss. Oral argument on that motion had been scheduled for May 11, 2021 but was postponed by the Court. On February 16, 2022, the Court heard argument and dismissed the claims against Marriott with prejudice and the remaining claims without prejudice. On March 18, 2022, plaintiff filed a notice of appeal of the claims against Marriott and other defendants that were dismissed with prejudice. Plaintiff also filed a Second Amended Complaint re-pleading the claims dismissed without prejudice.

D. Concluded Actions

1. Rahman et al. v. Marriott International, Inc., No. SA CV 20-00654-DOC-KES. On March 31, 2020, Marriott notified guests of a property system incident involving guest information that may have been improperly accessed through the use of login credentials of two franchise employees at a franchise property ("Property System Incident"). The incident involved information for up to approximately 5.2 million guests. On April 3, 2020, plaintiff Arifur Rahman filed a putative class action alleging negligence and related torts as well as violations of the California Consumer Privacy Act arising out of the Property System Incident. The plaintiffs seek injunctive relief, as well as damages, attorneys' fees, costs in amounts to be proven at trial. On January 13, 2021, the District Court dismissed the complaint with prejudice. The plaintiffs initially appealed that dismissal to the U.S. Court of Appeals for the Ninth Circuit. The plaintiffs and Marriott then settled the case and the appeal was dismissed.

2. HPT CY TRS, Inc. and HPT TRS MRP, Inc., v. Marriott International, et al. (Arbitration No. 01-20-0009-9886). Our affiliates Residence Inn by Marriott, LLC, TownePlace Management, LLC, Courtyard Management Corporation, Marriott Hotel Services, Inc., Essex House Condominium Corporation, and SpringHill SMC, LLC (collectively "Managers"), and Marriott International, Inc.

(“Marriott,” collectively with Managers “Marriott Respondents”), are named respondents in an arbitration filed by HPT CY TRS, Inc. and HPT TRS MRP, Inc. (collectively “Tenants”). The dispute pertains to a series of agreements covering a portfolio of hotels operated by Managers and owned by Service Properties Trust (“SVC,” collectively with Tenants “Claimants”), the ultimate parent of Tenants. In the arbitration, Claimants sought: (1) to retain approximately \$19 million in excess profit distributions made from portfolio property funds and (2) to obtain the return of approximately \$40 million in working capital funds provided by SVC as required under the portfolio agreements for operating expenses of the hotels. The Marriott Respondents disputed Claimants’ positions and filed counterclaims seeking declaratory relief on Claimants’ claims and that SVC was in breach of the Exit Hotel Agreement for its failure to convert 16 hotels in the portfolio to Marriott branded franchise hotels (the “Franchise Conversion Hotels”). A five day hearing on the merits took place in September 2021. Based on the claims as presented by the parties at the hearing, on January 19, 2022, the arbitration Tribunal issued its decision in which it (i) declined to award Claimants \$19.1 million that Claimants claimed they were entitled to receive, (ii) declined to award Claimants the return of unused working capital for the Franchise Conversion Hotels and for one managed hotel in the portfolio; (iii) ordered the Marriott Respondents to pay \$1,084,237 out of the termination reserves with respect to certain severance costs; (iv) held that SVC breached the Exit Hotel Agreement by failing to enter into franchise agreements for the Franchise Conversion Hotels, but declined to order specific performance and awarded nominal damages. The Tribunal also determined that the parties were to bear their own attorneys’ fees and costs.

3. Jamil Rivera v. Marriott International, Inc. and International Hospitality Enterprises, Inc., 19-cv-01894-GAG (D.P.R.). On September 18, 2019, a putative class action was filed against Marriott and International Hospitality Enterprises, Inc. in the United States District Court for the District of Puerto Rico alleging that the Courtyard Isla Verde Beach Resort in Carolina, Puerto Rico’s practice of charging a resort fee as a percentage of the room rate unjustly enriches defendants. On December 5, 2019, the plaintiffs filed an Amended Class Action Complaint adding a claim for fraud in the formation of a contract. The plaintiffs seek disgorgement, restitution, actual damages, injunctive and declaratory relief, and attorneys’ fees and costs, in amounts to be proven at trial. Marriott moved to dismiss the Amended Class Action Complaint on January 20, 2020. Marriott subsequently settled with the plaintiffs on an individual basis.

4. Robert Puleo v. Marriott International, Inc., International Hospitality Enterprises, Inc., and Condado Duo, La Concha, SPV, LLC, 19-cv-01893-WGY (D.P.R.). On September 20, 2019, a putative class action was filed against Marriott, International Hospitality Enterprises, Inc., and Condado Duo, La Concha, SPV, LLC in the United States District Court for the District of Puerto Rico alleging that the La Concha Renaissance San Juan Resort in San Juan, Puerto Rico’s practice of charging a resort fee as a percentage of the room rate unjustly enriches defendants. On December 5, 2019, plaintiffs filed an Amended Class Action Complaint adding a claim for fraud in the formation of a contract. The plaintiffs seek disgorgement, restitution, actual damages, injunctive and declaratory relief, and attorneys’ fees and costs, in amounts to be proven at trial. Marriott moved to dismiss the Amended Class Action Complaint on January 13, 2020. Marriott subsequently settled with the plaintiffs on an individual basis.

5. Cityfront Hotel Associates Limited Partnership, et al. v. Starwood Hotels & Resorts Worldwide, Inc., et al., (Supreme Court of the State of New York, County of New York, Case No. 652521/2016). On May 10, 2016, the owners of the Sheraton Grand Chicago hotel and the Westin Times Square New York hotel filed suit in the Supreme Court of New York against Starwood and Marriott, seeking to enjoin the merger. Among other claims, the plaintiffs alleged that: (i) Marriott’s acquisition of Starwood would breach certain territorial restrictions contained within the management agreements for the two hotels; (ii) Starwood committed various breaches of the management agreements for the hotels (including anticipatory breaches), and breaches of fiduciary duty; and (iii) Marriott aided and abetted Starwood’s breaches, and engaged in tortious interference with the hotel owners’ agreements with

Starwood. The plaintiffs also alleged unjust enrichment, and sought damages in an unspecified amount. On May 23, 2016, the plaintiffs moved for a temporary restraining order to enjoin the merger, which the court denied on May 24, 2016. On June 1, 2016, the court denied the plaintiffs' motion for a preliminary injunction. On June 13, 2016, the plaintiffs appealed to the New York Appellate Division, First Department, and sought emergency injunctive relief. On June 27, 2016, the New York Appellate Division denied the plaintiffs' efforts to enjoin the merger, and the plaintiffs' subsequent appeal was also dismissed. On June 14, 2017, the parties entered into a confidential settlement that includes a contingent purchase obligation granting the owner of the Sheraton Grand Chicago hotel a one-time right, exercisable in 2022, to require us to purchase the Sheraton Grand Chicago hotel for \$300 million, and a guarantee to provide operating support up to a maximum amount of \$65 million. Subsequently, the case was dismissed.

ITEM 4

BANKRUPTCY

No bankruptcy is required to be disclosed in this disclosure document.

ITEM 5

INITIAL FEES

1. Application Fees and Related Fees

A. Application Fees

1. **New-to-System Tribute Portfolio Hotel.** If you are submitting an application for a new-to-system Tribute Portfolio Hotel, including the conversion of a non-Company Brand Hotel to a Tribute Portfolio Hotel, the application fee is \$100,000 plus \$400 per guestroom in excess of 250 guestrooms.

2. **Existing Tribute Portfolio Hotel.** If you are submitting an application for an existing Tribute Portfolio Hotel or to convert a hotel that is currently managed by us or one of our affiliates to a franchised Tribute Portfolio Hotel, the application fee is the greater of \$150,000 or \$500 per guestroom.

Hotel application fees are generally payable in full at the time you submit your franchise application. Hotel application fees are non-refundable, except if a franchise agreement is not executed for one or more hotels, in which case we will return the application fee applicable to each hotel where a franchise agreement was not executed, less \$10,000 for each such hotel, after we confirm outside counsel fees and expenses. We generally do not refund the application fee under other circumstances.

B. Other Fees That May Apply to Your Transaction

1. **Outside Counsel Costs.** If you are submitting an application for an existing Tribute Portfolio Hotel or converting a hotel that is currently managed by us or one of our affiliates to a franchised Tribute Portfolio Hotel, we will engage outside counsel in connection with the transaction, and you will be required to pay our outside counsel costs directly to our outside counsel prior to closing. If your hotel project is approved with a residential, condominium, or multi-family component, we will engage outside counsel in connection with the transaction, and you will be required to pay our outside counsel costs directly to our outside counsel prior to closing. These costs are payable and non-refundable, regardless of whether the transaction closes.

2. **Extension Fees.** Once you have signed a franchise agreement, if you wish to request an extension of the construction start deadline or the opening deadline, you must pay us \$10,000 when you submit your written request that explains the need for such extension. No extension will be granted for more than six months. If we approve the extension request, you must execute an amendment to the franchise agreement that revises the applicable deadline. We may waive this fee or give you a credit if you meet the revised deadline, but we are not obligated to do so. If we do not approve your request, we will refund the \$10,000 you submitted.

2. Pre-Opening Fees

Listed below are certain estimated one-time non-refundable fees and reimbursements (excluding certain travel and related expenses) that you will pay to us on demand to open a Tribute Portfolio Hotel. We may require you to prepay certain of these expenses. If you are acquiring or converting an existing hotel, your pre-opening fees and costs will vary depending upon, among other things, the systems in place and experience of personnel that are retained at the time of acquisition or conversion.

A. Computer Hardware and Software Systems

You must pay to us or to our approved vendors approximately \$73,700 to \$100,000 for pre-opening technology planning and installation services associated with the implementation of the required property management, reservation, yield management, and sales and catering systems. Depending on the number of guestrooms and interfaces at your hotel, your costs may exceed these estimates. Optional hardware or additional services may be made available for an additional cost. These estimates do not include amounts payable to third parties (either directly or paid to us and remitted to third parties on your behalf) for hardware, software, or installation for the above systems or for other computer systems recommended or required for your hotel, or amounts payable to us for other recommended computer systems. The costs for such systems are subject to change. See Item 11 for a detailed description of our required and recommended computer systems. We may replace the current approved property management system with another property management system to be designated by us. The cost to implement a new or replacement property management system is not yet known. It may meet or exceed the cost to implement the current designated property management system described above.

If you desire to convert your hotel to a Tribute Portfolio Hotel and an expedited proposed opening date has been agreed to by us, you may request that Marriott procure certain hardware, software, and other computer systems on your behalf, and provide training and services before we execute a franchise agreement. In such event, you will be required to sign a letter agreement substantially in the form attached as Exhibit P.

B. Pre-Opening Training and Services

The costs for pre-opening training and services provided by us (not including costs discussed elsewhere in this Item 5 or costs incurred when purchasing an existing Tribute Portfolio Hotel, see Section 3 below) generally range from \$75,250 to \$152,250, are subject to change, and are non-refundable. This amount includes: training on the use of the property management system, management and executive training, pre-opening on-site task force training, the opening authorization process, associate orientation materials, pre-opening operations and sales and marketing support, and pre-opening revenue management/reservation system rate loading and consultation, as well as an estimate of the travel, meal, and lodging expenses for our trainers, which you must pay. We used the average travel, meal, and lodging expenses for our trainers last year in the range above. The range above excludes, and you must pay for the cost of, travel, meal, and lodging expenses incurred by you and your designated attendees to complete training programs that are not conducted on site. The total cost of pre-opening training and services may vary based on the size and location of your hotel, your experience, and the experience of your associates, as determined by us.

Pre-opening training and services costs include the following:

1. A team determined by us will conduct on-site training before the hotel opens. The amount of training time averages 14 days, but may last up to 21 days, and may include a post-opening hotel visit. We estimate that these on-site costs generally will range from \$30,000 to \$90,000 based on the experience level and prior experience of your associates and the size of your hotel. You must retain a general manager and sales directors/managers at least nine to twelve months prior to hotel opening to participate in pre-opening training and to prepare the hotel for opening.

2. We will provide sales, marketing, and operations support at a cost generally ranging from \$36,000 to \$48,000 in connection with the hotel opening. This support may include (a) an in-market or virtual sales and marketing meeting approximately 90 to 120 days prior to opening to assist in the pre-opening direct sales effort, (b) follow-up webinars to support the pre-opening efforts,

(c) opening operations support, including webinars and an opening certification visit, (d) analysis of sales and marketing efforts, and (e) post-opening sales and marketing support for a period of up to three months after the hotel opens (including one on-property or virtual meeting).

3. We will provide pre-opening revenue management/reservation system rate loading and consulting at a cost generally ranging from \$8,000 to \$13,000. This amount includes initial rate loading, revenue management system readiness and activation, conversion of system data as needed, and consultation. On site revenue management support and training generally lasts an average of three days for new build hotels and five days for conversion hotels. You will be charged \$725 per day for each day in excess of the average. The cost of pre-opening revenue management/reservation system rate loading and consultation varies based on the scope of the services that we provide to you, which depends on the amount of data to be loaded and number of people needing training, as determined by us.

4. We will provide Brand Immersion training for general managers at a cost of \$1,250 per person.

5. We will develop a standard webpage for your hotel on our designated web platform at no additional cost. You may request an optional enhanced on-platform webpage for the hotel at a cost of approximately \$4,000. Off-platform websites are generally optional, but will be required if you do not purchase an enhanced on-platform website from us. You may, but are not required to, retain us to develop a custom off-platform website for your hotel, the cost of which will range from \$10,000 to \$30,000. Any off-platform websites must comply with our standards.

We will provide optional pre-opening marketing and digital support during the period commencing six months prior to the opening of the hotel and ending three months after the opening of the hotel at a cost generally ranging from \$9,500 to \$15,500, depending on the size and location of the hotel and the hotel's overall marketing and digital needs. This amount includes website optimization on Marriott.com, assistance in the design of basic marketing collateral for the hotel, paid media set-up with budget recommendations, access to our brand voice guidelines, consultation on grand opening events, and related consultation and support with respect to marketing (including digital marketing) and advertising the opening of the hotel.

New-to-Marriott franchisee executives, general managers, and sales and marketing executives must attend Executive Orientation at least 12 months prior to the hotel's opening date. You must pay our then-current fee for Executive Orientation. The cost of Executive Orientation presently ranges from approximately \$795 to \$1,095 per person.

If you desire to operate your new-to-system hotel but we determine that you are not qualified to operate a system hotel without additional training, you must participate in the Franchisee Introduction to Marriott program ("FITM"). FITM includes executive-level virtual and in-person meetings and self-paced training on the use of Marriott programs, systems, and services. You must pay our then-current FITM enrollment fee, presently \$60,000, at least 24 months before the hotel opening deadline set forth in your franchise agreement. Alternately, if we determine that you are qualified to operate the hotel, but are unfamiliar with the system, we may require you to participate in the Franchisee OnBoarding for New Development program ("FOND"), through which we provide executive-level, virtual, self-paced training on the use of Marriott programs, systems, and services. You must pay our then-current FOND enrollment fee, presently \$20,000, at least 24 months before the hotel opening deadline set forth in your franchise agreement. Franchisees that participate in FITM or FOND must also undergo one non-accountable audit and, for a period of two years, participate in the Revenue Management Advisory Services program, the Customer Engagement Center Property Support Services program, the Digital Marketing program, and the sales programs we specify, at an additional cost. See

Items 6 and 11 for more information regarding these programs. You may incur additional fees and costs or be required to retain a third-party management company if you do not complete these programs in the time frame specified by us.

The immersion and orientation training programs, as well as FITM and FOND, will be provided at the location we designate. See Item 11 for additional details regarding these and other training and related fees and costs that may apply to your hotel (and residences, if applicable) prior to opening.

3. Fees for Conversions, Transfers, and Relicenses

A. Property Improvement Plan and Independent Hotel Brand Assessment

When converting a hotel (including another Company Brand Hotel) to a Tribute Portfolio Hotel, transferring an existing Tribute Portfolio Hotel, or converting a hotel that is currently managed by us or one of our affiliates to a franchised Tribute Portfolio Hotel, as set forth in Item 6, you must pay a property improvement plan fee of \$12,000 for us to review the hotel to determine the renovations necessary to bring the hotel into good repair and to conform the hotel to Tribute Portfolio's then-current standards and prepare a property improvement plan ("PIP"). Payment is due when the review is requested. In addition, you may incur the Design & Construction Review Services fees described in Item 6. If your franchise application for a conversion hotel is approved, you will also be required to pay a pre-conversion food and beverage sanitation audit fee of \$2,500. The audit is conducted by a third party we retain, and the fee charged to you for the audit may change if the fee charged to us by the auditors changes. You must pay us upon receipt of the invoice. PIPs are effective for a period of 12 months after issuance. If you request revisions or modifications to a PIP prior to its expiration, you must pay to us a fee of \$4,000 to review the proposed revisions or modifications. You must pay to us a fee of \$6,000 to refresh a PIP that is 12 months past its initial issuance date. If a PIP is 24 months past its initial issuance date, you must pay to us a fee of \$12,000 to issue a new PIP. These fees are non-refundable.

If you are converting an existing hotel to a Tribute Portfolio Hotel, we may conduct an Independent Hotel Brand Assessment to determine the hotel branding and guest experience improvements necessary to affiliate the hotel with the Tribute Portfolio. We reserve the right to charge you a fee for conducting the Independent Hotel Brand Assessment, but such fee will not exceed \$5,000. If we charge you a fee, payment is due when the assessment is conducted and it is non-refundable. This fee is in addition to the fee to prepare a PIP discussed above.

B. Support and Training Services for Purchasing or Converting Existing Company Brand Hotels

When converting another Company Brand Hotel to a Tribute Portfolio Hotel, purchasing an existing Tribute Portfolio Hotel, or converting a hotel that is currently managed by us or one of our affiliates to a franchised Tribute Portfolio Hotel, we will assign a transition manager. In addition, we will assess the hotel and provide training and services if we deem it necessary or desirable based on the experience level and prior training of you or your management company. Certain franchisee personnel may be required to attend (i) Executive Orientation (the cost of which is described above) or other prescribed classes, and (ii) sales and marketing meetings at the hotel to analyze or assist in sales efforts. You will also be required to train your new managers and staff (or their replacements) and incur those costs as described in Item 11. We estimate that the costs for on-site classes, training services, and relicensing assistance (not including reimbursement for Marriott personnel's travel, meal, and lodging expenses) generally will range from \$5,500 to \$15,000 if you are purchasing an existing Tribute Portfolio Hotel or converting a hotel that is currently managed by us or one of our affiliates into a franchised

Tribute Portfolio Hotel. For all other conversions we estimate that the cost of the support and training services will range from \$50,000 to \$175,000, depending on the size of the hotel, the length of time the hotel has been closed (due to renovations or otherwise), your experience and familiarity with the system, and the experience of the hotel staff.

In addition, if you desire to operate your hotel but we determine that you are not qualified to operate a system hotel without additional training, you must participate in the FITM program for open hotels (“FITM-R”), the cost of which is currently \$60,000 and must be paid when you execute the franchise agreement. If we determine that you are qualified to operate the hotel, but are unfamiliar with the system, we may require you to participate in the Above Property Immersion program (“API”), through which we provide several executive-level conference calls or webinars and virtual, self-paced training to familiarize your executive team with the system. You must pay our then-current API enrollment fee, presently \$15,000 for up to 4 participants at one time, when you execute the franchise agreement. Franchisees that participate in FITM-R or API must undergo one non-accountable audit. Franchisees that participate in FITM-R or API may also be required to participate in the Revenue Management Advisory Services program, the Customer Engagement Center Property Support Services program, the Digital Marketing program, and the sales programs we specify, at an additional cost. See Items 6 and 11 for more information regarding these programs. You may incur additional fees and costs or be required to retain a third-party management company if you do not complete these programs in the time frame specified by us.

The ranges above exclude, and you must pay for the cost of, travel, meal and lodging expenses incurred by you and your designated attendees to complete training programs that are not conducted on site, such as orientation, immersion training and FITM-R.

4. Fees for Other Services

A. Design and Construction Review Services

We will make our standard design and construction criteria available to you and conduct up to three hotel assessments at no cost to you to ensure that your hotel is constructed and designed in accordance with our standards. If we determine that additional pre-opening hotel assessments are necessary, you may be required to pay our then-current charge per hotel assessment, presently \$1,500. In addition, if your hotel includes a residential, condominium, or multi-family component, we will conduct up to two additional pre-opening project assessments, and you must pay our then-current charge per project assessment, presently \$1,500. These amounts are payable on demand and are not refundable.

You may request additional services from Marriott Design & Construction in connection with the design and construction of your hotel to assure compliance with our standards. Your use of these services is voluntary. The cost of these services varies depending on the services you request. In some cases, we may require you to execute a written agreement detailing the full scope of services to be performed and the related cost. We do not refund these fees.

We will make available to you a list of interior design firms recommended for your hotel. If you propose an interior design firm that is not on our list of recommended design firms, then we will require you to pay a \$2,500 fee to review your proposed design firm and its prior work experience on similar projects. We will consider up to two design firms. If we determine that your proposed firm does not possess similar experience or capabilities as those firms on our recommended list, we may still consent to your proposed firm, but we will charge an additional fee of \$50,000 for the additional time spent reviewing your plans and inspecting your hotel during the design and construction or conversion process.

In addition, we will conduct one pre-opening inspection of the hotel at our expense to verify that it complies with our then-current fire protection and life safety standards. If any additional assessments are required, you will be charged our then-current fees and charges. See Item 6.

B. Optional Purchasing and Supply Arrangements

As described in Items 1 and 8, you and other franchisees may voluntarily purchase various products and services under the arrangements negotiated by us and our subsidiaries. Marriott Design & Construction charges for its procurement services. In 2021, we expect our procurement charges for these services to be: (i) for furniture, fixtures, and equipment, the greater of \$3,500 or approximately 4.5% to 5% of the cost to us of the products and services provided; and (ii) for hotel opening operating supplies and equipment, the greater of \$10,000 or approximately 4.5% to 5% of the cost to us of the products and services provided. MIP Americas does not charge for its procurement services. Instead, MIP Americas retains a portion of rebates received in connection with your purchases to cover the costs of providing such procurement services. These amounts are not refundable.

C. Other Fees

Depending on the circumstances, certain of the fees discussed in Item 6 under the heading “Operations” may also apply to your hotel prior to opening. Such fees are noted with a statement in the “Remarks” column in Item 6.

NOTE:

We may consider exceptions to our standard application fees and other initial fees in certain circumstances. Factors that we may consider include: (i) market penetration opportunities, (ii) the location, (iii) the size of the hotel, (iv) the economic and financial environment, (v) the cost to the franchisee to complete the conversion of an existing hotel, (vi) whether our reducing a portion of the fee would aid in the successful development or conversion of the hotel, (vii) whether the franchisee is willing to commit to playing an active role in growing the system, and (viii) any other relevant factors. These factors also may be taken into consideration in determining the amount of any fees charged in connection with a residential, condominium, or multi-family project.

ITEM 6

OTHER FEES

UNLESS OTHERWISE NOTED, ALL PROGRAMS ARE MANDATORY, AND ALL FEES ARE MANDATORY, NON-REFUNDABLE, UNIFORMLY IMPOSED, PAYABLE ONLY TO US, AND IMPOSED AND COLLECTED BY US, AND ALL ARE SUBJECT TO CHANGE.

TYPE OF FEE	AMOUNT	DUE DATE*	REMARKS
General			
Franchise Fees ^{1,2,3}	5% of gross room sales	Payable by the 15 th day after the end of each month	This fee is as set forth in your franchise agreement.
Program Services Contribution ⁴	An amount equal to: 2.42% of gross room sales (which includes a contribution to the Marketing Fund of 1.5% of gross room sales); plus \$40,000 per year; plus \$450 per guestroom per year.	Payable by the 15 th day after the end of each month	The Program Services Contribution covers the cost of certain programs, systems, and services, as described in Note 4 below.
Sales & Marketing⁵			
Marriott Bonvoy ⁶	An amount equal to: 4.2% of qualifying revenue generated by customers earning loyalty points or miles; plus 1% of qualifying event revenue for select meetings or group events involving at least 10 guestrooms and select catering events arranged by meeting planners or other individuals earning loyalty points or miles, up to a maximum charge of \$300 per event	On demand	You may be required to offer additional services, amenities, and loyalty points to certain tiers of loyalty members staying at your hotel at your expense. The cost to purchase additional loyalty points currently ranges from \$2.75 to \$12.50 per 1,000 loyalty points, depending on the total quantity purchased.

TYPE OF FEE	AMOUNT	DUE DATE*	REMARKS
Revenue Management ⁷ - Revenue Management Advisory Services - Cluster Revenue Management	\$2,750 to \$7,875 per month, plus a one-time set-up fee that ranges from \$3,500 to \$5,000 Varies	On demand	Participation in one of our designated revenue management programs is generally optional, but may be required in certain circumstances, including if: (i) you do not have a revenue manager who has successfully completed our designated certification programs; (ii) you or your management company is new to Marriott (experience operating hotels under agreements signed with Starwood prior to the merger does not apply); or (iii) we require your participation in FITM, FITM-R, FOND, or API. If applicable, we generally require at least two years of participation in our revenue management programs. Add-on services are available at an additional cost.
Area Sales and Multi-Hotel Sales ⁸	Varies	On demand	Participation in these programs is optional, but must include participation in both Area Sales and Multi-Hotel Sales. You must execute a service agreement to participate in these programs.
Account Sales Group Lead	7% of gross group room revenue (reduced to 3% of gross group room revenue if an intermediary is involved in generating the lead). For purposes of calculating this fee, gross group room revenue is 90% of the total room revenue stated in the group's contract or letter of intent with the hotel. This fee will not exceed \$12,000 per booking (or \$30,000 per booking if the hotel is a convention/resort hotel)	On demand	Account Sales generates these business opportunities. Acceptance of the lead is voluntary. You only pay if you accept the lead and the group books at your hotel. We may refund Account Sales fees in limited circumstances, subject to the terms of our then-current refund policy.

TYPE OF FEE	AMOUNT	DUE DATE*	REMARKS
MI LEADS ⁹	6% of gross group room revenue and gross catering revenue. This charge will not exceed \$30,000 per booking.	On demand	Acceptance of the lead is voluntary. You only pay if you accept the lead and the group stays or holds a catered event at your hotel.
Business Transient (BT) Booking ¹⁰	\$119.42 to \$282.92 per month, depending on the number of guestroom nights that are centrally reserved for your hotel through the Area Sales and Multi-Hotel Sales organizations during the immediately preceding calendar year	On demand	Payable if your hotel does not participate in the Area Sales and Multi-Hotel Sales programs.
Customer Engagement Center (“CEC”) Property Support Services (“PSS”)	The cost of this program is allocated among participating hotels. In 2022, the fee is estimated to be as follows (subject to periodic true-ups as set forth in your CEC PSS Agreement): \$8.85 to \$9.30 per guestroom reserved for non-resort hotels; plus \$9.80 to \$10.30 per guestroom reserved for resort hotels (\$13.35 to \$14.00 per guestroom reserved for resort hotels requesting enhanced services from a specialized resort team, as provided in your CEC PSS Agreement); plus \$32.25 to \$33.85 per hour for other PSS.	On demand	This program allows hotels to transfer customer telephone calls and other communications to our CECs for processing. If you participate in CEC PSS, you must comply with our then-current call forwarding guidelines. You will be charged these amounts for all reservations processed by our CECs that were forwarded by the hotel. CEC PSS rates are adjusted periodically. Participation in this program is generally optional, but may be required in certain circumstances, including if you or your management company is new to Marriott. To participate, you must execute a CEC PSS Agreement (see Exhibit L).
National Group Sales and Marriott.com Lead Team Sales Group Lead	\$2.60 per room night booked	On demand	Acceptance of the lead is voluntary. You only pay if you accept the lead and the business opportunity books at your hotel. These fees may be refunded or adjusted for certain cancellations or modifications within designated periods. This fee applies to business opportunities for groups of 10 or more rooms, including single-

TYPE OF FEE	AMOUNT	DUE DATE*	REMARKS
- Catering Lead - Extended-Stay Lead	\$105 per catering opportunity booked \$2.60 per room night booked	On demand On demand	night and extended-stay business opportunities.
Group Demand Generation	\$1.00 per group room night booked	On demand	This charge applies to each reservation made utilizing a group intermediary, including reservations made through National Group Sales and the Global Sales Organization, and is in addition to the other fees described in this Item 6. Acceptance of the lead is voluntary. You only pay if you accept the lead and the group books at your hotel.
General Sales Agents Group Lead	\$2.50 per room night booked	On demand	This is a voluntary program and you only pay if you accept the lead and the business opportunity books at your hotel. This fee applies to business opportunities made by General Sales Agents for groups of 10 or more rooms in a single night. This fee may be refunded or adjusted for certain cancellations or modifications within designated periods.
Cooperative Advertising and Marketing Initiatives ¹¹	Varies	On demand	You must participate in the cooperative advertising programs and marketing initiatives designated by us.
Gift Cards ¹²	Varies	On demand	
Intermediary Payments and Centralized Travel Agent Commission ("CTAC") ¹³	Varies	On demand	This program facilitates the payment of commissions to intermediaries, such as travel agencies, travel management companies, online travel agencies, and group intermediaries. We may offer optional programs at an additional cost. You may be

TYPE OF FEE	AMOUNT	DUE DATE*	REMARKS
			required to “opt out” of certain optional programs if you do not wish to participate.
QuickGroup Online Booking ¹⁴	2% of gross group room revenue and function space revenue booked using QuickGroup (including revenue from select associated services, where applicable). No adjustments are made for changes after the initial booking.	On demand	Participation in QuickGroup with Sleeping Rooms is mandatory. Participation in QuickGroup with Event Space is presently optional.
Marriott Digital Services ¹⁵	Varies depending on the product or service selected	On demand	Marriott Digital Services offers a variety of marketing, digital, and ecommerce products and services to Company Brand Hotels. You must pay our then-current fees for the products and services that you select. Participation in this program is generally optional, but may be required in certain circumstances, including if you or your management company is new to Marriott.
Enhanced On-Platform Website Maintenance	\$75.00 per month	On demand	We will develop and maintain a standard (core) webpage for your hotel on our designated web platform at no cost to you. You will incur this charge if you request an optional enhanced (narrative) on-platform webpage for your hotel.
Transaction-Based Media ¹⁶	8% of applicable gross room revenues, not to exceed \$200 per stay	On demand	
Luminous	\$995	Annually	This optional, invitation-only program markets the hotel to participating luxury travel sellers and guests. You may be required to offer discounted stays and complementary services and amenities to Luminous members that stay at your hotel.

TYPE OF FEE	AMOUNT	DUE DATE*	REMARKS
The Tribute Portfolio Brand Directory Publication	Approximately \$3.50 per copy, plus shipping	As incurred	A hard copy publication to promote The Tribute Portfolio brand via destination-based marketing. It also serves as a printed hotel directory and branded takeaway amenity for guests.
Technology⁵			
LightSpeed Upgrades/ Training	\$15,000 to \$25,000, depending on the size of your hotel and its technology requirements	On demand	If additional training is needed in connection with an upgrade, you are responsible for the travel, meal, and lodging expenses of the training personnel.
Point-of-Sale (“POS”) System	\$9.64 to \$22.00 per month per POS workstation for software and support	On demand	You must use the Symphony POS system from Oracle, as described in Item 11. Optional add-on functions may be available at an additional cost.
EMPOWER: Guest Experiences Reservations Add-On License	\$493 per year per reservations agent at the hotel	On demand	These payments are made to us and remitted to the vendor on your behalf.
Email ¹⁷	Varies	On demand	
Off-Platform Website	\$100 to \$650 per month, depending on the size and complexity of the website	On demand	You may retain us to develop and maintain a custom, off-platform website for your hotel. This charge covers the ongoing cost to host and maintain the off-platform website. You must provide us with content for the website, at your expense. You are prohibited from maintaining any unauthorized off-platform website and will be charged \$100 per day such unauthorized website is live.
Credit Card Processing	\$0.047 per settlement transaction for credit card processing	On demand	

TYPE OF FEE	AMOUNT	DUE DATE*	REMARKS
Computer and Server Software Maintenance and Support	\$11.07 to \$27.00 per PC per month \$20.65 to \$71.50 per Apple computer per month \$24.35 to \$62.50 per server per month	On demand	These charges are for the support and maintenance of computers and servers that are on the Marriott network or that access certain Marriott applications.
Mobile Device Management	\$9.00 to \$10.00 per device per month	On demand	Mobile Device Management software is used to access Marriott email accounts and certain other Marriott applications on mobile devices.
Mobile Key	\$8 to \$11 per guestroom per year for software and support	On demand	Mobile Key software allows guests to unlock guestroom doors using our mobile application. We will remit the entire fee on your behalf to the Mobile Key vendor. Mobile Key software must reside on a dedicated server that meets the needs of the property, as specified by the lock vendor.
Digital Self-Service Kiosk	\$600 per device per year	On demand	This optional device allows guests to check-in digitally at the hotel without queuing at the front desk.
Interactive Voice Response	\$150 to \$1,000 per year	On demand	This optional program allows housekeeping associates to report guestroom defects to hotel engineers through guestroom telephones.
Marriott Environmental Sustainability Hub ("MESH")	\$305 per year, plus an implementation fee of \$59	On demand	MESH software tracks the hotel's utility consumption and spend.
Operations⁵			
Audit Program	The annual cost to participate in the Audit Program is covered by the Program Services Contribution.	On demand	The Audit Program evaluates the hotel's compliance with brand standards. The Program Services Contribution covers the annual cost to participate in the Audit Program. It does not cover the cost of re-audits, replacement audits, non-accountable audits, and any experiential audits, the cost of which will range from

TYPE OF FEE	AMOUNT	DUE DATE*	REMARKS
			\$1,350 to \$4,500 per audit. A re-audit is an unannounced audit conducted at hotels that: (i) have a Red Zone classification; or (ii) have caused us to reschedule a previously scheduled audit, including due to no-shows, cancellations, and audit refusals. Audits may be conducted, in whole or in part, at the hotel or virtually. If we conduct any portion of an audit or re-audit at the hotel, you must also provide the inspector(s) with complimentary lodging at the hotel, meals, incidentals, and other services required as part of the audit, plus costs that we incur in connection with any audits that are cancelled by you. We may change the frequency of audits.
Red Zone	\$2,750 for Red Zone 2 and each escalation in Red Zone status after Red Zone 2. There may be an additional charge of \$2,500 at Red Zone 3 or higher for an in-person or virtual meeting at the hotel if we deem it necessary or desirable.	On demand	Your hotel will be placed in a quality assurance “performance zone” each quality assurance tracking period. If your hotel falls into Red Zone 2 or higher in any quality assurance tracking period, you must participate in the additional sales and marketing programs and complete the supplemental training and action steps that we prescribe, at your expense. In addition, you must allow us to conduct additional on-site visits, at your expense. The cost of additional sales and marketing programs and supplemental training is described in Items 6 and 11.
Audit Program/ GSS Improvement Program	Our then-current fee, presently \$20,000 for up to 10 participants, plus \$10,000 for up to an additional 10 participants	On demand	You must participate in this program if 33% or more of the Company Brand Hotels operated by you, your affiliates, or your management company are placed in the Red Zone in any quality assurance tracking period.

TYPE OF FEE	AMOUNT	DUE DATE*	REMARKS
Guest Satisfaction Survey Data Manipulation Charge	Up to \$5,000 per quarter	On demand	This charge will apply if you interfere with the guest satisfaction survey program in any way.
Food Safety Re-Inspection	\$1,350 to \$1,500 per re-inspection	On demand	This fee is charged under the quality assurance program for each re-inspection of the hotel triggered by a failed food safety audit or failure to self-report the resolution of non-compliant food safety items. A hotel will undergo an unannounced re-inspection within 30 to 90 days after the last failed inspection until it receives a passing score.
Fire Protection and Life Safety Re-Inspection (Audit Program-related)	\$280 to \$700 per re-inspection	On demand	This fee is charged under the quality assurance program for each re-inspection of the hotel triggered by failure to self-report the resolution of non-compliant fire/life safety items during an audit or a re-inspection. A hotel will undergo an unannounced re-inspection within 30 to 90 days after the last failed inspection until it self-reports that the non-compliant items have been corrected within the required time frame.
Property Improvement Plan (“PIP”)	\$12,000	At time of request	This fee is charged if we issue a PIP for any reason, including: if you are converting an existing hotel (including another Company Brand Hotel) to a Tribute Portfolio Hotel; if you are transferring a Tribute Portfolio Hotel; or if you are converting a hotel that is currently managed by us or one of our affiliates to a franchised Tribute Portfolio Hotel. See Item 5.
PIP Revision or Modification	\$4,000 per revision or modification	On demand	This fee is charged if you request revisions or modifications to a PIP prior to its expiration.
Expired PIP Refresh	\$6,000 to refresh a PIP that is 12 months past its issuance date; \$12,000 to re-issue a	On demand	PIPs are effective for a period of 12 months after issuance.

TYPE OF FEE	AMOUNT	DUE DATE*	REMARKS
	PIP that is 24 months past its initial issuance date.		
Design & Construction Review Services	\$20,000	On demand	This fee is payable in connection with our review of your work to complete: a PIP if you are acquiring a Tribute Portfolio Hotel; a PIP if you are converting a hotel that is currently managed by us or one of our affiliates to a franchised Tribute Portfolio Hotel; or a periodic renovation of the hotel as required by the standards.
Interior Design Firm Screening and Coordination	\$2,500 per screen of interior design firm, plus \$30,000 to \$50,000 if you retain a non-recommended interior design firm	On demand	If, in connection with any PIP or renovation, you propose an interior design firm that is not on our list of recommended interior design firms, you must pay to us \$2,500 for an initial interior design firm screen. If we do not recommend your proposed firm, you may propose another firm and pay to us another \$2,500 fee for a second screen. If you retain an interior design firm that is not recommended by us, you must pay to us: (i) in connection with a soft goods renovation or PIP, \$30,000; or (ii) in connection with a case goods renovation or PIP, \$50,000.
PIP Non-Compliance Re-Inspection	\$10,000 per re-inspection	On demand	If your hotel is subject to a PIP, it will be inspected after the required PIP completion date to verify satisfactory completion of the PIP. If the PIP is not completed to our satisfaction at the time of the inspection, we will charge this fee for each non-compliance re-inspection we perform until the PIP work is completed to our satisfaction. You must also provide complimentary lodging at the hotel for the inspector performing any re-inspection.
Renovation Non-Compliance Re-Inspection	\$10,000 per re-inspection	On demand	Your hotel will receive communications about the scope of required periodic renovations,

TYPE OF FEE	AMOUNT	DUE DATE*	REMARKS
			and their due dates. Your hotel will be inspected after the required renovation completion date to verify satisfactory completion of the renovation. If a periodic renovation is not completed to our satisfaction, we will charge this fee for each non-compliance re-inspection we perform until the renovation work is completed to our satisfaction. You must also provide complimentary lodging at the hotel for the inspector performing any re-inspection.
Advisory Services	Varies	On demand	We will send qualified personnel to your hotel to assist you as we deem necessary or as agreed to by you and us. In addition, you must reimburse us for the travel, meal, lodging, and payroll expenses that we incur in providing advisory services.
Comfort Letter or Estoppel Processing Fee	\$2,500	On demand	We will waive this fee if you pay our outside counsel costs in connection with processing these requests
Prospectus Review	Varies	On demand	You may be required to pay our outside counsel costs in connection with the review of offering documentation for the sale or transfer of any ownership interest in you or your hotel.
Additional Design/Construction Review Services	Varies	On demand	If you request additional design/construction services, we will provide such services as agreed to by you and us.

TYPE OF FEE	AMOUNT	DUE DATE*	REMARKS
Fire Protection and Life Safety Plan Review, Inspection and Testing, and Compliance Audits	\$500 to \$19,500, based on the services rendered, the time needed for the testing and inspection, the size of your hotel, and the complexity of its design.	On demand	We may review plans, provide inspection and testing services, and conduct audits to ensure that any change affecting the hotel's fire protection and life-safety systems and features complies with our then-current standards. You must reimburse us for our travel, meal, and lodging expenses.
Post-Opening Authorization to Open ("ATO") Work Inspection	\$910 per day per inspector	On demand	This fee is payable if we must make additional inspections of your hotel after it opens to ensure you completed any additional work required in connection with the ATO. In addition, you will be required to pay the travel, meal, and lodging expenses of the inspector(s).
Expansion	\$400 per guestroom	With request for approval	You may not expand your hotel or add additional guestrooms without our approval. This fee, less a processing charge, is refundable only if the application is not approved.
Expansion Opening Authorization	\$3,500	On demand	This fee covers the costs associated with the expansion/additional guestrooms opening authorization process.
Post-Approval Owner Background Check	\$300 per entity/\$100 per person. If additional enhanced due diligence is required, the cost ranges from approximately \$400 to \$5,600 per background check, depending on the country involved and whether an entity or person is being checked. Expedited turnaround is available at an additional cost.	On demand	This fee will be charged to cover third-party costs we incur for background checks performed after approval of your application due to proposed ownership changes. This may apply to your hotel prior to its opening.

TYPE OF FEE	AMOUNT	DUE DATE*	REMARKS
Operator Screen	\$7,500	On demand	This fee is to defray our costs associated with our screen of a proposed operator, if we determine that a screen is necessary as part of the consent process, as well as to cover third-party costs we incur for background checks. This may apply to your hotel prior to its opening.
Management Company Transition Services	\$5,500	On demand	This fee covers the cost of support and training in connection with management company transitions. In addition, you must pay our outside counsel costs to document a management company transition, regardless of whether the transaction closes.
Temporary Closure and Re-Opening Support Services ¹⁸	\$0 to \$25,000, depending on the size and location of the hotel, the length of time the hotel is closed, and the level of support provided	On demand	You must obtain our written consent in connection with any temporary closure and re-opening of your hotel and comply with our standards relating to the same. This fee covers the cost of closing support, re-opening operations and sales support, and training that we will provide to you in connection with the required or authorized closure and subsequent re-opening of your hotel. A self-service temporary closure and re-opening support program may be available at no cost to you. You must reimburse us for the travel, meal, and lodging expenses that we incur to provide this service.
Destination and Resort Fees	Application fee of \$1,500 plus \$550 per year if your application to charge destination or resort fees is approved	On demand	You may not charge guests destination or resort fees without our prior approval. To charge such fees, you must be fully compliant with the franchise agreement and your hotel must meet our then-current qualification criteria (including exceeding the brand's average intent to recommend score and such other qualification criteria as we may establish). If we approve

TYPE OF FEE	AMOUNT	DUE DATE*	REMARKS
			your application, you must offer guests complimentary services and amenities with a retail value that is at least four times greater than the destination or resort fee charged. You may be prohibited from charging destination and resort fees to certain tiers of loyalty program rewards members that stay at your hotel. Our standards relating to destination and resort fees are subject to change. We may also discontinue the destination and resort fee program or withdraw our approval of the destination and resort fees charged by your hotel at any time.
Training and Conferences	Varies	On demand	See Items 5, 7, and 11.
Transfer ¹⁹	The greater of \$150,000 or \$500 per guestroom	Upon submission of application.	This fee is refundable, less \$10,000, if we do not approve the application. This may apply to your hotel prior to its opening.
Liquidated Damages ²⁰	Varies, based on a formula	On demand	Payable if termination of the franchise agreement was due to your default. This may apply to your hotel prior to its opening.
Indemnification	Varies	On demand	You must defend and hold us harmless against all claims and reimburse us for all damages and attorneys' fees resulting from the development, construction, and operation of your hotel, or resulting from the misuse of our marks or violation of any applicable law.
Removal of Hotel from System	\$25,000	On demand	This fee is charged to a hotel leaving the system to defray our costs associated with de-flagging the hotel.
Construction/Conversion Extension	\$10,000	With request for extension	This fee is refundable if the extension is not granted. This may apply to your hotel prior to its opening.

TYPE OF FEE	AMOUNT	DUE DATE*	REMARKS
Other Company Brand Conversion Authorization	Varies	On demand	When you convert to a Tribute Portfolio Hotel from another Company Brand Hotel you will be charged the pre-opening fees described in Item 5 as if you were opening a new hotel, except, if the hotel already has the required systems in place, you will not be charged to reinstall such systems. These fees are in addition to the PIP Fee referenced above. These fees cover the costs of training your staff and providing services to you in connection with the conversion and re-opening of the hotel as a Tribute Portfolio Hotel.
Global Recipe Database Support	\$1.00 per guestroom per year (not to exceed \$800 per year)	On demand	This program is optional. If you participate, you must purchase a license for the Global Recipe Database directly from our designated vendor.
Web-Based Menu Hosting	\$625 per year	On demand	This program is optional and allows web-based hosting of menu templates and content. There is an additional one-time configuration fee of \$1,250 to \$1,450, depending on hotel size. Costs may vary based on the actual charges from the vendor managing the website.
Best Rate Guarantee Non-Compliance	\$50 to \$500 per violation (based on the number of violations each month)	On demand	The Best Rate Guarantee Non-Compliance charge is subject to change. In addition to paying the charge, you must reimburse us for all costs we incur in connection with your non-compliance. See Item 16.
Customer Issue Resolution	\$55 per customer complaint or other customer service issue handled by us, and reimbursement of all costs incurred by us to resolve a matter (including compensation paid by us to a guest)	On demand	These charges apply if you fail to respond to a complaint within the time frame specified by our standards (currently 72 hours) and our CEC responds to the matter, or if a complaint or other customer service issue is otherwise referred to us for resolution.

TYPE OF FEE	AMOUNT	DUE DATE*	REMARKS
Miscellaneous⁵			
Accounting Audit	The amount of the underpayment plus interest if an audit reveals an underpayment	On demand	If an audit reveals an underpayment of 5% or more, or if an audit reveals that accounting procedures are insufficient to accurately determine payments due, then you must reimburse us for all costs in connection with the audit.
Interest on Overdue Amounts	Lesser of 18% per year or maximum interest rate permitted by law	On demand	Interest accrues from the due date until the overdue amount is paid.
Costs and Attorneys' Fees	Varies	On demand	Payable to us if you do not comply with the franchise agreement or related agreements.
mCredit Customer Credit Reference Reports	\$12 per report	On demand	mCredit is an optional credit reference tool that provides payment history on corporate customers who have been direct-billed for meetings and events.
American Hotel and Lodging Association (AH&LA) ²¹	\$4.50 per guestroom per year	On demand	This is an optional membership in AH&LA, which provides advocacy, industry communications, and professional education.
Franchisee Associate Job Postings	\$135 per Marriott.com job posting, or \$145 per CareerBuilder.com job posting	On demand	This is an optional service.
GM Awards	\$300 to \$1,500 per hotel per year	On demand	This charge is for the annual global general managers awards. It is charged to all hotels open for the full year for which the awards are given.
Franchise Operations Support Resources	Varies; approximately \$400 to \$1,500 per day per employee, depending on the experience and area of expertise of the employee	On demand	This is an optional service. Upon your request we will provide to your hotel, on a temporary basis, operations personnel who are part of a "task force" to assist with vacancies or short-term staffing needs. You must execute a service agreement to use this service (see Exhibit L).

TYPE OF FEE	AMOUNT	DUE DATE*	REMARKS
Pure Grey Licensing and Consulting Services	Approximately \$25,000 to \$75,000 per year	On demand	Pure Grey licenses restaurant concepts and provides food and beverage consulting services to Company Brand Hotels on an optional basis. The services offered by Pure Grey include bespoke concept development, branded concept implementation, brand positioning, and market research. Depending on the nature and scope of the services you request, your costs may exceed these estimates.
Residential, Condominium, or Multi-Family Component Fees²² (Applicable only if you operate a residential, condominium, or multi-family component in conjunction with your Tribute Portfolio Hotel)			
Residential Marketing License Fee	<u>For a Residential or Condominium Component:</u> 4% of the total gross sales price for each unit <u>For a Multi-Family Component:</u> 3% to 4% of gross monthly rentals	Payable in full upon closing the sale of the unit	
Trademark License Fee	\$1,000 per unit per year	On demand	This fee does not apply to a multi-family component.
EMPOWER Guest Experiences (“GxP”) – Support	\$980 per year	On demand	GxP support payments are made to us and remitted to the vendor on your behalf.
Residential Brand Standard Audit and Re-audit	Approximately \$250 to \$1,500 per audit and re-audit	On demand	You must participate in our residential quality assurance program, which assesses compliance with the standards. If you fail an audit, we may conduct a re-audit. You must provide the inspector(s) with complimentary lodging at the hotel, meals, incidentals and other services as part of any audit or re-audit, plus any costs that we incur in connection with audits that are cancelled by you.

TYPE OF FEE	AMOUNT	DUE DATE*	REMARKS
Owner Engagement Survey	\$35 per unit	On demand	You must participate in our annual residential customer satisfaction feedback process.
Annual Residential Project Assessment	\$1,500 per visit	On demand	This fee will apply in connection with each annual project assessment by one of our regional residential team members.
Residential Renovation Review	\$3,000 to \$7,500	On demand	This fee will apply in connection with any renovation of all or a portion of the common areas. The cost will vary depending on the scope of the project.
Document Review	Varies	On demand	You will be required to pay our outside counsel costs in connection with the review of documentation relating to the residential, condominium, or multi-family component at your hotel.
Trademark Non-Compliance	\$10,000 for the 1 st default, \$20,000 for the 2 nd default, \$30,000 for the 3 rd and subsequent defaults resulting from your misuse of our trademarks	On demand	This fee applies if you fail to comply with our standards relating to the use of our trademarks under any residential trademark license agreement or residential marketing license agreement, and these charges are in addition to any other rights or remedies that we may have under these agreements or applicable law.
Residential Operations Regional and Global Leadership Conference	Regional Meeting \$1,500 registration fee plus all travel related expenses Global Conference \$3,400 registration fee plus all travel related expenses	On demand	On alternating years, Regional Meetings and Global Leadership conferences are held to educate and inform property leaders on new brand standards, company initiatives, and residential specific management tools, techniques, and resources. Properties are required to send at least one individual to attend these training meetings.
Training	Varies	On demand	See Item 11.

NOTES:

- * We will require franchisees to submit payments due to us, our affiliates, and certain approved vendors such as travel intermediaries via ACH (Automated Clearing House) bank transfer or other methods of electronic funds transfer. You must designate an account from which funds will be collected, sign any documents necessary to implement these methods of payment, and ensure that there are adequate funds in the designated bank account to timely pay the amounts owed. A copy of our current Electronic Funds Transfer Authorization Form is attached at Exhibit H. We may also establish a centralized payment processing program through which we will collect payments directly from customers of your hotel and remit the payments to you net of amounts owed to us (including the fees described in this Item 6). There may be payment processing fees, remittance fees, and other costs associated with these methods of payment.

General:

- ¹ “Gross room sales” means all revenues and receipts of every kind that accrue from the rental of guestrooms (with no reduction for charge backs, credit card service charges, or uncollectible amounts). Gross room sales *includes*: (i) no-show revenue, early departure fees, late check-out fees, fees for changes to reservations, and other revenues allocable to rooms revenue under the Uniform System of Accounting for the Lodging Industry, Eleventh Revised Edition, 2014, as published by the Hospitality Financial and Technology Professionals, or any later edition, revision, or replacement that we designate (the “Uniform System”); (ii) resort fees, destination fees, and mandatory surcharges for facilities (although inclusion of such fees or surcharges does not constitute approval by us of such fees and surcharges, which may be limited or prohibited); (iii) fees for changes to reservations and attrition or cancellation fees collected from unfulfilled reservations for guestrooms; (iv) the amount of all lost sales due to the non-availability of guestrooms in connection with a casualty event, whether or not you receive business interruption insurance proceeds; and (v) any awards, judgments, or settlements representing payment for loss of room sales. Gross room sales *excludes* sales tax, value added tax, or similar taxes on such revenues and receipts. You must account for gross room sales on an accrual basis.
- ² If you are converting a hotel, either one that you currently own or one you are acquiring from a third party, to a Tribute Portfolio Hotel franchise and that hotel is currently managed by us or one of our affiliates, then we may require payment of additional fees in connection with such conversion based on amounts that otherwise would have been payable to us or one of our affiliates under the management agreement that is being terminated, including any incentive management fees or termination fees. In addition to these fees, you may be required to assume ancillary agreements related to the hotel.
- ³ In certain circumstances, we may consider reducing our monthly franchise fees to less than the standard amount, with the reduction typically decreasing over time and applying only in the first few years. If the monthly franchise fees are less than the standard amount, we may also adjust the term of your franchise agreement. In deciding whether to make such changes, we will consider, among other factors: (i) market penetration opportunities; (ii) the location and size of the hotel; (iii) the economic and financial environment; (iv) the cost to the franchisee to complete the conversion of an existing hotel; (v) whether our reducing a portion of the fees would aid in the successful development or conversion of the hotel; (vi) whether the franchisee is willing to commit to playing an active role in growing the system; and (vii) other relevant factors pertinent to the project and the system.
- ⁴ We have established a program services contribution to cover the cost of certain programs, systems, and services (“Program Services Contribution”), including: (a) advertising, consumer and brand marketing, promotion programs and related research that are funded through the Marketing Fund described in Item 11; (b) a reservation system; (c) the ongoing cost of certain electronic systems, including rooms and event space inventory and yield management systems, our support of a property management system, our support of a point-of-sale system, our support of a guest feedback tracking and management system, digital guest services, an electronic customer folio delivery system, a virtual private network, provision of a limited number of hotel-based Marriott.com email addresses, an intranet website supplying information such as standards and quality assurance information, our support of encrypted payment processing, a meeting

services application, and a web-based tool that generates discount forms and cards for associates; (d) a guest satisfaction survey system, an event planner satisfaction survey system, and an annual audit under the Audit Program (but not any re-audits or other audits); and (e) a centralized travel agent commission processing program.

Except as designated by us, the Program Services Contribution does not cover costs, expenses or fees for any other programs, systems, or services, including, without limitation: (i) the purchase or installation of, or training for, systems for your hotel (including new or replacement systems); (ii) revenue management services; (iii) technology and systems security; (iv) hotel employee training; or (v) residential licensing. Costs paid by the Program Services Contribution include our costs of development, maintenance and support, management, oversight, administration, salaries, and overhead (including collection and accounting). If we provide capital for a project to change or develop new systems covered by the Program Services Contribution, we may recover the capital invested as well as costs incurred by us to finance such invested capital. We may spend all of the contributions in the year collected or carry forward excess contributions into future years. If expenditures exceed amounts collected, we may make loans to cover the shortfalls (and may treat each loan (and any interest charged thereon) as a receivable to be repaid in subsequent periods). The Program Services Contribution may be combined with the program services contributions for one or more other Company Brands, and all franchisees may not benefit on the same basis from Program Services Contributions. The Program Services Contribution may be merged, modified, or discontinued at any time. We may change the Program Services Contribution amount or the costs covered by the Program Services Contribution at any time. We are not the trustee of, and have no fiduciary duty to you for, the Program Services Contribution.

If your hotel (a) has more than 600 guestrooms and greater than 40,000 square feet of meeting space and is designated as a convention hotel in our Convention & Resort Network (Americas) (“CRN”), or (b) has more than 350 guestrooms and greater than 20,000 square feet of meeting space and is designated as a resort hotel in our CRN, your Program Services Contribution will be an amount equal to: (i) 2.32% of gross room sales (which includes a contribution to the Marketing Fund of 1.5% of gross room sales); plus (ii) \$45,000 per year; plus (iii) \$480 per guestroom per year.

- ⁵ We may change our systems, such as our reservation, yield management, sales, marketing, and technology systems, and add or subtract training and other programs at any time. You must fully participate in these changed or new systems or programs. You must pay the charges and fees for these changed or new systems or programs, which may include one-time implementation charges, and license fees and ongoing maintenance and support charges payable to third-party vendors. These costs may not be covered by the Program Services Contribution. If we provide capital for a project to change or develop new systems related to the operation of the hotel, we will be entitled to recover the capital invested as well as costs incurred by us to finance such invested capital.

Sales & Marketing:

- ⁶ Marriott Bonvoy is the loyalty, cross-brand innovation, and global marketing program affiliated with certain Company Brands and such other brands as we may designate. Guests who redeem loyalty points at your hotel trigger a limited reimbursement to you from the loyalty program. Loyalty members can earn and redeem loyalty points at a variety of establishments in addition to Company Brand Hotels. Loyalty members can also earn and redeem loyalty points on a variety of purchases in addition to purchases at Company Brand Hotels. We may derive revenue as a result of Bonvoy’s partnerships with other companies and brands. You must honor all program rules and policies at your expense, including policies relating to member benefits (such as welcome gifts, complementary room nights, and other services), mandatory marketing programs and promotional initiatives. We reserve the right to change the program, the costs, the redemption reimbursement amounts, and the calculation factors at any time.

You are required to participate in any other guest loyalty program or special marketing program we create for Company Brand Hotels (or any subset thereof applicable to your hotel system) and honor all program rules and policies.

⁷ Revenue Management Advisory Services and Cluster Revenue Management provide analysis and advice concerning pricing and market position of the hotel. Under both programs, you determine the price or rate charged by the hotel for guestrooms, meeting space, and other services. Any recommendations or suggestions made concerning the price or rate you charge are advisory in nature and not mandatory.

Revenue Management Advisory Services offers services designed to develop a long-term focus on implementing pricing strategies with the participating hotel and provides associated support to implement such strategies. It also includes group and transient pricing and forecasting. Optional services, such as customized training, topline performance reviews, systems audits, weekend coverage, and tier analysis are available at an additional cost.

The costs of Cluster Revenue Management are shared by the hotels choosing to participate in the cluster and are based on average time spent on each revenue management function (market strategy/leadership, rooms inventory management, and analysis), for each kind or classification of hotel in the cluster. Depending on your location, a cluster for Revenue Management may not be available for your hotel.

If you choose to retain a revenue manager, the revenue manager must be certified by us within 90 days of hire or, if already employed by your organization, within 90 days of the date the revenue manager commences providing revenue management services to the hotel. Revenue managers must: (i) generally provide revenue management services to no more than 20 Company Brand Hotels; (ii) meet our then-current qualification criteria and complete all required revenue management training courses to our satisfaction; and (iii) have authorized access to our reservation system and the other systems and software necessary to perform revenue management functions.

To participate, you must execute the Revenue Management Advisory Services Agreement (see Exhibit L). Optional services, such as One Yield Premium Shops (I and II) may be available at an additional cost.

⁸ There are eight markets located within the continental United States and Canada, each represented by an Area Sales team and a Multi-Hotel Sales team. The cost to operate a Multi-Hotel Sales team is allocated among participating hotels in that particular market. Each hotel's allocation may vary significantly depending on a number of relevant factors, including property size (including meeting space and the number of guestrooms at the hotel) and the amount of revenue booked through the Multi-Hotel Sales team for the hotel and the other hotels participating in Multi-Hotel Sales in the market and the cost incurred to operate the Multi-Hotel Sales team. We estimate that the cost to participate in Multi-Hotel Sales will range from \$10,000 to \$350,000 per year. The cost to operate an Area Sales team is allocated among participating hotels in that particular market and each hotel's allocation may vary significantly depending on the number of guestrooms at the hotel. We estimate that the cost for a hotel to participate in Area Sales will range from \$10,000 to \$175,000 per year. To participate in Area Sales and Multi-Hotel Sales, you must execute an Area Sales and Multi-Hotel Sales Service Agreement (see Exhibit L). Optional services such as lead management are available at an additional cost.

⁹ MI LEADS provides hotels with an opportunity to cross sell and accept leads from customer accounts that are not already deployed to Marriott sales managers (through GSO or otherwise), on the then-current MI LEADS terms and conditions.

¹⁰ The BT Booking charge varies according to the number of BT guestroom nights that are centrally reserved for your hotel by the Account Sales and Multi-Hotel Sales organizations during the immediately preceding calendar year as follows:

BT Room Nights Reserved During the Immediately Preceding Calendar Year	Monthly BT Booking Charge*
0 - 400	\$119.42
401 - 1,300	\$200.67
1,301 +	\$282.92

* The BT Booking charge for new-to-system hotels will be \$119.42 per month during the first calendar year of operations.

- 11 We allocate the costs of these cooperatives, initiatives, and related services among participating hotels. The costs for national, local, or regional advertising cooperatives and marketing initiatives or services vary depending on the services performed, the size of the campaign(s), the development costs of the programs, and the number of participating hotels. Cost allocations may be based on criteria such as the number and size of hotels participating, the hotel's revenue, room count, and the revenue produced by the campaign. Cost allocations may also be based on a flat percentage charge to each hotel participating in certain initiatives. We reserve the right to change our cost allocation methodologies at any time.

If you meet the requirements to, and elect to, join our Convention & Resort Network (Americas), the cost of participation is based on budgeted group room revenue at participating hotels. Our Convention & Resort Network (Americas) engages in various marketing and sales initiatives targeted at current and potential group customers who book large groups at participating hotels. In calendar year 2022, the cost to participate in the Convention & Resort Network (Americas) is anticipated to be 0.129% of the hotel's budgeted group room revenue.

- 12 Our gift card program presently consists of certain prepaid products (including gift cards, gift certificates, and travel cards). Hotel-specific gift cards are also available on an optional basis at a cost ranging from \$0.77 to \$6.41 per gift card. The redemption of these products at your hotel triggers a reimbursement to your hotel and a related charge of up to 10% of the amount tendered (although most products carry a 1% charge) used to offset the cost of the program. Your hotel must honor all gift card program rules and policies. We reserve the right to change the program, the costs, the redemption reimbursement amounts, and the calculation factors at any time.

- 13 The Centralized Travel Agent Commission processing program ("CTAC") is a program through which we (i) facilitate the payment of commissions on your behalf to intermediaries (including travel agencies, travel management companies ("TMCs"), group intermediaries, online travel agencies, and other similar entities) that book reservations at your hotel after collecting the commissions and charges from you; (ii) handle commission inquiries from intermediaries made after booking; and (iii) conduct training and incentive programs for intermediaries. We may collect the amounts payable to intermediaries via ACH or other means of electronic funds transfer. We have no obligation to pay the intermediaries on your behalf unless and until we have received payment from you. Your designated on-property CTAC user must review and respond to commission claims raised by intermediaries and Marriott in the manner and within the time frames we specify. Failure to pay commissions and related fees and charges as and when due may result in the loss of access to these distribution channels.

The Program Services Contribution covers certain of our fees and charges to administer CTAC. It does not cover the cost of commissions paid to intermediaries. In addition, you must, at your expense:

- (1) participate in our Preferred Travel Agency program, the cost of which is 10% of qualifying room revenue;
- (2) participate in our Group Intermediary Commissions program, through which we facilitate the payment of group intermediary commissions at a maximum rate of 7% of qualifying room revenue. We will not facilitate the payment of commissions to group intermediaries on your behalf: (a) for ancillary items (food and beverage, audio/visual rental, etc.); (b) to group intermediaries that do not have industry accreditation (such as IATA, IATAN, TIDS, ARC, or CLIA accreditation); or (c) to end-user accounts. You are prohibited from paying a group intermediary commission in excess of the amount set forth in our

standards, currently 7%. You must pay our then-current fee for violating this policy, presently \$0 for the first violation, \$1,500 for the second violation, and the greater of \$2,500 or 10% of gross group room revenue (not to exceed \$7,500) per violation for the third and subsequent violations of this policy;

(3) offer inventory through any online reservation and distribution channels we may now or in the future designate (which may be managed by us, our affiliates, or third parties). In addition, you must pay to our designated online reservation and distribution channels commissions generally ranging from 7% to 10% of qualifying gross room sales and gross group room sales, as applicable, using CTAC.

The following programs are optional under CTAC:

(1) OTA Program: This program facilitates the payment of commissions to certain online travel agencies when such travel agencies are the merchants of record in connection with bookings at your hotel at an average rate of approximately 10% to 12.5% of qualified room revenue. See Item 16 for certain conditions and restrictions on our OTA Program; and

(2) TMC/Consortia Program: This program drives incremental business to hotels by using “Preference Payments” to obtain the highest levels of preference at the lowest possible cost. If you participate in the program, you must pay a Preference Payment ranging from 0.1% to 5.0% of booked rooms revenues for every eligible guestroom night generated by the participating TMC or consortia. We may offer optional add-on services to the TMC/Consortia Program at an additional cost.

The arrangements described in this Note 13 are of a limited duration and may be renegotiated periodically.

14 QuickGroup is an online booking tool that allows customers to check rates and availability and to book group rooms for 10 to 25 guestrooms (with a maximum stay of seven nights) and event space for up to 50 people. Customers search Marriott.com for a hotel and rate, complete an online form, and agree to the terms of an online contract to complete the booking.

15 In addition to the Digital Marketing program, you have the option to participate in email marketing programs and campaigns. Email marketing programs may range in cost from \$250 for an email template to \$26,000 for a comprehensive email marketing campaign.

16 Through the Transaction-Based Media Program, we develop advertising materials and pay third parties to place listings and paid ads in search engines (such as Google, Yahoo, and Bing), through advertising networks and direct referral partners (such as TripAdvisor, Google Hotel Ads, Trivago, Kayak, and Facebook), and through third-party websites that feature links to Company Brand websites. When a consumer clicks on a Transaction-Based Media Program listing or ad, they are referred to a Company Brand website to make a direct booking. Hotels will incur a fee if the referral results in a qualified stay. Hotels are not charged on special corporate or group room rates. Optional add-on services are available at an additional cost.

Technology:

17 All hotels must have at least one hotel-based Marriott.com email address following the ‘Brand Initial’. ‘MARSHA code’.GM@marriott.com naming convention. You must comply with this standard by using either (i) the franchise email solution with full Microsoft Outlook functionality and a 1 GB mailbox for \$6.57 to \$8.21 per month per email address, (ii) the eMail Lite Service, which provides a 2 GB mailbox hosted on Marriott infrastructure with limited web-enabled features for \$5.12 to \$6.40 per month per email address, or (iii) the Email Forwarding-Only Option, which forwards email from the hotel-based email address to the franchise management company’s non-consumer-based email address. The Program Services Contribution covers the cost of up to seven email addresses. Optional enhanced email accounts are available at a cost of \$8.82 to \$11.03 per month per email address.

Operations:

- 18 The program consists of support and guidance in closing the hotel, removing hotel inventory from various distribution channels, and notifying hotel guests of the intended closure. We will also provide re-opening operations support, sales support, and training in connection with the re-opening of the hotel. You must pay our then-current fees for support and training. Currently, the cost of such support and training is \$983 per day for opening manager support, \$983 per day for sales manager support, and \$725 per day per trainer for systems, operations, and food and beverage training.
- 19 If we engage outside counsel in connection with a transfer (including in circumstances in which there is a transfer of less than a controlling interest and no transfer fee is charged), you must also pay our outside counsel costs, whether the transaction closes or not.
- 20 This amount will vary depending on the circumstances surrounding the termination of your franchise agreement (see Section 19.4 of the franchise agreement).

Miscellaneous:

- 21 Membership in AH&LA is optional, but you must opt out if you do not want to participate. This fee is paid to us and we remit the entire fee on your behalf to AH&LA.

Residences (if applicable):

- 22 If your hotel includes residential, condominium, or multi-family units that participate in a rental program, the terms “guestroom” or “room” as used in this Item 6 will include such units.

In certain circumstances, we may consider reducing these fees to less than the standard amount. In deciding whether to make such changes, we will consider, among other factors: (i) market penetration opportunities; (ii) the location; (iii) the size of the hotel project; (iv) the economic and financial environment; (v) whether our reducing a portion of the fees would aid in the successful development or conversion of the hotel; (vi) whether the franchisee is willing to commit to playing an active role in growing the system; and (vii) any other relevant factors.

ITEM 7

ESTIMATED INITIAL INVESTMENT

YOUR ESTIMATED INITIAL INVESTMENT

TYPE OF EXPENDITURE	AMOUNT FOR A 200-GUESTROOM HOTEL	METHOD OF PAYMENT	WHEN DUE	TO WHOM PAYMENT IS TO BE MADE
Initial Franchise Application Fee ¹	\$100,000	Lump sum	Generally due with the franchise application	Marriott
Pre-Opening Training, Revenue Management, Marketing & Digital Support, and Related Services ²	\$75,250 - \$152,250	Lump sum	On demand	Marriott
Property Management System, Reservation System, Yield Management System, and Sales and Catering System ³	\$133,000 - \$225,000	As arranged by you/lump sum	As arranged by you/on demand	Suppliers/ Marriott
Other Systems and Training ⁴	\$42,000 - \$135,000	As arranged by you/lump sum	As arranged by you/on demand	Suppliers/ Marriott
Market Feasibility Study ⁵	\$15,000 - \$25,000	As arranged by you	As arranged by you	Suppliers
Independent Hotel Brand Assessment and Implementation ⁶	\$45,000 - \$90,000	As arranged by you/lump sum	As arranged by you/on demand	Contractors/ Suppliers/ Marriott
Real Estate ⁷	Not determinable because of variables	As arranged by you	As arranged by you	Seller or Lessor
Building Permit, Tap, and Impact Fees ⁸	Not determinable because of variables	As arranged by you	As arranged by you	Local Government
Building Construction ⁸	\$181,000 - \$301,700 per guestroom	As arranged by you	As arranged by you	Contractors and Suppliers
Kitchen and Laundry Equipment ⁹	\$8,500 - \$10,900 per guestroom	As arranged by you	As arranged by you	Suppliers

TYPE OF EXPENDITURE	AMOUNT FOR A 200-GUESTROOM HOTEL	METHOD OF PAYMENT	WHEN DUE	TO WHOM PAYMENT IS TO BE MADE
Furniture and Fixtures ¹⁰	\$21,400 - \$27,400 per guestroom	As arranged by you	As arranged by you	Suppliers
Technology Hardware & Software and Network Infrastructure ¹¹	\$3,300 - \$11,200 per guestroom	As arranged by you	As arranged by you	Suppliers
Operating Supplies ¹²	\$4,700 - \$6,000 per guestroom, plus \$42,600 to \$54,400 per hotel	As arranged by you	As arranged by you	Suppliers
Professional Design Services ¹³	\$9,100 - \$15,100 per guestroom	As arranged by you	As arranged by you	Architects/ Suppliers/ Marriott
Insurance ¹⁴	Varies	As arranged by you	As arranged by you – must be effective before start of construction	Insurance Company
Start-Up Costs ¹⁵	\$4,800 - \$7,500 per guestroom	As arranged by you	As arranged by you	Suppliers and Employees
Hard Cost Contingency (10% of hard costs) ¹⁶	Not determinable because of variables	As arranged by you	As arranged by you	Contractors and Suppliers
Food Safety and Sanitation Compliance ¹⁷	\$490 (assuming 7 people at \$70 per kitchen manager and engineering leader with responsibility for kitchen equipment)	As arranged by you	As arranged by you	Training and Certification Vendors
Opening Advertising ¹⁸	\$130,000 - \$240,000	As arranged by you	As arranged by you	Suppliers
Additional Funds (first 3 months) ¹⁹	\$3,500 - \$8,000 per guestroom	As arranged by you	As arranged by you/on demand	Suppliers/ Employees/ Marriott
Total Range (excludes costs identified as not determinable)	\$47,843,340 – \$78,582,140			

We based these cost estimates on a typical, newly-constructed suburban hotel with the stated number of guestrooms. The number of guestrooms and size of your facilities will directly affect your initial investment. Costs may be higher for hotels located in urban or resort markets. Costs will also be higher for hotels with a residential, condominium, or multi-family component. These estimates are based on our experience and the experience of our subsidiaries as franchisors, owners, or operators of hotels. We make no representations that your costs will come within the ranges estimated and cannot guarantee that you will not incur additional opening costs. Your actual costs will depend on factors such as: regional conditions, the time of year, your management skills, experience and business acumen, local economic conditions, prevailing wage rates, federal, state and local laws and regulations, and competition. You should review these estimates carefully with your business and legal advisors before making any decision to purchase this franchise. The above information is for new-build hotels only. The costs for converting a property to a Tribute Portfolio Hotel, or for adding a residential, condominium, or multi-family component to a Tribute Portfolio Hotel, or in connection with acquiring an existing Tribute Portfolio Hotel may be significantly different based on the condition, location, and configuration of the existing hotel and property, and the cost to comply with the then-current standards and a property improvement plan. We are not able to give you a meaningful estimate of such costs. See also Items 5 and 6 for certain costs and fees that are applicable only when converting a property to a Tribute Portfolio Hotel, or when acquiring an existing Tribute Portfolio Hotel, or when adding a residential, condominium, or multi-family component to a Tribute Portfolio Hotel.

All payments to Marriott are non-refundable except for the initial franchise application fee which, as described in Item 5, is refundable in part if we do not approve your application. Payments made to other parties may or may not be refundable based upon your agreements with them.

Except as described in Item 10, we generally do not finance any part of this initial investment.

NOTES:

- ¹ The initial franchise application fee is described in Item 5.
- ² This estimate includes initial costs for: (a) hourly, supervisory, and management training before and during opening or conversion (except for computer system training costs described in footnotes 3 and 4); (b) pre-opening revenue management support and training; (c) certain pre-opening marketing assistance; and (d) additional charges associated with the opening authorization process. See Items 5 and 11 for further details.
- ³ This estimate includes initial costs for our proprietary property management system and the designated reservation, sales and catering, and yield management systems, as described in Item 11. This estimate does not include the cost of above-property management systems such as engineering systems, human resource systems and equipment, or back office accounting equipment that can be utilized in the management of multiple hotels. If your hotel exceeds 300 guestrooms, you may be required to install additional or different computer systems at an additional cost. The current designated property management system may be replaced with another property management system to be designated by us. The cost to implement a new or replacement property management system is not yet known. It may meet or exceed the cost to implement the currently designated property management system.
- ⁴ This estimate includes hardware, software, installation, and training for the Symphony POS system from Oracle, GxP, and a computer kiosk, as described in Item 11. This estimate does not include the cost of above-property management systems such as engineering systems, HR systems and equipment, or back office accounting equipment that can be utilized in the management of multiple hotels.

- ⁵ This estimate is for a market feasibility study by an independent, third-party consultant, and you must also pay any travel or living expenses incurred. If your hotel includes a residential, condominium, or multi-family component, you will also be required to obtain a residential market feasibility study. We estimate the additional cost to be approximately \$10,000 to \$20,000, and you must also pay any travel or living expenses incurred.
- ⁶ We may conduct an Independent Hotel Brand Assessment to determine the hotel branding and guest experience improvements necessary to affiliate the hotel with Tribute Portfolio. This estimate includes the costs of conducting the Independent Hotel Brand Assessment, the fee for which will not exceed \$5,000. The hotel may be required to retain the services of an approved professional branding consultant to fully develop and execute the hotel branding. You may also be required to retain a professional food and beverage consultant to help define the food and beverage concepts and to determine the most appropriate operations solutions. We have developed and will provide a list of recommended branding agencies, interior design firms, and food and beverage consultants for specific geographic regions. You are required to select from our list of recommended firms; however, in certain circumstances, we will consider agencies not on such list. If you select a firm that is not on our recommended list, we may require you to cover the costs associated with our engagement, guidance, and review of the implementation of the hotel branding and guest experience work, interior design, and food and beverage concepts.
- ⁷ We do not estimate the cost of real estate or site work because of wide variations among geographic areas and sites. The size of the site for a typical 200-guestroom Tribute Portfolio Hotel varies from 3.5 to 10 acres, depending on the property location and number of floors in your hotel. The building size can vary from 115,000 to 147,000 square feet or more for Tribute Portfolio Hotels. We also do not estimate the size and cost of additional space that may be required at resort properties for spa and other recreational facilities.
- ⁸ This estimate is for the total cost to construct a typical, new-build Tribute Portfolio Hotel with 200 guestrooms located in a suburban area. This estimate is stated on a per-guestroom basis and includes site work, project management fees, and the cost of exterior signs (but not graphics). Parking is assumed to be on-grade and estimates for special foundations for earthquake requirements are not included. This estimate does not include building permit fees, tap fees, or impact fees, which are charged by local government authorities and will therefore vary. You should check with the local government authorities that have jurisdiction over your hotel to determine if there are any such fees and, if so, how these fees are calculated and the amount to be charged to your hotel project. Building construction costs vary greatly from state to state and region to region, depending upon materials, labor costs, and other variables such as architectural design and façade treatments. This estimate will increase if your hotel has more than the stated number of guestrooms or if there are any unusual site conditions, labor shortages due to an active construction market or organized labor groups. Building construction costs for an urban hotel can be higher and may include the cost of an underground parking structure. The cost of additional recreational and other facilities found at resort properties is not included in this estimate.
- ⁹ It is assumed that laundry will be handled off-site. Additional laundry equipment for a full-service laundry and/or valet is not included in this estimate. Ice machines for guestroom floors are included in this estimate.
- ¹⁰ This estimate is for the total cost of furnishing a Tribute Portfolio Hotel on a per-guestroom basis. The estimate includes guestroom and public space furniture, including all seating and case goods, decorative and plug-in light fixtures, window treatments, carpet, vinyl wall coverings, interior signage, a flat panel television for each guestroom, and all associated procurement fees, freight, warehousing, taxes, and installation (excluding carpet and wall coverings).
- ¹¹ This estimate is for the cost to purchase and install all property-based technology infrastructure in accordance with the standards as of the date of this disclosure document, including the following: a private branch exchange, high speed internet access, structured cabling, security systems, door lock systems, in-room technology (including in-room entertainment), public space technology, information security best practices, and CCTV. Technology equipment and installation costs will vary widely depending on the size

and configuration of the hotel, including any residential or condominium component, the availability of cellular network coverage, and the type of equipment you choose.

12 This estimate is for inventory items such as uniforms, china, flatware, towels, linens, guestroom amenities, maintenance supplies, other supplies, and paper goods. This estimate also includes the cost to acquire an initial inventory of cleaning equipment and supplies, including non-medical face masks and gloves, hand sanitizer stations, guest sanitation kits, mattress and pillow protectors, EPA-approved cleaning and disinfectant agents that kill Covid-19, and certain other cleaning and recovery technologies. Your costs may exceed these estimates if the hotel is larger than average or if local laws and regulations require the hotel to adopt more stringent cleaning protocols.

13 This estimate is for fees and expenses relating to architectural, engineering, and other consultant services for the project, including our design and construction review services and required certifications of compliance with the Americans with Disabilities Act and our fire protection and life safety standards, but excluding any building permit fees, impact fees, tap fees, or locally imposed development fees. There may be additional fees if you use an interior design firm that is not on our recommended list. See Item 5.

14 You must obtain and maintain the amounts and types of insurance specified in our then-current standards, including property insurance, commercial general liability insurance, liquor liability insurance, automobile liability insurance, workers' compensation insurance, employer's liability insurance, umbrella/excess liability insurance, employment practices liability insurance, and fidelity bond coverage. We also may require you to obtain property insurance covering risks of loss from certified acts of terrorism as available under the Terrorism Risk Insurance Act (as the same may be amended or replaced). Insurance costs for hotels where we require terrorism insurance or for hotels that are located in high risk locations (such as locations with earthquake, flood, or windstorm exposure) may be substantially higher. If the hotel will be structured as a condominium or contain residential units, we will also require you to obtain both construction defects insurance and completed operations insurance.

The cost of insurance cannot be estimated as it varies greatly based on the size and location of the hotel, the insurer you select, your creditworthiness and insurability, and the amounts and types of insurance that you purchase. Insurance costs are also subject to change based on then-current market conditions.

15 This estimate is for start-up costs, including wages, marketing expenses, other operating costs incurred before opening, and prepaid expenses, including business licenses and security and utility deposits.

16 We recommend that you include a project contingency equal to at least 10% of the project "hard" costs. We consider the following items as project "hard costs": building construction; building permit, tap, and impact fees; kitchen and laundry equipment; furniture and fixtures; telephone and security systems; operating supplies; and professional design services.

17 This estimate covers the costs of meeting food safety and sanitation compliance criteria for kitchen operations, including materials and training.

18 You are responsible, at your own expense, for providing local advertising, marketing, and promotional communications for the hotel. You must retain a public relations agency and provide us with its name and contact information. The scope of work for the public relations agency will vary by market and hotel. In conjunction with the initial opening or conversion of your hotel, you must conduct an opening event and you must conduct a marketing and advertising campaign in accordance with our standards. In urban markets, advertising costs will most likely exceed the estimate, depending on rates in the overall media market. This estimate also includes the cost to retain an approved photographer to create an initial portfolio of hotel photographs.

19 This estimate is for prepaid expenses and operating expenses you may incur during the first three months of operation and is not intended to provide a basis for a break-even analysis. This estimate excludes franchise fees, management fees, FF&E reserves, personal property and real estate taxes, permits and licenses, building insurance, and operating leases.

ITEM 8

RESTRICTIONS ON SOURCES OF PRODUCTS AND SERVICES

Purchases in Accordance with Standards and Specifications

You must use only such furniture, fixtures, and equipment (“FF&E”), operating and cleaning supplies and equipment (“OS&E”), and other goods and services at the hotel that conform to our product quality standards. We may specify a particular model or brand of equipment for the electronic systems or fire protection systems and life safety components of your hotel that may be available from only one manufacturer or supplier. We may modify our standards and specifications in our sole discretion, and you must comply with such changes at your expense.

You must already own or purchase building signs that comply with our product quality standards. Any new building signs must meet such product quality standards. You must purchase from a vendor designated by us an exterior plaque that indicates the hotel is a member of the Tribute Portfolio. All property signage must be pre-approved by us.

In light of the Covid-19 pandemic, we developed heightened cleanliness standards. We may update these standards periodically as our understanding of Covid-19 deepens, new tools become available, and laws, regulations, and industry standards change. If we change our cleanliness standards, you must promptly comply with the changes at your expense. You are solely responsible for establishing and enforcing a cleanliness policy for your hotel. The policy must: (a) comply with applicable laws and regulations; (b) meet or exceed the requirements of our cleanliness standards; (c) not include any items or requirements that may adversely affect the reputation of the hotel or system; and (d) take into account our recommendations and guidelines issued by the AH&LA and Centers for Disease Control and Prevention. You should consult with legal counsel and advisors in the process of developing and implementing a cleanliness policy for your hotel.

We will provide and update our standards and specifications in writing, or make them available to you in digital, electronic, or computerized form. Modifications generally are based on input from our employees, hotel managers, franchisees, owners, and guests.

Purchases through Marriott, Related Parties, and Third-Party Arrangements

Franchisees may choose to purchase products and services through Marriott, its subsidiaries, and other related and unrelated parties through a number of different means and programs. As described in Items 1 and 5, we and our subsidiaries have negotiated supply agreements (including price terms) with manufacturers, suppliers, and distributors of a variety of products and services used by Tribute Portfolio Hotels. There may be mark-ups, fees, discounts, credits, and/or rebates based on your purchases from those suppliers with whom supply agreements have been negotiated. Generally, we and our subsidiaries, as applicable, will retain any mark-up or rebates received due to franchisee purchases. The specific fee or rebate on an individual product or service may exceed the range described below. The arrangements and percentages described below may change based on alterations in relationships with those suppliers. The amount of the rebates and other payments described below are approximations based on information provided to Marriott from vendors and other sources as of the date of this disclosure document. For some programs, we are able to track purchases and rebates by specific hotel brand and franchised/managed hotel status. For others, only the total purchases by, or payments to, Marriott is available. We will not withhold material benefits (such as renewal or the grant of additional franchises) if you choose not to purchase through our voluntary supplier programs.

1. Rebates and Purchases through Us and Our Subsidiaries; Agreements We Negotiate

Franchisees may choose to purchase FF&E and related design and construction services through Marriott International Design & Construction Services, Inc. (“Marriott Design & Construction”). Marriott Design & Construction charges a fee for providing procurement services that is the greater of \$3,500 or approximately 4.5% to 5% of the cost to us of the products and services provided. Franchisees also may purchase certain OS&E through Marriott Design & Construction. Marriott Design & Construction charges a fee for providing procurement services to Tribute Portfolio Hotel franchisees equal to the greater of \$10,000 or approximately 4.5% to 5% of the cost to us of the products and services provided. In 2021, Marriott Design & Construction did not receive any unrestricted rebates related to its purchases of FF&E or hotel opening OS&E for franchisees.

In 2021, all Company Brand franchised hotels located in the United States and Canada purchased approximately \$115,969,000 of FF&E and related design and construction services through Marriott Design & Construction. Of that amount, \$65,000 was attributable to purchases by Tribute Portfolio Hotel franchisees. In addition, all Company Brand franchised hotels purchased a total of approximately \$13,302,000 of hotel opening OS&E through Marriott Design & Construction in 2021. Of that amount, \$328,000 was attributable to purchases by Tribute Portfolio Hotel franchisees.

In addition, in 2021, Marriott Design & Construction received approximately \$680,500 in catalog fees from FF&E and building product vendors whose specifications are published in our design specifications platform. Marriott Design & Construction also receives rebates of approximately 1.5% of the cost of select prototype FF&E and building products purchased by Company Brand Hotels from these FF&E and building product vendors. In 2021, Marriott Design & Construction received \$7,536 as a result of building product purchases by Company Brand Hotels, all of which was used to offset the cost to develop prototypes.

Franchisees may choose to purchase recurring food, beverage, and other operating supplies from suppliers participating in the purchasing programs arranged by our procurement division (“MIP Americas”). Suppliers may pay to MIP Americas fees and commissions of approximately 3% to 5% of the cost of products or services purchased by Company Brand Hotels through these purchasing programs. MIP Americas retains a portion of the rebates received in connection with purchases by Company Brand Hotels to cover the costs of providing procurement services. In 2021, MIP Americas received approximately \$123,636 as a result of purchases by franchised Company Brand Hotels, of which \$72,693 was utilized to offset costs that otherwise would have been charged to hotels and \$50,943 was distributed to participating franchised Company Brand Hotels.

Franchisees may also choose to purchase food, hotel and restaurant supplies, engineering supplies, business services, and related products and services from suppliers participating in purchasing programs arranged by Avendra, LLC and Avendra Replenishment, LLC (collectively “Avendra”). You may take advantage of these arrangements by entering into a supply chain services agreement or replenishment access agreement directly with Avendra. Marriott has agreed that it will not offer or provide conflicting centralized procurement and supply chain access services to Company Brand Hotels during the term of its current agreement with Avendra. In 2021, we did not derive any revenue as a result of purchases by franchised Company Brand Hotels from Avendra.

Our subsidiary, Culinary Concepts Hospitality Group, LLC d/b/a Pure Grey, licenses restaurant concepts and provides food and beverage consulting services to Company Brand Hotels. In 2021, Pure Grey derived \$15,625 or 1.7% of its total revenue of \$895,122 from the provision of such services to franchised Company Brand Hotels.

Marriott pays Sabre Inc. ("Sabre") a fee for each transaction that is delivered from travel agencies through Sabre's global distribution system. These fees are funded through the costs charged to the hotels for each reservation directly or through the Program Services Contribution ("Reservation System Fees"). If we purchase select Sabre Travel Network media products and services in amounts above certain thresholds during any year, then we will receive a credit for such year. In 2021, we received approximately \$42,487 as a result of this arrangement, all of which will be used to offset reservation system costs.

The Hertz Corporation ("Hertz") makes payments to us based on the amount of commissionable revenue generated from Hertz car rentals made as a result of transactions that originated with phone calls to Marriott's toll-free reservation number. These payments are not treated as revenue by us, but are utilized to offset costs that otherwise would have been charged through Reservation System Fees. In 2021, we received approximately \$117,000 as a result of this arrangement.

We have an agreement with Expedia.com that allows Company Brand Hotels to book reservations through Expedia.com and certain other Expedia travel websites, corporate travel management booking channels, and wholesale distributions solutions. We receive payments from Expedia as a result of this arrangement, including rebates on materialized bookings. Rebates vary depending on a variety of factors, including the nature and number of reservations booked through Expedia.com. In 2021, we received approximately \$2,500,000 as a result of this arrangement, \$2,300,000 of which was distributed to participating hotels and \$200,000 of which was retained by us to offset the cost of administering the arrangement.

We have arrangements with several merchants, including Hertz and Expedia, under which the merchants make commission or revenue share payments to us based on the amount of purchases made online as a result of transactions that originated on Marriott.com or referrals from Marriott.com. In 2021, we received payments that were not treated as revenue by us, but in the case of Hertz, the amount of \$1,200,000 was utilized to offset program costs for the Tours & Activities program on Marriott.com and, in the case of Expedia in 2021, the amount of \$1,300,000 was used to offset Vacations by Marriott program costs. Any remaining balance will be utilized to offset costs that otherwise would have been charged to hotels through the Reservation System Fees.

Under two separate agreements, Enterprise Rent-a-Car Company/National Car Rental and Hertz provide discounted car rental programs for owners, franchisees, and Marriott associates. Under the terms of the agreements, we may receive allowances if certain volume thresholds are met. In 2021, we received \$125,048 in allowances from Enterprise Rent-a-Car Company/National Car Rental and Hertz. These payments were not treated as revenue by us, but were utilized to offset our travel costs.

Marriott has an agreement with MVW under which MVW pays Marriott based on tour package sales resulting from transactions that originated with phone calls to Marriott's call centers. At the completion of a reservation, certain callers to Marriott's call centers are offered to be transferred to MVW call centers for an opportunity to learn about future tour packages at an MVW property. MVW reimburses Marriott for all costs associated with the program and pays a "package fee" for each tour package sold by MVW. Marriott determines the number, criteria and selection of calls to be transferred at its sole discretion. In 2021, Marriott derived \$1,500,000 in reimbursements and package fees as a result of this arrangement. The payments were utilized to offset the operating cost of Marriott's call centers.

Certain media companies and vendors within the Marriott Guestroom Entertainment program provide restricted marketing funds to Marriott. The payment is not treated as revenue but is utilized to offset the costs associated with operating the Guestroom Entertainment program as well as fund other

marketing initiatives related to in-room media and entertainment. In 2021, Marriott received approximately \$2,220,758 as a result of these arrangements.

We have an agreement with Hotels at Home to sell bedding and related products used at Company Brand Hotels (by telephone and online at [Boutiquesmarriottbonvoy.com](https://boutiquesmarriottbonvoy.com)). At the time of purchase, the buyer is asked to identify the Company Brand Hotel, if any, where the buyer learned about the products to be purchased. Hotels at Home retains a portion of the profits from the sale; the remaining profit is shared between us and the identified hotel. If no hotel is identified, we receive the entire remaining portion. In 2021, we received approximately \$16,563,178 as a result of this arrangement, of which approximately \$15,707,604 was treated as revenue by us.

We have agreements with Simmons to sell mattresses and related products. Under the terms of a Starwood (United States and Canada) agreement for sales through the Hotels at Home retail website, we receive a rebate of approximately 1.5% from such purchases, depending on the volume of sales. In 2021, we received approximately \$55,784 in rebates from this program. Under a separate Starwood (United States and Canada) agreement with Simmons for employee purchases of mattresses and related products, we receive a rebate of approximately 3% from purchases. In 2021, we received approximately \$136,783 in rebates from this program.

We have an arrangement with Audio Visual Services Group, Inc., d/b/a ENCORE (“ENCORE”) under which ENCORE pays a commission to certain hotels based on the gross revenue for event audio/visual services provided to clients at such hotels. ENCORE also pays to us a commission dependent upon the volume of sales generated by Company Brand Hotels. These amounts are not treated as revenue by us, but are utilized to offset costs that otherwise would have been charged to the participating hotels. In 2021, we received approximately \$30,951 in fees from ENCORE as a result of franchised Company Brand Hotel purchases.

We have a marketing program to promote the use of Marriott.com and the Marriott Bonvoy app as sales channels. In 2021, we derived \$400,000 as a result of this marketing program. We intend to use these funds to, among other things, drive direct bookings to Marriott.com and the Marriott Bonvoy app and offset our costs associated with administering the program.

We may designate Pepsi products as our standard for certain beverages. If we designate Pepsi as a supplier of certain beverages, you may be required to serve only Pepsi-branded drinks at your hotel (subject to certain limited exceptions). As a result, you or the management company operating your hotel may receive unrestricted allowances directly from Pepsi, or through an agent designated by Pepsi, for purchases of the covered beverages. In 2021, franchised Company Brand Hotels received approximately \$1,542,467 in unrestricted allowances under this arrangement. This arrangement does not affect the payment of restricted allowances, which are described in Section 4 below.

In 2021, we offered optional human resource services directly to franchisees under the service name of Talent Point. These services include job postings, talent acquisition, learning and development, and engagement and rewards. Talent Point revenues are used to, among other things, offset our costs to negotiate and implement new human resource offerings and sustain current offerings. We have also entered into arrangements with several third-party service providers, including CareerBuilder, Kincentric, Franklin Covey, Urbanbound, ClearEdge Marketing, PeopleScout, PeopleReady, Hospitality Staffing Solutions, Labor Staffing, Aetna, RW3, Beekeeper, Rewardian, Health Care Policy Roundtable (HCPR), Hospitality Services Group, AT&T, Assa Abloy, JDI Recruiting, Evaclean, and Aethos, under which the third-party service providers offer additional optional human resource products and services directly to franchisees. These products and services include job postings, recruiting services, temporary staffing, relocation services, training offerings, communication tools, background check services, engagement

surveys, healthcare access referral, and associate alert devices. We may enter into arrangements with third-party service providers to offer additional services, and you must enter into agreements directly with the third-party suppliers if you elect to participate in such arrangements. The third-party service providers generally pay Marriott a referral fee of approximately 1% to 20% of the fees paid by the participating franchisees to the third-party service providers under such contracts (with the exception of HCPR, which we anticipate will pay a flat dollar amount to us in 2022). In 2021, we received approximately \$1,098,329 in revenue from optional human resources services provided to franchisees, all of which was utilized to offset costs of operating the Talent Point program and one-time costs of negotiating and implementing Talent Point services.

You are solely responsible for developing and implementing a security plan for your hotel and its associates. We may suggest or require that the hotel security plan include certain elements, such as associate alert devices. We may also make our hotel safety resources and vendor arrangements available to you as a courtesy, but we are not obligated to do so.

2. Technology Related Purchasing

We have arrangements for discounts and credits with certain suppliers of voice and data services. Most of the discounts and credits we receive as a result of purchases through these telecommunications suppliers by participating hotels are passed through to franchisees or the owners of the hotels; however, we retain certain credits on domestic and international “tiered discount” calls. In 2021, credits received from AT&T ranged from approximately 15% to 27% of the discounted rate for domestic calls and up to 35% for international calls. In 2021, we received approximately \$9,000 in credits from these arrangements, of which approximately \$7,000 was retained by Marriott. The terms of these arrangements with these telecommunications suppliers are reviewed every year and may be modified in accordance with the terms of the contract. If you choose to participate in the arrangements with these telecommunications suppliers, you must enter into our Participation Agreement, a sample of which is attached in Exhibit H.

We require the installation of property network standards by a certified internet provider. Your hotel must meet our bandwidth and wireless standards. We have certified and approved certain internet service providers that offer internet solutions that comply with our standards. Such standards and a list of such approved providers are posted on the Marriott Global Source. For existing hotels that have a contract in place with a provider that has not been approved by us, if the hotel meets our bandwidth and internet standards, you may continue to utilize that provider until the expiration of the contract. At such time, you must contract with a certified provider.

3. Restricted Allowances

In 2021, a total of approximately \$101,619,000 of restricted allowances was made available to us from suppliers based on the participation in those suppliers’ programs by certain managed and franchised hotels operated under the Company Brands. Restricted allowances are funds provided to Marriott that are required to be spent in accordance with the terms of the agreement with the provider of the funds. Those allowances have been or will be utilized in various marketing and promotional activities, including, principally, programs related to the promotion of the suppliers’ products, joint marketing programs between Marriott and the supplier, marketing programs for the Company Brands, our designated loyalty programs, and an allocation to the marketing funds and programs for Company Brand Hotels. In 2021, a total of approximately \$116,000 of the restricted allowances was utilized by the marketing funds in which the Company Brand franchised hotels participate in the United States and Canada, none of which was allocated to the Marketing Fund for Tribute Portfolio Hotels located in the United States and Canada.

4. Sponsorship Contributions

We also received certain monetary and in-kind donations from vendors to sponsor meetings, dinners, golf tournaments and other activities held at our general manager, franchisee, and owner conferences, as well as other events. In 2021, the total amount received for all Company Brand corporate level sponsorships was approximately \$705,661. Marriott also receives product placement funds for several preferred vendors listed on MGS. These amounts are retained by us to defray procurement and supplier relations costs that otherwise would be paid by the hotels purchasing from those preferred vendors. In 2021, we received \$142,965 in revenue as a result of these arrangements.

5. Other Related Party Transactions

We currently own an interest in Travel Ease, which manages certain of Marriott's Chinese online reservation and distribution channels and market Company Brand Hotels and our designated loyalty programs to Alibaba customers. Travel Ease collects a commission based on a percentage of gross room sales for Company Brand Hotel guestroom nights booked through the online reservation and distribution channels it manages. In 2021, Travel Ease derived approximately \$8,850,000 for such activities from Company Brand Hotels. In 2021, we did not receive any commissions or distributions from Travel Ease, but we recorded our pro-rata share of Travel Ease's earnings in our financial statements.

We own an interest in Groups360 LLC ("Groups360"), which provides lead generation services, meeting advisory services, and marketing services to participating Company Brand Hotels and other hospitality companies. Participation in their GroupSync Engage Instant Booking lead generation service for meetings and events is required and the cost ranges from 1% to 2% of qualifying gross group room sales plus a fee of \$25 per meeting space booked. The fee for other optional services provided by Groups360 ranges from 1% to 3% of qualifying gross group room revenue per accepted lead. If Company Brand Hotels meet certain purchasing thresholds, we will receive additional equity interests in the company. In 2021, Groups360 derived approximately \$100,000 in revenue from the provision of such services to Company Brand Hotels. In 2021, Marriott did not receive any distributions or additional equity interests from Groups360 as a result of franchised Company Brand Hotel purchases, but Marriott did record its pro-rata share of Groups360's losses in our financial statements.

From 2017 to 2021, we owned an interest in ETMA, Inc. ("Place Pass"), a company offering travel technology solutions, including an online platform selling in-destination experiences to travelers. We received commissions from Place Pass as a result of sales generated by Company Brand Hotels, Marriott.com, and our other reservation and distribution channels. In 2021, we derived \$1,500,000 in revenue as a result of this arrangement, which was used to offset program startup costs and program administration costs. We also recorded our pro-rata share of Place Pass's losses in our financial statements. In 2021, Place Pass was purchased by Hopper (USA) Inc. ("Hopper") and we anticipate receiving a total distribution of approximately \$5,500,000 from the sale. Marriott holds no remaining interest in Hopper; however, we have chosen to continue a commercial relationship with Hopper to support this business.

Our total gross revenue for 2021 was \$13,857,000,000 as stated in our consolidated audited financial statements (see Item 21). The total amount of revenue that we and our subsidiaries received in 2021 as a result of franchisees' required purchases as described above, including any unrestricted rebates that we retained and did not distribute, and other fees or payments that we charged for providing procurement services on behalf of franchisees or otherwise received, but excluding any amounts treated as pass-through or cost recovery, or rebates or other payments that were distributed back to the franchisees, was approximately \$16,704,671. That amount is the sum of the following amounts reported above: \$680,500 (catalog fees from FF&E vendors), \$117,000 (total amount from Hertz and Enterprise

Rent-a-Car Company/National Car Rental used to offset our own travel costs), \$15,707,604 (amount from Hotels at Home we treated as revenue), \$192,567 (total rebates from Simmons), \$5,766,574 (credit card service fees), and \$7,000 (amount from AT&T that we treated as revenue). That amount is less than 0.12% of our total gross revenue for 2021.

We do not provide material benefits to franchisees based on their purchase of particular products or services, or based on their use of particular suppliers.

The arrangements described in this Item 8 are of a limited duration and may be renegotiated or discontinued at any time. The amount of revenue we derive and the manner in which we use the revenue is also subject to change.

Cost of Required Purchases Relative to Cost to Open and Operate

We estimate that the cost of purchases and leases that you must make through us, our affiliates, approved suppliers, or subject to our standards and specifications will represent approximately: (i) 70% to 92% of the total cost of purchases and leases you will incur to establish a typical Tribute Portfolio Hotel, excluding the cost of real estate¹; and (ii) 46% to 60% of the total cost of purchases and leases you will incur to operate a typical Tribute Portfolio Hotel² on an annual basis.

Ownership Interest in Supplier

Except for a minor interest in a public or other large company, none of our officers has any interest in a supplier.

Hotel Repairs and Renovation

In addition to your obligation to repair and maintain the hotel on an ongoing basis, you must accomplish a significant renovation of guestrooms, guestroom corridors, and public facilities, including the replacement of soft goods FF&E, and case goods FF&E periodically as required by our then-current standards. At the time of any replacement of FF&E, we have the right to require you to upgrade the rest of the hotel to conform to the standards applicable to similarly situated Tribute Portfolio Hotels. To help satisfy such renovation obligations, you will be required to maintain a reserve account at a bank acceptable to us.

Nature of Purchasing and Supply Arrangements

The purchasing and supply arrangements described in Item 8 are limited in duration. The terms of these arrangements (including the basis for rebates and commissions payable to us) may be renegotiated periodically.

NOTES:

¹ The total cost of purchases and leases you will incur to establish a Tribute Portfolio Hotel includes estimated costs for pre-opening charges, property management and other systems, market studies, independent hotel brand assessment and implementation, building construction, kitchen and laundry, FF&E, telephone systems, opening supplies, and professional design fees, but does not include the initial application fee, the cost of land and building permits, insurance, start-up costs, and marketing and advertising costs (see Item 7). Actual costs may vary depending on the size, condition, and market area of your hotel, and whether you are converting your hotel from another brand.

²

The total cost of purchases and leases you will incur to operate an existing Tribute Portfolio Hotel includes estimated costs for linen, cleaning supplies, laundry, guestroom supplies, reservations, loyalty programs, revenue management, travel agent commissions, food and beverage, the Marriott Communications Network, uniforms, “free-to-guest” in-room services, FF&E, and certain marketing and advertising costs, but does not include labor costs and related expenses, franchise fees, utilities, repair and maintenance, sales and marketing costs, taxes, insurance, rent and lease payments, and other payments related to the land for the hotel. Actual costs may vary depending on the size, condition, and market area of your hotel.

ITEM 9

FRANCHISEE'S OBLIGATIONS

This table lists your principal obligations under the franchise and other agreements. It will help you find more detailed information about your obligations in these agreements and in other items of this disclosure document.

OBLIGATION	SECTION IN AGREEMENT	ITEM IN DISCLOSURE DOCUMENT
a. Site selection and acquisition/lease	Sections 1.1 and 26.1.F and Item 17 of Exhibit A of Franchise Agreement	Items 7 and 11
b. Pre-opening purchases/leases	Sections 3.4, 5, 7, and 9 of Franchise Agreement	Items 5, 7, and 8
c. Site development and other pre-opening requirements	Sections 4, 5, 6.1, 6.4, 7, 8, and 9, and Exhibit C of Franchise Agreement	Items 5, 7, 8, and 11
d. Initial and ongoing training	Sections 3.3, 3.4, and 9 of Franchise Agreement	Items 5, 6, and 11
e. Opening	Section 4.2 and Exhibit C of Franchise Agreement	Items 5, 7, 8, and 11
f. Fees	Sections 3, 4.1, 4.4, 6.3, 7.1, 8.3, 9.1, 10.2, 10.3, 13.4.B, 16, 17.3.A, 17.3.B, 17.4.A, 19.4.B, and 20.1.B, and Sections 1, 2 and 4 of Exhibit C (New Development), Sections 2, 3, and 5 of Exhibit C (Conversion), or Sections 2 and 3 of Exhibit C (Change of Ownership) of Franchise Agreement	Items 5, 6, and 7
g. Compliance with standards and policies/operating manual	Sections 1.1, 4, 5, 6.1, 6.4, 7, 8, 9, 10, 11, 12, 13, and 20, and Exhibit C of Franchise Agreement	Items 8, 11, and 16
h. Trademarks and proprietary information	Sections 7.3, 11, 12, and 20.1.A of Franchise Agreement; Electronic Systems License Agreement	Items 13 and 14
i. Restrictions on products/services offered	Sections 1, 5, 7, 8.3, 8.4, and 10.1 of Franchise Agreement	Item 16
j. Warranty and customer service requirements	Sections 6.3 and 8.3 of Franchise Agreement	Item 11
k. Territorial development and sales quotas	Not applicable	Not applicable
l. Ongoing product/service purchases	Sections 3.4, 4, 5, 7, 8.1, and 10.2 of Franchise Agreement	Items 8 and 11
m. Maintenance, appearance, and remodeling requirements	Sections 4 and 5, and Exhibit C of Franchise Agreement	Item 8
n. Insurance	Section 15 of Franchise Agreement	Item 7
o. Advertising	Sections 6, 11.2, 11.3, and 11.4 of Franchise Agreement	Items 6, 8, and 11

OBLIGATION	SECTION IN AGREEMENT	ITEM IN DISCLOSURE DOCUMENT
p. Indemnification	Sections 14 and 18.1 of Franchise Agreement; Electronic Systems License Agreement	Not applicable
q. Owner's participation/ management/staffing	Sections 8.1 and 8.2 of Franchise Agreement	Items 11 and 15
r. Records and reports	Section 13 of Franchise Agreement	Item 11
s. Inspections and audits	Sections 3.3, 5.1, 8.3.C, and 13.4 and Exhibit C of Franchise Agreement	Items 5, 6, 8, and 11
t. Transfer	Section 17 of Franchise Agreement	Item 17
u. Renewal	No renewal rights (see Section 2.2 of Franchise Agreement)	Item 17
v. Post-termination obligations	Sections 11.2, 12.1, 13.2, 14, 17.5, 18, 19.4.B, 20, 21.1 and 21.2 of Franchise Agreement; Guaranty; Electronic Systems License Agreement	Item 17
w. Non-competition covenants	Sections 1.2.A, 8.4, 17.5, 19.1.B.3, and 21.2.D of Franchise Agreement	Item 17
x. Dispute resolution	Sections 17.5.A.2, 24.1, and 24.5 of Franchise Agreement	Item 17
y. Guaranty	Preamble to the Franchise Agreement and the Guaranty	Item 15

ITEM 10

FINANCING

Except as described below, generally we do not offer direct or indirect financing for franchised Tribute Portfolio Hotels or guarantee any of your financing, loans, or other obligations. However, from time to time, under very limited circumstances and at our sole discretion, we may offer for certain hotels credit support in the form of a contingent guaranty of a portion of a loan provided by a third-party lender, or we may make a mezzanine loan. In determining whether to offer you credit support or make a mezzanine loan, we will consider, among other factors: (i) market penetration opportunities; (ii) the size and location of your hotel; (iii) the economic and financial environment; (iv) the cost to you to complete the development or conversion of the hotel; (v) whether our offer of credit or financial support would aid in the successful development or conversion of the hotel; (vi) whether you are willing to commit to playing an active role in growing the system; and (vii) whether you meet our then-current criteria.

Because we generally do not offer loan guaranties, if we do offer to make a contingent guaranty of a loan provided to you by a third-party lender, the terms and conditions of such guaranty may vary, such as the amount of the guaranty (for example, a percentage of the principal balance of the loan or a percentage of the hotel development costs), your repayment obligations, the guaranty fee, interest, fees, costs, penalties, security interests, default provisions, and requirements for a personal guaranty. You may be required to sign certain documents in connection with the loan guaranty, such as a Credit Enhancement Commitment Letter, Reimbursement Agreement, Equity Pledge, and Guaranty. Because the terms of financing arrangements, guaranties, and related documents vary, we do not have standard form documents, but have included certain sample financing agreements in Exhibit Q for informational purposes only. These documents are samples, and the final documents may vary considerably depending upon which lender you select, the terms of the loan, and other lender requirements.

Because we generally do not make mezzanine loans and they are subject to the unique financial terms related to your hotel, we cannot determine in advance the key terms of any such loan we may choose to make, such as the amount, the annual percentage rate, the term of the loan, the number and amount of the payments, the type of security required for the loan, personal guaranty requirements, and default provisions. We may sell or assign any interest we have in any promissory note you execute in our favor or any loan we may advance to you. We do not have sample mezzanine loan documents. Those documents, including the intercreditor agreement between your primary lender and us, will be determined at the time of loan origination.

Development Incentive Program

We are contemplating the establishment of incentives for historically underrepresented diverse owners entering into franchise agreements for new-build system hotels and existing franchised system hotels. If established, these incentives may consist of discounted franchise fees during the first few years after the hotel opens, key money to be paid after the hotel opens as a system hotel, or other assistance in connection with the establishment or acquisition of a franchised system hotel. The amount of any incentive will vary depending on the size and location of the hotel and the number of guestrooms at the hotel. In order to qualify for the incentive, you must: (a) submit a franchise application demonstrating that you meet any minimum equity and control/participation thresholds that we establish in connection with the incentives; and (b) timely construct the hotel in accordance with our standards.

Any incentives that you are entitled to receive under the above development incentive program are personal to you, may not be combined, and will terminate and not transfer in connection with a transfer of the hotel to a third party, a change in control, or other relicensing transaction.

ITEM 11

FRANCHISOR'S ASSISTANCE, ADVERTISING, COMPUTER SYSTEMS, AND TRAINING

Except as listed below, we are not required to provide you with any assistance.

Pre-Opening Assistance

Before your hotel opens for business as a Tribute Portfolio Hotel, we will:

(1) Make available to you the product quality standards and such other information for planning, constructing, renovating, and furnishing your hotel and a list of specifications for furniture, fixtures, and equipment (including computer hardware and software) and inventory supplies (Franchise Agreement – Section 4.4). Please note that we do not claim, represent, or warrant that the product quality standards comply with any applicable local, state, or federal laws, codes, ordinances, or regulations. You must pay the entire cost of constructing or converting and equipping your hotel (Franchise Agreement – Exhibit C (New Development) – Section 1.F; Exhibit C (Conversion) – Section 2.F). See Items 5, 7, and 8.

(2) Review the construction drawings and plans to assess compliance with the product quality standards (Franchise Agreement – Section 4.4.C). Please note that we do not review your drawings and plans for compliance with any applicable local, state, or federal laws, codes, ordinances, or regulations (Franchise Agreement – Section 4.4.D).

(3) Assess compliance with the product quality standards during the construction or conversion of your hotel (Franchise Agreement – Exhibit C (New Development) – Section 1.G; Exhibit C (Conversion) – Section 2.G).

(4) Provide input to assist you in procuring operating supplies or furniture, fixtures, and equipment (Franchise Agreement – Section 5).

(5) Visit your hotel when you tell us construction or conversion is complete to ensure that you have complied with the final plans, specifications, and product quality standards and to determine if the hotel is ready to open and operate under the system (Franchise Agreement – Exhibit C (New Development) – Section 3; Exhibit C (Conversion) – Section 4).

(6) Provide hotel staff with on-site training or training tools necessary for operating system hotels (Franchise Agreement – Section 9).

(7) Train your general manager and your hotel management team (see Item 5 and below in this Item 11 for additional details regarding training) (Franchise Agreement – Section 9).

(8) Make available our manuals, procedures, systems, guides, programs (including our quality assurance program), requirements, directives, specifications, product quality standards, and such other information and initiatives for operating hotels in the system (the “standards”) to you through our electronic systems or in such other manner we deem appropriate (Franchise Agreement – Section 10.1). The standards are confidential and are our property. We may change the standards at any time. We have included a reference to certain standards and resources for your information at Exhibit K.

(9) If your hotel is structured so that it involves residential or condominium units, we and our outside counsel will review the condominium declaration and other operational, maintenance, and

governance documents to assess compliance with our standards and criteria. We will also review all sales, advertising, and promotional materials to assess compliance with our standards and criteria. You must obtain our approval of all such materials prior to the commencement of any sales activities. We will not, however, provide you with any advertising or marketing materials related to the sale of the condominium or residential units.

Site Selection, Construction, and Opening Assistance

Generally, we do not participate in your selection of a site for your hotel or assist you in the negotiation of a purchase or lease agreement with respect to the site. When you submit an application for a franchise, you must identify the site you propose. We will review the site for its general location, size, visibility, accessibility, relationship to customer generators, and competitive environment. If we do not authorize the site you have selected, we will not approve your application.

We will generally allow you 15 months from the date we approve your application for new development to begin construction of the hotel. We expect the hotel to be open for business between 18 and 24 months from the date you begin construction (Franchise Agreement – Exhibit A – Items 13 and 14; Exhibit C (New Development) – Sections 1.A and 1.B; Exhibit C (Conversion) – Sections 2.A and 2.B).

The total length of time that it actually takes to open your hotel as a Tribute Portfolio Hotel may be affected by a number of factors, including the size of the project, local building conditions, and other construction variables, such as the ability to obtain financing, the requirements of local government authorities, weather conditions, shortages of materials, and delays in installation of equipment, furnishings, and signs.

Post-Opening Assistance

During the operation of the franchised business, we will:

- (1) Make representatives available at our designated offices or at your hotel to consult with you about the design and operation of your hotel (Franchise Agreement – Section 9.2).
- (2) Make available to you certain electronic systems, including a reservation system (Franchise Agreement – Section 7.2; Electronic Systems License Agreement). We may suspend your hotel from the reservation system during any period in which you are in default of your franchise agreement obligations (Franchise Agreement – Section 19.3).
- (3) Take all steps reasonably necessary to preserve and protect the ownership and validity of the Proprietary Marks in the United States, except for those that we determine cannot or should not be maintained (Franchise Agreement – Section 11.1.A.2); and indemnify you against claims that your proper use of the Proprietary Marks infringes the rights of any third party unrelated to you if you satisfy certain conditions (Franchise Agreement – Section 11.1.B).
- (4) Make our standards available to you (Franchise Agreement – Section 10). As discussed above, our standards are subject to change at any time.
- (5) Offer certain training programs for the hotel's or your management personnel (Franchise Agreement – Section 9.1). We may charge tuition, fees, or reimbursements for some or all of these training programs (Franchise Agreement – Sections 3.3 and 9.1).

(6) Provide for an association of system franchisees, who are in compliance with certain membership requirements, to consider and make recommendations on matters relating to the operation of the system (Franchise Agreement – Section 10.3). Franchisees of Tribute Portfolio Hotels and we are members of the association, together with franchisees of other full-service Company Brand Hotels.

(7) Direct the Marketing Fund activities, including the placement and allocation of such funds (Franchise Agreement – Sections 3.7.B and 6.2).

(8) Review your plans for upgrading and remodeling the hotel for the limited purpose of assessing compliance with the standards and any applicable property improvement plan (Franchise Agreement – Section 4.4.C).

Marketing and Advertising

We administer a global marketing fund (the “Marketing Fund”) for advertising, sales and marketing, promotional programs, and research for Tribute Portfolio Hotels throughout the world.

You must pay to us a Marketing Fund Contribution in an amount equal to 1.5% of gross room sales for the previous month, which will be charged as part of the Program Services Contribution (Franchise Agreement – Section 3.7.B; Exhibit A – Item 12). All sums we receive under the Marketing Fund are deposited in an account under our control and may be commingled with other funds (Franchise Agreement – Section 3.7.E). We may change the allocation and amount of the Marketing Fund Contribution, and you will be bound by any such change (Franchise Agreement – Section 3.7.B). All franchisees contribute to the Marketing Fund, but the contribution amounts and rates may vary. Tribute Portfolio Hotels operated by us and our affiliates are generally required to contribute to the Marketing Fund, but may not be required to do so on the same basis as franchisees.

We administer the Marketing Fund for Tribute Portfolio Hotels on a global basis. We have the right to: (i) merge or operate separate Marketing Funds for hotels located in the United States and Canada; (ii) combine the Marketing Fund with marketing funds operated on behalf of hotels located in other regions or countries; (iii) merge or operate the Marketing Fund together with other Company Brand marketing funds; (iv) discontinue the Marketing Fund or Marketing Fund Activities (as defined below); and (v) establish other methods of funding Marketing Fund Activities (Franchise Agreement – Sections 3.7.B and 6.2.B). We also have the right to pool monies from various Company Brand marketing funds to engage in multi-brand marketing activities. Participating Company Brands and Company Brand Hotels may not benefit on a pro-rata basis from such activities. The Marketing Fund is not required to be audited. At your request, we will provide to you an accounting of Marketing Fund revenues and expenditures for any fiscal year if such request is made between 90 and 180 days after the end of such fiscal year (Franchise Agreement – Section 3.7.E).

In 2021, including both managed and franchised hotels, monies spent from the Marketing Fund were allocated to the following categories: 79% to generate awareness, trial and loyalty (including: 8% for global marketing development and execution of the marketing plan and strategies through all marketing channels; and 71% for marketing programs – advertising, public relations, collateral, and promotions); 14% on strategic planning and product positioning (including global brand, consumer insights and research, and guest tracking); 5% to drive and capture demand through sales and channels (including global sales, planning and services, digital, and continent sales and marketing management); and none on distribution and revenue management strategies (global distribution strategy and revenue management).

The cost of administering the Marketing Fund (including finance, accounting, and human resource management expenses) totaled approximately 2% of the monies spent from the Marketing Fund in 2021. Each of the categories of expenditures of the Marketing Fund described above includes an allocation for all or a portion of the salaries of personnel involved in the production and provision of the services related to such category. For example, the salaries of personnel responsible for the development, execution, and management of the marketing plan and strategies are allocated to the global marketing category. Primary factors used in determining the portion of a person's salary allocated to the Marketing Fund include the amount of time spent by such person performing services related to Marketing Fund Activities relative to the Marketing Funds of other Company Brands and other services performed by such person, the dollar amount of gross room sales for the brand relative to other Marriott Brands, and/or the number of booked room nights of the brand relative to the other Marriott Brands.

Marketing Fund monies may be used by us for brand communication for Tribute Portfolio Hotels including: brand strategy and brand development activities; the creation, production, placement and distribution of advertising, marketing, promotional, sales and public relations concepts, press releases, materials, plans, programs, brochures, or other information to be released to the public, whether in paper, digital or electronic, or in any other form of media; advertising, marketing, promotional, public relations, inventory management, reservation activities and sales campaigns, programs, sponsorships, seminars and other sales activities; market research and oversight and management of the guest satisfaction program and loyalty programs; the development and maintenance of Company Brand websites, mobile applications, and browser-based applications; and the retention or employment of personnel, advertising agencies, marketing consultants, and other professionals to assist in the development, implementation and administration of any such activities (collectively, "Marketing Fund Activities") (Franchise Agreement – Section 6.2.A). The activities and content that are supported by the Marketing Fund will change from time to time as determined by us, and may vary by region, but no monies will be used to solicit the sale of franchises. Marketing Fund monies may be used to pay all costs, including administrative costs, salaries and overhead, and collection and accounting costs, incurred by us for the Marketing Fund and the Marketing Fund Activities (Franchise Agreement – Section 3.7.E). We may make loans to the Marketing Fund and use contributions to the Marketing Fund to repay such loans plus interest (Franchise Agreement – Section 3.7.E). We may commingle monies in the Marketing Fund with other monies and do not hold the monies in the Marketing Fund as a trustee or as a trust fund. We have no fiduciary duty to you for the Marketing Fund (Franchise Agreement – Section 3.7.E).

We may advertise and market Tribute Portfolio Hotels through one or a combination of the following channels: broadcast media (including television and radio), digital media (including search engines, web banners, mobile channels, social media networks, mobile applications, browser-based applications, and online listings), print media (including newspapers, magazines, and marketing collateral), "out-of-home" advertising (including airport, in-flight, and transit billboards), public relations activities, content marketing, events, and sponsorships and partnerships. We may use our in-house department or an advertising agency to develop our advertising and marketing communications. Our media coverage may be on a local, regional, national, or international level.

We or our designee will direct all advertising, promotional, and public relations programs and activities of the Marketing Fund using our discretion over the concepts, materials, and media used in the programs and activities and the placement and allocation. The advertising and marketing activities supported by the Marketing Fund are intended to promote general public recognition of the Tribute Portfolio brand and use of the system, and we have no obligation to ensure that any particular hotel, including your hotel, benefits from Marketing Fund Activities on a pro-rata or other basis or that your hotel will benefit from the Marketing Fund Activities proportionate to your contribution (Franchise Agreement – Section 3.7.D). We may use the Marketing Fund for purposes that benefit or include Tribute Portfolio Hotels as a whole, certain groups of Tribute Portfolio Hotels, and other Company Brands in addition

to Tribute Portfolio Hotels (Franchise Agreement – Section 3.7.D), and we may allocate the cost of such advertising and marketing activities among the marketing funds of the participating Company Brands (including the Marketing Fund) as we determine.

Given the inherent degree of variability in forecasting contributions to and expenditures from the Marketing Fund and the impact of currency exchange rates, it is not uncommon for contributions to be more or less than expenditures in any year. For years in which contributions to the Marketing Fund are more than expenditures from the Marketing Fund, any amount not used in that year will be carried over to and spent in subsequent years. If contributions to the Marketing Fund are less than expenditures from the Marketing Fund in any year, we may, but are not obligated to, make a loan to the Marketing Fund to cover the shortfall. In such case, we would treat the loan (and any interest thereon) as a receivable to be repaid from the amounts allocated to the Marketing Fund by the Program Services Contribution in future years, after deducting such future years' Marketing Fund expenditures.

You are responsible at your own expense for undertaking local advertising, marketing, promotional, sales, and public relations programs and activities for your hotel in accordance with such standards and specifications as we may develop (Franchise Agreement – Section 6.1.A). In conjunction with the opening of your hotel, you must retain a public relations firm for the six month period beginning two months prior to opening and ending four months after opening. We estimate that the cost to retain a public relations firm will be approximately \$6,000 per month. You must use signs and other marketing materials only in the places and manner approved or required by us and in accordance with the standards and applicable law. You must deliver samples of marketing materials not provided by us and obtain prior approval from us before any use. If we withdraw our approval, you must promptly stop using such materials. Any marketing materials developed by you may be used or modified by other Company Brand Hotels without compensation to you (Franchise Agreement – Section 6.1.B). You must conduct an opening advertising and marketing campaign that complies with our standards (Franchise Agreement - Exhibit C (New Development) – Section 5; Exhibit C (Conversion) – Section 6).

We have a council composed of franchisees, our brand managers, and market representatives that provides suggestions and advice concerning the Marketing Fund and to which we present information regarding current and future Marketing Fund expenditures. We choose the members of the council to represent a variety of franchisee interests and skills. The role of the council is purely advisory, and the council does not have the power to make decisions regarding the Marketing Fund or Marketing Fund Activities. We have the power to change or dissolve the council.

We may provide, and you must participate in (at your cost), sales and marketing programs and activities that are not funded by the Marketing Fund, such as email marketing, internet search engine marketing, transaction-based paid media programs, sales lead referrals and bookings, cooperative advertising programs, travel agency programs, incentive awards, gift cards, guest satisfaction programs, complaint resolution programs, and loyalty programs. These programs may vary in duration, apply on a local, regional, national, international, or category basis, or include other Company Brand Hotels (Franchise Agreement – Section 6.3). We do not have any local or regional cooperative advertising programs in which franchisees must participate. We reserve the right to form, change, dissolve, or merge cooperatives at any time.

We also anticipate developing local, regional, national, international, or category sales and marketing programs and initiatives where your participation is encouraged, but not required. If such a program or initiative is developed, franchisees will be notified by email or by other means prior to the commencement date of the program or initiative. Some of these programs or initiatives will require you to “opt out” of the program or initiative if you do not wish to participate. The notice announcing the program or initiative will also include instructions on how to opt out of participation in the program or

initiative. If you do not comply with the opt out procedures by the date set forth in the notification, you must participate in the program or initiative and will be responsible for paying the costs associated with such program, which will be reasonably allocated by us among participating hotels.

You must maintain a portfolio of professionally-rendered, high resolution photographs of your Tribute Portfolio Hotel in accordance with the standards. The photographs must be captured and processed by an approved professional photographer. The photographs must be no more than five years old. Tribute Portfolio Hotels converting to the Tribute Portfolio Hotel system and newly renovated hotels must complete a photo shoot within 60 days after conversion or completion of the renovation, as applicable. The cost of a new portfolio of 20 photographs is estimated to be at least \$15,000.

If your hotel is structured so that it involves residential or condominium units, we will not provide you with any advertising or marketing materials related to the sale of the residential or condominium units and will not have a separate marketing fund or program for such units.

Marriott Sales Organizations

We have established organizations that provide sales and support services to Company Brand Hotels in certain markets, including the Global Sales Organization (“GSO”), area sales organizations, group sales organizations, and field sales organizations (the “Marriott Sales Organizations”). Participation in the GSO is mandatory. Participation in the other Marriott Sales Organizations is generally optional, and you must pay our then-current charges for leads that you accept (see Item 6). The service agreements for the Marriott Sales Organizations are attached in Exhibit L. We may establish new sales organizations, or merge or discontinue existing sales organizations at any time.

Computer System Requirements

Except for any item designated as optional, you must purchase, lease, or license from us or our designee, and use in your hotel, the following computer systems, software, and applications, and pay the charges specified below, which include your share of the costs for developing, maintaining, updating, upgrading, and supporting such systems and software:

(1) **Property Management System.** LightSpeed is the property management system currently required for Tribute Portfolio Hotels. It is used for front office, back-of-the-house, and other hotel operations. The cost to implement LightSpeed for a typical 200-guestroom Tribute Portfolio Hotel is estimated to range from approximately \$106,000 to \$198,000. The ongoing cost of LightSpeed is covered by the Program Services Contribution. The costs to implement LightSpeed described above include the cost of hardware, software, and installation. The estimates do not include, and you must reimburse us for, all of the travel, meal, and lodging expenses we incur in connection with sending training and installation staff to your hotel. Your costs may differ significantly from these estimates depending on the number of guestrooms and interfaces at your hotel and any optional hardware or additional services you choose. Optional LightSpeed training classes may be made available on an annual basis for an additional cost. See Items 5 and 7 regarding the potential replacement of LightSpeed and related implementation and replacement costs. In addition, servers must be updated or replaced every four years, or as needed to meet evolving application requirements.

(2) **Consolidated Inventory and Total Yield (“CI/TY”).** CI/TY is a required web-based sales and services system. CI handles account, contact, and opportunity/lead management, as well as property sales, event space inventory, and event management. TY applies revenue management techniques to group business for guestrooms and function space. The cost to implement CI/TY is

approximately \$27,000 and is payable to us. The ongoing cost of CI/TY is covered by the Program Services Contribution.

(3) **Guest Experience Platform.** EMPOWER: Guest Experiences software (“GxP”) and EMPOWER: Guest Experiences Reservations Add-On License are required as part of Marriott’s guest experience platform. GxP is a cloud-based software that enables hotels to track and process mobile guest service requests and chats, as well as pre-arrival planning and guest complaints. The software also tracks guests’ preferences during their stays at Company Brand Hotels and makes such information available to your hotel. The EMPOWER: Guest Experiences Reservations Add-On License allows hotels to identify guests and access guest profiles, perform reservation tasks (such as loyalty program redemption stays), interact with limited group and inventory functions, and track and resolve customer complaints. It is required for hotels that have on-property reservations agents. The Program Services Contribution covers the ongoing cost of the minimum number of GxP licenses required under the standards and the cost of Marriott support. You must pay our then-current fee for additional licenses, presently \$454 for a set of 15 additional licenses. The cost of the EMPOWER: Guest Experiences Reservations Add-On License is approximately \$493 per year per reservations agent at the hotel, and is not covered by the Program Services Contribution. Supplemental software licenses may be available at an additional charge.

(4) **Point-of-Sale (“POS”) System.** The POS system integrates with the property management system and is used for food and beverage, retail, spa, golf, and other sales outlets at your hotel. You must use the Symphony hosted POS system from Oracle. Installation and training for the POS system will be performed by Oracle at your cost. The cost to implement the POS system is estimated to range from approximately \$40,000 to \$130,000 for a typical Tribute Portfolio Hotel with three to five workstations. The ongoing Marriott maintenance and support fees are covered by the Program Services Contribution. You must pay an additional charge of \$9.64 to \$22.00 per month per POS workstation at the hotel. Additional ongoing software and hardware support fees for the POS system will be charged directly by our approved vendor. The fees consist of an annual software hosting fee of approximately \$710 per hotel plus \$265 per software license, and an annual software support fee of approximately \$1,420 per hotel plus \$133 per software license. The annual hardware support fee (recommended) is estimated to be approximately 15% of the cost to purchase the POS system hardware. The estimated third-party costs associated with the POS system are provided to us by our vendors, and are subject to change. Add-on services may be available at an additional cost.

(5) **Reservation System and Yield Management System.** MARSHA is the reservation system currently required for Tribute Portfolio Hotels. MARSHA assists with reservations, check-in, charge posting, accounts receivable, night audit, check-out, housekeeping, and guest history. One Yield is the yield management system currently required for Tribute Portfolio Hotels. One Yield is a web-based guestroom inventory management system that provides forecasting tools and makes inventory recommendations. MARSHA and One Yield interface with your hotel’s property management system. The ongoing costs of MARSHA and One Yield are covered by the Program Services Contribution.

We may replace the current approved reservation system and related technology infrastructure and platforms described in Item 11. The cost to implement or replace the current approved reservation system and related technology infrastructure platforms, as well as the ongoing cost to maintain and upgrade these systems and platforms, is not yet known. These costs may meet or exceed the estimates provided in this Item 11.

(6) **Marriott Communications Network (“MCN”) and Property Network Standards.** In order to connect to business applications and services that are hosted off-property, a connection to the MCN is required. MCN provides a secure communications connection between our router installed at your hotel and Marriott data centers that host the business applications. Any devices on Marriott’s

networks must: (i) satisfy Marriott's security, patching, and monitoring requirements; and (ii) have the ability to receive and implement security and other information patches from the Marriott network. You are strongly encouraged to use Marriott-approved providers for network services at the hotel to carry this traffic. The bandwidth requirements increase based on the number of optional services subscribed to by the hotel and the number of users of those applications, which can drive the need for more MCN connection capacity over time. Hotel-specific bandwidth recommendations are available from your internet service provider. You are strongly encouraged to provide a secondary MCN connection to carry the business traffic should the primary MCN connection fail. The cost to implement MCN is payable directly to third-party vendors. The ongoing Marriott support charge for MCN is covered by the Program Services Contribution.

An on-property Wi-Fi network for the benefit of the hotel and guests is also required. The estimated cost to implement a Wi-Fi network meeting our standards ranges from approximately \$650 to \$850 per guestroom. The ongoing cost of the Wi-Fi network is estimated to be approximately \$3.00 to \$8.50 per month per guestroom. These amounts are payable directly to approved third-party vendors. We may require the Wi-Fi network to be upgraded or replaced every three to five years. Additional fiber optic networking and cellular augmentation (e.g., distributed antenna systems) are available from third-party vendors at an additional cost, and may be required in certain circumstances.

(7) **Digital Guest Services.** This application allows guests to use mobile devices (phones and tablets) and web browsers to check-in, check-out, receive room ready alerts, and place service requests. The cost to implement Digital Guest Services is approximately \$2,000. The ongoing cost of Digital Guest Services is covered by the Program Services Contribution.

(8) **Digital Food & Beverage Services.** This optional application allows guests to use mobile devices (phones and tablets) to place orders for pick-up and delivery at the hotel's food and beverage outlets. The cost of a Digital Food & Beverage Services application varies depending on whether the application is integrated into the hotel's POS system. The cost to implement a Digital Food & Beverage Services application that is integrated to the POS system is approximately \$4,000 to \$6,000 per revenue center, which includes the cost of an Oracle point of sale license and one year of support. The ongoing cost of a Digital Food & Beverage Services application that is integrated to the POS system is approximately \$2,200 to \$3,500 per revenue center per year, depending on the number of guestrooms at the hotel. A non-integrated version of the Digital Food & Beverage Services application is also available. The cost to implement the non-integrated version of the Digital Food & Beverage Services application is approximately \$1,440 per revenue center. The ongoing cost of the non-integrated Digital Food & Beverage Services application is approximately \$1,440 per revenue center per year. Additional costs may apply if the hotel has multiple revenue centers processing food and beverage outlet orders. These amounts are payable to third parties. Optional enhancements to Digital Food & Beverage Services and add-on programs and services, such as credit card processing services and a table/amenity reservation and management platform, are available at an additional cost.

(9) **Mobile Key.** This application allows guests to unlock guestroom doors using our mobile application. The cost to purchase a new lock system with Mobile Key technology will vary significantly depending on the vendor and lock model you choose, but is estimated to range from approximately \$75 to \$220 per lock (excluding the cost of cover plates and custom strikes), plus approximately \$10,000 to \$16,000 for a dedicated server and other hardware systems, installation, and training. In certain circumstances, franchisees may also incur a \$2,500 program management fee in connection with the installation of Mobile Key. The ongoing Marriott support cost for Mobile Key will range from approximately \$8 to \$11 per guestroom per year for software and support, which is payable to us. You must periodically update lock server systems in accordance with the standards. We estimate that the cost of periodic lock server updates will range from \$1,500 to \$2,500 per year. You will be required to

upgrade to Mobile Key 2.0 when the program is implemented at your hotel. The one-time cost to implement Mobile Key 2.0 is estimated to range from approximately \$2,225 to \$3,225.

(10) **Digital Self-Service Kiosk.** Hotels have the option of acquiring digital self-service kiosks that allow guests to check-in digitally at the hotel without queuing at the front desk. The cost to purchase and install a digital self-service kiosk is approximately \$5,700 per device, including a \$1,000 implementation fee payable to us. The ongoing cost of the digital self-service kiosk is \$469 per device per year for vendor support plus \$600 per device per year for Marriott support.

(11) **Mobile Device Management.** This software application allows users to access their Marriott email accounts and certain other Marriott applications on mobile devices. The cost of Mobile Device Management is \$9.00 to \$10.00 per device per month and is payable to us.

(12) **Guestroom Entertainment Platform (“GRE Platform”).** This platform allows Tribute Portfolio Hotels to provide an at-home television viewing experience to guests and consists of a set-top box for each guestroom television and access to approved entertainment applications (such as Hulu and Netflix). The cost to implement a GRE Platform is approximately \$23,500, plus \$220 per guestroom. The ongoing cost of the GRE Platform is estimated to range from approximately \$7 to \$9 per guestroom per month. We will control the content delivered to guests through the GRE Platform and other media systems at the hotel and we may derive revenue from such activities.

(13) **Lobby PC.** You must maintain one or more computer kiosks in a public area for guest use. The average cost of a computer kiosk with a printer is approximately \$2,500, and the annual cost for hardware and software support is approximately \$600.

(14) **Associate Alert Devices.** You are solely responsible for implementing a security policy for the hotel. The security policy must include associate alert devices with geolocation capabilities that allow staff to summon assistance in the event of an emergency. A device must be provided to each staff member that is regularly in contact with guests in enclosed spaces. The cost to implement the associate alert device program is approximately \$20,500 to \$26,000, including a \$283.00 implementation fee payable to us. The ongoing cost of the associate alert device program is approximately \$1.50 per guestroom and public space per month for vendor support.

(15) **Meeting Services Application (“MSA”).** This browser-based application allows service associates and meeting planners to plan and coordinate service requests and deliveries related to meetings in real time. The cost to implement MSA is \$5.49 per guestroom and is payable to us. The ongoing cost of MSA is covered by the Program Services Contribution.

(16) **Global Recipe Database.** This software application allows users to control recipe creation, components, costing, sharing, and scaling. The cost of Global Recipe Database is \$1,000 per year for the software license and is payable to our vendor, BirchStreet Systems. In addition, you must pay to us an annual maintenance charge of \$1.00 per guestroom (not to exceed \$800 per year).

(17) **Intranet Website.** Marriott Global Source (“MGS”) is an intranet website available through the Marriott network or by the Internet. MGS contains information such as standards, Marriott communications, and quality assurance information. The ongoing usage and support cost for MGS is covered by the Program Services Contribution.

(18) **Residential Software (if applicable).** If your hotel has a residential, condominium, or multi-family component, you will be required to implement a computerized key control system and a residential property management system. The cost for a computerized key control system is estimated to

range from \$7,500 to \$10,000 for installation, with an ongoing cost of approximately \$500 per year. The cost for a residential property management system is estimated to be approximately \$2,200 per year. Pricing for these systems will vary based on the systems you choose and the number of units at your project. You may incur additional costs for installation and training. You must maintain an additional GxP license for software specific to residential properties. The cost for an additional GxP license for your residential or condominium component is estimated to be \$980 per year and is payable to us.

Upgrades and Updates. You must install and use the upgrades or updates for our designated property management system, reservation system, yield management system, point-of-sale system, sales and catering system, and any other systems required for Tribute Portfolio Hotels. There is no contractual limitation on the frequency or cost of your obligation to upgrade or update such systems. You also must use the hardware maintenance contracts that we have negotiated with the hardware vendors. You must execute an Electronic Systems License Agreement regarding system hardware and software requirements. The form of such agreement is in Exhibit C. We have no obligation to provide ongoing maintenance, repairs, upgrades, or updates to any of the systems, hardware, or software you use.

PC Software and Support. All PCs that are connected to the Marriott network or that use Marriott proprietary software and applications must comply with our standards and run our current approved version of Microsoft Windows. The cost for hardware, software, and installation for a PC that meets the standards is estimated to range from \$1,200 to \$2,000, depending on whether the PC is a desktop or laptop. To support our security standards, certain software and support services and Forcepoint internet content filtering are required for PCs connected to the Marriott network. You must pay to us a fee of \$11.07 to \$27.00 per PC per month (or \$20.65 to \$71.50 per Apple computer per month) plus \$24.35 to \$62.50 per server per month for the support and maintenance of computers and servers that are on the Marriott network or that access certain Marriott applications. If you require additional support, you must pay our then-current fees, which may be computed on a per request (\$4 to \$235 per request) or hourly (approximately \$120 per hour) basis, depending on the service requested.

Payment Processing and Tokenization.

(1) **Payment Card Industry (“PCI”).** You must comply with all rules and regulations promulgated by the credit card companies and associations, including the current PCI data security standards and our PCI compliance standards. You must install the updates and upgrades necessary to comply with these rules, regulations, and standards and pay for the expenses associated with the upgrades and updates, including training, equipment, and travel, meal, and lodging expenses.

(2) **Payment Processing.** You must accept the forms of payment we designate, implement the payment solution we designate (which may include a centralized payment processing program), and use chip and pin ready payment devices. The amount payable to us to implement a payment solution is approximately \$2,750. The cost to purchase a chip and pin ready payment device from our approved vendor is estimated to range from approximately \$260 to \$900 per terminal device. In order to implement a chip and pin payment processing system, you must also acquire a PC that complies with our standards, runs our current approved version of Microsoft Windows, and is connected to the MCN. The cost to acquire a compliant PC is estimated to be approximately \$1,000. In addition, any restaurants, bars, or lounges satisfying the food and beverage requirements for the hotel may be required to implement a pay at table solution. The cost of a pay at table solution is estimated to range from \$2,000 to \$5,000 to implement the solution and \$125 per month thereafter, if your hotel does not already possess an LSP firewall. Except as otherwise noted, these amounts are payable to third parties.

You must also use our preferred providers in connection with processing credit cards, including authorizations and settlements. The cost to implement a credit card processing solution is

approximately \$79. Our preferred credit card processing vendor charges a credit card gateway services fee of \$0.047 per settlement transaction, our current credit card acquiring service provider charges a fee of \$0.01 per transaction, and the cost of credit card validation will be approximately \$0.04 to \$0.08 per transaction (which may be payable to us or to an approved vendor). These costs will vary depending on the gateway service provider used by your hotel and the guest's credit card service provider. We may support additional vendors in the future or implement additional processes to comply with PCI security regulations or other security standards.

(3) **Tokenization.** Tokenization, the process of replacing credit card numbers with indecipherable data, is a required part of our ongoing PCI compliance effort. All credit card data processed or transmitted on the Marriott network via any property-based system and terminal must be tokenized. The cost to implement tokenization is \$380 per device. The ongoing cost of tokenization is covered by the Program Services Contribution.

Data. We have independent access to the system databases at your hotel. We own, and there are no limitations on our right to access, the information and data you maintain utilizing such systems and software, which will include information about guests, reservations, our loyalty programs, revenues, and other business information related to hotel operations.

Costs, Changes, and Optional Programs. The specifications and prices of the systems, hardware, and software described in this Item 11 are subject to change based on availability from third-party vendors, the requirements of applicable law, market fluctuations and consumer preferences, and other factors, including our right to change or remove systems, or add new ones. You must implement these changes at your expense. We may offer optional technology support, programs, products, and services in addition to those described above at an additional cost.

Training

We require that personnel at your hotel complete our required training within a designated time period. All training must be completed to our satisfaction, and verification of successful completion must be presented upon our request. If you hire a replacement for any personnel who must attend a training program, the replacement must successfully complete the appropriate training program.

The following sets forth the required portions of the training program (and certain recommended courses) as of March 31, 2021. See Item 5 for additional information on certain training that we will provide to you prior to and in connection with your hotel opening, and see Item 7 for the anticipated range of costs for such training. We reserve the right to modify the training requirements as needed. We may require additional training programs and courses when systems and operating standards change. Upgrades to our electronic systems usually require mandatory training. The subject matter, time required, location, and costs are subject to periodic change. Amounts listed in the column entitled "Cost" include tuition and materials, but do not include travel and living expenses of trainees, which must be paid by you. All courses require access to the Marriott learning management system ("LMS"), a software application for the administration, documentation, tracking, compliance, reporting, and delivery of training programs. You must purchase an LMS subscription for each of your associates, the cost of which is anticipated to range from \$17.00 to \$22.00 per associate per year in 2022.

Our instructors have relevant experience in the subject taught. They were selected for their presentation, training and facilitation skills, educational background, job experience, and aptitude in the subject taught. They have completed training to be effective instructors and have completed certification requirements, if applicable, on the subjects taught.

We use a variety of instructional methods and materials in connection with our training programs, including digital training, interactive group sessions, self-paced modules, case studies, simulation activities, and video and audio training.

In 2023, we anticipate implementing a learning and development bundle that will cover the cost of certain required training programs, including the LMS and Business Skills Library subscriptions. The cost of the bundle is estimated to range from approximately \$11.60 to \$12.80 per guestroom per year. You must begin to pay this charge on the receipt of notice from us. The cost of the learning and development charge and the training programs it covers may be merged, modified, discontinued, or otherwise changed at any time. We will not be the trustee of, and will have no fiduciary duty to you for, the learning and development charge.

The following is a summary of required and recommended training programs, which are in addition to the training programs required for franchisee executives and management companies described in Item 5. We have identified with an asterisk (“*”) the training programs that we anticipate will be included in the learning and development bundle.

The majority of recommended training is provided at no charge, by you, or is web-based. As a result, we do not maintain records regarding the percentage of new franchisees that choose to enroll in such programs.

The following is a summary of required and recommended training programs, which are in addition to the training programs required for franchisee executives and management companies described in Item 5.

TRAINING PROGRAM

SUBJECT	HOURS OF CLASS-ROOM TRAINING	HOURS OF ON-THE-JOB TRAINING	LOCATION	POSITION(S)	COST	WHEN REQUIRED
Required Training						
Alcohol Awareness Training – TiPS	4 to 6 hours	None	Varies	All managers and associates who sell or serve alcoholic beverages	\$499 for new trainer certification, \$79 annually for TiPS trainer re-certification; \$40 per attendee for training materials and test	Within 3 months of hire; TiPS re-certification every 3 years (annual re-certification for trainers) This is our preferred program, but you may select another nationally or regionally recognized program.
Associate Services and Development*	Varies, based on hotel participation	None	Web-based or classroom training provided by Learning & Development	All customer-facing associates	Approximately \$3.50 to \$7.00 per guestroom per year	Annually

SUBJECT	HOURS OF CLASS-ROOM TRAINING	HOURS OF ON-THE-JOB TRAINING	LOCATION	POSITION(S)	COST	WHEN REQUIRED
CleanMatters (or equivalent housekeeping training)*	7 hours	Varies	Web-based and classroom	All housekeeping associates	No separate charge	Within 90 days of hire. We expect to launch a new cleaning program in late 2022 that will replace this program.
CleanMatters Trainer Certification*	2 hours	Varies	Web-based	Housekeeping leader/supervisor	No separate charge	At least one on-property leader must be certified if the hotel uses CleanMatters as its new hire housekeeping program. We expect to launch a new cleaning program in late 2022 that will replace this program.
Commitment to Clean*	Varies based on role	None	Web-based	All associates	No separate charge	Within 90 days of hire; all hotel associates must complete modules 1 - 3, and at minimum, leaders and associates in housekeeping, front office, food & beverage, meetings & events, sales & marketing, and spa/fitness/recreation must complete the remaining modules relevant to their role. We expect to launch a new cleaning program in late 2022 that will replace this program.
Compass: Navigating the Front Office (Compass)*	Varies by role	Varies by role	Web-based	All front office functions	No separate charge	Within 90 days of hire
Daily Meetings*	Approximately 15 minutes daily	None	At your hotel	All associates	No separate charge	Daily

SUBJECT	HOURS OF CLASS-ROOM TRAINING	HOURS OF ON-THE-JOB TRAINING	LOCATION	POSITION(S)	COST	WHEN REQUIRED
Daily Meetings: Leading Daily Meetings*	0.75 hours	None	Web-based	Daily meeting leader	No separate charge	Within 30 days of assuming shift leader responsibilities
EMPOWER: Guest Experiences (GxP)	Varies	None	Web-based	All associates who work with EMPOWER: GxP	No separate charge	Within 90 days of hire
Food Allergen Training*	1 hour	None	Web-based	Culinary managers; also recommended for associates who provide food and beverages	No separate charge	Within 60 days of hire
Food Safety Certification (Associates)	2 hours if at your hotel (hours for third-party training varies)	None	At your hotel or offered by third parties via the Internet	All associates who handle food and/or machinery, including food and beverage receipt, storage, preparation, and delivery	No separate charge if at your hotel (cost via third parties varies)	Within 60 days of hire; recertification every 2 years. If you have an hourly associate with a management certification, the 2-year recertification requirement is waived
Food Safety Certification (Management)*	8 hours	None	Web-based	Food & Beverage Management	Preferred vendor is ServSafe; Online course and exam through Marriott portal is \$143.20 (US Properties)	Within 60 days of hire; recertification every 5 years
Global Privacy*	0.5 hours	None	Web-based	General managers; also recommended for associates who handle customer data	No separate charge	Within 30 days of hire; annual recertification
Leading the Guest Experience (f/k/a At the Helm)*	24 hours	8 hours	Classroom and at your hotel	At least one front office leader; recommended for all front office leaders	\$1,335	At least one on-property leader must be certified; recertification every 2 years

SUBJECT	HOURS OF CLASS-ROOM TRAINING	HOURS OF ON-THE-JOB TRAINING	LOCATION	POSITION(S)	COST	WHEN REQUIRED
Loyalty All Associates Pathway	1 hour	None	Web-based	All associates	No separate charge	Within 14 days of hire
mHUB Training*	1 hour	None	Web-based	All associates	No separate charge	All new hires
New Hire Welcome*	3 to 5 hours, depending on curriculum delivery	None	Web-based and at your hotel	All associates	No separate charge	Within 30 days of hire or transfer
One Yield Certification Exam	Approximately 1 hour	None	Web-based	All revenue management associates	No separate charge; after two failed exam attempts, a \$2,500 fee will apply for each subsequent exam	Within 60 days of hire
Orientation*	3 hours	None	At your hotel	All associates	No separate charge	Within 30 days of hire
Recognize and Respond: Addressing Human Trafficking in the Hospitality Industry*	1 to 1.5 hours, depending on role	None	Web-based	All associates	No separate charge	Generally within 120 days of hire, but may be earlier as required by your jurisdiction; annual or bi-annual recertification, as required by your jurisdiction
Risk Management: Security Is Everyone's Responsibility*	0.5 hours	None	Web-based	All associates	No separate charge	Within 90 days of hire
Services for Guests with Disabilities*	Varies by role; up to 1.3 hours for leadership; under 1 hour for other roles	None	Web-based	All associates	No separate charge	Within 90 days of hire

SUBJECT	HOURS OF CLASS-ROOM TRAINING	HOURS OF ON-THE-JOB TRAINING	LOCATION	POSITION(S)	COST	WHEN REQUIRED
Systems Training (includes training for applications in the following areas: Sales & Catering, reservations, Revenue Management, Front Office, marketing, reporting, mobile, and property data)	4 to 50 hours, based on role	None	Web-based	All associates	No separate charge	<u>New hotels</u> : Complete prior to opening <u>Existing hotels with new hires</u> : self-paced; recommended within 60 days of hire
Recommended Training						
Advanced Communication Skills	16 hours	None	Market-based	All sales, marketing, or revenue management associates with at least 3 years of experience	\$975	As qualified
Advanced Prospecting Strategies and Tactics	8 hours	None	Market-based	All sales managers and leaders	\$650	As qualified
Advanced Revenue Management Skills	52 hours over 6 weeks	None	Web-based and virtual	Revenue managers that have completed RMST or in position for 18 months, or as approved by leadership	\$500 to \$1,200	As qualified
Brand Sales Training: Getting to Know the Brand*	0.5 hours	None	Web-based	All sales and event management associates	No separate charge	Before or during Ready Set Sell

SUBJECT	HOURS OF CLASS-ROOM TRAINING	HOURS OF ON-THE-JOB TRAINING	LOCATION	POSITION(S)	COST	WHEN REQUIRED
Brand Sales Training: Selling the Brand*	0.5 hours	None	Web-based	All sales and event management associates	No separate charge	Before or during Ready Set Sell
Business Acumen: The Power of Marriott International*	Up to 0.5 hours	None	Web-based	General manager and executive committee	No separate charge	Within 12 months of hire
Business Travel*	16 hours	None	Market-based	Sales managers responsible for managing the business travel segment and pricing process	\$850	Within 24 months of hire
Chinese Travelers and the Li Yu Program Training and Alipay Post Pay Training*	1 hour	None	Web-based	Front desk, housekeeping, and food & beverage	No separate charge	Within 180 days of hire
Cleanliness Certification*	24 hours	8 hours	Classroom and at your hotel	Housekeeping leader/supervisor	\$950	At least one person on-property must be certified; recertification every 2 years
Dynamic Selling - MHRS	24 hours	None	Market-based	Sales managers with at least 1 to 2 years of experience who have completed Sales and Service Foundations	\$975	Within 24 months of hire
Event Management Workshop	20 hours	None	Market-based	Event management associates	\$1,200	Within 24 months of hire

SUBJECT	HOURS OF CLASS-ROOM TRAINING	HOURS OF ON-THE-JOB TRAINING	LOCATION	POSITION(S)	COST	WHEN REQUIRED
Event Planning Fundamentals*	20 hours	None	Market-based	Event managers with event planning responsibilities and 1 to 2 years of experience	\$1,200	Within 12 months of hire
Gateway*	Varies	Varies	Web-based	Managers and above	No separate charge	Within 12 months of hire
Group Sales Agreement*	4.5 hours	None	Virtual	Sales managers responsible for contracting Marriott group sales agreements	\$440	Within 3 months of hire
Group Strategy Foundation*	24 hours	None	Virtual	Group strategy leaders, revenue managers, and group function space associates with at least 3 months of experience	\$450	As qualified
Hotel Executive One Yield Workshop	4 hours	None	Market-based	General managers, directors of sales, and other hotel executives and non-certified One Yield users with at least 30 days of experience	\$175	As qualified
Hybrid Meetings*	Up to 1 hour	None	Web-based	Sales and service professionals	No separate charge	Within 12 months of hire
Lobster Ink Food & Beverage Foundational Skills Training	20 hours of restaurant training; 20 hours of bar training	4 to 6 hours	Web-based	Restaurant and bar managers, supervisors, and associates	\$600 per year	Within 12 months of hire
Marketing @ Marriott*	2 hours	None	Web-based	General managers and any function with marketing responsibilities	No separate charge	Within 12 months of hire

SUBJECT	HOURS OF CLASS-ROOM TRAINING	HOURS OF ON-THE-JOB TRAINING	LOCATION	POSITION(S)	COST	WHEN REQUIRED
Marriott Bonvoy Events Resource Hub	Varies based on role	None	Web-based	Meetings and events associates	No separate charge	As needed
Marriott Bonvoy Loyalty Program Training	0.5 to 4 hours, based on role	None	Web-based	All associates	No separate charge	Within 90 days of hire
Marriott Bonvoy Training - New Hotel Opening	3 hours	None	Market-based	All associates	No separate charge	2 to 7 days prior to hotel opening
Negotiating Skills	4.25 hours	None	Virtual and web-based	Sales managers with at least 1 to 2 years of experience who have completed Sales and Service Foundations	\$150	Within 24 months of hire
OY Advanced Users Workshop	48 hours	None	Virtual or market-based	Revenue professionals who are One Yield certified	\$200 to \$1,000	As qualified
Ready Set Sell (RSS)*	Approximately 20 hours over 10 to 12 weeks	None	Web-based and virtual, or web-based and market-based	All sales managers and leaders	\$1,500 to \$2,000	Within 12 months of hire
Revenue Management Skills Training (RMST)*	24 hours	None	Web-based and virtual, or market-based	Revenue Manager	\$400 to \$1,000	Within 12 months of hire
Revenue Maximization for Sales and Event Management	16 hours	None	Market-based	All non-revenue management associates	\$850	Within 24 months of hire
Rock Your Strategy	4 hours	None	Virtual or market-based	Sales strategy team members (max 10)	\$300 to \$1,100 per hotel team	As qualified

SUBJECT	HOURS OF CLASS-ROOM TRAINING	HOURS OF ON-THE-JOB TRAINING	LOCATION	POSITION(S)	COST	WHEN REQUIRED
Rouxbe Online Cooking School	30 hours for Level 1; 75 hours for Level 2	None	Web-based	All culinary managers and associates	\$900 per year per hotel	Within 12 months of hire
Selling in a Down Economy	1 hour	1 hour	Web-based	All sales managers and associates responsible for sales functions	\$15	As qualified
Social Media Management: Minimizing Risk*	0.75 hours	None	Web-based	All associates	No separate charge	Within 90 days of hire
Social Media: Personal and Professional Impacts*	0.25 hours	None	Web-based	All associates	No separate charge	Within 90 days of hire
Topline Activation*	2.5 to 15 hours, depending on assessment results	None	Web-based	General manger and topline leaders	No separate charge	Within 3 months of hire if new to Marriott; within 9 months of hire if incumbent
Virtual Selling*	0.5 hours	None	Web-based	All sales associates	No separate charge	Within 12 months of hire

We may provide other training to you at no charge, and not as a part of the pre-opening team, if we decide that it is necessary. For example, we may provide an on-site visit by one of our corporate or regional associates to help your employees with sales, marketing, or operating issues. Our regional team members advise franchisees on recommended training programs after we review the needs of your employees. Optional and recommended training programs will be made available periodically at our then-current rates.

During years in which we hold a regional General Managers Conference, the general manager of your hotel will be required to attend. During years in which we hold a continental General Manager and Sales Leader Conference, the general manager and sales leaders of your hotel are encouraged to attend. You must pay the costs for your hotel's attendees, including a conference registration fee and any travel and living expenses. Conference registration fees vary depending on the length and location of the conference. If required, you will be charged a conference registration fee even if your hotel's general manager does not attend the conference. The conference registration fee for the most recent regional General Managers Conference was \$2,500 for each hotel general manager and \$4,000 for each above-property attendee. The conference registration fee for the next continental General Manager and Sales Leader Conference is expected to be \$1,000 per attendee.

General manager brand immersions are required within the first six months of hire for all general managers who are new to the brand. General manager brand immersions are created and delivered by the global and continent brand teams and are typically offered in a cohort style session. Live programming includes three days of immersive content that covers key topics to successfully lead the brand on-property. The cost for your general manager to participate in brand immersions is \$1,250 per person, plus travel and living expenses, which must be paid by you. Immersions may be offered virtually if global business conditions prohibit travel.

You must pay a fee each year for the design, development, sustainment, and delivery of certain training required by the standards, including brand service, culture, and other brand standards training. In 2021, this fee is estimated to range from \$1.73 to \$3.45 per room per year. There may be additional costs for hotel-specific collateral.

The Business Skills Library (SKILL) has numerous eLearning courses available in multiple languages in a number of areas including Business Strategy and Operations, Sales & Marketing, Customer Service, Administration, Work-Life Balance, Time Management, Communications, Team Building, Management, and Leadership, as well as thousands of video segments available for employees to view for development purposes. You will be charged approximately \$0.93 per guestroom in your hotel for access to these materials. We anticipate that the cost of SKILL will be covered by the learning and development bundle.

We have numerous leadership training programs that are held at different locations throughout the year and are available to you on an optional basis. These training programs are intended to enhance personal and professional development and include programs such as Ascent – HiPo Leadership Training, Base Camp – HiPo Leadership Training, Impact Leadership, Leadership Excellence, and Leading Innovation. There is a charge per participant ranging from \$1,000 to \$10,000, not including travel and living expenses of trainees, which must be paid by you.

New-to-Marriott franchisee executives, general managers, and sales and marketing executives must attend Executive Orientation at least 12 months prior to the hotel's opening. You must pay our then current fee for Executive Orientation. The cost of Executive Orientation presently ranges from approximately \$795 to \$1,095 per person.

If you desire to operate a new-build hotel but we determine that you are not qualified to operate a system hotel without additional training, you must participate in the Franchisee Introduction to Marriott program ("FITM"). FITM includes executive level in-person meetings and self-paced, web-based training on the use of Marriott programs, systems, and services. You must pay our then-current FITM enrollment fee, presently \$60,000, at least 24 months before the hotel opening deadline set forth in your franchise agreement. If you are converting another Company Brand Hotel to a system hotel, purchasing an existing system hotel, or converting a hotel that is currently managed by us or one of our affiliates to a franchised system hotel, and we determine that you are not qualified to do so without additional training, you must participate in the Franchisee Introduction to Marriott program for relicensings ("FITM-R"). The enrollment fee for FITM-R is \$60,000 and must be paid when you execute the franchise agreement.

Alternately, if we determine that you are qualified to operate a new-build hotel, but are unfamiliar with the system, we may require you to participate in the Franchisee OnBoarding for New Development program ("FOND"), through which we provide additional self-paced, web-based training on the use of Marriott programs, systems, and services. You must pay our then-current FOND enrollment fee, presently \$20,000, at least 24 months before the hotel opening deadline set forth in your franchise agreement. If you are converting another Company Brand Hotel to a system hotel, purchasing an existing system hotel, or converting a hotel that is currently managed by us or one of our affiliates to a franchised

system hotel, and we determine that you are unfamiliar with the system, then you must participate in the Above-Property Immersion Program (“API”). The API enrollment fee for up to 4 participants at one time is \$15,000 and must be paid when you execute the franchise agreement.

The ranges above exclude, and you must pay for the cost of, travel, meal and lodging expenses incurred by you and your designated attendees to complete training programs that are not conducted on site, such as Executive Orientation, FITM, and FOND.

Franchisees that participate in FITM, FOND, FITM-R, or API must also undergo one non-accountable brand standard audit and, for a period of two years, participate in the Revenue Management Advisory Services program, the Customer Engagement Center Property Support Services program, our Digital Marketing program, and the sales programs we specify, at an additional cost. If you do not complete these programs by the time frame specified by us, you may: (a) incur additional fees and charges; (b) be required to retain an approved third-party management company to operate the hotel; and (c) be required to take other action steps. There may be changes to the program and the cost.

If 33% or more of the Company Brand Hotels operated by you, your affiliates, or your management company are placed in the Red Zone in any quality assurance performance zone, we may require you to participate in an Audit Program/GSS Improvement program and pay our then-current fee, presently \$20,000 for up to 10 participants, plus an additional \$10,000 for 11 to 20 participants. Designed to take place over approximately nine months, the Audit Program/GSS Improvement program will consist of additional training on brand standards, in-person meetings and webinars, and non-accountable audits for each Company Brand Hotel that you operate, at your expense. If the training is not successfully completed, you will be required to hire a third-party management company consented to by us to operate the hotels. The requirement to participate in the Audit Program/GSS Improvement program is in addition to any other rights or remedies we may have under the franchise agreements or applicable law.

Residential Training (if applicable)

If your hotel has a residential, condominium, or multi-family component, prior to opening such units, your director of residences (residential leader) must attend a two-day residential on-boarding training session. There is no charge per participant for this training, but you are responsible for your trainees’ travel and living expenses. We estimate your costs will be \$1,500, but may vary depending on the actual travel costs and number of attendees. You may also choose to participate in our regional or global residential training meetings, at your cost. For hotels with a multi-family component, you may be required to provide additional, periodic training for your associates at an estimated cost of \$250 per person per year. In addition, you must pay a learning bundle charge of \$4.60 to \$5.10 per residential, condominium, or multi-family rental unit per year.

ITEM 12

TERRITORY

Your franchise agreement will permit you to operate one hotel of a specific size at a specific site selected by you and approved by us. You will not receive the right to acquire additional franchises at any location. We and our affiliates have and retain the rights to, or license or franchise others to, develop, promote, market, own, operate, lease, license, franchise, and/or manage other hotels, lodging products or concepts or other business operations (including Tribute Portfolio Hotels, other Company Brand Businesses, and lodging products operating under the MVW Licensed Brands) at any location, including locations adjacent or proximate to your hotel. These business operations may compete directly with, and adversely financially impact the operation of, your hotel.

You will not receive an exclusive territory. You may face competition from other franchisees, from outlets that we or our affiliates own, lease, manage, license, or franchise, or from other channels of distribution or competitive brands that we or our affiliates control.

You may not be granted a territory, but if you are, it will be non-exclusive. Generally, a territory: (i) will apply to Tribute Portfolio Hotels only; (ii) will apply for a duration of five years or less; (iii) will not apply to any hotel that is existing or under development as of the date of the franchise agreement; (iv) will not apply to any hotel or hotels that are members of a chain of hotels or a group of hotels (with a minimum of four hotels in operation) that is acquired by, merged with, franchised by, or joined through a marketing agreement with, us or one of our affiliates, or the operation of all or substantially all of such hotels is transferred to us or one of our affiliates, even if any such hotel converts to a Tribute Portfolio Hotel; and (v) will not apply to any residential or condominium products or other lodging product developed by us or one of our affiliates (including products using our reservation channels, distribution channels, and loyalty programs). Generally, you will not be granted a territory in connection with the residential or condominium component of your hotel development project. If a territory is granted, specific terms for the grant of a territory, the size of the geographic area, and its duration will depend upon the market in which the site is located, and it will not include, either expressly or by implication, any right for you to develop additional hotels at sites within the territory or to enlarge the hotel at the approved site. If you are granted a territory, it may be defined as a radius around your hotel or delineated by streets, highways, or other geographical boundaries. The continuation of your territorial rights, if any, will not be contingent on your hotel achieving a particular sales volume or market penetration, but may be contingent on other factors such as the timely commencement of construction and opening of your hotel.

The franchise agreement does not provide you with any options, rights of first refusal, or similar rights to acquire additional franchises.

We may seek to resolve any conflict that arises between franchisees and us, or among franchisees, or concerning territories, customers, or franchisor support, on a case-by-case basis. In doing so, we will consider the rights and obligations of the parties under the applicable contracts.

We provide notice to Company Brand Hotel franchisees and owners of certain new development and conversion projects for Company Brand Hotels as set forth in our Growth Administration Guidelines, which are available on request. These guidelines currently provide notified owners and franchisees with an opportunity to respond in writing regarding any concerns they may have with respect to the proposed project, as well as an opportunity, if certain conditions are met, to request an independent impact study. These guidelines are subject to change or elimination.

You may face competition from other franchisees, from outlets that we or our affiliates own, lease, manage, license, or franchise, or from other channels of distribution or competitive brands that we or our affiliates control.

You may only solicit or accept reservations for your hotel through the means we designate or approve in writing. We currently have distribution agreements and relationships with online distribution channels including Expedia, Priceline.com, Booking.com, and Travel Ease. Access to your hotel's inventory by these channels is typically facilitated through a direct or third-party managed interface with our designated reservation system. In certain circumstances, some of our contracts with online distribution channels provide for access to hotel inventory through other means, such as by extranet. Franchisees may elect to participate on the terms set forth in our distribution agreements or may negotiate their own agreements with any online distribution channels as long as they are consistent with our designated best rate guarantee policy (as described in Item 16) and other applicable standards (which include criteria for approval of third-party distribution channels). If you elect to negotiate your own agreement with an online distribution channel, we will be under no obligation to support your business relationship with that online distribution channel, including by making available the use of our programs and systems such as our designated property management system, CTAC, and our designated reservation system in connection with the use of that channel. We prohibit franchisees from using certain online distribution channels and limit the inventory franchisees may make available to customers through certain online distribution channels.

Our and our affiliates' reservations, sales, and marketing personnel may market not only Tribute Portfolio Hotels, but also any other Company Brand Businesses, MVW Licensed Brands lodging products, and any other lodging products that become affiliated with us. They may use our reservation system, national and regional sales offices, purchasing arrangements, marketing and training services, and corporate headquarters personnel, and they may use all types and channels of distribution. Our representatives may recommend to customers lodging products other than Tribute Portfolio Hotels based on their needs and desires for location, availability of accommodations, level of services, amenities, and price.

We may establish other systems involving similar services or products, under different trademarks, and may establish company-owned, managed or franchised businesses for those other systems, in the hotel's territory.

ITEM 13

TRADEMARKS

We will give you the right under the franchise agreement to develop and operate a hotel under the name “Tribute Portfolio” subject to compliance with our standards. You may also use other current or future trademarks designated by us for the operation of your hotel. By “trademarks,” we mean trade names, trademarks, service marks, logos, and other symbols used to identify your hotel, whether registered or unregistered. We or our affiliates have registered the following principal trademarks on the Principal Register of the United States Patent and Trademark Office:

MARK	REG. NO.	REG. DATE
TRIBUTE PORTFOLIO	4864574	01-Dec-2015
TRIBUTE PORTFOLIO HOTEL	4980030	14-Jun-2016

We have filed all required affidavits.

We also have filed the following application with the United States Patent and Trademark Office to register the following principal Tribute Portfolio trademark:

MARK	APP. NO.	APP. DATE
TRIBUTE PORTFOLIO	88463845	07-Jun-2019

We do not have a federal registration for some of our principal trademarks. Therefore, those trademarks do not have as many legal benefits and rights as federally registered trademarks. If our right to use a trademark is challenged, you may have to change to an alternative trademark, which may increase your expenses. Once we obtain a federal registration, however, our rights derived from federal registration of the trademark will be effective as of the filing date of the application.

You will identify your hotel using the hotel name we designate, which will contain some variation of the Tribute Portfolio trademark(s) and your chosen trademark (as described below). This mark is subject to change at our discretion. We may develop additional trademarks for use in the operation of Tribute Portfolio Hotels, or we may withdraw or substitute trademarks. You must modify or discontinue the use of a trademark or the hotel name at your expense if we modify or discontinue it.

We have the right to use, and to license others to use, the trademarks listed in this Item 13, because we either own those trademarks or have an agreement with an affiliate that owns those trademarks.

You may not use the words “Tribute Portfolio,” “Tribute Portfolio Hotel,” or any other trademark or confusingly similar mark or name in your corporate, partnership, or trade name, or in any other business or trade name, or otherwise in connection with any business activity or venture. You are also prohibited from using our trademarks or any confusingly similar trademarks in any email address or domain name (except as we authorize), mobile application name, or any other electronic identifier. In addition to any other rights or remedies available to us under the franchise agreement and applicable law, we will charge a fee of \$100 each day any email address, domain name, or application using our marks is live, and we may limit your access to our reservation and distribution channels.

There are currently no effective material decisions of the United States Patent and Trademark Office, the Trademark Trial and Appeal Board, the trademark administration of any state or any court, or

any pending infringement, opposition, or cancellation proceeding, or any pending material litigation, involving the trademarks identified above. There are no agreements that materially limit our right to use or license the use of the trademarks identified above.

You must notify us promptly in writing if you learn about an infringement of, or challenge to, your use of our trademarks. You must cooperate fully in defending or settling any litigation against you that involves the trademarks. If you are in compliance with the terms of the franchise agreement, we will indemnify and defend you against all third-party claims that your use of our trademarks in accordance with the terms of the franchise agreement infringes upon the rights of any other party; provided, however, that you give us immediate written notice of any claim, permit us to have sole control over the defense and settlement of the claim, and cooperate fully with us in defending or settling the claim. We will not be obligated to indemnify or defend you (i) if you are in default under the franchise agreement when a claim is made or become in default under the franchise agreement before the resolution of a claim; or (ii) if the claim is based on a use of our trademark not authorized by the franchise agreement.

The franchise agreement requires us to protect the validity of our trademarks, except that we are not required to maintain any registration of any trademark that we determine cannot or should not be maintained. We may settle any dispute in any manner that we think appropriate, which may or may not include filing suit against imitators or infringers.

We do not know of any superior prior rights or any infringing use that could materially affect your use of our trademarks.

We anticipate that you will have one or more trademarks used in connection with the operation of your hotel, including the name of the hotel, the name of any restaurants operating at the hotel, and the name of any other operating departments of the hotel (including spas, golf courses, and other auxiliary departments). You must consent to our use of each of your trademarks used in connection with your hotel and you must hold us harmless from all claims relating to or arising out of our use of each such trademark. In addition, you will indemnify and defend us against all third-party claims arising out of or relating to our use of each of your trademarks used in connection with the hotel. You agree that you do not obtain any rights in our trademarks (beyond the right to use our trademarks granted in the franchise agreement) by virtue of the use of your trademarks in conjunction with our trademarks.

ITEM 14

PATENTS, COPYRIGHTS, AND PROPRIETARY INFORMATION

We and our affiliates claim all rights and interests, including all copyright and patent rights, to the information contained in the standards, as well as in any training or other materials or systems made available to you. You do not own the rights to any materials or systems made available to you, but you may use the proprietary information in our standards for the sole purpose of operating your Tribute Portfolio Hotel under our franchise agreement. All information regarding the customers of the hotel (or residences, if applicable), regardless of source, is proprietary to us.

Marriott's designated property management system, reservation system, yield management system, sales and catering system, intranet website, the standards, the guest satisfaction survey system, and all other current or future information systems and marketing and management programs made available for your use are proprietary to us, our affiliates, or our licensors. We and/or they claim all rights and interests, including all copyright and patent rights, to these systems. There are no currently effective determinations of the U.S. Copyright Office (Library of Congress), or of any court, nor are there any pending infringement, opposition or cancellation proceedings or material litigation, involving any of the proprietary materials in which we claim a copyright which are relevant to their use by our franchisees. There are no agreements currently in effect which significantly limit our right to use or license the use of our copyrighted materials in any manner material to your hotel, and we do not know of any infringing uses of our copyrighted materials which could materially affect your use of the copyrighted materials.

We claim proprietary rights in, and you will have certain obligations to maintain the confidentiality of, the following information (collectively, "Confidential Information"): all standards and documents created for or approved for use in the Tribute Portfolio Hotel system or in the operation of the hotel or residences, as applicable; the negotiated terms in your franchise agreement and related agreements; all software, including data and information processed or stored using the software, and accompanying documentation; any customer lists or other customer information (including names, email addresses, postal addresses, phone numbers, credit card numbers, preferences, etc.); information in our loyalty programs; and any other confidential or proprietary information, knowledge, or know-how concerning the Tribute Portfolio Hotel system or the operation of the hotel or residences, as applicable that may be communicated or provided to you or of which you may be apprised, by virtue of your ownership or operation of the hotel or residences, as applicable. You must not, without our prior consent, copy, reproduce, or make available to anyone, or use for any purpose other than operation of your hotel or residences, as applicable, any of the Confidential Information. You may divulge Confidential Information only to your employees or agents who require access to it to operate the hotel or residences, as applicable, only after they are advised that such information is confidential and that they are obligated to maintain its confidentiality. The Confidential Information has commercial value. We and our affiliates have taken reasonable measures to maintain its confidentiality. Accordingly, the Confidential Information is proprietary and a trade secret of ours and our affiliates. Your obligations to maintain the confidentiality of Confidential Information will extend beyond the expiration or termination of the franchise agreement and you will be liable for any breaches of such obligations by your employees and agents.

Confidential Information may exist in any medium including documents, computer files, voicemail, email, and other digital media and oral information. "Personally Identifiable Information" is a special category of Confidential Information that includes any information that can be associated with or traced to an individual, such as the individual's name, address, telephone number, email address, credit card information, driver's license number, passport number, or other similar specific factual information.

You must implement reasonable security measures, including any and all security measures that we require, to protect all computer systems and Confidential Information from loss, misuse and unauthorized access, disclosure, alteration, and destruction. In addition, you must comply with all applicable data protection laws pertaining to Personally Identifiable Information and rules and regulations promulgated by the applicable credit card associations. In the event of a security breach involving Personally Identifiable Information of guests at your hotel (or residences, if applicable), you must comply with all applicable data breach notification laws as well as our standards applicable to such breach. You must notify us when you become aware of any such breach and provide credit monitoring for impacted individuals in accordance with our standards. You will be required to reimburse us for all costs incurred by us in connection with a security breach involving Personally Identifiable Information of guests at your hotel (or residences, if applicable).

You must notify us promptly in writing if you learn about unauthorized use of any proprietary systems or Confidential Information. You must cooperate fully in defending or settling any litigation against us or you that involves our proprietary systems or Confidential Information. We or our licensors are not obligated to indemnify you against claims that your use of the proprietary systems or Confidential Information under the terms of the franchise agreement infringes upon the patent or copyright rights of others unless such an indemnity is provided by the third-party licensor of such system. We or our licensors have the right to control any litigation and may settle any dispute in any manner that we think appropriate, which may or may not include filing suit against unauthorized users of our proprietary systems or Confidential Information.

We currently own the following patents pertaining to our business processes:

US Patent No. 8,321,286 “Methods and apparatuses for calculating an optimal revenue total yield for both sleeping and function space in a hospitality establishment for a set of demands that includes both group and transient demands.” The application for a yield management methods and apparatuses was filed on February 29, 2004, and was granted on November 27, 2012.

US Patent No. 10,686,856 “System and methods for initiating a media streaming device, particularly for devices associated with a guest services environment.” The application for a guestroom entertainment platform was filed on October 12, 2016 and was granted on June 16, 2020.

US Patent No. 10,735,201 “Method and Apparatus for Key Printing.” The application relating to a methodology and apparatus for printing guestroom key cards was filed on July 15, 2016 and was granted on August 4, 2020.

US Patent No. 11,122,096 “Continuation Patent – System and Method for Hotel Multicast Services Manager.” The application for a system and method allowing mobile devices to join a guest services network was filed May 29, 2020 and was granted on September 14, 2021.

We reserve the right to file additional patent applications and to obtain patents for our business processes in the future. Business processes related to the system are proprietary to us or our affiliates. Therefore, you may not file a patent application for any of these processes.

If we decide to add, modify, or discontinue the use of an item or process covered by a patent or copyright, you must do so, at your expense. We are not obligated to defend your use of these items or processes.

ITEM 15

OBLIGATION TO PARTICIPATE IN THE ACTUAL OPERATION OF THE FRANCHISE BUSINESS

We require franchisees to operate the hotel or to hire a management company consented to by us (Franchise Agreement – Section 8.1). A general manager who has successfully completed our training program must directly supervise the business on the premises. We require the general manager and other managers to devote full time to the management and operation of the hotel.

We may determine that you are not qualified to operate your hotel. In making such determination we will review, among other things, your managerial and operational experience, skills, capacity, capabilities, and philosophy to determine whether, based on our experience as a franchisor, owner, and operator of hotels, we believe you will be able to operate your hotel in accordance with the standards and the franchise agreement. If we determine that you are not qualified to operate your hotel, you will be required to hire a management company to operate your hotel. In certain circumstances, we may allow you to participate in a franchise management training program. We may include certain provisions in your franchise agreement that will require you to retain a third-party management company if you fail to meet certain quality assurance requirements.

Even if we determine that you are qualified to operate your hotel, you may desire nonetheless to hire a management company to operate your hotel. You must obtain our consent before you hire a proposed management company to operate your hotel. We have the right to approve any new or replacement management company and the right to review any management agreement between you and a management company. The management agreement must be subject to the terms and provisions of the franchise agreement.

We require you and any management company to enter into a Management Company Acknowledgment substantially in the form included in Exhibit C. This agreement requires you and the management company to, among other things, operate the hotel in conformity with the franchise agreement and our standards, and to maintain the confidentiality of the Confidential Information described in Item 14. We have the right to require you to replace the management company or terminate the franchise agreement if the management company fails to operate the hotel in strict compliance with the franchise agreement.

We do not require the on-premises management company or general manager to have an equity interest in the franchised business.

After a review of the financial information submitted with your application and a review of the ownership structure of the proposed franchisee, the hotel, and the real property on which the hotel will sit, we will determine guaranty requirements. If the franchisee is an entity, we may require the principals of the entity to sign a guaranty of the franchisee's obligations substantially in the form included in Exhibit C. In certain limited instances, we will accept the guaranty of an entity with substantial net worth instead of some or all of the principals of the franchisee. The primary determining factors will include: (i) the net worth and liquidity of the proposed guarantor; (ii) the credit and operating history of the proposed guarantor; and (iii) the debt structure applicable to the hotel. If you propose an entity to serve as the guarantor, you must submit financial statements for that entity. If we send to you a written notice of default or if we or our affiliates enter into any form of forbearance agreement with you, we may require you to provide a guaranty from a party acceptable to us to cover all of your obligations under the franchise agreement and related agreements.

If you do not own the hotel, we generally require the owner of the hotel to enter into an Owner Agreement substantially in the form included in Exhibit C.

If your hotel will be structured so that it involves residential, condominium, or multi-family units, we will require that you maintain ownership and control of all components of the hotel necessary for hotel management operations and may require you to maintain ownership and control of other facilities or common areas of the project that are not required by law to be owned or controlled by the unit owners.

If the licensee under a residential marketing license agreement or a multi-family component license agreement is an entity and not an individual, we generally require the principals of the entity to sign a guaranty of the licensee's obligations. In some cases, we will accept the guaranty of an entity with substantial net worth instead of some or all of the principals of the licensee. The primary determining factors will include: (i) the net worth and liquidity of the proposed guarantor; (ii) the credit and operating history of the proposed guarantor; and (iii) the debt structure applicable to the project. If you propose an entity to serve as the guarantor, you must submit financial statements for that entity.

ITEM 16

RESTRICTIONS ON WHAT THE FRANCHISEE MAY SELL

You must offer all of the goods and services that we designate. Furthermore, you may offer only those goods and services that we require or specifically allow. Except as provided below, you are responsible for determining the price at which you offer your goods and services.

Our operating standards, including the types of goods and services required to be offered, are subject to change. These changes may apply to all system hotels or certain categories of system hotels if we determine that the market area or the special physical characteristics of the hotels make exceptions appropriate.

You must use reasonable efforts to encourage and promote the use of Tribute Portfolio Hotels and refer reservation requests that you cannot fulfill to other Tribute Portfolio Hotels or Company Brand Hotels.

You will not use any part of the hotel for any business other than operating a system hotel. You will not use any part of the hotel or the system to divert business to any other business at or outside of the hotel. You must not market, advertise, or promote at the hotel any business that we have not approved. Specifically, your hotel must not be used to market or promote:

(i) Any lodging business, including advertising hotels, residences, vacation or timeshare facilities or similar products used on a periodic basis, conference centers, or other lodging products not operated under a trade name or trademark owned by us or any of our affiliates (including any other hotel operated by you or in which you or one of your principals holds an interest); or

(ii) Any business or concession at the hotel, except as expressly permitted by us.

You must offer your inventory of rooms through the mandatory reservation and distribution channels that we designate, such as: Marriott Worldwide Reservations; Marriott.com and such other online/digital reservation and distribution channels as we may designate (which may be managed by us, our affiliates, or third parties); the Global Distribution Systems (GDS)/DHISCO; travel agents, and travel management companies. You may also offer your inventory of rooms through approved, non-mandatory channels, such as third-party providers and online distribution channels. If your hotel has residential, condominium, or multi-family units that participate in a rental program, such units may also be offered through our designated reservation and distribution channels. Our arrangements with these reservation and distribution channels are renegotiated periodically and may be modified or discontinued at any time.

You are responsible for setting your own prices and rates for the goods and services offered by your hotel, except that we: (i) prohibit price-gouging at the hotel; (ii) require you to participate in our associate rate discount program; (iii) may require you to provide discounted rates to members of our loyalty programs; (iv) prohibit you from charging for certain goods or services that we require be provided on a complimentary basis; (v) prohibit complimentary or reduced price guestrooms or food and beverage to benefit any other business at or outside of the hotel; and (vi) prohibit certain types of surcharges, destination fees, resort fees, and other similar fees, unless we determine that the fees are appropriate based on, among other factors, the location of the hotel, the services offered by the hotel, and consumer sentiment regarding the assessment of such fees. You may also be prohibited from charging certain fees by applicable law or by consent orders entered into by us on behalf of system hotels. In addition, as discussed below, you must distribute your inventory in a manner consistent with our designated best rate guarantee policy. We may, from time to time, recommend or suggest prices or rates for the products and

services you offer, including in circumstances involving your participation in various sales or revenue management programs, account management programs, and/or other consulting services or promotions offered by us and our affiliates. Our recommendations or suggestions concerning prices or rates are not mandatory, and you are ultimately responsible for determining the prices or rates at which you offer your goods and services. If you participate in such programs and promotions you must honor any price to which you commit. If we provide inventory management or sales services to you, you will consign hotel inventory to us, we will act as your sales agent, and you will retain all risk of loss for unsold or cheaply sold inventory. Nothing contained in the franchise agreement or any other agreements required for participation in any programs or services described above should be considered a representation or warranty by us that the use of such suggested or recommended prices or rates, or inventory management or sales services will produce, increase, or optimize your profits.

You must comply with our policies regarding publishing rates and transmitting rates to us and other reservation channels. You must comply with our designated best rate guarantee policy. This policy provides that a hotel's published room rates across all reservation channels should not be lower than its published rates on Marriott.com, the Marriott Bonvoy Application, Marriott Worldwide Reservations, Property Direct, and any other reservation channels owned or operated by Marriott or its affiliates (these channels and any other channels that Marriott designates are collectively referred to as "Marriott Direct Channels"). Our designated best rate guarantee policy also provides that if a customer books a Company Brand Hotel room through a Marriott Direct Channel and then finds a lower publicly available rate within 24 hours for the same hotel, room type, and dates on any non-Marriott Direct Channel, or with a travel agency or travel management company, the hotel will match the lower rate and will either provide an additional 25% off the room rate or issue loyalty program points to the customer consistent with our then-current policies. We monitor hotel compliance with this policy and will assess a non-compliance charge in each instance where the hotel's published room rate violates this policy. You must also reimburse us for all costs, including audit costs and excess property reimbursements, we incur in connection with your non-compliance. This policy is described in the standards and is subject to specific terms and conditions, which we may change in our sole discretion.

We currently have distribution agreements and relationships with distribution channels including Expedia, Priceline.com, Booking.com, Travel Ease, travel management companies, and tour operators, among other channels. Access to your hotel's inventory by these distribution channels may be facilitated through a direct or third-party managed interface with our designated reservation system. In certain circumstances, some of our contracts with distribution channels provide for access to hotel inventory through other means, such as by extranet. Certain of these arrangements are mandatory, and franchisees must participate on the terms set forth in our distribution agreements. If participation in a distribution arrangement is optional, you may elect to participate on the terms set forth in our distribution agreement or may negotiate your own agreement with the distribution channel so long as the agreement is consistent with our designated best rate guarantee policy and other applicable standards (which include criteria for approval of distribution channels). If you elect to negotiate your own agreement with a distribution channel, we will be under no obligation to support your business relationship with that distribution channel, including by making available the use of our programs and systems such as our designated reservation system, our designated property management system, and CTAC in connection with the use of that channel. We prohibit franchisees from using certain third-party distribution channels and limit the inventory of guestroom nights franchisees may make available to customers through each distribution channel.

We also have arrangements with payment processing vendors such as American Express and Alipay. You must participate on the terms set forth in our agreements with the payment processing vendors and comply with our standards relating to payment processing (which may include standards for processing chargebacks and resolving disputes). You must accept the forms of payment that we designate

and refrain from accepting forms of payment for which we have not established payment processing standards.

You may not use any Confidential Information for any purpose other than to operate your Tribute Portfolio Hotel, or as otherwise permitted by us. In addition, you may not sell, rent, trade, or otherwise provide any Confidential Information to any third party for the third party's use (see Item 14).

If your hotel will be structured so that it involves residential or condominium units, we will require that any sale of units be subject to a number of requirements. These requirements may include, among other things, compliance with applicable securities and real estate sales laws, your indemnification of us if you violate those laws, mandatory furnishing of the units with furniture, fixtures, and equipment that meet our standards for Tribute Portfolio Hotels, mandatory agreements for general maintenance of the units subject to our standards, restrictions on the use of our trademarks and Confidential Information, limitations on the number of units that may be sold to one person, participation of a certain number of units in the hotel's guestroom inventory on a regular basis, limitations on minimum rental periods, and mandatory reserves for capital expenditures and renovations or replacements of required furniture, fixtures, and equipment at the hotel and for units participating in the voluntary rental program.

ITEM 17

RENEWAL, TERMINATION, TRANSFER, AND DISPUTE RESOLUTION

THE FRANCHISE RELATIONSHIP

This table lists certain important provisions of the franchise and related agreements. You should read these provisions in the agreements attached to this disclosure document.

PROVISION	SECTION IN FRANCHISE OR OTHER AGREEMENT	SUMMARY ¹
a. Length of the franchise term	Section 2.1 and Exhibit A – Item 4	Term typically ends on the 20th anniversary after the date we authorize the hotel to open as a system hotel. (However, depending on the particular circumstances, we may require a term that ends more or less than 20 years after the opening date of the hotel.)
b. Renewal or extension of the term	Section 2.2	The franchise agreement is not renewable, and you should not have any expectation that you will be granted any right to operate the hotel under our brand after the expiration of the term. ²
c. Requirements for franchisee to renew or extend	Not Applicable	
d. Termination by franchisee	Not Applicable ^{3,4} (subject to applicable state law)	
e. Termination by franchisor without cause	Not Applicable ⁴	
f. Termination by franchisor with cause	Sections 17.5.A and 19	We can terminate if (i) you fail to cure any curable default or there exists any non-curable default (in each case, as described below) or (ii) you or an affiliate of yours sell(s) or lease(s) the hotel to, or become(s), a Competitor, or you transfer your interests in the agreement or any interest in you or your affiliates to a Competitor.
g. “Cause” defined-curable defaults	Section 19.2	You have 30 days to cure: failure to timely start and complete construction/conversion, renovation/repair, or open the hotel; failure to pay amounts due; default of any other agreement(s) entered into between us and you; if you or any owner, officer, director, or employee is convicted of a serious crime or is engaged in conduct that may adversely affect the hotel, the system, any Company Brand Hotel or us, and such person is not terminated

PROVISION	SECTION IN FRANCHISE OR OTHER AGREEMENT	SUMMARY ¹
		from its relationship with you; failure to comply with the Standards; or any other breach of the franchise agreement or other agreements between us and you that is not listed in Section 19.1 (including, without limitation, failure to procure and maintain required insurance; failure to indemnify us; or failure to comply with condemnation/casualty provisions).
h. “Cause” defined-non-curable defaults	Sections 17.5.A.3, 19.1, and 21	Non-curable defaults: insolvency; bankruptcy; appointment of receiver, trustee or liquidator; execution levied against you, the hotel or material real or personal property; foreclosure; becoming, or being under ownership or control of, a Restricted Person; violation of applicable law; becoming or being affiliated with a Competitor; transfers that do not comply with Section 17; dissolution or liquidation; loss of right to operate or possess the hotel or default or termination under a lease; cessation of operation as a System hotel; underreporting three or more times in 24 months; threat to public health or safety; failure to achieve performance thresholds under our quality assurance program; or disclosure of confidential information.
i. Franchisee’s obligations on termination/non-renewal	Sections 19.4 and 20	Obligations include complete de-identification of hotel; delivery to us of any intellectual property and other materials relating to the operation of the hotel under the System, including all customer information, operating instructions, software and accompanying documentation and other materials provided by us; advising customers of the removal of the hotel from the System in accordance with the standards; compliance with the provisions of the franchise agreement that survive termination; and payment of all amounts due (including liquidated damages if termination was due to your default and any fees associated with removing the hotel from the System).
j. Assignment of contract by franchisor	Section 17.7	No restriction on our right to assign if transferee is an affiliate of ours or has acquired substantially all of our rights to the System and agrees to assume our obligations to you under the franchise agreement and is capable of performing those obligations.
k. “Transfer” by franchisee-defined	Section 17.1 and Exhibit B	Includes transfer of the franchise agreement or the hotel or a transfer of any ownership interest in you or in any entity that controls you. ⁵

PROVISION	SECTION IN FRANCHISE OR OTHER AGREEMENT	SUMMARY ¹
l. Franchisor approval of transfer by franchisee	Sections 17.1 and 17.4	Transfers of the franchise agreement, the hotel, and controlling ownership interests in you or your control affiliate require our consent. Transfers of passive investor interests in you and transfers to affiliates generally do not require our consent if certain requirements are met.
m. Conditions for franchisor approval of transfer	Section 17.4	You must provide us with information about the transferee and pay us the property improvement plan fee. The transferee must submit an application, pay us the application fee, satisfy our then-current owner qualifications (including its interestholders not having been convicted of a serious crime or engaged in certain adverse conduct or been a party to litigation with us), retain a qualified management company, sign a new franchise agreement that will require payment of the then-current fees and upgrade of the hotel to our current standards. The duration of such new franchise agreement will expire on or after the last day of the existing franchise agreement. You must pay all amounts owed to us and sign a release. If we engage outside counsel in connection with the transaction, we will require that our outside counsel fees be paid. In addition, the transferee must be in good financial status, there must not be an uncured breach of the franchise agreement and the hotel must be in good standing under our quality assurance program. If the transferee is a Competitor, we have certain additional rights (see n. below). ⁶
n. Franchisor's right of first refusal to acquire franchisee's business	Section 17.5	We have the right of first refusal to purchase or lease the hotel or acquire an ownership interest in you if there is a proposed transfer of the hotel to a Competitor or a proposed transfer of an ownership interest in you or your control affiliate to a Competitor.
o. Franchisor's option to purchase franchisee's business	Not Applicable (other than the right of first refusal noted in n. above)	
p. Death or disability of franchisee	Section 17.4.C	Subject to general transfer provisions, the interest of any deceased or mentally incompetent person may be transferred if: (i) the transfer is effected within 12 months, and (ii) your obligations are satisfied pending transfer.

PROVISION	SECTION IN FRANCHISE OR OTHER AGREEMENT	SUMMARY ¹
q. Non-competition covenants during the term of the franchise	Sections 8.4.B and 17.5	You may not use any part of the hotel to divert business to or promote a different business. You or your affiliates may not sell or lease the hotel to, or become, a Competitor, or transfer any interest in you or your affiliates to a Competitor, without our prior approval, subject to our right of first refusal to purchase the hotel. (These terms are subject to applicable state law.)
r. Non-competition covenants after the franchise is terminated or expires	Sections 17.5 and 21.2	If the hotel is damaged due to a casualty resulting in a termination of the franchise agreement, and you or your affiliates operate a replacement hotel or other lodging product that is not a Company Brand Hotel at the site during the original term of the franchise, you must pay us liquidated damages. Under certain termination circumstances, our right of first refusal to purchase or lease the hotel will continue after termination of the agreement. (These terms are subject to applicable state law.)
s. Modification of the agreement	Sections 3.4, 3.7.C, 6.2.B, 10.2, and 27.7	No modifications generally, but the franchise agreement permits modifications to the Program Services Contribution, the Marketing Fund Contribution, and the System, including the Standards, as well as all of the fees listed herein, with the exception of franchise fees.
t. Integration/merger clause	Section 27.6	Only the terms and conditions of the franchise agreement and related agreements are binding (subject to state law). Any statements, representations or alleged promises outside of the disclosure document or the franchise agreement and related agreements may not be enforceable.
u. Dispute resolution by arbitration or mediation	Section 24.1.B ⁷	Except for claims relating to indemnification, equitable relief, and enforcement of arbitral awards, all disputes will be resolved by arbitration.
v. Choice of forum	Sections 24.1.B, 24.1.C, and 24.5	In any dispute, you waive the right to a jury trial. Arbitration proceedings will be conducted in Baltimore, Maryland. You consent to the non-exclusive jurisdiction of the courts of Maryland for disputes not subject to arbitration. ⁷
w. Choice of law	Section 24.1.A	Maryland law applies. ⁷

NOTES:

¹ Capitalized terms used herein have the meanings as defined in the franchise agreement, which is attached as Exhibit C of this FDD.

² After the expiration of the term, we may in our sole discretion agree to enter into a new franchise agreement with you on our then-current form. That agreement may contain materially different terms and conditions than the franchise agreement attached as Exhibit C (including the franchise fees and the duration).

³ You do not have a general right to terminate the franchise agreement. However, Section 21.2 of the franchise agreement permits you to terminate in the limited event of a casualty if the cost to restore the hotel to the same condition as existed previously is 60% or more of the hotel's replacement cost at the time of the casualty and you comply with the requirements of Section 21.2.

⁴ Section 21.1 of the franchise agreement permits either you or us to terminate in the limited event of a taking that would materially affect the continued operation of the hotel as a system hotel on a permanent basis.

⁵ We do not permit you to pledge or assign the franchise agreement as collateral for any financing. Instead, we may provide a comfort letter to a lender in substantially the same form attached as Exhibit O.

Lenders may request a franchise agreement in connection with a foreclosure, deed in lieu of foreclosure, workout, or appointment of a receiver (a "lender take-back"). Such a request may be in connection with a comfort letter entered into with the lender similar to the form attached as Exhibit O. The specific terms of any franchise agreement executed in connection with a lender take-back will depend upon (i) the circumstances at the time of the lender take-back (for example, outstanding indebtedness under existing agreements with us or the status of the hotel under our quality assurance program), and (ii) the terms of any applicable comfort letter. The terms of such franchise agreement may vary materially from the terms contained in the form franchise agreement attached as Exhibit C. Some examples of such variations include the following:

- The term of the franchise agreement may be for months or for the term referenced in an applicable comfort letter
- The agreement may be conditioned upon issuance of a court order in connection with the appointment of a receiver
- Reserve account requirements may be changed or eliminated
- Cure of deficiencies and breaches under the existing franchise agreement or our standards with respect to the hotel may be required
- Transfers may be prohibited or limited
- In most cases, no restricted territory will be granted

⁶ Differences between the franchise agreement for a new-to-system hotel and the franchise agreement for a transferee of an existing system hotel are described in Exhibit C (Change of Ownership) to the franchise agreement.

⁷ See Exhibit E, State Amendments to Franchise Agreement.

ITEM 18

PUBLIC FIGURES

We do not use any public figures to promote our franchise.

ITEM 19

FINANCIAL PERFORMANCE REPRESENTATIONS

The FTC's Franchise Rule permits a franchisor to provide information about the actual or potential financial performance of its franchised and/or franchisor-owned outlets, if there is a reasonable basis for the information, and if the information is included in the disclosure document. Financial performance information that differs from that included in Item 19 may be given only if: (1) a franchisor provides the actual records of an existing outlet you are considering buying; or (2) a franchisor supplements the information provided in this Item 19, for example, by providing information about possible performance at a particular location or under particular circumstances.

1. Average Daily Room Rate, Occupancy Rate, and RevPAR

The chart below shows the performance of STR Included Hotels (defined below) during each of the three calendar years in the period ended December 31, 2021, including: (1) the average daily room rate (or "ADR"); (2) the average occupancy rate (or "OCC"); and (3) the average revenue per available room ("RevPAR") reported by the STR Included Hotels.

2019, 2020, and 2021 STR Included Hotel Performance			
Calendar Period	ADR	OCC	RevPAR
2019	\$182.05	77.9%	\$141.86
2020	\$169.22	34.5%	\$58.46
2021	\$198.82	50.2%	\$99.80
1st Half-Year 2021	\$184.65	42.9%	\$79.22
2nd Half-Year 2021	\$209.24	57.4%	\$120.04

The "average daily room rate" (or "ADR") for each respective period is the sum of the gross room sales reported by the STR Included Hotels during the period divided by the total number of guestrooms reported as sold by the STR Included Hotels during the period. The "average occupancy rate" (or "OCC") for each respective period is the total number of guestrooms reported as sold by the STR Included Hotels during the period divided by the total number of guestrooms reported as available at the STR Included Hotels during the period. The "average RevPAR" (or "RevPAR") for each respective period is the gross room sales reported by the STR Included Hotels during the period divided by total number of available rooms reported by the STR Included Hotels as available during the period. The per-hotel metrics for average OCC, ADR, and RevPAR shown above for 2019, 2020, and 2021 (including half-year data) were calculated by taking the sum of the results reported by each STR Included Hotel during the applicable period and dividing that sum by the total number of times the STR Included Hotel reported results during the applicable period. If a STR Included Hotel did not report data about occupancy, ADR, or RevPAR for a day in the period (including, for 2020 and 2021, a day where the hotel closed due to the Covid-19 pandemic), that day is not included in the calculation of the results noted in the chart or the averages for that particular hotel noted below. The "median" is the middle data point in the range of performance data.

For each of the periods listed above, “STR Included Hotels” means franchised Tribute Portfolio hotels that: (a) reported Smith Travel Research, Inc. (“STR”) data at any time during the period; and (b) were, as of the end of each respective calendar year, open and operating as a franchised Tribute Portfolio hotel for at least two years and satisfied the Conditions, provided that STR Included Hotels in 2020 and 2021 include hotels that may have temporarily closed as a result of the Covid-19 pandemic. “Conditions” means the hotel did not undergo at any time during the preceding two years any one or more of the following: (1) a rooms renovation that resulted in five percent or more of the total number of available rooms at such hotel being taken out of service during the year in which the renovation occurred; (2) a public space renovation that resulted in revenue displacement during the year in which such renovation occurred of five percent or more of the annual available room nights at the average daily rate of the most recent year prior to the renovation during which the hotel satisfied each of the Conditions; or (3) an expansion that resulted in an increase in revenues of five percent or more of the annual available room nights (before the expansion) at the average daily rate of the most recent year prior to the expansion during which the hotel satisfied each of the Conditions.

As of December 31, 2019, there were 21 Tribute Portfolio hotels open and operating in the United States and Canada; of these, 21 were franchised and 12 were STR Included Franchised Hotels. Of the 12 STR Included Hotels in 2019, 4 hotels or 33.3% reported an average daily room rate that met or exceeded \$182.05; 5 hotels or 41.7% reported an average occupancy rate that met or exceeded 77.9%; and 5 hotels or 41.7% reported an average RevPAR that met or exceeded \$141.86. For the 12 STR Included Hotels in 2019, the average daily room rate ranged from \$286.91 to \$117.20, with a median of \$171.78; the average occupancy rate ranged from 93.0% to 65.4%, with a median of 75.6%; and the average RevPAR ranged from \$225.68 to \$90.43, with a median of \$127.15.

As of December 31, 2020, there were 26 Tribute Portfolio hotels open and operating in the United States and Canada; of these, 26 were franchised and 15 were STR Included Hotels. Of the 15 STR Included Hotels in 2020, 5 hotels or 33.3% reported an average daily room rate that met or exceeded \$169.22; 9 hotels or 60.0% reported an average occupancy rate that met or exceeded 34.5%; and 56 hotels or 44.4% reported an average RevPAR that met or exceeded \$58.46. For the 15 STR Included Hotels in 2020, the average daily room rate ranged from \$255.23 to \$101.44, with a median of \$159.01; the average occupancy rate ranged from 56.8% to 20.8%, with a median of 38.0%; and the average RevPAR ranged from \$111.71 to \$26.42, with a median of \$62.36.

As of December 31, 2021, there were 40 Tribute Portfolio hotels open and operating in the United States and Canada; of these, 40 were franchised and 20 were STR Included Hotels. Of the 20 STR Included Hotels in 2021, 7 hotels or 35.0% reported an average daily room rate that met or exceeded \$198.82; 12 hotels or 60.0% reported an average occupancy rate that met or exceeded 50.2%; and 10 hotels or 50.0% reported an average RevPAR that met or exceeded \$99.80. For the 20 STR Included Hotels in 2021, the average daily room rate ranged from \$307.41 to \$121.53, with a median of \$174.71; the average occupancy rate ranged from 77.4% to 28.7%, with a median of 51.4%; and the average RevPAR ranged from \$187.54 to \$40.70, with a median of \$96.92.

Of the 20 STR Included Hotels that reported data to STR during the period from January 1, 2021 to June 30, 2021 (“1st Half-Year 2021”), 7 hotels or 35.0% reported an average daily room rate that met or exceeded \$184.65; 10 hotels or 50.0% reported an average occupancy rate that met or exceeded 42.9%; and 10 hotels or 50.0% reported an average RevPAR that met or exceeded \$79.22 during the 1st Half-Year 2021. For the 20 STR Included Hotels in the 1st Half-Year 2021, the average daily room rate ranged from \$267.93 to \$94.69, with a median of \$159.37; the average occupancy rate ranged from 80.1% to 13.6%, with a median of 40.3%; and the average RevPAR ranged from \$181.46 to \$12.87, with a median of \$75.24.

Of the 20 STR Included Hotels that reported data to STR during the period from July 1, 2021 to December 31, 2021 (“2nd Half-Year 2021”), 7 hotels or 35.0% reported an average daily room rate that met or exceeded \$209.24; 12 hotels or 60.0% reported an average occupancy rate that met or exceeded 57.4%; and 10 hotels or 50.0% reported an average RevPAR that met or exceeded \$120.04 during the 2nd Half-Year 2021. For the 20 STR Included Hotels in the 2nd Half-Year 2021, the average daily room rate ranged from \$336.98 to \$122.41, with a median of \$185.13; the average occupancy rate ranged from 82.6% to 34.4%, with a median of 60.6%; and the average RevPAR ranged from \$230.60 to \$51.53, with a median of \$114.07.

2. Reservations

The following Marriott reservations channels (collectively, “Reservation Channels”) contribute to room night revenue and gross room night bookings at system hotels: (i) Marriott.com, including all international iterations of this site and Marriott’s mobile apps (“Marriott.com”); (ii) Marriott’s worldwide toll-free reservation phone numbers (“Voice Reservations”); (iii) Marriott’s customer engagement centers that process telephone calls on behalf of hotels (“CECs”); (iv) online travel agencies with which we have distribution agreements (“OTAs”), such as Booking.com, Expedia and Hotels.com; and (v) global distribution systems that permit traditional travel agencies, as well as many third-party online travel websites, to reserve guestrooms (“GDS”). Reservation Channels do not include group business and transient room nights booked directly at the property or through our area, regional, or national sales offices.

The chart below shows the Reservations Channels’ contribution (as a percentage) to the room night revenue (defined below) of all “Included Hotels” during the 12-month period ended December 31, 2021. The “Included Hotels” are franchised Tribute Portfolio hotels in the United States and Canada that were open and operating as Tribute Portfolio hotels for at least two years as of December 31, 2021, and satisfied each of the Conditions.

Marriott Reservation Channels’ Contribution to 2021 Room Night Revenue	
Percentage Contribution to Room Night Revenue by all Reservations Channels	78.5%

During 2021, of the 20 Included Hotels, 10 hotels or 50.0% received 78.5% or more of their annual room night revenue from the Reservations Channels, and the median contribution to room night revenue was 78.8%. “Room night revenue” means the total per-room fees and charges invoiced to the guest at the time a reservation is made (including resort fees, destination fees, and mandatory surcharges for facilities invoiced at the time of booking), regardless of whether the booking is subsequently cancelled. “Room night revenue” *excludes* sales, tax, value added tax, or similar taxes on such revenue. In calculating this percentage, we divided the sum of room night revenue invoiced by all of the Included Hotels from bookings directly through the Reservation Channels by the total room night revenue invoiced by all of the Included Hotels from all bookings during 2021. The “median” is the middle data point in the range of performance data.

The chart below shows the Marriott Reservations Channels’ contributions (as a percentage) to total gross room nights booked at the Included Hotels during the 12-month period ended December 31, 2021.

Marriott Reservation Channels' Contributions to 2021 Room Night Bookings	
Reservation Channel	Percentage of Total Bookings by Included Hotels
Marriott.com	47.7%
Voice Reservations	2.5%
CECs	3.6%
OTAs	16.7%
GDS	5.3%
All Reservation Channels	75.9%

During 2021, of the 20 Included Hotels, 12 hotels or 60.0% received 47.7% or more of their total gross room night bookings from Marriott.com; 6 hotels or 30.0% received 2.5% or more of their total gross room night bookings from Voice Reservations; 10 hotels or 50.0% received 3.6% or more of their total gross room night bookings from CECs; 9 hotels or 45.0% received 16.7% or more of their total gross room night bookings OTAs; 12 hotels or 60.0% received 5.3% or more of their total gross room night bookings from GDS; and 12 hotels or 60.0% received 75.9% or more of their total gross room night bookings from all Reservation Channels. For the 20 Included Hotels, the median bookings from Marriott.com was 50.0%; the median bookings from Voice Reservations was 2.2%; the median bookings from CECs was 3.6%; the median bookings from OTAs was 14.2%; the median bookings from GDS was 6.0%; and the median bookings from all Reservation Channels was 77.3%. “Gross Room Night Bookings” means the total number of room nights booked at a hotel, including bookings that are subsequently cancelled. In calculating these percentages, we divided the total number of gross room nights booked through each type of Reservation Channel at all of the 20 Included Hotels by the total number of gross room nights booked at all of the 20 Included Hotels. The “median” is the middle data point in the range of performance data.

3. Loyalty Program

As of December 31, 2021, the Marriott Bonvoy loyalty program offered enhanced benefits to approximately 160 million member accounts worldwide. Over 8,000 hotels and resorts in 139 countries and territories participate in Marriott Bonvoy.

A. Loyalty Contribution to Revenue

During 2021, Marriott Bonvoy member paid room nights generated an average of approximately 50.9% of the total room night revenue at Included Hotels, with an average daily spend of \$235 per member paid room night, not including taxes and tips. During 2021, Marriott Bonvoy generated a total of 302,000 member paid room nights for Included Hotels and approximately \$71,062,000 in eligible spend, not including taxes and tips. A “member paid room night” means a room night during which a Marriott Bonvoy member occupied a room at an Included Hotel and was awarded loyalty points for the stay. It does not include (1) room nights redeemed by Marriott Bonvoy members, (2) group room nights booked by Marriott Bonvoy members for which loyalty points are not awarded, (3) room nights booked by Marriott Bonvoy members using OTAs, and (4) wholesale and crew room nights booked by Marriott Bonvoy Members.

During 2021, of the 20 Included Hotels, 6 hotels or 30.0% met or exceeded the average daily spend per Marriott Bonvoy member paid room night, and the median average daily spend per member paid room night was \$196.

B. Loyalty Contribution to Occupancy

The chart below shows the average number of room night stays by Marriott Bonvoy members at Included Hotels during 2021 and the average Marriott Bonvoy member contribution to occupancy at Included Hotels during 2021. These figures exclude room night stays by Marriott Bonvoy members that redeemed loyalty points to cover the cost of their stay.

Average Marriott Bonvoy Contribution to 2021 Room Nights and Occupancy (Excluding Member Redeemed Room Nights)	
Average Number of Member Room Nights per Hotel	16,000
Average Annual Loyalty Program Contribution to Occupancy	47.2%

Of the 20 Included Hotels, 10 hotels or 50.0% met or exceeded the average number of member room nights per hotel of 16,000; and 14 hotels or 70.0% met or exceeded the average loyalty program contribution to occupancy of 47.2%. The median number of member room nights per hotel was 15,000; and the median annual loyalty program contribution to occupancy was 51.9%.

The “average number of member room nights” per hotel is calculated by dividing the sum of member room nights booked at the Included Hotels during 2021 by the total number of Included Hotels. The “average percentage of loyalty program contribution to occupancy” is calculated by dividing the number of member room nights for the Included Hotels by the total occupied room nights for the Included Hotels during 2021. The “median” is the middle data point in the range of performance data. These figures exclude room night stays by Marriott Bonvoy members that redeemed loyalty points to cover the cost of their stay.

4. Bases and Assumptions

STR, an independent research firm servicing the travel industry, compiles occupancy rate, average daily room rate, RevPAR, and other relevant information concerning the lodging industry and is used by substantially all of the major lodging companies for tracking this data. The information in this Item 19 used in calculating average occupancy rate, average daily room rate, and average RevPAR was compiled and reported by STR, and such information has not been audited or otherwise confirmed by us. The results of the STR Included Hotels that operate in Canada are reported to us in Canadian Dollars (“CAD”) by STR on a monthly basis. In preparing the performance data for the STR Included Hotels, we converted these results from CAD to United States Dollars (“USD” or “\$”) using the currency exchange rate in effect as of the second to the last day of the month in which the results were achieved, as published by the United States Department of Treasury. The data in this Item 19 regarding reservations and the loyalty programs was not provided by STR, but instead was drawn from Marriott’s internal databases. Because of STR’s minimum competitive set reporting requirements, some hotels that are Included Hotels and are reflected in Marriott’s internal databases may not be included in the STR data and, as a result, would not be STR Included Hotels for purposes of this Item 19.

These statements relate to historical performance of franchised Tribute Portfolio hotels in the United States and Canada that satisfy certain criteria as detailed above and are not projections of future

performance of the system or a specific hotel. The figures above reflect the performance of hotels with at least two years of operating results. Hotels typically achieve lower results in their first year of operation. The average occupancy rate, average daily room rate, average RevPAR, reservations from Reservation Channels, or member paid room nights, varies from hotel to hotel and will depend upon many variables and factors, including size, location, seasonality, competition, general economic conditions, the length of time your hotel has been open or affiliated with us, the condition and attractiveness of the hotel, the perception of your hotel by customers utilizing our distribution channels, the reputation for quality of service at the hotel, how effectively you participate in our programs and market your affiliation with us, and the efficiency with which you operate your hotel. Operating results are subject to numerous risks and uncertainties, including economic conditions, public reaction to terrorist attacks and political unrest, public health incidents, supply and demand changes for hotel rooms, competitive conditions in the hospitality industry, relationships with customers and property owners, and the availability of capital.

The reservations and loyalty program information disclosed in this Item 19 relates to the performance of Included Franchised Hotels using the Reservation Channels and loyalty programs in effect in during the 2021 calendar year. These programs are subject to change.

Some outlets have achieved these results. Your individual results may differ. There is no assurance that you will earn as much or achieve any specific level of sales, revenue or performance.

We will provide you with written substantiation of the data used in preparing this Item 19 upon your reasonable request. The information described above that was provided to us by third parties has not been audited or otherwise verified by us. We are under no obligation to disclose specific information for a particular hotel in the system.

We do not make any financial performance representations for residences.

Other than the preceding financial performance representation, we do not make any financial performance representations. We also do not authorize our employees or representatives to make any such representations either orally or in writing. If you are purchasing an existing outlet, however, we may provide you with the actual records of that outlet. If you receive any other financial performance information or projections of your future income, you should report it to the franchisor's management by contacting Noah Silverman, 10400 Fernwood Road, Bethesda, MD 20817, (301) 380-5253, the Federal Trade Commission, and the appropriate state regulatory agencies.

ITEM 20

OUTLETS AND FRANCHISEE INFORMATION

Table No. 1

SYSTEM-WIDE OUTLET SUMMARY FOR YEARS 2019 TO 2021

Column 1 Outlet Type	Column 2 Year	Column 3 Outlets at the Start of the Year	Column 4 Outlets at the End of the Year	Column 5 Net Change
Franchised	2019	18	21	3
	2020	21	26	5
	2021	26	40	14
Company-Owned, Managed and Leased	2019	0	0	0
	2020	0	0	0
	2021	0	0	0
Total Outlets	2019	18	21	3
	2020	21	26	5
	2021	26	40	14

Table No. 2

**TRANSFERS OF OUTLETS FROM FRANCHISEES TO NEW OWNERS
(OTHER THAN THE FRANCHISOR)
FOR YEARS 2019 TO 2021**

Column 1	Column 2	Column 3
State	Year	Number of Transfers
Florida	2019	2
	2020	0
	2021	0
Georgia	2019	0
	2020	0
	2021	1
Canada	2019	1
	2020	0
	2021	0
TOTALS	2019	3
	2020	0
	2021	1

* All numbers are as of fiscal year-end for each year.

** If multiple events occurred affecting an outlet, this table shows the event that occurred last in time.

Table No. 3

**STATUS OF FRANCHISED OUTLETS
FOR YEARS 2019 TO 2021**

Column 1	Column 2	Column 3	Column 4	Column 5	Column 6	Column 7	Column 8	Column 9
State	Year	Outlets at the Start of the Year	Outlets Opened¹	Termina- tions²	Non- Renewals	Reacquired by Franchisor³	Ceased Operations - Other Reasons	Outlets at End of the Year
Arizona	2019	0	0					0
	2020	0	0					0
	2021	0	1					1
California	2019	3	1	1				3
	2020	3	1	0				4
	2021	4	1	0				5
Colorado	2019	1						1
	2020	1						1
	2021	1						1
District of Columbia	2019	0	0					0
	2020	0	0					0
	2021	0	1					1
Florida	2019	4	1	1				4
	2020	4	2	0				6
	2021	6	0	0				6
Georgia	2019	1	1					2
	2020	2	0					2
	2021	2	1					3
Illinois	2019	1						1
	2020	1						1
	2021	1						1
Indiana	2019	0	0					0
	2020	0	0					0
	2021	0	1					1
Iowa	2019	0	1					1
	2020	1	0					1
	2021	1	0					1
Kansas	2019	0	0					0
	2020	0	0					0
	2021	0	1					1
Minnesota	2019	0	0					0
	2020	0	1					1
	2021	1	0					1
Mississippi	2019	0	1					1
	2020	1	0					1
	2021	1	1					2
Missouri	2019	1	0					1
	2020	1	0					1
	2021	1	1					2
New Mexico	2019	1						1
	2020	1						1
	2021	1						1

Column 1 State	Column 2 Year	Column 3 Outlets at the Start of the Year	Column 4 Outlets Opened ¹	Column 5 Terminations ²	Column 6 Non-Renewals	Column 7 Reacquired by Franchisor ³	Column 8 Ceased Operations - Other Reasons	Column 9 Outlets at End of the Year
New York	2019 2020 2021	3 3 2		0 1 0				3 2 2
Ohio	2019 2020 2021	0 0 1	0 1 0					0 1 1
Oklahoma	2019 2020 2021	0 0 0	0 0 1					0 0 1
Oregon	2019 2020 2021	0 0 0	0 0 1					0 0 1
Tennessee	2019 2020 2021	1 1 1	0 0 2					1 1 3
Texas	2019 2020 2021	1 1 1	0 0 1 ⁴					1 1 2
Virginia	2019 2020 2021	0 0 1	0 1 0					0 1 1
Canada	2019 2020 2021	1 1 1	0 0 1 ⁴					1 1 2
TOTALS	2019 2020 2021	18 21 26	5 6 14	2 1 0				21 26 40

NOTES:

¹ This category includes (i) new outlets, (ii) outlets that converted from managed to franchised, or (iii) outlets that converted to the Tribute Portfolio brand from another Company Brand.

² This category includes outlets that (i) terminated before the expiration of the term, or (ii) converted to another Company Brand.

³ This category includes outlets that converted from franchised to managed.

⁴ This outlet is in the process of converting to a Tribute Portfolio.

* If multiple events occurred affecting an outlet, this table shows the event that occurred last in time.

** States with no outlets at any time during the last three fiscal years have been intentionally omitted.

*** Boxes that have no numbers indicate no activity for the last three fiscal years.

Table No. 4

**STATUS OF COMPANY-OWNED, MANAGED AND LEASED OUTLETS
FOR YEARS 2019 TO 2021**

Column 1	Column 2	Column 3	Column 4	Column 5	Column 6	Column 7	Column 8
State	Year	Outlets at the Start of the Year	Outlets Opened	Outlets Reacquired from Franchisee¹	Outlets Closed	Outlets Sold to Franchisee²	Outlets at End of the Year
All States	2019	0					0
	2020	0					0
	2021	0					0
Canada	2019	0					0
	2020	0					0
	2021	0					0
TOTALS	2019	0					0
	2020	0					0
	2021	0					0

NOTES:

¹ This category includes outlets that converted from franchised to managed.

² This category includes outlets that converted from managed to franchised.

* If multiple events occurred affecting an outlet, this table shows the event that occurred last in time.

** States with no outlets at any time during the last three fiscal years have been intentionally omitted.

*** Boxes that have no numbers indicate no activity for the last three fiscal years.

Table No. 5

PROJECTED OPENINGS AS OF DECEMBER 31, 2021

Column 1	Column 2	Column 3	Column 4
State	Franchise Agreement Signed But Outlet Not Opened	Projected New Franchised Outlets in the Next Fiscal Year	Projected New Company-Owned, Managed and Leased Outlets in the Next Fiscal Year
Alabama	3		
Arizona	1		
California	8		
Colorado	2		
Florida	4		
Georgia	2	1	
Idaho	1		
Indiana	1		
Louisiana	1		
Maine	1		
Maryland	1		
Michigan	2	1	
Minnesota	1		
Missouri	1		
Nebraska	1	1	
Nevada	1	1	
New Jersey	1		
New York	2	1	
North Carolina	2		
Ohio	2		
Pennsylvania	1		
South Carolina	1		
Tennessee	1		
Texas	2		
Virginia	2	1	
Wisconsin	2		
Canada	1		
TOTALS	48	6¹	0¹

NOTE:

¹ This is an approximation.

* Boxes that have no numbers indicate no activity.

** States with no relevant data have been intentionally omitted.

Contact Information for Current Franchisees

Attached as Exhibit M is a list of all franchisees of franchised Tribute Portfolio Hotels in operation as of December 31, 2021, and all franchisees of unopened franchised Tribute Portfolio Hotels with signed franchise agreements as of December 31, 2021, and the address and telephone number of their outlets.

Contact Information for Former Franchisees

Attached as Exhibit N is a list of all franchisees of Tribute Portfolio Hotels that had an outlet terminated, canceled, not renewed, or otherwise voluntarily or involuntarily ceased to do business under the franchise agreement during the most recently completed fiscal year or that have not communicated with us within 10 weeks of the issuance date of this document. The list includes franchisees whose franchise was terminated in connection with a transfer of a controlling interest in the hotel as included on Table 2 of this Item 20, even if the hotel or the franchisee remained in the system. **If you buy this franchise, your contact information may be disclosed to other buyers when you leave the Tribute Portfolio Hotel franchise system.**

Confidentiality Obligations

In some instances, current and former franchisees sign provisions restricting their ability to speak openly about their experience with the Tribute Portfolio Hotel system. You may wish to speak with current and former franchisees, but be aware that not all such franchisees will be able to communicate with you.

Franchisee Associations

The Marriott International National Association (“MINA”) is a franchisee organization associated with the Tribute Portfolio system. MINA is endorsed by Marriott. The following are officers for MINA and the franchisor’s contact for the Tribute Portfolio brand:

President:	John Belden President and Chief Executive Officer Davidson Hotels & Resorts One Ravina Drive, Suite 1600 Atlanta, GA 30346 Phone: (678) 349-0909 Email: jbelden@davidsonhotels.com
------------	--

Vice President:	Leslie Hale President and Chief Executive Officer RLJ Lodging Trust 3 Bethesda Metro Center Suite 1000 Bethesda, MD 20814 Phone: (301) 280-7714 Email: lhale@rljlodgingtrust.com
-----------------	--

Secretary: Carl B. Hurwitz
Secretary of MINA
Marriott International, Inc.
Dept. 52/923.28
10400 Fernwood Road
Bethesda, MD 20817
Phone: (301) 380-2628
Email: carl.hurwitz@marriott.com

Treasurer: Plato Ghinos
President
Shaner Hotel Group Inc.
1965 Waddle Road
State College, PA 16803
Phone: (814)234-4460
Email: pghinos@shanercorp.com

Franchisor Contact: Kip W. Vreeland
Chief Officer, Full-Service Franchising
Marriott International, Inc.
Dept. 51/010.22
10400 Fernwood Road
Bethesda, MD 20817
Phone: (301) 380-1980
Email: kip.vreeland@marriott.com

ITEM 21

FINANCIAL STATEMENTS

Attached as Exhibit J are: (i) the audited consolidated balance sheet of Marriott International, Inc. as of December 31, 2021 and 2020, and the related consolidated statements of income and comprehensive income, shareholders' equity, and cash flows for each of the three fiscal years in the period ended December 31, 2021; and (ii) the audited balance sheet of MIF, L.L.C. as of December 31, 2021 and 2020, and the related statements of income, members' equity, and cash flows for each of the three fiscal years in the period ended December 31, 2021.

MIF, L.L.C. has guaranteed the performance of our obligations with you. A copy of the Guarantee of Performance is also included in Exhibit J.

ITEM 22

CONTRACTS

The following agreements and other documents are part of this disclosure document.

- A** Term Sheet
- B** Application
- C** Franchise Agreement and Related Agreements
- D** State Amendments to Disclosure Document
- E** State Amendments to Franchise Agreement
- F** Agents for Service of Process
- G** State Regulatory Authorities
- H** System Agreements
 - AT&T Participation Agreement
 - Electronic Funds Transfer Authorization Form
- I** Lodging Laws and Regulations
- J** Audited Consolidated Financial Statements of Marriott International, Inc. for the Three Fiscal Years in the Period Ended December 31, 2021; Audited Financial Statements of MIF, L.L.C. for the Three Fiscal Years in the Period Ended December 31, 2021; Guarantee of MIF, L.L.C.
- K** Manuals, Standards, and Resources
- L** Service Agreements
 - Revenue Management Advisory Services Agreements
 - Shared Services Agreement - Area Sales and Multi-Hotel Sales
 - Customer Engagement Center Property Support Services Agreement
 - Franchise Operations Support Resources Services Agreement
- M** Open Outlets/Unopened Outlets
- N** Former Franchisees
- O** Comfort Letter
- P** Pre-Opening Agreement
- Q** Sample Financing Agreements

ITEM 23

RECEIPTS

When you receive this disclosure document, please sign and return the Receipt page attached at the back of this disclosure document in accordance with the instructions on the Receipt page. The application cannot be presented to the appropriate committee for consideration until we receive the properly signed receipt. Please contact the Lodging Development Department, (301) 380-3000, if you need more information.

IMPORTANT INSTRUCTIONS:

CERTAIN STATES REQUIRE SPECIFIC INFORMATION TO BE INCLUDED IN THE DISCLOSURE DOCUMENT. PLEASE REVIEW THE AMENDMENTS TO THIS DISCLOSURE DOCUMENT AND TO THE FRANCHISE AGREEMENT CONTAINED IN EXHIBITS D AND E.

EXHIBIT A

TERM SHEET

TERM SHEET

Date: _____, 20____

This franchise term sheet (the “Term Sheet”) outlines the principal business terms for a proposed franchise agreement between _____ (together with its Affiliates, “Franchisee”) and Marriott International, Inc. (“Franchisor”) for a hotel and its related facilities (the “Hotel”) at _____ (the “Site”) [and currently known as _____] under the Tribute Portfolio brand.

**Number of
Guestrooms:**

Approximately [____].

Term:

[____] years after the hotel opens as a Tribute Portfolio Hotel.

Application Fee:

\$100,000 plus \$400 per guestroom in excess of 250 guestrooms, which is due upon submission of an application for a franchise agreement.

Franchise Fees:

5% of Gross Room Sales per month.

**Program Services
Contribution:**

(i) 2.42% of Gross Room Sales per month (of which, 1.5% of Gross Room Sales per month is contributed to the Marketing Fund) *plus* (ii) \$3,333.33 per month *plus* (iii) \$37.50 per Guestroom per month, as such amounts may be revised pursuant to the Agreements.

Reserve:

5% of Gross Revenues per month to cover the costs of periodic renovations of the FF&E in the Hotel.

**Other Fees and
Expenses:**

All other costs, expenses, charges and fees set forth in the franchise disclosure document (“FDD”) and standard form franchise agreement and related agreements included in the FDD (the “Agreements”).

**Franchise
Agreement:**

The form of the franchise agreement and related agreements will be the standard forms included in the FDD.

Guaranty:

Franchisee’s principals or other persons acceptable to Franchisor will provide a guaranty of Franchisee’s obligations under the Agreements.

**Management
Company:**

[_____]

**Restricted
Territory:**

Franchisor will not authorize the opening of another Tribute Portfolio hotel for [____] years after the Opening Date of the Hotel, not to extend beyond [____], [within a [____]-mile radius measured from the front door of the Hotel, subject to the standard exceptions in the Agreements (the “Restricted Territory”).] / [OR within an area having the following boundaries, subject to the standard exceptions in the Agreements (the “Restricted Territory”): [insert specific boundaries description].]

[Branding Requirements:	At its own expense, Franchisee will have a recognized hotel brand and a supporting customer experience program in place as a condition to the opening. Franchisee will retain an approved third-party branding consultant and an approved professional third-party design firm to define the design and independent hotel brand for the Hotel, all of which must be acceptable to Franchisor. [[Add if Hotel is not fully activated from a branding perspective]
[Conversion Requirements:	Franchisee, at its own expense, will timely commence and complete the Property Improvement Plan to be agreed on and included in the franchise agreement.]
No Agreements with Other Parties:	Franchisee represents that it has ownership, possession or control of the Hotel and the Site and the right to enter into this Term Sheet and the Agreements. Franchisee represents and warrants to Franchisor that no agreement or other arrangement of any type (including any management agreement, franchise agreement, letter of intent, option to purchase, technical services agreement, reservation agreement, or any oral agreement or course of conduct which could be construed to be a contract) exists, as of the date of this Term Sheet, with any third party relating to the Site or the Hotel, which would prohibit or conflict with the Franchisee's ability to enter into this Term Sheet or the Agreements (each, a "<u>Third Party Agreement</u>"). If any Third Party Agreement exists, on request of Franchisor, Franchisee will provide documentation acceptable to Franchisor that evidences the expiration or right to terminate such Third Party Agreement. Franchisee acknowledges that Franchisor may cease negotiation of the Agreements if Franchisor receives notice that the other party to a Third Party Agreement contests such expiration or termination rights. Franchisee will defend, indemnify and hold harmless Franchisor, its Affiliates, and their respective directors, officers, employees, and agents, from any claim, loss, liability, cost, or expense arising out of any agreement alleged by any third party to be in conflict with this Term Sheet.
Exclusivity:	The Exclusivity Period will begin on the date Franchisee returns this executed Term Sheet and will continue until _____. During the Exclusivity Period, the parties will negotiate exclusively with each other for the franchise to develop and operate the Hotel. During the Exclusivity Period, Franchisee and its Affiliates will not enter into any discussions, solicit or entertain proposals, with any other person for (i) any development on the Site other than the Hotel; (ii) any franchise agreement, management agreement, lease or other agreement relating to the Hotel; or (iii) the sale or other disposition of the Hotel or the Site. " <u>Affiliate</u> " means, for any person, a person that is directly or indirectly controlling, controlled by, or under common control with such person. Franchisee agrees that no Third Party Agreement will be entered into with respect to the Site or the Hotel during the Exclusivity Period.
Confidentiality:	The terms and relationship of the parties contemplated by this Term Sheet, and any information about the Hotel, Franchisee and Franchisor, including Franchisor's system and procedures, are confidential. Franchisee and Franchisor will not disclose such information to any other person (including the media) without the prior consent of the other party except (i) to their agents, consultants and representatives or lenders who need to know such information and who have been told of the requirement to keep the information confidential; (ii) as required by law; or (iii) as

part of Franchisor's growth administration notification and approval process.

Representations: Franchisee represents and warrants that neither the Franchisee nor any of its Affiliates, directors, officers, employees and agents (i) has any claims against Franchisor or any of Franchisor's Affiliates; or (ii) is a Restricted Person (as defined in the Agreements).

Governing Law: This Term Sheet will be construed under and governed by Maryland law.

Costs: Each party will bear its own costs and expenses incurred under this Term Sheet.

Non-Binding: This Term Sheet is a non-binding expression of interest, except for the obligations in this paragraph and the paragraphs titled "No Agreement with Other Parties," "Exclusivity," "Confidentiality," "Representations," "Governing Law" and "Costs," which are binding obligations of Franchisor and Franchisee. This Term Sheet does not create a binding commitment by either party (or their Affiliates) to enter into the Agreements or any other transaction or to negotiate in good faith, and neither of the parties will be entitled to pursue any claims against the other related to the failure to enter into the Agreements.

This Term Sheet does not create a partnership, labor, agency or any other fiduciary relationship, and neither party may incur obligations on behalf of the other. The Agreements are subject to approval by appropriate committees and authorized representatives of Franchisor and Franchisee.

MARRIOTT INTERNATIONAL, INC.

[_____]

By: _____
Name: _____
Title: _____

By: _____
Name: _____
Title: _____

EXHIBIT B

APPLICATION

FRANCHISE APPLICATION

Date: _____

To: Marriott International, Inc.

Franchise Development

Department 51/514.01

10400 Fernwood Road

Bethesda, MD 20817

NALOlodgingdev@marriott.com

RE: Application for the Following Proposed Franchised Hotel(s):

# of Hotels	Brand	Street Address of Hotel	Applicant
1	[Drop Down Menu for Brand]		

Dear Ladies/Gentlemen:

The undersigned applicant(s) (jointly and severally, "Applicant") respectfully submits this application ("Application") for the above-referenced proposed franchised hotel(s), either as the person or entity that will sign a franchise agreement for each hotel as franchisee, or as the person or entity that will control the proposed franchisee for each hotel. In connection with processing and evaluating the Application, Marriott International, Inc. ("Franchisor") and its affiliates may rely on each of the representations, warranties, acknowledgments and agreements contained herein.

1. The Applicant represents and warrants that:

(a) The Application consist of the following materials and all of the other information provided by Applicant or on Applicant's behalf connection with applying for and obtaining a franchise for the above proposed hotels.

- i **Franchise Disclosure Document Receipts.** If you have not already done so, please sign and date the receipts included at the back of each Franchise Disclosure Document provided to you and return one to us for our records.
- ii **This signed Application Letter.**
- iii **Application Forms I – V.**
- iv **Application Fee.** The following application fee for each proposed hotel under this Application:

NUMBER OF HOTELS	NUMBER OF ROOMS	BRAND	APPLICATION FEE PER HOTEL (PAYABLE IN US DOLLARS)	TOTAL
		AC Hotels by Marriott	\$90,000 <i>plus</i> \$500 per guestroom in excess of 150 guestrooms	
		Aloft	\$75,000 <i>plus</i> \$500 per guestroom in excess of 150 guestrooms	
		Autograph Collection	\$100,000 <i>plus</i> \$400 per guestroom in excess of 250 guestrooms	
		Courtyard by Marriott	\$90,000 <i>plus</i> \$500 per guestroom in excess of 150 guestrooms	
		Delta Hotels and Resorts	\$100,000 <i>plus</i> \$400 per guestroom in excess of 250 guestrooms	
		Element	\$75,000 <i>plus</i> \$500 per guestroom in excess of 150 guestrooms	

NUMBER OF HOTELS	NUMBER OF ROOMS	BRAND	APPLICATION FEE PER HOTEL (PAYABLE IN US DOLLARS)	TOTAL
		Fairfield by Marriott	\$75,000 <i>plus</i> \$400 per guestroom in excess of 125 guestrooms	
		Fairfield by Marriott/ TownePlace Suites by Marriott Dual Brand	\$100,000 <i>plus</i> \$400 per guestroom in excess of 140 guestrooms	
		Four Points	\$75,000 <i>plus</i> \$400 per guestroom in excess of 150 guestrooms	
		Le Méridien	\$100,000 <i>plus</i> \$400 per guestroom in excess of 250 guestrooms	
		Marriott / JW Marriott	\$100,000 <i>plus</i> \$400 per guestroom in excess of 250 guestrooms	
		Moxy Hotels	\$90,000 <i>plus</i> \$500 per guestroom in excess of 150 guestrooms	
		Renaissance	\$100,000 <i>plus</i> \$400 per guestroom in excess of 250 guestrooms	
		Residence Inn by Marriott	\$90,000 <i>plus</i> \$500 per guestroom in excess of 150 guestrooms	
		Sheraton	\$100,000 <i>plus</i> \$400 per guestroom in excess of 250 guestrooms	
		SpringHill Suites by Marriott	\$75,000 <i>plus</i> \$400 per guestroom in excess of 150 guestrooms	
		The Luxury Collection	\$100,000 <i>plus</i> \$400 per guestroom in excess of 250 guestrooms	
		TownePlace Suites by Marriott	\$75,000 <i>plus</i> \$400 per guestroom in excess of 125 guestrooms	
		Tribute Portfolio	\$100,000 <i>plus</i> \$400 per guestroom in excess of 250 guestrooms	
		Westin	\$100,000 <i>plus</i> \$400 per guestroom in excess of 250 guestrooms	
		Branded Spa (applies to Le Méridien, Sheraton and Westin only)	\$27,000	
TOTAL				\$_____

(b) All of the information contained in the Application is true, correct, complete and not misleading through omission of material information, as of the date hereof.

(c) Applicant has authority to submit the Application and enter into a franchise agreement with Franchisor with respect to each hotel identified above (each a “Franchise Agreement” and collectively the “Franchise Agreements”). Neither the Application nor the execution of each Franchise Agreement will conflict with any obligations of Applicant to other parties. Franchisor has not induced Applicant to terminate or breach any agreement with respect to the hotel that is the subject of the Application.

(d) Applicant has legal control over the site for each hotel, as set forth in the Application, through fee ownership, leasehold, or a purchase contract.

(e) Applicant has received a Franchise Disclosure Document for each brand under which Applicant seeks to operate a hotel, is familiar with the franchise system(s) under which Applicant seeks to operate hotels, and understands the requirements for each such system as described in each respective brand’s Franchise Disclosure Document.

(f) Neither Applicant, nor any entity of which Applicant has held the position of general partner, managing member or beneficial owner, is or has been (i) a defendant in civil litigation alleging fraud, deceit or similar claims; (ii) convicted of a criminal offense or the subject of a pending criminal proceeding (other than minor traffic offenses); (iii) the

subject of a petition for protection under any bankruptcy or similar insolvency laws; (iv) a defaulting party in a foreclosure proceeding; or (v) the subject of disciplinary action with respect to the suspension or revocation of a professional or gaming license. and all of the information contained in the Application is true, correct, complete and not misleading through omission of material information, as of the date hereof.

(g) Neither Applicant nor any affiliate of Applicant (i) has any claims against Franchisor or any of Franchisor's affiliates or (ii) is a Competitor or a Restricted Person, as such terms are defined in the Franchise Agreement (see Exhibit B to the applicable Franchise Agreement).

2. Applicant acknowledges and agrees that:

(a) Franchisor reserves the right to approve or deny this Application with respect to one or more hotels, in its sole discretion. Applicant will not acquire any rights by virtue of the submission of the Application whether or not Franchisor approves the Application. Any expenses incurred by or on behalf of Applicant in connection with this Application or any approval of this Application (including without limitation any costs of constructing, renovating or operating the proposed hotel(s)) are at Applicant's sole risk and are not being made in reliance on any action of Franchisor.

(b) Franchisor does not enter into oral agreements or understandings with respect to franchises or matters pertaining to the grant of a franchise. Accordingly, there are no agreements or understandings whatsoever between Applicant and Franchisor with respect to the Application or any franchise.

(c) An Application Fee will be paid to Franchisor via wire transfer no earlier than 10 business days after Applicant has received a Franchise Disclosure Document. The fee may be invested, commingled with other funds of Franchisor or otherwise used by Franchisor, as it deems appropriate in its discretion. Franchisor will not enter into a Franchise Agreement with Applicant until it receives full payment of the Application Fee. Instructions for wire transfers are as follows:

Bank: Mellon Bank
500 Ross Street
Pittsburgh, PA 15262

ABA: 043000261

Swift: MELNUS3P

Account Name: Marriott International, Inc.

Acct#: 1998036

Reference: Application fee for _____ (include brand(s), city, and state)

Contact: NALO Lodging Development (NALOlodgingdev@marriott.com)

MARRIOTT WILL NEVER "REVISE" OR "REPLACE" OUR CURRENT WIRING INSTRUCTIONS. If you receive an email with new or altered wiring instructions from one of our associates, it may be from a cybercriminal. DO NOT RESPOND TO THE EMAIL. Instead, please verify any payment instructions via an alternative method and carefully confirm the sender's email address.

(d) For each proposed hotel under this Application:

i If Franchisor does not approve the Application for the hotel, it shall have no liability to Applicant for such hotel other than to return the Application Fee for the hotel, less Ten Thousand Dollars (\$10,000) and Franchisor's costs;

ii If the application for the hotel is approved, the application fee for the hotel will not be refunded;

iii [MSB Only: If Applicant and Franchisor have not executed a Franchise Agreement for the hotel within sixty (60) days after the issuance of the first draft of the Franchise Agreement for the hotel,

Franchisor may withdraw its approval of the Application with respect to such hotel unless Applicant pays an application extension fee of Ten Thousand Dollar (\$10,000).

iv If Applicant and Franchisor have not executed a Franchise Agreement for the hotel within sixty (60) days after an extension, Franchisor will have the right to withdraw its approval of the hotel .]

v ***If the Application is approved for the hotel, such approval is conditioned on (j) Applicant retaining legal control over the specific site described in the Application. If at any time prior to execution of the Franchise Agreement, Applicant loses legal control over the site of the hotel, our approval of the Application with respect to the hotel will no longer be effective. In such event, Franchisor shall have no liability to Applicant and the full Application Fee for the hotel will be retained by Franchisor and Franchisor will withdraw its approval of the hotel. If Applicant subsequently regains legal control over such site or over a different site, a new Application for the hotel must be submitted.***

(e) Whether or not Franchisor approves the Application, Applicant does not have any exclusive territorial rights. Franchisor and its affiliates may operate or grant others the right to operate the same brand(s) of hotel or other lodging facilities and other businesses at any location including locations proximate, adjacent or adjoining the site specified above. Franchisor may consider applications from other applicants for any sites without liability to Applicant.

(f) If Franchisor approves the Application, Applicant will not have any right to use the franchisor's trademarks, systems, or other intellectual property for each respective brand unless and until Franchisor and Applicant execute a Franchise Agreement authorizing Applicant to use the intellectual property associated with such brand at a particular hotel and the parties execute an Authorization to Open for the hotel (see Franchise Agreement, Attachment 3 to Exhibit C).

(g) Any financial information provided by Applicant in connection with this Application (including the proposed financing and debt structure) will be prepared by Applicant or its advisors. Applicant acknowledges and agrees that Franchisor (i) has not participated in the preparation of that information, and (ii) is not ratifying or approving or making any representations as to the accuracy of that information, or the attainability of any projections.

(h) Franchisor has the right to conduct its own feasibility study and due diligence investigation with respect to each proposed hotel or conversion, and Applicant's and its affiliates' qualifications to operate such hotel. Such study and due diligence will include, but not be limited to, contacting persons at the hotel or involved in the development of the hotel, operators of other hotels in the market, employees of other hotels operated by Applicant and its affiliates and other franchisors of hotel brands who have agreements with Applicant and its affiliates. Franchisor shall have no liability to Applicant or its affiliates with regard to such study and investigation.

(i) Applicant, jointly and severally, hereby indemnifies and agrees to defend Franchisor and its affiliates and Franchisor's directors, officers, employees and agents and to hold them harmless from all losses, liabilities, costs, damages and expenses (including legal and accounting fees and expenses) consequently, directly or indirectly incurred and arising from, as a result of or in connection with the Application, including the breach of any representation or warranty contained in the Application. Franchisor shall have the right to take any action it may deem necessary in its sole discretion to protect and defend itself against any threatened action covered by this indemnification without regard to the expense, forum or other parties that may be involved. Franchisor may, in its sole discretion, have sole and exclusive control over the defense of any such action (including the right to be represented by counsel of its choosing) and over the settlement, compromise or other disposition thereof.

(j) Applicant will immediately inform Franchisor (i) of any material change in any information contained in the Application, and (ii) if Applicant learns that as of the date of this Application that any representation or warranty is untrue. If Applicant is executing this Application on behalf of a separate legal entity that has not yet been formed but will be controlled by Applicant, Applicant commits to provide all information and documentation related to such separate entity to Franchisor upon its formation and will immediately advise Franchisor of any changes in any information provided in Form III of this Application. The terms of this application letter will survive approval or disapproval of the Application.

(k) This application letter will be governed by the law of the State of Maryland without reference to the conflict of laws principles thereof.

(l) This application letter may be executed in several counterparts, each of which shall be deemed an original but which together shall constitute one and the same instrument.

HOTEL 1	
Proposed Brand	
Street Address	
<i>By clicking on the "Sign" checkbox below, entering my complete name, today's date, I acknowledge and agree that: (a) I have chosen to submit my application and signature electronically, and (b) I have read the application and all of the exhibits and attachments thereto in their entirety. I further represent and warrant that all of the information in this application and all of the information that I will submit as part of the application process are true and complete to the best of my knowledge and belief.</i> ☐ "Sign" Your Complete Name: _____ Title: _____ Today's Date: _____	

FORM I TO THE APPLICATION: PROJECT DESCRIPTION

(Complete for Each Hotel)

SITE SPECIFICATIONS			
Hotel Address			
Latitude		Longitude	
Site Square Footage		Acreage	
Number of Rooms		Number of Floors	
Modular	[Drop Down Menu: Yes/No]	Mix of Rooms	
New Build/Conversion	[Drop Down Menu: New Build/Conversion]	Current Affiliation	
Adaptive Re-Use	[Drop Down Menu: Yes/No]	Year Built	
Building Type (MSB Hotels Only)	[Drop Down (with explanations): Prototype/Modified Prototype/Custom/Co-Branded]		

CURRENT FORM OF SITE CONTROL	
Is the Deed in the Name of the Proposed Franchisee?	[Drop Down Menu: Yes/No]
If Yes, Attach Here	Attach Here
Is the Deed in the Name of an Affiliate?	[Drop Down Menu: Yes/No]
If Yes, Attach Here and Answer the Following Questions	Attach Here
(1) Will the Deed be Transferred to the Proposed Franchisee?	[Drop Down Menu: Yes/No]
(2) Will There be an Intercompany Lease with the Proposed Franchisee?	[Drop Down Menu: Yes/No]
If Yes, Attach Here	Attach Here
Is the Deed Currently in the Name of a Third Party Not Affiliates with the Proposed Franchisee?	[Drop Down Menu: Yes/No]
If Yes, Attach Here and Answer the Following Questions	Attach Here
(1) Is There a Signed Purchase Contract?	[Drop Down Menu: Yes/No]
If Yes, Attach Here and Answer the Following Questions	Attach Here
a. If Yes, Will the Land be Transferred to the Proposed Franchisee Upon Closing?	[Drop Down Menu: Yes/No]
b. If No, Explain How the Proposed Franchisee will Obtain the Title/Control of the Site	
(2) Is There a Lease?	[Drop Down Menu: Yes/No]
If Yes, Attach Here and Answer the Following Questions	Attach Here
a. Is This a Ground Lease?	[Drop Down Menu: Yes/No]
b. Is This a Building Lease?	[Drop Down Menu: Yes/No]
c. If the Lease is not Signed, Please Explain How and When the Proposed Franchisee will Obtain Leasehold Interest or Control of the Site	
(3) Is There a Contribution Agreement?	[Drop Down Menu: Yes/No]
If Yes, Attach Here and Answer the Following Questions	Attach Here
a. If the Contribution Agreement is not Signed, Please Explain How and When the Proposed Franchisee will Obtain Title or Control of the Site	
(4) Other, Please Describe how the Proposed Franchisee will Obtain Title/Control of the Site	

SITE RESTRICTIONS	
Is the Site/Hotel Subject to a Current Franchise Agreement, Management Agreement or Related Agreement (letter of intent, option to purchase, technical services agreement, reservation agreement, or any oral agreement)?	[Drop Down Menu: Yes/No]
If Yes, Provide Anticipated Termination or Expiration Date	
Will the Hotel Share Components with Other Non-Marriott Properties? If Yes, Describe Any Shared Components (e.g. pool, laundry, parking, etc.).	[Drop Down Menu: Yes/No]
Other Site Restrictions (describe any restrictions or moratoriums on the site that would necessitate special local variances)	

ATTACHMENTS	
Attach Any Existing Agreements Relating to Site (including any Notice of Termination) and Evidence of Other Site Restrictions	Attach Here

SITE AMENITIES AND CHARACTERISTICS	
Is There a Third-Party Restaurant?	[Drop Down Menu: Yes/No]
If Yes, Describe the Location of the Restaurant	
Will There be a Separate Street Address?	[Drop Down Menu: Yes/No]
Will There be a Separate Entrance?	[Drop Down Menu: Yes/No]
Identify the Third-Party Operator (if applicable)	
What is the Brand Affiliation?	
Identify Shared Components	
Is There a Bar/Lounge?	[Drop Down Menu: Yes/No]
Will the Bar/Lounge be Located on the Rooftop?	[Drop Down Menu: Yes/No]
Will There be a Separate Elevator (no key card required)?	[Drop Down Menu: Yes/No]
Identify the Third-Party Operator (if applicable)	
What is the Bar/Lounge Name?	
Identify Shared Components	
Is there Retail Space?	[Drop Down Menu: Yes/No]
Describe the Location of the Retail Space	
Will There be a Separate Street Address and Entrance?	[Drop Down Menu: Yes/No]
Identify the Third-Party Operator (if applicable)	
What is the Retail Space Name?	[Drop Down Menu: Yes/No]
Is there a Conference Facility Within the Development Site?	[Drop Down Menu: Yes/No]
Is the Conference Space Connected to the Hotel?	[Drop Down Menu: Yes/No]
Will the Conference Space be Branded or Unbranded?	[Drop Down Menu: Branded/Unbranded]
Identify the Third-Party Operator (if applicable)	
What is the Conference Center Name?	
Identify Shared Components	
Is There a Casino or Other Gaming Facility Within the Development Site?	[Drop Down Menu: Yes/No]
Is the Casino Space Connected to the Hotel?	[Drop Down Menu: Yes/No]
Identify the Third-Party Operator	
What is the Name of the Gaming Facility?	
Will Rooms be Comped?	[Drop Down Menu: Yes/No]

Describe Any Other Anticipated Forms of Revenue Sharing	
Identify Shared Components	
Is There a Residential Component?	[Drop Down Menu: Yes/No]
Will the Residences be Marriott branded?	[Drop Down Menu: Yes/No]
Describe the Location of the Residences	
Identify the Third-Party Operator (if applicable)	
What is the Name of the Residences?	
Are There Other Additional Business?	[Drop Down Menu: Yes/No]
Describe Additional Businesses	
Are Billboard and Directional Signage Available?	

ATTACHMENTS	
Plat of Site and Site Plan indicating the following: - Area of land parcel in acreage and/or square feet, scale of plan, and north arrow - Adjacent roadways with names - Vehicular points of access and/or curb cuts onto the site (if access from the nearest public roadway is through an adjacent site, provide a plan that includes information about the adjacent site (roadways, buildings, drive aisles, parking spaces, etc.) - Property line with metes and bounds - Locations of setbacks, easements, or other building restrictions, such as topographic features that affect the development of potential of the site - Hotel building footprint with overall dimensions, number of floors, and number of rooms labeled - Room matrix chart showing the proposed room mix - Other existing or planned structures that share the site - Outdoor amenity areas and patios - Service areas and trash enclosures - Drive aisles and parking spaces with dimensions <u>Custom, Modified Prototype, or Conversion Projects:</u> In addition to the prototypical criteria, the following criteria is required for Custom, Modified Prototype, or Conversion projects: - Facilities Program chart with square footage tabulations indicating how the project complies with the specific requirements for the applicable Brand and the proposed room mix - Conceptual floor plans showing public space and guest room layouts - Conceptual building elevations that illustrate how the project will convey the Brand image through the use of building massing, materials, and colors	Attach Here
Attach Relevant Documents Relating to Additional Business(es)	Attach Here

[\[CLICK HERE TO ADD INFORMATION FOR ADDITIONAL HOTELS\]](#)

**FORM II TO THE APPLICATION: DEVELOPMENT/CONVERSION COSTS,
PROJECTIONS, AND FINANCING**
(Complete for Each Hotel)

NEW BUILD			
Land Cost		Lease Cost (if applicable)	\$_____ per month/year
Development Cost		Number of Rooms	
Total Cost		Total Cost / Room	
Construction Start		Construction Completion	
CONVERSION/ADAPTIVE REUSE			
Acquisition Cost		Lease Cost (if applicable)	\$_____ per month/year
Conversion Cost		Number of Rooms	
Total Cost		Total Cost / Room	
		Year Built	
Construction Start		Conversion Completion Date	
APPLICANT'S PROJECTIONS OF HOTEL PERFORMANCE			
Attach 3 Year Projections or Fill in Chart Below			[ATTACH HERE]
	Year 1	Year 2	Year 3
ADR			
OCCUPANCY			
5 -YEAR PROFIT AND LOSS STATEMENT FOR CONVERSION HOTELS			
[ATTACH HERE]			
PROJECT FINANCING			
Debt to Equity Ratio			
EQUITY			
[Indicate proposed source of equity and the percentage of the total development costs the equity represents.]			
DEBT			
Source of Construction Financing			
Source of Permanent Financing			
FOR DEBT SECURED BY THE HOTEL			
Source		Term (in years)	
Mortgage Amount		Interest Rate	
Nature of Security Interest		Annual Payment	
ADDITIONAL FINANCING			
[Drop Down Menu: Second Lien Mortgage, Mezzanine Financing, Other (with room for explanation)]			
If Other, Please Explain.			
Source		Loan Amount	
Security		Term (Years)	
Interest Rate		Annual Payment	
ATTACHMENTS			
[ATTACH HERE]			

[\[CLICK HERE TO ADD INFORMATION FOR ADDITIONAL HOTELS\]](#)

FORM III TO THE APPLICATION: OWNERSHIP OF FRANCHISEE

FRANCHISEE INFORMATION					
Person/Entity Name					
Address					
Telephone Number		Email Address			
PRINCIPAL CORRESPONDENT(S)					
Principal Correspondent		Title			
Address					
Telephone Number		Email Address			
FRANCHISE AGREEMENT SIGNATORY					
Signatory Name		Title			
Address					
Telephone Number		Email Address			
OWNERSHIP OF FRANCHISEE					
ENTITY	OWNERS OF ENTITY	ADDRESS	DESCRIPTION OF INTEREST	% OWNERSHIP	ATTACH FORMATION DOCUMENTS AND ORGANIZATIONAL DOCUMENTS
FRANCHISEE					[ATTACH HERE]
	[Owner 1]		[e.g., GP, Member, Shareholder]		[e.g., Articles of incorporation and shareholder agreement w/%]
	[Owner 2]				
OWNER 1					[ATTACH HERE]
	[Owner]				
	[Owner]				
OWNER 2					[ATTACH HERE]
	[Owner]				
	[Owner]				
[OPTIONS FOR ADDITIONAL OWNERS]					
ATTACH ORGANIZATIONAL CHART HERE (Example Below)					[ATTACH HERE]

```

graph BT
    FRANCHISEE[FRANCHISEE] --> O1[Owner 1 (60%)]
    FRANCHISEE --> O2[Owner 2 (20%)]
    FRANCHISEE --> O3[Owner 3 (20%)]
    O1 --> UO1[Ultimate Owner (100% Owner of Owner 1)]
    O2 --> UO2[Ultimate Owner (50% Owner of Owner 2)]
    O3 --> UO3[Ultimate Owner (100% Owner of Owner 3)]
    
```

[CLICK HERE TO ADD INFORMATION FOR ADDITIONAL HOTELS]

FORM IV TO THE APPLICATION: HOTEL MANAGEMENT AND HOTEL EXPERIENCE

HOTEL 1				
Proposed Brand				
Street Address				
MANAGEMENT COMPANY				
Name & Entity Type				
State of Formation				
Mailing Address				
Web Address				
Telephone Number				
Contact Person Name and Title				
Tax ID				
Authorized Signatory Name and Title				
Attachments Describing Experience		[ATTACH HERE]		
Common Ownership?		[Describe common ownership between franchisee and the management company for the hotel, including the level in the ownership structure at which there is common ownership, the percentage ownership interest in the management company and the franchisee that is commonly owned, and provide an ownership structure chart for the management company.]		
APPLICANT EXPERIENCE				
Name of Entity	Hotel Name/Location	# of Rooms	Description of Interest (including length of time)	% Ownership

[CLICK HERE TO ADD INFORMATION FOR ADDITIONAL HOTELS]

FORM V TO THE APPLICATION: FINANCIAL STATEMENTS

Please submit current financial statements, including the most recent financial statement and the most recent quarterly financial statement for the proposed franchisee and its general partner(s), managing member(s) or principal shareholder(s). If the franchisee has more than one level of ownership in its ownership structure, please also provide the most recent quarterly financial statement for the ultimate owners of the general partner(s), managing member(s) or principal shareholder(s) of franchisee.

We require the franchisee's principals to guaranty the franchisee's obligations under the franchise agreement. In some cases, we will accept the guaranty of an entity with substantial net worth instead of some or all of the principals of the franchisee. The primary determining factors will include (i) the net worth and liquidity of the proposed guarantor; (ii) the credit and operating history of the proposed guarantor; and (iii) the debt structure applicable to the hotel. If you propose an entity to serve as the guarantor, you must submit financial statements for that entity.

Each of the franchisee and proposed guarantors identified below will be contacted by our designated screening vendor. The screening vendor will provide further instructions on the franchisee/guarantor screening process.

HOTEL 1		
Proposed Brand		
Street Address		
FINANCIAL STATEMENTS		
Franchisee	[Address]	[Email]
Proposed Guarantor 1	[Address]	[Email]
Proposed Guarantor 2	[Address]	[Email]
Proposed Guarantor 3	[Address]	[Email]

[\[CLICK HERE TO ADD INFORMATION FOR ADDITIONAL HOTELS\]](#)

**INSTRUCTIONS FOR SUBMITTING A FRANCHISE
APPLICATION FOR CHANGE OF OWNERSHIP AND ANY OTHER RELICENSING TRANSACTION OR RENEWAL**

The following is a list of the documents, application forms and information that, when assembled and submitted to Marriott International, Inc. ("Marriott") will comprise a franchise application applicable to one or more hotels. Please contact the person who sent you this application if you have any questions regarding the forms or information required for the Application.

PLEASE COMPLETE ALL FORMS AND RETURN TO THE CONTACT PERSON WHO SENT YOU THE
APPLICATION.

YOUR APPLICATION WILL BE PROCESSED WHEN ALL DOCUMENTS AND
REQUESTED INFORMATION HAVE BEEN RECEIVED BY MARRIOTT.

APPLICATION FORMS AND REQUIREMENTS

Please complete each applicable form as indicated and submit with your Application. Attach additional sheets as necessary. If the Application applies to more than one hotel and if any requested information is the same for some of the hotels, please complete the relevant information once and indicate the hotels to which the information applies. As the forms are intended to cover a number of different types of transactions, not all forms will be applicable to all transactions. Refer to the instructions below and the individual forms for specific information regarding completion of the forms for renewals.

We reserve the right to require additional information as part of our review process or prior to execution of a franchise agreement and related documents.

1. RECEIPT OF FRANCHISE DISCLOSURE DOCUMENT.

For each hotel that is the subject of your Application, please complete and return the Receipt ("Receipt") from the applicable Franchise Disclosure Document provided to you. An Application cannot be accepted for processing until you have submitted a properly executed Receipt signed by an individual with authority to bind the prospective franchisee. The Receipt should be dated the date you received the Franchise Disclosure Document. If the same entity will serve as franchisee for more than one hotel and the Franchise Disclosure Document relates to the brands of such hotels, you may complete one Receipt for such hotels and attach a schedule listing the hotels subject to the Receipt. You may use Schedule A to the Application Letter (Form 1) for such purpose. If the same entity will not serve as franchisee for more than one hotel, you must complete a separate Receipt for each hotel, including the exact name of the franchisee and the location of the hotel.

2. APPLICATION LETTER (FORM 1)

An Application Letter must be completed and executed by each separate franchisee. If the franchisee will be a legal entity that has not yet been formed, you may execute the Application on behalf of such separate legal entity in the name of the parent company that will control such separate legal entity. Once such legal entity has been formed, you must provide all information and documentation required by these Instructions.

3. PROPOSED FINANCING AND FINANCIAL INFORMATION (FORM 2)

Form 2 must be completed for each hotel that is the subject of the Application and the financial information must be provided for each proposed franchisee.

If your transaction is a renewal, the only portion of Form 2 that must be completed is in the last portion under the heading "Financial Information." The rest of Form 2 may be skipped entirely or you may indicate "N/A" as your response.

4. OWNERSHIP STRUCTURE AND DUE DILIGENCE (FORM 3)

Form 3 must be completed for each franchisee of each hotel that is the subject of the Application and, if different, each owner of each hotel (or the land upon which the hotel is built) that is the subject of the Application (each, an “**Applicant Entity**”). Please outline each level of ownership of an Applicant Entity until you reach either (1) an individual or (2) a publicly held entity. If an Applicant Entity is owned through several layers of entities, please provide an organization chart as well. Please also provide the applicable due diligence documents listed on Form 3.

If your transaction is a renewal and this information is already contained in your existing franchise agreement and the information in your franchise agreement is correct and complete and can be used without any changes in your renewal franchise agreement, you may indicate “Ownership is as set forth in the existing franchise agreement” as your response. If any updates are necessary, please indicate the updates and provide applicable due diligence listed on Form 3 evidencing the changes.

PLEASE NOTE: YOU MAY NOT USE ANY MARRIOTT PROPRIETARY MARK (AS STATED IN THE FRANCHISE DISCLOSURE DOCUMENT) IN THE NAME OF ANY ENTITY.

5. HOTEL MANAGEMENT (FORM 4)

For each hotel, indicate whether the proposed franchisee or a management company will manage the hotel and provide the information requested. Please also indicate if there is common ownership between the franchisee and the management company for a hotel and provide the requested information. If the hotel is to be managed by a third-party manager, there may be additional requirements, and certain modifications to the franchise agreement may be required. For provisions required to be in your management agreement and for additional information related to our requirements, see Item 15 of the applicable Franchise Disclosure Document and the Management Company Acknowledgment form attached to the Franchise Agreement.

If your transaction is a renewal and the management of the hotel is not changing from your existing franchise agreement, you may simply indicate that on Form 4 in lieu of the other information requested.

6. HOTEL EXPERIENCE (FORM 5)

Please provide the requested information regarding operation or ownership experience in other lodging facilities.

If your transaction is a renewal and the management of the hotel is not changing from your existing franchise agreement, you may simply indicate that on Form 5 in lieu of the other information requested.

7. APPLICABLE BRAND & APPLICATION FEE

The Application Fee (payable in US Dollars) for each hotel subject to this Application is set forth below for each brand of hotels, unless otherwise indicated in the Application Letter (Form 1):

<u>BRAND</u>	<u>APPLICATION FEE</u>
AC Hotels by Marriott	The greater of \$175,000 or \$500 per guestroom
Aloft	The greater of \$150,000 or \$500 per guestroom
Autograph Collection	The greater of \$150,000 or \$500 per guestroom
Courtyard by Marriott	The greater of \$175,000 or \$500 per guestroom
Delta Hotels and Resorts	The greater of \$150,000 or \$500 per guestroom
Element	The greater of \$150,000 or \$500 per guestroom
Fairfield by Marriott	The greater of \$125,000 or \$400 per guestroom
Four Points	The greater of \$125,000 or \$400 per guestroom
Le Méridien	The greater of \$150,000 or \$500 per guestroom
Marriott / JW Marriott	The greater of \$150,000 or \$500 per guestroom

Moxy Hotels	The greater of \$150,000 or \$500 per guestroom
Renaissance	The greater of \$150,000 or \$500 per guestroom
Residence Inn by Marriott	The greater of \$175,000 or \$500 per guestroom
Sheraton	The greater of \$150,000 or \$500 per guestroom
SpringHill Suites by Marriott	The greater of \$150,000 or \$500 per guestroom
The Luxury Collection	The greater of \$150,000 or \$500 per guestroom
TownePlace Suites by Marriott	The greater of \$125,000 or \$400 per guestroom
Tribute Portfolio	The greater of \$150,000 or \$500 per guestroom
Westin	The greater of \$150,000 or \$500 per guestroom
Branded Spa (applies to Le Méridien, Sheraton or Westin only)	\$27,000

No fees of any kind may be paid to us in connection with an Application until at least 10 business days after the date of the applicable Receipt.

FOR WIRE PAYMENTS:

Bank	Bank of New York Mellon
	500 Ross Street
	Pittsburgh, PA 15262
ABA	043000261
Swift	IRVTUS3N
Account Name	Marriott International, Inc.
Account Number	1998036
Contact	MI Revenue Services Accounting Revenue/Fee Applications

Reference/Payment Details	Application Fee - Unit #: XXXXX
---------------------------	--

Marriott International, Inc.

Franchise Transactions
10400 Fernwood Road
Dept. 51/010.23
Bethesda, MD 20817

RE: **Application for a Franchise for the Hotel(s) Listed on Schedule A**

Ladies/Gentlemen:

This application letter, along with our Application Fee payment (in US Dollars) is furnished to Marriott International, Inc. ("Franchisor") in order to induce Franchisor to process the application of the undersigned for the hotel(s) listed on Schedule A.

In connection with Franchisor's evaluation of this application, Franchisor and its affiliates may rely on each of the following representations, warranties, acknowledgments and agreements and all information provided by us or on our behalf in connection with this application (collectively, the "Application").

1. The undersigned, jointly and severally, represent and warrant that:

- (a) All information contained in the Application is true, correct, complete and not misleading through omission of material information, as of the date hereof.
- (b) The undersigned has authority to submit the Application and enter into a franchise agreement with Franchisor for each hotel listed on Schedule A (each, a "Franchise Agreement"). Neither the Application nor the execution of the Franchise Agreement(s) will conflict with any obligations of the undersigned to other parties. Franchisor has not induced the undersigned to terminate or breach any agreement with respect to the hotel(s) specified on Schedule A.
- (c) If this Application is in connection with a proposed change of ownership, the undersigned has executed a binding purchase contract for the purchase of the hotel(s) specified on Schedule A.
- (d) The undersigned is familiar with the system for each brand of hotel listed on Schedule A (as described in the applicable Franchise Disclosure Document) and its requirements. A Franchise Disclosure Document for each brand of hotel listed on Schedule A has been provided by Franchisor to the undersigned.
- (e) Neither the undersigned, nor any entity of which the undersigned has held the position of general partner, managing member or beneficial owner, is or has been (i) a defendant in civil litigation alleging fraud, deceit or similar claims; (ii) convicted of a criminal offense or the subject of a pending criminal proceeding (other than minor traffic offenses); (iii) the subject of a petition for protection under any bankruptcy or similar insolvency laws; (iv) a defaulting party in a foreclosure proceeding; or (v) the subject of disciplinary action with respect to the suspension or revocation of a professional or gaming license.

Neither the undersigned nor any affiliate of the undersigned (i) has any claims against Franchisor or any of Franchisor's affiliates or (ii) is a Competitor or a Restricted Person, as such terms are defined in the Franchise Agreement(s) in the applicable Franchise Disclosure Document.

2. The undersigned acknowledges and agrees that:

- (a) Franchisor reserves the right to approve or deny this Application, in its sole discretion. The undersigned will not acquire any rights by virtue of the submission of the Application whether or not Franchisor approves the Application. Any expenses incurred by or on behalf of the undersigned in connection with this Application (including without limitation any costs of constructing, renovating or operating any hotel that is the subject of this Application) are at the undersigned's sole risk and are not being made in reliance on any action of Franchisor.
- (b) Franchisor does not enter into oral agreements or understandings with respect to franchises or matters pertaining to the grant of a franchise. Accordingly, there are no agreements or understandings whatsoever between the undersigned and Franchisor with respect to any franchise.
- (c) Franchisor will engage outside legal counsel to assist in documenting the grant of the franchise for the hotel(s) specified on Schedule A. Whether or not a Franchise Agreement is executed for every hotel listed on Schedule A, the undersigned will be responsible for the payment of such outside counsel's legal fees.
- (d) An Application Fee has been paid to Franchisor with the Application. The fee may be invested, commingled with other funds of Franchisor or otherwise used by Franchisor, as it deems appropriate in its discretion. Franchisor will not process the Application until it receives full payment of the Application Fee. The Application Fee is nonrefundable, except if for any reason, a Franchise Agreement is not executed for any of the hotels listed on Schedule A, Franchisor will return the Application Fee applicable to such hotel(s) less Ten Thousand Dollars (\$10,000) for each hotel listed on Schedule A for which the Application was not approved or for which a Franchise Agreement was not executed (after Franchisor confirms that all outside counsel fees and expenses associated with the transaction have been paid by the undersigned).
- (e) Whether or not Franchisor approves the Application, the undersigned will not have any exclusive territorial rights. Franchisor and its affiliates may operate or grant others the right to operate the same brand(s) of hotel(s) or other lodging facilities and other businesses at any location including locations proximate, adjacent or adjoining the site(s) specified on Schedule A. Franchisor may consider applications from other applicants for any sites without liability to the undersigned.
- (f) If this Application is in connection with a proposed change of ownership and if Franchisor approves the Application, the undersigned may not take any level of ownership, possession, control or management of a hotel listed on Schedule A or use any of Franchisor's proprietary marks or systems unless and until it has executed the Franchise Agreement (and any related agreements) and has received copies of the Franchise Agreement (and any related agreements) countersigned by Franchisor. The undersigned may not take possession, ownership, control or management of a hotel prior to the Effective Date as stated in the Franchise Agreement.
- (g) Any financial information provided by the undersigned in connection with this Application (including the financing and debt structure proposed for each hotel listed on Schedule A) will be prepared by the undersigned or their advisors. We acknowledge and agree that Franchisor (i) has not participated in the preparation of that information, and (ii) is not ratifying or approving or

making any representations as to the accuracy of that information, or the attainability of any projections.

- (h) If Franchisor enters into a Franchise Agreement with the undersigned for a hotel listed on Schedule A, and the Effective Date of that Franchise Agreement does not occur on the first day of a Marriott accounting period, the undersigned may be responsible for all amounts due to Franchisor or its affiliates with respect to the hotel for the entire accounting period in which the Effective Date occurs, excluding royalty fees and marketing fund contributions.

The undersigned, jointly and severally, hereby indemnifies and agrees to defend Franchisor and its affiliates and Franchisor's directors, officers, employees and agents and to hold them harmless from all losses, liabilities, costs, damages and expenses consequently, directly or indirectly incurred (including legal and accounting fees and expenses) and arising from, as a result of or in connection with the Application, including the breach of any representation or warranty contained in the Application. Franchisor will have the right to take any action it may deem necessary in its sole discretion to protect and defend itself against any threatened action covered by this indemnification without regard to the expense, forum or other parties that may be involved. Franchisor may, in its sole discretion, have sole and exclusive control over the defense of any such action (including the right to be represented by counsel of its choosing) and over the settlement, compromise or other disposition thereof.

The undersigned will immediately inform Franchisor of any material change in any information contained in the Application or if the undersigned learns that any representation or warranty is untrue as of the date such representation or warranty was made. If the undersigned is executing this Application on behalf of separate legal entities that have not yet been formed but will be controlled by the undersigned, the undersigned commits to provide all information and documentation related to such separate entities to Franchisor upon their formation and will immediately advise Franchisor of any changes in any information provided in Form 3 of this Application. The terms of this application letter will survive approval or rejection of the Application or failure to enter into a Franchise Agreement.

This application letter will be governed by the law of the State of Maryland without reference to the conflict of laws principles thereof.

This application letter may be executed in several counterparts, each of which will be deemed an original but which together will constitute one and the same instrument.

This signature page must be printed, signed and returned to Franchisor along with the completed application and supporting documents.

Name of the Applicant

Name of Person or Entity Signing on Behalf of Applicant

Signature

Title

Date

SCHEDULE A

Unit # / MARSHA	Hotel Name	Application Fee
XXXXX / XXXXX	Brand Hotel Name, State	\$XXX,XXX.00
TOTAL		\$XXX,XXX.00

FINANCING AND FINANCIAL INFORMATION
For each Hotel and Franchisee subject to this Application

PURCHASE TERMS

COMPLETE ONLY FOR THOSE HOTELS SUBJECT TO A PROPOSED CHANGE OF OWNERSHIP

(NOT APPLICABLE TO A RENEWAL)

Hotel Name	Brand Hotel Name, State	Closing Date	
Purchase Price		Amount of Equity	
Sources of Equity			

Please submit a copy of the Purchase & Sale Agreement with your application.

An executed deed in the name of the franchisee (or owner) along with proof of insurance as required by the Franchise Agreement issued to Franchisee must be received by Franchisor prior to the execution of the Franchise Agreement.

FINANCING AND FINANCIAL INFORMATION
For each Hotel and Franchisee subject to this Application

FINANCING

(NOT APPLICABLE TO A RENEWAL)

If secured by the hotel(s), please indicate:

Hotel Name	Brand Hotel Name, State	Mortgage Amount	
Source		Term	
		Interest Rate	
		Annual Payment	
Additional Financing (e.g., second lien mortgage, mezzanine financing, etc.)			☐ Yes ☐ No
Source		Loan Amount	
Security		Term	
Interest Rate		Annual Payment	

An executed deed in the name of the franchisee (or owner) along with proof of insurance as required by the Franchise Agreement and the standards must be received by Franchisor prior to its execution of the Franchise Agreement.

FINANCIAL INFORMATION

Please submit current financial statements, including the most recent audited financial statement and the most recent quarterly financial statement for the proposed franchisee and its general partner(s), managing member(s) or principal shareholder(s). If the franchisee has more than one level of ownership in its ownership structure, please also provide the most recent quarterly financial statement for the ultimate owners of the general partner(s), managing member(s) or principal shareholder(s) of franchisee.

We require the franchisee's principals to guaranty the franchisee's obligations under the franchise agreement. In some cases, we will accept the guaranty of an entity with substantial net worth instead of some or all of the principals of the franchisee. The primary determining factors will include (i) the net worth and liquidity of the proposed guarantor; (ii) the credit and operating history of the proposed guarantor; and (iii) the debt structure applicable to the hotel. If you propose an entity to serve as the guarantor, you must submit financial statements for that entity.

If your transaction is a renewal, the only financial statements you need to submit under this Form 2 are the financial statements for the proposed guarantor(s). Financial statements for the proposed guarantor(s) must be provided even if the proposed guarantor(s) are the same as under the existing franchise agreement.

OWNERSHIP STRUCTURE AND DUE DILIGENCE
To be completed for each Applicant Entity (Franchisee and Owner)

If your transaction is a renewal and the information requested in this Form 3 is already contained in your existing franchise agreement and the information in your existing franchise agreement is correct and complete and can be used without any changes in your renewal franchise agreement, you may indicate "Ownership is as set forth in the existing franchise agreement" as your response. If any updates are necessary, please indicate the updates and provide applicable due diligence listed below for the entity evidencing the changes.

Applicant Entity Name	State / Province

Select Appropriate Type of Entity:

- | | |
|--|---|
| ☐ Estate
☐ General Partnership
☐ Individual
☐ Joint Venture
☐ Limited Liability Company
☐ Limited Partnership | ☐ Other
☐ Privately Held Corporation
☐ Public Corporation
☐ Syndicated Limited Partnership
☐ Trust |
|--|---|

Address	City, State, Zip Code
Phone Number	Tax ID Number
Email Address	

Authorized Signer for Entity

Name	Title
Address	City, State, Zip Code
Phone Number	Email Address

Principal Correspondent

Name	Title
Address	City, State, Zip Code
Phone Number	Email Address

PARTICIPANTS

Please provide the following for each individual or entity that has a direct or indirect equity ownership or beneficial interest in an Applicant Entity (each, a “**Participant**”) at each level of ownership until you reach either (1) an individual or (2) a publicly held entity. Also include the names of controlling individuals and entities (and their ownership), even if they hold no ownership interest (e.g. non-member managers). **If there are several layers of ownership, please submit an organizational chart as well.**

Name		Proposed Guarantor (Y/N)	
Address			
Title (e.g., Managing Member, Member, General Partner)		% of Ownership	

Name		Proposed Guarantor (Y/N)	
Address			
Title		% of Ownership	

Name		Proposed Guarantor (Y/N)	
Address			
Title		% of Ownership	

Name		Proposed Guarantor (Y/N)	
Address			
Title		% of Ownership	

Name		Proposed Guarantor (Y/N)	
Address			
Title		% of Ownership	

Name		Proposed Guarantor (Y/N)	
Address			
Title		% of Ownership	

DUE DILIGENCE

Please provide the following information for each Applicant Entity (i.e., franchisee and owner, if different) and, unless otherwise noted, for each Participant, depending on the type of entity. If an Applicant Entity has not been formed, please submit the following information immediately upon its formation. If the type of entity is not listed below, please provide information similar to that listed below for the other entities:

- | | |
|--------------------------------|--|
| CORPORATION: | <ul style="list-style-type: none"> (a) Articles or Certificate of Incorporation, including all amendments (b) Bylaws, including all amendments (Applicant Entity only) (c) Evidence that the entity is owned as indicated in the chart above (e.g. copies of stock certificates and stock ledger) |
| LIMITED LIABILITY
COMPANY: | <ul style="list-style-type: none"> (a) Articles of Organization or Certificate of Formation, including all amendments (b) Operating Agreement or Limited Liability Company Agreement, including all amendments (c) Evidence that the entity is owned as indicated in the chart above (e.g. membership certificates, if not set forth in the Operating Agreement or Limited Liability Company Agreement) |
| PARTNERSHIP/
JOINT VENTURE: | <ul style="list-style-type: none"> (a) If a limited partnership, Certificate of Limited Partnership, including all amendments (b) Partnership Agreement, including all amendments (c) Evidence that the entity is owned as indicated in the chart above (e.g. partnership units, if not set forth in the Partnership Agreement) |
| TRUST: | <ul style="list-style-type: none"> (a) An executed copy of the trust agreement, including all amendments (b) The complete names and addresses of all Trustees and Beneficiaries |
| ESTATE: | <ul style="list-style-type: none"> (a) Letters testamentary or letters of administration (as applicable) |

HOTEL MANAGEMENT

If your transaction is a renewal and the management of the hotel is not changing from your existing franchise agreement, you may simply indicate that below in lieu of the other information requested.

The hotel(s) will be managed by: ☐ Applicant ☐ Management Company

APPLICABLE HOTELS	
1.	2.
Company Name	State / Province
Contact Name	Title
Address	City, State, Zip Code
Phone Number	Tax ID Number
Email Address	

Authorized Signer for Entity:

Name	Title

APPLICABLE HOTELS	
1.	2.
Company Name	State / Province
Contact Name	Title
Address	City, State, Zip Code
Phone Number	Tax ID Number
Email Address	

Authorized Signer for Entity:

Name	Title

Common Ownership

If there is common ownership between the franchisee and the Management Company for a hotel, please describe the common ownership, including the level in the ownership structure at which there is common ownership, the percentage ownership interest in the Management Company and the franchisee that is commonly owned, and provide an ownership structure chart for the Management Company. If there is no common ownership, please indicate "N/A" in the space below.

Please provide the following documentation for the Management Company, as applicable:

- (a) Articles or Certificate of Incorporation; or Articles of Organization or Certificate of Formation; or Certificate of Limited Partnership or Partnership Agreement; OR
- (b) Certificate of Good Standing.

HOTEL EXPERIENCE

If your transaction is a renewal and the management of the hotel is not changing from your existing franchise agreement, you may simply indicate that below in lieu of the other information requested.

DOES ANY APPLICANT, ANY PARTICIPANT OR THE MANAGEMENT COMPANY OPERATE OR HAVE AN OWNERSHIP INTEREST IN ANY OTHER LODGING FACILITY?

☐ Yes ☐ No If yes, please list below. Please provide supplemental list as needed.

Name of Entity			
Hotel Name/Location		# of Rooms	
Description of Interest Including Length of Time		% of Ownership	

Name of Entity			
Hotel Name/Location		# of Rooms	
Description of Interest Including Length of Time		% of Ownership	

Name of Entity			
Hotel Name/Location		# of Rooms	
Description of Interest Including Length of Time		% of Ownership	

If the Applicant, Participant or Management Company is currently operating other properties for Franchisor, you need only list the date of such entity's last application submitted to Franchisor, the name of the applicable property that was the subject of such application and any updates to the information in this Form 5 that have occurred since the date of such application.

CASINOS

If the hotel(s) has a casino or there is adjacent to the hotel a casino that will be managed by the Applicant, any Participant or Management Company, please provide the information requested below and we will contact you for additional information regarding gaming licenses.

Hotel Name	Location

EXHIBIT C

FRANCHISE AGREEMENT AND RELATED AGREEMENTS

DRAFT

TRIBUTE PORTFOLIO

TRIBUTE PORTFOLIO FRANCHISE AGREEMENT

FRANCHISOR: «FRANCHISOR_LICENSOR»

FRANCHISEE: «FRANCHISE_NAME»

LOCATION: «ADDRESS», «CITY», «STATE» «ZIP»

DATE: _____

TABLE OF CONTENTS

	Page
1. LICENSE	1
1.1 Limited Grant.	1
1.2 Franchisor's Reserved Rights.	1
2. TERM.....	1
2.1 Term.	1
2.2 Not Renewable.	1
3. FEES, CHARGES AND COSTS.....	1
3.1 Application Fee; Expansion Fee.....	1
3.2 Franchise Fees.	2
3.3 Franchisor Travel Costs.....	2
3.4 Other Fees, Charges and Costs.....	2
3.5 Timing of Payments and Performance of Services.	2
3.6 Interest on Late Payments.	2
3.7 Program Services Contribution.	3
4. HOTEL CONSTRUCTION, DESIGN, RENOVATION AND MAINTENANCE	4
4.1 Number of Guestrooms; Expansion.	4
4.2 Initial Construction or Renovation of the Hotel.	4
4.3 Periodic Renovations.....	4
4.4 Design Process.	5
4.5 Design and Independent Hotel Brand.....	5
4.6 Maintenance.	6
5. FURNITURE, FIXTURES, EQUIPMENT, INVENTORIES AND SUPPLIERS	6
6. ADVERTISING AND MARKETING; PRICINGS, RATES AND RESERVATIONS.....	6
6.1 Franchisee's Local Advertising and Marketing Programs.	6
6.2 Marketing Fund.	7
6.3 Additional Marketing Programs.	7
6.4 Pricing, Rates and Reservations.	7
7. ELECTRONIC SYSTEMS.....	8
7.1 Systems Installation and Use.....	8
7.2 Reservation System.	8
7.3 Electronic Systems Provided Under License.....	8
7.4 Access to Information.....	8
8. HOTEL OPERATIONS	8
8.1 Operator of the Hotel.....	8
8.2 Employees.	9
8.3 Compliance with the Standards.	9
8.4 System Promotion; No Diversion to Other Businesses.	10
9. TRAINING, COUNSELING AND ADVISORY SERVICES.....	10
9.1 Training.	10
9.2 Counseling and Advisory Services.....	10

10. SYSTEM AND STANDARDS; FRANCHISEE ASSOCIATION	11
10.1 Compliance with System and Standards.	11
10.2 Modification of the System and Standards.	11
10.3 Franchisee Association.	11
11. PROPRIETARY MARKS AND INTELLECTUAL PROPERTY.....	11
11.1 Franchisor’s Representations Concerning the Proprietary Marks.	11
11.2 Franchisee’s Use of Intellectual Property and the System.....	12
11.3 Franchisee’s Use of Other Marks.	14
11.4 Websites and Domain Names.	14
11.5 Use of Franchisee Marks; Name of Hotel.....	14
12. CONFIDENTIAL INFORMATION; DATA PROTECTION.....	15
12.1 Confidential Information.	15
12.2 Data Protection.	16
13. ACCOUNTING AND REPORTS; TAXES	16
13.1 Accounting.....	16
13.2 Books, Records and Accounts.	16
13.3 Accounting Statements.	16
13.4 Franchisor Examination and Audit of Hotel Records.....	17
13.5 Taxes.....	17
14. INDEMNIFICATION.....	18
15. INSURANCE	18
15.1 Insurance Required.	18
15.2 Other Requirements.	19
16. FINANCING OF THE HOTEL.....	19
17. TRANSFERS	19
17.1 Franchisee’s Transfer Rights.	19
17.2 Transfers Not Requiring Notice or Consent.	19
17.3 Transfers Requiring Notice but Not Consent.....	20
17.4 Transfers Requiring Notice and Consent.....	21
17.5 Proposed Transfer to Competitor and Right of First Refusal.	22
17.6 Restricted Persons.	23
17.7 Transfers by Franchisor.	23
18. PROSPECTUS REVIEW	23
18.1 Franchisor’s Review of Prospectus.....	23
18.2 Exemption from Review.....	24
19. DEFAULT AND TERMINATION.....	24
19.1 Immediate Termination.....	24
19.2 Default with Opportunity to Cure.....	25
19.3 Suspension of Reservation System.	26
19.4 Damages.	26
20. POST-TERMINATION.....	27
20.1 Franchisee Obligations.	27

20.2	Franchisor's Rights on Expiration or Termination.	28
21.	CONDEMNATION AND CASUALTY	28
21.1	Condemnation.	28
21.2	Casualty.	28
22.	COMPLIANCE WITH APPLICABLE LAW; LEGAL ACTIONS	29
22.1	Compliance with Applicable Law.	29
22.2	Notice of Legal Actions.	29
23.	RELATIONSHIP OF PARTIES.....	29
24.	GOVERNING LAW; ARBITRATION; INTERIM RELIEF; COSTS OF ENFORCEMENT; WAIVERS.....	29
24.1	Governing Law, Arbitration, and Jurisdiction.	29
24.2	Equitable Relief.	30
24.3	Costs of Enforcement.....	31
24.4	WAIVER OF PUNITIVE DAMAGES.	31
24.5	WAIVER OF JURY TRIAL.....	31
25.	NOTICES.....	31
26.	REPRESENTATIONS AND WARRANTIES.....	31
26.1	Existence; Authorization; Ownership; Other Representations.	31
26.2	Additional Franchisee Acknowledgments and Representations.	32
27.	MISCELLANEOUS.....	33
27.1	Counterparts.....	33
27.2	Construction and Interpretation.	33
27.3	Reasonable Business Judgment.	34
27.4	Consents and Approvals.	34
27.5	Waiver.....	35
27.6	Entire Agreement.	35
27.7	Amendments.	35
27.8	Survival.....	35
EXHIBIT A	KEY TERMS.....	A-1
EXHIBIT B	DEFINITIONS	B-1
EXHIBIT C	NEW DEVELOPMENT.....	C-1
EXHIBIT C	CONVERSION	C-4
EXHIBIT C	CHANGE OF OWNERSHIP.....	C-11

FRANCHISE AGREEMENT

This Agreement between Franchisor and Franchisee is executed and becomes effective on the Effective Date.

RECITALS

A. Franchisor owns the System and Franchisee has requested a license to use the System to operate the Hotel as a System Hotel at the Approved Location.

B. Franchisor has agreed to grant a license to Franchisee subject to the terms of this Agreement.

C. Guarantor will provide the Guaranty.

NOW, THEREFORE, in consideration of the promises in this Agreement and other good and valuable consideration, the receipt and sufficiency of which are acknowledged, Franchisor and Franchisee agree as follows:

1. LICENSE

1.1 Limited Grant. Franchisor grants to Franchisee a limited, non-exclusive license to use the Proprietary Marks and the System to operate the Hotel as a System Hotel at the Approved Location under the terms of this Agreement.

1.2 Franchisor's Reserved Rights.

A. *Development Activities.* Franchisee agrees that Franchisor and its Affiliates reserve the right to conduct Development Activities at any location, other than the Approved Location, without notice to Franchisee, subject to Item 9 of Exhibit A. Franchisee will not do anything that may interfere with Franchisor's and its Affiliates' Development Activities.

B. *Territorial Rights.* Franchisee agrees that it is not entitled to any territorial rights or exclusivity, except as stated in Item 9 of Exhibit A.

C. *Use of the System.* Franchisee acknowledges that Franchisor and its Affiliates may allow other Franchisor Products to use various parts of the System, including under affiliation or marketing agreements.

2. TERM

2.1 Term. The term of this Agreement is stated in Item 4 of Exhibit A (the "Term").

2.2 Not Renewable. This Agreement expires on the last day of the Term, and the rights granted under it are not renewable and Franchisee has no expectation of any right to extend the Term.

3. FEES, CHARGES AND COSTS

3.1 Application Fee; Expansion Fee. Franchisee has paid Franchisor the non-refundable application fee stated in Item 10 of Exhibit A (the "Application Fee"). If Franchisor approves an increase in the number of Guestrooms in the Hotel under Section 4.1, Franchisee will pay the then-current per-Guestroom expansion fee, multiplied by the number of additional Guestrooms.

3.2 Franchise Fees. Beginning on the Opening Date, Franchisee will pay Franchisor for each month an amount equal to the percentage of Gross Room Sales stated in Item 11 of Exhibit A for such month (the “Franchise Fees”). Franchisee will not offer complimentary or reduced-price Guestrooms or food and beverage to benefit any other business at or outside of the Hotel.

3.3 Franchisor Travel Costs. If Franchisor requests, Franchisee will reimburse Franchisor for all Travel Costs for individuals designated by Franchisor to conduct training, inspections, audits, or other services for the Hotel, including counseling and advisory services, which will not exceed the amounts permissible under Franchisor’s corporate travel policies. If the Hotel is not in a sold-out position, Franchisee will provide complimentary lodging at the Hotel to such individuals while they are providing such services.

3.4 Other Fees, Charges and Costs. Franchisee will pay the fees, charges and costs required under this Agreement and any other Marriott Agreement, and will pay for any optional programs in which it participates. Franchisee will also pay Franchisor for any goods or services purchased, leased or licensed by Franchisee from Franchisor, including any costs related to purchasing, installing and upgrading any Electronic Systems. The Franchise Fees and Application Fee are personal to Franchisee and are as stated in this Agreement; all other fees, charges and costs under this Agreement and any other Marriott Agreement (and any applicable changes) will be computed on a fair and consistent basis among similarly situated System Hotels. Franchisor may change such other fees, charges and costs to reflect any change in (i) the costs of providing, or the scope of, the relevant goods, programs or services; (ii) the method Franchisor uses to determine allocation of the applicable charges; or (iii) the competitive needs of the System.

3.5 Timing of Payments and Performance of Services.

A. *Timing of Payments.* Franchise Fees are due within 15 days after the end of each month. All other payments are due as invoiced. All payments will be made in immediately available funds, at the location and in the manner designated by Franchisor (which may include payment through electronic funds transfers or centralized payment processing programs as specified by Franchisor, in which case Franchisee will execute any documents, pay any fees and costs, and take any other action required by Franchisor to effect such payment).

B. *Affiliates and Designees.* Any service or obligation of Franchisor under this Agreement may be performed by an Affiliate or designee of Franchisor. Franchisor may designate that payment be made to the Person performing the service. Any reference in this Agreement to Franchisor concerning payments or performance of services includes such Affiliates and designees. Any designation for the performance of services will not relieve Franchisor or Franchisee of any of their obligations under this Agreement.

C. *Right of Set-Off.* Franchisor may set-off or deduct any amounts owed to Franchisor or any of its Affiliates by Franchisee or any of its Affiliates from amounts that would otherwise be payable to Franchisee under this Agreement.

3.6 Interest on Late Payments. Franchisee will pay interest on any amount that is not paid when due. Interest will accrue at a rate of 18% per annum (or, if less, the maximum interest rate permitted by Applicable Law) from the date such overdue amount was due until paid. Franchisor’s right to receive interest is in addition to any other remedies Franchisor may have.

3.7 Program Services Contribution.

A. *Program Services.* Beginning on the Opening Date, Franchisee will pay Franchisor each month the Program Services Contribution. Franchisor will use the Program Services Contribution to fund certain mandatory programs and services for System Hotels that Franchisee would otherwise be required to pay for separately (“Program Services”), which include, to the extent described in the Disclosure Document:

1. Marketing Fund Activities as described in Section 6.2;
2. development, modification, maintenance, support, administration and operation of certain mandatory Electronic Systems;
3. development, operation, administration and oversight of certain other mandatory programs and services; and
4. the retention or employment of personnel, consultants and other professionals to assist in the development, implementation and administration of Program Services, including collection and accounting of the Program Services Fund, as well as overhead, other costs incurred in providing Program Services, and the reimbursement of capital invested in the development of such Program Services, together with costs incurred by Franchisor to finance such capital.

Franchisor may modify Program Services from time to time. Unless otherwise determined by Franchisor, Program Services do not include services or costs relating to the purchase, installation or deployment of, or training for, any Electronic System.

B. *Marketing Fund Contribution.* Beginning on the Opening Date, Franchisee will pay Franchisor for each month an amount equal to the percentage of Gross Room Sales stated in Item 12 of Exhibit A for such month, which Franchisor will use for the Marketing Fund Activities (the “Marketing Fund Contribution”). The Marketing Fund Contribution will be paid by Franchisee as part of the Program Services Contribution. Franchisor may change the method of funding the Marketing Fund Activities (including by establishing methods of funding Marketing Fund Activities other than by the Marketing Fund Contribution or the Program Services Contribution) or the amount of the Marketing Fund Contribution (without any obligation to make a corresponding change to the total Program Services Contribution), and Franchisee will be bound by any such changes.

C. *Permitted Changes.* Franchisor may at any time: (i) change the method of funding Program Services (including by establishing methods of funding Program Services other than by the Program Services Contribution); (ii) change the programs and services covered by the Program Services Contribution; (iii) change the amount of the Program Services Contribution or the method of calculation of the Program Services Contribution; (iv) merge or operate the Program Services Fund together with program services funds used to benefit other Franchisor Products; or (v) discontinue the use of the Program Services Contribution to fund any one or all mandatory programs or services for System Hotels, and Franchisee will be bound by any such changes.

D. *Benefits.* Franchisor may use the Program Services Fund to cover the costs of Program Services for System Hotels as a whole, groups of System Hotels, and other Franchisor Products. Franchisor has no obligation to ensure that any particular System Hotel, including the Hotel, benefits from Program Services on a pro-rata or other basis or that the Hotel will benefit from Program Services proportionate to the Program Services Contribution paid by Franchisee.

E. *No Fiduciary Duty.* Franchisor and its Affiliates do not hold the Program Services Fund or the Marketing Fund as a trustee or as trust funds and have no fiduciary duty to Franchisee for such funds. The Program Services Contribution and Marketing Fund Contribution may be commingled with other money of Franchisor and its Affiliates and used to pay all costs, including administrative costs, salaries and overhead, and collection and accounting costs, incurred by Franchisor or any of its Affiliates for the Program Services Fund or Marketing Fund, respectively. Franchisor or its Affiliates may: (i) loan money for Program Services and Marketing Fund Activities and charge interest on any such loan; and (ii) use the Program Services Contribution or the Marketing Fund Contribution to repay any such loan plus interest. On request, Franchisor will provide to Franchisee a statement of operations presenting the revenues and expenses of the Program Services Fund and the Marketing Fund (which statement may be audited or unaudited in Franchisor's sole discretion) for any fiscal year of Franchisor if such request is made between 90 and 180 days after the end of such fiscal year.

4. HOTEL CONSTRUCTION, DESIGN, RENOVATION AND MAINTENANCE

4.1 Number of Guestrooms; Expansion. The Hotel will have the number of Guestrooms stated in Item 7 of Exhibit A or such other number approved by Franchisor. Franchisee may expand the Hotel or build additional Guestrooms in compliance with this Agreement only with Franchisor's prior written approval. If additional Guestrooms are approved, Franchisee will pay an expansion fee under Section 3.1.

4.2 Initial Construction or Renovation of the Hotel. Franchisee will timely start and complete the initial construction or renovation of the Hotel, as applicable, to Franchisor's satisfaction in accordance with Section 4.4, Exhibit C and the Standards (the "Initial Work").

4.3 Periodic Renovations.

A. *Replacement of FF&E.* Franchisee will timely start and complete the periodic renovation of all Guestrooms and Public Facilities to Franchisor's satisfaction in accordance with Section 4.4 and the Standards, including replacing Soft Goods and Case Goods periodically as required by the Standards ("Periodic Renovations"). At the time of any replacement of FF&E, Franchisor may require Franchisee to upgrade the rest of the Hotel to conform to the Standards applicable to similarly situated System Hotels.

B. *Reserve Account.* Franchisee will fund the cost of all renovations at the Hotel. Franchisee will establish a reserve account at a financial institution (the "Reserve") so that funds are available to complete the Periodic Renovations.

1. The Reserve will be used only for renovations of Guestrooms and Public Facilities including replacement of Soft Goods and Case Goods. The Reserve will not be used for repairs or replacements to the structure of the Hotel building or to its mechanical, electrical, heating, ventilating, air conditioning, plumbing or vertical transportation systems, which structure and systems will be maintained in good condition with other funds.

2. Each month, Franchisee will transfer into the Reserve an amount equal to the percentage of Gross Revenues stated in Item 18 of Exhibit A applicable to such month. Such transfer will be made within 15 days after the end of each month.

3. At the end of each year, any amounts remaining in the Reserve will remain in the Reserve, and will not decrease the amount required to be deposited in the Reserve.

4. Amounts required under Section 4.3.B.2 may be insufficient to maintain the Hotel in accordance with the Standards, and if so, Franchisee will provide additional funds to maintain the Hotel to the Standards.

4.4 Design Process. Franchisee will obtain the Product Quality Standards from Franchisor within 10 days of the Effective Date for the Initial Work, and in a timely manner for any Periodic Renovation. In connection with the Initial Work and any Periodic Renovation, Franchisee will pay to Franchisor its then-current fees and comply with the following requirements (the “Design Process”):

A. *Design Team.* For the Initial Work, and as needed for Periodic Renovations, Franchisee will retain a qualified registered architect, engineer and interior designer, and based on the nature of the project, Franchisor may require that Franchisee retain other specialty consultants. Franchisee will provide Franchisor the name, address and relevant work experience on similar projects for any such Person that Franchisee proposes to retain, and Franchisor will have 30 days after receipt of such information to notify Franchisee of its election to consent or withhold its consent. Franchisor’s election to consent or withhold its consent will be based on prior experiences with such Person and such Person’s reputation and experience on similar projects. Franchisor may charge its then-current fee for reviewing any interior designer that is not included on Franchisor’s list of recommended interior designers for the Hotel, if any. If Franchisor does not respond to Franchisee within 30 days after Franchisor’s receipt of such information, then Franchisee may retain such Person. Neither Franchisor’s failure to respond nor Franchisor’s consent to the use of such Person will be deemed an endorsement or recommendation by Franchisor. Franchisor is not liable for the unsatisfactory performance of any Person retained by Franchisee.

B. *Submission of Plans.* For the Initial Work and Periodic Renovations, Franchisee will adapt the Product Quality Standards to the Hotel and Applicable Law, including Accessibility Requirements. For the Initial Work, and if Franchisor requests for any Periodic Renovations, Franchisee will prepare and submit Plans electronically in the phases and with the detail required by the Standards. The Plans will not deviate from the Product Quality Standards unless previously approved by Franchisor, and any such deviations will be clearly designated in a separate document delivered along with the Plans.

C. *Review of Plans.* Franchisor will promptly review the Plans only for compliance with the Product Quality Standards and any applicable property improvement plan, and in the case of the Initial Work, to confirm that the number, configuration and location of Guestrooms and the size, configuration and location of Public Facilities are as previously approved by Franchisor. If Franchisor determines that the Plans do not satisfy such requirements, Franchisor may require changes and Franchisee will deliver revised Plans incorporating such changes. If Franchisor determines that the Plans are incomplete, Franchisor may defer its review of the Plans until it receives complete Plans. Franchisee will not begin the Initial Work or any Periodic Renovation requiring submission of Plans until Franchisor confirms in writing that such Plans comply with such requirements. On receipt of Franchisor’s confirmation, Franchisee will promptly submit the final Plans electronically. Once finalized, the Plans will not be changed without Franchisor’s prior consent. Franchisee will ensure that the renovation of the Hotel is completed in accordance with the Plans.

D. *Compliance with Applicable Law.* Franchisee (and not Franchisor or its Affiliates) is responsible for ensuring that the Plans comply with Applicable Law, including Accessibility Requirements. Franchisor and its Affiliates will have no liability or obligation concerning the means, methods or techniques used in constructing or renovating the Hotel. Franchisee will not reproduce, use or permit the use of the Product Quality Standards or Plans other than for the Hotel.

4.5 Design and Independent Hotel Brand.

A. *Franchisee Responsible for Design and Independent Hotel Brand.* Franchisor does not specify the Design or the Independent Hotel Brand of System Hotels in the Standards. Franchisee is responsible for creating and maintaining an identifiable Design and Independent Hotel Brand for the Hotel.

B. *Approval of Design and Independent Hotel Brand.* Franchisor may require Franchisee to retain a Franchisor-approved branding consultant and interior design firm, develop a communications and marketing plan, implement a service experience program, and create spaces and experiences to reinforce the Design and Independent Hotel Brand for the Hotel, all of which must be acceptable to Franchisor. Franchisee will retain any required branding consultant and interior design firm until the satisfactory implementation of the Design and Independent Hotel Brand as determined by Franchisor. Franchisee must obtain Franchisor's approval for any future material change to the Design and the Independent Hotel Brand, which will not be unreasonably withheld. Nothing in this Section 4.5.B. affects Franchisee's obligation to comply with the Quality Assurance Program, the Standards, including the Product Quality Standards, or to maintain the Hotel in good repair and first-class condition. Nothing in this Section 4.5.B limits Franchisor's right to impose Standards, including Product Quality Standards, for the quality or condition of the Hotel.

4.6 Maintenance. Franchisee will maintain the Hotel in good repair and first-class condition and in conformity with Applicable Law, the Standards and Exhibit C. Franchisee will make repairs, alterations and replacements to the Hotel as required by the Standards. Franchisee will not make any material alterations to the Hotel without Franchisor's prior consent, unless such alterations are required by Applicable Law or for the continued safe and orderly operation of the Hotel.

5. FURNITURE, FIXTURES, EQUIPMENT, INVENTORIES AND SUPPLIERS

Franchisee will use only high quality signs, FF&E, Inventories and Fixed Asset Supplies that are consistent with the Design of the Hotel as approved under Section 4.5. Franchisor may designate in the Product Quality Standards requirements for such signs, FF&E, Inventories and Fixed Asset Supplies. The requirements of this Section 5 are to ensure that items used at System Hotels are of high quality to maintain the integrity and reputation of the System. Before purchasing FF&E to be used in constructing or renovating the Hotel, if requested by Franchisor, Franchisee will prepare furnished models of Guestrooms, color boards and drawings for Franchisor's confirmation that such proposed FF&E will meet the Product Quality Standards. Franchisor will promptly respond to Franchisee's proposal. Franchisee will purchase the plaques required for all System Hotels from a designated supplier.

6. ADVERTISING AND MARKETING; PRICINGS, RATES AND RESERVATIONS

6.1 Franchisee's Local Advertising and Marketing Programs.

A. *Local Advertising.* Franchisee will undertake local advertising, marketing, promotional, sales and public relations programs and activities for the Hotel, including preparing and using any Marketing Materials, in accordance with the Standards.

B. *Use of Signs and Marketing Materials.* Franchisee will use signs and other Marketing Materials only in the places and manner approved or required by Franchisor and in accordance with the Standards and Applicable Law. Franchisee will deliver samples of Marketing Materials not provided by Franchisor and obtain prior approval from Franchisor before any use. If Franchisor withdraws its approval, Franchisee will promptly stop using such Marketing Materials. Any Marketing Materials developed by Franchisee may be used or modified by other Franchisor Products without compensation to Franchisee.

6.2 Marketing Fund.

A. *Marketing Fund Activities.* To promote general public recognition of the Proprietary Marks and use of System Hotels, Franchisor may undertake the following activities (the “Marketing Fund Activities”):

1. brand strategy and brand development activities;
2. the creation, production, placement and distribution of Marketing Materials in any form of media;
3. advertising, marketing, promotional, public relations, inventory management, reservation activities and sales campaigns, programs, sponsorships, seminars and other sales activities;
4. market research and oversight and management of the guest satisfaction program and the Loyalty Programs; and
5. the retention or employment of personnel, advertising agencies, marketing consultants and other professionals to assist in the development, implementation and administration of any such activities.

These activities may be conducted on a local, regional, national, continental, international or Category basis. Franchisor may modify the Marketing Fund Activities from time to time.

B. *Permitted Changes.* Franchisor may (i) change the local, country, regional, continental or international scope of the Marketing Fund or the Marketing Fund Activities; (ii) merge or operate the Marketing Fund together with marketing funds used to benefit other Franchisor Products; or (iii) discontinue any Marketing Fund Activities.

6.3 Additional Marketing Programs. Franchisor may provide, and Franchisee will participate in, Additional Marketing Programs that are mandatory for similarly situated System Hotels. Franchisee may elect to participate in optional Additional Marketing Programs. Franchisee will pay for Additional Marketing Programs in which it participates on the same basis as other participating System Hotels.

6.4 Pricing, Rates and Reservations.

A. *Pricing and Rates.* Franchisee is responsible for setting its own prices and rates for Guestrooms and other products and services at the Hotel, including determining any prices or rates that appear in the Reservation System. Franchisor may, however: (i) prohibit certain types of charges or billing practices that Franchisor determines are misleading or detrimental to the System, including price-gouging or incremental fees for services that guests would normally expect to be included in the Guestroom charge; (ii) require that Franchisee price consistently in all distribution channels; or (iii) impose other pricing requirements permitted or required by Applicable Law.

B. *Pricing Recommendations; Participation in Programs.* Franchisor may recommend prices or rates for the products and services offered by Franchisee or require participation in various sales or inventory management programs or promotions offered by Franchisor. Franchisor’s recommendations are not mandatory; Franchisee is ultimately responsible for determining the prices or rates at which it offers its products and services, and Franchisor’s recommendations are not a

representation or warranty by Franchisor that the use of such recommended prices or rates will produce, increase, or optimize Franchisee's profits. Franchisor will have no liability for any such recommendations, including those made in connection with any sales activity or Inventory Management. Franchisor may require Franchisee to participate in Inventory Management or may act as Sales Agent for Franchisee. If Franchisor is acting as Sales Agent for Franchisee, Franchisee consigns hotel inventory to Franchisor, and Franchisee retains all risk of loss of unsold inventory or inventory sold at a reduced price.

C. *Honoring Reservations.* Franchisee will provide its prices and rates for use in the Reservation System in accordance with the Standards. Franchisee will: (i) honor any prices, rates or discounts that appear in the Reservation System or elsewhere; (ii) honor all reservations made through the Reservation System or that are confirmed; and (iii) not charge any Hotel guest a rate higher than the rate specified for the Hotel guest's reservation in the Reservation System or, if not made through the Reservation System, in the reservation confirmation or contract. Franchisee will also honor all pricing and terms for any other product or service offered in connection with the Hotel.

7. ELECTRONIC SYSTEMS

7.1 Systems Installation and Use. At its cost, Franchisee will obtain, install, maintain and use at the Hotel all mandatory Electronic Systems (and optional Electronic Systems that Franchisee elects to use) in compliance with the Standards or other approved specifications. Franchisee will pay all Electronic Systems Fees, some of which will be paid as part of the Program Services Contribution. Franchisee will not use the Electronic Systems for any purpose except for the benefit of the Hotel.

7.2 Reservation System. Subject to Section 19.3, Franchisor will make the Reservation System available to the Hotel. Franchisee will cause the Hotel to participate in the Reservation System in accordance with the Standards and this Agreement. Franchisor is not required to make the Reservation System available to the Hotel for any reservations occurring after the expiration or termination of this Agreement.

7.3 Electronic Systems Provided Under License. As a condition to using the Electronic Systems, Franchisee will execute the Electronic Systems License Agreement. The Electronic Systems that are proprietary to Franchisor or third-party vendors, as applicable, will remain their sole property. Franchisee will treat the Electronic Systems as confidential at all times. The Electronic Systems may be modified, replaced or become obsolete, and new Electronic Systems may be created to meet the needs of the System and changes in technology. If Franchisor determines that it is necessary to amend or replace the Electronic Systems License Agreement because of such events, Franchisee will execute the then-current form of, or an amendment to, the Electronic Systems License Agreement.

7.4 Access to Information. Franchisor may access the information contained in the Electronic Systems and Franchisee will take all actions reasonably necessary to provide such access. Franchisor and its Affiliates may use any information contained in or obtained through the Electronic Systems, including Guest Personal Data.

8. HOTEL OPERATIONS

8.1 Operator of the Hotel.

A. *Franchisor Consent Required.* The Hotel will be operated only by Franchisee or a Management Company, in either case, only with the prior consent of Franchisor. Franchisee will at all times be responsible for complying with the obligations of this Agreement even though Franchisee may retain a Management Company. Franchisor has consented to the Person identified in Item 8 of Exhibit A

to operate the Hotel, subject to any Additional Conditions and, in the case of a Management Company, to the execution and delivery by such Management Company and Franchisee of a Management Company Acknowledgment. In connection with the transition of Hotel operations to a replacement management company, (i) Franchisor may require participation in Franchisor's transition support services program, and Franchisee will pay the cost of such program, and (ii) Franchisee will pay Franchisor's outside counsel costs related to documenting such change of operator, if any. Franchisor's consent may be withdrawn at any time if Franchisor determines that such Person no longer satisfies any Additional Conditions or the conditions in Section 8.1.B.

B. *Conditions for Consent.* Franchisor may withhold its consent to any proposed management company that: (i) Franchisor determines (a) is not financially capable or (b) does not have the managerial skills or operational capacity required to operate the Hotel in accordance with the Standards and this Agreement; (ii) does not provide Franchisor with all information and access that Franchisor reasonably requests; or (iii) is not a Qualified Person. Franchisor has the right to review any management agreement between Franchisee and its proposed management company.

C. *Change in Circumstances.* If there is a change in Control of the Management Company or if the Management Company is no longer a Qualified Person, or if Management Company becomes the principal operator for a Competitor or if there is a material adverse change to the financial condition or operational capacity of the Management Company, Franchisee will promptly notify Franchisor of any such event of which it becomes aware together with such additional information that Franchisor may reasonably request. Based on these changed circumstances, Franchisor may require Franchisee to terminate its agreement with such Management Company and retain a replacement management company that will be subject to Franchisor's consent. After Franchisor receives such notice and any such additional information Franchisor reasonably requests, Franchisor will respond to Franchisee within 30 days.

8.2 Employees.

A. *Hotel Staffing.* Franchisee will ensure that suitable qualified individuals are employed at the Hotel sufficient to staff the Hotel. Managers at the Hotel will devote their full time to the management and operation of the Hotel and supervision of employees.

B. *Hotel Employment Matters.* All employment decisions at the Hotel will be made solely by Franchisee or the Management Company. Franchisor does not direct or control the employment policies or decisions for the Hotel. All employees at the Hotel are solely employees of Franchisee or the Management Company, not Franchisor, and neither Franchisee nor the Management Company is Franchisor's agent for any purpose with regard to Hotel employees. Franchisee or the Management Company will promptly inform Franchisor whenever it hires a general manager.

C. *Communication with Managers and Management Company.* Franchisor may communicate directly with the managers at the Hotel and the Management Company about day-to-day operations of the Hotel and Franchisor may rely on such statements of the managers and Management Company. Such communications will not affect the requirements of Section 25 or Section 27.7. Franchisor will under no circumstances direct or control such Hotel operations.

8.3 Compliance with the Standards.

A. *Required Activities.* Franchisee will: (i) operate the Hotel at all times in compliance with the Standards; (ii) fully participate in the Quality Assurance Program and all mandatory programs for System Hotels (which may require providing complimentary guestrooms and refunds);

(iii) offer all guest services required for System Hotels (which may include complimentary services); (iv) make all payments due in accordance with the terms of all contracts and invoices related to the Hotel, except for payments that are disputed in good faith; and (v) provide all food and beverage service in the Hotel in compliance with the Standards and Applicable Law.

B. *Prohibited Activities.* Except as permitted in the Standards, Franchisee will not, without Franchisor's prior approval: (i) knowingly permit gambling to take place at the Hotel or use the Hotel for any casino, lottery, or other type of gaming activities, or directly or indirectly associate with any gaming activity; or (ii) knowingly permit adult entertainment activities at the Hotel.

C. *Inspection Rights.* Franchisee will permit Franchisor's representatives to enter and inspect the Hotel at all reasonable times to confirm that Franchisee is complying with the terms of this Agreement and the Standards, and to test the equipment, food products and supplies at the Hotel. In conducting such inspections, Franchisor will not unduly interfere with the operation of the Hotel. Franchisee will pay all fees and costs related to such inspections to the extent not covered by the Program Services Contribution. Franchisee will pay all on site costs of third-party inspectors.

8.4 System Promotion; No Diversion to Other Businesses.

A. *System Promotion.* Franchisee will use reasonable efforts to encourage and promote the use of System Hotels and will refer reservation requests that cannot be fulfilled by the Hotel to other System Hotels or Franchisor Products in accordance with the Standards.

B. *No Diversion to Other Businesses.* Franchisee will not use (or permit any other Person to use) any part of the Hotel for any business or use other than operating a System Hotel without Franchisor's prior consent. Franchisee will not use any part of the Hotel or the System to divert business to, or promote, any other business at or outside of the Hotel, except, if approved by Franchisor, Vacation Club Products operated under a trade name or trademark owned by Franchisor or any of its Affiliates. This prohibition includes advertising hotels, Vacation Club Products or any similar product sold on a periodic basis not operated under a trade name or trademark owned by Franchisor or any of its Affiliates (including those which Franchisee or its Affiliates operate or in which they have an Ownership Interest).

C. *Notice of Certain Hotel Acquisitions.* Franchisee will promptly notify Franchisor if it or any of its Affiliates acquires any Ownership Interest in any full-service hotel (other than a Franchisor Product) located or to be located within five miles of the Hotel.

9. TRAINING, COUNSELING AND ADVISORY SERVICES

9.1 Training. The Hotel will at all times be managed by personnel who have successfully completed all mandatory training under the Standards. Franchisor may offer optional training related to operating System Hotels. Franchisee will pay (i) all tuition, supplies, and Travel Costs and allocations of internal costs and overhead of Franchisor and its Affiliates for any training in which Franchisee participates; (ii) an annual charge based on an allocation among System Hotels for the costs of developing and providing such training; and (iii) a charge for the general manager conference, regardless of whether Franchisee's personnel attend. Franchisee will provide training required by Franchisor for personnel working at the Hotel.

9.2 Counseling and Advisory Services. Franchisor will make representatives available at Franchisor's designated offices or at the Hotel to consult with Franchisee about the design and operation of the Hotel as a System Hotel. Franchisor may require Franchisee to pay the Travel Costs of such representatives who consult at the Hotel.

10. SYSTEM AND STANDARDS; FRANCHISEE ASSOCIATION

10.1 Compliance with System and Standards. Franchisee agrees that conformity with all aspects of the System and the Standards is essential to maintain the uniform quality and guest service of System Hotels. Franchisee will comply at all times with the Standards (including paying amounts owed pursuant to the Standards for violations thereof) and operate the Hotel in compliance with the System and the Marriott Agreements. Franchisor will make the Standards available to Franchisee through the Electronic Systems or in such other manner Franchisor deems appropriate. The Standards will at all times remain the sole property of Franchisor and its Affiliates.

10.2 Modification of the System and Standards. Franchisor and its Affiliates may modify the System and Standards, and such modifications may include materially changing, adding or deleting elements of the System or the Standards. Franchisee agrees that modifications to the System may be made for all System Hotels or for any Category of System Hotels. Franchisor may allocate the costs of System modifications among System Hotels or any Category of System Hotels, and such allocation will be on a fair and consistent basis. Such costs may include development costs and the reimbursement of capital invested in the development of such System modifications, together with costs incurred by Franchisor to finance such capital. Any modifications to the System and Standards will take into consideration the independent nature of System Hotels and their Designs and Independent Hotel Brands. Franchisor will not require Franchisee to change materially the Design or Independent Hotel Brand as part of any modification of the System or Standards.

10.3 Franchisee Association. Subject to compliance with certain membership requirements, Franchisee, Franchisor and other System Hotel franchisees and licensees are eligible to participate in an association organized to consider and make recommendations on matters related to the operation of System Hotels (the “Association”). Franchisee will pay any Association dues and assessments, which will be consistently applied to all System Hotel franchisees. The Association will vote on bylaws and election of officers. Franchisor will regard recommendations of the Association as expressing the consensus of members of the Association.

11. PROPRIETARY MARKS AND INTELLECTUAL PROPERTY

11.1 Franchisor’s Representations Concerning the Proprietary Marks.

A. *Representations.* Franchisor represents that:

1. Franchisor and its Affiliates have the right to grant Franchisee the right to use the Proprietary Marks in accordance with this Agreement; and
2. Franchisor and its Affiliates will take all steps reasonably necessary to preserve and protect the ownership and validity of the Proprietary Marks. Franchisor will not be required to maintain any registration for any Proprietary Marks that Franchisor determines, in its sole discretion, cannot or should not be maintained.

B. *Indemnification for Infringement Claims.* Franchisor will indemnify and hold Franchisee harmless against claims that Franchisee’s use of the Proprietary Marks in accordance with this Agreement infringes the rights of any third party unrelated to Franchisee, if Franchisee: (i) is in compliance with this Agreement, (ii) gives prompt notice of any such claim to Franchisor, (iii) permits Franchisor to have sole control over the defense and settlement of the claim and (iv) cooperates fully with Franchisor in defending or settling the claim.

11.2 Franchisee's Use of Intellectual Property and the System.

A. *Use of the Intellectual Property and the System.* Franchisee agrees that:

1. Franchisee will use the Intellectual Property and the System only for the operation of the Hotel and only in the form and manner as provided in the Standards or approved by Franchisor. Franchisee will offer or sell only those goods and services under the Proprietary Marks that are of a nature and quality that comply with the Standards. Any use of the System not authorized by Franchisor will constitute an infringement of Franchisor's rights and a default under Section 19.2 of this Agreement;

2. Franchisee will use the Proprietary Marks only in substantially the same places, combination, arrangement and manner as provided in the Standards or approved by Franchisor, including with respect to the name of the Hotel, which will be as designated or approved by Franchisor (it being understood that Franchisor may change any geographic designation in the name of the Hotel at any time, so long as the Hotel name includes the Proprietary Marks);

3. Franchisee will identify itself as a franchisee or licensee of Franchisor and the owner or operator of the Hotel only in the form and manner as provided in the Standards. Franchisee will not use any Proprietary Marks in any manner that could imply that Franchisee has an Ownership Interest in the Proprietary Marks;

4. Franchisee has no right to, and will not, Transfer, sublicense or allow any Person to use any part of the System, unless permitted in this Agreement;

5. Franchisee will not use any part of the System to incur any obligation or indebtedness on behalf of Franchisor or any of its Affiliates;

6. Franchisee will not use any of the Proprietary Marks or any names or marks that consist of, contain or are similar to or an abbreviation of any Proprietary Marks, in Franchisor's sole opinion ("Similar Marks"), as part of Franchisee's corporate or legal name, in connection with any business activity except the Hotel, or as a road name or address, whether alone or in combination with Other Marks;

7. Franchisee will not register or apply to register any of the Proprietary Marks or Similar Marks, whether alone or in combination with other trademarks;

8. Franchisee will notify Franchisor of any required business, trade, fictitious, assumed or similar name registration, and indicate in the registration that Franchisee may use such name only in accordance with this Agreement;

9. if litigation involving the Intellectual Property is instituted or threatened against Franchisee, or a claim of infringement involving the Intellectual Property is made against Franchisee, or Franchisee becomes aware of any infringement of the Intellectual Property, Franchisee will promptly notify Franchisor and will cooperate fully in any action, defense or settlement of such matters. Franchisee will not make any demand, serve any notice, institute any legal action or negotiate, litigate, compromise or settle any controversy about any such matter without first obtaining Franchisor's prior consent, which may be withheld in Franchisor's sole discretion. Franchisor will have the right to bring any action and to join Franchisee as a party to any action involving the Intellectual Property;

10. if Franchisor believes, in its sole discretion, that Franchisee's use of the Intellectual Property does not conform with the Marriott Agreements or the Standards, then Franchisee will immediately stop the non-conforming use on notice from Franchisor; and

11. Franchisee will not, and will ensure that its employees and agents do not, take any action or engage in any conduct that is likely to adversely affect the reputation, goodwill, or business of the Hotel, the System, any Franchisor Product or Franchisor. Franchisee will comply with the Standards regarding protection of the reputation of the System, including protection of Intellectual Property, and promptly notify Franchisor of any event that has occurred that is likely to receive or is receiving significant negative public attention, and Franchisee will cooperate with Franchisor in the resolution of, and the public response to, any such matters.

B. *Ownership of the System.* Franchisee agrees that:

1. Franchisor and its Affiliates are the owners or licensees of all right, title and interest in and to the System (except certain Electronic Systems provided by third parties), and all goodwill arising from Franchisee's use of the System, including the Proprietary Marks, will inure solely and exclusively to the benefit of Franchisor and its Affiliates. On the expiration or termination of this Agreement, no monetary amount will be attributable to any goodwill associated with Franchisee's use of the System;

2. the Proprietary Marks are valid and serve to identify the System and System Hotels, and any infringement of the Proprietary Marks will result in irreparable injury to Franchisor;

3. the Proprietary Marks may be deleted, replaced or modified by Franchisor or its Affiliates in their sole discretion. Franchisor may require Franchisee, at Franchisee's expense, to discontinue or modify Franchisee's use of any of the Proprietary Marks or to use one or more additional or substitute marks;

4. Franchisee will not directly or indirectly: (i) attack the ownership, title or rights of Franchisor or its Affiliates in the System; (ii) contest the validity of the System or Franchisor's right to grant to Franchisee the right to use the System in accordance with this Agreement; (iii) take any action that could impair, jeopardize, violate or infringe any part of the System; (iv) claim any right, title, or interest in the System except rights granted under this Agreement; or (v) misuse or harm or bring into disrepute the System;

5. Franchisee has no, and will not obtain any, Ownership Interest in any part of the System (including any modifications made by or on behalf of Franchisee or its Affiliates). Franchisee assigns, and will cause each of its employees or independent contractors who contributed to System modifications to assign, to Franchisor, in perpetuity throughout the world, all rights, title and interest (including the entire copyright and all renewals, reversions and extensions of such copyright) in and to such System modifications. Except to the extent prohibited by Applicable Law, Franchisee waives, and will cause each of its employees or independent contractors who contributed to System modifications to waive, all "moral rights of authors" or any similar rights in such System modifications. For the purposes of this Section 11.2.B.5, "modifications" includes any derivatives and additions; and

6. Franchisee will execute, or cause to be executed, and deliver to Franchisor any documents, and take any actions required by Franchisor to protect the Proprietary Marks and the title in any System modifications.

11.3 Franchisee's Use of Other Marks. Except for the Franchisee Marks identified in Item 20 of Exhibit A, Franchisee will not use any Mark in connection with the Hotel or the System that is not a Proprietary Mark, including the names of restaurants or other outlets at the Hotel ("Other Marks") without Franchisor's prior approval. Franchisee will not use any Other Marks that may infringe or be confused with a third party's trade name, trademark or other rights in intellectual property. Franchisee consents to the use of the Other Marks by Franchisor and its Affiliates during the Term. Franchisee represents that there are no claims or proceedings that would materially affect Franchisor's use of the Other Marks.

11.4 Websites and Domain Names. Franchisee will not display any of the Proprietary Marks on, or associate the System with (through a link or otherwise), any website, electronic Marketing Materials, application or software for mobile devices or other technology or media, domain name, address, designation or listing on the internet or other communication system or medium without Franchisor's consent or as permitted in the Standards. Franchisee will not register or use any internet domain name, address, mobile application or other designation that contains any Proprietary Mark or any mark that is, in Franchisor's sole opinion, confusingly similar. At Franchisor's request, Franchisee will promptly cancel or transfer to Franchisor any such domain name, address or other designation under Franchisee's control.

11.5 Use of Franchisee Marks; Name of Hotel.

A. *Representations.* Franchisee represents that:

1. Franchisee owns the registrations and applications to register the Franchisee Marks and, subject to Section 11.2.A.2 and Section 11.3, will use them for the name of the Hotel;

2. Franchisee has the right to consent to Franchisor's use of the Franchisee Marks, and Franchisee consents to the use of the Franchisee Marks by Franchisor and its Affiliates for the Hotel (including in printed marketing and promotional materials and on Franchisor's website) and agrees that such consent will remain in effect until 30 days after the earlier of (x) the termination of this Agreement or (y) the change of the Hotel name to omit the Franchisee Marks; and

3. to the best of its knowledge, there are no Claims pending or threatened by any Person that would materially affect Franchisor's use of the Franchisee Marks under this Agreement.

B. *No Other Use of Franchisee Marks.* Franchisee will not use the Franchisee Marks for any Other Lodging Product without Franchisor's consent. Franchisor consents to Franchisee's use of the Franchisee Marks with the Proprietary Marks for the Hotel in accordance with the Standards.

C. *Use of Franchisee Marks and Proprietary Marks.* Franchisee will use the Franchisee Marks and the Proprietary Marks for the Hotel only as authorized by Franchisor. Franchisee will conform all uses of the Franchisee Marks and the Proprietary Marks to the content, layout and graphic design of sample materials approved by Franchisor, and Franchisee will restrict such usage to activities, Marketing Materials and signage approved by Franchisor. If Franchisee desires to modify the Franchisee Marks, all such modifications must be approved in advance by Franchisor before any use of such modified Franchisee Marks, whether with the Proprietary Marks or not.

D. *No Filings or Registrations without Franchisor Approval.* Franchisee will not file or pursue any registration containing any of the Franchisee Marks and any of the Proprietary Marks, unless it obtains Franchisor's approval. Franchisee will withdraw, cancel or assign to Franchisor any

unauthorized registration upon Franchisor's request. Franchisee will withdraw, cancel or assign to Franchisor any authorized registration containing any of the Proprietary Marks on the earlier of the termination of this Agreement or the change of the Hotel name to omit the Franchisee Marks.

E. *No Rights in the Proprietary Marks.* Franchisee agrees that (a) it will not acquire any right, title or interest in the Proprietary Marks based on Franchisee's use of the Franchisee Marks and the Proprietary Marks, (b) all goodwill associated with the Proprietary Marks generated by their use with the Franchisee Marks will inure to Franchisor, and (c) Franchisee will not assert that the Proprietary Marks and the Franchisee Marks when used together comprise a composite mark.

F. *Third-Party Challenges.* Franchisee agrees that if use of the Franchisee Marks is challenged by a third party, Franchisor may require that the Hotel be renamed to a name that does not include the Franchisee Marks and, if the Hotel is renamed (i) Franchisee will cease using the Franchisee Marks in reference to the Hotel, (ii) Franchisee will use the new name of the Hotel as if it had been the name of the Hotel since the Effective Date (including in any Marketing Materials, signage, and on Franchisor's website), and (iii) Franchisee will modify or destroy any items that refer to the Hotel other than by its new name.

G. *Proposed Marks.* For each Other Mark that Franchisee wishes to use for the Hotel as a Franchisee Mark, Franchisee will provide to Franchisor for its approval a proposal which will include a trademark availability opinion conducted by competent counsel showing that the Other Mark is available for use for the Hotel and may be registered as a trademark for hotel and restaurant services. If such Other Mark will be the name of the Hotel, Franchisee will retain the services of a Franchisor-approved branding consultant to develop such Other Mark. If Franchisor approves such Other Mark, Franchisee will (i) within 14 days of such approval, file an application for registration of such Other Mark and provide evidence of the application to Franchisor; (ii) diligently prosecute the application to registration; and (iii) if requested by Franchisor, execute an amendment to this Agreement that amends Item 20 of Exhibit A to include such Other Mark.

12. CONFIDENTIAL INFORMATION; DATA PROTECTION

12.1 Confidential Information.

A. *Confidentiality Obligations.* Franchisee will use Confidential Information only for the benefit of the Hotel and in conformity with this Agreement, the Standards and Applicable Law. Franchisee will protect Confidential Information and will immediately on becoming aware report to Franchisor any theft, loss or unauthorized disclosure of Confidential Information. Franchisee may disclose Confidential Information only to Franchisee's employees or agents who require it to operate the Hotel, and only after they are advised that such information is confidential and that they are bound by Franchisee's confidentiality obligations under this Agreement. Without Franchisor's prior consent, Franchisee will not copy, reproduce or make Confidential Information available to any Person not authorized to receive it. The Confidential Information is proprietary and a trade secret of Franchisor and its Affiliates. Franchisee agrees that the Confidential Information has commercial value and that Franchisor and its Affiliates have taken reasonable measures to maintain its confidentiality. Franchisee is liable for any breaches of such confidentiality obligations by its employees or agents.

B. *Confidentiality of Negotiated Terms.* Franchisee agrees it will not disclose to any Person the content of the negotiated terms of this Agreement or other Marriott Agreements without the prior consent of Franchisor except: (i) as required by Applicable Law; (ii) as may be necessary in any legal proceedings; and (iii) to those of Franchisee's managers, members, officers, directors, employees, attorneys, accountants, agents, lenders, prospective lenders, or any nationally-recognized debt ratings

agency, in each case to the extent necessary for the operation or financing of the Hotel and only if Franchisee informs such Persons of the confidentiality of the negotiated terms. Franchisee will be in default under this Agreement for any disclosure of negotiated terms by any such Persons.

12.2 Data Protection. Franchisee and Franchisor are each controllers of Guest Personal Data and may share Guest Personal Data during the Term to the extent permitted by Applicable Law. Franchisee will collect, use, and share Guest Personal Data only for purposes of operating the Hotel and only in accordance with this Agreement, Applicable Law, and the Standards. Franchisee will not sell any Guest Personal Data. Franchisee will take such actions and sign such documents that are determined by Franchisor to be necessary to enable Franchisor and Franchisee to comply with Applicable Law applicable to Guest Personal Data related to the Hotel. Franchisee will promptly provide notice to Franchisor in accordance with the Standards if Franchisee: (i) discovers or reasonably suspects a Security Incident; or (ii) has been contacted by a data protection authority about the processing of Guest Personal Data (in which case Franchisor and any of its Affiliates may control any proceedings with such data protection authority and Franchisee will reasonably cooperate with Franchisor and its Affiliates). If any Person contacts Franchisee seeking to exercise any right under Applicable Law pertaining to Guest Personal Data, Franchisee will respond to such request in accordance with the Standards. Franchisee will cooperate with Franchisor as is reasonably necessary (a) to respond to data access requests related to Guest Personal Data and (b) in the resolution of Security Incidents at the Hotel.

13. ACCOUNTING AND REPORTS; TAXES

13.1 Accounting. Franchisee will account for Gross Room Sales and Gross Revenues on an accrual basis and in compliance with this Agreement.

13.2 Books, Records and Accounts. Franchisee will maintain and preserve complete and accurate books, records and accounts for the Hotel in accordance with the Uniform System and United States generally accepted accounting principles, consistently applied, Applicable Law and the Standards. Franchisee will preserve these books, records and accounts for at least 5 years from the dates of their preparation.

13.3 Accounting Statements.

A. *Monthly Statements.* At Franchisor's request, for each full or partial month after the Opening Date, Franchisee will prepare and deliver to Franchisor an operating statement containing the information required by Franchisor, including Gross Revenues and Gross Room Sales for such month.

B. *Quarterly Projections.* On or before the first day of each full calendar quarter after the Opening Date, Franchisee will provide to Franchisor a monthly estimate of Gross Revenues and Gross Room Sales for each of the next four calendar quarters in a format approved or required by Franchisor.

C. *Annual Statements.* For each full or partial calendar or fiscal year (whichever is used by Franchisee for income tax purposes), Franchisee will prepare and provide to Franchisor a complete statement of income and expense from the operation of the Hotel for the preceding year, including an accounting for the Reserve. This statement is due within 90 days after each year. This statement will be prepared in accordance with the Uniform System and the United States generally accepted accounting principles, consistently applied, Applicable Law, the Standards, and the Uniform System "Income Statement" with standard line items specified by Franchisor, and Franchisee will provide such supporting documentation and other information that Franchisor may require relating to this

statement. In addition, Franchisee will promptly deliver to Franchisor such other reports and financial information relating to Franchisee and the Hotel as Franchisor may request.

13.4 Franchisor Examination and Audit of Hotel Records.

A. *Examination and Audit.* Franchisor and its authorized representatives may, at any time, but on reasonable notice to Franchisee, examine and copy all books, records, accounts and tax returns of Franchisee related to the operation of the Hotel during the five years preceding such examination. Franchisor may have an independent audit made of any such books, records, accounts and tax returns. Franchisee will provide any assistance reasonably requested for the audit and will provide copies of any documentation requested by Franchisor without charge.

B. *Underreporting.* If an examination or audit reveals that Franchisee has made underpayments to Franchisor, Franchisee will promptly pay Franchisor on demand the amount underpaid plus interest under Section 3.6. If an examination or audit finds that Franchisee has understated payments due Franchisor by 5% or more for the relevant period, or if the examination or audit reveals that the accounting procedures are insufficient to determine the accuracy of the calculation of payments due, Franchisee will reimburse Franchisor for all costs relating to the examination or audit (including reasonable accounting and legal fees). If the examination or audit establishes a pattern of underreporting, Franchisor may require that the annual financial reports due under Section 13.3.C. be audited by an independent accounting firm consented to by Franchisor. The rights of Franchisor in this Section 13.4 are in addition to any other remedies that Franchisor may have, including the right to terminate this Agreement.

C. *Overpayments.* If an examination or audit reveals that Franchisee has made overpayments to Franchisor, the amount of such overpayment, without interest, will be promptly credited against future payments due Franchisor.

13.5 Taxes.

A. *Payment of Taxes.* Franchisee will pay when due all Taxes relating to the Hotel, Franchisee, this Agreement, any other Marriott Agreement or in connection with operating the Hotel, except income or franchise taxes assessed against Franchisor.

B. *Withholding Taxes.*

1. The amounts payable to Franchisor will not be reduced by any deduction or withholding for any present or future Taxes.

2. If Applicable Law imposes an obligation on Franchisee to deduct or withhold Taxes directly from any amount paid to Franchisor, then Franchisee will deduct or withhold the required amount and will timely pay the full amount deducted or withheld to the relevant governmental authority in accordance with Applicable Law. The amount paid to Franchisor will be increased so that after the deduction or withholding has been made in accordance with Applicable Law, the net amount actually received by Franchisor will equal the full amount originally invoiced or otherwise payable. If required or permitted, Franchisee must promptly pay any such deduction or withholding directly to the relevant governmental authority and provide Franchisor proof of payment.

3. If Applicable Law does not impose an obligation on Franchisee to deduct or withhold Taxes directly from any amount paid to Franchisor, but requires Franchisor to pay such Taxes, then Franchisee will pay Franchisor, within 15 days after request, the full amount of the Taxes

paid or payable by Franchisor with respect to such payment so that the net amount actually retained by Franchisor after payment of Taxes (other than taxes assessed on Franchisor's net income) will equal the full amount originally invoiced or otherwise payable.

C. *Sales Tax & Similar Taxes.* The amounts payable to Franchisor will not be reduced by any sales, goods and services, value added or similar taxes, all of which will be paid by Franchisee. Therefore, in addition to making any payment to Franchisor required under this Agreement, Franchisee will: (i) pay Franchisor the amount of these taxes due with respect to the payment; or (ii) if required or permitted by Applicable Law, pay these taxes directly to the relevant taxing authority.

D. *Tax Disputes.* If there is a Dispute by Franchisee as to any Tax liability, Franchisee may contest the Tax liability in accordance with Applicable Law, but Franchisee will not permit a sale, seizure or attachment to occur against the Hotel. If such Dispute involves payments of Taxes that will be withheld, deducted and paid by Franchisee related to payments to Franchisor as provided in this Section 13.5, Franchisee will notify Franchisor before taking action with regard to the Dispute with the tax authority and, if requested by Franchisor, cooperate with Franchisor in preparing its response. Upon Franchisor's request, Franchisee will pay such Taxes and seek reimbursement from the governmental authority. Franchisee will be responsible for any interest or penalties assessed.

14. INDEMNIFICATION

Franchisee will indemnify, defend and hold harmless Franchisor and its Affiliates (and each of their respective predecessors, successors, assigns, current and former directors, officers, shareholders, subsidiaries, employees and agents), against all Claims and Damages, including allegations of negligence by such Persons, to the fullest extent permitted by Applicable Law, arising from: (i) the unauthorized use of Intellectual Property; (ii) the violation of Applicable Law; or (iii) the construction, conversion and renovation, repair, operation, ownership or use of the Hotel or the Approved Location (including Claims and Damages arising from a Security Incident or the use of the Other Marks or the Franchisee Marks) or of any other business related to the Hotel or the Approved Location. Franchisor will have the right, at Franchisee's cost, to control the defense of any Claim (including the right to select its counsel or defend or settle any Claim) if Franchisor determines such Claim may affect the interests of Franchisor or its Affiliates. Such undertaking by Franchisor will not diminish Franchisee's indemnity obligations. Neither Franchisor nor any indemnified Person will be required to seek recovery from third parties or mitigate its losses to maintain its right to receive indemnification from Franchisee. The failure to pursue such recovery or mitigate its losses will not reduce the amounts recoverable from Franchisee by an indemnified Person. Franchisee's obligation to maintain insurance under Section 15 will not relieve Franchisee of its obligations under this Section 14. Franchisee's obligations under this Section 14 will survive the termination or expiration of this Agreement.

15. INSURANCE

15.1 Insurance Required. During the Term, Franchisee will procure and maintain insurance with the coverages, deductibles, limits, carrier ratings, and policy obligations required by the Standards. Such insurance requirements may include: property insurance including business interruption, earthquake, flood, terrorism and windstorm; workers' compensation; commercial general liability; liquor liability; business auto liability; umbrella or excess liability; fidelity coverage; employment practices liability; cyber liability; and such other insurance customarily carried on hotels similar to the Hotel. Franchisor may change such requirements in the Standards and may also require Franchisee to obtain additional types of insurance or increase the amount of coverages. All insurance will by endorsement specifically:

- A. name as unrestricted additional insureds Franchisor, any Affiliate designated by Franchisor and their employees and agents (except for workers' compensation and fidelity insurance);
- B. provide that the coverages will be primary and that any insurance carried by any additional insured will be excess and non-contributory;
- C. contain a waiver of subrogation in favor of Franchisor and any Affiliate of Franchisor; and
- D. provide that the policies will not be canceled, non-renewed or reduced without at least 30 days' prior notice to Franchisor.

15.2 Other Requirements. Franchisee will deliver to Franchisor a certificate of insurance (and certified copy of such insurance policy if requested) evidencing the insurance required. Renewal certificates of insurance will be delivered to Franchisor not less than 10 days before their respective inception dates. If Franchisee fails to procure or maintain the required insurance, Franchisor will have the right and authority to procure (without any obligation to do so) such insurance at Franchisee's cost, including a reasonable fee for Franchisor's procurement and maintenance of such insurance. If Franchisee delegates its insurance obligations to any other Person, Franchisee will ensure that such Person satisfies such obligations. Such delegation will not relieve Franchisee of its obligations under this Section 15 and the Standards. Any failure to satisfy the insurance requirements is a default under this Agreement. Franchisee will cooperate with Franchisor in pursuing any claim under insurance required by this Agreement.

16. FINANCING OF THE HOTEL

Franchisee and each Interestholder in Franchisee may grant a lien or other security interest in the Hotel or the revenues of the Hotel, or pledge Ownership Interests in Franchisee or a Control Affiliate as collateral for the financing of the Hotel. Franchisor may provide information to and otherwise communicate with any Person holding such lien, security interest or pledge (or its designee) regarding the status of the Hotel, this Agreement or any breach or default under this Agreement. If any Person exercises its rights under such lien, security interest or pledge, Franchisor will have the rights under Section 19.1. Franchisee will not pledge this Agreement as collateral or grant a security interest in this Agreement, but Franchisor may provide a comfort letter to a lender on Franchisor's then-current form and, if it does so, Franchisee will pay the then-current lender comfort letter processing fee.

17. TRANSFERS

17.1 Franchisee's Transfer Rights. Franchisee agrees that its rights and duties in this Agreement are personal to Franchisee and that Franchisor entered into this Agreement in reliance on the business skill, financial capacity and character of Franchisee and its Affiliates and their principals. Accordingly, any Transfer of the Hotel, or of any Ownership Interest in Franchisee, a Control Affiliate, or the Hotel, may be made only in accordance with this Section 17 (including Section 17.5) and only if such Transfer does not violate Section 17.6. This Agreement may not be Transferred without Franchisor's prior consent.

17.2 Transfers Not Requiring Notice or Consent. As long as the following Transfers of Passive Investor Interests do not result in a change of Control of Franchisee, no notice to or consent by Franchisor is required:

A. *Publicly-traded Securities.* A Transfer of publicly-traded securities purchased on the open market, pursuant to a registration statement or through a registered broker/dealer or investment adviser;

B. *10% Threshold.* A Transfer of Passive Investor Interests (other than those held by a Guarantor) to a transferee that immediately before and after the Transfer owns less than 10% of the Ownership Interests in Franchisee; and

C. *Investment Fund.* A Transfer of limited partnership interests in an investment fund formed by a sponsoring company in the business of raising capital for investment purposes, as long as such fund has at least 20 limited partners, none of which owns (immediately before or after such Transfer) 10% or more of the Ownership Interests in Franchisee or directs the decisions of, or exercises any Control over, the fund or the companies in which the fund invests.

17.3 Transfers Requiring Notice but Not Consent. Franchisee must provide notice to Franchisor at least 20 days prior to any of the following Transfers that are not covered in Section 17.2, but no consent by Franchisor is required:

A. *Passive Investor Transfer.* A Transfer of Passive Investor Interests if the following requirements are met:

1. Franchisee provides Franchisor with the identity of the proposed transferees and their Interestholders, together with all other related information reasonably requested by Franchisor;

2. such Transfer, individually and in the aggregate, will not result in: (i) a change of Control of Franchisee; (ii) any Person and its Affiliates that did not own a majority of the Ownership Interests in Franchisee before such Transfers collectively owning a majority of the Ownership Interests in Franchisee after such Transfer; or (iii) a Transfer of all of Guarantor's Ownership Interest in Franchisee;

3. each new Interestholder is a Qualified Person, and Franchisee pays the fees for any required background checks; and

4. if Franchisor requests, Franchisee will execute an amendment to this Agreement that updates the ownership information in Exhibit A, and pay Franchisor's outside counsel costs related to such documentation, if any.

B. *Transfer to Affiliates; Transfer for Estate Planning Purposes.* A Transfer of the Hotel or an Ownership Interest in Franchisee to an Affiliate of Franchisee, or a Transfer of an Ownership Interest in Franchisee for estate planning purposes to an immediate family member or to an entity owned by, or a trust for the benefit of, an immediate family member, in the case of each such Transfer, if the following requirements are met:

1. Franchisee or its Control Affiliate owns, directly or indirectly, more than 50% of the economic interests of the proposed transferee (if the transferee is an entity), and such Transfer does not otherwise result in a change of Control of Franchisee or the Hotel;

2. Franchisee provides the identity of the proposed transferee and its Interestholders, documentation acceptable to Franchisor evidencing the Transfer, and all other related information reasonably requested by Franchisor;

3. each Guarantor acknowledges the Transfer and reaffirms its obligations under the Guaranty and, if required by Franchisor, another party acceptable to Franchisor executes a guaranty substantially identical to the form in the then-current Disclosure Document;

4. Franchisee is not in breach or default under any of the Marriott Agreements, or if there is a breach or default, there is an agreement to cure such breach or default;

5. each new Interestholder is a Qualified Person, and Franchisee pays the fees for any required background checks; and

6. if Franchisor requests, Franchisee and such transferee will execute any documents required by Franchisor to reflect the Transfer, and Franchisee will pay Franchisor's outside counsel costs related to such documentation, if any.

17.4 Transfers Requiring Notice and Consent. Transfers of the Hotel or a Controlling Ownership Interest in the Franchisee, a Control Affiliate or the Hotel may be made only with at least 45 days' advance notice to Franchisor and Franchisor's prior consent.

A. *Conditions to Transfer.* Franchisor's consent to a Transfer under this Section 17.4 will be subject to satisfaction of the following conditions:

1. Franchisee provides Franchisor the identity of all parties and their Interestholders, a copy of the purchase agreement, the organizational documents of the transferee and its Interestholders, together with all other information reasonably requested by Franchisor;

2. payment by Franchisee of the then-current non-refundable property improvement plan fee (including any fees related to an extension thereof), and payment of the then-current application fee for System Hotels to Franchisor by the transferee with its submission of the application. If Franchisor does not consent to the Transfer, Franchisor will refund the application fee, less \$10,000;

3. transferee and any new Interestholder is a Qualified Person;

4. retention of a management company consented to by Franchisor under Section 8.1 if Franchisor determines in its sole discretion that the transferee is not qualified to operate the Hotel;

5. execution by the transferee of the then-current form of franchise and related agreements. The new franchise agreement will contain the standard terms for new franchise System Hotels as of the date of the Transfer, including the then-current fees and charges, except that Franchisor may require that the duration be shortened to the remaining Term. The new franchise agreement will also include a property improvement plan requiring the transferee to address any renovations necessary to comply with the Standards;

6. payment of all amounts due Franchisor and execution of a general release of all claims against Franchisor and its Affiliates; and

7. payment of Franchisor's outside counsel costs related to the Transfer.

Prior Transfers of Ownership Interests by or to a Person that already owns Ownership Interests or an Affiliate of such Person will be taken into account in determining whether a Transfer of a Controlling

Ownership Interest has occurred. Within 30 days after Franchisor receives notice and all required information, Franchisor will notify Franchisee of its consent to such Transfer or the reason Franchisor is withholding its consent.

B. *Withholding of Consent.* Even if the conditions in Section 17.4.A. are satisfied, Franchisor may withhold its consent to a Transfer under this Section 17.4 if:

1. Franchisor determines that the proposed transferee's debt service or overall financial status will not permit the Hotel to be operated in compliance with the Standards; or
2. an uncured breach or default of a Marriott Agreement exists, and there is no agreement to cure such breach or default in connection with the Transfer; or
3. the Hotel is not in good standing under the Quality Assurance Program.

C. *Mental Incompetency or Death.* If any Person holding a Controlling Ownership Interest in Franchisee becomes mentally incompetent or dies, the interest of such Person may be Transferred subject to the terms of this Section 17.4 and only if: (i) any such Transfer will be made within 12 months after such Person is deemed mentally incompetent or dies; and (ii) the obligations of Franchisee will be satisfied pending the Transfer and the Hotel is operated in compliance with this Agreement. If such Person was a Guarantor, Franchisor may require another party acceptable to Franchisor to execute a Guaranty substantially identical to the form in the then-current Disclosure Document. If an executor, custodian, or other representative is appointed to oversee the management of Franchisee, Franchisee will give Franchisor notice of such appointment within 30 days and the appointee will cause the Hotel to be operated in compliance with this Agreement.

17.5 Proposed Transfer to Competitor and Right of First Refusal.

A. *Right of First Refusal.* If there is a proposed Transfer of the Hotel or an Ownership Interest in Franchisee or a Control Affiliate to a Competitor, Franchisee will notify Franchisor stating the identity of the prospective transferee (including the Interestholders of such prospective transferee), the terms of the proposed transaction, and all other information reasonably requested by Franchisor. Within 30 days after receipt of such notice and information, Franchisor will notify Franchisee of its election of one of the following:

1. if the proposed Transfer is a cash transaction, Franchisor (or its designee) will have the right to purchase or lease the Hotel or acquire the Ownership Interest at the same price and on the same terms as the Competitor, and Franchisee and Franchisor (or its designee) will promptly enter into an agreement on such terms; or
2. if the proposed Transfer is a non-cash transaction or other form of Transfer, Franchisor (or its designee) will have the right to purchase or lease the Hotel or acquire the Ownership Interest for its fair market value; if Franchisee and Franchisor are unable to agree on the fair market value within 14 days of Franchisor's election, Franchisor will promptly provide Franchisee with a list of at least three nationally recognized appraisers of hotel properties, and within five days Franchisee will select one of such appraisers to appraise the Hotel or the Ownership Interest. Franchisor and Franchisee will share the costs of the appraisal equally. Such appraisal will constitute the fair market value of the Hotel or the Ownership Interest for purposes of this Section 17.5.A.2. Within 30 days of receipt of the appraisal, Franchisor (or its designee) may either: (i) enter into an agreement to purchase the Hotel or the Ownership Interest at the fair market value determined by the appraiser; or (ii) take the action specified in Section 17.5.A.3.; or

3. Franchisor may place Franchisee in default and give notice of its intent to terminate this Agreement under Section 19.1.B., in which case either: (i) Franchisee will cancel the Transfer; or (ii) this Agreement will terminate and Franchisee will pay damages pursuant to Section 19.4 and comply with its post-termination obligations; or

4. Franchisor may consent to such Transfer, which consent will be on such terms as Franchisor may require, in its sole discretion.

B. *Real Estate Interest and Injunctive Relief.* Franchisee acknowledges that Franchisor's rights under Section 17.5.A. are rights in real estate. If requested by Franchisor, Franchisee will execute a Competitor ROFR, and Franchisor may record such Competitor ROFR in the appropriate real estate records of the jurisdiction where the Hotel is located, and Franchisee will cooperate in such filing. Franchisee agrees that damages are not an adequate remedy if Franchisee breaches its obligations under this Section 17.5, and Franchisor will be entitled to declaratory, injunctive or other relief without proving the inadequacy of money damages as a remedy and without posting a bond. If this Agreement is terminated and Franchisor's rights under Section 17.5 are no longer in effect, on request, Franchisor will execute a termination of such interest.

C. *Survival of Right of First Refusal.* Except for termination of this Agreement under Section 17.5.A.3. or in connection with a Transfer consented to by Franchisor under Section 17.5.A.4., Franchisor's rights under Section 17.5.A. survive early termination of this Agreement and will apply to any Transfer of the Hotel or an Ownership Interest in Franchisee or a Control Affiliate to a Competitor that occurs within six months after such termination.

17.6 Restricted Persons. No Transfer of any Ownership Interest in Franchisee, the Hotel or any Marriott Agreement will be made to a Restricted Person or a Person that receives funding from a Restricted Person. Any such Transfer is a default under Section 19.1.B.

17.7 Transfers by Franchisor.

A. *Transfer to Affiliates.* Franchisor may Transfer this Agreement to any of its Affiliates that assumes Franchisor's obligations to Franchisee and is reasonably capable of performing Franchisor's obligations, without prior notice to, or consent of, Franchisee.

B. *Transfer to Other Persons.* Franchisor may Transfer this Agreement to any Person that assumes Franchisor's obligations to Franchisee, is reasonably capable of performing Franchisor's obligations and acquires substantially all of Franchisor's rights in System Hotels, without prior notice to, or consent of, Franchisee. Franchisee agrees that any such Transfer will constitute a release of Franchisor and a novation of this Agreement.

C. *Franchisor's Successors and Assigns.* This Agreement will be binding on and inure to the benefit of Franchisor and its permitted successors and assigns.

18. PROSPECTUS REVIEW

18.1 Franchisor's Review of Prospectus. Except as stated in Section 18.2, if any Prospectus uses the Proprietary Marks, identifies the Hotel or Franchisor or its Affiliates or describes the relationship between Franchisor or Franchisee and their respective Affiliates, Franchisee will:

A. deliver to Franchisor for its review a copy of such Prospectus and all related materials at least 30 days before the earlier of the date such Prospectus is delivered to a potential

purchaser or a potential investor or filed with the Securities and Exchange Commission or other governmental authority. Franchisor may require Franchisee to pay its outside counsel costs for the review of such Prospectus;

B. indemnify, defend and hold harmless Franchisor and its Affiliates in connection with such Prospectus and the offering; and

C. use any Proprietary Marks in such Prospectus and in any related materials only as consented to by Franchisor.

Franchisor's review of any Prospectus is conducted solely to determine the accuracy of any description of Franchisor's relationship with Franchisee and compliance with this Agreement, including the requirements of Section 12.1 and this Section 18, and not to benefit any other Person. Such consent will not constitute an endorsement or ratification of the proposed offering or Prospectus.

18.2 Exemption from Review. Franchisor will waive the requirement for its review of a Prospectus if such Prospectus: (i) only uses the Proprietary Marks in block letters to identify the Hotel, (ii) provides a clear statement that the Hotel is operated under a license from Franchisor, and (iii) provides that Franchisor has not reviewed, endorsed or ratified the proposed offering or Prospectus.

19. DEFAULT AND TERMINATION

19.1 Immediate Termination. Franchisee will be in default and Franchisor may terminate this Agreement without providing Franchisee any opportunity to cure the default, effective on notice to Franchisee (or on the expiration of any notice or cure period given by Franchisor in its sole discretion or required by Applicable Law), if any of the following occurs:

A. *Financial Defaults.*

1. Franchisee or any Guarantor files a voluntary petition or a petition for reorganization under any bankruptcy, insolvency or similar law;
2. Franchisee or any Guarantor consents to an involuntary petition under any bankruptcy, insolvency or similar law or fails to vacate any order approving such an involuntary petition within 90 days from the date the order is entered;
3. Franchisee or any Guarantor is unable to pay its debts as they become due;
4. Franchisee or any Guarantor is adjudicated to be bankrupt, insolvent or of similar status by a court of competent jurisdiction;
5. A receiver, trustee, liquidator or similar authority is appointed over the Hotel;
6. Execution is levied against the Hotel, Franchisee or any material real or personal property in the Hotel in connection with a final judgment; or
7. A suit to foreclose any lien, mortgage or security interest in the Hotel or any material personal property at the Hotel, or any security interest in Franchisee is filed and is not vacated within 90 days.

B. *Non-Financial Defaults.*

1. Franchisee or any Guarantor or any other Person that Controls or has an Ownership Interest in Franchisee is or becomes a Restricted Person;
2. Franchisee or any of its Affiliates or any Guarantor takes any action that constitutes a violation of Applicable Law that adversely affects the Hotel or the System;
3. Franchisee or any of its Affiliates or any Guarantor becomes a Competitor or a Transfer occurs that does not comply with the terms of Section 17;
4. Franchisee or any of its Control Affiliates or any Guarantor dissolves or liquidates;
5. Franchisee loses its right to operate or possess the Hotel, or loses ownership of the Hotel; or, if the Hotel is subject to a lease referenced in Item 17 of Exhibit A, Franchisee or the Owner referenced in Item 17 of Exhibit A is in default under such lease, or such lease is terminated for any reason;
6. the Hotel ceases to operate as a System Hotel;
7. Franchisee engages in a pattern of underreporting amounts payable to Franchisor under this Agreement involving three or more months within any 24-month period;
8. a threat to public health or safety occurs from the condition of the Hotel or its operation, that in the opinion of Franchisor, could result in: (i) substantial liability; or (ii) an adverse effect on the Hotel, other System Hotels, the System or the Proprietary Marks and Franchisee fails to close the Hotel and remedy the condition on notice from Franchisor;
9. the Hotel fails to achieve the thresholds of performance established by the Quality Assurance Program and such failure has not been cured within the applicable cure period; or
10. any Confidential Information is disclosed in breach of Section 12.

19.2 Default with Opportunity to Cure. Franchisee will be in default and Franchisor may terminate this Agreement for the events listed below, if after 30 days' notice of default (or such greater number of days given by Franchisor in its sole discretion or as required by Applicable Law), Franchisee fails to cure the default as specified in the notice:

- A. Franchisee fails to timely start and complete construction or conversion of the Hotel or fails to timely open the Hotel in accordance with this Agreement and the Standards; or
- B. Franchisee fails to timely complete any renovation or repair of the Hotel in accordance with this Agreement and the Standards; or
- C. Franchisee and its Affiliates fail to pay any amounts due under the Marriott Agreements; or
- D. any Marriott Agreement is in breach beyond any applicable cure period, is in default, or is terminated based on a breach by or default of Franchisee or its Affiliates (or any Owner referenced in Item 17 of Exhibit A); or

E. Franchisee or any Interestholder in Franchisee, or any officer, director or employee of Franchisee, is convicted of a Serious Crime or is engaged in conduct that may adversely affect the Hotel, the System, any Franchisor Product or Franchisor, and such Person is not terminated from its relationship with Franchisee; or

F. Franchisee fails to comply with the Standards or there occurs any other breach of the Marriott Agreements, including any representations and warranties by Franchisee.

19.3 Suspension of Reservation System. If Franchisee is in default under this Agreement and the default is not cured within the cure period (if any), Franchisor may, in addition to any other remedies, suspend the Hotel from the Reservation System while such default remains uncured. Once the default is cured, Franchisor will promptly reconnect the Hotel to the Reservation System. Franchisor's exercise of its remedies in this Section 19.3 will not (i) constitute actual or constructive termination or abandonment of this Agreement; (ii) be a waiver of the default or any breach of this Agreement; or (iii) preclude Franchisor from terminating this Agreement in accordance with Section 19.1 or 19.2, as applicable, or pursuing any equitable or other remedies. Franchisee waives all claims against Franchisor and its Affiliates arising from any suspension from the Reservation System arising as a result of Franchisee's default under this Agreement.

19.4 Damages.

A. *Harm to Franchisor.* Franchisee agrees that if it fails to operate the Hotel as a System Hotel for the entire Term, Franchisor will incur damages, including loss of future Franchise Fees and Program Services Contributions, and loss of opportunities for Development Activities, and that replacement of the Hotel with a comparable hotel will take significant time and effort. Franchisee agrees that it is difficult to calculate such damages over the remainder of the Term and that the liquidated damages provided for in Section 19.4.B. of this Agreement are not a penalty and represent a reasonable estimate of the minimum fair and just compensation for the damages that Franchisor will incur.

B. *Payment of Liquidated Damages.* If Franchisor terminates this Agreement due to Franchisee's default, Franchisee will promptly pay as liquidated damages to Franchisor an amount equal to (i) the Average Monthly Fees *multiplied by* (ii) the lesser of (x) 60 or (y) the number of months remaining in the Term.

C. *Actual Damages Under Special Circumstances.* Franchisee acknowledges that because of the increased difficulty in re-entering the market or replacing multiple hotels and the loss of competitive advantage and customer confidence, Franchisor and the System will suffer additional harm and the liquidated damages described in Section 19.4.B. might be inadequate to compensate Franchisor if this Agreement is terminated under the following circumstances. Therefore, Franchisor reserves the right to seek actual damages in lieu of the liquidated damages described in Section 19.4.B. if:

1. in addition to the termination of this Agreement, at least one additional franchise, license or management agreement for Franchisor Products between Franchisor and Franchisee, or their respective Affiliates, is terminated due to Franchisee's or its Affiliate's default within 12 months of the termination of this Agreement; or

2. this Agreement is terminated (i) as a result of a Transfer to a Competitor, or (ii) in connection with the development or operation of any Other Lodging Product at the Approved Location (which will be deemed to have occurred if, within two years from the date this Agreement terminates, any Person operates, or enters into any agreement or commitment contemplating the operation of, any Other Lodging Product at the Approved Location).

D. *Other Remedies.* Franchisee acknowledges that it does not have the right to terminate this Agreement, and it is obligated to operate the Hotel as a System Hotel for the entire Term. Franchisor's ability to terminate this Agreement and pursue payment of damages under this Section 19.4 does not preclude Franchisor from electing to pursue additional remedies under Applicable Law (including equitable remedies pursuant to Section 24.2) and any such election of remedies will not affect the obligations of Franchisee to comply with Section 20. Franchisee will reimburse Franchisor for any outside counsel costs incurred by Franchisor in connection with any default by Franchisee under Section 19.1 or Section 19.2 of this Agreement.

20. POST-TERMINATION

20.1 Franchisee Obligations.

A. *De-Identification.* On the expiration or other termination of this Agreement, Franchisee will immediately:

1. cease to operate the Hotel as a System Hotel and not represent or create the impression that it is a present or former franchisee or licensee of Franchisor or that the Hotel is or was previously part of the System, unless required under Section 20.1.A.8. below;
2. permanently cease to use, and remove from the Hotel and any other place of business, any Intellectual Property and any other identifying characteristics of the System, including any Electronic Systems, advertising or any articles that display any of the Proprietary Marks (including uses of the Proprietary Marks along with the Franchisee Marks) or any trade dress or distinctive features or designs associated with the System or Franchisor Products;
3. remove any signs containing any Proprietary Marks (if Franchisee is unable to remove the signs immediately, Franchisee will cover the signs and remove them within 48 hours);
4. remove from any internet sites all content under its control related to the System or Franchisor and take all actions necessary to disassociate itself from Franchisor on the internet. Franchisee will, at Franchisor's option, cancel or assign to Franchisor or its designee, any domain name under the control of Franchisee or its Affiliates that contains any Proprietary Mark, or any mark that Franchisor determines is confusingly similar, including misspellings and acronyms;
5. cancel any fictitious, trade or assumed name or equivalent registration that contains any Proprietary Mark or any variations, and provide satisfactory evidence to Franchisor of its compliance within 30 days after expiration or termination of this Agreement;
6. deliver to Franchisor the originals and all copies of any Intellectual Property and all other materials relating to the operation of the Hotel under the System, including Guest Personal Data. Franchisee will not retain a copy of any Intellectual Property or such other System materials (including electronic copies), except for any documents that Franchisee reasonably needs for compliance with Applicable Law. If Franchisor explicitly permits Franchisee to use any Intellectual Property or such other System material after the termination or expiration date, such use by Franchisee will be in accordance with this Agreement and Applicable Law;
7. cease using any of the Confidential Information or the System and disclosing it to anyone not authorized by Franchisor to receive it; and

8. advise all customers in accordance with the Standards that the Hotel is no longer a System Hotel.

B. *Other Obligations and Termination Costs.* On expiration or termination of this Agreement, Franchisee will (a) comply with the obligations in the Sections referenced under Section 27.8; and (b) promptly pay: (i) all amounts owing to Franchisor; (ii) all of Franchisor's costs or fees charged for removing the Hotel from the System (including any costs resulting from cancellation of reservations or early departures by customers receiving the notice sent pursuant to Section 20.2); and (iii) a reasonable estimate of costs and fees that will be due but have not yet been invoiced (if the estimated payment exceeds actual amounts due, Franchisor will refund the difference to Franchisee). Franchisor will have the right to recover reasonable legal fees and court costs incurred in collecting such amounts. If this Agreement is terminated under Section 21.2, Franchisee will cooperate with Franchisor in pursuing its claim under the business interruption insurance required under this Agreement.

20.2 Franchisor's Rights on Expiration or Termination. Before or on the expiration or termination of this Agreement, Franchisor may give notice that the Hotel is leaving the System and take any other action related to customers, Travel Management Companies, suppliers and other Persons affected by such expiration or termination, and Franchisor will not be liable for any Damages related to such notice or action.

21. CONDEMNATION AND CASUALTY

21.1 Condemnation.

A. *Condemnation Notification.* Franchisee will promptly notify Franchisor if it receives notice of any proposed taking of any portion of the Hotel by eminent domain, condemnation, compulsory acquisition or similar proceeding by any governmental authority.

B. *Condemnation Restoration.* If the condemnation award is sufficient to restore the Hotel to meet the Standards, Franchisee will cause the Hotel to be promptly restored and reopened within a reasonable time.

C. *Condemnation Termination.* If the taking in Section 21.1.A. would materially affect the continued operation of the Hotel as a System Hotel on a permanent basis, Franchisor or Franchisee may terminate this Agreement, in which case, Franchisor and Franchisee will execute a termination agreement and release on Franchisor's then-current form, and Franchisee will comply with the post-termination obligations in Section 20.

D. *No Liquidated Damages on Condemnation Termination.* A termination under this Section 21.1 will not be a default under this Agreement and Franchisee will not be required to pay liquidated damages. However, Franchisor will be entitled to receive a fair and reasonable portion of any condemnation award to compensate Franchisor for its lost revenue, but not more than the amount of liquidated damages that would have been due under Section 19.4.B.

21.2 Casualty.

A. *Casualty Notification.* Franchisee will promptly notify Franchisor if the Hotel is damaged by any casualty.

B. *Casualty Restoration.* If the Hotel is damaged by any casualty and the cost to restore the Hotel to the same condition as existed previously is less than 60% of the Hotel's replacement

cost at the time of the casualty, Franchisee will cause the Hotel to be promptly renovated and reopened within a reasonable time under Section 4.

C. *Casualty Termination.* If the Hotel is damaged by any casualty and the cost to restore the Hotel to the same condition as existed previously is 60% or more of the Hotel's replacement cost at the time of the casualty, Franchisee will have 180 days after the date of the casualty to elect whether it will restore the Hotel to its previous condition or terminate this Agreement. If Franchisee elects to restore the Hotel, the Hotel will be promptly renovated and reopened within a reasonable time under Section 4. If Franchisee elects to terminate this Agreement, Franchisor and Franchisee will execute a termination agreement and release on Franchisor's then-current form and Franchisee will comply with the post-termination obligations in Section 20. Such termination will not affect Franchisor's right to business interruption insurance proceeds.

D. *No Liquidated Damages on Casualty Termination.* A termination under this Section 21.2 will not be a default under this Agreement and Franchisee will not be required to pay liquidated damages unless, before the date on which the Term otherwise would have ended, Franchisee or any of its Affiliates operates an Other Lodging Product at the Approved Location.

22. COMPLIANCE WITH APPLICABLE LAW; LEGAL ACTIONS

22.1 Compliance with Applicable Law. Franchisee will comply with all Applicable Law, and will obtain all permits, certificates and licenses necessary to operate the Hotel and comply with the Marriott Agreements.

22.2 Notice of Legal Actions. Within seven days of receipt, Franchisee will notify Franchisor and provide copies of: (i) any Claim involving the Hotel, Franchisee or Franchisor; (ii) any judgment, order, or other decree related to the Hotel or Franchisee; or (iii) any inspection reports and warnings about a material failure to meet health or life safety requirements or any other material violation of Applicable Law related to the Hotel or Franchisee. This Section 22.2 will not change any notice requirement that Franchisee may have under any insurance policies.

23. RELATIONSHIP OF PARTIES

This Agreement does not create a fiduciary relationship between Franchisor and Franchisee. Franchisee is an independent contractor, and neither party is an agent, legal representative, joint venturer, partner, joint employer, or employee of the other for any purpose and Franchisee will make no representation to the contrary. Nothing in this Agreement authorizes Franchisee to make any agreement or representation on Franchisor's behalf or to incur any obligation in Franchisor's name.

24. GOVERNING LAW; ARBITRATION; INTERIM RELIEF; COSTS OF ENFORCEMENT; WAIVERS

24.1 Governing Law, Arbitration, and Jurisdiction.

A. *Governing Law.* This Agreement takes effect on its acceptance and execution by Franchisor in Maryland and will be construed under and governed by Maryland law, which law will prevail if there is any conflict of law. Nothing in this Section 24.1 will make the Maryland Franchise Registration and Disclosure Law apply to this Agreement or the relationship between Franchisor and Franchisee, if such law would not otherwise apply.

B. *Arbitration.*

1. Except as otherwise specified in this Agreement and for Claims for indemnification under Section 14 or actions for injunctive or other equitable relief under Section 24.2, any Dispute related to the Hotel, the Marriott Agreements, the relationship of the parties, or any actions or omissions in connection with any of the above, will be resolved, referred to, and finally settled by, arbitration under and in accordance with the Commercial Arbitration Rules of the American Arbitration Association (or any similar successor rules). The arbitrator(s) will be appointed in accordance with such rules. The number of arbitrators will be one unless the parties agree otherwise in accordance with such rules. The place where arbitration proceedings will be conducted is Baltimore, Maryland. The party bringing the arbitration will submit the following together with any demand or filing required by the American Arbitration Association: (i) a full and specific description of the claim under this Agreement, including identifying the specific provisions that the other party has breached, (ii) documentary evidence of the facts alleged by the complaining party, and (iii) a declaration under penalty of perjury that all facts stated in the claim and documentation are true and correct and do not fail to state facts known to the complaining party that are material to the determination of the dispute.

2. The decision of the arbitral tribunal will be final and binding on the parties and will be enforceable in any courts having jurisdiction. The arbitral tribunal will have no authority to amend or modify the terms of this Agreement. The arbitral tribunal will have the right to award or include in its award any relief it deems proper, including money damages and interest on unpaid amounts, specific performance and legal fees and costs in accordance with this Agreement; however, the arbitral tribunal may not award punitive, consequential or exemplary damages (except for those related to misuse of Franchisor's Intellectual Property). The costs and expenses of arbitration will be allocated and paid by the parties as determined by the arbitral tribunal.

3. Any arbitration proceeding under this Agreement will be conducted on an individual (not a class-wide) basis and will not be consolidated with any other arbitration proceedings to which Franchisor is a party, except that Franchisor may join any management company operating the Hotel, any owner under an owner agreement related to the Hotel, and any guarantor of any obligations with respect to the Hotel in any such proceeding. Any Dispute to be settled by arbitration under this Section will at the request of Franchisee or Franchisor be resolved in a single arbitration before a single tribunal together with any Dispute arising out of or relating to any other agreement between Franchisee and Franchisor and its Affiliates. A decision on a matter in another arbitration proceeding will not prevent a party from submitting evidence with respect to a similar matter or prevent the arbitral tribunal from rendering an independent decision without regard to such decision in such other arbitration proceeding.

4. Franchisor or Franchisee may, without waiving any rights, seek from a court having jurisdiction any interim or provisional relief that may be necessary to protect its rights or property (including any aspect of the System, or any reason concerning the safety of the Hotel or the health and welfare of any of the Hotel's guests, invitees or employees).

C. *Jurisdiction.* Franchisee expressly and irrevocably submits to the non-exclusive jurisdiction of the courts of the State of Maryland for the purpose of any Disputes that are not required to be subject to arbitration under Section 24.1.B. So far as permitted under Maryland law, this consent to personal jurisdiction will be self-operative.

24.2 Equitable Relief. Franchisor is entitled to injunctive or other equitable relief, including restraining orders and preliminary injunctions, in any court of competent jurisdiction for any threatened or actual material breach of the Marriott Agreements or non-compliance with the Standards. Franchisor is entitled to such relief without the necessity of proving the inadequacy of money damages as a remedy, without the necessity of posting a bond and without waiving any other rights or remedies.

24.3 Costs of Enforcement. The prevailing party in any legal or equitable action related to the Hotel, this Agreement or the other Marriott Agreements will recover its reasonable legal fees and costs, including fees and costs incurred in confirming and enforcing an award under Section 24.1.B. The prevailing party will be determined based upon an assessment of which party's arguments or positions could fairly be said to have prevailed over the other party's arguments or positions on major disputed issues in the arbitration or at trial, and should include an evaluation of the following: the amount of the net recovery; the primary issues disputed by the parties; whether the amount of the award comprises a significant percentage of the amount sought by the claimant; and the most recent settlement positions of the parties.

24.4 WAIVER OF PUNITIVE DAMAGES. EACH OF FRANCHISEE AND FRANCHISOR ABSOLUTELY, IRREVOCABLY AND UNCONDITIONALLY WAIVES THE RIGHT TO CLAIM OR RECEIVE PUNITIVE DAMAGES IN ANY DISPUTE RELATED TO THE HOTEL, THE MARRIOTT AGREEMENTS, THE RELATIONSHIP OF THE PARTIES, OR ANY ACTIONS OR OMISSIONS IN CONNECTION WITH ANY OF THE ABOVE, OTHER THAN FRANCHISOR'S RIGHTS AND REMEDIES RELATED TO FRANCHISOR'S INTELLECTUAL PROPERTY. NOTHING IN THIS SECTION 24.4 LIMITS FRANCHISEE'S OBLIGATIONS UNDER SECTION 14.

24.5 WAIVER OF JURY TRIAL. EACH OF FRANCHISEE AND FRANCHISOR ABSOLUTELY, IRREVOCABLY AND UNCONDITIONALLY WAIVES TRIAL BY JURY IN ANY DISPUTE RELATED TO THE HOTEL, THE MARRIOTT AGREEMENTS, THE RELATIONSHIP OF THE PARTIES OR ANY ACTIONS OR OMISSIONS IN CONNECTION WITH ANY OF THE ABOVE.

25. NOTICES

A. *Written Notices.* Subject to Section 25.B., all notices, requests, statements and other communications under this Agreement will be: (i) in writing; (ii) delivered by hand with receipt, or by courier service with tracking capability; and (iii) addressed, (a) in the case of Franchisor, to the address stated in Item 15 of Exhibit A; and (b) in the case of Franchisee, to the address stated in Item 16 of Exhibit A, or in either case at any other address designated in writing by the party entitled to receive the notice. Any notice will be deemed received (x) when delivery is received or first refused, if delivered by hand or (y) one day after posting of such notice, if sent via overnight courier.

B. *Electronic Delivery.* Franchisor may provide Franchisee with electronic delivery of routine information, invoices, the Standards and other System requirements and programs. Franchisor and Franchisee will cooperate with each other to adapt to new technologies that may be available for the transmission of such information.

26. REPRESENTATIONS AND WARRANTIES

26.1 Existence; Authorization; Ownership; Other Representations.

A. *Existence.* Each of Franchisor and Franchisee represents and warrants that it: (i) is duly formed, validly existing and in good standing under the laws of the jurisdiction of its formation; and (ii) has and will continue to have the ability to perform its obligations under this Agreement.

B. *Authorization.* Each of Franchisor and Franchisee represents and warrants that the execution and delivery of this Agreement and the performance of its obligations under this Agreement: (i) have been duly authorized; (ii) do not and will not violate, contravene or result in a default

or breach of (a) any Applicable Law, (b) its governing documents or (c) any agreement, commitment or restriction binding on the relevant party; and (iii) do not require any consent that has not been obtained by the relevant party. Without limiting the generality of the foregoing, Franchisee represents and warrants to Franchisor that no agreement or other arrangement of any type (including any management agreement, franchise agreement, letter of intent, option to purchase, technical services agreement, reservation agreement, or any oral agreement or course of conduct which could be construed to be a contract) exists, as of the Effective Date, which would prohibit or conflict with Franchisee's ability to enter into this Agreement or perform its obligations under this Agreement.

C. *Prior Representations.* Franchisee represents and warrants that all of the representations, warranties and information in the application and provided for this Agreement were true as of the time made and are true as of the Effective Date, regardless of whether such representations, warranties and information were provided by Franchisee or another Person.

D. *Restricted Person; Competitor.* Franchisee represents and warrants, and will ensure throughout the Term, that (i) neither Franchisee nor any of its or the Hotel's funding sources is a Restricted Person and (ii) neither Franchisee nor any of its Affiliates is a Competitor.

E. *Ownership of Franchisee.* Franchisee represents and warrants that the information in Attachment Two to Exhibit A regarding its Interestholders is complete and accurate. Upon any Transfer that requires notice to, or the consent of, Franchisor under Section 17, Franchisee will provide a list of the names and addresses of the Interestholders and documents necessary to confirm such information and update Attachment Two to Exhibit A.

F. *Ownership of the Hotel.* Unless otherwise stated in Item 17 of Exhibit A, Franchisee represents and warrants that either: (i) it is the sole owner of the Hotel and holds good and marketable fee title to the Approved Location; or (ii) the Approved Location is subject to a valid purchase, contribution, or similar agreement, and on closing of such agreement, Franchisee will be the sole owner of the Hotel and will hold good and marketable fee title to the Approved Location. Unless the Hotel is subject to a lease as indicated in Item 17 of Exhibit A, Franchisee will deliver a copy of the recorded deed in Franchisee's name to Franchisor no later than the Construction Start Deadline.

26.2 Additional Franchisee Acknowledgments and Representations.

A. *NO RELIANCE.* IN ENTERING THIS AGREEMENT, FRANCHISEE REPRESENTS AND WARRANTS THAT IT DID NOT RELY ON, AND NEITHER FRANCHISOR NOR ANY OF ITS AFFILIATES HAS MADE, ANY PROMISES, REPRESENTATIONS, WARRANTIES OR AGREEMENTS RELATING TO THE FRANCHISE, THE HOTEL, OR THE APPROVED LOCATION OR THE SYSTEM, UNLESS CONTAINED IN THIS AGREEMENT.

B. *BUSINESS RISK.* FRANCHISEE AGREES THAT THE BUSINESS VENTURE CONTEMPLATED BY THIS AGREEMENT INVOLVES SUBSTANTIAL BUSINESS RISK, IS A VENTURE WITH WHICH FRANCHISEE HAS RELEVANT EXPERIENCE AND ITS SUCCESS IS LARGELY DEPENDENT ON FRANCHISEE'S ABILITY AS AN INDEPENDENT BUSINESS. FRANCHISOR DISCLAIMS THE MAKING OF, AND FRANCHISEE AGREES IT HAS NOT RECEIVED, ANY INFORMATION, WARRANTY OR GUARANTEE, EXPRESS OR IMPLIED, AS TO THE POTENTIAL REVENUES, PROFITS OR SUCCESS OF SUCH BUSINESS VENTURE. IF, PRIOR TO THE EFFECTIVE DATE, FRANCHISOR HAS FURNISHED ANY HISTORICAL PERFORMANCE DATA OR PROJECTIONS WITH RESPECT TO THE HOTEL IN CONNECTION WITH THE POSSIBILITY OF FRANCHISOR OR ITS AFFILIATES MANAGING THE HOTEL (AS OPPOSED TO GRANTING A FRANCHISE TO FRANCHISEE), FRANCHISEE ACKNOWLEDGES

AND AGREES THAT SUCH DATA AND PROJECTIONS ARE NOT APPLICABLE TO A FRANCHISED SYSTEM HOTEL AND THAT IT HAS NOT RELIED THEREON IN ENTERING INTO THIS AGREEMENT. FRANCHISOR WILL NOT INCUR ANY LIABILITY FOR ANY ERROR, OMISSION OR FAILURE CONCERNING ANY ADVICE, TRAINING OR OTHER ASSISTANCE FOR THE HOTEL PROVIDED TO FRANCHISEE, INCLUDING FINANCING, DESIGN, CONSTRUCTION, RENOVATION OR OPERATIONAL ADVICE.

C. *DISCLOSURE AND NEGOTIATION.* FRANCHISEE ACKNOWLEDGES THAT IT HAS READ AND UNDERSTOOD THE DISCLOSURE DOCUMENT AND THE MARRIOTT AGREEMENTS. FRANCHISEE HAS HAD SUFFICIENT TIME AND OPPORTUNITY TO CONSULT WITH ITS ADVISORS ABOUT THE POTENTIAL BENEFITS AND RISKS OF ENTERING INTO THIS AGREEMENT. FRANCHISEE HAS HAD AN OPPORTUNITY TO NEGOTIATE THIS AGREEMENT.

D. *HOLDING PERIODS.* FRANCHISEE ACKNOWLEDGES THAT IT RECEIVED A COPY OF THIS AGREEMENT, ITS EXHIBITS AND ATTACHMENTS, IF ANY, AND RELATED AGREEMENTS, IF ANY, AT LEAST SEVEN DAYS BEFORE THE DATE ON WHICH THIS AGREEMENT WAS EXECUTED. FRANCHISEE FURTHER ACKNOWLEDGES THAT IT HAS RECEIVED THE DISCLOSURE DOCUMENT AT LEAST 14 DAYS BEFORE THE DATE ON WHICH IT EXECUTED THIS AGREEMENT OR MADE ANY PAYMENT TO FRANCHISOR IN CONNECTION WITH THIS AGREEMENT.

E. *DISCLOSURE EXEMPTION.* NOTWITHSTANDING FRANCHISEE'S ACKNOWLEDGMENT IN SECTION 26.2.D, FRANCHISEE REPRESENTS AND ACKNOWLEDGES THAT THIS FRANCHISE SALE IS FOR MORE THAN \$1,233,000, EXCLUDING THE COST OF UNIMPROVED LAND AND ANY FINANCING RECEIVED FROM FRANCHISOR OR ITS AFFILIATES, AND THUS IS EXEMPTED FROM THE FEDERAL TRADE COMMISSION'S FRANCHISE RULE DISCLOSURE REQUIREMENTS PURSUANT TO 16 CFR 436.8(a)(5)(i).

27. MISCELLANEOUS

27.1 Counterparts. This Agreement may be executed in any number of counterparts, each of which will be deemed an original and all of which constitute one and the same instrument. Delivery of an electronic signature or an executed signature page by electronic transmission is as effective as delivery of an original signed counterpart. Each party hereto waives any defenses to the enforceability of the terms of this Agreement based on the foregoing forms of signature.

27.2 Construction and Interpretation.

A. *Partial Invalidity.* If any term of this Agreement, or its application to any Person or circumstance, is invalid or unenforceable at any time or to any extent, then: (i) the remainder of this Agreement, or the application of such term to Persons or circumstances except those as to which it is held invalid or unenforceable, will not be affected and each term of this Agreement will be valid and enforced to the fullest extent permitted by Applicable Law; and (ii) Franchisor and Franchisee will negotiate in good faith to modify this Agreement to implement their original intent as closely as possible in a mutually acceptable manner.

B. *Non-Exclusive Rights and Remedies.* No right or remedy of Franchisor or Franchisee under this Agreement or the Standards is intended to be exclusive of any other right or remedy under this Agreement at law or in equity.

C. *No Third-Party Beneficiary.* Nothing in this Agreement is intended to create any third-party beneficiary or give any rights or remedies to any Person except Franchisor or Franchisee and their respective permitted successors and assigns.

D. *Actions from Time to Time.* When this Agreement permits Franchisor to take any action, exercise discretion or modify the System, Franchisor may do so from time to time.

E. *Interpretation of Agreement.* Franchisor and Franchisee intend that this Agreement excludes all implied terms to the maximum extent permitted by Applicable Law. Headings of Sections and geographic designations in the footer are for convenience and do not affect interpretation of this Agreement. All Exhibits to this Agreement form an integral part of this Agreement and are incorporated by reference, including all Items of Exhibit A even if such Items are not specifically referred to in this Agreement. Words indicating the singular include the plural and vice versa as the context may require. References to days, months and years are all calendar references. References that a Person “will” do something mean the Person has an obligation to do such thing. References that a Person “may” do something mean a Person has the right, but not the obligation, to do so. References that a Person “may not” or “will not” do something mean the Person is prohibited from doing so. Examples used in this Agreement and references to “includes” and “including” are illustrative and not exhaustive.

F. *Definitions.* All capitalized terms in this Agreement have the meaning stated in Exhibit B.

27.3 Reasonable Business Judgment.

A. *Definition.* Reasonable Business Judgment means:

1. For decisions affecting the System, that the rationale for Franchisor’s decision has a business basis that is intended to: (i) benefit the System or the profitability of the System, including Franchisor, regardless of whether some hotels may be unfavorably affected; (ii) increase the value of the Proprietary Marks; (iii) enhance guest, franchisee or owner satisfaction; or (iv) minimize potential brand inconsistencies or customer confusion; and

2. For decisions unrelated to the System (for example, a requested approval for the Hotel), that the rationale for Franchisor’s decision has a business basis and Franchisor has not acted in bad faith.

B. *Use of Reasonable Business Judgment.* Franchisor will use Reasonable Business Judgment when discharging its obligations or exercising its rights under this Agreement, including for any consents and approvals and the administration of Franchisor’s relationship with Franchisee, except when Franchisor has reserved sole discretion.

C. *Burden of Proof.* Franchisee will have the burden of establishing that Franchisor failed to exercise Reasonable Business Judgment. The fact that Franchisor or any of its Affiliates benefited from any action or decision, or that another reasonable alternative was available, does not mean that Franchisor failed to exercise Reasonable Business Judgment. If this Agreement is subject to any implied covenant or duty of good faith and Franchisor exercises Reasonable Business Judgment, Franchisee agrees that Franchisor will not have violated such covenant or duty.

27.4 Consents and Approvals. Except as otherwise provided in this Agreement, any approval or consent required under this Agreement will not be effective unless it is in writing and signed by the duly authorized officer or agent of the party giving such approval or consent. Franchisor will not

be liable for: (i) providing or withholding any approval or consent; (ii) providing any suggestion to Franchisee; (iii) any delay; or (iv) denial of any request.

27.5 Waiver. The failure or delay of either party to insist on strict performance of any of the terms of this Agreement, or to exercise any right or remedy, will not be a waiver for the future.

27.6 Entire Agreement. This Agreement and the Marriott Agreements are fully integrated and contain the entire agreement between the parties as it relates to this franchise, the Hotel and the Approved Location and, subject to Section 26.1.C., supersede and extinguish all prior statements, agreements, promises, assurances, warranties, representations and understandings, whether written or oral, by any Person. Nothing in this Agreement is intended to require Franchisee to waive reliance on any representations made in the Disclosure Document.

27.7 Amendments. This Agreement may only be amended in a written document that has been duly executed by the parties and may not be amended by conduct manifesting assent, and each party is put on notice that any individual purporting to amend this Agreement by conduct manifesting assent is not authorized to do so.

27.8 Survival. The duties and obligations of the parties that by their nature or express language survive expiration or termination of this Agreement will survive expiration or termination of this Agreement, including the terms of this Section 27 as well as the terms of Sections 11, 12, 13.2, 13.4, 13.5, 14, 17.5, 18, 19.4, 20, 21.1.D., 21.2.D., 22.2 (but only with respect to a Claim, judgement, report or warning related to Franchisor or its Affiliates or with respect to the period before such expiration or termination) and 24.

{Signatures appear on the following page}

IN WITNESS WHEREOF, Franchisor and Franchisee have caused this Franchise Agreement to be executed, under seal, as of the Effective Date.

FRANCHISOR:

«FRANCHISOR_LICENSOR»

By: _____ (SEAL)
Name:
Title:

FRANCHISEE:

«FRANCHISE_NAME»

By: _____ (SEAL)
Name:
Title:

EXHIBIT A
KEY TERMS

1. **Trade Name(s):** Tribute Portfolio
2. **Approved Location:** «address», «city», «state» «zip»
3. **Effective Date:** _____
4. **Term:** Begins on the Effective Date and ends on the 20th anniversary of the Opening Date
5. **Franchisor:** «Franchisor_Licenser», a «Local_juris» «entity_type»
6. **Franchisee:** «Franchise_Name», a/an «Fran_Domicili» «Fran_corp»
7. **Number of Guestrooms:** «rooms»
8. **Entity that will Operate the Hotel:** «manager_Name»
9. **Restricted Territory (Tribute Portfolio only):** **[FOR NEW DEVELOPMENT/CONVERSION ADD:** Franchisor or its Affiliates will not, and will not authorize any other Person to, open to the public for business a System Hotel for a period of ____ years after the Opening Date of the Hotel, but not to extend beyond _____, within **[ADD THE FOLLOWING FOR A TERRITORIAL THAT HAS A BOUNDARY DESCRIPTION:** the following area: _____ (“Restricted Territory”). The center, as of the Effective Date, of any road, highway, river or lake described above is the boundary of the Restricted Territory.] **-OR- [ADD THE FOLLOWING FOR A TERRITORIAL THAT HAS A RADIUS DESCRIPTION:** a _____ mile radius measured from the front door of the Hotel (“Restricted Territory”).] The Restricted Territory is the area outlined on the map in Attachment One to this Exhibit. Should a conflict exist between the map and the narrative, the narrative will control. The restrictions in this paragraph will not apply to: (i) a Chain Acquisition; (ii) any other Franchisor Product that is not included within the System; or (iii) any System Hotel existing or under development as of the Effective Date in the Restricted Territory, and if any such System Hotel in the Restricted Territory ceases to operate as a System Hotel or does not open as a System Hotel, then for each such hotel, an additional hotel may operate as a System Hotel in the Restricted Territory.]

[FOR CHANGE OF OWNERSHIP OR RENEWAL ADD: Not Applicable]

10. **Application Fee:** **[FOR NEW DEVELOPMENT/CONVERSION ADD: \$100,000 plus an additional \$400 per Guestroom in excess of 250]**
[FOR RELICENSING ADD: \$150,000 or \$500 per Guestroom, whichever is greater]
11. **Franchise Fees:** 5% of Gross Room Sales
12. **Marketing Fund Contribution:** 1.5% of Gross Room Sales
13. **Construction Start Deadline:** «open_date»
14. **Opening Deadline:** «end_date»
15. **Franchisor Notice Address:** **Prior to August 1, 2022:**
«Franchisor_Licensors»
10400 Fernwood Road
Bethesda, MD 20817
Attn: Law Department 52/923.28

On and after August 1, 2022:
«Franchisor_Licensors»
7750 Wisconsin Avenue
Bethesda, MD 20814
Attn: Law Department 52/923.28
16. **Franchisee Notice Address:** «Franchise_Name»
«fran_street»
«fran_city», «fran_state» «franZipCode»
Attn: «Fran_Attn»
Email: «Fran_email»

with a copy to:

Attn: _____

17. **Lease Provisions:** **IF THE HOTEL OR APPROVED LOCATION IS SUBJECT TO A LEASE, ADD THE FOLLOWING (OTHERWISE INSERT: Not Applicable):**

Franchisee represents and warrants that [(i) Owner is the sole owner of the Hotel, (ii) the Hotel is leased to Franchisee under a lease between Franchisee and Owner] **[OR FOR GROUND LEASE, INSERT: (i) Franchisee is the sole owner of the Hotel, (ii) the land used for the Hotel is leased to Franchisee under a ground lease between Franchisee and Owner]** and (iii) Franchisee has all rights and authority relating to the Hotel for the performance of Franchisee's obligations under this Agreement. If the lease provides for Owner to perform any of Franchisee's obligations under this Agreement, Franchisee will cause Owner to perform such obligations as required under this Agreement. The existence of the lease and its terms that require Owner to perform Franchisee's obligations are not an assignment of such obligations to Owner and do not relieve Franchisee of any obligation under this Agreement. The lease will not limit or restrict Franchisor's rights or remedies under this Agreement in any way.

"Owner" means «Owner_Name», a/an «Owner_Domicili» «Owner_corp».

18. **Reserve:** **NEW BUILD ONLY:**

<u>Year after Opening Date</u>	<u>% of Gross Revenues</u>
1	1%
2	2%
3-5	3%
6-10	4%
11 and thereafter for the Term	5%

CONVERSION AND RELICENSING: 5%

19. **PIP Review Date:** **[FOR CONVERSION AND RELICENSING ADD: [date]]**
[FOR NEW BUILD ADD: Not Applicable]

20. **Franchisee Marks:**

Name/Trademark	Class	Registration Number	Registration Date

21. **Branding/Design:** **[IF A NEW-BUILD OR A HOTEL FOR WHICH NEW BRANDING/DESIGN WILL BE REQUIRED, ADD THE FOLLOWING:** Franchisee will retain a Franchisor-approved branding consultant and interior design firm, develop a communications and marketing plan, implement a service experience program, and create spaces and experiences to reinforce the Design and the Independent Hotel Brand for the Hotel, all of which must be acceptable to Franchisor.]
- [IF AN EXISTING HOTEL AND THE DESIGN AND BRAND ARE APPROVED – ADD THE FOLLOWING:** The existing Design and Independent Hotel Brand of the Hotel is approved, subject to Section 4.5.B and completion of the PIP in Exhibit C.]
22. **System Hotel-specific terms:** As of the Effective Date, the Marketing Fund is administered on a global basis and includes contributions from hotels located outside of the United States and Canada operating under the trade name(s) identified in Item 1 above.
23. **Additional Terms:** Not Applicable

**ATTACHMENT ONE
TO EXHIBIT A**

RESTRICTED TERRITORY

{See map on following page}

**ATTACHMENT TWO
TO EXHIBIT A**

OWNERSHIP INTEREST IN FRANCHISEE

Name of Owner	Address (Include Country of Residence, if not U.S.)	Country of Formation or Nationality (Include if not U.S.)	% Interest
NAME AND ADDRESS OF «FRANCHISE_NAME»			
«Franchise_Name»	«fran_street» «fran_city», «fran_state» «franZipCode»		N/A
OWNERSHIP OF «FRANCHISE_NAME»			
			%
			%
OWNERSHIP OF			
			%
			%

EXHIBIT B

DEFINITIONS

The following terms used in this Agreement have the meanings given below:

“Accessibility Requirements” means the Americans with Disabilities Act and other applicable state laws, codes, and regulations governing public accommodations for persons with disabilities.

“Additional Conditions” means the conditions, if any, stated in Item 8 of Exhibit A.

“Additional Marketing Programs” means advertising, marketing, promotional, public relations, and sales programs and activities that are not funded by the Marketing Fund, each of which may vary in duration, apply on a local, regional, national, or Category basis, or include other Franchisor Products. Examples include email marketing, internet search engine marketing, transaction-based paid internet searches, sales lead referrals and bookings, cooperative advertising programs, Travel Management Companies programs, incentive awards, gift cards, guest satisfaction programs, complaint resolution programs and Loyalty Programs.

“Affiliate” means, for any Person, a Person that is directly or indirectly Controlling, Controlled by, or under common Control with such Person.

“Agreement” means this Franchise Agreement, including any exhibits and attachments, as may be amended.

“Applicable Law” means applicable national, federal, regional, state or local laws, codes, rules, ordinances, regulations, or other enactments, orders or judgments of any governmental, quasi-governmental or judicial authority, or administrative agency having jurisdiction over the Hotel, Franchisee, any Guarantor, Franchisor in its capacity as licensor under this Agreement or any of the Marriott Agreements, or the matters that are the subject of this Agreement, including any applicable data protection or privacy laws or any of the above that prohibit unfair, fraudulent or corrupt business practices and related activities, including any such actions or inactions that would constitute a violation of money laundering or terrorist financing laws and regulations.

“Application Fee” is defined in Section 3.1.

“Approved Location” means the site, including all land and easements used for the Hotel, described in Item 2 of Exhibit A, as may be updated by the letter agreement issued by Franchisor described in Exhibit C.

“Average Monthly Fees” means: (x) if the Hotel has been operating as a franchised System Hotel for at least 24 full months prior to termination, the average monthly Franchise Fees and Program Services Contributions payable for the Hotel during the immediately preceding 24 months (calculated using the Franchise Fees specified in this Agreement and the Program Services Contribution in effect at the time of termination, but without giving effect to any discounts or incentives); provided that, if Franchisor determines that such calculation does not fairly represent the Hotel’s stabilized performance due to an Extraordinary Event, “Average Monthly Fees” will mean the average monthly Franchise Fees and Program Services Contributions payable for the Hotel during the immediately preceding 24 months during which an Extraordinary Event was not in effect, as determined by Franchisor (or, if fewer, the months since the Hotel has been operating as a franchised System Hotel) (“Hotel Average Fees”); and (y) if the Hotel has not operated as a franchised System Hotel for at least 24 months prior to termination, an amount equal to the greater of (a) the average monthly franchise fees and program services fund

contributions payable for the previous 24 months for all franchised System Hotels on a per room basis multiplied by the number of Guestrooms at the Hotel or (b) Hotel Average Fees during the period the Hotel was operating as a franchised System Hotel; provided that, if Franchisee submitted revenue projections in its application and either Franchisee or Franchisor believes that the calculation in (a) or (b) does not fairly represent the Hotel's projected stabilized performance, it will notify the other, in which case "Average Monthly Fees" will mean the average monthly Franchise Fees and Program Services Contributions that would have been payable based on the stabilized Hotel revenue projected by Franchisee in such application, without giving effect to any discounts or incentives.

"Brand" means a hotel brand, trade name, trademark, system, collection or chain of hotels.

"Case Goods" means furniture and fixtures used in the Hotel such as cabinets, shelves, chests, armoires, chairs, beds, headboards, desks, tables, mirrors, lighting fixtures and similar items.

"Category" means a group of System Hotels designated by Franchisor or its Affiliates based on criteria such as geographic (for example, local, regional, national or international) or other attributes (for example, resorts, urban, or suburban). A Category may have specific Standards or be a descriptive classification.

"Chain Acquisition" means any hotel or hotels that are members of a chain or group of hotels with a minimum of four hotels in operation, if (a) all or substantially all are (in a single transaction or combination of related transactions) acquired by, merged with, franchised by or joined through a marketing agreement with, Franchisor or an Affiliate, or (b) the operation of all or substantially all of such hotels is transferred to Franchisor or an Affiliate, in all cases even if such hotel(s) is re-branded as a System Hotel.

"Claim" means any demand, inquiry, investigation, action, claim or charge asserted, including in any judicial, arbitration, administrative, debtor or creditor proceeding, bankruptcy, insolvency, or similar proceeding.

"Competitor" means any Person that has a direct or indirect Ownership Interest in a Brand or is an Affiliate of such a Person, or any Person that is a Master Franchisee of a Brand, or any officer or director of such Person, but only if the Brand is comprised of at least: (i) 10 luxury hotels; (ii) 20 full-service hotels; or (iii) 50 limited-service hotels. For purposes of this definition: "luxury" hotels are hotels that had a system average daily rate in excess of \$200 for the most recent year; "full-service" hotels are hotels that offer three meals per day and have at least 3,000 square feet of meeting space; and "limited-service" hotels are hotels that are neither "luxury" hotels nor "full-service" hotels. No Person will be considered a Competitor if such Person has an interest in a Brand merely as: (i) a franchisee; (ii) a management company that operates hotels on behalf of multiple brands; or (iii) a passive investor that has no Control over the business decisions of the Brand, such as limited partners or non-controlling stockholders.

"Competitor ROFR" means a memorandum of right of first refusal for the Hotel, the current form of which is included in the Disclosure Document.

"Confidential Information" means: (i) the Standards; (ii) documents or trade secrets approved for the System or used in the design, construction, renovation or operation of the Hotel; (iii) any Electronic Systems and related documentation; (iv) Guest Personal Data; or (v) any other knowledge, trade secrets, business information or know-how obtained or generated (a) through the use of the System by Franchisee or the operation of the Hotel (or otherwise obtained from Franchisor or its Affiliates in the course of being

a franchisee, licensee or owner of the Hotel or of System Hotels) that Franchisor deems confidential or (b) under any Marriott Agreements.

“Construction Start Deadline” is defined in Exhibit C.

“Control” (in any form, including “Controlling” or “Controlled”) means, for any Person, the possession, directly or indirectly, of the power to direct or cause the direction of the management or policies of such Person or the power to veto major policy decisions of such Person. No Person (or Persons acting together) will be considered to have Control of a publicly-traded company merely due to ownership of voting stock of such company if such Persons collectively beneficially own less than 25% of the voting stock of such company.

“Control Affiliate” means an Affiliate of Franchisee that Controls Franchisee.

“Damages” means losses, costs (including legal or attorneys’ fees, litigation costs and settlement payments), liabilities (including employment liabilities, bodily injury, death, property damage and loss, personal injury and mental injury), penalties, interest, and damages of every kind and description.

“Design” means the interior design theme or style reflected in the FF&E, fabrics, colors, and decorations that give the interior spaces an identifiable style or theme, such as “art deco,” “modern,” or “neoclassical,” or a style or theme that is distinctive to the Hotel.

“Design Process” is defined in Section 4.4.

“Development Activities” means the development, promotion, construction, ownership, lease, acquisition, management or operation of: (i) Franchisor Products (including other System Hotels); and (ii) other business operations, in each case by Franchisor or its Affiliates, or the authorization, licensing or franchising to other Persons to conduct similar activities.

“Disclosure Document” means that certain document entitled “Franchise Disclosure Document” provided by Franchisor to prospective franchisees of System Hotels, as such document may be updated by Franchisor.

“Dispute” means any disagreement, controversy, or Claim relating to or arising out of any Marriott Agreement, the relationship created by any Marriott Agreement, or the validity or enforceability of any Marriott Agreement.

“Effective Date” means the date stated in Item 3 of Exhibit A.

“Electronic Systems” means all Software, Hardware and all electronic access to Franchisor’s systems and data (including telephone and internet access), licensed or made available to Franchisee relating to the System, including the Reservation System, the Property Management System, the Yield Management System and any other system established under Sections 7 and 10.

“Electronic Systems Fees” means the fees charged by Franchisor for the Hotel’s use of the Electronic Systems, which fees include the development and incremental operating costs, ongoing maintenance, field support costs and the reimbursement of capital invested in the development of such Electronic Systems, together with costs incurred by Franchisor to finance such capital.

“Electronic Systems License Agreement” means the agreement that is executed by Franchisee as a condition to using the Electronic Systems, the current form of which is included in the Disclosure Document.

“Extraordinary Event” means a Force Majeure Event, a temporary closure of all or part of the Hotel, or other similar event that causes a temporary and extraordinary change in the Hotel’s performance.

“FF&E” means Case Goods, Soft Goods, signage and equipment (including telephone systems, printers, televisions, vending machines, and Hardware), but excludes any item included in Fixed Asset Supplies.

“Fixed Asset Supplies” means items such as linen, china, glassware, tableware, uniforms and similar items included within “Operating Equipment” under the Uniform System.

“Force Majeure Event” means an act of nature, terrorism, strike, war, governmental restrictions (including those related to pandemics, quarantine restrictions or other public health restrictions) or other causes beyond Franchisee’s control that affect the Hotel.

“Franchise Fees” is defined in Section 3.2.

“Franchisee” means the Person identified in Item 6 of Exhibit A.

“Franchisee Marks” means the names and Marks that Franchisee uses for the Hotel, including the Marks identified in Item 20 of Exhibit A, but excluding the Proprietary Marks, in any format, style, design or logo.

“Franchisor” means the Person identified in Item 5 of Exhibit A, and its successors and assigns.

“Franchisor Products” means any hotels and other lodging products, Vacation Club Products, residential products (such as single family homes or multi-unit apartment buildings or individual units within such buildings), restaurants, and other products, services, activities and business operations of any type that are managed, franchised, licensed, owned, leased, developed, promoted or provided by or associated with, Franchisor or any of its Affiliates, now or in the future, in whole or in part, using any brand name available to Franchisor or its Affiliates (including any brands or concepts currently used by Franchisor or its Affiliates for hotels and other lodging products, Vacation Club Products, residential products, whole ownership facilities, home sharing facilities, and other similar products or concepts, and any future brands or concepts developed or used by Franchisor or its Affiliates) or not using any brand name.

“Gross Revenues” means all revenues and receipts of every kind (from both cash and credit transactions, with no reduction for charge backs, credit card service charges, or uncollectible amounts) derived from operating the Hotel. Gross Revenues includes revenues from: (i) Gross Room Sales; (ii) food and beverage sales; (iii) licenses, leases and concessions; (iv) equipment rental; (v) vending machines; (vi) telecommunications services; (vii) parking; (viii) health club or spa revenues; (ix) sales of merchandise; (x) service charges; (xi) condemnation proceeds for a temporary taking; (xii) any proceeds from business interruption or other loss of income insurance; and (xiii) any awards, judgments or settlements representing payment for loss of revenues. Gross Revenues excludes: gratuities received by Hotel employees; sales tax, value added tax, or similar taxes on such revenues and receipts; and proceeds from the sale of FF&E.

“Gross Room Sales” means all revenues and receipts of every kind that accrue from the rental of Guestrooms (with no reduction for charge backs, credit card service charges, or uncollectible amounts). Gross Room Sales includes: (i) no-show revenue, early departure fees, late check-out fees and other revenues allocable to rooms revenue under the Uniform System; (ii) resort fees, destination fees, and mandatory surcharges for facilities (although inclusion of such fees or surcharges does not constitute approval by Franchisor of such fees and surcharges, which may be limited or prohibited); (iii) fees for changes to reservations and attrition or cancellation fees collected from unfulfilled reservations for Guestrooms; (iv) the amount of all lost sales due to the non-availability of Guestrooms in connection with a casualty event, whether or not Franchisee receives business interruption insurance proceeds; and (v) any awards, judgments or settlements representing payment for loss of room sales. Gross Room Sales excludes sales tax, value added tax, or similar taxes on such revenues and receipts.

“Guarantor” means the Person or Persons who guarantee the performance of any of Franchisee’s obligations under the Marriott Agreements.

“Guaranty” means a guaranty executed by Guarantor for the benefit of Franchisor, the current form of which is included in the Disclosure Document.

“Guest Personal Data” means any information relating to identified or identifiable actual or potential guests or customers of the Hotel and other Franchisor Products, including contact information (such as addresses, phone numbers, facsimile numbers, email and SMS addresses), Guest Preferences and any other information collected from or about actual or potential guests or customers of the Hotel and other Franchisor Products.

“Guest Preferences” means guest histories, preferences, loyalty program activity and any other related information collected from or about actual or potential guests or customers of the Hotel and other Franchisor Products through the Loyalty Programs or other means.

“Guestroom” means each rentable unit in the Hotel consisting of a room, suite or suite of rooms used for overnight guest accommodation, the entrance to which is controlled by the same key; however, adjacent rooms with connecting doors that can be locked and rented as separate units are considered separate Guestrooms.

“Hardware” means all computer hardware and other equipment (including all upgrades and replacements) required for the operation of any Electronic System.

“Hotel” means: (i) the Approved Location; (ii) Hotel Improvements; and (iii) all FF&E, Fixed Asset Supplies, and Inventories at the Hotel Improvements.

“Hotel Improvements” means the building or buildings containing Guestrooms, Public Facilities, administrative facilities, parking, pools, landscaping, and all other improvements constructed or to be constructed or renovated at the Approved Location.

“Independent Hotel Brand” means the identifiable brand concept and ongoing brand activation that consists of the Hotel’s competitive and consumer positioning, illustrates the Hotel’s unique personality and memorable characteristics, and describes the Hotel’s service culture and guest experience.

“Initial Work” is defined in Section 4.2.

“Intellectual Property” means the following items, regardless of the form or medium (for example, paper, electronic, tangible or intangible): (i) all Software, including the data and information

processed or stored by such Software; (ii) all Proprietary Marks; (iii) all Confidential Information; and (iv) all other information, materials, and subject matter that are copyrightable, patentable or can be protected under applicable intellectual property laws, and owned, developed, acquired, licensed, or used by Franchisor or its Affiliates for the System.

“Interestholder” means, for any Person, a Person that directly or indirectly holds an Ownership Interest in that Person.

“Inventories” means “Inventories” as defined in the Uniform System, including provisions in storerooms, refrigerators, pantries and kitchens; beverages; other merchandise intended for sale; fuel; mechanical supplies; stationery; and other expensed supplies and similar items.

“Inventory Management” means those inventory management services made available by Franchisor to Franchisee under revenue management or consulting agreements.

“Loyalty Programs” means all loyalty, recognition, affinity, and other programs designed to promote stays at, or usage of, the Hotel, System Hotels and such other Franchisor Products designated by Franchisor or its Affiliates, or any similar, complementary, or successor programs or combination thereof. As of the Effective Date, such programs include “Marriott Bonvoy” and various programs sponsored by airlines, credit card and other companies.

“Management Company” means a management company for the Hotel selected by Franchisee and consented to by Franchisor.

“Management Company Acknowledgment” means an acknowledgment signed by the Management Company, Franchisee and Franchisor, the current form of which is included in the Disclosure Document.

“Marketing Fund” means money collected by Franchisor for Marketing Fund Activities.

“Marketing Fund Activities” is defined in Section 6.2.A.

“Marketing Fund Contribution” is defined in Section 3.7.B.

“Marketing Materials” means all advertising, marketing, promotional, sales and public relations concepts, press releases, materials, concepts, plans, programs, brochures, or other information to be released to the public, whether in paper, digital or electronic, or in any other form of media.

“Marks” means: (i) any trademarks, trade names, trade dress, words, symbols, logos, slogans, designs, insignia, emblems, devices, service marks, and indicia of origin (including taglines, program names, and restaurant, spa or other outlet names); and (ii) any combinations of the above; in each case, whether registered or unregistered.

“Marriott Agreements” means, collectively, this Agreement, any other agreements executed with this Agreement related to the Hotel and any other agreement, whenever executed, related to the Hotel to which Franchisee, Management Company, any Guarantor or any of their respective Affiliates is a party and to which Franchisor or any of its Affiliates is also a party or beneficiary, as such agreements may be amended.

“Master Franchisee” means a Person that has the exclusive rights to develop, operate or sub-license a Brand.

“Opening Date” means the date identified as the Hotel opening date in the letter agreement issued by Franchisor described in Exhibit C.

“Opening Deadline” is defined in Exhibit C.

“Other Lodging Product” means a hotel, Vacation Club Products, whole ownership facilities, condominium, apartment or other similar lodging product that is not a Franchisor Product.

“Other Mark(s)” is defined in Section 11.3.

“Ownership Interest” means all forms of legal or beneficial ownership or Control of entities or property, including the following: stock, partnership, membership, joint tenancy, leasehold, proprietorship, trust, beneficiary, proxy, power-of-attorney, option, warrant, and any other interest that evidences ownership or Control, whether direct or indirect (unless otherwise specified).

“Passive Investor Interests” means non-Controlling Ownership Interests in Franchisee.

“Periodic Renovations” is defined in Section 4.3.

“Person” means an individual (and the heirs, executors, administrators or other legal representatives of an individual), a partnership, a joint venture, a firm, a company, a corporation, a governmental department or agency, a trustee, a trust, an unincorporated organization or any other legal entity.

“Plans” means construction documents, including a site plan and architectural, mechanical, electrical, civil engineering, plumbing, landscaping and interior design drawings and specifications.

“Product Quality Standards” means those quality requirements for the design of Hotel Improvements and such other information for planning, constructing or renovating and furnishing a System Hotel, including the Electronic Systems, fire protection systems and life safety components of the Hotel.

“Program Services Contribution” means the amount charged by Franchisor to the Hotel for Program Services.

“Program Services Fund” means money collected by Franchisor for Program Services.

“Program Services” is defined in Section 3.7.A.

“Property Management System” means all property management systems (including all Software, Hardware and electronic access) designated by Franchisor for use in the front office, back-of-the-office or other operations of System Hotels.

“Proprietary Marks” means any Marks, whether owned currently by Franchisor or any of its Affiliates or later developed or acquired, that are used or registered by Franchisor or one of its Affiliates, or by usage are associated with one or more System Hotels. The term “Proprietary Marks” does not include the Franchisee Marks.

“Prospectus” means any registration statement, memorandum, offering document, or similar document for the sale or transfer of an Ownership Interest.

“Public Facilities” means the lobby areas, meeting rooms, convention or banquet facilities, restaurants, bars, lounges, corridors and other similar facilities at the Hotel.

“Qualified Person” means a Person that meets Franchisor’s then-current owner or management company qualifications, as the case may be, including that such Person or any of its Interestholders or their respective Affiliates: has not been convicted of a Serious Crime; is not a Competitor or a Restricted Person or a Person that receives funding from a Restricted Person; has not engaged in conduct that may adversely affect the Hotel, the System, or Franchisor; and has not been a party to any material civil litigation with Franchisor or its Affiliates.

“Quality Assurance Program” means the program that Franchisor uses to monitor guest satisfaction and the operations, facilities and services at System Hotels.

“Reasonable Business Judgment” is defined in Section 27.3.A.

“Reservation System” means any reservation system designated by Franchisor for System Hotels (including Software, Hardware and related electronic access).

“Reserve” is defined in Section 4.3.B.

“Restricted Person” means a Person: (a) that is identified by any government or legal authority as a Person with whom Franchisor or its Affiliates are prohibited or restricted from transacting business, including: (i) any Person on the Office of Foreign Assets Control List of Specially Designated Nationals and Blocked Persons, under resolutions or sanctions-related lists maintained by the United Nations Security Council, or under the E.U. Consolidated Financial Sanctions; and (ii) any Person ordinarily resident, incorporated, or located in any country or territory subject to comprehensive U.S. or E.U. sanctions, or owned or Controlled by, or acting on behalf of, the government of any such country or territory; or (b) that is an Affiliate of or Controlled by, or in which 10% or more of the Ownership Interests are held by, any Person identified in clause (a).

“Restricted Territory” is defined in Item 9 of Exhibit A.

“Sales Agent” means a Person who acts on behalf of Franchisee for: (i) Inventory Management; (ii) booking reservations at the Hotel or other booking activities, including accessing the Reservation System; or (iii) sales activities, including arranging group sales.

“Security Incident” means the accidental, unauthorized or unlawful destruction, loss, damage, alteration, use, disclosure of, acquisition of, or access to, Guest Personal Data.

“Serious Crime” means a crime punishable by either or both: (i) imprisonment of one year or more; or (ii) payment of a fine or penalty of \$10,000 (or the foreign currency equivalent) or more.

“Similar Marks” is defined in Section 11.2.A.6.

“Soft Goods” means wall and floor coverings, window treatments, carpeting, bedspreads, lamps, artwork, decorative items, pictures, wall decorations, upholstery, textile, fabric, vinyl and similar items used in the Hotel.

“Software” means all computer software (including all future upgrades and modifications) and related documentation provided by Franchisor or designated suppliers for the Electronic Systems.

“Standards” means Franchisor’s manuals, procedures, systems, guides, programs (including the Quality Assurance Program), requirements, directives, specifications, Product Quality Standards, and such other information and initiatives for operating System Hotels.

“System” means the Standards, Intellectual Property, the Electronic Systems, the Loyalty Programs, the Marketing Fund Activities, Additional Marketing Programs, Marketing Materials, training programs, and other elements that Franchisor or its Affiliates have designated for System Hotels.

“System Hotel” means a hotel operated by Franchisor, an Affiliate of Franchisor, or a franchisee or licensee of Franchisor or its Affiliates under the trade name(s) identified in Item 1 of Exhibit A in any of the 50 States of the United States of America, the District of Columbia and Canada, and excludes any other Franchisor Product or other business operation.

“Taxes” means taxes, levies, imposts, duties, fees, charges or liabilities imposed by any governmental authority, including any interest, additions to tax or penalties applicable to any of the foregoing.

“Term” is defined in Section 2.1.

“Transfer” means any absolute or conditional sale, conveyance, transfer, assignment, exchange, lease or other disposition.

“Travel Costs” means all travel, food and lodging, living, and other out-of-pocket costs.

“Travel Management Companies” means travel agencies, online travel agencies, group intermediaries, wholesalers, concessionaires, and other similar travel companies.

“Uniform System” means the Uniform System of Accounts for the Lodging Industry, Eleventh Revised Edition, 2014, as published by the Hospitality Financial and Technology Professionals, or any later edition, revision or replacement that Franchisor designates.

“Vacation Club Products” means timeshare, fractional, interval, vacation club, destination club, vacation membership, private membership club, private residence club, and points club products, programs and services and includes other forms of products, programs and services where purchasers acquire an ownership interest, use or other rights to use determinable leisure units on a periodic basis and pay in advance for such ownership interest, use or other right.

“Yield Management System” means any yield management system (including all Software, Hardware and electronic access) designated by Franchisor for use by System Hotels.

EXHIBIT C
NEW DEVELOPMENT

Franchisee acknowledges that the Hotel is to be newly developed and constructed at the Approved Location under the terms of this Exhibit C and Section 4.4.

1. Construction of the Hotel.

A. *Construction Start Deadline.* By the date stated in Item 13 of Exhibit A (the “Construction Start Deadline”), Franchisee will have (a) obtained written long term and construction financing commitments; (b) entered into a construction contract; (c) obtained zoning clearances, ingress and egress permits, and building permits in accordance with the approved Plans; and (d) excavated or started excavation for foundations or underground utilities. Within 10 days after the date Franchisee has commenced construction, Franchisee will notify Franchisor that it has satisfied the above conditions. If requested, Franchisee will deliver evidence that such conditions have been met.

B. *Opening Deadline.* Franchisee will complete construction and furnish the Hotel in accordance with the approved Plans, the Standards and the Marriott Agreements so that the Opening Date occurs by the date stated in Item 14 of Exhibit A (the “Opening Deadline”).

C. *Extensions.* Time is of the essence, but if Franchisee wishes to extend the Construction Start Deadline or the Opening Deadline, Franchisee will make a written request giving the reasons for the delay. If the delay is caused by a Force Majeure Event (excluding, for the avoidance of doubt, unavailability of financing), Franchisor will equitably extend such deadlines. If the delay is not caused by a Force Majeure Event, Franchisor may, in its sole discretion, extend such deadlines and require Franchisee to pay its then-current extension fee. The extension fee will be paid to Franchisor with the request for the extension and is nonrefundable unless Franchisor declines to grant the requested extension. No extension under this Section 1.C will be granted for more than six months.

D. *Permits and Certifications.* Franchisee will obtain all permits and certifications required for lawful construction and operation of the Hotel, including zoning, access, sign, building permits and fire requirements and, if requested, will certify that it has obtained all such permits and certifications.

E. *Compliance.* Franchisee will ensure that the Hotel complies with Applicable Law, the Design and the Standards, including the Product Quality Standards and the fire protection and life safety Standards (even if such Standards exceed local code requirements).

F. *Franchisee’s Responsibilities.* Franchisee is responsible for the entire cost of constructing, equipping, supplying and furnishing the Hotel as a System Hotel.

G. *Site Visits.* During construction, Franchisor’s representatives may visit the job site at any time to observe the work, and Franchisee, its contractors and subcontractors will cooperate fully with any such site visits. Upon request, Franchisee will submit photos showing the progress of construction to Franchisor. Franchisor may submit any deficiencies or discrepancies to Franchisee, and Franchisee will promptly correct such items.

2. Opening Date. Without Franchisor’s prior approval, Franchisee will not advertise, promote or operate the Hotel as a System Hotel until:

A. The Hotel has been completed in accordance with the Plans, the Standards and the Marriott Agreements, as determined by Franchisor in its sole discretion. Franchisor may require

Franchisee to deliver an architect's certification that the Hotel has been completed in accordance with the Plans and a copy of the certificate of occupancy for the Hotel;

B. Franchisee delivers a certificate from its licensed architect, engineer or recognized expert consultant on Accessibility Requirements in the form attached to this Exhibit C as Attachment Two;

C. Franchisee has installed all FF&E, Electronic Systems and other items and equipment for opening the Hotel as a System Hotel, including Fixed Asset Supplies and Inventories, and all is in working order;

D. Franchisee has employed a general manager and department managers, and they have successfully completed Franchisor's training programs;

E. Franchisee and its Affiliates have paid all amounts due Franchisor and its Affiliates;

F. Franchisee has complied with the insurance requirements of this Agreement;

G. Franchisee has retained Franchisor and paid Franchisor the then-current testing and inspection fee to test and inspect the fire protection and life safety systems of the Hotel, and such testing and inspection verifies the Hotel complies with Franchisor's fire protection and life safety Standards and the fire protection and life safety systems of the Hotel are operational. If the Hotel meets certain criteria determined by Franchisor, instead of retaining Franchisor, Franchisee may deliver a certification in the form attached to this Exhibit C as Attachment Three that verifies the Hotel complies with Franchisor's fire protection and life safety Standards and the fire protection and life safety systems of the Hotel are operational. Any such certification must be issued by a third-party licensed fire protection engineer, engineer, or recognized expert consultant on fire and life safety requirements that has been approved by Franchisor. Franchisor may require that such certification be issued by a party that has not participated in the design of the fire protection and life safety systems of the Hotel;

H. Franchisee has notified Franchisor that all requirements for construction, furnishing and opening the Hotel have been completed and the Hotel is ready to open as a System Hotel; and

I. Franchisor has granted approval to open and operate the Hotel as a System Hotel and established the Opening Date in a letter agreement signed by Franchisor and Franchisee or its general manager in the form attached to this Exhibit C as Attachment One. If Franchisor establishes an Opening Date but the letter agreement provides for additional construction, upgrading, renovation, or training (the "Additional Work"), Franchisee will be authorized to use the System and identify the Hotel as a System Hotel only for such time as Franchisee is diligently completing the Additional Work. Failure to timely complete the Additional Work is a default under this Agreement. Franchisor may review any Additional Work, and Franchisee must ensure that the Hotel complies with all requirements of Franchisor following such review. Franchisee, its contractors and subcontractors must cooperate fully with any inspections conducted by Franchisor. If any site visits and inspections are necessary to ensure the Hotel complies with the Additional Work requirements, Franchisor may charge its then-current fee for the additional time spent inspecting the Hotel plus Travel Costs. If Franchisor determines an additional test and inspection of the fire protection systems or life safety components of the Hotel is necessary, Franchisor may charge Franchisee its then-current fee for such site visits and inspections.

3. Inspection of the Hotel. Franchisor will use its commercially reasonable efforts to inspect the Hotel within 20 days after receipt of the notice specified in Section 2.H of this Exhibit C to determine

whether Franchisee has satisfied all the requirements for opening the Hotel as a System Hotel; however, Franchisor will not be liable for delays or loss caused by Franchisor's inability to complete an inspection within such time period. If at any time Franchisor determines any additional testing and inspection of the Hotel's fire protection and life safety systems are necessary, Franchisor may require that Franchisee comply with the first sentence of Section 2.G of this Exhibit C.

4. Opening Team. Franchisor will provide an opening team to assist in the opening of the Hotel as a System Hotel and to train the Hotel employees. The team members will remain at the Hotel for such time as Franchisor deems appropriate to open the Hotel as a System Hotel. Franchisee will pay Franchisor's costs associated with providing such assistance, including Travel Costs.

5. Opening Advertising. Franchisee will conduct an opening advertising and marketing campaign that complies with the Standards.

6. Parking. If the number of dedicated parking spaces at the Hotel does not comply with the Standards, Franchisee will secure at a location approved by Franchisor as many nearby parking spaces as necessary to comply with the Standards (or such lesser amount as Franchisor agrees to in writing). If such nearby parking spaces are not available for use exclusively by Hotel guests and Franchisor determines that inadequate parking has negatively affected guest satisfaction at the Hotel, Franchisor reserves the right to require that Franchisee (i) secure additional parking spaces that will be used exclusively by Hotel guests or (ii) provide valet parking for vehicles of Hotel guests 24 hours a day, 7 days a week and secure a sufficient number of parking spaces in the vicinity of the Hotel to park such vehicles. Any parking alternatives must be approved by Franchisor and operated and maintained in a condition and at all times in a manner consistent with the high standards of quality and service of the Hotel and the System and will be considered part of the Hotel, including for purposes of insurance and indemnification.

7. Access Easement. If Franchisor determines that it is necessary or advisable for Franchisee to secure one or more access easements across adjacent property to have the right to use driveways, drive aisles or sidewalks for pedestrian and vehicular ingress and egress, Franchisee agrees to (i) secure such easements (and the right to display signage approved by Franchisor directing traffic across the property that is subject to the easement) where indicated in the final Plans approved by Franchisor and (ii) maintain such easements and rights at all times during the Term. Franchisee also agrees to construct and maintain at all times during the Term the method of ingress and egress indicated in the final Plans, which will lead directly to the Hotel.

EXHIBIT C **CONVERSION**

Franchisee acknowledges that the Hotel is to be renovated under the terms of this Exhibit C and Section 4.4:

1. **Property Improvement Plan.**

A. *Property Improvement Plan.* Based on a review of the Hotel, the property improvement plan prepared by Franchisor in Attachment Three outlines the conversion renovation requirements for the Hotel to become a System Hotel (the “PIP”). All such requirements must be completed by the Opening Date, unless otherwise noted in the PIP with respect to a particular requirement. All renovations, furniture, fixtures and equipment will conform to the then-current System specifications at the time such work is completed.

B. *Material Change Review.* If any material changes to the Hotel occur after the date stated in Item 19 of Exhibit A, then Franchisor may re-inspect the Hotel (“Material Change Review”) and modify the PIP to address such material changes. Franchisee will complete the modified PIP, including any additional requirements, to Franchisor’s satisfaction. Franchisee and its contractors will cooperate fully with any inspections Franchisor conducts under a Material Change Review.

2. **Conversion Renovation of the Hotel.**

A. *Construction Start Deadline.* By the date stated in Item 13 of Exhibit A (the “Construction Start Deadline”), Franchisee will have: (i) obtained written financing commitments for the PIP if necessary; (ii) obtained building permits in accordance with the approved Plans; and (iii) begun conversion renovation. Within 10 days after it has commenced the conversion renovation, Franchisee will notify Franchisor that it has satisfied the above conditions. If requested, Franchisee will deliver evidence that such conditions have been met.

B. *Opening Deadline.* Franchisee will complete the conversion renovation and furnish the Hotel in accordance with the approved Plans, the Standards and the Marriott Agreements so that the Opening Date occurs by the date stated in Item 14 of Exhibit A (the “Opening Deadline”).

C. *Extensions.* Time is of the essence, but if Franchisee wishes to extend the Construction Start Deadline or the Opening Deadline, Franchisee will make a written request giving the reasons for the delay. If the delay is caused by a Force Majeure Event (excluding, for the avoidance of doubt, unavailability of financing), Franchisor will equitably extend such deadlines. If the delay is not caused by a Force Majeure Event, Franchisor may, in its sole discretion, extend such deadlines and require Franchisee to pay its then-current extension fee. The extension fee will be paid to Franchisor with the request for the extension and is nonrefundable unless Franchisor declines to grant the requested extension. No extension under this Section 2.C will be granted for more than six months.

D. *Permits and Certifications.* Franchisee will obtain all permits and certifications required for lawful renovation and operation of the Hotel, including zoning, access, sign, building permits and fire requirements, and if requested, will certify that it has obtained all such permits and certifications.

E. *Compliance.* Franchisee will ensure that the Hotel complies with Applicable Law, the Design and the Standards, including the Product Quality Standards and the fire protection and life safety Standards (even if such Standards exceed local code requirements).

F. *Franchisee's Responsibilities.* Franchisee is responsible for the entire cost of renovating, equipping, supplying and furnishing the Hotel as a System Hotel.

G. *Site Visits.* During conversion renovation, Franchisor's representatives may visit the job site at any time to observe the work, and Franchisee, its contractors and subcontractors will cooperate fully with any such site visits. Upon request, Franchisee will submit photos showing the progress of renovation to Franchisor. Franchisor may submit any deficiencies or discrepancies to Franchisee, and Franchisee will promptly correct such items.

3. Opening Date. Without Franchisor's prior approval, Franchisee will not advertise, promote or operate the Hotel as a System Hotel until:

A. The Hotel has been renovated in accordance with the PIP, the Plans, Standards and the Marriott Agreements, as determined by Franchisor in its sole discretion. Franchisor may require Franchisee to deliver an architect's certification that the Hotel has been renovated in accordance with the PIP and the Plans and a copy of the certificate of occupancy for the Hotel;

B. Franchisee delivers a certificate from its licensed architect, engineer or recognized expert consultant on Accessibility Requirements in the form attached to this Exhibit C as Attachment Two;

C. Franchisee has installed all FF&E, Electronic Systems and other items and equipment for opening the Hotel as a System Hotel, including Fixed Asset Supplies and Inventories, and all is in working order;

D. Franchisee has employed a general manager and department managers, and they have successfully completed Franchisor's management training program;

E. Franchisee and its Affiliates have paid all amounts due Franchisor and its Affiliates;

F. Franchisee has complied with the insurance requirements of this Agreement;

G. Franchisee has retained Franchisor and paid Franchisor the then-current testing and inspection fee to test and inspect the fire protection and life safety systems of the Hotel, and such testing and inspection verifies the Hotel complies with Franchisor's fire protection and life safety Standards and the fire protection and life safety systems of the Hotel are operational;

H. Franchisee has notified Franchisor that the PIP has been completed and the Hotel is ready to open as a System Hotel; and

I. Franchisor has granted approval to open and operate the Hotel as a System Hotel and established the Opening Date in a letter agreement signed by Franchisor and Franchisee or its general manager in the form attached to this Exhibit C as Attachment One. If Franchisor establishes an Opening Date but the letter agreement provides for additional construction, upgrading, renovation, or training (the "Additional Work"), Franchisee will be authorized to use the System and identify the Hotel as a System Hotel only for such time as Franchisee is diligently completing the Additional Work. Failure to timely complete the Additional Work is a default under this Agreement. Franchisor may review any Additional Work, and Franchisee must ensure that the Hotel complies with all requirements of Franchisor following such review. Franchisee, its contractors and subcontractors must cooperate fully with any inspections conducted by Franchisor. If any site visits and inspections are necessary to ensure the Hotel complies with the Additional Work requirements, Franchisor may charge its then-current fee for the additional time

spent inspecting the Hotel plus Travel Costs. If Franchisor determines an additional test and inspection of the fire protection systems or life safety components of the Hotel is necessary, Franchisor may charge Franchisee its then-current fee for such site visits and inspections.

4. Inspection of the Hotel. Franchisor will use its commercially reasonable efforts to inspect the Hotel within 20 days after receipt of the notice specified in Section 3.H of this Exhibit C to determine whether Franchisee has satisfied all the requirements for opening the Hotel as a System Hotel; however, Franchisor will not be liable for delays or loss caused by Franchisor's inability to complete an inspection within such time period. If at any time Franchisor determines any additional testing and inspection of the Hotel's fire protection and life safety systems are necessary, Franchisor may require that Franchisee comply with Section 3.G of this Exhibit C.

5. Opening Team. Franchisor will provide an opening team to assist in the opening of the Hotel as a System Hotel and to train the Hotel employees. The team members will remain at the Hotel for such time as Franchisor deems appropriate to open the Hotel as a System Hotel. Franchisee will pay Franchisor's costs associated with providing such assistance, including Travel Costs.

6. Opening Advertising. Franchisee will conduct an opening advertising and marketing campaign that complies with the Standards.

7. Parking. If the number of dedicated parking spaces at the Hotel does not comply with the Standards, Franchisee will secure at a location approved by Franchisor as many nearby parking spaces as necessary to comply with the Standards (or such lesser amount as Franchisor agrees to in writing). If such nearby parking spaces are not available for use exclusively by Hotel guests and Franchisor determines that inadequate parking has negatively affected guest satisfaction at the Hotel, Franchisor reserves the right to require that Franchisee (i) secure additional parking spaces that will be used exclusively by Hotel guests or (ii) provide valet parking for vehicles of Hotel guests 24 hours a day, 7 days a week and secure a sufficient number of parking spaces in the vicinity of the Hotel to park such vehicles. Any parking alternatives must be approved by Franchisor and operated and maintained in a condition and at all times in a manner consistent with the high standards of quality and service of the Hotel and the System and will be considered part of the Hotel, including for purposes of insurance and indemnification.

8. Access Easement. If Franchisor determines that it is necessary or advisable for Franchisee to secure one or more access easements across adjacent property to have the right to use driveways, drive aisles or sidewalks for pedestrian and vehicular ingress and egress, Franchisee agrees to (i) secure such easements (and the right to display signage approved by Franchisor directing traffic across the property that is subject to the easement) where indicated in the final Plans approved by Franchisor and (ii) maintain such easements and rights at all times during the Term. Franchisee also agrees to construct and maintain at all times during the Term the method of ingress and egress indicated in the final Plans, which will lead directly to the Hotel.

**ATTACHMENT ONE
TO EXHIBIT C**

AUTHORITY TO OPEN LETTER

Date

[Franchisor]
10400 Fernwood Road
Bethesda, Maryland 20817

[Franchisee and address]

Attn: _____

Re: Authority to Open and Operate the [_____] Hotel located at [address] under the Franchise Agreement dated _____ (“Franchise Agreement”) between [Franchisor] and _____

Dear _____:

Congratulations! You are authorized and directed to open for business as a System Hotel at the address above (which address is the Approved Location) as of _____ (which date is the Opening Date).

The number of Guestrooms at the Hotel authorized by Franchisor as of the Opening Date is _____.
[The number of Guestrooms at the Hotel has increased by _____ Guestrooms since the date of the Franchise Agreement, and Franchisee must pay an expansion fee in the amount of \$ _____. Please send a check payable to [Franchisor] at the address above to the attention of: Franchise Development, Dept. _____.]

[The Hotel has not been completed to Franchisor’s specifications. However, based on your agreement to complete the work in Attachment A (the “work”) by the date(s) in that Attachment, Franchisor is willing to establish the Opening Date as an accommodation to you. The work must be completed to the satisfaction of Franchisor by no later than _____, or you will be in breach of the Franchise Agreement, which may result in suspending the Hotel from the Reservation System or termination of the Franchise Agreement.]

All terms used and not defined in this Letter have the meanings stated in the Franchise Agreement.

We wish you much success and thank you for your ongoing commitment to Marriott brands.

Respectfully submitted,

AGREED AND ACCEPTED:

FOR [FRANCHISOR]:

FOR FRANCHISEE:

By: _____(SEAL)
Name:
Title:

By: _____(SEAL)
Name:
Title:

**ATTACHMENT TWO
TO EXHIBIT C**

ADA CERTIFICATION

(to be completed by Franchisee's licensed architect, engineer or ADA consultant)

In connection with the [NAME AND LOCATION OF HOTEL] (the "Hotel"), I hereby certify to [FRANCHISEE] and to [FRANCHISOR] that:

[For an "historic hotel" insert: The Hotel [is eligible for listing in the National Register of Historic Places under the National Historic Preservation Act] [has been designated as historic under State or local law] [is a qualified historic building under the Uniform Federal Accessibility Standards] (an "historic hotel");]

I have used professionally reasonable efforts to ensure that the Hotel complies with the requirements of the Americans with Disabilities Act ("ADA") **[For an "historic hotel" insert: as applicable to an historic hotel]**, and all other related or similar state and local laws, regulations, and other requirements governing public accommodations for persons with disabilities in effect at the time that this certification is made; and

In my professional judgment, the Hotel does in fact comply with such requirements.

By: _____

Print Name: _____

Firm: _____

Date: _____

**ATTACHMENT THREE
TO EXHIBIT C**

FIRE & LIFE SAFETY CERTIFICATION

(to be completed by Franchisee's third-party licensed fire protection engineer, engineer or recognized fire and life safety consultant that has been approved by Franchisor)¹

In connection with the [NAME AND LOCATION OF HOTEL] (the "Hotel"), I hereby certify to [FRANCHISEE] and to [FRANCHISOR] that:

I have used professionally reasonable efforts to ensure that the Hotel complies with Marriott International, Inc.'s fire protection and life safety Standards in effect as of the [EFFECTIVE DATE OF FRANCHISE AGREEMENT]; and

In my professional judgment, the Hotel does in fact comply with such standards and the fire protection and life safety systems of the Hotel are operational.

By: _____

Print Name: _____

Firm: _____

Date: _____

¹ Franchisor may require that this certification be issued by a party that has not participated in the design of the fire protection and life safety systems of the Hotel.

**ATTACHMENT THREE
TO EXHIBIT C**

PROPERTY IMPROVEMENT PLAN

{See property improvement plan beginning on the following page}

EXHIBIT C
CHANGE OF OWNERSHIP

DRAFTING NOTE: Change references from “Franchise Agreement” on the cover page, table of contents, first page and signature page to “Relicensing Franchise Agreement,” and delete “Chain Acquisition,” “Construction Start Deadline,” “Opening Deadline” and “Restricted Territory” from Exhibit B.

In order for the Hotel to continue to operate as a System Hotel, the Agreement is modified by, and the Hotel is to be renovated under, the terms of this Exhibit C and Section 4.4.

1. Franchisee acknowledges that the following modifications are made to the Agreement:

A. “**Opening Date**” means _____. The reference to the Opening Date in the first sentence of Section 3.2, the first sentence of Section 3.7.A., the first sentence of Section 3.7.B., Section 13.3.A., and Section 13.3.B. is amended to be a reference to the Effective Date.

B. The following is added to Section 3.5:

“D. *Transition Accounting Period.* For the month in which the Effective Date occurs (the “Transition Accounting Period”), Franchisee and the previous owner or operator of the Hotel will allocate between themselves payment of amounts due Franchisor and its Affiliates for the entire month. However, in the event of a dispute between Franchisee and a previous owner or operator of the Hotel, Franchisee must pay all amounts invoiced by Franchisor or its Affiliates with respect to the operation of the Hotel for the entire Transition Accounting Period as though the term of this Agreement had begun on the first day of the Transition Accounting Period, less any amounts paid in respect of such invoices by the previous owner or operator of the Hotel. Franchisee acknowledges and agrees that any dispute between Franchisee and the previous owner or operator of the Hotel concerning the allocation of payments for the Transition Accounting Period will be no defense to Franchisee’s obligations pursuant to this Section 3.5.D.”

C. The following are added to Section 26.2:

“F. *NO ENDORSEMENT.* FRANCHISEE ACKNOWLEDGES THAT FRANCHISOR DID NOT APPROVE, RECOMMEND, ENDORSE OR PARTICIPATE IN ANY DECISIONS ABOUT THE TERMS OF ANY TRANSACTION UNDER WHICH FRANCHISEE ACQUIRED CONTROL OF THE HOTEL, INCLUDING THE PURCHASE PRICE, AND DID NOT COMMENT ON ANY FINANCIAL PROJECTIONS SUBMITTED TO FRANCHISEE.

G. *EXISTING AGREEMENTS.* FRANCHISEE AGREES TO BE BOUND BY ALL AGREEMENTS BETWEEN THE PRIOR FRANCHISEE OF THE HOTEL AND FRANCHISOR OR ITS AFFILIATES, SUCH AS LICENSE, SERVICE OR REVENUE MANAGEMENT AGREEMENTS AND ANY OTHER AGREEMENTS RELATING TO THE HOTEL.”

2. Franchisee represents and warrants that it has paid Franchisor’s outside legal counsel fees and costs incurred for the preparation and negotiation of the Marriott Agreements.

3. Property Improvement Plan.

A. *Property Improvement Plan.* Based on a review of the Hotel, the property improvement plan prepared by Franchisor attached to this Exhibit C as Attachment One outlines the renovation requirements for the Hotel to continue to operate as a System Hotel (the “PIP”). All renovations, furniture, fixtures and equipment will conform to the then-current System specifications at the time such work is completed. Completion of the PIP does not satisfy Franchisee’s obligation to renovate the Hotel under Section 4.3.

B. *Material Change Review.* If any material changes to the Hotel occur after the date stated in Item 19 of Exhibit A, then Franchisor may re-inspect the Hotel (“Material Change Review”) and modify the PIP to address such material changes. Franchisee will complete the modified PIP, including any additional requirements, to Franchisor’s satisfaction. Franchisee and its contractors will cooperate fully with any inspections Franchisor conducts under a Material Change Review.

C. *PIP Deadlines.* Franchisee will perform each item in the PIP by the date stated in the PIP with respect to such item. Time is of the essence, but if Franchisee wishes to extend the deadlines for completion of items in the PIP, Franchisee will make a written request giving the reasons for the delay. If the delay is caused by a Force Majeure Event (excluding for the avoidance of doubt, unavailability of financing), Franchisor will equitably extend such deadlines. If the delay is not caused by a Force Majeure Event, Franchisor may, in its sole discretion, extend such deadlines. For any extension, Franchisor may require Franchisee to pay its then-current extension fee. The extension fee will be paid to Franchisor with the request for the extension and is nonrefundable unless Franchisor declines to grant the requested extension. No extension under this Section 3.C will be granted for more than six months.

D. *Permits and Certifications.* Franchisee will obtain all permits and certifications required for lawful renovation and operation of the Hotel, including zoning, access, sign, building permits and fire requirements, and if requested, will certify that it has obtained all such permits and certifications.

E. *Compliance.* Franchisee will ensure that the Hotel complies with Applicable Law, the Design and the Standards, including the Product Quality Standards and the fire protection and life safety Standards (even if such Standards exceed local code requirements).

F. *Franchisee’s Responsibilities.* Franchisee is responsible for the entire cost of renovating, equipping, supplying and furnishing the Hotel as a System Hotel. Franchisee will not use any of the Reserve to pay for the PIP.

G. *Site Visits.* During renovation, Franchisor’s representatives may visit the job site at any time to observe the work, and Franchisee, its contractors and subcontractors will cooperate fully with any such site visits. Upon request, Franchisee will submit photos showing the progress of renovation to Franchisor. Franchisor may submit any deficiencies or discrepancies to Franchisee, and Franchisee will promptly correct such items. If any site visits and inspections are necessary to ensure the Hotel complies with the PIP, Franchisor may charge its then-current fee for the time spent inspecting the Hotel plus Travel Costs.

H. *Accessibility Certification.* Franchisee will not be deemed to have satisfied the requirements of the PIP until Franchisee delivers a certification from its architect, licensed professional engineer, or recognized expert consultant on Accessibility Requirements in the form attached to this Exhibit C as Attachment Two.

I. *Fire Protection and Life Safety Certification.* Franchisee will not be deemed to have satisfied the requirements of the PIP until Franchisee has retained Franchisor and paid Franchisor the then-current testing and inspection fee to test and inspect the fire protection and life safety systems of the Hotel, and such testing and inspection verifies the Hotel complies with Franchisor's fire protection and life safety Standards and the fire protection and life safety systems of the Hotel are operational.

J. *Completion.* Franchisee will not be deemed to have satisfied the requirements of the PIP until Franchisor has confirmed completion.

**ATTACHMENT ONE
TO EXHIBIT C**

PROPERTY IMPROVEMENT PLAN

All items must be completed within _____ months after the Effective Date, unless otherwise noted with respect to a particular item.

Insert PIP

**ATTACHMENT TWO
TO EXHIBIT C**

ADA CERTIFICATION

(to be completed by Franchisee's architect, engineer, or ADA consultant)

In connection with the [NAME AND LOCATION OF HOTEL] (the "Hotel"), I hereby certify to [FRANCHISEE] and to [FRANCHISOR] that:

[For an "historic hotel" insert: The Hotel [is eligible for listing in the National Register of Historic Places under the National Historic Preservation Act] [has been designated as historic under State or local law] [is a qualified historic building under the Uniform Federal Accessibility Standards] (an "historic hotel");]

I have used professionally reasonable efforts to ensure that the Hotel complies with the requirements of the Americans with Disabilities Act ("ADA") **[For an "historic hotel" insert: as applicable to an historic hotel]**, and all other related or similar state and local laws, regulations, and other requirements governing public accommodations for persons with disabilities in effect at the time that this certification is made; and

In my professional judgment, the Hotel does in fact comply with such requirements.

By: _____

Print Name: _____

Firm: _____

Date: _____

INSERT STATE AMENDMENT IF NECESSARY

GUARANTY

This Guaranty (“Guaranty”) is executed as of _____ (“Effective Date”) by the undersigned party or parties (“Guarantor”), for the benefit of «Franchisor_Licensors», a «Local_juris» «entity_type» (“Franchisor”).

In consideration of and as an inducement to Franchisor to execute the «brand» Franchise Agreement dated _____ (as such agreement may be amended, the “Agreement”), between Franchisor and «Franchise_Name», a/an «Fran_Domicili» «Fran_corp» (“Franchisee”), for the hotel located or to be located at «address», «city», «state» «zip», Guarantor agrees as follows:

1. Unconditional Guaranty. Guarantor unconditionally guarantees that all of Franchisee’s obligations under the Marriott Agreements will be punctually paid and performed. Upon failure by Franchisee to punctually pay or perform and notice from Franchisor, Guarantor will immediately make each payment and perform each obligation required by Franchisee under the Marriott Agreements. Franchisor may extend, modify or release any indebtedness or obligation of Franchisee, or settle, adjust or compromise any Claim against Franchisee without notice to Guarantor, and any such action will not affect the obligations of Guarantor under this Guaranty.

2. Waiver of Notices. Guarantor waives (i) notice of any amendment of any of the Marriott Agreements and (ii) notice of demand for payment or performance by Franchisee. Guarantor’s guarantee applies to any extension or renewal of any of the Marriott Agreements. Guarantor unconditionally and irrevocably waives notice of acceptance of this Guaranty, presentment, demand, diligence, protest and dishonor or of any other notice to which Guarantor otherwise might be entitled under Applicable Law.

3. Obligations of Guarantor.

A. *No Limitations.* The obligations of Guarantor under this Guaranty will not be reduced, limited, terminated, discharged, impaired or otherwise affected by (i) Franchisee’s failure to pay a fee or provide consideration to Guarantor for the issuance of this Guaranty; (ii) the occurrence or continuance of a default under any of the Marriott Agreements; (iii) any assignment of any of the Marriott Agreements; (iv) any amendment, waiver, consent or other action taken related to any Marriott Agreement, including any discounts or extensions of time for payment of any amounts due under any of Marriott Agreement or extensions of time for the performance of any obligation of Franchisee under any Marriott Agreement; (v) the voluntary or involuntary liquidation, sale or other disposition of all or any portion of Franchisee’s assets, or the receivership, insolvency, bankruptcy, reorganization or similar proceedings affecting Franchisee or its assets or the release or discharge of Franchisee from any of its obligations under any Marriott Agreement; or (vi) any change of circumstances, whether or not foreseeable, and whether or not any such change could affect the risk of Guarantor.

B. *Changes to the Marriott Agreements.* Any modifications, amendments, waivers or consents to the Marriott Agreements may be agreed to or granted without the approval or consent of Guarantor.

4. Payment and Performance. This Guaranty constitutes a guaranty of payment and performance and not of collection. Guarantor waives any right to require Franchisor to proceed, by way of set-off or otherwise, against (i) Franchisee; (ii) any assets of Franchisee; (iii) any assets of Franchisee held by any Person as security; or (iv) any other guarantor.

5. Preferences or Other Return Payments. This Guaranty will continue to be effective or be reinstated, as the case may be, if at any time payment under any of the Marriott Agreements is

rescinded or must otherwise be restored or returned by Franchisor due to the insolvency, bankruptcy or reorganization of Franchisee or Guarantor, all as though such payment had never been made.

6. Notices. All notices and other communications will be: (i) in writing; (ii) delivered by hand with receipt, or by courier service with tracking capability; and (iii) addressed as provided below or at any other address designated in writing by Guarantor. Any notice will be deemed received (i) when delivery is received or first refused, if delivered by hand or (ii) one day after posting of such notice, if sent via overnight courier.

7. Joint and Several Liability. If more than one Person has executed this Guaranty as a Guarantor, the liability of each Guarantor will be joint, several and primary.

8. Death of Guarantor. On the death of any individual Guarantor, the estate of such Guarantor will be bound by this Guaranty but only for defaults and obligations existing at the time of death. In such event, the obligations of any other Guarantors will continue in full force and effect.

9. Existence; Authorization; Prior Representations.

A. *Existence.* Each Guarantor that is not an individual represents and warrants that it: (i) is duly formed, validly existing and in good standing under the laws of the jurisdiction of its formation and (ii) has, and will continue to have, the ability to perform its obligations under this Guaranty.

B. *Authorization.* Each Guarantor represents and warrants that the execution and delivery of this Guaranty and the performance of its obligations under this Guaranty: (i) have been duly authorized; (ii) do not and will not violate, contravene or result in a default or breach of (a) any Applicable Law, (b) its governing documents or (c) any agreement, commitment or restriction binding on the relevant party; and (iii) do not require any consent that has not been properly obtained by the relevant party.

C. *Prior Representations.* Guarantor represents and warrants that all of the information in the application and provided in the Marriott Agreements was true as of the time made and is true as of the Effective Date, regardless of whether such representations and warranties were provided by Franchisee or another Person.

D. *Restricted Persons.* Guarantor represents and warrants, and will ensure throughout the Term, that neither Guarantor nor any of its funding sources is a Restricted Person.

10. Governing Law; Arbitration; Jurisdiction.

A. *Governing Law.* This Guaranty will be construed under and governed by Maryland law, which law will prevail if there is any conflict of law.

B. *Arbitration.*

1. Except as otherwise agreed in this Guaranty and for Claims for indemnification under Section 14 of the Agreement or actions for injunctive or other equitable relief under Section 24.2 of the Agreement, any disagreement, controversy, or Claim relating to or arising out of this Guaranty, the relationship created by this Guaranty, or the enforceability of this Guaranty, including any question regarding its existence, validity, legality or termination, and any claim regarding a breach or enforcement of this Guaranty (each, a “Dispute”), will be referred to, and finally settled by, arbitration

under and in accordance with the Commercial Arbitration Rules of the American Arbitration Association (or any similar successor rules). The arbitrator(s) will be appointed in accordance with such rules. The number of arbitrators will be one, unless the parties agree otherwise in accordance with such rules. The place where arbitration proceedings will be conducted is Baltimore, Maryland. The party bringing the arbitration will submit the following together with any demand or filing required by the American Arbitration Association: (1) a full and specific description of the claim under this Guaranty including identifying the specific provisions that the other party has breached, (2) documentary evidence of the facts alleged by the complaining party, and (3) a declaration under penalty of perjury that all facts stated in the claim and documentation are true and correct and do not fail to state facts known to the complaining party that are material to the determination of the dispute.

2. The decision of the arbitral tribunal will be final and binding on the parties and will be enforceable in any courts having jurisdiction. The arbitral tribunal will have no authority to amend or modify the terms of this Guaranty. The arbitral tribunal will have the right to award or include in its award any relief it deems proper, including money damages and interest on unpaid amounts, specific performance and legal fees and costs in accordance with this Guaranty; however, the arbitral tribunal may not award punitive, consequential or exemplary damages (except for those related to misuse of Franchisor's Intellectual Property). The costs and expenses of arbitration will be allocated and paid by the parties as determined by the arbitral tribunal.

3. Any arbitration proceeding under this Guaranty will be conducted on an individual (not a class-wide) basis and will not be consolidated with any other arbitration proceedings to which Franchisor is a party, except that Franchisor may join any current or former guarantor of any obligations with respect to the Hotel in any such proceeding. Any Dispute to be settled by arbitration under this Section will at the request of any party to, or beneficiary of, this Guaranty be resolved in a single arbitration before a single tribunal together with any Dispute arising out of or relating to any other agreement between such parties or Franchisor's Affiliates. A decision on a matter in another arbitration proceeding will not prevent a party from submitting evidence with respect to a similar matter or prevent the arbitral tribunal from rendering an independent decision without regard to such decision in such other arbitration proceeding.

4. Any party to or beneficiary of this Guaranty may, without waiving any rights, seek from a court having jurisdiction any interim or provisional relief that may be necessary to protect its rights or property (including, without limitation, any aspect of the System, or any reason concerning the safety of the Hotel or the health and welfare of any of the Hotel's guests, invitees or employees).

C. *Jurisdiction.* Guarantor expressly and irrevocably submits to the non-exclusive jurisdiction of the courts of the State of Maryland for the purpose of any Disputes that are not required to be subject to arbitration under Section 10.B. So far as is permitted under Maryland law, this consent to personal jurisdiction will be self-operative.

11. Costs of Enforcement. Guarantor agrees to pay all costs, including reasonable legal fees, incurred by Franchisor and its Affiliates to enforce or protect any rights or to collect any amounts due under this Guaranty or any other Marriott Agreement.

12. WAIVER OF PUNITIVE DAMAGES. EACH OF GUARANTOR AND, BY ACCEPTANCE OF THIS GUARANTY, FRANCHISOR ABSOLUTELY, IRREVOCABLY AND UNCONDITIONALLY WAIVES THE RIGHT TO CLAIM OR RECEIVE PUNITIVE DAMAGES IN ANY DISPUTE RELATED TO THIS GUARANTY, THE RELATIONSHIP OF THE PARTIES OR ANY ACTIONS OR OMISSIONS IN CONNECTION WITH ANY OF THE ABOVE, OTHER THAN

FRANCHISOR'S RIGHTS AND REMEDIES RELATED TO FRANCHISOR'S INTELLECTUAL PROPERTY.

13. WAIVER OF JURY TRIAL. EACH OF GUARANTOR AND, BY ACCEPTANCE OF THIS GUARANTY, FRANCHISOR ABSOLUTELY, IRREVOCABLY AND UNCONDITIONALLY WAIVES TRIAL BY JURY IN ANY DISPUTE RELATED TO THIS GUARANTY, THE RELATIONSHIP OF THE PARTIES OR ANY ACTIONS OR OMISSIONS IN CONNECTION WITH THE ABOVE.

14. Counterparts. This Guaranty may be executed in any number of counterparts, each of which will be deemed an original and all of which constitute one and the same instrument. Delivery of an electronic signature or an executed signature page by electronic transmission is as effective as delivery of an original signed counterpart. Guarantor waives any defenses to the enforceability of the terms of this Guaranty based on the foregoing forms of signature.

15. Definitions. All capitalized terms not defined in this Guaranty have the meaning stated in the Agreement.

16. Waiver. Franchisor's failure to exercise any right or to insist on compliance by Guarantor with any provision of this Guaranty will not constitute a waiver of Franchisor's right to demand later full compliance with any provision of this Guaranty.

17. Amendments. This Guaranty may only be amended in a written document that has been duly executed by Guarantor and acknowledged and agreed to by Franchisor, and may not be amended by conduct manifesting assent, and each of Franchisor and Guarantor is put on notice that any individual purporting to amend this Guaranty by conduct manifesting assent is not authorized to do so.

{Signatures appear on the following page}

IN WITNESS WHEREOF, Guarantor has executed this Guaranty, under seal, as of the Effective Date.

GUARANTOR:

_____ (SEAL)

ADDRESS FOR NOTICES:

MANAGEMENT COMPANY ACKNOWLEDGMENT

This Management Company Acknowledgment (this “Acknowledgment”) is executed on _____ (“Execution Date”) and is effective as of _____ (“Effective Date”) by «Franchisor_Licensors», a «Local_juris» «entity_type» (“Franchisor”), «Franchise_Name», a/an «Fran_Domicili» «Fran_corp» (“Franchisee”), and «manager_Name», a/an «Manager_Domicili» «Manager_Type» (“Management Company”).

RECITAL

Management Company has entered into an agreement (“Management Agreement”) with Franchisee to operate the hotel located or to be located at «address», «city», «state» «zip» (the “Hotel”), under the «brand» Franchise Agreement dated _____ (as such agreement may be amended, the “Agreement”) between Franchisor and Franchisee.

NOW, THEREFORE, in consideration of the promises in this Acknowledgment and other good and valuable consideration, the receipt and sufficiency of which are acknowledged, the parties agree as follows:

1. Franchisor’s Consent.

A. *Consent and Grant.* As of the Effective Date, Franchisor consents to the operation of the Hotel by Management Company on behalf of Franchisee and grants to Management Company the right to use the System to operate the Hotel in compliance with the Standards, this Acknowledgment and the Agreement. Franchisor’s consent is personal to Management Company, and this Acknowledgment is not assignable by Franchisee or Management Company. Such consent and grant will terminate without notice to Management Company on: (i) the expiration or termination of the Agreement; (ii) the effectiveness of a subsequent management company acknowledgment executed with respect to the Hotel by Franchisor, Franchisee and another management company; or (iii) the effective date of Franchisor’s consent to the operation of the Hotel by Franchisee in an amendment to the Agreement.

B. *Withdrawal of Consent.* If (i) any of the circumstances in Section 8.1.C of the Agreement occur, (ii) there is a breach of any provision of the Agreement related to or caused by Management Company, or (iii) Management Company does not satisfy any Additional Conditions, Franchisor may withdraw its consent for Management Company to operate the Hotel and require Franchisee to retain a replacement management company as provided in the Agreement.

2. **Management Company Representations.** Management Company represents and warrants to Franchisor that: (i) neither it nor any Person that controls Management Company has been convicted of a Serious Crime; (ii) neither Management Company nor any Affiliate of Management Company is a Competitor; (iii) the Management Agreement is valid, binding and enforceable, contains no terms that may cause a breach of the Agreement and is for a term of not less than five years; and (iv) neither Management Company nor any Affiliate of Management Company is, nor will be as long as this Acknowledgment remains in effect, a Restricted Person.

3. **Management Company and Franchisee Acknowledgments.** Management Company and Franchisee acknowledge that:

A. Management Company will have the exclusive authority and responsibility for the day-to-day management of the Hotel on behalf of Franchisee, and will have sufficient authority and

responsibility over Hotel employees to operate the Hotel in compliance with the Standards, the Agreement and this Acknowledgment. The general manager of the Hotel will devote his or her full time and attention to the management and operation of the Hotel and will have successfully completed Franchisor's mandatory management training program required by the Standards. Management Company will promptly inform Franchisor whenever it hires a general manager;

B. Management Company will operate the Hotel in strict compliance with the Standards. Management Company will comply with the terms of the Agreement for the management and operation of the Hotel, including those related to Intellectual Property, as if Management Company had executed the Agreement as "Franchisee." Management Company, however, will have no rights under the Agreement except as stated in this Acknowledgment and such rights do not constitute a franchise or license to Management Company. If Franchisee delegates the insurance obligations under the Agreement to Management Company, Management Company will satisfy such obligations. Management Company will comply with Applicable Law;

C. Franchisor may enforce directly against Management Company all terms in the Agreement regarding Intellectual Property and the management and operation of the Hotel (including insurance, if such obligations have been delegated to Management Company). Franchisor will have the right to seek and obtain all remedies against the Management Company available at law and in equity for Management Company's failure to comply with the terms of this Acknowledgment, in addition to any remedies Franchisor may have against Franchisee;

D. Management Company assigns, and will cause each of its employees or independent contractors who contributed to System modifications to assign, to Franchisor, in perpetuity throughout the world, all rights, title and interest (including the entire copyright and all renewals, reversions and extensions of such copyright) in and to such System modifications. Except to the extent prohibited by Applicable Law, Management Company waives, and will cause each of its employees or independent contractors who contributed to System modifications to waive, all "moral rights of authors" or any similar rights in such System modifications (for purposes of this Section 3, "modifications" includes any derivatives and additions);

E. Management Company will execute or cause to be executed and deliver to Franchisor, any documents, and take any actions required by Franchisor to protect the title in any System modifications;

F. Any default under the Agreement caused solely by Management Company will constitute a default under the Management Agreement, and Franchisee will have the right to terminate the Management Agreement;

G. Franchisee and Management Company will not modify the Management Agreement in any way that is inconsistent with the Agreement or this Acknowledgment;

H. Franchisee will not allow the Management Agreement to expire or terminate the Management Agreement without (i) providing Franchisor prior notice of such expiration or termination, together with the identity of a qualified replacement management company, and (ii) obtaining Franchisor's prior consent at least 45 days before any change is made to the management company operating the Hotel, unless Franchisee needs to remove Management Company on an expedited basis due to theft, fraud or other material defaults of Management Company or a default under the Agreement caused by Management Company; and

I. Management Company will perform the day-to-day operations of the Hotel. Franchisor may communicate directly with Management Company and the managers at the Hotel about day-to-day operations of the Hotel and Franchisor may rely on such statement of the managers and the Management Company. Franchisor will under no circumstances direct or control such Hotel operations.

4. Existence. Each party represents and warrants that it: (i) is duly formed, validly existing, and in good standing under the laws of the jurisdiction of its formation; and (ii) has and will continue to have the right and the ability to perform its obligations under this Acknowledgment as long as this Acknowledgment remains in effect.

5. Authorization. Each party represents and warrants that the execution and delivery of this Acknowledgment and the performance of its obligations under this Acknowledgment: (i) have been duly authorized, (ii) do not and will not violate, contravene or result in a default or breach of (a) any Applicable Law, (b) its governing documents or (c) any agreement, commitment or restriction binding on the relevant party; and (iii) do not require any consent that has not been properly obtained by the relevant party.

6. Controlling Agreement. If any provision of the Agreement or this Acknowledgment conflicts with the Management Agreement, the provision of the Agreement or this Acknowledgment will control.

7. No Release. Franchisee will remain responsible for the performance of all obligations under the Agreement. This Acknowledgment will not release Franchisee from any liability or obligation under the Agreement.

8. Definitions. All capitalized terms not defined in this Acknowledgment have the meaning stated in the Agreement.

9. Counterparts. This Acknowledgment may be executed in any number of counterparts, each of which will be deemed an original and all of which constitute one and the same instrument. Delivery of an electronic signature or an executed signature page by electronic transmission is as effective as delivery of an original signed counterpart. Each party hereto waives any defenses to the enforceability of the terms of this Acknowledgment based on the foregoing forms of signature.

10. Governing Law; Arbitration; Jurisdiction.

A. *Governing Law.* This Acknowledgment will be construed under and governed by Maryland law, which law will prevail if there is any conflict of law.

B. *Arbitration.*

1. Except as otherwise agreed in this Acknowledgment and for Claims for indemnification under Section 14 of the Agreement or actions for injunctive or other equitable relief under Section 14 of this Acknowledgment, any disagreement, controversy, or Claim relating to or arising out of this Acknowledgment, the relationship created by this Acknowledgment, or the enforceability of this Acknowledgment, including any question regarding its existence, validity, legality or termination, and any claim regarding a breach or enforcement of this Acknowledgment (each, a “Dispute”), will be referred to, and finally settled by, arbitration under and in accordance with the Commercial Arbitration Rules of the American Arbitration Association (or any similar successor rules). The arbitrator(s) will be appointed in accordance with such rules. The number of arbitrators will be one, unless the parties agree otherwise in accordance with such rules. The place where arbitration proceedings will be conducted is

Baltimore, Maryland. The party bringing the arbitration will submit the following together with any demand or filing required by the American Arbitration Association: (1) a full and specific description of the claim under this Acknowledgment including identifying the specific provisions that the other party has breached, (2) documentary evidence of the facts alleged by the complaining party, and (3) a declaration under penalty of perjury that all facts stated in the claim and documentation are true and correct and do not fail to state facts known to the complaining party that are material to the determination of the dispute.

2. The decision of the arbitral tribunal will be final and binding on the parties and will be enforceable in any courts having jurisdiction. The arbitral tribunal will have no authority to amend or modify the terms of this Acknowledgment. The arbitral tribunal will have the right to award or include in its award any relief it deems proper, including money damages and interest on unpaid amounts, specific performance and legal fees and costs in accordance with this Acknowledgment; however, the arbitral tribunal may not award punitive, consequential or exemplary damages (except for those related to misuse of Franchisor's Intellectual Property). The costs and expenses of arbitration will be allocated and paid by the parties as determined by the arbitral tribunal.

3. Any arbitration proceeding under this Acknowledgment will be conducted on an individual (not a class-wide) basis and will not be consolidated with any other arbitration proceedings to which Franchisor is a party, except that Franchisor may join any current or former management company operating the Hotel in any such proceeding. Any Dispute to be settled by arbitration under this Section will at the request of any party to this Acknowledgment be resolved in a single arbitration before a single tribunal together with any Dispute arising out of or relating to any other agreement between such parties or Franchisor's Affiliates. A decision on a matter in another arbitration proceeding will not prevent a party from submitting evidence with respect to a similar matter or prevent the arbitral tribunal from rendering an independent decision without regard to such decision in such other arbitration proceeding.

4. Any party to this Acknowledgment may, without waiving any rights, seek from a court having jurisdiction any interim or provisional relief that may be necessary to protect its rights or property (including, without limitation, any aspect of the System, or any reason concerning the safety of the Hotel or the health and welfare of any of the Hotel's guests, invitees or employees).

C. *Jurisdiction.* Management Company expressly and irrevocably submits to the non-exclusive jurisdiction of the courts of the State of Maryland for the purpose of any Disputes that are not required to be subject to arbitration under Section 10.B. So far as permitted under Maryland law, this consent to personal jurisdiction will be self-operative.

11. Management Company's Address. Management Company's mailing address is provided on the signature page. Management Company agrees to provide notice to both Franchisee and Franchisor if there is any change in Management Company's mailing address.

12. Partial Invalidity. If any term of this Acknowledgment, or its application to any Person or circumstance, is invalid or unenforceable at any time or to any extent, then (i) the remainder of this Acknowledgment, or the application of such term to Persons or circumstances other than those as to which it is held invalid or unenforceable, will not be affected and each term of this Acknowledgment will be valid and enforced to the fullest extent permitted by Applicable Law; and (ii) Franchisor, Franchisee and Management Company will negotiate in good faith to modify this Acknowledgment to implement their original intent as closely as possible in a mutually acceptable manner.

13. No Third-Party Beneficiary. Nothing in this Acknowledgment is intended to create any third-party beneficiary or give any rights or remedies to any Person other than Franchisor and its permitted successors and assigns.

14. Equitable Relief. Franchisor is entitled to injunctive or other equitable relief, including restraining orders and preliminary injunctions, in any court of competent jurisdiction for any threatened or actual material breach of this Acknowledgment or non-compliance with the Standards. Franchisor is entitled to such relief without the necessity of proving the inadequacy of money damages as a remedy, without the necessity of posting a bond and without waiving any other rights or remedies.

15. WAIVER OF PUNITIVE DAMAGES. EACH OF MANAGEMENT COMPANY, FRANCHISEE AND FRANCHISOR ABSOLUTELY, IRREVOCABLY AND UNCONDITIONALLY WAIVES THE RIGHT TO CLAIM OR RECEIVE PUNITIVE DAMAGES IN ANY DISPUTE RELATED TO THE HOTEL, THIS ACKNOWLEDGMENT, THE RELATIONSHIP OF THE PARTIES OR ANY ACTIONS OR OMISSIONS IN CONNECTION WITH ANY OF THE ABOVE, OTHER THAN FRANCHISOR'S RIGHTS AND REMEDIES RELATED TO FRANCHISOR'S INTELLECTUAL PROPERTY.

16. WAIVER OF JURY TRIAL. EACH OF MANAGEMENT COMPANY, FRANCHISEE AND FRANCHISOR ABSOLUTELY, IRREVOCABLY AND UNCONDITIONALLY WAIVES TRIAL BY JURY IN ANY DISPUTE RELATED TO THE HOTEL, THIS ACKNOWLEDGMENT, THE RELATIONSHIP OF THE PARTIES OR ANY ACTIONS OR OMISSIONS IN CONNECTION WITH ANY OF THE ABOVE.

17. Costs of Enforcement. The prevailing party in any legal or equitable action related to the Hotel, this Acknowledgment or the other Marriott Agreements will recover its reasonable legal fees and costs, including fees and costs incurred in confirming and enforcing an award granted in an arbitration proceeding under this Acknowledgment. The prevailing party will be determined based upon an assessment of which party's arguments or positions could fairly be said to have prevailed over the other party's arguments or positions on major disputed issues in the arbitration or at trial, and should include an evaluation of the following: the amount of the net recovery; the primary issues disputed by the parties; whether the amount of the award comprises a significant percentage of the amount sought by the claimant; and the most recent settlement positions of the parties.

18. Entire Agreement. This Acknowledgment and the Marriott Agreements are fully integrated and contain the entire agreement between the parties as it relates to the Hotel and the Approved Location and supersede all prior understandings and writings.

19. Amendments. This Acknowledgment may only be amended in a written document that has been duly executed by the parties and may not be amended by conduct manifesting assent, and each party is put on notice that any individual purporting to amend this Acknowledgment by conduct manifesting assent is not authorized to do so.

20. Survival. The terms of Sections 3, 10, 12, 14, 15, 16, and 17 of this Acknowledgment, and, to the extent applicable to Management Company, those provisions of the Agreement that by their nature or express language survive expiration or termination of the Agreement, survive expiration or termination of this Acknowledgment.

{Signatures appear on the following page}

IN WITNESS WHEREOF, the parties have executed this Acknowledgment, under seal, as of the Execution Date.

FRANCHISOR:

«FRANCHISOR_LICENSOR»

By: _____ (SEAL)
Name:
Title:

FRANCHISEE:

«FRANCHISE_NAME»

By: _____ (SEAL)
Name:
Title:

MANAGEMENT COMPANY:

«MANAGER_NAME»

By: _____ (SEAL)
Name:
Title:

ADDRESS FOR MANAGEMENT COMPANY:

«Manager_Street»
«Manager_City», «Manager_State» «Manager_Zip»

ELECTRONIC SYSTEMS LICENSE AGREEMENT

This Electronic Systems License Agreement (this “License Agreement”) is executed on _____ (the “Effective Date”) between «Franchisor_Licensors» (“Franchisor”) and «Franchise_Name» (“Franchisee”).

RECITALS

A. As of the Effective Date, Franchisor and Franchisee have entered into a «brand» Franchise Agreement (the “Franchise Agreement”) to operate the Hotel located or to be located at «address», «city», «state» «zip» under the System.

B. Franchisee is required to use the Electronic Systems that are made available under this License Agreement for the operation of the Hotel under the Franchise Agreement.

NOW, THEREFORE, in consideration of the promises in this License Agreement and other good and valuable consideration, the receipt and sufficiency of which are acknowledged, Franchisor and Franchisee agree as follows:

1. Limited Grant. Franchisor grants to Franchisee a limited, non-exclusive license to use the Electronic Systems. Franchisee acknowledges that the Electronic Systems may be modified, enhanced, replaced or may become obsolete, and that new Electronic Systems may be created to meet the needs of the System and continual changes in technology.

2. Term. The term of this License Agreement begins on the Effective Date and ends on expiration or termination of the Franchise Agreement. For each Electronic System, the license begins on the date it is installed and ends on this License Agreement’s termination or when such Electronic System is no longer used as part of the System for operating the Hotel.

3. Ownership of the Electronic Systems. The Electronic Systems that are proprietary to Franchisor or third-party vendors, as applicable, will remain their sole property, and Franchisee will not contest such ownership.

4. Support Services. Franchisor will use commercially reasonable efforts to maintain and support the Electronic Systems (the “Support Services”) during the term of this License Agreement. The Support Services may be provided by Franchisor or third-party vendors.

5. Fees and Costs. Franchisee will pay the fees and costs for the Electronic Systems as provided in the Franchise Agreement.

6. Use of the Electronic Systems. Franchisee will use the Electronic Systems exclusively for operating the Hotel under the Franchise Agreement.

7. Confidentiality Obligations. Franchisee will treat the Electronic Systems as Confidential Information under the Franchise Agreement. Franchisee will ensure that only authorized Persons have access to the Electronic Systems and that the Electronic Systems are only used for their intended purpose. Franchisee will not, without the consent of Franchisor and any applicable third-party vendor, copy, reverse engineer, modify or provide unauthorized access to the Electronic Systems or any of its components. Franchisee will not attempt to disregard or circumvent any measures used by Franchisor to safeguard the Electronic Systems and the Intellectual Property.

8. Suspension. Franchisor reserves the right to suspend Franchisee's access to any Electronic System in order to protect the Intellectual Property or the intellectual property of third-party vendors.

9. Third-Party Vendors. Franchisee will comply with the terms of any license for any of the Electronic Systems provided by a third-party vendor. Any third-party vendor will have the right to enforce such terms directly against Franchisee. Franchisor will have no liability for Franchisee's use of any Electronic System provided by a third-party vendor. Franchisee may be required to execute agreements with third-party vendors and comply with any privacy and security standards in order to obtain access to certain Electronic Systems.

10. Preferred Vendors. Franchisor may designate a third-party vendor of the Electronic Systems as a preferred vendor and require Franchisee to use the Electronic Systems provided by the preferred vendor.

11. NO ENDORSEMENT OR WARRANTY. FRANCHISOR DOES NOT ENDORSE OR MAKE ANY REPRESENTATION OR WARRANTY ABOUT ANY ELECTRONIC SYSTEM PROVIDED BY THIRD-PARTY VENDORS, INCLUDING PREFERRED VENDORS. FRANCHISOR PROVIDES THE ELECTRONIC SYSTEMS AND THE SUPPORT SERVICES ON AN AS-IS BASIS. FRANCHISOR DISCLAIMS ALL WARRANTIES, EXPRESS OR IMPLIED, INCLUDING THE IMPLIED WARRANTIES OF MERCHANTABILITY, FITNESS FOR A PARTICULAR PURPOSE, AND CUSTOM OR USAGE IN THE TRADE, RELATED TO FRANCHISEE'S USE OF THE ELECTRONIC SYSTEMS AND THE SUPPORT SERVICES.

12. Technology Audit. At Franchisor's request, Franchisee will provide Franchisor and its authorized representatives access to any facility or system from which Franchisee, or any of its Affiliates or their respective agents, have installed or are accessing the Electronic Systems, and to any data, records, and the systems themselves (including removal of such systems and the data therein) relating to the Electronic Systems, for audit purposes. Franchisee will cooperate in and provide any assistance reasonably required for such audits.

13. Limitation on Liability. Franchisor is not liable for any loss or damage arising out of the use or failure of any Electronic Systems or Support Services, including corruption or loss of data, and Franchisee waives any right to, or claim of, any direct, exemplary, incidental, indirect, special, consequential or other similar damages (including loss of profits) in connection with the use, inability to use, breach or failure of any Electronic Systems or Support Services, even if Franchisor has been advised of the possibility of such damage, breach or failure. To the extent permissible, Franchisor will use reasonable efforts to make available for Franchisee any warranties or other similar protections provided by Franchisor's vendors with respect to the Electronic Systems.

14. Indemnification. Franchisee will indemnify, defend and hold harmless Franchisor and its Affiliates (and each of their respective predecessors, successors, assigns, current and former directors, officers, shareholders, subsidiaries, employees and agents), against all Claims and Damages, including allegations of negligence by such Persons, to the fullest extent permitted by Applicable Law, arising from or related to Franchisee's use of the Electronic Systems or any failure by Franchisee to comply with this License Agreement. Franchisee's obligations in this Section are incorporated into Franchisee's indemnification obligations in the Franchise Agreement.

15. Software License Rights Upon Termination. The Software that Franchisee will purchase through Franchisor is generally not assignable to Franchisee upon termination of this License Agreement ("Non-Assignable Software"). When this License Agreement terminates, Franchisee will not

have any right to use the Non-Assignable Software. At Franchisee's request, Franchisor will use reasonable efforts to facilitate the assignment of any Software that is assignable ("Assignable Software"). On termination of this License Agreement, Franchisee will delete both Assignable Software and Non-Assignable Software obtained through Franchisor. Franchisee may reinstall Assignable Software using copies obtained by Franchisee directly from the applicable vendor.

16. Governing Law. This License Agreement takes effect upon its acceptance and execution by Franchisor in Maryland and will be construed under and governed by Maryland law, which law will prevail if there is any conflict of law.

17. WAIVER OF PUNITIVE DAMAGES. EACH OF FRANCHISEE AND FRANCHISOR ABSOLUTELY, IRREVOCABLY AND UNCONDITIONALLY WAIVES THE RIGHT TO CLAIM OR RECEIVE PUNITIVE DAMAGES IN ANY DISPUTE RELATED TO THE HOTEL, THE MARRIOTT AGREEMENTS, THE RELATIONSHIP OF THE PARTIES OR ANY ACTIONS OR OMISSIONS IN CONNECTION WITH ANY OF THE ABOVE, OTHER THAN FRANCHISOR'S RIGHTS AND REMEDIES RELATED TO FRANCHISOR'S INTELLECTUAL PROPERTY. NOTHING IN THIS SECTION 17 LIMITS FRANCHISEE'S OBLIGATIONS UNDER SECTION 14.

18. WAIVER OF JURY TRIAL. EACH OF FRANCHISEE AND FRANCHISOR ABSOLUTELY, IRREVOCABLY AND UNCONDITIONALLY WAIVES TRIAL BY JURY IN ANY DISPUTE RELATED TO THE HOTEL, THE MARRIOTT AGREEMENTS, THE RELATIONSHIP OF THE PARTIES OR ANY ACTIONS OR OMISSIONS IN CONNECTION WITH ANY OF THE ABOVE.

19. Notices. All notices and other communications under this License Agreement will be in writing and will be delivered as provided in the Franchise Agreement.

20. Counterparts. This License Agreement may be executed in any number of counterparts, each of which will be deemed an original and all of which constitute one and the same instrument. Delivery of an electronic signature or an executed signature page by electronic transmission is as effective as delivery of an original signed counterpart. Each party hereto waives any defenses to the enforceability of the terms of this License Agreement based on the foregoing forms of signature.

21. Construction and Interpretation.

A. *Partial Invalidity.* If any term of this License Agreement, or its application to any Person or circumstance, is invalid or unenforceable at any time or to any extent, then: (i) the remainder of this License Agreement, or the application of such term to Persons or circumstances except those as to which it is held invalid or unenforceable, will not be affected and each term of this License Agreement will be valid and enforced to the fullest extent permitted by Applicable Law; and (ii) Franchisor and Franchisee will negotiate in good faith to modify this License Agreement to implement their original intent as closely as possible in a mutually acceptable manner.

B. *Non-Exclusive Rights and Remedies.* No right or remedy of Franchisor or Franchisee under this License Agreement is intended to be exclusive of any other right or remedy under this License Agreement at law or in equity.

C. *No Third-Party Beneficiary.* Nothing in this License Agreement is intended to create any third-party beneficiary or give any rights or remedies to any Person other than Franchisor or Franchisee and their respective permitted successors and assigns.

D. *Actions from Time to Time.* When this License Agreement permits Franchisor to take any action, exercise discretion or modify the System, Franchisor may do so from time to time.

E. *Interpretation of Agreement.* Franchisor and Franchisee intend that this License Agreement excludes all implied terms to the maximum extent permitted by Applicable Law. Headings of Sections are for convenience and are not to be used to interpret the Sections to which they refer. Words indicating the singular include the plural and vice versa as the context may require. References that a Person “will” do something mean the Person has an obligation to do such thing. References that a Person “may” do something mean a Person has the right, but not the obligation, to do so. References that a Person “may not” and “will not” do something mean a Person is prohibited from doing so.

F. *Definitions.* All capitalized terms not defined in this License Agreement have the meaning stated in the Franchise Agreement.

22. Entire Agreement. This License Agreement and the Marriott Agreements are fully integrated and contain the entire agreement between the parties as it relates to the Hotel and the Approved Location and supersede all prior understandings and writings.

23. Amendments. This License Agreement may only be amended in a written document that has been duly executed by the parties and may not be amended by conduct manifesting assent, and each party is put on notice that any individual purporting to amend this License Agreement by conduct manifesting assent is not authorized to do so.

24. Survival. The provisions of Sections 3, 7, 11, 12, 13, 14, 15, 16, 17, 18 and 21 will survive expiration or termination of this License Agreement.

{Signatures appear on the following page}

IN WITNESS WHEREOF, Franchisor and Franchisee have caused this License Agreement to be executed, under seal, as of the Effective Date.

FRANCHISOR:

«FRANCHISOR_LICENSOR»

By: _____ (SEAL)
Name:
Title:

FRANCHISEE:

«FRANCHISE_NAME»

By: _____ (SEAL)
Name:
Title:

Recording Requested by:
[Marriott Attorney]
Marriott International, Inc.
10400 Fernwood Road
Dept. [52/923.28] or
[52/923.27]
Bethesda, MD 20817

Document Prepared by:
Marriott International, Inc.
10400 Fernwood Road
Dept. [52/923.28] or
[52/923.27]
Bethesda, MD 20817

When Recorded, Mail to:
Mr. Brian A. Lobuts
Vice President
Associate Regional Director
First American National
Commercial Services
1850 K Street NW, Suite 1050
Washington, DC 20006

This space reserved for Recorder's use only.

MEMORANDUM OF RIGHT OF FIRST REFUSAL

MEMORANDUM OF RIGHT OF FIRST REFUSAL

This Memorandum of Right of First Refusal ("Memorandum"), dated as of _____ between «Franchisor_Licenser», a «Local_juris» «entity_type» ("Franchisor"), and «Franchise_Name», a/an «Fran_Domicili» «Fran_corp» ("Franchisee").

RECITALS

A. Franchisor and Franchisee entered into a «brand» Franchise Agreement dated _____ (the "Franchise Agreement"), relating to the real property located in [County/City], State of _____, described on Exhibit 1 (the "Real Property").

B. Franchisor and Franchisee are executing this Memorandum as required by Section 17.5.B. of the Franchise Agreement to be recorded in the Land Records of [County/City], _____ (the "Local Jurisdiction").

AGREEMENT

NOW THEREFORE, for the good and valuable consideration, the receipt and sufficiency of which are acknowledged, the parties agree as follows:

1. **Grant of Right of First Refusal.** Franchisee has granted Franchisor the right of first refusal (the "Right of First Refusal") to purchase the Real Property together with its improvements (the "Premises"), on the terms in Section 17.5 of the Franchise Agreement.

2. **Real Estate Interest and Injunctive Relief.** Franchisee acknowledges that Franchisor's rights under Section 17.5 of the Franchise Agreement are real estate rights in the Premises. Franchisee acknowledges and agrees that damages are not an adequate remedy if Franchisee breaches its obligations under Section 17.5 of the Franchise Agreement, and that Franchisor will be entitled to injunctive relief without proving the inadequacy of money damages as a remedy and without posting a bond.

3. **Term.** The Right of First Refusal will terminate on the termination of the Franchise Agreement, except if there is an early termination (as opposed to expiration) of the Franchise Agreement, in which case, the Right of First Refusal will survive such early termination as provided in Section 17.5.C. of the Franchise Agreement.

4. **Subordination.** Franchisor's rights in real estate under Section 17.5.A. of the Franchise Agreement will be subordinate only to the rights of lenders under a mortgage or security deed secured by the Premises, only if and as long as: (i) the lender is not a Competitor or Affiliate of a Competitor (as defined in the Franchise Agreement); and (ii) any such mortgage or security deed remains validly recorded and in full force and effect.

5. **Addresses.** Prior to August 1, 2022, Franchisor's address is 10400 Fernwood Road, Bethesda, MD 20817, Attn: Law Department 52/923.28. On and after August 1, 2022, Franchisor's address is 7750 Wisconsin Avenue, Bethesda, MD 20814, Attn: Law Department 52/923.28. Franchisee's address is «fran_street», «fran_city», «fran_state» «franZipCode».

{Signatures appear on the following page}

IN WITNESS WHEREOF, the parties have caused this Memorandum to be executed, under seal, as of the date first above written.

FRANCHISOR:

«FRANCHISOR_LICENSOR»

By: _____(SEAL)
Name:
Title:

FRANCHISEE:

«FRANCHISE_NAME»

By: _____(SEAL)
Name:
Title:

STATE OF MARYLAND

COUNTY OF _____

I HEREBY CERTIFY that on _____ before me, a Notary Public, personally appeared _____, who acknowledged himself/herself to be the _____ of «Franchisor_Licensor», a «Local_juris» «entity_type», and that he/she, as such officer, being authorized so to do, executed the foregoing instrument for the purposes therein contained by signing the name of the «Franchisor_Licensor» by himself/herself as such officer.

WITNESS my hand and Notarial Seal.

(SEAL)

_____, Notary Public
My Commission Expires: _____

STATE OF _____

COUNTY OF _____

I HEREBY CERTIFY that on _____ before me, a Notary Public, personally appeared _____, who acknowledged himself/herself to be the _____ of «Franchise_Name», a/an «Fran_Domicili» «Fran_corp» (the «Franchisee»), and that he/she, as such officer, being authorized so to do, executed the foregoing instrument for the purposes therein contained by signing the name of Franchisee by himself/herself as such officer.

WITNESS my hand and Notarial Seal.

(SEAL)

_____, Notary Public
My Commission Expires: _____

EXHIBIT 1 TO MEMORANDUM OF RIGHT OF FIRST REFUSAL

[Legal Description]

OWNER AGREEMENT

This Owner Agreement (“Agreement”) is executed on _____ (the “Effective Date”), by «Franchisor_Licensors», a «Local_juris» «entity_type» (“Franchisor”), «Franchise_Name», a/an «Fran_Domicili» «Fran_corp» (“Franchisee”), and «Owner_Name», a/an «Owner_Domicili» «Owner_corp» (“Owner”).

RECITALS

A. Franchisor and Franchisee are parties to the «brand» Franchise Agreement dated _____ (as amended, the “Franchise Agreement”) relating to the Hotel, a copy of which is attached as Exhibit C.

B. Franchisee and Owner **[will enter] [have entered]** into a lease (the “Lease”). Franchisee will lease **[land constituting part of]** the Hotel from Owner and will operate the Hotel as a System Hotel.

NOW, THEREFORE, in consideration of the promises in this Agreement and other good and valuable consideration, the receipt and sufficiency of which are acknowledged, the parties agree as follows:

1. ACKNOWLEDGMENTS AND COMPLIANCE

1.1 Acknowledgments. Owner acknowledges that:

A. Franchisor has granted to Franchisee a limited, non-exclusive license to use the Proprietary Marks and the System to operate the Hotel as a System Hotel under the terms of the Franchise Agreement for the Term;

B. Franchisee is obligated to operate the Hotel as a System Hotel for the Term; and

C. Owner will benefit from the operation of the Hotel as a System Hotel.

1.2 Compliance; Confidential Information.

A. *Compliance.* If Owner has undertaken such obligations in the Lease, Owner will develop, construct and maintain the Hotel in strict compliance with the Marriott Agreements and the Standards as if Owner had executed the Franchise Agreement as “Franchisee.” Owner will procure the insurance required under the Franchise Agreement if it is not obtained by Franchisee. Owner will comply with Applicable Law. Owner, however, will not be responsible for the operation of the Hotel or payment obligations under the Franchise Agreement, except as otherwise provided in this Agreement.

B. *Confidential Information.* Owner will maintain the confidentiality of any Confidential Information in compliance with Section 12 of the Franchise Agreement. Owner will obtain no other rights to use the Intellectual Property or to operate the Hotel as a System Hotel.

C. *Not a Franchise or License.* This Agreement does not constitute a separate franchise or license to Owner.

2. TERM.

The term of this Agreement will begin on the Effective Date and will expire at the end of the Term of the Franchise Agreement unless this Agreement is terminated earlier. If the Franchise Agreement is renewed or extended, this Agreement will automatically be extended to expire at the end of the renewal Term or extended Term of the Franchise Agreement.

3. PROVISIONS OF THE LEASE.

The following terms will be considered incorporated into the Lease. If the Lease has inconsistent terms, the terms below will control:

A. *Possession and Control.* Franchisee will have exclusive possession of the Hotel and exclusive control of the day-to-day operations of the Hotel for a term that is no shorter than the Term.

B. *Compliance with Franchise Agreement.* The Hotel will be operated in compliance with the Franchise Agreement, and the Franchise Agreement will control in case of conflict with the Lease.

4. OWNER'S OBLIGATION TO CURE DEFAULTS UNDER FRANCHISE AGREEMENT.

Franchisor will copy Owner on any notice of default issued to Franchisee under the Franchise Agreement. Owner must cure such default on behalf of Franchisee during the cure period stated in the default notice.

5. RIGHTS AND OBLIGATIONS ON TERMINATION OF FRANCHISE AGREEMENT

5.1 New Franchise Agreement or Management Agreement. On Franchisor's request, and if Franchisor terminates the Franchise Agreement due to a default that is not caused by Owner, Owner will elect to either:

A. enter into (or cause a substitute franchisee to enter into) a new franchise agreement with Franchisor, in which case Owner (or such substitute franchisee) will execute such agreement, together with any related agreements required by Franchisor, to be effective on the date of the termination of the Franchise Agreement ("New Franchise Agreement"). The New Franchise Agreement will be in a form contained in the then-current Disclosure Document, except that (a) the Franchise Fees will be the same as in the Franchise Agreement; and (b) the term will be the remaining Term of the Franchise Agreement; or

B. enter into a management agreement with an Affiliate of Franchisor, in which case Owner will execute such agreement, together with any related agreements required by Franchisor, to be effective on the date of the termination of the Franchise Agreement ("Management Agreement"). The Management Agreement will be in Franchisor's standard form and the term will be equal to or longer than the remaining Term of the Franchise Agreement.

Owner will notify Franchisor of its election under this Section within 30 days of the date Owner receives the notice of termination of the Franchise Agreement and will enter into the applicable agreement within 30 days of its election. If the Franchise Agreement is terminated before a New Franchise Agreement or a Management Agreement is signed, Owner will execute a short-term agreement to operate the Hotel under the terms and conditions of the Franchise Agreement on an interim basis until the New Franchise Agreement or Management Agreement is executed.

5.2 Qualifications for a New Franchise Agreement. To obtain a New Franchise Agreement, the franchisee must be, as determined by Franchisor in its sole discretion: (i) financially capable and responsible; (ii) sufficiently qualified in managerial skills and operational capacity (unless a third party management company consented to by Franchisor will operate the Hotel); and (iii) able to perform the obligations of the New Franchise Agreement. Such franchisee will provide Franchisor all information reasonably requested to determine that it meets Franchisor's then-current qualifications for franchisees of System Hotels.

5.3 Additional Obligations. If Franchisor does not make a request under Section 5.1 to continue the relationship with Owner, after termination of this Agreement and the Franchise Agreement, Owner and Franchisee will be obligated, jointly and severally, to remove the Hotel from the System, pay all amounts due, including damages pursuant to Section 19.4 of the Franchise Agreement, and comply with the post-termination obligations in Section 9 of this Agreement and Section 20 of the Franchise Agreement. Franchisor may enforce the Franchise Agreement directly against Owner as if Owner were the Franchisee under the Franchise Agreement.

6. RIGHTS AND OBLIGATIONS ON TERMINATION OF THE LEASE

If Owner terminates the Lease due to a default by Franchisee, Owner and Franchisor will proceed in accordance with Section 5. However, if there is a dispute between Owner and Franchisee about the termination of the Lease, and Franchisee retains possession of the Hotel, Franchisor may permit Franchisee to continue to operate the Hotel under the Franchise Agreement as long as it retains possession. Franchisor's rights under this Agreement will be reserved pending resolution of the dispute between Owner and Franchisee.

7. TRANSFERS

7.1 Owner's Transfer Rights. Owner agrees that its rights and duties in this Agreement are personal to Owner, and that Franchisor entered into this Agreement in reliance on the business skill, financial capacity and character of Owner and its Affiliates and their principals. Given that Owner may obtain a franchise under Section 5, the Hotel or any Ownership Interest in Owner, a Control Affiliate or the Hotel, may be Transferred only in accordance with Section 17 of the Franchise Agreement, as if Owner were "Franchisee." This Agreement may not be Transferred without Franchisor's prior consent.

7.2 Competitor Right of First Refusal. Owner acknowledges that Franchisor's rights under Section 17.5.A. of the Franchise Agreement are rights in real estate. If requested by Franchisor, Owner will execute a Competitor ROFR, and Franchisor may record such Competitor ROFR in the appropriate real estate records of the jurisdiction where the Hotel is located, and Owner will cooperate in such filing. Owner agrees that damages are not an adequate remedy if Owner breaches its obligations under this Section, and Franchisor will be entitled to injunctive relief if available without proving the inadequacy of money damages as a remedy and without posting a bond. If this Agreement is terminated and Franchisor's rights under this Section are no longer in effect, on request, Franchisor will execute a termination of such interest.

7.3 Transfers by Franchisor.

A. *Transfer to Affiliates.* Franchisor may Transfer this Agreement to any of its Affiliates that assume Franchisor's obligations to Owner and is reasonably capable of performing Franchisor's obligations, without prior notice to, or consent of, Owner.

B. *Transfer to Other Persons.* Franchisor may Transfer this Agreement to any Person that assumes Franchisor's obligations to Owner, is reasonably capable of performing Franchisor's obligations, and acquires substantially all of Franchisor's rights for System Hotels, without prior notice to, or consent of, Owner. Owner agrees that any such Transfer will constitute a release of Franchisor and a novation of this Agreement.

C. *Franchisor's Successors and Assigns.* This Agreement will be binding on and inure to the benefit of Franchisor and its permitted successors and assigns.

8. DEFAULTS AND TERMINATION

8.1 Immediate Termination.

A. *Defaults Applicable to Owner under Franchise Agreement.* If Owner would be in default under Section 19.1 of the Franchise Agreement as if Owner were "Franchisee," then Owner will be in default and Franchisor may terminate this Agreement without providing Owner any opportunity to cure the default. This termination is effective on notice to Owner or on the expiration of any notice or cure period given by Franchisor in its sole discretion or required by Applicable Law.

B. *Defaults under Franchise Agreement Caused by Owner.* If Franchisor terminates the Franchise Agreement based on a default that is caused by an act or omission of Owner, Franchisor may, on notice to Owner and without further action, immediately terminate this Agreement and the Hotel's relationship with the System and require Owner to comply with Section 9.

8.2 Default with Opportunity to Cure.

A. *Defaults Applicable to Owner under Franchise Agreement.* Owner will be in default and Franchisor may terminate this Agreement for the events listed in Section 19.2 of the Franchise Agreement to the extent such default is applicable to Owner, if after 30 days' notice of default (or such greater number of days given by Franchisor in its sole discretion or as required by Applicable Law), Owner fails to cure the default as specified in the notice.

B. *Defaults under this Agreement.* Owner will be in default and Franchisor may terminate this Agreement if Owner fails to cure any default under this Agreement after 30 days' notice of default (or such greater number of days given by Franchisor in its sole discretion or as required by Applicable Law).

9. POST-TERMINATION OBLIGATIONS OF OWNER

If the Franchise Agreement and this Agreement are terminated and Franchisee fails to perform any post-termination obligation under the Franchise Agreement, Franchisor may enforce the Franchise Agreement directly against Owner as if Owner were "Franchisee," and Owner will perform, or cause to be performed, all post-termination obligations of Franchisee under Section 20.1.A of the Franchise Agreement.

10. CONDEMNATION AND CASUALTY

A. *Condemnation.* Owner will promptly notify Franchisor if it receives notice of any proposed taking of any portion of the Hotel by eminent domain, condemnation, compulsory acquisition or similar proceeding by any governmental authority, and will cause the Hotel to be restored and reopened if and as required under Section 21.1 of the Franchise Agreement. Franchisor will be entitled to receive a

fair and reasonable portion of any condemnation award as provided under Section 21.1 of the Franchise Agreement.

B. *Casualty*. Owner will promptly notify Franchisor if the Hotel is damaged by any casualty, and will cause the Hotel to be renovated and reopened if and as required under Section 21.2 of the Franchise Agreement.

11. FINANCING OF THE HOTEL

Owner and each Interestholder in Owner may grant a lien or other security interest in the Hotel or the revenues of the Hotel, or pledge Ownership Interests in Owner or a Control Affiliate as collateral for the financing of the Hotel. If any Person exercises its rights under such lien, security interest or pledge, Franchisor will have the rights under Section 8.1 of this Agreement and Section 19.1 of the Franchise Agreement. Owner will not pledge this Agreement as collateral or grant a security interest in this Agreement.

12. GOVERNING LAW; ARBITRATION; INTERIM RELIEF; COSTS OF ENFORCEMENT

12.1 Governing Law. This Agreement takes effect on its acceptance and execution by Franchisor in Maryland and will be construed under and governed by Maryland law, which law will prevail if there is any conflict of law.

12.2 Arbitration.

A. Except as otherwise agreed in this Agreement and for Claims for indemnification under Section 14 of the Franchise Agreement or actions for injunctive or other equitable relief under Section 12.4 of this Agreement, any disagreement, controversy, or Claim relating to or arising out of this Agreement, the relationship created by this Agreement, or the enforceability of this Agreement, including any question regarding its existence, validity, legality or termination, and any claim regarding a breach or enforcement of this Agreement (each, a “Dispute”), will be referred to, and finally settled by, arbitration under and in accordance with the Commercial Arbitration Rules of the American Arbitration Association (or any similar successor rules). The arbitrator(s) will be appointed in accordance with such rules. The number of arbitrators will be one, unless the parties agree otherwise in accordance with such rules. The place where arbitration proceedings will be conducted is Baltimore, Maryland. The party bringing the arbitration will submit the following together with any demand or filing required by the American Arbitration Association: (1) a full and specific description of the claim under this Agreement including identifying the specific provisions that the other party has breached, (2) documentary evidence of the facts alleged by the complaining party, and (3) a declaration under penalty of perjury that all facts stated in the claim and documentation are true and correct and do not fail to state facts known to the complaining party that are material to the determination of the dispute.

B. The decision of the arbitral tribunal will be final and binding on the parties and will be enforceable in any courts having jurisdiction. The arbitral tribunal will have no authority to amend or modify the terms of this Agreement. The arbitral tribunal will have the right to award or include in its award any relief it deems proper, including money damages and interest on unpaid amounts, specific performance and legal fees and costs in accordance with this Agreement; however, the arbitral tribunal may not award punitive, consequential or exemplary damages (except for those related to misuse of Franchisor’s Intellectual Property). The costs and expenses of arbitration will be allocated and paid by the parties as determined by the arbitral tribunal.

C. Any arbitration proceeding under this Agreement will be conducted on an individual (not a class-wide) basis and will not be consolidated with any other arbitration proceedings to which Franchisor is a party, except that Franchisor may join any current or former owner under an owner agreement related to the Hotel in any such proceeding. Any Dispute to be settled by arbitration under this Section will at the request of any party to this Agreement be resolved in a single arbitration before a single tribunal together with any Dispute arising out of or relating to any other agreement between such parties or Franchisor's Affiliates. A decision on a matter in another arbitration proceeding will not prevent a party from submitting evidence with respect to a similar matter or prevent the arbitral tribunal from rendering an independent decision without regard to such decision in such other arbitration proceeding.

D. Any party to this Agreement may, without waiving any rights, seek from a court having jurisdiction any interim or provisional relief that may be necessary to protect its rights or property (including, without limitation, any aspect of the System, or any reason concerning the safety of the Hotel or the health and welfare of any of the Hotel's guests, invitees or employees).

12.3 Jurisdiction. Owner expressly and irrevocably submits to the non-exclusive jurisdiction of the courts of the State of Maryland for the purpose of any Disputes that are not required to be subject to arbitration under Section 12.2. So far as permitted under Maryland law, this consent to personal jurisdiction will be self-operative.

12.4 Equitable Relief. Franchisor is entitled to injunctive or other equitable relief, including restraining orders and preliminary injunctions, in any court of competent jurisdiction for any threatened or actual material breach of the Marriott Agreements or non-compliance with the Standards. Franchisor is entitled to such relief without the necessity of proving the inadequacy of money damages as a remedy, without the necessity of posting a bond and without waiving any other rights or remedies.

12.5 Costs of Enforcement. The prevailing party in any legal or equitable action related to the Hotel, this Agreement or the other Marriott Agreements will recover its reasonable legal fees and costs, including fees and costs incurred in confirming and enforcing an award under Section 12.2.B. The prevailing party will be determined based upon an assessment of which party's arguments or positions could fairly be said to have prevailed over the other party's arguments or positions on major disputed issues in the arbitration or at trial, and should include an evaluation of the following: the amount of the net recovery; the primary issues disputed by the parties; whether the amount of the award comprises a significant percentage of the amount sought by the claimant; and the most recent settlement positions of the parties.

12.6 WAIVER OF PUNITIVE DAMAGES. EACH OF OWNER, FRANCHISEE AND FRANCHISOR ABSOLUTELY, IRREVOCABLY AND UNCONDITIONALLY WAIVES THE RIGHT TO CLAIM OR RECEIVE PUNITIVE DAMAGES IN ANY DISPUTE RELATED TO THIS AGREEMENT, THE MARRIOTT AGREEMENTS, THE HOTEL, THE RELATIONSHIP OF THE PARTIES OR ANY ACTIONS OR OMISSIONS IN CONNECTION WITH ANY OF THE ABOVE, OTHER THAN FRANCHISOR'S RIGHTS AND REMEDIES RELATED TO FRANCHISOR'S INTELLECTUAL PROPERTY.

12.7 WAIVER OF JURY TRIAL. EACH OF OWNER, FRANCHISEE AND FRANCHISOR ABSOLUTELY, IRREVOCABLY AND UNCONDITIONALLY WAIVES TRIAL BY JURY IN ANY DISPUTE RELATED TO THIS AGREEMENT, THE MARRIOTT AGREEMENTS, THE HOTEL, THE RELATIONSHIP OF THE PARTIES OR ANY ACTIONS OR OMISSIONS IN CONNECTION WITH ANY OF THE ABOVE.

13. NOTICES

Subject to Section 25.B of the Franchise Agreement, all notices, requests, statements and other communications under this Agreement will be (i) in writing; (ii) delivered by hand with receipt, or by courier service with tracking capability; and (iii) addressed as provided in Exhibit B or at any other address designated in writing by the party entitled to receive the notice. Any notice will be deemed received (i) when delivery is received or first refused, if delivered by hand or (ii) one day after posting of such notice, if sent via overnight courier.

14. REPRESENTATIONS AND WARRANTIES

A. *Existence.* Each party represents and warrants that it (i) is duly formed, validly existing and in good standing under the laws of the jurisdiction of its formation; and (ii) has and will continue to have the ability to perform its obligations under this Agreement.

B. *Authorization.* Each of Franchisor, Franchisee and Owner represents and warrants that the execution and delivery of this Agreement and the performance of its obligations under this Agreement: (i) have been duly authorized; (ii) do not and will not violate, contravene or result in a default or breach of (a) any Applicable Law, (b) its governing documents or (c) any agreement, commitment or restriction binding on the relevant party; and (iii) do not require any consent that has not been obtained by the relevant party.

C. *Restricted Person.* Owner represents and warrants, and will ensure throughout the Term, that neither Owner nor any of its funding sources is a Restricted Person.

D. *Ownership of Owner.* Owner represents and warrants that its Interestholders are completely and accurately listed in Exhibit A. If there have been changes, Owner will provide a list of the names and addresses of the Interestholders and documents necessary to confirm such information and update Exhibit A.

E. *Ownership of the Hotel.* Owner represents and warrants that it is the sole owner of the Hotel and holds good and marketable fee title to the Approved Location.

15. MISCELLANEOUS

15.1 Counterparts. This Agreement may be executed in any number of counterparts, each of which will be deemed an original and all of which constitute one and the same instrument. Delivery of an electronic signature or an executed signature page by electronic transmission is as effective as delivery of an original signed counterpart. Each party hereto waives any defenses to the enforceability of the terms of this Agreement based on the foregoing forms of signature.

15.2 Construction and Interpretation.

A. *Partial Invalidity.* If any term of this Agreement, or its application to any Person or circumstance, is invalid or unenforceable at any time or to any extent, then (i) the remainder of this Agreement, or the application of such term to Persons or circumstances other than those as to which it is held invalid or unenforceable, will not be affected and each term of this Agreement will be valid and enforced to the fullest extent permitted by Applicable Law; and (ii) Franchisor, Franchisee and Owner will negotiate in good faith to modify this Agreement to implement their original intent as closely as possible in a mutually acceptable manner.

B. *Non-Exclusive Rights and Remedies.* No right or remedy of Franchisor, Franchisee or Owner under this Agreement is intended to be exclusive of any other right or remedy under this Agreement at law or in equity.

C. *No Third-Party Beneficiary.* Nothing in this Agreement is intended to create any third-party beneficiary or give any rights or remedies to any Person except Franchisor, Franchisee and Owner and their respective permitted successors and assigns.

D. *Interpretation of Agreement.* Franchisor, Owner and Franchisee intend that this Agreement excludes all implied terms to the maximum extent permitted by Applicable Law. Headings of Sections are for convenience and are not to be used to interpret the Sections to which they refer. All Exhibits to this Agreement are incorporated by reference. Words indicating the singular include the plural and vice versa as the context may require. References to days, months and years are all calendar references. References that a Person “will” do something mean the Person has an obligation to do so. References that a Person “may” do something mean a Person has the right, but not the obligation, to do so. References that a Person “may not” or “will not” do something mean the Person is prohibited from doing so.

E. *Definitions.* All capitalized terms not defined in this Agreement have the meaning stated in the Franchise Agreement.

15.3 Reasonable Business Judgment.

A. *Use of Reasonable Business Judgment.* Franchisor will use Reasonable Business Judgment when discharging its obligations or exercising its rights under this Agreement, including for any consents and approvals and the administration of Franchisor’s relationship with Owner, except when Franchisor has reserved sole discretion.

B. *Burden of Proof.* Owner will have the burden of establishing that Franchisor failed to exercise Reasonable Business Judgment. The fact that Franchisor or any Affiliate of Franchisor benefited from any action or decision or that another reasonable alternative was available does not mean that Franchisor failed to exercise Reasonable Business Judgment. If this Agreement is subject to any implied covenant or duty of good faith and Franchisor exercises Reasonable Business Judgment, Owner agrees that Franchisor will not have violated such covenant or duty.

15.4 Waiver. The failure or delay of either party to insist on strict performance of any of the terms of this Agreement, or to exercise any right or remedy, will not be a waiver for the future.

15.5 Entire Agreement. This Agreement and the Marriott Agreements are fully integrated and contain the entire agreement between the parties as it relates to the Hotel and the Approved Location and supersede all prior understandings and writings.

15.6 Amendments. This Agreement may only be amended in a written document that has been duly executed by the parties and may not be amended by conduct manifesting assent, and each party is put on notice that any individual purporting to amend this Agreement by conduct manifesting assent is not authorized to do so.

15.7 Survival. The terms of Sections 1, 5, 9, 10 and 12 of this Agreement, and, to the extent applicable to Owner, Section 27.8 of the Franchise Agreement, survive expiration or termination of this Agreement.

IN WITNESS WHEREOF, the parties have caused this Owner Agreement to be executed,
under seal, as of the Effective Date.

FRANCHISOR:

«FRANCHISOR_LICENSOR»

By: _____(SEAL)
Name:
Title:

FRANCHISEE:

«FRANCHISE_NAME»

By: _____(SEAL)
Name:
Title:

OWNER:

«OWNER_NAME»

By: _____(SEAL)
Name:
Title:

EXHIBIT A
OWNERSHIP INTERESTS IN OWNER

Name of Owner	Address (Include Country of Residence, if not U.S.)	Country of Formation or Nationality (Include if not U.S.)	% Interest
NAME AND ADDRESS OF «OWNER_NAME»			
«Owner_Name»	«own_street» «own_city», «own_state» «own_ZipCode»		N/A
OWNERSHIP OF «OWNER_NAME»			
			%
			%
OWNERSHIP OF			
			%
			%

EXHIBIT B
NOTICE ADDRESSES

To Franchisor:

Prior to August 1, 2022:

«Franchisor_Licenser»
10400 Fernwood Road
Bethesda, MD 20817
Attn: Law Department 52/923.28

with a copy to:

Marriott International, Inc.
10400 Fernwood Road
Bethesda, MD 20817
Attn: Global Lodging Services

On and after August 1, 2022:

«Franchisor_Licenser»
7750 Wisconsin Avenue
Bethesda, MD 20814
Attn: Law Department 52/923.28

with a copy to:

Marriott International, Inc.
7750 Wisconsin Avenue
Bethesda, MD 20814
Attn: Global Lodging Services

To Owner:

«Owner_Name»
«own_street»
«own_city», «own_state» «own_ZipCode»
Attn: «Owner_Attn»
Email: «Owner_email»

To Franchisee:

«Franchise_Name»
«fran_street»
«fran_city», «fran_state» «franZipCode»
Attn: «Fran_Attn»
Email: «Fran_email»

EXHIBIT C
FRANCHISE AGREEMENT

OWNER AGREEMENT

This Owner Agreement (“Agreement”) is executed on _____ (the “Effective Date”), by «Franchisor_Licensors», a «Local_juris» «entity_type» (“Franchisor”), «Franchise_Name», a/an «Fran_Domicili» «Fran_corp» (“Franchisee”), and «Owner_Name», a/an «Owner_Domicili» «Owner_corp» (“Owner”).

RECITALS

A. Franchisor and Franchisee are parties to the «brand» Franchise Agreement dated _____ (as amended, the “Franchise Agreement”) relating to the Hotel, a copy of which is attached as Exhibit C.

B. Franchisee and Owner **[will enter] [have entered]** into a lease (the “Lease”). Franchisee will lease **[land constituting part of]** the Hotel from Owner and will operate the Hotel as a System Hotel.

NOW, THEREFORE, in consideration of the promises in this Agreement and other good and valuable consideration, the receipt and sufficiency of which are acknowledged, the parties agree as follows:

1. ACKNOWLEDGMENTS AND COMPLIANCE

1.1 Acknowledgments. Owner acknowledges that:

A. Franchisor has granted to Franchisee a limited, non-exclusive license to use the Proprietary Marks and the System to operate the Hotel as a System Hotel under the terms of the Franchise Agreement for the Term;

B. Franchisee is obligated to operate the Hotel as a System Hotel for the Term; and

C. Owner will benefit from the operation of the Hotel as a System Hotel.

1.2 Compliance; Confidential Information.

A. *Compliance.* If Owner has undertaken such obligations in the Lease, Owner will develop, construct and maintain the Hotel in strict compliance with the Marriott Agreements and the Standards as if Owner had executed the Franchise Agreement as “Franchisee.” Owner will procure the insurance required under the Franchise Agreement if it is not obtained by Franchisee. Owner will comply with Applicable Law. Owner, however, will not be responsible for the operation of the Hotel or payment obligations under the Franchise Agreement, except as otherwise provided in this Agreement.

B. *Confidential Information.* Owner will maintain the confidentiality of any Confidential Information in compliance with Section 12 of the Franchise Agreement. Owner will obtain no other rights to use the Intellectual Property or to operate the Hotel as a System Hotel.

C. *Not a Franchise or License.* This Agreement does not constitute a separate franchise or license to Owner.

2. TERM

The term of this Agreement will begin on the Effective Date and will expire at the end of the Term of the Franchise Agreement unless this Agreement is terminated earlier. If the Franchise Agreement is renewed or extended, this Agreement will automatically be extended to expire at the end of the renewal Term or extended Term of the Franchise Agreement.

3. PROVISIONS OF THE LEASE

The following terms will be considered incorporated into the Lease. If the Lease has inconsistent terms, the terms below will control:

A. *Possession and Control.* Franchisee will have exclusive possession of the Hotel and exclusive control of the day-to-day operations of the Hotel for a term that is no shorter than the Term.

B. *Compliance with Franchise Agreement.* The Hotel will be operated in compliance with the Franchise Agreement, and the Franchise Agreement will control in case of conflict with the Lease.

C. *Cross-Default.* A default by Franchisee under the Franchise Agreement will be a default under the Lease.

D. *Cross-Termination.* If the Franchise Agreement is terminated under Section 19.1 or Section 19.2 of the Franchise Agreement, the Lease will automatically terminate.

E. *Cooperation.* On expiration or termination of the Lease, Franchisee will peaceably turn over possession of the Hotel to Owner and cooperate with Owner for the continued operation of the Hotel as a System Hotel.

4. OWNER'S RIGHT TO CURE DEFAULTS UNDER FRANCHISE AGREEMENT

Franchisor will copy Owner on any notice of default issued to Franchisee under the Franchise Agreement. Owner has the right, but not the obligation, on notice to Franchisor to cure such default on behalf of Franchisee during the cure period stated in the default notice.

5. FRANCHISOR'S RIGHT TO CURE DEFAULTS UNDER THE LEASE

Owner will copy Franchisor on any notice of default issued to Franchisee under the Lease. Franchisor has the right, but not the obligation, on notice to Owner to cure such default on behalf of Franchisee during the cure period stated in the default notice.

6. RIGHTS AND OBLIGATIONS ON TERMINATION OF FRANCHISE AGREEMENT

6.1 New Franchise Agreement or Management Agreement. If Franchisor terminates the Franchise Agreement due to a default that is not caused by Owner, Owner will elect to either:

(i) enter into (or cause a substitute franchisee to enter into) a new franchise agreement with Franchisor, in which case Owner (or such substitute franchisee) will execute such agreement, together with any related agreements required by Franchisor, to be effective on the date of the termination of the Franchise Agreement ("New Franchise Agreement"). The New Franchise Agreement

will be in a form contained in the then-current Disclosure Document, except that (a) the Franchise Fees will be the same as in the Franchise Agreement; and (b) the term will be the remaining Term of the Franchise Agreement; or

(ii) enter into a management agreement with an Affiliate of Franchisor, in which case Owner will execute such agreement, together with any related agreements required by Franchisor, to be effective on the date of the termination of the Franchise Agreement (“Management Agreement”). The Management Agreement will be in Franchisor’s standard form and the term will be equal to or longer than the remaining Term of the Franchise Agreement.

Owner will notify Franchisor of its election under this Section within 30 days of the date Owner receives the notice of termination of the Franchise Agreement and will enter into the applicable agreement within 30 days of its election. If the Franchise Agreement is terminated before a New Franchise Agreement or a Management Agreement is signed, Owner will execute a short-term agreement to operate the Hotel under the terms and conditions of the Franchise Agreement on an interim basis until the New Franchise Agreement or Management Agreement is executed.

6.2 Qualifications for a New Franchise Agreement. To obtain a New Franchise Agreement, the franchisee must be, as determined by Franchisor in its sole discretion: (i) financially capable and responsible; (ii) sufficiently qualified in managerial skills and operational capacity (unless a third party management company consented to by Franchisor will operate the Hotel); and (iii) able to perform the obligations of the New Franchise Agreement. Such franchisee will provide Franchisor all information reasonably requested to determine that it meets Franchisor’s then-current qualifications for franchisees of System Hotels.

7. RIGHTS AND OBLIGATIONS ON TERMINATION OF THE LEASE

If Owner terminates the Lease due to a default by Franchisee, Owner and Franchisor will proceed in accordance with Section 6. However, if there is a dispute between Owner and Franchisee about the termination of the Lease, and Franchisee retains possession of the Hotel, Franchisor may permit Franchisee to continue to operate the Hotel under the Franchise Agreement as long as it retains possession. Franchisor’s rights under this Agreement will be reserved pending resolution of the dispute between Owner and Franchisee.

8. TRANSFERS

8.1 Owner’s Transfer Rights. Owner agrees that its rights and duties in this Agreement are personal to Owner, and that Franchisor entered into this Agreement in reliance on the business skill, financial capacity and character of Owner and its Affiliates and their principals. Given that Owner may obtain a franchise under Section 6, the Hotel or any Ownership Interest in Owner, a Control Affiliate or the Hotel, may be Transferred only in accordance with Section 17 of the Franchise Agreement, as if Owner were “Franchisee.” This Agreement may not be Transferred without Franchisor’s prior consent.

8.2. Competitor Right of First Refusal. Owner acknowledges that Franchisor’s rights under Section 17.5.A. of the Franchise Agreement are rights in real estate. If requested by Franchisor, Owner will execute a Competitor ROFR, and Franchisor may record such Competitor ROFR in the appropriate real estate records of the jurisdiction where the Hotel is located, and Owner will cooperate in such filing. Owner agrees that damages are not an adequate remedy if Owner breaches its obligations under this Section, and Franchisor will be entitled to injunctive relief if available without proving the inadequacy of money damages as a remedy and without posting a bond. If this Agreement is terminated and

Franchisor's rights under this Section are no longer in effect, on request, Franchisor will execute a termination of such interest.

8.3 Transfers by Franchisor.

A. *Transfer to Affiliates.* Franchisor may Transfer this Agreement to any of its Affiliates that assume Franchisor's obligations to Owner and is reasonably capable of performing Franchisor's obligations, without prior notice to, or consent of, Owner.

B. *Transfer to Other Persons.* Franchisor may Transfer this Agreement to any Person that assumes Franchisor's obligations to Owner, is reasonably capable of performing Franchisor's obligations, and acquires substantially all of Franchisor's rights for System Hotels, without prior notice to, or consent of, Owner. Owner agrees that any such Transfer will constitute a release of Franchisor and a novation of this Agreement.

C. *Franchisor's Successors and Assigns.* This Agreement will be binding on and inure to the benefit of Franchisor and its permitted successors and assigns.

9. DEFAULTS AND TERMINATION

9.1 Immediate Termination.

A. *Defaults Applicable to Owner under Franchise Agreement.* If Owner would be in default under Section 19.1 of the Franchise Agreement as if Owner were "Franchisee," then Owner will be in default and Franchisor may terminate this Agreement without providing Owner any opportunity to cure the default. This termination is effective on notice to Owner or on the expiration of any notice or cure period given by Franchisor in its sole discretion or required by Applicable Law.

B. *Defaults under Franchise Agreement Caused by Owner.* If Franchisor terminates the Franchise Agreement based on a default that is caused by an act or omission of Owner, Franchisor may, on notice to Owner and without further action, immediately terminate this Agreement and the Hotel's relationship with the System and require Owner to comply with Section 10.

9.2 Default with Opportunity to Cure.

A. *Defaults Applicable to Owner under Franchise Agreement.* Owner will be in default and Franchisor may terminate this Agreement for the events listed in Section 19.2 of the Franchise Agreement to the extent such default is applicable to Owner, if after 30 days' notice of default (or such greater number of days given by Franchisor in its sole discretion or as required by Applicable Law), Owner fails to cure the default as specified in the notice.

B. *Defaults under this Agreement.* Owner will be in default and Franchisor may terminate this Agreement if Owner fails to cure any default under this Agreement after 30 days' notice of default (or such greater number of days given by Franchisor in its sole discretion or as required by Applicable Law).

10. POST-TERMINATION OBLIGATIONS OF OWNER

If the Franchise Agreement and this Agreement are terminated and Franchisee fails to perform any post-termination obligation under the Franchise Agreement, Franchisor may enforce the Franchise Agreement directly against Owner as if Owner were "Franchisee," and Owner will perform, or cause to

be performed, all post-termination obligations of Franchisee under Section 20.1.A of the Franchise Agreement.

11. CONDEMNATION AND CASUALTY

A. *Condemnation.* Owner will promptly notify Franchisor if it receives notice of any proposed taking of any portion of the Hotel by eminent domain, condemnation, compulsory acquisition or similar proceeding by any governmental authority, and will cause the Hotel to be restored and reopened if and as required under Section 21.1 of the Franchise Agreement. Franchisor will be entitled to receive a fair and reasonable portion of any condemnation award as provided under Section 21.1 of the Franchise Agreement.

B. *Casualty.* Owner will promptly notify Franchisor if the Hotel is damaged by any casualty, and will cause the Hotel to be renovated and reopened if and as required under Section 21.2 of the Franchise Agreement.

12. FINANCING OF THE HOTEL

Owner and each Interestholder in Owner may grant a lien or other security interest in the Hotel or the revenues of the Hotel, or pledge Ownership Interests in Owner or a Control Affiliate as collateral for the financing of the Hotel. If any Person exercises its rights under such lien, security interest or pledge, Franchisor will have the rights under Section 9.1 of this Agreement and Section 19.1 of the Franchise Agreement. Owner will not pledge this Agreement as collateral or grant a security interest in this Agreement.

13. GOVERNING LAW; ARBITRATION; INTERIM RELIEF; COSTS OF ENFORCEMENT

13.1 Governing Law. This Agreement takes effect on its acceptance and execution by Franchisor in Maryland and will be construed under and governed by Maryland law, which law will prevail if there is any conflict of law.

13.2 Arbitration.

A. Except as otherwise agreed in this Agreement and for Claims for indemnification under Section 14 of the Franchise Agreement or actions for injunctive or other equitable relief under Section 13.4 of this Agreement, any disagreement, controversy, or Claim relating to or arising out of this Agreement, the relationship created by this Agreement, or the enforceability of this Agreement, including any question regarding its existence, validity, legality or termination, and any claim regarding a breach or enforcement of this Agreement (each, a “Dispute”), will be referred to, and finally settled by, arbitration under and in accordance with the Commercial Arbitration Rules of the American Arbitration Association (or any similar successor rules). The arbitrator(s) will be appointed in accordance with such rules. The number of arbitrators will be one, unless the parties agree otherwise in accordance with such rules. The place where arbitration proceedings will be conducted is Baltimore, Maryland. The party bringing the arbitration will submit the following together with any demand or filing required by the American Arbitration Association: (1) a full and specific description of the claim under this Agreement including identifying the specific provisions that the other party has breached, (2) documentary evidence of the facts alleged by the complaining party, and (3) a declaration under penalty of perjury that all facts stated in the claim and documentation are true and correct and do not fail to state facts known to the complaining party that are material to the determination of the dispute.

B. The decision of the arbitral tribunal will be final and binding on the parties and will be enforceable in any courts having jurisdiction. The arbitral tribunal will have no authority to amend or modify the terms of this Agreement. The arbitral tribunal will have the right to award or include in its award any relief it deems proper, including money damages and interest on unpaid amounts, specific performance and legal fees and costs in accordance with this Agreement; however, the arbitral tribunal may not award punitive, consequential or exemplary damages (except for those related to misuse of Franchisor's Intellectual Property). The costs and expenses of arbitration will be allocated and paid by the parties as determined by the arbitral tribunal.

C. Any arbitration proceeding under this Agreement will be conducted on an individual (not a class-wide) basis and will not be consolidated with any other arbitration proceedings to which Franchisor is a party, except that Franchisor may join any current or former owner under an owner agreement related to the Hotel in any such proceeding. Any Dispute to be settled by arbitration under this Section will at the request of any party to this Agreement be resolved in a single arbitration before a single tribunal together with any Dispute arising out of or relating to any other agreement between such parties or Franchisor's Affiliates. A decision on a matter in another arbitration proceeding will not prevent a party from submitting evidence with respect to a similar matter or prevent the arbitral tribunal from rendering an independent decision without regard to such decision in such other arbitration proceeding.

D. Any party to this Agreement may, without waiving any rights, seek from a court having jurisdiction any interim or provisional relief that may be necessary to protect its rights or property (including, without limitation, any aspect of the System, or any reason concerning the safety of the Hotel or the health and welfare of any of the Hotel's guests, invitees or employees).

13.3 Jurisdiction. Owner expressly and irrevocably submits to the non-exclusive jurisdiction of the courts of the State of Maryland for the purpose of any Disputes that are not required to be subject to arbitration under Section 13.2. So far as permitted under Maryland law, this consent to personal jurisdiction will be self-operative.

13.4 Equitable Relief. Franchisor is entitled to injunctive or other equitable relief, including restraining orders and preliminary injunctions, in any court of competent jurisdiction for any threatened or actual material breach of the Marriott Agreements or non-compliance with the Standards. Franchisor is entitled to such relief without the necessity of proving the inadequacy of money damages as a remedy, without the necessity of posting a bond and without waiving any other rights or remedies.

13.5 Costs of Enforcement. The prevailing party in any legal or equitable action related to the Hotel, this Agreement or the other Marriott Agreements will recover its reasonable legal fees and costs, including fees and costs incurred in confirming and enforcing an award under Section 13.2.B. The prevailing party will be determined based upon an assessment of which party's arguments or positions could fairly be said to have prevailed over the other party's arguments or positions on major disputed issues in the arbitration or at trial, and should include an evaluation of the following: the amount of the net recovery; the primary issues disputed by the parties; whether the amount of the award comprises a significant percentage of the amount sought by the claimant; and the most recent settlement positions of the parties.

13.6 WAIVER OF PUNITIVE DAMAGES. EACH OF OWNER, FRANCHISEE AND FRANCHISOR ABSOLUTELY, IRREVOCABLY AND UNCONDITIONALLY WAIVES THE RIGHT TO CLAIM OR RECEIVE PUNITIVE DAMAGES IN ANY DISPUTE RELATED TO THIS AGREEMENT, THE MARRIOTT AGREEMENTS, THE HOTEL, THE RELATIONSHIP OF THE PARTIES OR ANY ACTIONS OR OMISSIONS IN CONNECTION WITH ANY OF THE ABOVE,

OTHER THAN FRANCHISOR'S RIGHTS AND REMEDIES RELATED TO FRANCHISOR'S INTELLECTUAL PROPERTY.

13.7 WAIVER OF JURY TRIAL. EACH OF OWNER, FRANCHISEE AND FRANCHISOR ABSOLUTELY, IRREVOCABLY AND UNCONDITIONALLY WAIVES TRIAL BY JURY IN ANY DISPUTE RELATED TO THIS AGREEMENT, THE MARRIOTT AGREEMENTS, THE HOTEL, THE RELATIONSHIP OF THE PARTIES OR ANY ACTIONS OR OMISSIONS IN CONNECTION WITH ANY OF THE ABOVE.

14. NOTICES

Subject to Section 25.B of the Franchise Agreement, all notices, requests, statements and other communications under this Agreement will be (i) in writing; (ii) delivered by hand with receipt, or by courier service with tracking capability; and (iii) addressed as provided in Exhibit B or at any other address designated in writing by the party entitled to receive the notice. Any notice will be deemed received (i) when delivery is received or first refused, if delivered by hand or (ii) one day after posting of such notice, if sent via overnight courier.

15. REPRESENTATIONS AND WARRANTIES

A. *Existence.* Each party represents and warrants that it (i) is duly formed, validly existing and in good standing under the laws of the jurisdiction of its formation; and (ii) has and will continue to have the ability to perform its obligations under this Agreement.

B. *Authorization.* Each of Franchisor, Franchisee and Owner represents and warrants that the execution and delivery of this Agreement and the performance of its obligations under this Agreement: (i) have been duly authorized; (ii) do not and will not violate, contravene or result in a default or breach of (a) any Applicable Law, (b) its governing documents or (c) any agreement, commitment or restriction binding on the relevant party; and (iii) do not require any consent that has not been obtained by the relevant party.

C. *Restricted Person.* Owner represents and warrants, and will ensure throughout the Term, that neither Owner nor any of its funding sources is a Restricted Person.

D. *Ownership of Owner.* Owner represents and warrants that its Interestholders are completely and accurately listed in Exhibit A. If there have been changes, Owner will provide a list of the names and addresses of the Interestholders and documents necessary to confirm such information and update Exhibit A.

E. *Ownership of the Hotel.* Owner represents and warrants that it is the sole owner of the Hotel and holds good and marketable fee title to the Approved Location.

16. MISCELLANEOUS

16.1 Counterparts. This Agreement may be executed in any number of counterparts, each of which will be deemed an original and all of which constitute one and the same instrument. Delivery of an electronic signature or an executed signature page by electronic transmission is as effective as delivery of an original signed counterpart. Each party hereto waives any defenses to the enforceability of the terms of this Agreement based on the foregoing forms of signature.

16.2 Construction and Interpretation.

A. *Partial Invalidity.* If any term of this Agreement, or its application to any Person or circumstance, is invalid or unenforceable at any time or to any extent, then (i) the remainder of this Agreement, or the application of such term to Persons or circumstances other than those as to which it is held invalid or unenforceable, will not be affected and each term of this Agreement will be valid and enforced to the fullest extent permitted by Applicable Law; and (ii) Franchisor, Franchisee and Owner will negotiate in good faith to modify this Agreement to implement their original intent as closely as possible in a mutually acceptable manner.

B. *Non-Exclusive Rights and Remedies.* No right or remedy of Franchisor, Franchisee or Owner under this Agreement is intended to be exclusive of any other right or remedy under this Agreement at law or in equity.

C. *No Third-Party Beneficiary.* Nothing in this Agreement is intended to create any third-party beneficiary or give any rights or remedies to any Person except Franchisor, Franchisee and Owner and their respective permitted successors and assigns.

D. *Interpretation of Agreement.* Franchisor, Owner and Franchisee intend that this Agreement excludes all implied terms to the maximum extent permitted by Applicable Law. Headings of Sections are for convenience and are not to be used to interpret the Sections to which they refer. All Exhibits to this Agreement are incorporated by reference. Words indicating the singular include the plural and vice versa as the context may require. References to days, months and years are all calendar references. References that a Person “will” do something mean the Person has an obligation to do so. References that a Person “may” do something mean a Person has the right, but not the obligation, to do so. References that a Person “may not” or “will not” do something mean the Person is prohibited from doing so.

E. *Definitions.* All capitalized terms not defined in this Agreement have the meaning stated in the Franchise Agreement.

16.3 Reasonable Business Judgment.

A. *Use of Reasonable Business Judgment.* Franchisor will use Reasonable Business Judgment when discharging its obligations or exercising its rights under this Agreement, including for any consents and approvals and the administration of Franchisor’s relationship with Owner, except when Franchisor has reserved sole discretion.

B. *Burden of Proof.* Owner will have the burden of establishing that Franchisor failed to exercise Reasonable Business Judgment. The fact that Franchisor or any Affiliate of Franchisor benefited from any action or decision or that another reasonable alternative was available does not mean that Franchisor failed to exercise Reasonable Business Judgment. If this Agreement is subject to any implied covenant or duty of good faith and Franchisor exercises Reasonable Business Judgment, Owner agrees that Franchisor will not have violated such covenant or duty.

16.4 Waiver. The failure or delay of either party to insist on strict performance of any of the terms of this Agreement, or to exercise any right or remedy, will not be a waiver for the future.

16.5 Entire Agreement. This Agreement and the Marriott Agreements are fully integrated and contain the entire agreement between the parties as it relates to the Hotel and the Approved Location and supersede all prior understandings and writings.

16.6 Amendments. This Agreement may only be amended in a written document that has been duly executed by the parties and may not be amended by conduct manifesting assent, and each party is put on notice that any individual purporting to amend this Agreement by conduct manifesting assent is not authorized to do so.

16.7 Survival. The terms of Sections 1, 6, 10, 11 and 13 of this Agreement, and, to the extent applicable to Owner, Section 27.8 of the Franchise Agreement, survive expiration or termination of this Agreement.

{Signatures appear on the following page}

IN WITNESS WHEREOF, the parties have caused this Owner Agreement to be executed, under seal, as of the Effective Date.

FRANCHISOR:

«FRANCHISOR_LICENSOR»

By: _____ (SEAL)
Name:
Title:

FRANCHISEE:

«FRANCHISE_NAME»

By: _____ (SEAL)
Name:
Title:

OWNER:

«OWNER_NAME»

By: _____ (SEAL)
Name:
Title:

EXHIBIT A
OWNERSHIP INTERESTS IN OWNER

Name of Owner	Address (Include Country of Residence, if not U.S.)	Country of Formation or Nationality (Include if not U.S.)	% Interest
NAME AND ADDRESS OF «OWNER_NAME»			
«Owner_Name»	«own_street» «own_city», «own_state» «own_ZipCode»		N/A
OWNERSHIP OF «OWNER_NAME»			
			%
			%
OWNERSHIP OF			
			%
			%

EXHIBIT B
NOTICE ADDRESSES

To Franchisor:

Prior to August 1, 2022:

«Franchisor_Licenser»
10400 Fernwood Road
Bethesda, MD 20817
Attn: Law Department 52/923.28

with a copy to:

Marriott International, Inc.
10400 Fernwood Road
Bethesda, MD 20817
Attn: Global Lodging Services

On and after August 1, 2022:

«Franchisor_Licenser»
7750 Wisconsin Avenue
Bethesda, MD 20814
Attn: Law Department 52/923.28

with a copy to:

Marriott International, Inc.
7750 Wisconsin Avenue
Bethesda, MD 20814
Attn: Global Lodging Services

To Owner:

«Owner_Name»
«own_street»
«own_city», «own_state» «own_ZipCode»
Attn: «Owner_Attn»
Email: «Owner_email»

To Franchisee:

«Franchise_Name»
«fran_street»
«fran_city», «fran_state» «franZipCode»
Attn: «Fran_Attn»
Email: «Fran_email»

EXHIBIT C
FRANCHISE AGREEMENT

Recording Requested by:
[Marriott Attorney]
Marriott International, Inc.
10400 Fernwood Road
Dept. [52/923.28] or
[52/923.27]
Bethesda, MD 20817

Document Prepared by:
Marriott International, Inc.
10400 Fernwood Road
Dept. [52/923.28] or
[52/923.27]
Bethesda, MD 20817

When Recorded, Mail to:
Mr. Brian A. Lobuts
Vice President
Associate Regional Director
First American National
Commercial Services
1850 K Street NW, Suite 1050
Washington, DC 20006

This space reserved for Recorder's use only.

MEMORANDUM OF RIGHT OF FIRST REFUSAL

MEMORANDUM OF RIGHT OF FIRST REFUSAL

This Memorandum of Right of First Refusal (“Memorandum”), dated as of _____ between «Franchisor_Licensor», a «Local_juris» «entity_type» (“Franchisor”), «Franchise_Name», a/an «Fran_Domicili» «Fran_corp» (“Franchisee”), and «Owner_Name», a/an «Owner_Domicili» «Owner_corp» (“Owner”).

RECITALS

- A. Franchisor and Franchisee entered into a «brand» Franchise Agreement dated _____ (the “Franchise Agreement”), relating to the real property located in [County/City], State of _____, described on Exhibit 1 (the “Real Property”).
- B. Franchisor, Franchisee and Owner have entered into an Owner Agreement dated _____ (the “Owner Agreement”) with respect to the Real Property.
- C. Owner is the fee owner of the Real Property.
- D. Franchisor, Franchisee and Owner are executing this Memorandum as required by Section 17.5.B. of the Franchise Agreement and Section ____ of the Owner Agreement to be recorded in the Land Records of [County/City], _____ (the “Local Jurisdiction”).

AGREEMENT

NOW THEREFORE, for the good and valuable consideration, the receipt and sufficiency of which are acknowledged, the parties agree as follows:

- 1. **Grant of Right of First Refusal.** Each of Franchisee and Owner have granted Franchisor the right of first refusal (the “Right of First Refusal”) to purchase the Real Property together with its improvements (the “Premises”), on the terms in Section 17.5 of the Franchise Agreement and Section [7.2/8.2] of the Owner Agreement.
- 2. **Real Estate Interest and Injunctive Relief.** Each of Franchisee and Owner acknowledges that Franchisor’s rights under Section 17.5 of the Franchise Agreement and Section [7.2/8.2] of the Owner Agreement are real estate rights in the Premises. Each of Franchisee and Owner acknowledges and agrees that damages are not an adequate remedy if Franchisee breaches its obligations under Section 17.5 of the Franchise Agreement or if Owner breaches its obligations under Section [7.2/8.2] of the Owner Agreement, and that Franchisor will in either case be entitled to injunctive relief without proving the inadequacy of money damages as a remedy and without posting a bond.
- 3. **Term.** The Right of First Refusal will terminate on the later of the termination of the Franchise Agreement or the termination of the Owner Agreement, except if there is an early termination (as opposed to expiration) of either agreement, in which case, the Right of First Refusal will survive such early termination as provided in Section 17.5.C. of the Franchise Agreement and Section [7.2/8.2] of the Owner Agreement.
- 4. **Subordination.** Franchisor’s rights in real estate under Section 17.5.A. of the Franchise Agreement and Section [7.2/8.2] of the Owner Agreement will be subordinate only to the rights of lenders under a mortgage or security deed secured by the Premises, only if and as long as: (i) the lender is not a Competitor or Affiliate of a Competitor (as defined in the Franchise Agreement); and (ii) any such mortgage or security deed remains validly recorded and in full force and effect.

5. **Addresses.** Prior to August 1, 2022, Franchisor's address is 10400 Fernwood Road, Bethesda, MD 20817, Attn: Law Department 52/923.28. On and after August 1, 2022, Franchisor's address is 7750 Wisconsin Avenue, Bethesda, MD 20814, Attn: Law Department 52/923.28. Franchisee's address is «fran_street», «fran_city», «fran_state» «franZipCode». Owner's address is «own_street», «own_city», «own_state» «own_ZipCode».

{Signatures appear on the following page}

IN WITNESS WHEREOF, the parties have caused this Memorandum to be executed, under seal,
as of the date first above written.

FRANCHISOR:

«FRANCHISOR_LICENSOR»

By: _____(SEAL)
Name:
Title:

FRANCHISEE:

«FRANCHISE_NAME»

By: _____(SEAL)
Name:
Title:

OWNER:

«OWNER_NAME»

By: _____(SEAL)
Name:
Title:

STATE OF MARYLAND

COUNTY OF _____

I HEREBY CERTIFY that on _____ before me, a Notary Public, personally appeared _____, who acknowledged himself/herself to be the _____ of «Franchisor_Licensor», a «Local_juris» «entity_type», and that he/she, as such officer, being authorized so to do, executed the foregoing instrument for the purposes therein contained by signing the name of the «Franchisor_Licensor» by himself/herself as such officer.

WITNESS my hand and Notarial Seal.

(SEAL)

_____, Notary Public
My Commission Expires: _____

STATE OF _____

COUNTY OF _____

I HEREBY CERTIFY that on _____ before me, a Notary Public, personally appeared _____, who acknowledged himself/herself to be the _____ of «Franchise_Name», a/an «Fran_Domicili» «Fran_corp» (the «Franchisee»), and that he/she, as such officer, being authorized so to do, executed the foregoing instrument for the purposes therein contained by signing the name of Franchisee by himself/herself as such officer.

WITNESS my hand and Notarial Seal.

(SEAL)

_____, Notary Public
My Commission Expires: _____

STATE OF _____

CITY/COUNTY OF _____

I HEREBY CERTIFY that on _____ before me, a Notary Public, personally appeared _____, who acknowledged himself/herself to be the _____ of «Owner_Name», a/an «Owner_Domicili» «Owner_corp» (the “Owner”), and that he/she, as such officer, being authorized so to do, executed the foregoing instrument for the purposes therein contained by signing the name of Owner by himself/herself as such officer.

WITNESS my hand and Notarial Seal.

(SEAL)

_____, Notary Public
My Commission Expires: _____

EXHIBIT 1 TO MEMORANDUM OF RIGHT OF FIRST REFUSAL

[Legal Description]

EXHIBIT D

STATE AMENDMENT TO DISCLOSURE DOCUMENT

STATE AMENDMENTS TO DISCLOSURE DOCUMENT

This exhibit contains amendments to the disclosure document for the following states:

California

Hawaii

Illinois

Maryland

Minnesota

New York

North Dakota

Rhode Island

Virginia

Washington

CALIFORNIA

STATUTORY AND REGULATORY PROVISIONS AND REQUIREMENTS OF THE STATE OF CALIFORNIA APPLICABLE TO THE FRANCHISE DISCLOSURE DOCUMENT

- THE CALIFORNIA FRANCHISE INVESTMENT LAW REQUIRES THAT A COPY OF ALL PROPOSED AGREEMENTS RELATING TO THE SALE OF THE FRANCHISE BE DELIVERED TOGETHER WITH THE DISCLOSURE DOCUMENT.

- Item 3 of the disclosure document is modified to include the following:

Neither we, nor any person identified in Item 2, is subject to any currently effective order of any national securities association or national securities exchange (as defined in the Securities and Exchange Act of 1934, 15 U.S.C. § 78a, et seq.) suspending or expelling such person from membership in such association or exchange.

- Item 17 of the disclosure document is modified to include the following:
 - California Business and Professions Code Sections 2000 through 20043 provide rights to the franchisee concerning termination, transfer or non-renewal of a franchise. If the franchise agreement contains a provision that is inconsistent with the law, the law will control.
 - The franchise agreement provides for termination upon bankruptcy. This provision may not be enforceable under federal bankruptcy law (11 U.S.C.A. § 101, et seq.)
 - The franchise agreement contains a liquidated damages clause. Under California Civil Code Section 1671, certain liquidated damages clauses are unenforceable.
 - The franchise agreement requires application of the laws of the state of Maryland. This provision may not be enforceable under California law.
 - The franchise agreement requires binding arbitration. The arbitration will occur in Baltimore, Maryland with the costs being borne by the parties as determined by the arbitrator(s). Prospective franchisees are encouraged to consult private legal counsel to determine the applicability of California and federal laws (such as Business and Professions Code Section 20040.5, Code of Civil Procedure Section 1281, and the Federal Arbitration Act) to any provisions of a franchise agreement restricting venue to a forum outside the State of California.
- Item 19 of the disclosure document is modified to include the following:

The financial performance representations figures do not reflect the costs of sales, operating expenses, or other costs or expenses that must be deducted from the gross revenue or gross sales figures to obtain your net income or profit. You should conduct an independent investigation of the costs and expenses you will incur in operating your franchised business. Franchisees or former franchisees, listed in the disclosure document, may be one source of this information.

OUR WEBSITE HAS NOT BEEN REVIEWED OR APPROVED BY THE CALIFORNIA DEPARTMENT OF FINANCIAL PROTECTION AND INNOVATION. ANY COMPLAINTS CONCERNING THE CONTENT OF THIS WEBSITE MAY BE DIRECTED TO THE CALIFORNIA DEPARTMENT OF FINANCIAL PROTECTION AND INNOVATION AT WWW.DFPI.CA.GOV.

Each provision of this Amendment to the disclosure document will be effective only to the extent, with respect to such provision, that the jurisdictional requirements of the California Franchise Investment Law or the California Franchise Relations Act, as applicable, are met independently without reference to this Amendment to the disclosure document and to the extent it is then a valid requirement of the statute.

HAWAII

STATUTORY AND REGULATORY PROVISIONS AND REQUIREMENTS OF THE STATE OF HAWAII APPLICABLE TO THE FRANCHISE DISCLOSURE DOCUMENT

- **THESE FRANCHISES WILL BE/HAVE BEEN FILED UNDER THE FRANCHISE INVESTMENT LAW OF THE STATE OF HAWAII. FILING DOES NOT CONSTITUTE APPROVAL, RECOMMENDATION OR ENDORSEMENT BY THE COMMISSIONER OF SECURITIES, DEPARTMENT OF COMMERCE AND CONSUMER AFFAIRS OR A FINDING BY THE COMMISSIONER OF SECURITIES, DEPARTMENT OF COMMERCE AND CONSUMER AFFAIRS THAT THE INFORMATION PROVIDED HEREIN IS TRUE, COMPLETE AND NOT MISLEADING.**
- **THE FRANCHISE INVESTMENT LAW MAKES IT UNLAWFUL TO OFFER OR SELL ANY FRANCHISE IN THIS STATE WITHOUT FIRST PROVIDING TO THE PROSPECTIVE FRANCHISEE, OR SUBFRANCHISOR, AT LEAST SEVEN DAYS PRIOR TO THE EXECUTION BY THE PROSPECTIVE FRANCHISEE, OF ANY BINDING FRANCHISE OR OTHER AGREEMENT, OR AT LEAST SEVEN DAYS PRIOR TO THE PAYMENT OF ANY CONSIDERATION BY THE FRANCHISEE, OR SUBFRANCHISOR, WHICHEVER OCCURS FIRST, A COPY OF THE DISCLOSURE DOCUMENT, TOGETHER WITH A COPY OF ALL PROPOSED AGREEMENTS RELATING TO THE SALE OF THE FRANCHISE.**
- **THIS DISCLOSURE DOCUMENT CONTAINS A SUMMARY ONLY OF CERTAIN MATERIAL PROVISIONS OF THE FRANCHISE AGREEMENT. THE CONTRACT OR AGREEMENT SHOULD BE REFERRED TO FOR A STATEMENT OF ALL RIGHTS, CONDITIONS, RESTRICTIONS AND OBLIGATIONS OF BOTH THE FRANCHISOR AND THE FRANCHISEE.**

Each provision of this Amendment to the disclosure document that relates to the Hawaii Franchise Investment Law will be effective only to the extent, with respect to such provision, that the jurisdictional requirements of the Hawaii Franchise Investment Law are met independently without reference to this Amendment to the disclosure document and to the extent it is then a valid requirement of the statute.

ILLINOIS

STATUTORY AND REGULATORY PROVISIONS AND REQUIREMENTS OF THE STATE OF ILLINOIS APPLICABLE TO THE FRANCHISE DISCLOSURE DOCUMENT

- The Cover Page, Item 17.v., “Choice of forum” and Item 17.w., “Choice of law,” are supplemented by the following:

If the Franchise Agreement requires (i) litigation to be conducted in a forum other than the State of Illinois, the requirement is void with respect to claims under the Illinois Franchise Disclosure Act (“Act”), provided that the Franchise Agreement may provide for arbitration in a forum outside of Illinois; and (ii) that it be governed by a state’s law, other than the State of Illinois, to the extent that such law conflicts with the Act, Illinois law will govern.

Each provision of this Amendment to the disclosure document will be effective only to the extent, with respect to such provision, that the jurisdictional requirements of the Illinois Franchise Disclosure Act are met independently, without reference to this Amendment to the disclosure document and to the extent it is then a valid requirement of the statute.

MARYLAND

STATUTORY AND REGULATORY PROVISIONS AND REQUIREMENTS OF THE STATE OF MARYLAND APPLICABLE TO THE FRANCHISE DISCLOSURE DOCUMENT

- Item 17.c., “Requirements for franchisee to renew or extend” and Item 17.m. “Conditions for franchisor approval of transfer” of the disclosure document are amended by the addition of the following:

Maryland Franchise Registration and Disclosure Law, Section 14-226 prohibits franchisors from, as a condition to the sale of a franchise, requiring a prospective franchisee to agree to a release, assignment, novation, waiver, or estoppel that would relieve a person from liability under, when applicable, the Maryland Franchise Registration and Disclosure Law.

- Item 17 of the disclosure document is amended by the addition of the following paragraphs at the conclusion of the Item:

Any claims that Franchisee may have under the Maryland Franchise Registration and Disclosure Law must be brought within 3 years after the grant of the franchise.

A provision in the Franchise Agreement which terminates the agreement upon your bankruptcy may not be enforceable under federal bankruptcy law, 11 U.S.C. Section 101 et seq.

Each provision of this Amendment to the disclosure document will be effective only to the extent, with respect to such provision, that the jurisdictional requirements of the Maryland Franchise Registration and Disclosure Law are met independently, without reference to this Amendment to the disclosure document and to the extent it is then a valid requirement of the statute.

MINNESOTA

STATUTORY AND REGULATORY PROVISIONS AND REQUIREMENTS OF THE STATE OF MINNESOTA APPLICABLE TO THE FRANCHISE DISCLOSURE DOCUMENT

The following language is a summary of certain provisions of Minnesota law that may apply to Minnesota franchisees and is intended to amend and supplement Items 6, 13, and 17 of the disclosure document and the Cover Page:

- Minnesota Statutes, Section 80C.21 and Minnesota Rules 2860.4400(J) prohibit the franchisor from requiring litigation to be conducted outside Minnesota, requiring waiver of a jury trial, or requiring the franchisee to consent to liquidated damages, termination penalties, or judgment notes. In addition, nothing in the disclosure document or agreement(s) can abrogate or reduce (1) any of the franchisee's rights as provided for in Minnesota Statutes, Chapter 80C or (2) franchisee's rights to any procedure, forum, or remedies provided for by the laws of the jurisdiction.
- With respect to franchises governed by Minnesota law, the franchisor will comply with Minnesota Statutes, Section 80C.14, Subd. 3-5, which require (except in certain specified cases): (1) that a franchisee be given 90 days notice of termination (with 60 days to cure) and 180 days notice for non-renewal of the franchise agreement; and (2) that consent to the transfer of the franchise will not be unreasonably withheld.
- The franchisor will protect the franchisee's rights to use the trademarks, service marks, trade names, logotypes, or other commercial symbols, or indemnify the franchisee from any loss, costs, or expenses arising out of any claim, suit, or demand regarding the use of the name.
- Minnesota considers it unfair to not protect the franchisee's rights to use the trademarks. Refer to Minnesota Statutes, Section 80C.12, Subd. 1(g).
- Minnesota Rules 2860.4400(D) prohibits a franchisor from requiring a franchisee to assent to a general release.
- The franchisee cannot consent to the franchisor obtaining injunctive relief. The franchisor may seek injunctive relief. See Minn. Rules 2860.4400J. Also, a court will determine if a bond is required.
- The Limitations of Claims section must comply with Minnesota Statutes, Section 80C.17, Subd. 5.

Each provision of this Amendment to the disclosure document will be effective only to the extent, with respect to such provision, that the jurisdictional requirements of the Minnesota Franchises Law are met independently without reference to this Amendment to the disclosure document and to the extent it is then a valid requirement of the statute.

NEW YORK

STATUTORY AND REGULATORY PROVISIONS AND REQUIREMENTS OF THE STATE OF NEW YORK APPLICABLE TO THE FRANCHISE DISCLOSURE DOCUMENT

- Item 3, “Litigation” of the disclosure document is amended by deleting the last paragraph in that Item and replacing it by the following:

Other than these actions:

(1) Neither we, any predecessor, any person identified in Item 2 above, nor any affiliate offering franchises under our principal trademark has pending any administrative, criminal or material civil action (or a significant number of civil actions irrespective of materiality) alleging a violation of any franchise, antitrust or securities law, fraud, embezzlement, fraudulent conversion, misappropriation of property, unfair or deceptive practices, or comparable allegations.

(2) Neither we, any predecessor, any person identified in Item 2 above, nor any affiliate offering franchises under our principal trademark has been convicted of a felony or pleaded nolo contendere to a felony charge or, within the ten-year period immediately preceding the date of this disclosure document, has been convicted of a misdemeanor or pleaded nolo contendere to a misdemeanor charge or been held liable in a civil action by final judgment or been the subject of a material complaint or other legal proceeding if such misdemeanor conviction or charge or civil action, complaint or other legal proceeding involved a violation of any franchise, anti-fraud or securities law, fraud, embezzlement, fraudulent conversion, misappropriation of property, unfair or deceptive practices, misappropriation of property or comparable allegations.

(3) Neither we, any predecessor any person identified in Item 2 above, nor any affiliate offering franchises under our principal trademark is subject to any currently effective injunctive or restrictive order or decree relating to franchises or under any Federal, State or Canadian franchise, securities, antitrust, trade regulation or trade practice law as a result of a concluded or pending action or proceeding brought by a public agency, is subject to any currently effective order of any national securities association or national securities exchange, as defined in the Securities and Exchange Act of 1934, suspending or expelling such person from membership in such association or exchange; or is subject to a currently effective injunctive or restrictive order relating to any other business activity as a result of an action brought by a public agency or department, including, without limitation, actions affecting a license as a real estate broker or sales agent.

- Item 4, “Bankruptcy” of the disclosure document is deleted in its entirety and the following language substituted in lieu thereof:

Neither we, nor any affiliate or predecessor or current officer or general partner have during the 10 year period immediately before the date of this Disclosure Document (a) filed as a debtor (or had filed against it) a petition to start an action under the U.S. Bankruptcy Code; (b) obtained a discharge of its debts under the Bankruptcy Code; or (c) was a principal officer of a company or a general partner in a partnership that either filed as a debtor (or had filed against it) a petition to start an action under the U.S. Bankruptcy Code or that obtained a discharge of its debts under the U.S. Bankruptcy Code during or within 1 year after the officer or general partner of the franchisor held this position with the company or partnership.

- Item 17.d., “Termination by you” of the disclosure document is amended by the addition of the following:

To the extent required by the New York General Business Law, you may terminate the Agreement on any grounds available by law.

- Item 17.w., “Choice of law” of the disclosure document is amended by the addition of the following:

The foregoing choice of law should not be considered a waiver of any right conferred upon you by the General Business Law of the State of New York, Article 33.

- Statement of disclosure document accuracy:

Franchisor represents that this disclosure document does not knowingly omit any material fact or contain any untrue statement of a material fact.

Each provision of this Amendment to the disclosure document will be effective only to the extent, with respect to such provision, that the jurisdictional requirements of the New York General Business Law, Article 33 are met independently, without reference to this Amendment to the disclosure document and to the extent it is then a valid requirement of the statute.

NORTH DAKOTA

STATUTORY AND REGULATORY PROVISIONS AND REQUIREMENTS OF THE STATE OF NORTH DAKOTA APPLICABLE TO THE FRANCHISE DISCLOSURE DOCUMENT

1. The North Dakota Securities Commissioner has held the following to be unfair, unjust, or inequitable to North Dakota franchisees (Section 51-19-09, N.D.C.C.):

- **Restriction on Forum:** Requiring North Dakota franchisees to consent to the jurisdiction of courts outside of North Dakota.
- **Liquidated Damages and Termination Penalties:** Requiring North Dakota franchisees to consent to liquidated damages or termination penalties.
- **Applicable Laws:** Franchise agreements which specify that any claims arising under the North Dakota franchise law will be governed by the laws of a state other than North Dakota.
- **Waiver of Trial by Jury:** Requiring North Dakota franchisees to consent to the waiver of a trial by jury.
- **Waiver of Exemplary and Punitive Damages:** Requiring North Dakota franchisees to consent to a waiver of exemplary and punitive damages.
- **General Release:** Requiring North Dakota franchisees to execute a general release of claims as a condition of renewal or transfer of a franchise.

2. Any arbitration will be held at a site mutually agreeable to the franchisor and the franchisee.

3. Each provision of this Amendment to the disclosure document will be effective only to the extent, with respect to such provision, that the jurisdictional requirements of the North Dakota Franchise Investment Law, N.D. Cent. Code, §§ 51-19-1 through 51-19-17, are met independently without reference to this Amendment to the disclosure document and to the extent it is then a valid requirement of the statute.

RHODE ISLAND

**STATUTORY AND REGULATORY PROVISIONS AND
REQUIREMENTS OF THE RHODE ISLAND FRANCHISE INVESTMENT ACT
APPLICABLE TO THE FRANCHISE DISCLOSURE DOCUMENT**

Item 17, “Renewal, Termination, Transfer, and Dispute Resolution,” is amended by the addition of the following paragraph(s) at the conclusion of the Item:

§ 19-28.1-14 of the Rhode Island Franchise Investment Act provides that “A provision in a franchise agreement restricting jurisdiction or venue to a forum outside this state or requiring the application of the laws of another state is void with respect to a claim otherwise enforceable under this Act.”

This Amendment to the disclosure document will be effective only to the extent, with respect to such provision, that the jurisdictional requirements of the Rhode Island Franchise Investment Act, §§ 19-28.1-1 through 19-28.1-34, are met independently without reference to this Amendment to the disclosure document and to the extent it is then a valid requirement of the statute.

VIRGINIA

STATUTORY AND REGULATORY PROVISIONS AND REQUIREMENTS OF THE STATE OF VIRGINIA RETAIL FRANCHISING ACT APPLICABLE TO THE FRANCHISE DISCLOSURE DOCUMENT

- Item 17.h., “‘Cause’ defined-non-curable defaults” of the disclosure document is modified to include the following:

Under Section 13.1-564 of the Virginia Retail Franchising Act, it is unlawful for a franchisor to cancel a franchise without reasonable cause. If any ground for default or termination stated in the franchise agreement does not constitute “reasonable cause,” as that term may be defined in the Virginia Retail Franchising Act or the laws of Virginia, that provision may not be enforceable.

This Amendment to the disclosure document will be effective only to the extent, with respect to such provision, that the jurisdictional requirements of the Virginia Retail Franchising Act, §§ 13.1-557 through 13.1-574, are met independently without reference to this Amendment to the disclosure document and to the extent it is then a valid requirement of the statute.

WASHINGTON

STATUTORY AND REGULATORY PROVISIONS AND REQUIREMENTS OF THE STATE OF WASHINGTON APPLICABLE TO THE FRANCHISE DISCLOSURE DOCUMENT

Item 17, “Renewal, Termination, Transfer, and Dispute Resolution,” is amended by the addition of the following paragraph(s) at the conclusion of the Item:

- The state of Washington has a statute, the Washington Franchise Investment Protection Act, RCW 19.100.010 to 19.100.940 (the “Act”), which may supersede the franchise agreement in your relationship with the franchisor including the areas of termination, renewal, and transfer of your franchise. There also may be court decisions which may supersede the franchise agreement in your relationship with the franchisor including the areas of termination and renewal of your franchise.
- In the event of a conflict of laws, the provisions of the Act will prevail.
- According to a Franchise Act Interpretive Statement adopted by the Washington Department of Financial Institutions, transfer fees are collectable to the extent that they reflect the franchisor’s reasonable estimate or actual costs in effecting a transfer.
- According to a Franchise Act Interpretive Statement adopted by the Washington Department of Financial Institutions, in any arbitration involving a franchise purchased in Washington, the arbitration site will be either in the state of Washington, or in a place mutually agreed upon at the time of the arbitration, or as determined by the arbitrator.
- A release or waiver of rights executed by a franchisee may not include rights under the Act or any rule or order thereunder except when executed pursuant to a negotiated settlement after the agreement is in effect and where the parties are represented by independent counsel. Provisions in the franchise agreement such as those which unreasonably restrict or limit the statute of limitations period for claims under the Act or a franchisee’s rights or remedies under the Act may not be enforceable.

Each provision of this Amendment to the disclosure document will be effective only to the extent, with respect to such provision, that the jurisdictional requirements of the Washington Franchise Investment Protection Act, Wash. Rev. Code §§ 19.100.180 are met independently without reference to this Amendment to the disclosure document and to the extent it is then a valid requirement of the statute.

EXHIBIT E

STATE AMENDMENTS TO FRANCHISE AGREEMENT

STATE AMENDMENTS TO FRANCHISE AGREEMENT

This exhibit contains amendments to the franchise agreement for the following states:

Hawaii

Illinois

Maryland

Minnesota

New York

North Dakota

Rhode Island

Virginia

Washington

**AMENDMENT TO FRANCHISE AGREEMENT
REQUIRED BY THE STATE OF HAWAII**

Franchisor and Franchisee, parties to the attached Franchise Agreement (the “Agreement”), agree as follows:

1. Each provision of this Amendment to the Agreement that relates to the Hawaii Franchise Investment Law, Hawaii Rev. Stat. §§ 482E, et seq., will be effective only to the extent that the jurisdictional requirements of the Hawaii Franchise Investment Law are met independently with respect to each such provision and without reference to this Amendment to the Agreement.

2. Franchisor reserves the right to challenge the applicability of any law that declares provisions in the Agreement void or unenforceable.

IN WITNESS WHEREOF, Franchisor and Franchisee have caused this Amendment to the Agreement to be executed, under seal, as of the Effective Date of the Agreement.

FRANCHISOR:

«FRANCHISOR_LICENSOR»

By: _____ (SEAL)
Name:
Title:

FRANCHISEE:

«FRANCHISE_NAME»

By: _____ (SEAL)
Name:
Title:

**AMENDMENT TO FRANCHISE AGREEMENT
REQUIRED BY THE STATE OF ILLINOIS**

In recognition of the requirements of the Illinois Franchise Disclosure Act of 1987, Ill. Comp. Stat. §§ 705/1 to 705/44 (the “Illinois Franchise Disclosure Act” or the “Act”), Franchisor and Franchisee, parties to the attached Franchise Agreement (the “Agreement”) agree as follows:

1. Section 2.2 (“Not Renewable”) of the Agreement is supplemented by the following:

If any of the provisions of this Section 2.2 concerning nonrenewal are inconsistent with the provisions of Section 705/20 of the Illinois Franchise Disclosure Act, then such provisions of the Act will apply.

2. Section 19 (“Default and Termination”) of the Agreement is supplemented by the following:

If any of the provisions of this Section 19 governing termination are inconsistent with the provisions of Section 705/19 of the Illinois Franchise Disclosure Act, then such provisions of the Act will apply.

3. Section 24.1 (“Governing Law, Arbitration, and Jurisdiction”) of the Agreement is supplemented by the following:

C. If any of the provisions of this Section 24.1 of the Agreement are inconsistent with the provisions of Section 705/4 or 705/41 of the Illinois Franchise Disclosure Act, then such Illinois law will apply to the extent such law is constitutional and the jurisdictional requirements of the Illinois Franchise Disclosure Act (as amended) are met, provided that the Agreement may provide for arbitration in a forum outside of Illinois.

4. Section 24.4 (“WAIVER OF PUNITIVE DAMAGES”) and Section 24.5 (“WAIVER OF JURY TRIAL”) of the Agreement are supplemented by the following:

If any of the provisions of this Section of the Agreement are inconsistent with the provisions of Section 705/41 of the Illinois Franchise Disclosure Act, then such provisions of the Act will apply to the extent such law is constitutional and the jurisdictional requirements of the Illinois Franchise Disclosure Act (as amended) are met.

5. Each provision of this Amendment to the Agreement will be effective only to the extent that the jurisdictional requirements of the Illinois Franchise Disclosure Act are met independently with respect to each such provision and without reference to this Amendment to the Agreement.

6. Franchisor reserves the right to challenge the applicability of any law that declares provisions in the Agreement void or unenforceable.

{Signatures appear on following page}

IN WITNESS WHEREOF, Franchisor and Franchisee have caused this Amendment to the Agreement to be executed, under seal, as of the Effective Date of the Agreement.

FRANCHISOR:

«FRANCHISOR_LICENSOR»

By: _____ (SEAL)
Name:
Title:

FRANCHISEE:

«FRANCHISE_NAME»

By: _____ (SEAL)
Name:
Title:

**AMENDMENT TO FRANCHISE AGREEMENT
REQUIRED BY THE STATE OF MARYLAND**

In recognition of the requirements of the Maryland Franchise Registration and Disclosure Law, M.D. BUS. REG. CODE ANN. §§ 14-201 *et. seq.* (2010 Repl. Vol. and Supp 2011), Franchisor and Franchisee, parties to the attached Franchise Agreement (the “Agreement”), agree as follows:

1. Section 17.4.A(6) of the Agreement is supplemented by the following:

The release required as a condition of a transfer will not apply to any liability under the Maryland Franchise Registration and Disclosure Law to the extent, if any, that a release of such liability would be prohibited under the Maryland Franchise Registration and Disclosure Law at the time the release is provided.

2. Section 26.2 of the Agreement (“Additional Franchisee Acknowledgments and Representations”) is supplemented by the following:

F. The foregoing acknowledgments are not intended to nor will they act as a release, estoppel or waiver of any liability under the Maryland Franchise Registration and Disclosure Law.

3. Section 24 of the Agreement is supplemented by the following Section 24.6:

24.6 Limitations Period. Any Dispute arising under the Maryland Franchise Registration and Disclosure Law must be brought within 3 years after the grant of the franchise.

4. Each provision of this Amendment will be effective only to the extent that the jurisdictional requirements of the Maryland Franchise Registration and Disclosure Law are met independently with respect to each such provision and without reference to this Amendment. This Amendment will have no force or effect if such jurisdictional requirements are not met.

5. Franchisor reserves the right to challenge the applicability of any law that declares provisions in the Agreement void or unenforceable.

{Signatures appear on following page}

IN WITNESS WHEREOF, Franchisor and Franchisee have caused this Amendment to the Agreement to be executed, under seal, as of the Effective Date of the Agreement.

FRANCHISOR:

«FRANCHISOR_LICENSOR»

By: _____ (SEAL)
Name:
Title:

FRANCHISEE:

«FRANCHISE_NAME»

By: _____ (SEAL)
Name:
Title:

AMENDMENT TO FRANCHISE AGREEMENT REQUIRED BY THE STATE OF MINNESOTA

In recognition of the requirements of the Minnesota Franchise Act, Minn. Stat. § 80C., and of the Rules and Regulations promulgated thereunder by the Commissioner of Commerce, Franchisor and Franchisee, parties to the attached Franchise Agreement (the “Agreement”), agree as follows:

1. The Commissioner of Commerce for the State of Minnesota requires that certain provisions contained in franchise documents be amended to be consistent with Minnesota Franchise Act, Minn. Stat. Section 80C.01 et seq., and the Rules and Regulations promulgated under the Act (collectively the “Franchise Act”). To the extent that the Agreement and Franchise Disclosure Document contain provisions that are inconsistent with the following, such provisions are hereby amended:

- a. Minnesota Statutes, Section 80C.21 and Minnesota Rules 2860.4400(J) prohibit the franchisor from requiring litigation to be conducted outside Minnesota, requiring waiver of a jury trial, or requiring the franchisee to consent to liquidated damages, termination penalties, or judgment notes. In addition, nothing in the Franchise Disclosure Document or agreement(s) can abrogate or reduce (1) any of the franchisee’s rights as provided for in Minnesota Statutes, Chapter 80C or (2) franchisee’s rights to any procedure, forum, or remedies provided for by the laws of the jurisdiction.
- b. With respect to franchises governed by Minnesota law, the franchisor will comply with Minnesota Statutes, Section 80C.14, Subd. 3-5, which require (except in certain specified cases): (1) that a franchisee be given 90 days’ notice of termination (with 60 days to cure) and 180 days’ notice for non-renewal of the franchise agreement; and (2) that consent to the transfer of the franchise will not be unreasonably withheld.
- c. The franchisor will protect the franchisee’s rights to use the trademarks, service marks, trade names, logotypes, or other commercial symbols, or indemnify the franchisee from any loss, costs, or expenses arising out of any claim, suit, or demand regarding the use of the name.
- d. Minnesota considers it unfair to not protect the franchisee’s rights to use the trademarks. Refer to Minnesota Statutes, Section 80C.12, Subd. 1(g).
- e. Minnesota Rules 2860.4400(D) prohibits a franchisor from requiring a franchisee to assent to a general release.
- f. The franchisee cannot consent to the franchisor obtaining injunctive relief. The franchisor may seek injunctive relief. See Minn. Rules 2860.4400J. Also, a court will determine if a bond is required.
- g. The Limitations of Claims section must comply with Minnesota Statutes, Section 80C.17, Subd. 5.

2. Each provision of this Amendment to the Agreement will be effective only to the extent that the jurisdictional requirements of the Minnesota Franchise Act are met independently with respect to each such provision and without reference to this Amendment to the Agreement. This Amendment to the Agreement will have no force or effect if such jurisdictional requirements are not met.

3. Franchisor reserves the right to challenge the applicability of any law that declares provisions in the Agreement void or unenforceable.

IN WITNESS WHEREOF, Franchisor and Franchisee have caused this Amendment to the Agreement to be executed, under seal, as of the Effective Date of the Agreement.

FRANCHISOR:

«FRANCHISOR_LICENSOR»

By: _____(SEAL)
Name:
Title:

FRANCHISEE:

«FRANCHISE_NAME»

By: _____(SEAL)
Name:
Title:

**AMENDMENT TO FRANCHISE AGREEMENT
FOR THE STATE OF NEW YORK**

Franchisor and Franchisee, parties to the attached Franchise Agreement (the “Agreement”), agree to amend the Agreement as follows:

1. The New York Department of Law requires that certain provisions contained in franchise documents be amended to be consistent with New York law, including the New York General Business Law, Article 33, Sections 680 through 695. To the extent that the Agreement contains provisions that are inconsistent with the following, such provisions are hereby amended:

- a. If the Franchisee is required in the Agreement to execute a release of claims or to acknowledge facts that would negate or remove from judicial review any statement, misrepresentation or action that would violate the General Business Law, regulation, rule or order under the Law, such release will exclude claims arising under the New York General Business Law, Article 33, Section 680 through 695 and the regulations promulgated thereunder, and such acknowledgments will be void. It is the intent of this provision that non-waiver provisions of Sections 687.4 and 687.5 of the General Business Law be satisfied.
- b. If the Agreement requires that it be governed by the law of a state, other than the State of New York, the choice of law provision will not be considered to waive any rights conferred on the Franchisee under the New York General Business Law, Article 33, Sections 680 through 695.

2. Each provision of this Amendment to the Agreement will be effective only to the extent that the jurisdictional requirements of the New York General Business Law, with respect to each such provision, are met independently of this Amendment to the Agreement. This Amendment to the Agreement will have no force or effect if such jurisdictional requirements are not met.

3. Franchisor reserves the right to challenge the applicability of any law that declares provisions in the Agreement void or unenforceable.

{Signatures appear on following page}

IN WITNESS WHEREOF, Franchisor and Franchisee have caused this Amendment to the Agreement to be executed, under seal, as of the Effective Date of the Agreement.

FRANCHISOR:

«FRANCHISOR_LICENSOR»

By: _____ (SEAL)
Name:
Title:

FRANCHISEE:

«FRANCHISE_NAME»

By: _____ (SEAL)
Name:
Title:

**AMENDMENT TO FRANCHISE AGREEMENT
REQUIRED BY THE STATE OF NORTH DAKOTA**

In recognition of the requirements of the North Dakota Century Code Sections 51-19-01 through 51-19-17 (“North Dakota Franchise Law”), Franchisor and Franchisee, parties to the attached Franchise Agreement (the “Agreement”), agree as follows:

1. The North Dakota Franchise Law prohibits a franchisor from requiring a franchisee to consent to a termination penalty. If the Agreement contains a provision that is inconsistent with the North Dakota Franchise Law, the provisions of the Agreement will be superseded by the North Dakota Franchise Law’s requirements and Franchisee will not be deemed to have consented to the calculation of the amount of such damages.

2. Sections 24.4 and 24.5 of the Agreement require Franchisee and Franchisor to waive their respective rights to a jury trial and to claim or receive punitive damages. To the extent such provisions violate the North Dakota Franchise Law, such law will prevail and such provision will not apply with respect to claims thereunder.

3. Section 24.1 of the Agreement requires: (a) the Agreement to be governed and interpreted under Maryland law, (b) certain disputes to be resolved by arbitration in Maryland, and (c) Franchisee to consent to jurisdiction in Maryland. To the extent that such provisions conflict with the North Dakota Franchise Law, the North Dakota Franchise Law will control.

4. Section 17.4.A(6) of the Agreement requires Franchisee to provide a general release of claims as a condition of a transfer. To the extent that such provision is inconsistent with the North Dakota Franchise Law and such law prevails, such release will exclude only such claims as Franchisee may have that have arisen under the North Dakota Franchise Law to the extent that a release of such claims would be prohibited under the North Dakota Franchise Law at the time the release is provided.

5. Each provision of this Amendment to the Agreement will be effective only to the extent that the jurisdictional requirements of the North Dakota Franchise Law are met independently with respect to such provision and without reference to this Amendment to the Agreement.

6. Franchisor reserves the right to challenge the applicability of any law that declares provisions in the Agreement void or unenforceable.

{Signatures appear on following page}

IN WITNESS WHEREOF, Franchisor and Franchisee have caused this Amendment to the Agreement to be executed, under seal, as of the Effective Date of the Agreement.

FRANCHISOR:

«FRANCHISOR_LICENSOR»

By: _____ (SEAL)
Name:
Title:

FRANCHISEE:

«FRANCHISE_NAME»

By: _____ (SEAL)
Name:
Title:

**AMENDMENT TO FRANCHISE AGREEMENT
REQUIRED BY THE STATE OF RHODE ISLAND**

In accordance with the requirements of the Rhode Island Franchise Investment Act, R.I. Gen. Law 19-28.1-1 to 19-28.1-34, Franchisor and Franchisee, parties to the attached Franchise Agreement (the “Agreement”), agree as follows:

1. Section 24.1 of the Agreement is supplemented by the following:

If any of the provisions of this Section 24.1 of the Agreement are inconsistent with §19-28.1-14 of the Rhode Island Franchise Investment Act, which states that a provision in a franchise agreement restricting jurisdiction or venue to a forum outside the state of Rhode Island or requiring the application of the laws of another state is void with respect to a claim otherwise enforceable under the Rhode Island Franchise Investment Act, then said Rhode Island law will apply.

2. Section 17.4.A(6) of the Agreement requires Franchisee to provide a general release of claims as a condition of a transfer. To the extent that such provision is inconsistent with the Rhode Island Franchise Investment Act and such law prevails, such release will exclude only such claims as Franchisee may have that have arisen under the Rhode Island Franchise Investment Act to the extent that a release of such claims would be prohibited under the Rhode Island Franchise Investment Act at the time the release is provided.

3. Each provision of this Amendment to the Agreement will be effective only to the extent that the jurisdictional requirements of the Rhode Island Franchise Investment Act are met independently with respect to each such provision and without reference to this Amendment to the Agreement.

4. Franchisor reserves the right to challenge the applicability of any law that declares provisions in the Agreement void or unenforceable.

{Signatures appear on following page}

IN WITNESS WHEREOF, Franchisor and Franchisee have caused this Amendment to the Agreement to be executed, under seal, as of the Effective Date of the Agreement.

FRANCHISOR:

«FRANCHISOR_LICENSOR»

By: _____ (SEAL)
Name:
Title:

FRANCHISEE:

«FRANCHISE_NAME»

By: _____ (SEAL)
Name:
Title:

ACKNOWLEDGMENT OF VIRGINIA SUBSTANTIAL INVESTMENT EXEMPTION

This Acknowledgement of Virginia Substantial Investment Exemption (“Acknowledgement”) is executed by «Franchise_Name», a/an «Fran_Domicili» «Fran_corp» (“Franchisee”) as of _____ (“Effective Date”) in connection with the «brand» Franchise Agreement to be entered into by and between Marriott International, Inc. (“Franchisor”) and Franchisee, for the «brand» hotel located or to be located at «address», «city», «state» «zip» (the “Transaction”).

Franchisee acknowledges and agrees that the Transaction is exempt from the registration requirements of the Virginia Retail Franchising Act, §§ 13.1-560, pursuant to Virginia Administrative Code § 5-110-75(6), on the basis of the following:

1. Franchisee has received and has had an opportunity to review Franchisor’s «brand» Franchise Disclosure Document dated March 31, 2022 (the “FDD”);
2. The Transaction is for a single «brand» hotel in which Franchisee’s actual minimum initial investment will exceed \$3,000,000, consistent with the estimated initial investment range set forth in Item 7 of the FDD;
3. Franchisee is represented by legal counsel in connection with the Transaction; and
4. Franchisee, either alone or with its representatives or affiliates, has sufficient knowledge and experience such that Franchisee is capable of evaluating the merits and risks of the Transaction.

IN WITNESS WHEREOF, Franchisee has caused this Acknowledgement to be executed, under seal, as of the Effective Date.

FRANCHISEE:

«FRANCHISE_NAME»

By: _____ (SEAL)

Name:

Title:

Date:

AMENDMENT TO FRANCHISE AGREEMENT REQUIRED BY THE STATE OF WASHINGTON

Franchisor and Franchisee, parties to the attached Franchise Agreement (the “Agreement”), agree to amend the Agreement (the “Amendment”) as follows:

1. The Director of the Washington Department of Financial Institutions (the “DFI”) requires that certain provisions contained in franchise documents be amended to be consistent with Washington law, including the Washington Franchise Investment Protection Act, RCW 19.100.010 to 19.100.940 (the “Act”), which provides certain rights to franchisees, and to disclose certain Franchise Act Interpretive Statements issued by the DFI regarding the Act. In recognition of the Act, the parties agree that:

a. The Act may supersede the provisions in the Agreement relating to Franchisee’s relationship with Franchisor, including provisions relating to renewal, termination and transfer of the franchise. If the Agreement contains a provision that is inconsistent with the Act, the Act will control. There also may be court decisions which supersede provisions in the Agreement relating to Franchisee’s relationship with Franchisor, including provisions relating to renewal and termination of the franchise.

b. In the event of a conflict of laws (meaning there is a conflict between the Act and a state law of another state designated as governing in the franchise agreement), the provisions of the Act will control.

c. The Act provides that a release or waiver of rights executed by a franchisee may not include rights under the Act or any rule or order thereunder except when executed pursuant to a negotiated settlement after the franchise agreement is in effect and where the parties are represented by independent counsel. If there are provisions in the Agreement that unreasonably restrict or limit the statute of limitations period for claims under the Act, or rights or remedies under the Act, those provisions may not be enforceable.

d. According to a Franchise Act Interpretive Statement adopted by the DFI, transfer fees are collectable to the extent that they reflect the franchisor’s reasonable estimate or actual costs in effecting a transfer.

e. According to Franchise Act Interpretive Statement adopted by the DFI, in any arbitration involving a franchise purchased in Washington, the arbitration site will be either in the state of Washington, or in a place mutually agreed upon at the time of the arbitration, or as determined by the arbitrator.

2. Each provision of this to the Agreement will be effective only to the extent that the jurisdictional requirements of the Washington law applicable to the provision are met independently of this Amendment to the Agreement. This Amendment to the Agreement will have no force or effect if such jurisdictional requirements are not met.

3. Franchisor reserves the right to challenge the applicability of any law, or administrative policy or interpretation of a law, that declares provisions in the Agreement void or unenforceable.

{Signatures appear on following page}

IN WITNESS WHEREOF, Franchisor and Franchisee have caused this Amendment to the Agreement to be executed, under seal, as of the Effective Date of the Agreement.

FRANCHISOR:

«FRANCHISOR_LICENSOR»

By: _____ (SEAL)
Name:
Title:

FRANCHISEE:

«FRANCHISE_NAME»

By: _____ (SEAL)
Name:
Title:

EXHIBIT F

AGENTS FOR SERVICE OF PROCESS

AGENTS FOR SERVICE OF PROCESS

The registered agents authorized in various states to receive service of process on our behalf are given below:

CALIFORNIA

Commissioner of Financial Protection and
Innovation
Department of Financial Protection and
Innovation
320 West Fourth Street, Suite 750
Los Angeles, California 90013-2344
(213) 576-7500
Toll Free: (866) 275-2677

HAWAII

Commissioner of Securities of the State of
Hawaii
Department of Commerce & Consumer Affairs
Business Registration Division
Securities Compliance Branch
335 Merchant Street, Room 203
Honolulu, Hawaii 96813
(808) 586-2722

ILLINOIS

Illinois Attorney General
500 South Second Street
Springfield, Illinois 62706
(217) 782-4465

INDIANA

Secretary of State
Franchise Section
302 West Washington, Room E-111
Indianapolis, Indiana 46204
(317) 232-6681

MARYLAND

Maryland Securities Commissioner
200 St. Paul Place
Baltimore, Maryland 21202-2020
(410) 576-6360

MICHIGAN

Michigan Attorney General's Office
Corporate Oversight Division, Franchise Section
525 West Ottawa Street
G. Mennen Williams Building, 1st Floor
Lansing, Michigan 48913
(517) 335-7567

MINNESOTA

Commissioner of Commerce
Minnesota Department of Commerce
85 7th Place East, Suite 280
St. Paul, Minnesota 55101
(651) 539-1600

NEW YORK

New York Secretary of State
New York Department of State
One Commerce Plaza
99 Washington Avenue, 6th Floor
Albany, New York 12231-0001
(518) 473-2492

NORTH DAKOTA

North Dakota Securities Commissioner
State Capitol
600 East Boulevard Avenue, Fifth Floor
Bismarck, North Dakota 58505-0510
(701) 328-4712

RHODE ISLAND

Director of Department of Business Regulation
Department of Business Regulation
Securities Division
Building 69, First Floor
John O. Pastore Center
1511 Pontiac Avenue
Cranston, Rhode Island 02920
(401) 462-9527

SOUTH DAKOTA

Division of Insurance
Director of Securities Regulation
124 S. Euclid Avenue, 2nd Floor
Pierre, South Dakota 57501
(605) 773-3563

VIRGINIA

Clerk of the State Corporation Commission
1300 East Main Street, 1st Floor
Richmond, Virginia 23219
(804) 371-9733

WASHINGTON

Director of Department of Financial Institutions
Securities Division – 3rd Floor
150 Israel Road, S.W.
Tumwater, Washington 98501
(360) 902-8760

WISCONSIN

Division of Securities
4822 Madison Yards Way, North Tower
Madison, Wisconsin 53705
(608) 266-2139

There may be states in addition to those listed above in which Marriott International, Inc. has appointed an agent for service of process.

EXHIBIT G

STATE REGULATORY AUTHORITIES

STATE REGULATORY AUTHORITIES

We intend to register this disclosure document as a “franchise” in some or all of the following states, if required by the applicable state laws. If and when we pursue franchise registration (or otherwise comply with the franchise investment laws) in these states, the following are the state administrators responsible for the review, registration, and oversight of franchises in these states:

CALIFORNIA

Commissioner of Financial Protection and Innovation
Department of Financial Protection and Innovation
320 West Fourth Street, Suite 750
Los Angeles, California 90013-2344
(213) 576-7500
Toll Free: (866) 275-2677

HAWAII

Commissioner of Securities of the State of Hawaii
Department of Commerce & Consumer Affairs
Business Registration Division
Securities Compliance Branch
335 Merchant Street, Room 203
Honolulu, Hawaii 96813
(808) 586-2722

ILLINOIS

Illinois Office of the Attorney General
Franchise Bureau
500 South Second Street
Springfield, Illinois 62706
(217) 782-4465

INDIANA

Secretary of State
Franchise Section
302 West Washington, Room E-111
Indianapolis, Indiana 46204
(317) 232-6681

MARYLAND

Office of the Attorney General
Securities Division
200 St. Paul Place
Baltimore, Maryland 21202-2020
(410) 576-6360

MICHIGAN

Michigan Attorney General's Office
Corporate Oversight Division, Franchise Section
525 West Ottawa Street
G. Mennen Williams Building, 1st Floor
Lansing, Michigan 48913
(517) 335-7567

MINNESOTA

Minnesota Department of Commerce
85 7th Place East, Suite 280
St. Paul, Minnesota 55101
(651) 539-1600

NEW YORK

New York State Department of Law
Investor Protection Bureau
28 Liberty Street, 21st Floor
New York, New York 10005
(212) 416-8222

NORTH DAKOTA

North Dakota Securities Department
State Capitol, Dept. 414
600 East Boulevard Avenue, Fifth Floor
Bismarck, North Dakota 58505-0510
(701) 328-4712

RHODE ISLAND

Department of Business Regulation
Securities Division
Building 69, First Floor
John O. Pastore Center
1511 Pontiac Avenue
Cranston, Rhode Island 02920
(401) 462-9527

SOUTH DAKOTA

Division of Insurance
Securities Regulation
124 S. Euclid Avenue, 2nd Floor
Pierre, South Dakota 57501
(605) 773-3563

VIRGINIA

State Corporation Commission
Division of Securities and Retail Franchising
1300 East Main Street, 9th Floor
Richmond, Virginia 23219
(804) 371-9051

WASHINGTON

Department of Financial Institutions
Securities Division – 3rd Floor
150 Israel Road, S.W.
Tumwater, Washington 98501
(360) 902-8760

WISCONSIN

Division of Securities
4822 Madison Yards Way, North Tower
Madison, Wisconsin 53705
(608) 266-2139

EXHIBIT H

SYSTEM AGREEMENTS



**EXHIBIT A to MASTER AGREEMENT
FRANCHISEE PARTICIPATION AGREEMENT**

WHEREAS, AT&T Corp. ("AT&T") and Marriott International, Inc. ("Customer") are parties to that certain dated May 12, 2006, Master Agreement Ref. No. 124537 (the "Master Agreement"), and certain Pricing Schedules (collectively, the "Customer Agreement");

WHEREAS, Franchisee Name/Participant ("Participant") wishes to purchase certain AT&T services under the same terms and conditions as Customer.

AT&T and Customer and Participant hereby agree as follows:

1. Participant may purchase certain Services pursuant to this Franchisee Participation Agreement ("Participation Agreement"). Capitalized terms used but not defined in this Participation Agreement shall have the same meaning as in the Customer Agreement. "Franchisee" is defined in the Master Agreement as companies that operate or own properties under a franchise or license agreement with Marriott International or a Marriott Affiliate.

2. **Eligibility.** Participant hereby represents and warrants that, as of the Effective Date, it is a Franchisee of Customer. If at any time Participant ceases to be a Franchisee of Customer, Customer shall notify AT&T. Within thirty (30) calendar days after Customer notifies AT&T that the Participant ceases to be a Franchisee of Customer or AT&T notifies Customer that a Participant has failed to abide by its obligations under a Participation Agreement, AT&T will notify Participant that the Participant is no longer eligible to continue to receive Services under this Participation Agreement. Participant will migrate to another Agreement or AT&T will terminate Services pursuant to Section 16 within (6) six months. AT&T shall have the right, prior to accepting an order from Participant, to confirm Participant's creditworthiness.

3. **Eligibility Requirements.** Participant must meet the following eligibility requirements at all times during this Participation Agreement:

(a) Eligibility for AT&T Service shall only be extended to the properties owned or operated by Franchisee that are covered by a franchise agreement with Marriott or Marriott's Affiliates (a "Marriott Franchise Agreement")

4. Participant may purchase the following Services under the relevant terms of the Customer Agreement as of the Effective Date of this Participation Agreement:

- AT&T Virtual Telecommunications Network Services ("VTNS") Pricing Schedule
- AT&T VPN Service Pricing Schedule
- AT&T Network-Based IP VPN Remote Access Service (ANIRA)
- AT&T IP Flexible Reach and AT&T IP Toll-Free

- AT&T Digital Link
- AT&T Managed Internet Service Pricing Schedule
- AT&T Prime Services
- Other Services listed in the Customer Master Agreement which may be subsequently authorized by Customer and AT&T to be purchased under this Participation Agreement. Participant agrees that the terms and conditions of this Participation Agreement apply to all such subsequently listed Services that it orders under this Participation Agreement.

Participant must provide AT&T with accurate and timely information as AT&T reasonably requires in order to provision, move, add or change Services (and specifically including, in the case of long distance Services, a list of line numbers to be added to the AT&T Services for purposes of receiving the applicable discounts when AT&T is selected as the Primary Interexchange Carrier (PIC)).

5. (a) The Customer Agreement and the Pricing Schedules described in Section 4 are incorporated herein by reference. Participant shall be bound by the terms and conditions of the Customer Agreement and by all current or future amendments thereto, all of which are incorporated herein by reference, as they relate to Participant's purchase of Services under this Participation Agreement without the necessity of further action or notice by AT&T. Participant hereby consents to and waives notice of any such amendments (including, without limitation, any amendments extending the term of the Customer Agreement, or adding, deleting, or modifying and Pricing Schedule.) The Customer Agreement has been pre-negotiated by and between AT&T and Customer, and only Customer may enter into amendments or modifications to the Customer Agreement.

(b) **Confidentiality.** Customer and AT&T may disclose the applicable pricing solely for Services described in Section 4 of this Participation Agreement to Participant for the sole purpose of permitting Participant to evaluate whether it wishes to enter into a Participation Agreement under this Agreement. The parties agree that this Participation Agreement and its subject matter, including without limitation, the pricing and all information set forth herein, is confidential to AT&T, Marriott, and Participant. Participant shall not disclose such information to any third party, and shall not use such information for any purpose other than pursuant to this Agreement. In addition, as between Marriott and Participant, such information shall be deemed to be Marriott's Confidential Information covered by the confidentiality obligations contained in the Marriott Franchise Agreement.

6. Participant may request a copy of the relevant portions of Customer Agreement directly from Marriott. AT&T shall have no obligation to provide Participant a copy of the Customer Agreement including any Pricing Schedule.

**EXHIBIT A to MASTER AGREEMENT
PARTICIPATION AGREEMENT**

7. **Assignment.** This Participation Agreement may not be assigned by Participant or Customer. Any such assignment shall be null and void.

8. **Notices.** Notices relating to Participant's performance of its obligations under this Participation Agreement shall be delivered pursuant to the terms of the Customer Agreement to Participant at the following address:

9. **Franchisee** Single Point of Contact. Participant will identify below a single point of contact for all its locations subject to this Participation Agreement:

10. **Term.** The Term of this Participation Agreement will commence on the Effective Date of this Participation Agreement and shall continue in effect so long as AT&T provides Services under to Participant under this Participation Agreement. This Participation Agreement will automatically terminate upon the expiration or termination of the Master Agreement for any reason. If the Participant wishes to continue to receive Services from AT&T, the Participant must negotiate a separate Agreement with AT&T for such Services. Upon expiration or termination of the Master Agreement, no new Franchisee Participation Agreements may be executed by the Parties. By signing this Participation Agreement, PARTICIPANT WAIVES ANY RIGHT TO RECEIVE NOTICE PRIOR TO THE OCCURRENCE OF ANY AUTOMATIC RENEWAL OF THE CUSTOMER AGREEMENT OR APPLICABLE PRICING SCHEDULES.

11. Customer shall not be responsible for Participant's performance under this Participation Agreement.

12. **Disclosure.** AT&T may disclose Participant's Information to Customer. Such disclosures may include Participant's name, Services purchased, monthly or annual usage, total billings and payment status. This Participation Agreement shall be deemed AT&T, Customer and Participant's Information pursuant to the terms of the Customer Agreement.

13. For purposes of this Participation Agreement, Article 15 of the Master Agreement does not apply to Participants.

14. Section 2.4 Payment of the Master Agreement is modified for purposes of the Participants as follows, "Payment is due

within thirty (30) days after the date of the invoice and must refer to the invoice numbers. Charges will be quoted and invoices shall be paid in the currency specified in the invoice. Restrictive endorsements or other statements on checks accepted by AT&T will not apply. Participant shall reimburse AT&T for all reasonable third party costs including outside counsel attorney fees associated with collecting delinquent or dishonored payments, provided that AT&T gives prior notice that such delinquent invoices will be subject to collection activity unless paid. Where payments for undisputed charges are overdue, AT&T may assess interest charges at the lower of 1.5% per month (18% per annum), or the maximum rate allowed by law."

15. If Participant and Customer, or any collection of Participants or Customer and Participants, bring separate actions against AT&T for claims related to the same events, Customer and such Participant(s) shall cause such actions to be heard in a single proceeding.

16. AT&T has and may exercise all rights with respect to each Participant as AT&T has and may exercise with respect to Customer, including without limitation, the right to suspend or terminate Service for breach. In addition, if Participant fails to abide by its obligations under this Participation Agreement or ceases to be a Franchisee of Customer as provided for in Section 2, AT&T may notify Customer in writing that Participant is no longer an eligible Participant (the "Notice"). With regard to the Services provided to the former Participant up to the date of the Notice, the former Participant shall remain the responsible party and AT&T retains its rights to suspend Services or Service Components for any breaches that took place prior to the date of Notice. Following the date of Notice, if the former Participant has not negotiated a new Agreement with AT&T covering the Services that the former Participant had been purchasing, AT&T will terminate the Services or Service Components in use by former Participant effective as of the date of Notice

17. **ENTIRE AGREEMENT.** THIS PARTICIPATION AGREEMENT AND THE CUSTOMER AGREEMENT CONSTITUTE THE ENTIRE AGREEMENT BETWEEN THE PARTIES WITH REGARDS TO THE SERVICES PROVIDED HEREUNDER. THIS AGREEMENT SUPERSEDES ALL PRIOR AGREEMENTS, PROPOSALS, REPRESENTATIONS, STATEMENTS OR UNDERSTANDINGS, WHETHER WRITTEN OR ORAL CONCERNING THE SERVICES. THIS AGREEMENT SHALL NOT BE MODIFIED OR SUPPLEMENTED BY ANY WRITTEN OR ORAL STATEMENTS, PROPOSALS, REPRESENTATIONS, ADVERTISEMENTS, SERVICE DESCRIPTIONS OR YOUR PURCHASE ORDER FORMS NOT EXPRESSLY SET FORTH IN THIS AGREEMENT.

IN WITNESS WHEREOF, AT&T, Customer and Participant have caused this Participation Agreement to be executed by their duly authorized representatives as of the date written below. This Participation Agreement is effective on the date of the last party's signature hereon.

Franchisee Name/Participant

By: _____
(by its authorized representative)

(Typed or Printed Name)

(Title)

AT&T Corp.

By: _____
(by its authorized representative)

(Typed or Printed Name)

(Title)

**EXHIBIT A to MASTER AGREEMENT
PARTICIPATION AGREEMENT**

(Date)

(Date)

Marriott International, Inc.

By: _____
(by its authorized representative)

(Typed or Printed Name)

(Title)

(Date)

ELECTRONIC FUNDS TRANSFER AUTHORIZATION FORM

This form authorizes Marriott International, Inc. and its Affiliates to use the banking information provided below in accordance with the terms of the Franchise Agreement related to the property identified below (the "Franchise Agreement").

Customer Information	
Property Name:	
Marriott Operating Unit (OU):	
Marriott MARSHA Code (if known):	
Management Company:	
Street Address:	
Line 2, or PO Box:	
City, State:	
Zip Code:	

Bank Information	
Bank Name:	
Bank Routing # (bank may provide specific number for ACH):	
Bank Account #:	
Name on Account:	
Bank Address:	
Line 2, or PO Box:	
Bank City, State:	
Bank Zip Code:	

Enrollment Options :	
Invoices to pay each month:	
Email Address to Receive Payment Advice (Remittance):	
Combine payments across customers into one withdrawal from the bank account noted (available only when bank information and email address match):	
If yes, please list the additional customers:	

Name of authorized individual completing this form:	
Title:	
Phone Number:	
My bank has been notified that Marriott International is authorized to debit our account:	
Date (MM/DD/YYYY):	

I hereby authorize Franchisor and its Affiliates to debit the checking/savings account identified above in order to pay the selected invoices in accordance with the terms of the Franchise Agreement and any applicable Marriott Agreement, and if necessary, to initiate adjustments for any transactions debited in error. These debits are related to the operation of the Hotel and the amount of each debit will vary from month to month. This authorization will remain in full force and effect until termination or expiration of the Franchise Agreement or until Franchisor has received written notification of an alternate means of payment acceptable to Franchisor. All capitalized terms not defined in this Electronic Funds Transfer Authorization Form have the meaning stated in the Franchise Agreement.

Authorized Individual's Signature: _____

EXHIBIT I

LODGING LAWS AND REGULATIONS

LAWS AND REGULATIONS SPECIFIC TO THE LODGING INDUSTRY

1. The state in which you operate may have a regulation prohibiting the overbooking of rooms.
2. Many states have statutes that may limit the amount of money a guest or visitor to a hotel may recover from a hotel for loss of personal property. You must fully comply with the terms of any of those statutes, including the provision of a safe or safe deposit boxes for safekeeping of valuables, to benefit from their protection.
3. State or local statutes may impose certain requirements upon the operator of a hotel when a guest dies in that hotel.
4. The food service operations at your hotel will be regulated by federal, state, and local laws and regulations about health and sanitary conditions when handling foods and beverages. State and local health statutes, regulations, and federal and state Occupational Safety and Health Administration (“OSHA”) laws cover cleanliness of utensils and in the preparation and serving of food and beverages. Additionally, state and local health regulations ordinarily include provisions specifically about restaurant and other food service establishments as to sanitation, food storage, cleaning, water supply, sewage, vermin control, toxic materials, personnel, equipment, and maintenance of physical facilities.
5. Some states have adopted truth-in-menu statutes or regulations.
6. Sales of alcoholic beverages are controlled by statutes, rules, and regulations of state, county, or local liquor authorities. State Dram Shop Acts address the liability of servers of alcoholic beverages for injuries caused to third persons by any intoxicated person due to the unlawful selling of alcohol that caused or contributed to the intoxication.
7. State and local laws may require hotels to maintain guest registers. The laws ordinarily require the registers to show guests’ names, residences, and dates of arrival and departure. In a few jurisdictions, the registers are required to display the automobile license plate identifications of guests. The registers may have to be retained by the hotel for a specified period of years. A few jurisdictions permit inspections by police or other specified authorities without first obtaining a subpoena or search warrant.
8. States may have laws regarding cleanliness and sizing standards for bedding, sheets, and towels.
9. Your state or local jurisdiction may have statutes or ordinances regarding water safety and swimming pools, aid to choking victims, providing Automated External Defibrillators (“AEDs”), reporting cases of communicable diseases, operating fitness centers, or providing massage therapy or child care services. In addition, the federal law known as Virginia Graeme Baker Pool and Spa Safety Act (“VGBA”) applies to swimming pools and whirlpools.
10. Most states and cities require a hotel operator to obtain a license to operate the hotel, a license to sell alcoholic beverages, a license to prepare and sell food, a certificate of occupancy, and a permit for meeting rooms.
11. If your hotel plays live music, or music by means of tape recording or other similar devices, or by rebroadcasting radio music, then you generally have to enter into a license agreement with a copyright association, like ASCAP, BMI or SESAC. Otherwise, the hotel may be liable for infringement of copyright.

12. Hotels generally are subject to many federal, state, and local statutes and regulations about fire safety. These requirements can be found in building codes, multiple dwelling laws, public assembly laws, labor laws, sanitation laws, general business laws, and occupational safety and health laws.

13. Many jurisdictions have hotel room occupancy taxes or other taxes that apply to hotels only.

14. Federal law requires a hotel that has a bar and sells alcoholic beverages to file a special occupational tax registration as a retail dealer in liquors. Your state may impose excise taxes and license fees on the sale of alcoholic beverages.

15. Many states have laws or regulations regarding the disclosure of room rates by posting the rates inside the hotel (for example, on the interior side of the guestroom door) and in advertising.

16. The Americans with Disabilities Act (“ADA”) and state and local laws concerning full and equal enjoyment of goods, services, facilities and accommodations for persons with disabilities contain many provisions that specifically address hotels and restaurants and other places of public accommodation. Among other things, the ADA requires you to install lifts for your swimming pools and whirlpools and provide certain information to us regarding your hotel’s accessibility and amenities.

17. State common law may impose additional duties on you (such as a duty to receive guests, a duty to use reasonable care to protect the safety of guests or others, and a duty to protect the property of guests or others).

This listing is intended to give you a sense of the scope of the types of laws, ordinances, and regulations that will or may apply to the operation of your hotel. You should seek the advice of legal counsel to determine the details of the regulations and whether and to what extent they and other regulations will apply to your hotel. In addition, the American Hotel & Lodging Institute publishes *Understanding Hospitality Law* (Fifth Edition, 2010) by Jack P. Jefferies and Banks Brown, a legal reference book for hotel operators.

EXHIBIT J

FINANCIAL STATEMENTS

Item 8. Financial Statements and Supplementary Data.

The following financial information is included on the pages indicated:

	Page
Management's Report on Internal Control Over Financial Reporting	35
Report of Independent Registered Public Accounting Firm	36
Report of Independent Registered Public Accounting Firm (PCAOB ID: 42)	37
Consolidated Statements of Income (Loss)	40
Consolidated Statements of Comprehensive Income (Loss)	41
Consolidated Balance Sheets	42
Consolidated Statements of Cash Flows	43
Consolidated Statements of Stockholders' Equity	44
Notes to Consolidated Financial Statements	45
Basis of Presentation	45
Summary of Significant Accounting Policies	45
Restructuring Charges	53
Earnings Per Share	53
Stock-Based Compensation	54
Income Taxes	54
Commitments and Contingencies	57
Leases	60
Long-Term Debt	62
Intangible Assets and Goodwill	64
Property and Equipment	64
Fair Value of Financial Instruments	65
Accumulated Other Comprehensive Loss	66
Business Segments	66
Related Party Transactions	67
Relationship with Major Customer	68

MANAGEMENT'S REPORT ON INTERNAL CONTROL OVER FINANCIAL REPORTING

Management of Marriott International, Inc. (the "Company") is responsible for establishing and maintaining adequate internal control over financial reporting and for assessing the effectiveness of internal control over financial reporting. The Company has designed its internal control over financial reporting to provide reasonable assurance on the reliability of financial reporting and the preparation of the consolidated financial statements in accordance with U.S. generally accepted accounting principles.

The Company's internal control over financial reporting includes those policies and procedures that: (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the Company's transactions and dispositions of the Company's assets; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of the consolidated financial statements in accordance with U.S. generally accepted accounting principles, and that receipts and expenditures of the Company are being made only in accordance with authorizations of the Company's management and directors; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use, or disposition of the Company's assets that could have a material effect on the consolidated financial statements.

Because of inherent limitations in internal control over financial reporting, such controls may not prevent or detect misstatements. Also, projections of any evaluation of the effectiveness of internal controls to future periods are subject to the risk that controls may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

In connection with the preparation of the Company's annual consolidated financial statements, management assessed the effectiveness of the Company's internal control over financial reporting as of December 31, 2021, based on criteria established in the Internal Control-Integrated Framework issued by the Committee of Sponsoring Organizations of the Treadway Commission (2013 Framework) (the "COSO criteria").

Based on this assessment, management has concluded that, applying the COSO criteria, as of December 31, 2021, the Company's internal control over financial reporting was effective to provide reasonable assurance of the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with U.S. generally accepted accounting principles.

Ernst & Young LLP, the independent registered public accounting firm that audited the Company's consolidated financial statements included in this report, has issued an attestation report on the effectiveness of the Company's internal control over financial reporting, a copy of which appears on the following page.

REPORT OF INDEPENDENT REGISTERED PUBLIC ACCOUNTING FIRM

To the Stockholders and Board of Directors of Marriott International, Inc.

Opinion on Internal Control over Financial Reporting

We have audited Marriott International, Inc.'s internal control over financial reporting as of December 31, 2021, based on criteria established in Internal Control-Integrated Framework issued by the Committee of Sponsoring Organizations of the Treadway Commission (2013 Framework) (the COSO criteria). In our opinion, Marriott International, Inc. (the Company) maintained, in all material respects, effective internal control over financial reporting as of December 31, 2021, based on the COSO criteria.

We also have audited, in accordance with the standards of the Public Company Accounting Oversight Board (United States) (PCAOB), the consolidated balance sheets of the Company as of December 31, 2021 and 2020, and the related consolidated statements of income (loss), comprehensive income (loss), stockholders' equity and cash flows for each of the three fiscal years in the period ended December 31, 2021, and the related notes, and our report dated February 15, 2022 expressed an unqualified opinion thereon.

Basis for Opinion

The Company's management is responsible for maintaining effective internal control over financial reporting and for its assessment of the effectiveness of internal control over financial reporting included in the accompanying Management's Report on Internal Control Over Financial Reporting. Our responsibility is to express an opinion on the Company's internal control over financial reporting based on our audit. We are a public accounting firm registered with the PCAOB and are required to be independent with respect to the Company in accordance with the U.S. federal securities laws and the applicable rules and regulations of the Securities and Exchange Commission and the PCAOB.

We conducted our audit in accordance with the standards of the PCAOB. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether effective internal control over financial reporting was maintained in all material respects.

Our audit included obtaining an understanding of internal control over financial reporting, assessing the risk that a material weakness exists, testing and evaluating the design and operating effectiveness of internal control based on the assessed risk, and performing such other procedures as we considered necessary in the circumstances. We believe that our audit provides a reasonable basis for our opinion.

Definition and Limitations of Internal Control Over Financial Reporting

A company's internal control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal control over financial reporting includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorizations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Because of its inherent limitations, internal control over financial reporting may not prevent or detect misstatements. Also, projections of any evaluation of effectiveness to future periods are subject to the risk that controls may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

/s/ Ernst & Young LLP

Tysons, Virginia
February 15, 2022

REPORT OF INDEPENDENT REGISTERED PUBLIC ACCOUNTING FIRM

To the Stockholders and Board of Directors of Marriott International, Inc.

Opinion on the Financial Statements

We have audited the accompanying consolidated balance sheets of Marriott International, Inc. (the Company) as of December 31, 2021 and 2020, the related consolidated statements of income (loss), comprehensive income (loss), stockholders' equity and cash flows for each of the three fiscal years in the period ended December 31, 2021, and the related notes (collectively referred to as the "financial statements"). In our opinion, the financial statements present fairly, in all material respects, the financial position of the Company at December 31, 2021 and 2020, and the results of its operations and its cash flows for each of the three years in the period ended December 31, 2021, in conformity with U.S. generally accepted accounting principles.

We also have audited, in accordance with the standards of the Public Company Accounting Oversight Board (United States) (PCAOB), the Company's internal control over financial reporting as of December 31, 2021, based on criteria established in Internal Control-Integrated Framework issued by the Committee of Sponsoring Organizations of the Treadway Commission (2013 Framework) and our report dated February 15, 2022 expressed an unqualified opinion thereon.

Basis for Opinion

These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audits. We are a public accounting firm registered with the PCAOB and are required to be independent with respect to the Company in accordance with the U.S. federal securities laws and the applicable rules and regulations of the Securities and Exchange Commission and the PCAOB.

We conducted our audits in accordance with the standards of the PCAOB. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement, whether due to error or fraud. Our audits included performing procedures to assess the risks of material misstatement of the financial statements, whether due to error or fraud, and performing procedures that respond to those risks. Such procedures included examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements. Our audits also included evaluating the accounting principles used and significant estimates made by management, as well as evaluating the overall presentation of the financial statements. We believe that our audits provide a reasonable basis for our opinion.

Critical Audit Matters

The critical audit matters communicated below are matters arising from the current period audit of the financial statements that were communicated or required to be communicated to the audit committee and that: (1) relate to accounts or disclosures that are material to the financial statements and (2) involved our especially challenging, subjective or complex judgments. The communication of critical audit matters does not alter in any way our opinion on the consolidated financial statements, taken as a whole, and we are not, by communicating the critical audit matters below, providing separate opinions on the critical audit matters or on the accounts or disclosures to which they relate.

<i>Description of the Matter</i>	<i>Accounting for the Loyalty Program</i> During 2021 the Company recognized \$1,966 million of revenues previously deferred as of December 31, 2020 and had deferred revenue of \$6,471 million as of December 31, 2021 associated with the Marriott Bonvoy guest loyalty program (the “Loyalty Program”). As discussed in Note 2 to the financial statements, the Company recognizes revenue for performance obligations relating to Loyalty Program points and free night certificates as they are redeemed and the related performance obligations are satisfied. The Company recognizes a portion of revenue for the Licensed IP performance obligation under the sales-based royalty criteria, with the remaining portion recognized on a straight-line basis over the contract term. Revenue is recognized utilizing complex models based upon the estimated standalone selling price per point and per free night certificate, which includes judgment in making the estimates of variable consideration and breakage of points. Auditing Loyalty Program results is complex due to: (1) the complexity of models and high volume of data used to monitor and account for Loyalty Program results, and (2) the complexity and judgment of estimating the standalone selling price per Loyalty Program point, including both the estimate of variable consideration under the Company’s co-brand credit card agreements which has significant estimation uncertainty associated with projecting future cardholder spending and redemption activity, and the estimated breakage of Loyalty Program points which requires the use of specialists.
<i>How We Addressed the Matter in Our Audit</i>	We obtained an understanding, evaluated the design and tested the operating effectiveness of controls over the Company’s process of accounting for the Loyalty Program. For example, we tested controls over the accounting methods and model used in reporting results of the Loyalty Program, management’s review of the assumptions and data inputs utilized in estimating the standalone selling price per Loyalty Program point, as well as the development of the estimated breakage. To test the recognition of revenues and costs associated with the Loyalty Program, we performed audit procedures that included, among others, testing the clerical accuracy and consistency with US GAAP of the accounting model developed by the Company to recognize revenue and costs associated with the Loyalty Program, and testing significant inputs into the accounting model, including the estimated standalone selling price and recognition of points earned and redeemed during the period. We involved our actuarial professionals to assist in our testing procedures with respect to the estimate of the breakage of Loyalty Program points. We evaluated management’s methodology for estimating the breakage of Loyalty Program points, and we tested underlying data and actuarial assumptions used in estimating the breakage. We evaluated the reasonableness of management’s assumptions, including projections of cash flows, used to estimate variable consideration under the Company’s co-brand credit cards.

<i>Description of the Matter</i>	<i>Accounting for General and Administrative Expenses and Reimbursed Expenses</i> During 2021 the Company recognized \$823 million of general and administrative expenses and \$10,322 million of reimbursed expenses. As discussed in Note 2 to the financial statements, the Company incurs certain expenses that are for the benefit of, and reimbursable from, hotel owners and franchisees. Such amounts are recorded in the period in which the expense is incurred and include judgment with respect to the allocation of certain costs between general and administrative expenses, which are non-reimbursable, and reimbursed expenses.
<i>How We Addressed the Matter in Our Audit</i>	Auditing the classification of general and administrative expenses and reimbursed expenses is complex due to: (1) judgment associated with testing management’s conclusions regarding the allocation of costs between reimbursable and non-reimbursable expenses, (2) the complexity associated with allocating above-property expenses to hotel owners and franchisees due to the high volume of data used to monitor and account for reimbursed expenses and (3) incentives within management’s compensation structure designed to achieve certain financial targets that exclude the impact of reimbursed expenses. We obtained an understanding, evaluated the design and tested the operating effectiveness of controls over the Company’s process of accounting for reimbursed expenses, general and administrative expenses, and the process for allocating expenses. For example, we tested management’s controls over the review of the allocation of certain costs to determine if they were reasonably classified. To test the recognition of reimbursed expenses for appropriate classification, we performed audit procedures that included, among others, (1) testing a sample of transactions that were classified within reimbursed expenses in order to evaluate the appropriate accounting treatment and financial statement classification pursuant to the terms of the management and franchise agreements, (2) performed analytical procedures over total reimbursed expenses and general and administrative expenses in order to identify any trends or indicators of material errors in the classification of expenses, (3) tested manual journal entries made to reimbursed expenses and general and administrative expenses and (4) evaluated the methodology of cost allocations, including any material changes to allocations during the period.
/s/ Ernst & Young LLP	
We have served as the Company’s auditor since 2002.	
Tysons, Virginia February 15, 2022	

MARRIOTT INTERNATIONAL, INC.
CONSOLIDATED STATEMENTS OF INCOME (LOSS)
Fiscal Years 2021, 2020, and 2019
(\$ in millions, except per share amounts)

	2021	2020	2019
REVENUES			
Base management fees	\$ 669	\$ 443	\$ 1,180
Franchise fees	1,790	1,153	2,006
Incentive management fees	235	87	637
Gross fee revenues	2,694	1,683	3,823
Contract investment amortization	(75)	(132)	(62)
Net fee revenues	2,619	1,551	3,761
Owned, leased, and other revenue	796	568	1,612
Cost reimbursement revenue ⁽¹⁾	10,442	8,452	15,599
	13,857	10,571	20,972
OPERATING COSTS AND EXPENSES			
Owned, leased, and other-direct	734	677	1,316
Depreciation, amortization, and other	220	346	341
General, administrative, and other	823	762	938
Restructuring and merger-related charges	8	267	138
Reimbursed expenses ⁽¹⁾	10,322	8,435	16,439
	12,107	10,487	19,172
OPERATING INCOME	1,750	84	1,800
Gains and other income, net	10	9	154
Loss on extinguishment of debt	(164)	—	—
Interest expense	(420)	(445)	(394)
Interest income	28	27	26
Equity in (losses) earnings ⁽¹⁾	(24)	(141)	13
INCOME (LOSS) BEFORE INCOME TAXES	1,180	(466)	1,599
(Provision) benefit for income taxes	(81)	199	(326)
NET INCOME (LOSS)	\$ 1,099	\$ (267)	\$ 1,273
EARNINGS (LOSS) PER SHARE			
Earnings (loss) per share - basic	\$ 3.36	\$ (0.82)	\$ 3.83
Earnings (loss) per share - diluted	\$ 3.34	\$ (0.82)	\$ 3.80

⁽¹⁾ See Note 15 for disclosure of related party amounts.

See Notes to Consolidated Financial Statements.

MARRIOTT INTERNATIONAL, INC.
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME (LOSS)
Fiscal Years 2021, 2020, and 2019
(\$ in millions)

	2021	2020	2019
Net income (loss)	\$ 1,099	\$ (267)	\$ 1,273
Other comprehensive income (loss):			
Foreign currency translation adjustments	(212)	229	35
Derivative instrument adjustments and other, net of tax	5	(3)	(5)
Total other comprehensive (loss) income, net of tax	(207)	226	30
Comprehensive income (loss)	\$ 892	\$ (41)	\$ 1,303

See Notes to Consolidated Financial Statements.

MARRIOTT INTERNATIONAL, INC.
CONSOLIDATED BALANCE SHEETS
Fiscal Years-Ended 2021 and 2020
(\$ in millions)

	December 31, 2021	December 31, 2020
ASSETS		
Current assets		
Cash and equivalents	\$ 1,393	\$ 877
Accounts and notes receivable, net	1,982	1,768
Prepaid expenses and other	251	180
	3,626	2,825
Property and equipment, net	1,503	1,514
Intangible assets		
Brands	5,979	6,059
Contract acquisition costs and other	2,947	2,930
Goodwill	9,073	9,175
	17,999	18,164
Equity method investments	387	422
Notes receivable, net	144	159
Deferred tax assets	228	249
Operating lease assets	1,062	752
Other noncurrent assets	604	616
	\$ 25,553	\$ 24,701
LIABILITIES AND STOCKHOLDERS' EQUITY		
Current liabilities		
Current portion of long-term debt	\$ 805	\$ 1,173
Accounts payable	726	527
Accrued payroll and benefits	1,187	831
Liability for guest loyalty program	2,522	1,769
Accrued expenses and other	1,167	1,452
	6,407	5,752
Long-term debt	9,333	9,203
Liability for guest loyalty program	3,949	4,502
Deferred tax liabilities	169	83
Deferred revenue	1,181	1,542
Operating lease liabilities	1,098	823
Other noncurrent liabilities	2,002	2,366
Stockholders' equity		
Class A Common Stock	5	5
Additional paid-in-capital	5,892	5,851
Retained earnings	10,305	9,206
Treasury stock, at cost	(14,446)	(14,497)
Accumulated other comprehensive loss	(342)	(135)
	1,414	430
	\$ 25,553	\$ 24,701

See Notes to Consolidated Financial Statements.

MARRIOTT INTERNATIONAL, INC.
CONSOLIDATED STATEMENTS OF CASH FLOWS
Fiscal Years 2021, 2020, and 2019
(\$ in millions)

	2021	2020	2019
OPERATING ACTIVITIES			
Net income (loss)	\$ 1,099	\$ (267)	\$ 1,273
Adjustments to reconcile to cash provided by operating activities:			
Depreciation, amortization, and other	295	478	403
Stock-based compensation	182	201	187
Income taxes	(281)	(478)	(200)
Liability for guest loyalty program	(28)	535	257
Contract acquisition costs	(210)	(142)	(195)
Restructuring and merger-related charges	(10)	200	86
Working capital changes	110	(28)	(273)
(Gain) loss on asset dispositions	(3)	3	(147)
Loss on extinguishment of debt	164	—	—
Deferred revenue changes and other	(141)	1,137	294
Net cash provided by operating activities	1,177	1,639	1,685
INVESTING ACTIVITIES			
Capital and technology expenditures	(183)	(135)	(653)
Dispositions	12	260	395
Loan advances	(13)	(41)	(30)
Loan collections	40	8	51
Other	(43)	(57)	(47)
Net cash (used in) provided by investing activities	(187)	35	(284)
FINANCING ACTIVITIES			
Commercial paper/Credit Facility, net	150	(2,290)	951
Issuance of long-term debt	1,793	3,561	1,397
Repayment of long-term debt	(2,174)	(1,887)	(835)
Issuance of Class A Common Stock	2	—	7
Debt extinguishment costs	(155)	—	—
Dividends paid	—	(156)	(612)
Purchase of treasury stock	—	(150)	(2,260)
Stock-based compensation withholding taxes	(90)	(103)	(148)
Other	11	(8)	(8)
Net cash used in financing activities	(463)	(1,033)	(1,508)
INCREASE (DECREASE) IN CASH, CASH EQUIVALENTS, AND RESTRICTED CASH	527	641	(107)
CASH, CASH EQUIVALENTS, AND RESTRICTED CASH, beginning of period ⁽¹⁾	894	253	360
CASH, CASH EQUIVALENTS, AND RESTRICTED CASH, end of period ⁽¹⁾	<u>\$ 1,421</u>	<u>\$ 894</u>	<u>\$ 253</u>

⁽¹⁾ The 2021 amounts include beginning restricted cash of \$17 million at December 31, 2020 and ending restricted cash of \$28 million at December 31, 2021, which we present in the “Prepaid expenses and other” and “Other noncurrent assets” captions of our Balance Sheets.

See Notes to Consolidated Financial Statements.

MARriott INTERNATIONAL, INC.
CONSOLIDATED STATEMENTS OF STOCKHOLDERS' EQUITY

Fiscal Years 2021, 2020, and 2019

(in millions, except per share amounts)

Common Shares Outstanding		Total	Class A Common Stock	Additional Paid-in- Capital	Retained Earnings	Treasury Stock, at Cost	Accumulated Other Comprehensive Loss
339.1	Balance at December 31, 2018	\$ 2,225	\$ 5	\$ 5,814	\$ 8,982	\$ (12,185)	\$ (391)
—	Adoption of ASU 2016-02	1	—	—	1	—	—
—	Net income	1,273	—	—	1,273	—	—
—	Other comprehensive income	30	—	—	—	—	30
—	Dividends (\$1.85 per share)	(612)	—	—	(612)	—	—
2.2	Stock-based compensation plans	46	—	(14)	—	60	—
(17.3)	Purchase of treasury stock	(2,260)	—	—	—	(2,260)	—
324.0	Balance at December 31, 2019	703	5	5,800	9,644	(14,385)	(361)
—	Adoption of ASU 2016-13	(15)	—	—	(15)	—	—
—	Net loss	(267)	—	—	(267)	—	—
—	Other comprehensive income	226	—	—	—	—	226
—	Dividends (\$0.48 per share)	(156)	—	—	(156)	—	—
1.4	Stock-based compensation plans	89	—	51	—	38	—
(1.0)	Purchase of treasury stock	(150)	—	—	—	(150)	—
324.4	Balance at December 31, 2020	430	5	5,851	9,206	(14,497)	(135)
—	Net income	1,099	—	—	1,099	—	—
—	Other comprehensive loss	(207)	—	—	—	—	(207)
1.9	Stock-based compensation plans	92	—	41	—	51	—
326.3 ⁽¹⁾	Balance at December 31, 2021	\$ 1,414	\$ 5	\$ 5,892	\$ 10,305	\$ (14,446)	\$ (342)

(1) Our restated certificate of incorporation authorizes 800 million shares of our common stock, with a par value of \$0.01 per share and 10 million shares of preferred stock, without par value. At year-end 2021, we had 326.3 million of these authorized shares of our common stock and no preferred stock outstanding.

See Notes to Consolidated Financial Statements.

MARRIOTT INTERNATIONAL, INC.
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

NOTE 1. BASIS OF PRESENTATION

The consolidated financial statements present the results of operations, financial position, and cash flows of Marriott International, Inc. and subsidiaries (referred to in this report as “we,” “us,” “Marriott,” or the “Company”). In order to make this report easier to read, we also refer throughout to (1) our Consolidated Financial Statements as our “Financial Statements,” (2) our Consolidated Statements of Income (Loss) as our “Income Statements,” (3) our Consolidated Balance Sheets as our “Balance Sheets,” (4) our Consolidated Statements of Cash Flows as our “Statements of Cash Flows,” (5) our properties, brands, or markets in the United States and Canada as “U.S. & Canada,” and (6) our properties, brands, or markets in our Caribbean and Latin America, Europe, Middle East and Africa, Greater China, and Asia Pacific excluding China regions, as “International.” In addition, references throughout to numbered “Notes” refer to these Notes to Consolidated Financial Statements, unless otherwise stated.

Preparation of financial statements that conform with U.S. generally accepted accounting principles (“GAAP”) requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities as of the date of the financial statements, the reported amounts of revenues and expenses during the reporting periods, and the disclosures of contingent liabilities. The uncertainty created by the coronavirus pandemic and efforts to contain it (“COVID-19”) has made such estimates more difficult and subjective. Accordingly, ultimate results could differ from those estimates.

The accompanying Financial Statements reflect all normal and recurring adjustments necessary to present fairly our financial position at fiscal year-end 2021 and fiscal year-end 2020 and the results of our operations and cash flows for fiscal years 2021, 2020, and 2019. We have eliminated all material intercompany transactions and balances between entities consolidated in these Financial Statements.

NOTE 2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Revenue Recognition

Base Management and Incentive Management Fees: For our managed hotels, we have performance obligations to provide hotel management services and a license to our intellectual property for the use of our brand names. As compensation for such services, we are generally entitled to receive base fees, which are a percentage of the revenues of hotels, and incentive management fees, which are generally based on a measure of hotel profitability. Both the base and incentive management fees are variable consideration, as the transaction price is based on a percentage of revenue or profit, as defined in each contract. We recognize base management fees on a monthly basis over the term of the agreement as those amounts become payable. We recognize incentive management fees on a monthly basis over the term of the agreement based on each property’s financial results, as long as we do not expect a significant reversal due to projected future hotel performance or cash flows in future periods.

Franchise Fee and Royalty Fee Revenue: For our franchised hotels, we have a performance obligation to provide franchisees and operators a license to our intellectual property for use of certain of our brand names. As compensation for such services, we are typically entitled to initial application fees and ongoing royalty fees. Our ongoing royalty fees represent variable consideration, as the transaction price is based on a percentage of certain revenues of the hotels, as defined in each contract. We recognize royalty fees on a monthly basis over the term of the agreement as those amounts become payable. Initial application and relicensing fees are fixed consideration payable upon submission of a franchise application or renewal and are recognized on a straight-line basis over the initial or renewal term of the franchise agreements.

Owned and Leased Hotel Revenue: At our owned and leased hotels, we have performance obligations to provide accommodations and other ancillary services to hotel guests. As compensation for such goods and services, we are typically entitled to a fixed nightly fee for an agreed upon period and additional fixed fees for any ancillary services purchased. These fees are generally payable at the time the hotel guest checks out of the hotel. We generally satisfy the performance obligations over time, and we recognize the revenue from room sales and from other ancillary guest services on a daily basis, as the rooms are occupied and we have rendered the services.

Cost Reimbursements: Under our management and franchise agreements, we are entitled to be reimbursed for certain costs we incur on behalf of the managed, franchised, and licensed properties, with no added mark-up. These costs primarily consist of payroll and related expenses at managed properties where we are the employer of the employees at the properties and include certain operational and administrative costs as provided for in our contracts with the owners. We are entitled to reimbursement in the period we incur the related reimbursable costs, which we recognize within the “Cost reimbursement revenue” caption of our Income Statements.

Under our management and franchise agreements, hotel owners and franchisees participate in certain centralized programs and services, such as marketing, sales, reservations, and insurance programs. We operate these programs and services for the benefit of our hotel owners. We do not operate these programs and services to generate a profit over the long term, and accordingly, when we recover the costs that we incur for these programs and services from our hotel owners, we do not seek a mark-up. The amounts we charge for these programs and services are generally a combination of fixed fees and variable fees based on sales or other metrics and are payable on a monthly basis. We generally recognize revenue within the “Cost reimbursement revenue” caption of our Income Statements when the amounts may be billed to hotel owners, and we recognize expenses within the “Reimbursed expenses” caption as they are incurred. This pattern of recognition results in timing differences between the costs incurred for centralized programs and services and the related reimbursement from hotel owners in our operating and net income. Over the long term, these programs and services are not designed to impact our economics, either positively or negatively. In addition, we present in the “Reimbursed expenses” caption of our Income Statements spending funded by the proceeds (\$664 million, \$425 million after-tax) from the 2017 sale of our interest in Avendra LLC, which we committed would be used for the benefit of hotels in our system. Such spending totaled \$56 million (\$42 million after-tax) in 2021, \$62 million (\$46 million after-tax) in 2020, and \$118 million (\$87 million after-tax) in 2019.

Other Revenue: Includes Global Design fees, which we describe below, termination fees, and other property and brand revenues. We generally recognize termination fees when collection is probable and other revenue as services are rendered. Amounts received in advance are deferred as liabilities.

We provide certain hotel design and construction review (“Global Design”) services to our managed and franchised hotel owners, generally during the period prior to a hotel’s opening or during the period a hotel is converting to a Marriott brand (the “pre-opening period”). As compensation for such services, we may be entitled to receive a one-time fixed fee that is payable during the pre-opening period of the hotel. As these services are not a distinct performance obligation, we recognize the fees on a straight-line basis over the initial term of the management or franchise agreement within the “Owned, leased, and other revenue” caption of our Income Statements.

Practical Expedients and Exemptions: We do not disclose the amount of variable consideration that we expect to recognize in future periods in the following circumstances:

- (1) if we recognize the revenue based on the amount invoiced or services performed;
- (2) for sales-based or usage-based royalty promised in exchange for a license of intellectual property; or
- (3) if the consideration is allocated entirely to a wholly unsatisfied promise to transfer a distinct service that forms part of a single performance obligation, and the terms of the consideration relate specifically to our efforts to transfer, or to a specific outcome from transferring the service.

We are required to collect certain taxes and fees from customers on behalf of governmental agencies and remit these to the applicable governmental agencies on a periodic basis. We do not include these taxes in determining the transaction price.

Loyalty Program: Loyalty Program members earn points based on the money they spend at our hotels; the exchange of timeshare ownership interests; purchases of timeshare interval, fractional ownership, and residential products; and through participation in travel experiences and affiliated partners’ programs, such as those offered by credit card, car rental, airline, and other companies. Members can redeem points for stays at most of our hotels, airline tickets, airline frequent flyer program miles, rental cars, merchandise, and a variety of other awards. Points cannot be redeemed for cash.

Under our Loyalty Program, we have a performance obligation to provide or arrange for the provision of goods or services for free or at a discount to Loyalty Program members in exchange for the redemption of points earned from past activities. We operate our Loyalty Program as a cross-brand marketing program to participating properties. Our management and franchise agreements require that properties reimburse us for a portion of the costs of operating the Loyalty Program, including costs for marketing, promotion, communication with, and performing member services for Loyalty Program members, with no added mark-up. We generally receive monthly cash contributions from managed, franchised, owned, and leased hotels based on a portion of qualified spend by Loyalty Program members (when the points are earned). We recognize these contributions into revenue as we provide the related service (when the points are redeemed). The amount of revenue we recognize upon point redemption is based on a blend of historical funding rates and is impacted by our estimate of the “breakage” for points that members will never redeem. We estimate breakage based on our historical experience and expectations of future member behavior. We recognize revenue net of the redemption cost within our “Cost reimbursement revenue” caption on our Income Statements, as our performance obligation is to facilitate the transaction between the Loyalty Program member and the managed or franchised property or program partner. Our redemption cost, which is generally based on redemption rates that can increase in periods in which occupancy at the property exceeds a certain threshold, could be higher or lower than our revenue recognized in any given period. We recognize all other Loyalty Program costs as incurred in our “Reimbursed expenses” caption.

We have multi-year agreements for our co-brand credit cards associated with our Loyalty Program. Under these agreements, we have performance obligations to provide a license to the intellectual property associated with our brands and marketing lists (“Licensed IP”) to the financial institutions that issue the credit cards, to arrange for the redemption of Loyalty Program points as discussed in the preceding paragraph, and to arrange for the redemption of free night certificates provided to cardholders. We receive fees from these agreements, including fixed amounts that are primarily payable at contract inception, and variable amounts that are paid to us monthly over the term of the agreements, based on: (1) the number of free night certificates issued or redeemed; (2) the number of Loyalty Program points purchased; and (3) the volume of cardholder spend. We allocate those fees among the performance obligations, including the Licensed IP, our Loyalty Program points, and free night certificates provided to cardholders based on their estimated standalone selling prices. The estimation of the standalone selling prices requires significant judgments based upon generally accepted valuation methodologies regarding the value of our Licensed IP, the amount of funding we will receive, and the number of Loyalty Program points and free night certificates cardholders will redeem over the term of the agreements. We base our estimates of these amounts on our historical experience and expectation of future cardholder behavior. We recognize the portion of the Licensed IP revenue that meets the sales-based royalty criteria as the credit cards are used and the remaining portion of the Licensed IP revenue on a straight-line basis over the contract term. In our Income Statements, we primarily recognize Licensed IP revenue in the “Franchise fees” caption, and we recognize a portion in the “Cost reimbursement revenue” caption. We recognize the revenue related to the Loyalty Program points as discussed in the preceding paragraph. We recognize the revenue related to the free night certificates when the related service is provided. We recognize revenue net of the redemption cost, as our performance obligation is to facilitate the transaction between the Loyalty Program member and the managed or franchised property.

Contract Balances: We generally receive payments from customers as we satisfy our performance obligations. We record a receivable when we have an unconditional right to receive payment and only the passage of time is required before payment is due. We record deferred revenue when we receive payment, or have the unconditional right to receive payment, in advance of the satisfaction of our performance obligations related to franchise application and relicensing fees, Global Design fees, credit card branding license fees, and our Loyalty Program.

Current and noncurrent deferred revenue decreased by \$340 million, to \$1,527 million at December 31, 2021 from \$1,867 million at December 31, 2020, primarily as a result of \$334 million of revenue recognized in 2021 that was deferred as of December 31, 2020, as well as the reclassification from deferred revenue to the liability for guest loyalty program, which we discuss below. The decrease was partially offset by deferred cash received for free night certificates related to the co-brand credit cards and gift cards, as well as an increase in franchise application and relicensing fees. Our current deferred revenue, which we present in the “Accrued expenses and other” caption of our Balance Sheets, was \$346 million at year-end 2021 and \$325 million at year-end 2020.

Our current and noncurrent liability for guest loyalty program increased by \$200 million, to \$6,471 million at December 31, 2021, from \$6,271 million at December 31, 2020, primarily reflecting an increase in points earned by members. This includes a \$228 million reclassification from deferred revenue to the liability for guest loyalty program as a result of points that were earned during the period by members using our U.S.-issued co-brand credit cards, which were prepaid by the financial institutions in 2020. The increase was partially offset by \$1,966 million of revenue recognized in 2021, that was deferred as of December 31, 2020. The current portion of our liability for guest loyalty program increased compared to December 31, 2020, due to higher estimated redemptions in the short-term. At each reporting period, we evaluate the estimates used in the recognition of Loyalty Program revenues, including estimates of the breakage of points that members will never redeem and the amount of funding we expect to receive over the life of the agreements with various third parties. In 2021, the updated estimates resulted in a net increase in revenue, and a corresponding reduction in the liability for guest loyalty program of approximately \$58 million.

Costs Incurred to Obtain and Fulfill Contracts with Customers

We incur certain costs to obtain and fulfill contracts with customers, which we capitalize and amortize on a straight-line basis over the initial, non-cancellable term of the contract. We classify incremental costs of obtaining a contract with a customer in the “Contract acquisition costs and other” caption of our Balance Sheets, the related amortization in the “Contract investment amortization” caption of our Income Statements, and the cash flow impact in the “Contract acquisition costs” caption of our Statements of Cash Flows. We assess the assets for impairment when events or changes in circumstances indicate that we may not be able to recover the carrying value. We recognize an impairment loss for the amount by which the carrying value exceeds the expected net future cash flows. We classify certain direct costs to fulfill a contract with a customer in the “Other noncurrent assets” and “Prepaid expenses and other” captions of our Balance Sheets, and the related amortization in the “Owned, leased, and other - direct expenses” caption of our Income Statements. We had capitalized costs to fulfill contracts with customers of \$368 million at December 31, 2021 and \$366 million at December 31, 2020. See Note 10 for information on capitalized costs incurred to obtain contracts with customers.

Real Estate Sales

We recognize a gain or loss on real estate transactions when control of the asset transfers to the buyer, generally at the time the sale closes. In sales transactions where we retain a management contract, the terms and conditions of the management contract are generally comparable to the terms and conditions of the management contracts obtained directly with third-party owners in competitive processes.

Retirement Savings Plan

We contribute to tax-qualified retirement plans for the benefit of U.S. employees who meet certain eligibility requirements and choose to participate in the plans. Participating employees specify the percentage or amount of salary they wish to contribute from their compensation, and the Company typically makes discretionary and certain other matching or supplemental contributions. We recognized compensation costs from Company contributions of \$80 million in 2021, \$75 million in 2020, and \$128 million in 2019.

Non-U.S. Operations

The U.S. dollar is the functional currency of our consolidated and unconsolidated entities operating in the U.S. The functional currency of our consolidated and unconsolidated entities operating outside of the U.S. is generally the principal currency of the economic environment in which the entity primarily generates and expends cash. We translate the financial statements of consolidated entities whose functional currency is not the U.S. dollar into U.S. dollars, and we do the same, as needed, for unconsolidated entities whose functional currency is not the U.S. dollar. We translate assets and liabilities at the exchange rate in effect as of the financial statement date and translate income statement accounts using the weighted average exchange rate for the period. We include translation adjustments from currency exchange and the effect of exchange rate changes on intercompany transactions of a long-term investment nature as a separate component of stockholders’ equity. We report gains and losses from currency exchange rate changes for intercompany receivables and payables that are not of a long-term investment nature, as well as for third-party transactions, currently in operating costs and expenses.

Stock-Based Compensation

Our stock-based compensation awards primarily consist of restricted stock units (“RSUs”). We measure compensation costs for our stock-based payment transactions at fair value based on the average of the high and low stock price on the grant date (discounted for the lack of marketability and dividends), and we recognize those costs in our Financial Statements over the vesting period during which the employee provides service in exchange for the award.

Advertising Costs

We expense costs to produce advertising as they are incurred and to communicate advertising as the communication occurs and record such amounts in reimbursed expenses to the extent undertaken on behalf of our owners and franchisees. We recognized advertising costs of \$470 million in 2021, \$276 million in 2020, and \$851 million in 2019.

Income Taxes

We record the amounts of taxes payable or refundable for the current year, as well as deferred tax liabilities and assets for the future tax consequences of events we have recognized in our Financial Statements or tax returns, using judgment in assessing future profitability and the likely future tax consequences of those events. We base our estimates of deferred tax assets and liabilities on current tax laws, rates and interpretations, and, in certain cases, business plans and other expectations about future outcomes. We develop our estimates of future profitability based on our historical data and experience, industry projections, micro and macro general economic condition projections, and our expectations. We account for U.S. tax on Global Intangible Low-Taxed Income in the period incurred.

We generally recognize the effect of the tax law changes in the period of enactment. Changes in existing tax laws and rates, their related interpretations, and the uncertainty generated by the current economic environment may affect the amounts of our deferred tax liabilities or the valuations of our deferred tax assets over time. Our accounting for deferred tax consequences represents management's best estimate of future events that can be appropriately reflected in the accounting estimates.

For tax positions we have taken or expect to take in a tax return, we apply a more likely than not threshold (that is, a likelihood of more than 50 percent), under which we must conclude a tax position is more likely than not to be sustained, assuming that the position will be examined by the appropriate taxing authority that has full knowledge of all relevant information, to continue to recognize the benefit. In determining our provision for income taxes, we use judgment, reflecting our estimates and assumptions, in applying the more likely than not threshold. We recognize accrued interest and penalties for our unrecognized tax benefits as a component of tax expense. See Note 6 for further information.

Cash and Equivalents

We consider all highly liquid investments with an initial maturity of three months or less at date of purchase to be cash equivalents.

Accounts Receivable

Our accounts receivable primarily consist of amounts due from hotel owners with whom we have management and franchise agreements and include reimbursements of costs we incurred on behalf of managed and franchised properties. We record an allowance for credit losses measured over the contractual life of the instrument based on an assessment of historical collection activity and current and forecasted future economic conditions by region. Our allowance for credit losses was \$187 million at December 31, 2021 and \$207 million at December 31, 2020. The decrease during 2021 was primarily due to the write-off of amounts deemed uncollectible, partially offset by the provision for credit losses. Our provision for credit losses totaled \$22 million in 2021 and \$136 million in 2020.

Assets Held for Sale

We consider properties to be assets held for sale when (1) management commits to a plan to sell the property; (2) it is unlikely that the disposal plan will be significantly modified or discontinued; (3) the property is available for immediate sale in its present condition; (4) actions required to complete the sale of the property have been initiated; (5) sale of the property is probable and we expect the completed sale will occur within one year; and (6) the property is actively being marketed for sale at a price that is reasonable given our estimate of current market value. Upon designation of a property as an asset held for sale, we record the property's value at the lower of its carrying value or its estimated fair value, less estimated costs to sell, and we cease depreciation.

Goodwill

We test goodwill for potential impairment at least annually in the fourth quarter, or more frequently if an event or other circumstance indicates that we may not be able to recover the carrying amount of the net assets of the reporting unit. In evaluating goodwill for impairment, we may assess qualitative factors to determine whether it is more likely than not that the fair value of a reporting unit is less than its carrying amount. Factors we consider when making this determination include, but are not limited to, assessing general economic conditions, hospitality industry trends, and overall financial performance of the reporting unit. If we bypass the qualitative assessment, or if we conclude that it is more likely than not that the fair value of a reporting unit is less than its carrying value, then we perform a quantitative impairment test by comparing the fair value of a reporting unit with its carrying amount.

We calculate the estimated fair value of a reporting unit using a combination of the income and market approaches. For the income approach, we use internally developed discounted cash flow models that include the following assumptions, among others: projections of revenues, expenses, and related cash flows based on assumed long-term growth rates and demand trends;

expected future investments to grow new units; and estimated discount rates. For the market approach, we use internal analyses based primarily on market comparables. We base these assumptions on our historical data and experience, third-party appraisals, industry projections, micro and macro general economic condition projections, and our expectations.

We have had no goodwill impairment charges for the last three fiscal years.

Intangibles and Long-Lived Assets

We assess indefinite-lived intangible assets for continued indefinite use and for potential impairment annually, or more frequently if an event or other circumstance indicates that we may not be able to recover the carrying amount of the asset. Like goodwill, we may first assess qualitative factors to determine whether it is more likely than not that the fair value of the indefinite-lived intangible is less than its carrying amount. If the carrying value of the asset exceeds the fair value, we recognize an impairment loss in the amount of that excess.

We test definite-lived intangibles and long-lived asset groups for recoverability when changes in circumstances indicate that we may not be able to recover the carrying value; for example, when there are material adverse changes in projected revenues or expenses, significant underperformance relative to historical or projected operating results, or significant negative industry or economic trends. We also test recoverability when management has committed to a plan to sell or otherwise dispose of an asset group and we expect to complete the plan within a year. We evaluate recoverability of an asset group by comparing its carrying value, including right-of-use assets, to the future net undiscounted cash flows that we expect the asset group will generate. If the comparison indicates that we will not be able to recover the carrying value of an asset group, we recognize an impairment loss for the amount by which the carrying value exceeds the estimated fair value. When we recognize an impairment loss for assets to be held and used, we depreciate the adjusted carrying amount of those assets over their remaining useful life.

We calculate the estimated fair value of an intangible asset or asset group using the income approach or the market approach. We utilize the same assumptions and methodology for the income approach that we describe in the “Goodwill” caption. For the market approach, we use internal analyses based primarily on market comparables and assumptions about market capitalization rates, growth rates, and inflation. See Note 8 for additional information.

Investments

We hold equity interests in ventures established to develop or acquire and own hotel properties or that otherwise support our hospitality operations. We account for these investments as either an equity method investment, a financial asset, or a controlled subsidiary. We apply the equity method of accounting if we have significant influence over the entity, typically when we hold 20 percent or more of the voting common stock (or equivalent) of an investee but do not have a controlling financial interest. In certain circumstances, such as with investments in limited liability companies or limited partnerships, we apply the equity method of accounting when we own as little as three to five percent. We account for financial assets at fair value if it is readily determinable, or using the fair value alternative method, whereby investments are measured at cost less impairment, adjusted for observable price changes. We consolidate entities that we control.

When we acquire an investment that qualifies for the equity method of accounting, we determine the acquisition date fair value of the identifiable assets and liabilities. If our carrying amount exceeds our proportional share in the equity of the investee, we amortize the difference on a straight-line basis over the underlying assets’ estimated useful lives when calculating equity method earnings attributable to us, excluding the difference attributable to land, which we do not amortize.

We evaluate an investment for impairment when circumstances indicate that we may not be able to recover the carrying value. When evaluating our ventures, we consider loan defaults, significant underperformance relative to historical or projected operating performance, or significant negative industry or economic trends. Additionally, a venture’s commitment to a plan to sell some or all of its assets could cause us to evaluate the recoverability of the venture’s individual long-lived assets and possibly the venture itself. We impair investments we account for using the equity method of accounting when we determine that there has been an “other-than-temporary” decline in the venture’s estimated fair value compared to its carrying value. We perform qualitative assessments for investments we account for using the fair value alternative method and we record any associated impairment when the fair value is less than the carrying value.

Under the accounting guidance for the consolidation of variable interest entities, we analyze our variable interests, including equity investments, loans, and guarantees, to determine if an entity in which we have a variable interest is a variable interest entity. Our analysis includes both quantitative and qualitative reviews. We base our quantitative analysis on the forecasted cash flows of the entity, and our qualitative analysis on our review of the design of the entity, its organizational structure including decision-making ability, and relevant financial agreements. We also use our qualitative analysis to determine if we must consolidate a variable interest entity as its primary beneficiary.

Fair Value Measurements

We have various financial instruments we must measure at fair value on a recurring basis, including certain marketable securities and derivatives. See Note 12 for further information. We also apply the provisions of fair value measurement to various nonrecurring measurements for our financial and nonfinancial assets and liabilities.

Accounting standards define fair value as the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date (an exit price). We measure our assets and liabilities using inputs from the following three levels of the fair value hierarchy:

Level 1 inputs are unadjusted quoted prices in active markets for identical assets or liabilities that we have the ability to access at the measurement date.

Level 2 inputs include quoted prices for similar assets and liabilities in active markets, quoted prices for identical or similar assets or liabilities in markets that are not active, inputs other than quoted prices that are observable for the asset or liability (i.e., interest rates, yield curves, etc.), and inputs that are derived principally from or corroborated by observable market data by correlation or other means (market corroborated inputs).

Level 3 inputs include unobservable inputs that reflect our assumptions about what factors market participants would use in pricing the asset or liability. We develop these inputs based on the best information available, including our own data.

Derivative Instruments

We record derivatives at fair value. The designation of a derivative instrument as a hedge and its ability to meet the hedge accounting criteria determine how we reflect the change in fair value of the derivative instrument in our Financial Statements. A derivative qualifies for hedge accounting if, at inception, we expect the derivative will be highly effective in offsetting the underlying hedged cash flows or fair value and we fulfill the hedge documentation standards at the time we enter into the derivative contract. We designate a hedge as a cash flow hedge, fair value hedge, or a hedge of the net investment in non-U.S. operations based on the exposure we are hedging. For the effective portion of qualifying cash flow hedges, we record changes in fair value in accumulated other comprehensive income ("AOCI"). We release the derivative's gain or loss from AOCI to match the timing of the underlying hedged items' effect on earnings. The change in fair value of qualifying fair value hedges as well as changes in fair value of the underlying hedged items to the hedged risks are recorded concurrently in earnings.

We review the effectiveness of our hedging instruments quarterly and discontinue hedge accounting for any hedge that we no longer consider to be highly effective. We recognize changes in fair value for derivatives not designated as hedges or those not qualifying for hedge accounting in current period earnings. Upon termination of cash flow hedges, we release gains and losses from AOCI based on the timing of the underlying cash flows or revenue recognized, unless the termination results from the failure of the intended transaction to occur in the expected time frame. Such untimely transactions require us to immediately recognize in earnings the gains and/or losses that we previously recorded in AOCI.

Changes in interest rates, currency exchange rates, and equity securities expose us to market risk. We manage our exposure to these risks by monitoring available financing alternatives, as well as through development and application of credit granting policies. We also use derivative instruments as part of our overall strategy to manage our exposure to market risks. As a matter of policy, we only enter into transactions that we believe will be highly effective at offsetting the underlying risk, and we do not use derivatives for trading or speculative purposes.

Loan Loss Reserves

We may make senior, mezzanine, and other loans to owners of hotels that we operate or franchise, generally to facilitate the development or renovation of a hotel and sometimes to facilitate brand programs or initiatives. We expect the owners to repay the loans in accordance with the loan agreements, or earlier as the hotels mature and capital markets permit. We use metrics such as loan-to-value ratios and debt service coverage, and other information about collateral and from third-party rating agencies to assess the credit quality of the loan receivable, both upon entering into the loan agreement and on an ongoing basis as applicable.

At inception and throughout the term of the loan agreement, we individually assess loans for impairment. We consider current and forecasted future economic conditions in addition to our historical experience. We use internally generated cash flow projections to determine the likelihood that the loans will be repaid under the terms of the loan agreements. To measure impairment, we calculate the present value of expected future cash flows discounted at the loan's original effective interest rate or the estimated fair value of the collateral. If the present value or the estimated collateral is less than the carrying value of the loan receivable, we establish a specific impairment reserve for the difference.

Leases

We determine if an arrangement is a lease or contains a lease at the inception of the contract. We evaluate leases for classification as operating or financing upon lease commencement. Our leases generally contain fixed and variable components. The variable components of our leases are primarily based on operating performance of the leased property. Our lease agreements may also include non-lease components, such as common area maintenance, which we combine with the lease component to account for both as a single lease component.

Lease liabilities, which represent our obligation to make lease payments arising from the lease, and corresponding right-of-use assets, which represent our right to use an underlying asset for the lease term, are recognized at the commencement date of the lease based on the present value of fixed future payments over the lease term. We calculate the present value of future payments using the discount rate implicit in the lease, if available, or our incremental borrowing rate.

For operating leases, lease expense relating to fixed payments is recognized on a straight-line basis over the lease term and lease expense relating to variable payments is expensed as incurred. For finance leases, the amortization of the asset is recognized over the shorter of the lease term or useful life of the underlying asset.

Guarantees

We measure and record our liability for the fair value of a guarantee on a nonrecurring basis, that is when we issue or modify a guarantee, using Level 3 internally developed inputs, as described above in this footnote under the caption “Fair Value Measurements.” We base our calculation of the estimated fair value of a guarantee on the income approach or the market approach, depending on the type of guarantee. For the income approach, we use internally developed discounted cash flow and Monte Carlo simulation models that include the following assumptions, among others: projections of revenues and expenses and related cash flows based on assumed growth rates and demand trends; historical volatility of projected performance; the guaranteed obligations; and applicable discount rates. We base these assumptions on our historical data and experience, industry projections, micro and macro general economic condition projections, and our expectations. For the market approach, we use internal analyses based primarily on market comparable data and our assumptions about market capitalization rates, credit spreads, growth rates, and inflation.

The offsetting entry for the guarantee liability depends on the circumstances in which the guarantee was issued. Funding under the guarantee reduces the recorded liability. In most cases, when we do not forecast any funding, we amortize the liability into income on a straight-line basis over the remaining term of the guarantee. On a quarterly basis, we evaluate all material estimated liabilities based on the operating results and the terms of the guarantee. If we conclude that it is probable that we will be required to fund a greater amount than previously estimated, we record a loss except to the extent that the applicable contracts provide that the advance can be recovered as a loan.

Self-Insurance Programs

We self-insure for certain levels of liability, workers’ compensation, property insurance and employee medical coverage. We accrue estimated costs of these self-insurance programs at the present value of projected settlements for known and incurred but not reported claims. We use a discount rate of two percent to determine the present value of the projected settlements, which we consider to be reasonable given our history of settled claims, including payment patterns and the fixed nature of the individual settlements. We classify the current portion of our self-insurance reserve in the “Accrued expenses and other” caption and the noncurrent portion in the “Other noncurrent liabilities” caption of our Balance Sheets. The current portion of our self-insurance reserve was \$124 million at December 31, 2021 and \$121 million at December 31, 2020. The noncurrent portion of our self-insurance reserve was \$290 million at December 31, 2021 and \$341 million at December 31, 2020.

Legal Contingencies

We are subject to various legal proceedings and claims, the outcomes of which are uncertain. We record an accrual for legal contingencies when we determine that it is probable that we have incurred a liability and we can reasonably estimate the amount of the loss. In making such determinations we evaluate, among other things, the probability of an unfavorable outcome and, when we believe it probable that a liability has been incurred, our ability to make a reasonable estimate of the loss. We review these accruals each reporting period and make revisions based on changes in facts and circumstances.

Business Combinations

We allocate the purchase price of an acquisition to the tangible and intangible assets acquired and liabilities assumed based on their estimated fair values at the acquisition date. We recognize as goodwill the amount by which the purchase price of an acquired entity exceeds the net of the fair values assigned to the assets acquired and liabilities assumed. In determining the fair values of assets acquired and liabilities assumed, we use various recognized valuation methods including the income and market approaches. Further, we make assumptions within certain valuation techniques, including discount rates, royalty rates, and the amount and timing of future cash flows. We record the net assets and results of operations of an acquired entity in our Financial Statements from the acquisition date. We initially perform these valuations based upon preliminary estimates and assumptions by management or independent valuation specialists under our supervision, where appropriate, and make revisions as estimates and assumptions are finalized. We expense acquisition-related costs as we incur them.

Asset Acquisitions

Acquisitions that do not meet the definition of a business are accounted for as asset acquisitions. We allocate the cost of the acquisition, including direct and incremental transaction costs, to the individual assets acquired and liabilities assumed on a relative fair value basis. Goodwill is not recognized in an asset acquisition.

NOTE 3. RESTRUCTURING CHARGES

Beginning in the 2020 second quarter, we initiated several regional restructuring plans to achieve cost savings in response to the decline in lodging demand caused by COVID-19. We substantially completed our above-property programs as of December 31, 2020 and our property-level programs as of September 30, 2021.

The following table presents our restructuring liability activity during the period:

<i>(\$ in millions)</i>	Employee termination benefits
Balance at December 31, 2020	\$ 143
Charges	—
Cash payments	(122)
Other	(6)
Balance at December 31, 2021, classified in “Accrued expenses and other”	<u>\$ 15</u>

NOTE 4. EARNINGS PER SHARE

The table below illustrates the reconciliation of the earnings and number of shares used in our calculations of basic and diluted earnings per share, the latter of which uses the treasury stock method in order to calculate the dilutive effect of the Company’s potential common stock:

<i>(in millions, except per share amounts)</i>	2021	2020	2019
Computation of Basic Earnings Per Share			
Net income (loss)	\$ 1,099	\$ (267)	\$ 1,273
Shares for basic earnings per share	327.2	325.8	332.7
Basic earnings (loss) per share	<u>\$ 3.36</u>	<u>\$ (0.82)</u>	<u>\$ 3.83</u>
Computation of Diluted Earnings Per Share			
Net income (loss)	\$ 1,099	\$ (267)	\$ 1,273
Shares for basic earnings per share	327.2	325.8	332.7
Effect of dilutive securities			
Stock-based compensation ⁽¹⁾	2.1	—	2.8
Shares for diluted earnings per share	329.3	325.8	335.5
Diluted earnings (loss) per share	<u>\$ 3.34</u>	<u>\$ (0.82)</u>	<u>\$ 3.80</u>

⁽¹⁾ For the calculation of diluted loss per share for 2020, we excluded share-based compensation securities of 1.4 million because the effect was anti-dilutive.

NOTE 5. STOCK-BASED COMPENSATION

RSUs and PSUs

We granted RSUs in 2021 to certain officers and employees, and those units vest generally over four years in equal annual installments commencing one year after the grant date. We also granted performance-based RSUs (“PSUs”) in 2021 to certain executives, which are earned, subject to continued employment and the satisfaction of certain performance and market conditions based on the degree of achievement of pre-established targets for 2023 adjusted EBITDA performance and relative total stockholder return over the 2021 to 2023 performance period.

In the 2020 third quarter, as part of our effort to encourage associate retention in response to the severe impact of COVID-19 on our industry and the Company, we accelerated the issuance of RSU awards to certain officers and employees that ordinarily would have been made in the 2021 first quarter, and those units generally vest over four years and five months, with one quarter of the units vesting one year and five months after the grant date and the remaining units vesting in equal annual installments thereafter. We did not accelerate the issuance of awards for our most senior executives.

We had deferred compensation costs for unvested awards for RSUs, including PSUs, of approximately \$189 million at year-end 2021 and \$301 million at year-end 2020. The weighted average remaining term for RSUs outstanding at year-end 2021 was 2.2 years.

The following table provides additional information on RSUs, including PSUs, for the last three fiscal years:

	2021	2020	2019
Stock-based compensation expense (in millions)	\$ 171	\$ 188	\$ 177
Weighted average grant-date fair value (per unit)	\$ 141	\$ 101	\$ 117
Aggregate intrinsic value of distributed RSUs (in millions)	\$ 205	\$ 234	\$ 276

The following table presents the changes in our outstanding RSUs, including PSUs, during 2021 and the associated weighted average grant-date fair values:

	Number of RSUs (in millions)	Weighted Average Grant-Date Fair Value (per unit)
Outstanding at year-end 2020	5.8	\$ 107
Granted	0.5	\$ 141
Distributed	(1.7)	\$ 113
Forfeited	(0.2)	\$ 106
Outstanding at year-end 2021	4.4	\$ 109

Other Information

At year-end 2021, we had 25 million remaining shares authorized under the Marriott and Starwood Hotels & Resorts Worldwide, LLC, formerly known as Starwood Hotels & Resorts Worldwide, Inc. (“Starwood”) stock plans.

NOTE 6. INCOME TAXES

The components of our earnings (losses) before income taxes for the last three fiscal years consisted of:

(\$ in millions)	2021	2020	2019
U.S.	\$ 890	\$ (320)	\$ 549
Non-U.S.	290	(146)	1,050
	<u>\$ 1,180</u>	<u>\$ (466)</u>	<u>\$ 1,599</u>

Our (provision) benefit for income taxes for the last three fiscal years consisted of:

(\$ in millions)		2021	2020	2019
Current	-U.S. Federal	\$ 99	\$ 9	\$ (272)
	-U.S. State	24	(41)	(57)
	-Non-U.S.	(86)	(78)	(161)
		37	(110)	(490)
Deferred	-U.S. Federal	(122)	180	141
	-U.S. State	(37)	81	39
	-Non-U.S.	41	48	(16)
		(118)	309	164
		<u>\$ (81)</u>	<u>\$ 199</u>	<u>\$ (326)</u>

Unrecognized Tax Benefits

The following table reconciles our unrecognized tax benefit balance for each year from the beginning of 2019 to the end of 2021:

(\$ in millions)	Amount
Unrecognized tax benefit at beginning of 2019	\$ 623
Change attributable to tax positions taken in prior years	(13)
Change attributable to tax positions taken during the current period	13
Decrease attributable to settlements with taxing authorities	(54)
Unrecognized tax benefit at year-end 2019	569
Change attributable to tax positions taken in prior years	(66)
Change attributable to tax positions taken during the current period	4
Decrease attributable to settlements with taxing authorities	(43)
Unrecognized tax benefit at year-end 2020	464
Change attributable to tax positions taken in prior years	(134)
Change attributable to tax positions taken during the current period	—
Decrease attributable to settlements with taxing authorities	(48)
Unrecognized tax benefit at year-end 2021	<u>\$ 282</u>

Our unrecognized tax benefit balances included \$266 million at year-end 2021, \$410 million at year-end 2020, and \$498 million at year-end 2019 of tax positions that, if recognized, would impact our effective tax rate. It is reasonably possible that within the next 12 months we will reach resolution of income tax examinations in one or more jurisdictions. The actual amount of any change to our unrecognized tax benefits could vary depending on the timing and nature of the settlement. Therefore, an estimate of the change cannot be provided. We recognize accrued interest and penalties for our unrecognized tax benefits as a component of tax expenses. Related interest (benefit) expense totaled \$(21) million in 2021, \$(15) million in 2020, and \$28 million in 2019. We accrued interest and penalties related to our unrecognized tax benefits of approximately \$45 million at year-end 2021 and \$85 million at year-end 2020.

We file income tax returns, including returns for our subsidiaries, in various jurisdictions around the world. The U.S. Internal Revenue Service (“IRS”) has examined our federal income tax returns, and as of year-end 2021, we have settled all issues for Marriott for tax years through 2015 and for tax year 2018. For Starwood, we have settled all tax years through 2016, the year the acquisition was completed. Our Marriott 2016, 2017, and 2019 through 2021 tax year audits are currently ongoing. Various foreign, state, and local income tax returns are also under examination by the applicable taxing authorities.

Deferred Income Taxes

Deferred income tax balances reflect the effects of temporary differences between the carrying amounts of assets and liabilities and their tax bases, as well as from net operating loss and tax credit carry-forwards. We state those balances at the enacted tax rates we expect will be in effect when we pay or recover the taxes. Deferred income tax assets represent amounts available to reduce income taxes we will pay on taxable income in future years. We evaluate our ability to realize these future tax deductions and credits by assessing whether we expect to have sufficient future taxable income from all sources, including reversal of taxable temporary differences, forecasted operating earnings, and available tax planning strategies to utilize these future deductions and credits. We establish a valuation allowance when we no longer consider it more likely than not that a deferred tax asset will be realized.

The following table presents the tax effect of each type of temporary difference and carry-forward that gave rise to significant portions of our deferred tax assets and liabilities as of year-end 2021 and year-end 2020:

(\$ in millions)	At Year-End 2021	At Year-End 2020
Deferred Tax Assets		
Employee benefits	\$ 235	\$ 262
Net operating loss carry-forwards	771	818
Accrued expenses and other reserves	191	214
Receivables, net	11	12
Tax credits	53	49
Loyalty Program	181	367
Deferred income	98	69
Lease liabilities	336	252
Interest Limitation	163	—
Other	34	82
Deferred tax assets	2,073	2,125
Valuation allowance	(984)	(1,009)
Deferred tax assets after valuation allowance	1,089	1,116
Deferred Tax Liabilities		
Equity method investments	(40)	(29)
Property and equipment	(9)	(42)
Intangibles	(666)	(663)
Right-of-use assets	(290)	(197)
Self-insurance	(25)	(19)
Deferred tax liabilities	(1,030)	(950)
Net deferred taxes	\$ 59	\$ 166

Our valuation allowance is primarily attributable to non-U.S. net operating loss carry-forwards.

At year-end 2021, we had approximately \$36 million of tax credits that will expire through 2031 and \$18 million of tax credits that do not expire. We recorded \$51 million of net operating loss benefits in 2021 and \$44 million in 2020. At year-end 2021, we had approximately \$3,778 million of primarily state and foreign net operating losses, of which \$1,738 million will expire through 2041.

We made no provision for U.S. income taxes or additional non-U.S. taxes on certain undistributed earnings of non-U.S. subsidiaries. These earnings could become subject to additional taxes if the non-U.S. subsidiaries dividend or loan those earnings to an affiliate or if we sell our interests in the non-U.S. subsidiaries. We cannot practically estimate the amount of additional taxes that might be payable on the undistributed earnings.

Reconciliation of U.S. Federal Statutory Income Tax Rate to Actual Income Tax Rate

The following table reconciles the U.S. statutory tax rate to our effective income tax rate for the last three fiscal years:

	2021	2020	2019
U.S. statutory tax rate	21.0 %	21.0 %	21.0 %
U.S. state income taxes, net of U.S. federal tax benefit	2.7	3.8	1.6
Non-U.S. income	(0.5)	12.5	(3.3)
Change in valuation allowance	(0.7)	(20.0)	3.4
Change in uncertain tax positions	(12.0)	12.2	1.9
Permanent items	(0.5)	9.4	1.3
Tax on asset dispositions	(0.7)	0.0	(0.7)
Excess tax benefits related to equity awards	(2.8)	6.4	(3.2)
U.S. tax on foreign earnings	0.4	(3.0)	0.1
Other, net	(0.1)	0.6	(1.7)
Effective rate	6.8 %	42.9 %	20.4 %

The non-U.S. income tax benefit presented in the table above includes tax-exempt income in Hong Kong and Singapore, and a deemed interest deduction in Switzerland, which collectively represented 3.2% in 2021, 12.9% in 2020, and 8.8% in 2019. We included the impact of these items in the non-U.S. income line above because we consider them to be equivalent to a reduction of the statutory tax rates in these jurisdictions. Pre-tax income in Switzerland, Singapore, and Hong Kong totaled \$255 million in 2021, \$314 million in 2020, and \$709 million in 2019.

The non-U.S. income tax benefit also includes U.S. income tax expense on non-U.S. operations, which represents (0.5)% in 2021, 0.8% in 2020, and 2.0% in 2019. We included the impact of this tax in the non-U.S. income line above because we consider this tax to be an integral part of the foreign taxes.

Other Information

We paid cash for income taxes, net of refunds, of \$362 million in 2021, \$279 million in 2020, and \$526 million in 2019.

NOTE 7. COMMITMENTS AND CONTINGENCIES

Guarantees

We issue guarantees to certain lenders and hotel owners, chiefly to obtain long-term management and franchise contracts. The guarantees generally have a stated maximum funding amount and a term of three to ten years. The terms of guarantees to lenders generally require us to fund if cash flows from hotel operations are inadequate to cover annual debt service or to repay the loan at maturity. The terms of the guarantees to hotel owners generally require us to fund if the hotels do not attain specified levels of operating profit. Guarantee fundings to lenders and hotel owners are generally recoverable out of future hotel cash flows and/or proceeds from the sale or refinancing of hotels.

We present the maximum potential amount of our future guarantee fundings and the carrying amount of our liability for our debt service, operating profit, and other guarantees (excluding contingent purchase obligations) for which we are the primary obligor at year-end 2021 in the following table:

(\$ in millions) Guarantee Type	Maximum Potential Amount of Future Fundings	Recorded Liability for Guarantees
Debt service	\$ 20	\$ 5
Operating profit	189	118
Other	18	4
	<u>\$ 227</u>	<u>\$ 127</u>

Our liability at year-end 2021 for guarantees for which we are the primary obligor is reflected in our Balance Sheets as \$17 million of “Accrued expenses and other” and \$110 million of “Other noncurrent liabilities.”

Our maximum potential guarantees listed in the preceding table include \$42 million of operating profit guarantees and \$3 million of other guarantees that will not be in effect until the underlying properties open and we begin to operate the properties or certain other events occur.

In conjunction with financing obtained for specific projects or properties owned by us or entities in which we have an investment, we may provide industry standard indemnifications to the lender for loss, liability, or damage occurring as a result of the actions of the entity or our own actions.

Contingent Purchase Obligation

Sheraton Grand Chicago. In 2017, we granted the owner a one-time right to require us to purchase the leasehold interest in the land and the hotel for \$300 million in cash (the “put option”). In the 2021 third quarter, we entered into an amendment with the owner to move the exercise period of the put option from the 2022 first half to the 2024 first half. If the owner exercises the put option, the closing is expected to occur in the 2024 fourth quarter, and we have the option to purchase, at the same time the put transaction closes, the fee simple interest in the underlying land for an additional \$200 million in cash. We account for the put option as a guarantee, and our recorded liability was \$300 million at year-end 2021 and 2020.

We concluded that the entity that owns the Sheraton Grand Chicago hotel is a variable interest entity. We did not consolidate the entity because we do not have the power to direct the activities that most significantly impact the entity’s economic performance. Our maximum exposure to loss related to the entity is equal to the difference between the purchase price and the fair value of the hotel at the time that the put option is exercised, plus the maximum funding amount of an operating profit guarantee that we provided for the hotel.

Commitments

At year-end 2021, we had various purchase commitments for goods and services in the normal course of business, primarily for programs and services for which we are reimbursed by third-party owners, totaling \$409 million. We expect to purchase goods and services subject to these commitments as follows: \$227 million in 2022, \$71 million in 2023, \$88 million in 2024, and \$23 million thereafter.

Letters of Credit

At year-end 2021, we had \$148 million of letters of credit outstanding (all outside the Credit Facility, as defined in Note 9), most of which were for our self-insurance programs. Surety bonds issued as of year-end 2021 totaled \$162 million, most of which state governments requested in connection with our self-insurance programs.

Starwood Data Security Incident

Description of Event

On November 30, 2018, we announced a data security incident involving unauthorized access to the Starwood reservations database (the “Data Security Incident”). Working with leading security experts, we determined that there was unauthorized access to the Starwood network since 2014 and that an unauthorized party had copied information from the Starwood reservations database and taken steps towards removing it. The Starwood reservations database is no longer used for business operations.

Expenses and Insurance Recoveries

In 2021, we recorded \$24 million of expenses and \$19 million of accrued insurance recoveries related to the Data Security Incident; in 2020, we recorded an \$11 million net reversal of expenses and \$29 million of accrued insurance recoveries related to the Data Security Incident; and in 2019, we recorded \$148 million of expenses and \$84 million of accrued insurance recoveries related to the Data Security Incident. We received insurance recoveries of \$23 million in 2021 and \$47 million in 2020. We recognize insurance recoveries when they are probable of receipt and present them in our Income Statements in the same caption as the related expense, up to the amount of total expense incurred in prior and current periods. We present expenses and insurance recoveries related to the Data Security Incident in either the “Reimbursed expenses” or “Restructuring and merger-related charges” captions of our Income Statements.

Litigation, Claims, and Government Investigations

Following our announcement of the Data Security Incident, approximately 100 lawsuits were filed by consumers and others against us in U.S. federal, U.S. state and Canadian courts related to the incident. All but one of the U.S. cases were consolidated and transferred to the U.S. District Court for the District of Maryland, pursuant to orders of the U.S. Judicial Panel

on Multidistrict Litigation (the “MDL”). The plaintiffs in the U.S. and Canadian cases, who generally purport to represent various classes of consumers, generally claim to have been harmed by alleged actions and/or omissions by the Company in connection with the Data Security Incident and assert a variety of common law and statutory claims seeking monetary damages, injunctive relief, costs and attorneys’ fees, and other related relief. Among the U.S. cases consolidated in the MDL proceeding is a putative class action lawsuit that was filed on December 1, 2018 against the Company and certain of our current and former officers and directors, alleging violations of the federal securities laws in connection with statements regarding our cybersecurity systems and controls, and seeking certification of a class of affected persons, unspecified monetary damages, costs and attorneys’ fees, and other related relief (the “Securities Case”). The MDL proceeding also included two shareholder derivative complaints that were filed on February 26, 2019 and March 15, 2019, respectively, against the Company and certain of our current and former officers and directors, alleging, among other claims, breach of fiduciary duty, corporate waste, unjust enrichment, mismanagement and violations of the federal securities laws, and seeking unspecified monetary damages and restitution, changes to the Company’s corporate governance and internal procedures, costs and attorneys’ fees, and other related relief (the “MDL Derivative Cases”). A separate shareholder derivative complaint was filed in the Delaware Court of Chancery on December 3, 2019 against the Company and certain of our current and former officers and directors, alleging claims and seeking relief generally similar to the claims made and relief sought in the other two derivative cases. This case was not consolidated with the MDL proceeding. We filed motions to dismiss in connection with all of the U.S. cases. Our motions to dismiss the Securities Case and the MDL Derivative Cases were granted in June 2021. The plaintiff in the Securities Case has appealed the dismissal and that appeal is still pending. The plaintiffs in the MDL Derivative Cases have not appealed. Motions to dismiss in the other MDL cases have been denied in part or in whole and these cases remain at varying stages. Our motion to dismiss the Delaware derivative case was granted in October 2021 and no appeal was filed. A putative class action lawsuit brought on behalf of financial institutions has been voluntarily dismissed. The Canadian cases have effectively been consolidated into a single case in the province of Ontario. We dispute the allegations in the lawsuits described above and are vigorously defending against such claims. In April 2019, we received a letter purportedly on behalf of a stockholder of the Company (also one of the named plaintiffs in the Securities Case described above) demanding that our Board of Directors take action against certain of the Company’s current and former officers and directors to recover damages for alleged breaches of fiduciary duties and related claims arising from the Data Security Incident. In October 2021, we received a letter purportedly on behalf of another stockholder of the Company (also one of the named plaintiffs in one of the dismissed MDL Derivative Cases described above) demanding that our Board of Directors take action against certain of the Company’s current and former officers and directors to recover damages for alleged breaches of fiduciary duties and other claims related to the Data Security Incident or associated disclosures. The Board of Directors has constituted a demand review committee to investigate the claims made in these demand letters, and the committee has retained independent counsel to assist with the investigations. The committee has completed its investigation and reported its findings and recommendations to our Board of Directors, which thereafter resolved, in February 2022, to reject the demands in their entirety. In addition, on August 18, 2020, a purported representative action was brought against us in the High Court of Justice for England and Wales on behalf of an alleged claimant class of English and Welsh residents alleging breaches of the General Data Protection Regulation and/or the U.K. Data Protection Act 2018 (the “U.K. DPA”) in connection with the Data Security Incident. We dispute all of the allegations in this purported action and will vigorously defend against any such claims. On November 5, 2020, the court issued an order with the consent of all parties staying this action pending resolution of another case raising similar issues, but not involving the Company. That other case was decided by the U.K. Supreme Court on November 10, 2021 and we are assessing next steps in light of the decision.

In addition, numerous U.S. federal, U.S. state and foreign governmental authorities made inquiries, opened investigations, or requested information and/or documents related to the Data Security Incident and related matters, including Attorneys General offices from all 50 states and the District of Columbia, the Federal Trade Commission, the Securities and Exchange Commission, certain committees of the U.S. Senate and House of Representatives, the Information Commissioner’s Office in the United Kingdom (the “ICO”) as lead supervisory authority in the European Economic Area, and regulatory authorities in various other jurisdictions. With the exception of the ICO proceeding, which was resolved in October 2020, these matters generally remain open. We are in discussions with the U.S. state Attorneys General, the U.S. Federal Trade Commission, and certain regulatory authorities in other jurisdictions to resolve their investigations and requests.

While we believe it is reasonably possible that we may incur additional losses associated with the above described proceedings and investigations related to the Data Security Incident, it is not possible to estimate the amount of loss or range of loss, if any, in excess of the amounts already incurred that might result from adverse judgments, settlements, fines, penalties or other resolution of these proceedings and investigations based on the current stage of these proceedings and investigations, the absence of specific allegations as to alleged damages, the uncertainty as to the certification of a class or classes and the size of any certified class, if applicable, and/or the lack of resolution of significant factual and legal issues.

NOTE 8. LEASES

We enter into operating and finance leases primarily for hotels, offices, and equipment. Most leases have initial terms of up to 20 years, and contain one or more renewals at our option, generally for five- or 10-year periods. We have generally not included these renewal periods in the lease term as it is not reasonably certain that we will exercise the renewal option.

The following table details the composition of lease expense for 2021, 2020, and 2019:

(\$ in millions)	2021	2020	2019
Operating lease cost	\$ 149	\$ 157	\$ 185
Variable lease cost	51	60	113

We recorded impairment charges of \$116 million in 2020 and \$99 million in 2019 in the “Depreciation, amortization, and other” caption of our Income Statements to reduce the carrying amount of certain U.S. & Canada hotel leases right-of-use assets and property and equipment, including leasehold improvements. The impairment charges recorded in 2020 were due to the impact of COVID-19. We determined that we may not be able to fully recover the carrying amount of these U.S. & Canada hotel leases after evaluating the assets for recovery due to declines in market performance and future cash flow projections. We estimated the fair value using an income approach reflecting internally developed Level 3 discounted cash flows that included, among other things, our expectations of future cash flows based on historical experience and projected growth rates, usage estimates and demand trends. Additionally, during the year ended 2019, we recorded an expense of \$34 million in the “Restructuring and merger-related charges” caption of our Income Statements due to the impairment of a Legacy-Starwood office building accounted for as a finance lease.

The following table presents our future minimum lease payments at year-end 2021:

(\$ in millions)	Operating Leases	Finance Leases
2022	\$ 191	\$ 13
2023	150	14
2024	141	14
2025	133	14
2026	109	15
Thereafter	942	122
Total minimum lease payments	\$ 1,666	\$ 192
Less: Amount representing interest	418	46
Present value of minimum lease payments	\$ 1,248	\$ 146

The following table presents the composition of our current and noncurrent lease liability at year-end 2021 and 2020:

(\$ in millions)	December 31, 2021		December 31, 2020	
	Operating Leases	Finance Leases	Operating Leases	Finance Leases
Current ⁽¹⁾	\$ 150	\$ 7	\$ 147	\$ 7
Noncurrent ⁽²⁾	1,098	139	823	146
	<u>\$ 1,248</u>	<u>\$ 146</u>	<u>\$ 970</u>	<u>\$ 153</u>

⁽¹⁾ Operating leases are recorded in the “Accrued expenses and other” and finance leases are recorded in the “Current portion of long-term debt” captions of our Balance Sheets.

⁽²⁾ Operating leases are recorded in the “Operating lease liabilities” and finance leases are recorded in the “Long-term debt” captions of our Balance Sheets.

The following table presents additional information about our lease obligations at year-end 2021 and 2020:

	2021		2020	
	Operating leases	Finance leases	Operating leases	Finance leases
Weighted Average Remaining Lease Term (in years)	14	12	10	13
Weighted Average Discount Rate	4.2 %	4.4 %	4.6 %	4.4 %

The following table presents supplemental cash flow information for 2021 and 2020:

<i>(\$ in millions)</i>	2021		2020	
Cash paid for amounts included in the measurement of lease liabilities:				
Operating cash outflows for operating leases	\$	181	\$	162
Lease assets obtained in exchange for lease obligations:				
Operating leases		463		35

NOTE 9. LONG-TERM DEBT

We provide detail on our long-term debt balances, net of discounts, premiums, and debt issuance costs, in the following table at year-end 2021 and 2020:

(\$ in millions)	At Year-End 2021	At Year-End 2020
Senior Notes:		
Series L Notes, interest rate of 3.3%, face amount of \$173, maturing September 15, 2022 (effective interest rate of 3.4%)	\$ 173	\$ 173
Series N Notes, interest rate of 3.1%, face amount of \$400, redeemed August 9, 2021 (effective interest rate of 3.4%)	—	399
Series O Notes, interest rate of 2.9%, face amount of \$450, matured March 1, 2021 (effective interest rate of 3.1%)	—	450
Series P Notes, interest rate of 3.8%, face amount of \$350, maturing October 1, 2025 (effective interest rate of 4.0%)	347	346
Series Q Notes, interest rate of 2.3%, face amount of \$399, matured January 15, 2022 (effective interest rate of 2.5%)	399	398
Series R Notes, interest rate of 3.1%, face amount of \$750, maturing June 15, 2026 (effective interest rate of 3.3%)	746	745
Series U Notes, interest rate of 3.1%, face amount of \$291, maturing February 15, 2023 (effective interest rate of 3.1%)	291	291
Series V Notes, interest rate of 3.8%, face amount of \$318, maturing March 15, 2025 (effective interest rate of 2.8%)	327	330
Series W Notes, interest rate of 4.5%, face amount of \$278, maturing October 1, 2034 (effective interest rate of 4.1%)	290	290
Series X Notes, interest rate of 4.0%, face amount of \$450, maturing April 15, 2028 (effective interest rate of 4.2%)	445	445
Series Z Notes, interest rate of 4.2%, face amount of \$350, maturing December 1, 2023 (effective interest rate of 4.4%)	349	348
Series AA Notes, interest rate of 4.7%, face amount of \$300, maturing December 1, 2028 (effective interest rate of 4.8%)	297	297
Series BB Notes, floating rate, face amount of \$300, matured March 8, 2021	—	300
Series CC Notes, interest rate of 3.6%, face amount of \$550, maturing April 15, 2024 (effective interest rate of 3.9%)	566	586
Series DD Notes, interest rate of 2.1%, face amount of \$224, maturing October 3, 2022 (effective interest rate of 1.2%)	226	228
Series EE Notes, interest rate of 5.8%, face amount of \$600, maturing May 1, 2025 (effective interest rate of 6.0%)	595	1,583
Series FF Notes, interest rate of 4.6%, face amount of \$1,000, maturing June 15, 2030 (effective interest rate of 4.8%)	987	986
Series GG Notes, interest rate of 3.5%, face amount of \$1,000, maturing October 15, 2032 (effective interest rate of 3.7%)	986	985
Series HH Notes, interest rate of 2.9%, face amount of \$1,100, maturing April 15, 2031 (effective interest rate of 3.0%)	1,090	—
Series II Notes, interest rate of 2.8%, face amount of \$700, maturing October 15, 2033 (effective interest rate of 2.8%)	693	—
Credit Facility	1,050	900
Finance lease obligations	146	153
Other	135	143
	\$ 10,138	\$ 10,376
Less current portion	(805)	(1,173)
	\$ 9,333	\$ 9,203

All our long-term debt is recourse to us but unsecured. All the Senior Notes shown in the table above are our unsecured and unsubordinated obligations, which rank equally with our other Senior Notes and all other unsecured and unsubordinated indebtedness that we have issued or will issue from time to time, and are governed by the terms of an indenture, dated as of November 16, 1998, between us and The Bank of New York Mellon (formerly The Bank of New York), as trustee. We may redeem some or all of each series of the Senior Notes before maturity under the terms provided in the applicable form of Senior Note.

In January 2022, we made a \$404 million cash payment of principal and interest to retire, at maturity, all of our outstanding Series Q Notes.

In September 2021, we completed a tender offer (the “Tender Offer”) and purchased and retired \$1 billion aggregate principal amount of our 5.750 percent Series EE Notes maturing May 1, 2025. We used the net proceeds from our Series II Notes offering described below and cash on hand to complete the repurchase of such Series EE Notes, including the payment of accrued interest and other costs incurred. As a result of the Tender Offer, in the 2021 third quarter, we recorded a loss of \$164 million in the “Loss on extinguishment of debt” caption of our Income Statements.

In September 2021, we issued \$700 million aggregate principal amount of 2.750 percent Series II Notes due October 15, 2033 (the “Series II Notes”). We will pay interest on the Series II Notes in April and October of each year, commencing in April 2022. We received net proceeds of approximately \$693 million from the offering of the Series II Notes, after deducting the underwriting discount and estimated expenses. We used the net proceeds to fund the Tender Offer, as further described above.

In August 2021, we redeemed all \$400 million aggregate principal amount of our Series N Notes due in October 2021.

In March 2021, we issued \$1.1 billion aggregate principal amount of 2.850 percent Series HH Notes due April 15, 2031 (the “Series HH Notes”). We pay interest on the Series HH Notes in April and October of each year. We received net proceeds of approximately \$1.089 billion from the offering of the Series HH Notes, after deducting the underwriting discount and estimated expenses, which were made available for general corporate purposes, including the repayment of a portion of our outstanding borrowings under the Credit Facility.

We are party to a multicurrency revolving credit agreement (as amended, the “Credit Facility”) that provides for up to \$4.5 billion of aggregate borrowings for general corporate needs, including working capital, capital expenditures, letters of credit, acquisitions, and to support our commercial paper program if and when we resume issuing commercial paper. Borrowings under the Credit Facility generally bear interest at LIBOR (the London Interbank Offered Rate) plus a spread, based on our public debt rating. We also pay quarterly fees on the Credit Facility at a rate based on our public debt rating. We classify outstanding borrowings under the Credit Facility and outstanding commercial paper borrowings (if any) as long-term based on our ability and intent to refinance the outstanding borrowings on a long-term basis. The Credit Facility expires on June 28, 2024. In 2021, we made borrowings of \$1.7 billion and repayments of \$1.5 billion. Our total outstanding borrowings under the Credit Facility were \$1.1 billion as of year-end 2021.

We entered into amendments to the Credit Facility in April 2020 and January 2021 (the “Credit Facility Amendments”). The debt leverage covenant in the Credit Facility, which is tested each quarter and was waived pursuant to the Credit Facility Amendments through and including the fourth quarter of 2021, resumes beginning with the quarter ending March 31, 2022. The Credit Facility Amendments adjusted the required leverage levels for this covenant when it is re-imposed (starting at 5.50 to 1.00 for the test period ending on March 31, 2022 and gradually stepping down to 4.00 to 1.00 over the succeeding five fiscal quarters, as further described in the Credit Facility). The Credit Facility Amendments also amended certain other terms of the Credit Facility, including reducing the rate floor for the LIBOR Daily Floating Rate and the Eurocurrency Rate.

The following table presents future principal payments, net of discounts, premiums, and debt issuance costs, for our debt at year-end 2021:

Debt Principal Payments (\$ in millions)	Amount
2022	\$ 805
2023	683
2024	1,624
2025	1,311
2026	756
Thereafter	4,959
Balance at year-end 2021	<u>\$ 10,138</u>

We paid cash for interest, net of amounts capitalized, of \$391 million in 2021, \$377 million in 2020, and \$348 million in 2019.

NOTE 10. INTANGIBLE ASSETS AND GOODWILL

The following table details the composition of our intangible assets at year-end 2021 and 2020:

<i>(\$ in millions)</i>	At Year-End 2021	At Year-End 2020
Definite-lived Intangible Assets		
Costs incurred to obtain contracts with customers	\$ 1,875	\$ 1,674
Contracts acquired in business combinations and other	2,187	2,257
	4,062	3,931
Accumulated amortization	(1,052)	(937)
	3,010	2,994
Indefinite-lived Intangible Brand Assets	5,916	5,995
	<u>\$ 8,926</u>	<u>\$ 8,989</u>

We capitalize direct costs that we incur to obtain management, franchise, and license agreements. We amortize these costs on a straight-line basis over the initial term of the agreements, ranging from 15 to 30 years. In 2020, we recorded impairment charges totaling \$64 million in the “Contract investment amortization” caption of our Income Statements to reduce the carrying amount of certain capitalized costs incurred to obtain contracts with customers, primarily due to the impact of COVID-19, most of which we recorded in our U.S. & Canada business segment.

For contracts acquired in business combinations and other intangible assets, we recorded amortization expense of \$165 million in 2021, \$97 million in 2020, and \$105 million in 2019 (of which \$62 million in 2021 and none in 2020 and 2019 was included in the “Reimbursed expenses” caption of our Income Statements). For these assets, we estimate that our aggregate amortization expense will be \$163 million in 2022, \$147 million in 2023, \$134 million in 2024, \$122 million in 2025, and \$110 million in 2026.

The following table details the carrying amount of our goodwill at year-end 2021 and 2020:

<i>(\$ in millions)</i>	U.S. & Canada	International	Total Goodwill
Balance at year-end 2020	\$ 5,347	\$ 3,828	\$ 9,175
Foreign currency translation	1	(103)	(102)
Balance at year-end 2021	<u>\$ 5,348</u>	<u>\$ 3,725</u>	<u>\$ 9,073</u>

NOTE 11. PROPERTY AND EQUIPMENT

The following table presents the composition of our property and equipment balances at year-end 2021 and 2020:

<i>(\$ in millions)</i>	At Year-End 2021	At Year-End 2020
Land	\$ 686	\$ 688
Buildings and leasehold improvements	985	1,045
Furniture and equipment	545	640
Construction in progress	137	29
	2,353	2,402
Accumulated depreciation	(850)	(888)
	<u>\$ 1,503</u>	<u>\$ 1,514</u>

We record property and equipment at cost, including interest and real estate taxes we incur during development and construction. We capitalize the cost of improvements that extend the useful life of property and equipment when we incur them. These capitalized costs may include structural costs, equipment, fixtures, floor, and wall coverings. We expense all repair and maintenance costs when we incur them. We compute depreciation using the straight-line method over the estimated useful lives of the assets (generally three to 40 years), and we amortize leasehold improvements over the shorter of the asset life or lease term. Our gross depreciation expense totaled \$138 million in 2021, \$322 million in 2020, and \$346 million in 2019 (of which \$49 million in 2021, \$109 million in 2020, and \$121 million in 2019 was included in the “Reimbursed expenses” caption of our Income Statements). Fixed assets attributed to operations located outside the U.S. were \$623 million at year-end 2021 and \$679 million at year-end 2020. Our gross depreciation expense included impairment charges for property and equipment, including

leasehold improvements, and right-of-use assets on several U.S. & Canada leased hotels in 2020 and 2019, which we discussed in Note 8.

NOTE 12. FAIR VALUE OF FINANCIAL INSTRUMENTS

We believe that the fair values of our current assets and current liabilities approximate their reported carrying amounts. We present the carrying values and the fair values of noncurrent financial assets and liabilities that qualify as financial instruments, determined under current guidance for disclosures on the fair value of financial instruments, in the following table:

	At Year-End 2021		At Year-End 2020	
	Carrying Amount	Fair Value	Carrying Amount	Fair Value
<i>(\$ in millions)</i>				
Senior, mezzanine, and other loans	\$ 144	\$ 131	\$ 159	\$ 142
Total noncurrent financial assets	\$ 144	\$ 131	\$ 159	\$ 142
Senior Notes	\$ (8,009)	\$ (8,480)	\$ (8,031)	\$ (8,941)
Credit Facility	(1,050)	(1,050)	(900)	(900)
Other long-term debt	(135)	(140)	(126)	(128)
Other noncurrent liabilities	(414)	(414)	(426)	(426)
Total noncurrent financial liabilities	\$ (9,608)	\$ (10,084)	\$ (9,483)	\$ (10,395)

We estimate the fair value of our senior, mezzanine, and other loans by discounting cash flows using risk-adjusted rates, both of which are Level 3 inputs.

We determine the fair value of our Senior Notes using quoted market prices, which are directly observable Level 1 inputs. When we have outstanding commercial paper, we use pricing from recent transactions as Level 2 inputs in estimating fair value. The carrying value of our Credit Facility borrowings approximate fair value because they bear interest at a market rate. We estimate the fair value of our other long-term debt, excluding leases, using expected future payments discounted at risk-adjusted rates, which are Level 3 inputs. Our other noncurrent liabilities consist of guarantees. As we note in the “Guarantees” caption of Note 2, we measure our liability for guarantees at fair value on a nonrecurring basis, which is when we issue or modify a guarantee using Level 3 internally developed inputs. At year-end 2021 and year-end 2020, we determined that the carrying values of our guarantee liabilities approximated their fair values based on Level 3 inputs.

See the “Fair Value Measurements” caption of Note 2 for more information on the input levels we use in determining fair value.

NOTE 13. ACCUMULATED OTHER COMPREHENSIVE LOSS

The following table details the accumulated other comprehensive loss activity for 2021, 2020, and 2019:

(\$ in millions)	Foreign Currency Translation Adjustments	Derivative Instrument and Other Adjustments	Accumulated Other Comprehensive Loss
Balance at year-end 2018	\$ (403)	\$ 12	\$ (391)
Other comprehensive income before reclassifications ⁽¹⁾	35	2	37
Reclassification adjustments	—	(7)	(7)
Net other comprehensive income (loss)	35	(5)	30
Balance at year-end 2019	\$ (368)	\$ 7	\$ (361)
Other comprehensive income before reclassifications ⁽¹⁾	229	7	236
Reclassification adjustments	—	(10)	(10)
Net other comprehensive income (loss)	229	(3)	226
Balance at year-end 2020	\$ (139)	\$ 4	\$ (135)
Other comprehensive (loss) income before reclassifications ⁽¹⁾	(212)	5	(207)
Reclassification adjustments	—	—	—
Net other comprehensive (loss) income	(212)	5	(207)
Balance at year-end 2021	\$ (351)	\$ 9	\$ (342)

⁽¹⁾ Other comprehensive income (loss) before reclassifications for foreign currency translation adjustments includes intra-entity foreign currency transactions that are of a long-term investment nature, which resulted in gains (losses) of \$40 million for 2021, \$(44) million for 2020, and \$6 million for 2019.

NOTE 14. BUSINESS SEGMENTS

Beginning in the 2021 first quarter, we modified our segment structure due to a change in the way our chief operating decision maker evaluates results and allocates resources within the Company, resulting in the following two operating segments, both of which meet the applicable accounting criteria for separate disclosure as a reportable business segment: United States and Canada (“U.S. & Canada”) and International. We revised the prior period amounts shown in the tables below to conform to our current presentation.

We evaluate the performance of our operating segments using “segment profits/loss” which is based largely on the results of the segment without allocating corporate expenses, income taxes, indirect general, administrative, and other expenses, merger-related costs, or most above-property restructuring charges. We assign gains and losses, equity in earnings or losses, direct general, administrative, and other expenses, and other restructuring charges to each of our segments. “Unallocated corporate and other” includes a portion of our revenues (including license fees we receive from our credit card programs and fees from vacation ownership licensing agreements), revenues and expenses for our Loyalty Program, general, administrative, and other expenses, restructuring and merger-related charges, equity in earnings or losses, and other gains or losses that we do not allocate to our segments.

Our chief operating decision maker monitors assets for the consolidated Company but does not use assets by operating segment when assessing performance or making operating segment resource allocations.

Segment Revenues

The following table presents our revenues disaggregated by segment and major revenue stream for the last three fiscal years:

	2021			2020			2019		
(\$ in millions)	U.S. & Canada	International	Total	U.S. & Canada	International	Total	U.S. & Canada	International	Total
Gross fee revenues	\$ 1,580	\$ 568	\$ 2,148	\$ 914	\$ 338	\$ 1,252	\$ 2,265	\$ 1,032	\$ 3,297
Contract investment amortization	(55)	(20)	(75)	(108)	(24)	(132)	(48)	(14)	(62)
Net fee revenues	1,525	548	2,073	806	314	1,120	2,217	1,018	3,235
Owned, leased, and other revenue	282	467	749	198	317	515	715	841	1,556
Cost reimbursement revenue	8,549	1,239	9,788	6,901	966	7,867	13,901	1,685	15,586
Total reportable segment revenue	\$ 10,356	\$ 2,254	\$12,610	\$ 7,905	\$ 1,597	\$ 9,502	\$ 16,833	\$ 3,544	\$20,377
Unallocated corporate and other			1,247			1,069			595
Total revenue			<u>\$13,857</u>			<u>\$10,571</u>			<u>\$20,972</u>

Revenues attributed to operations located outside the U.S. were \$2,615 million in 2021, \$1,910 million in 2020, and \$4,400 million in 2019, including cost reimbursement revenue outside the U.S. of \$1,553 million in 2021, \$1,247 million in 2020, and \$2,394 million in 2019.

Segment Profits and Losses

(\$ in millions)	2021	2020	2019
U.S. & Canada ⁽¹⁾	\$ 1,394	\$ 198	\$ 2,000
International ⁽²⁾	258	(222)	804
Unallocated corporate and other	(80)	(24)	(837)
Interest expense, net of interest income	(392)	(418)	(368)
(Provision) benefit for income taxes	(81)	199	(326)
Net income (loss)	<u>\$ 1,099</u>	<u>\$ (267)</u>	<u>\$ 1,273</u>

(1) Includes cost reimbursements, net of \$51 million in 2021, \$(80) million in 2020, and \$(129) million in 2019.

(2) Includes cost reimbursements, net of \$14 million in 2021, \$(55) million in 2020, and \$(18) million in 2019.

Segment profits (losses) attributed to operations located outside the U.S. were \$297 million in 2021, \$(198) million in 2020, and \$982 million in 2019, including cost reimbursements, net (cost reimbursement revenue, net of reimbursed expenses) outside the U.S. of \$14 million in 2021, \$(62) million in 2020, and \$(18) million in 2019.

Depreciation, Amortization, and Other

(\$ in millions)	2021	2020	2019
U.S. & Canada	\$ 92	\$ 209	\$ 218
International	106	113	96
Unallocated corporate and other	22	24	27
	<u>\$ 220</u>	<u>\$ 346</u>	<u>\$ 341</u>

Capital Expenditures

(\$ in millions)	2021	2020	2019
U.S. & Canada	\$ 13	\$ 12	\$ 287
International	12	17	166
Unallocated corporate and other	158	106	200
	<u>\$ 183</u>	<u>\$ 135</u>	<u>\$ 653</u>

NOTE 15. RELATED PARTY TRANSACTIONS

Equity Method Investments

We have equity method investments in entities that own or lease properties for which we provide management services and receive fees. In addition, in some cases we provide loans, preferred equity, or guarantees to these entities.

The following table presents Income Statement data resulting from transactions with these related parties. This table does not include our Financial Statement captions with insignificant related party activity.

(\$ in millions)	2021	2020	2019
Cost reimbursement revenue	\$ 104	\$ 107	\$ 233
Reimbursed expenses	(105)	(110)	(236)
Equity in (losses) earnings	(24)	(141)	13

Summarized Financial Information for Investees

The following tables present summarized financial information for the entities in which we have equity method investments:

(\$ in millions)	2021	2020	2019
Sales	\$ 283	\$ 259	\$ 815
Net (loss) income	(37)	(212)	80

(\$ in millions)	At Year-End 2021	At Year-End 2020
Total Assets (primarily composed of hotel real estate managed by us)	\$ 1,229	\$ 2,348
Total Liabilities	865	1,623

The carrying amount of our equity method investments was \$387 million at year-end 2021 and \$422 million at year-end 2020. This value exceeded our share of the book value of the investees' net assets by \$257 million at year-end 2021 and \$294 million at year-end 2020, primarily due to the value that we assigned to land, contracts, and buildings owned by the investees.

In 2020, we recorded impairment charges of \$77 million in the "Equity in (losses) earnings" caption of our Income Statements to reduce the carrying amount of certain investments, primarily due to the impact of COVID-19, most of which we recorded in our U.S. & Canada business segment.

Other Related Parties

We earned management fees of approximately \$6 million in 2021, \$3 million in 2020, and \$12 million in 2019, plus reimbursement of certain expenses, from our operation of properties in which JWM Family Enterprises, L.P., which is beneficially owned and controlled by J.W. Marriott, Jr., Deborah Marriott Harrison, David S. Marriott, and other members of the Marriott family, indirectly holds varying percentages of ownership. We earned gross fee revenues of approximately \$1 million in 2021, plus reimbursement of certain expenses, and no revenues in 2020 and 2019 from managed and franchised properties in which other members of the Marriott family hold varying interests.

NOTE 16. RELATIONSHIP WITH MAJOR CUSTOMER

Host Hotels & Resorts, Inc., formerly known as Host Marriott Corporation, and its affiliates ("Host") owned or leased 56 lodging properties at year-end 2021 and 59 at year-end 2020 that we operated or franchised. Over the last three years, we recognized revenues, including cost reimbursement revenue, of \$1,192 million in 2021, \$1,037 million in 2020, and \$2,406 million in 2019 from those lodging properties, and included those revenues in our U.S. & Canada and International reportable business segments.

Item 9. Changes in and Disagreements with Accountants on Accounting and Financial Disclosure.

None.

Item 9A. Controls and Procedures.

Disclosure Controls and Procedures

We evaluated the effectiveness of our disclosure controls and procedures (as such term is defined in Rules 13a-15(e) and 15d-15(e) under the Securities Exchange Act of 1934 (the "Exchange Act")) as of the end of the period covered by this annual report under the supervision and with the participation of our management, including our Chief Executive Officer and Chief Financial Officer. Management necessarily applied its judgment in assessing the costs and benefits of those controls and procedures, which by their nature, can provide only reasonable assurance about management's control objectives. You should note that the design of any system of controls is based in part upon certain assumptions about the likelihood of future events,

and we cannot assure you that any design will succeed in achieving its stated goals under all potential future conditions, regardless of how remote. Based upon this evaluation, our Chief Executive Officer and Chief Financial Officer concluded that our disclosure controls and procedures were effective and operating to provide reasonable assurance that we record, process, summarize, and report the information we are required to disclose in the reports that we file or submit under the Exchange Act within the time periods specified in the rules and forms of the SEC, and to provide reasonable assurance that we accumulate and communicate such information to our management, including our Chief Executive Officer and Chief Financial Officer, as appropriate to allow timely decisions about required disclosure.

Internal Control Over Financial Reporting

We have set forth management's report on internal control over financial reporting and the attestation report of our independent registered public accounting firm on our internal control over financial reporting in Part II, Item 8 of this Form 10-K, and we incorporate those reports here by reference.

We made no changes in internal control over financial reporting during the fourth quarter of 2021 that materially affected, or are reasonably likely to materially affect, our internal control over financial reporting.

Item 9B. Other Information.

None.

Item 9C. Disclosure Regarding Foreign Jurisdictions that Prevent Inspections.

Not applicable.

FINANCIAL STATEMENTS

MIF, L.L.C.

Fiscal Years Ended December 31, 2021, 2020, and 2019

With Report of Independent Auditors

MIF, L.L.C.

Financial Statements

Fiscal Years Ended December 31, 2021, 2020 and 2019

Contents

Report of Independent Auditors	3
Audited Financial Statements	
Balance Sheets	5
Statements of Income	6
Statements of Member's Equity	7
Statements of Cash Flows	8
Notes to Financial Statements	9

Report of Independent Auditors

We have audited the financial statements of MIF, L.L.C., which comprise the balance sheets as of December 31, 2021 and 2020, and the related statements of income, member's equity and cash flows for the years then ended, and the related notes (collectively referred to as the "financial statements").

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of MIF, L.L.C. at December 31, 2021 and 2020, and the results of its operations and its cash flows for the years then ended in accordance with the accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audits in accordance with auditing standards generally accepted in the United States of America (GAAS). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the Company and to meet our other ethical responsibilities in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free of material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for one year after the date that the financial statements are available to be issued.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free of material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Ernst & Young LLP

March 24, 2022

MIF, L.L.C.
BALANCE SHEETS
As of December 31, 2021 and 2020
(\$ in Thousands)

	<u>2021</u>	<u>2020</u>
ASSETS		
Current Assets		
Accounts receivable, net	\$ 9,321	\$ 7,697
Total current assets	9,321	7,697
Intangible assets, net	27,439	29,832
Due from related parties, net	260,830	228,132
Total assets	<u>\$ 297,590</u>	<u>\$ 265,661</u>
 LIABILITIES AND MEMBER'S EQUITY		
Current Liabilities		
Accounts payable	\$ 2,701	\$ 2,034
Deferred income - current portion	1,548	1,632
Total current liabilities	4,249	3,666
Deferred income - non current portion	7,626	9,038
Total liabilities	<u>11,875</u>	<u>12,704</u>
Member's Equity		
Membership interest	20,000	20,000
Note receivable and accrued interest from Member	(5,792)	(5,701)
Retained earnings	238,658	216,939
Current-year earnings	32,849	21,719
Total member's equity	<u>285,715</u>	<u>252,957</u>
Total liabilities and member's equity	<u>\$ 297,590</u>	<u>\$ 265,661</u>

See accompanying notes to financial statements

MIF, L.L.C.
STATEMENTS OF INCOME
For the Periods ended December 31, 2021, 2020 and 2019
(\$ in Thousands)

	2021	2020	2019
REVENUES			
Franchise fees	\$ 50,963	\$ 33,957	\$ 72,714
Licensing fees	4,424	2,691	6,816
Gross fee revenue	55,387	36,648	79,530
Contract investment amortization	(1,546)	(1,591)	(1,604)
Net fee revenues	53,841	35,057	77,926
Cost reimbursement revenue	10,850	17,139	24,045
	64,691	52,196	101,971
OPERATING COST AND EXPENSES			
Related party royalty expense	\$ 19,448	13,267	29,104
Amortization and depreciation expense	67	67	77
General, administrative, and other	2,783	2,322	10,738
Reimbursed expenses	10,850	17,139	24,045
	33,148	32,795	63,964
OPERATING INCOME	31,543	19,401	38,007
Interest income	1,306	2,318	5,479
NET INCOME	\$ 32,849	\$ 21,719	\$ 43,486

See accompanying notes to financial statements

MIF, L.L.C.

STATEMENTS OF MEMBER'S EQUITY

For the Periods ended December 31, 2021, 2020 and 2019

(\$ in Thousands)

	Membership Interest	Note Receivable and Accrued Interest from Member	Retained Earnings	Total Member's Equity
Balance as of December 31, 2018	<u>20,000</u>	<u>(5,297)</u>	<u>173,453</u>	<u>188,156</u>
Accrued interest receivable	-	(225)	-	(225)
Net income	-	-	43,486	43,486
Balance as of December 31, 2019	<u>20,000</u>	<u>(5,522)</u>	<u>216,939</u>	<u>231,417</u>
Accrued interest receivable	-	(179)	-	(179)
Net income	-	-	21,719	21,719
Balance as of December 31, 2020	<u>\$ 20,000</u>	<u>\$ (5,701)</u>	<u>\$ 238,658</u>	<u>\$ 252,957</u>
Accrued interest receivable	-	(91)	-	(91)
Net income	-	-	32,849	32,849
Balance as of December 31, 2021	<u>\$ 20,000</u>	<u>\$ (5,792)</u>	<u>\$ 271,507</u>	<u>\$ 285,715</u>

See accompanying notes to financial statements

MIF, L.L.C.
STATEMENTS OF CASH FLOWS
For the Periods ended December 31, 2021, 2020 and 2019
(\$ in Thousands)

	<u>2021</u>	<u>2020</u>	<u>2019</u>
OPERATING ACTIVITIES			
Net income	\$ 32,849	\$ 21,719	\$ 43,486
Adjustments to reconcile to cash provided by operating activities:			
Amortization and depreciation	1,236	1,604	407
Accounts receivable	(1,624)	4,052	1,646
Due from related parties	(32,698)	(22,968)	(46,432)
Accounts payable	668	(529)	(545)
Deferred fee revenue	(1,496)	(2,230)	(1,646)
Due to related parties	1,156	(1,469)	3,309
Interest receivable	(91)	(179)	(225)
Net cash provided by operating activities	<u>-</u>	<u>-</u>	<u>-</u>
INVESTING ACTIVITIES			
Net cash provided by investing activities	-	-	-
FINANCING ACTIVITIES			
Net cash provided by financing activities	<u>-</u>	<u>-</u>	<u>-</u>
INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS	-	-	-
CASH AND CASH EQUIVALENTS, beginning of period	<u>-</u>	<u>-</u>	<u>-</u>
CASH AND CASH EQUIVALENTS, end of period	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>

See accompanying notes to financial statements

MIF, L.L.C.
Notes to Financial Statements (continued)
(\$ in Thousands)

1. Description of Business

MIF, L.L.C. (“we,” “us,” or the “Company”) was formed on March 20, 2012 and is incorporated as a limited liability company (“LLC”), in the state of Delaware. The Company’s sole member is Marriott International, Inc. (“Marriott” or the “Parent”). Upon the completion of its franchise disclosure document in 2012, the Company began to offer franchises as a unit franchised business using the Marriott name, designs, and systems, which it licenses from Marriott, to sell Marriott branded product and other products at specified locations in the United States of America that are approved by the Company.

The Marriott franchise system is characterized by certain patents, trademarks, logos, operating systems, operating manuals, training, distinctive hotel design and color schemes, and includes materials and methods for marketing and selling Marriott branded products and other products.

During the year ended December 31, 2021, the Company transferred 19 franchise agreements to Marriott. There were no new or relicensed agreements executed that added properties to MIF, L.L.C.

During the year ended December 31, 2020, the Company transferred 5 franchise agreements to Marriott. There were no new or relicensed agreements executed that added properties to MIF, L.L.C.

During the year ended December 31, 2019, the Company transferred 13 franchise agreements to Marriott. There were no new or relicensed agreements executed that added properties to MIF, L.L.C.

COVID-19

COVID-19 continues to have a material impact on our business and industry. However, the recovery of demand at our hotels and Revenue per Available Room (“RevPAR”) continued in 2021, led primarily by robust leisure demand, and travelers who continue to embrace multi-purpose trips, mixing remote work and vacation time. The spread of the COVID-19 variants, such as Delta and Omicron, constrained the pace of the recovery in the latter half of 2021 and continued to constrain the pace of recovery in the beginning of 2022.

The impact of COVID-19 remains fluid, as does our response. We expect to continue to assess the situation and may implement additional measures to adapt our operations and plans to address the implications of COVID-19 on our business. The overall operational and financial impact is highly dependent on the breadth and duration of COVID-19 and could be affected by other factors we are not currently able to predict.

MIF, L.L.C.
Notes to Financial Statements (continued)
(\$ in Thousands)

2. Summary of Significant Accounting Policies

Basis of Presentation

The accompanying financial statements present the results of operations, financial position, and cash flows of the Company in accordance with generally accepted accounting principles in the U.S. (“U.S. GAAP”). Preparation of financial statements in conformity with U.S. GAAP requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities as of the date of the financial statements, the reported amounts of revenues and expenses during the reporting periods, and the disclosures of contingent liabilities. The uncertainty created by COVID-19 and efforts to contain it has made such estimates more difficult and subjective. Accordingly, ultimate results could differ from those estimates.

Revenue Recognition and Cost Reimbursements

Our revenues primarily include franchise fees, licensing fees, and cost reimbursements. For our franchised hotels, we have a performance obligation to provide franchisees and operators a license to our hotel system intellectual property for use of certain of our brand names. As compensation for such services, we are typically entitled to initial application fees and ongoing royalty fees. Our ongoing royalty fees represent variable consideration, as the transaction price is based on a percentage of certain revenues of the hotels, as defined in each contract. We recognize royalty fees on a monthly basis over the term of the agreement as those amounts become payable. Initial application and relicensing fees are fixed consideration payable upon submission of a franchise application or renewal and are recognized on a straight-line basis over the initial or renewal term of the franchise agreements.

Under our franchise agreements, franchisees participate in certain centralized programs and services, such as marketing, sales, reservations, and insurance programs. Marriott operates these programs and services for the benefit of our franchisees. These programs and services do not generate a profit over the contract term, and accordingly, when we recover the costs associated with administering these programs and services from our franchisees, we do not seek a mark-up. The amounts we charge for these programs and services are generally a combination of fixed fees and variable fees based on sales or other metrics and are payable on a monthly basis. We recognize revenue within the “Cost reimbursement revenue” caption of our Income Statements when the amounts may be billed to franchisees, and we recognize expenses within the “Reimbursed expenses” caption as they are incurred, which is simultaneous.

MIF, L.L.C.
Notes to Financial Statements (continued)
(\$ in Thousands)

2. Summary of Significant Accounting Policies (continued)

Contract Balances

We generally receive payments from customers as we satisfy our performance obligations. We record a receivable when we have an unconditional right to receive payment and only the passage of time is required before payment is due. We record deferred revenue when we receive payment, or have the unconditional right to receive payment, in advance of the satisfaction of our performance obligations related to franchise application and relicensing fees. In 2021, we recognized revenue of \$2,176 that was deferred as of December 31, 2020.

Costs Incurred to Obtain Contracts with Customers

We incur certain costs to obtain contracts with customers, which we capitalize and amortize on a straight-line basis over the initial, non-cancellable term of the contract. We classify incremental costs of obtaining a contract with a customer in the “Intangible assets, net” caption of our Balance Sheets, the related amortization in the “Contract investment amortization” caption of our Income Statements, and the cash flow impact in the “Amortization” caption of our Statements of Cash Flows. See Footnote 3. Intangible Assets for information on capitalized costs incurred to obtain contracts with customers.

Related Party Transactions

Related party transactions are the result of transactions with and between subsidiaries of Marriott. Transactions are classified as current or non-current assets and liabilities depending on the original maturity terms of the transaction. Non-current assets and liabilities are transactions with original maturities greater than one year. Transactions with related party entities resulting in both receivables from and payables to an individual related party entity as of the balance sheet date are presented on a net basis. Related party receivables, net for the years ended December 31, 2021 and 2020, were \$260,830 and \$228,132, respectively. The related party transactions are classified as non-current.

The related party transactions incur interest at rates of 0.5%, 1.0%, and 3.0% for 2021, 2020, and 2019, respectively, based on the Internal Revenue Service Short-term Applicable Federal Rate. Interest income for the years ended December 31, 2021, December 31, 2020, and December 31, 2019 was \$1,215, \$2,139, and \$5,254, respectively.

MIF, L.L.C.
Notes to Financial Statements (continued)
(\$ in Thousands)

2. Summary of Significant Accounting Policies (continued)

The financial statements include an allocation of costs that are necessary to operate MIF as if it were a stand-alone business. Payments for Marriott corporate administrative services on hotel development, hotel brand management, and internal and external professional services (treasury, legal, accounting, finance, human resources, and tax) are allocated and charged to the Company based on its proportional share of domestic administrative costs, which is determined by the percentage of domestic revenue earned by Marriott. The Company is charged a 1% markup on the final allocated amount. The Company believes the proportional cost allocation is an appropriate method of allocating costs from their Parent. Corporate allocation costs for the years ended December 31, 2021, December 31, 2020, and December 31, 2019 was \$3,829, \$2,157, and \$10,589, respectively.

Royalties for licensing of the Marriott franchise system are charged to the Company at a rate of 2% of the underlying franchised properties' gross room revenue, and food and beverage revenue for full-service hotels. Other transactions with related parties predominantly include acquisitions of intangible assets, which were exchanged at Marriott's net book value of the underlying asset on the date of the acquisition, and other transactions carried out on a cost reimbursement basis.

On April 2, 2012, the Company was capitalized with a \$20,000 note receivable (the "Note") from the Parent. The Note has no maturity but is due and payable on demand by the Company. The Note bears interest at approximately 1.59% and 3.24% for 2021 and 2020, respectively, adjusted annually on January 1 of each subsequent year to the London Interbank Offered Rate ("LIBOR") plus 125 basis points.

The twelve-month USD LIBOR tenor will cease to be published after June 30, 2023. At this time, it is difficult for us to predict the full effect of any changes from LIBOR to an alternative benchmark rate upon or prior to the final LIBOR cessation date, the phase out of LIBOR generally, or the establishment and use of particular alternative benchmark rates to replace LIBOR. There continues to be uncertainty about how we, the financial markets, applicable law, and the courts will address the replacement of LIBOR with alternative benchmark rates for contracts that do not include fallback provisions to provide for such alternative benchmark rates.

Cash and Equivalents

We consider all highly liquid investments with an initial maturity of three months or less at date of purchase to be cash equivalents. At December 31, 2021 and 2020, the Company does not have a cash balance. Transactions, substantially all of which are with the Parent, are recorded through related party receivable and payable accounts.

MIF, L.L.C.
Notes to Financial Statements (continued)
(\$ in Thousands)

2. Summary of Significant Accounting Policies (continued)

Impairment

We evaluate an intangible asset for impairment when changes in circumstances indicate that we may not be able to recover the carrying value; for example, when there are material adverse changes in projected revenues or expenses, significant under performance relative to historical or projected operating results, or significant negative industry or economic trends. If indicators of impairment are identified, we test the intangible asset for impairment by comparing its carrying value to the consideration that we expect to receive in the future and that we have received but have not recognized as revenue, in exchange for the goods or services to which the asset relates (“the consideration”), less the costs that relate directly to providing those goods or services and that have not been recognized as expenses. If the comparison indicates that the carrying value of the asset is less than the future consideration less the related expenses, we recognize an impairment loss for the difference. No impairment charges have been recorded during the years ended December 31, 2021, 2020 or 2019.

Receivables

The Company’s receivables balance consists of current trade receivables. Trade receivables are carried at amortized cost less an allowance for credit losses. The Company’s allowance for credit losses is measured over the contractual life of the instrument based on an assessment of historical collection activity and current and forecasted future economic conditions. Our allowance for credit losses was \$233 at December 31, 2021 and \$1,183 at December 31, 2020. The decrease during 2021 was primarily due to the recovery of previously reserved amounts deemed uncollectible.

Legal Contingencies

We are subject to various legal proceedings and claims, the outcomes of which are subject to significant uncertainty. We record an accrual for legal contingencies when we determine that it is probable that a liability has been incurred and the amount of the loss can be reasonably estimated. In making such determinations we evaluate, among other things, the probability of an unfavorable outcome and, when it is probable that a liability has been incurred, our ability to make a reasonable estimate of the loss. We review these accruals each reporting period and make revisions based on changes in facts and circumstances. There are no accruals related to legal contingencies at December 31, 2021 and 2020, respectively.

MIF, L.L.C.
Notes to Financial Statements (continued)
(\$ in Thousands)

2. Summary of Significant Accounting Policies (continued)

Income Taxes

The Company is an LLC and under the existing provisions of the Internal Revenue Code and applicable state tax law, income and losses of the LLC flow through to the member of the LLC; accordingly, no provision for federal and state income taxes has been provided for in the accompanying financial statements of the Company.

New Accounting Standards

We do not expect that accounting standards updates issued to date and that are effective after December 31, 2021 will have a material effect on our Financial Statements.

3. Intangible Assets

The following table details the composition of our intangible assets:

	<u>2021</u>	<u>2020</u>
Costs incurred to obtain contracts with customers	\$ 35,971	\$ 37,167
Other contract intangibles	<u>1,816</u>	<u>1,775</u>
	\$ 37,787	\$ 38,943
Accumulated amortization	<u>(10,348)</u>	<u>(9,111)</u>
	<u>\$ 27,439</u>	<u>\$ 29,832</u>

We capitalize only incremental costs that Marriott incurs on our behalf to acquire franchise and license agreements, which we reimburse through a related party payable. We record these costs incurred to obtain contracts with customers within the “Intangible assets, net” caption of our Balance Sheets. We amortize these costs on a straight-line basis over the initial term of the underlying agreements, ranging from 10 to 30 years, in the “contract investment amortization” caption of our Income Statements.

In 2019, the Company recorded intangible assets of \$1,764 related to its Parent’s acquisition of its partner’s remaining interest in a joint venture. The related franchise contracts have a weighted-average term of 24 years. We amortize the acquired intangible assets on a straight-line basis over the remaining term of the underlying agreements and record the expense in the “Amortization and depreciation expense” caption of our Income Statements. The Company derecognized the carrying amount of all previously capitalized costs incurred to obtain these contracts of \$3,105. For these acquired definite-lived intangible assets, our estimated aggregate amortization expense for each of the next five fiscal years through December 31, 2026, will be approximately \$67.

MIF, L.L.C.
Notes to Financial Statements (continued)
(\$ in Thousands)

4. Subsequent Events

The Company has evaluated subsequent events for recognition and disclosure through March 24, 2022, the date of these financial statements. We continue to monitor the unrecognized subsequent events related to the rapidly evolving Russia-Ukraine situation. We cannot currently estimate the overall operational and financial impact on the Company due to the uncertainty in the breadth and duration of the situation, however, we do not expect significant declines in the Company's US operations as a result of the international incident.

Other than the item mentioned above, no other significant subsequent events have occurred since the balance sheet date.

GUARANTEE OF PERFORMANCE

For value received, MIF, L.L.C., a Delaware limited liability company (the “**Guarantor**”), located at 10400 Fernwood Road, Bethesda, Maryland 20817, absolutely and unconditionally guarantees to assume the duties and obligations of Marriott International, Inc. located at 10400 Fernwood Road, Bethesda, Maryland 20817 (the “**Franchisor**”), under its franchise registration in each state where the franchise is registered, and under its Franchise Agreement identified in its 2022 Franchise Disclosure Document, as it may be amended, and as that Franchise Agreement may be entered into with franchisees and amended, modified or extended from time to time. This guarantee continues until all such obligations of the Franchisor under its franchise registrations and the Franchise Agreement are satisfied or until the liability of Franchisor to its franchisees under the Franchise Agreement has been completely discharged, whichever first occurs. The Guarantor is not discharged from liability if a claim by a franchisee against the Franchisor remains outstanding. Notice of acceptance is waived. The Guarantor does not waive receipt of notice of default on the part of the Franchisor. This guarantee is binding on the Guarantor and its successors and assigns.

The Guarantor signs this Guarantee of Performance at Bethesda, Maryland on March 21, 2022.

GUARANTOR:

MIF, L.L.C.

By: Felitia Lee

Name: Felitia Lee

Title: Authorized Signatory

EXHIBIT K

MANUALS, STANDARDS, AND RESOURCES

MANUALS, STANDARDS AND RESOURCES – TRIBUTE PORTFOLIO

(as described in Item 11 of the Disclosure Document)

Standards

Standards are made available to you through an online resource. This resource contains a complete listing of standards for Tribute Portfolio hotels. The resource contains approximately 350 pages of information concerning the following subjects:

- Global Design
- Communications
- Engineering
- Event Management
- Finance and Accounting
- Fitness Center & Recreation
- Food and Beverage
- Front Office
- Golf
- Housekeeping
- Human Resources
- Loyalty Program – Marriott Bonvoy
- Quality Assurance
- Retail
- Risk Management
- Sales, Marketing and Revenue Management
- Technology
- Sustainability
- Procurement

Resource Specific to Conversions and New Property Openings

An online resource is available to you for specific information related to converting or opening a new hotel property. Users may locate information about:

- Opening Guidelines: Timelines, Critical Path Checklists
- Operations: Resource Order Form, Opening Requirements, OS&E
- Sales and Marketing: MARSHA Training
- Training: Culture Orientation, Required Training, Training Snapshot
- Global Design, Interior Design, Procurement, Interior Graphics & Signage

Architecture and Construction

A comprehensive, detailed online guide for all pertinent Architecture and Construction (A&C) documents is available on LOBO for all Tribute Portfolio hotels. The guide is filled with information relating to the design and construction of Tribute Portfolio hotels and acts as a resource for all applicable personnel involved in the conversion or development of a Tribute Portfolio hotel.

EXHIBIT L

SERVICE AGREEMENTS

TRADITIONAL REVENUE MANAGEMENT CONSULTING AGREEMENT

THIS TRADITIONAL REVENUE MANAGEMENT CONSULTING AGREEMENT (“Agreement”) is made and entered into this 1st day of January, 2022 (“Commencement Date”) By and between «Manager» (“Management Company”), and Marriott International, Inc. (“Franchisor”).

RECITALS:

WHEREAS, Franchisor and Franchisee are parties to a Franchise Agreement (as it may be amended, modified, supplemented or restated from time to time, the “Franchise Agreement”), which granted Franchisee the non-exclusive right and franchise to operate the «Property» «BRAND_ACRO» hotel located at «Address», «City», «State» «Zip_Code» (the “Hotel”);

WHEREAS, Franchisor provides certain revenue management services to certain franchisees of its hotels for a fee;

WHEREAS, Franchisee desires that Franchisor provide certain revenue management services to Franchisee with respect to the Hotel; and

WHEREAS, Franchisor desires to provide certain revenue management services to Franchisee with respect to the Hotel, on the terms and conditions set forth herein.

NOW, THEREFORE, in consideration of the mutual covenants contained herein and other good and valuable consideration, the receipt and sufficiency of which are hereby specifically acknowledged, the parties agree as follows:

1. **Scope of Services.** Franchisor shall provide the revenue management services set forth on Schedule “A” attached hereto and made a part hereof (the “Services”) to Franchisee with respect to the Hotel. If the hotel did not participate in Franchisor’s revenue management services in 2021, Franchisor shall provide the set-up services described in Schedule C, for the fee set forth in Schedule C. The set-up services shall otherwise be deemed part of the “Services” for purposes of this Agreement. In the event that Franchisee has elected to participate in the weekend support program, Franchisor shall provide the revenue management weekend services set forth on Schedule A and such weekend services shall also be deemed part of the “Services” for purposes of this Agreement. If Franchisee has not elected to participate in weekend services, all references to, and costs for, weekend support services herein shall not apply to Franchisee. Franchisor’s personnel who assist in providing the Services shall be qualified in and dedicated to revenue management. Both parties acknowledge and agree that Franchisee is under no obligation to comply with any recommendations made by Franchisor in connection with this Agreement, including but not limited to recommendations regarding pricing, inventory, room allocation or rate allocation. Franchisee expressly reserves the right to make, and is ultimately responsible for, any and all decisions relating to pricing, rate allocation and all other revenue management issues. Nothing contained herein should be considered a representation or warranty by Franchisor that compliance with any recommendations made by Franchisor in connection with this Agreement, including but not limited to recommendations regarding pricing, inventory, room allocation or rate allocation will produce, increase or optimize profits of Franchisee.

2. **Confidentiality.** Franchisee shall not, during the term of this Agreement or thereafter, without Franchisor's prior written consent, which consent may be granted or withheld in Franchisee's sole discretion, communicate, transmit, divulge, copy, duplicate, record, or otherwise reproduce, or use for the benefit of any third party or business other than the Hotel, in whole or in part, any documentation, software or other confidential information, knowledge, or know-how associated with the Services provided under this Agreement which may be communicated or provided to Franchisee, or of which Franchisee may be apprised, by virtue of Franchisee's operation under this Agreement, or otherwise make the same available to any unauthorized person. Franchisee shall divulge such information only to such of Franchisee's employees or agents as must have access to it in order to operate the Hotel; all other persons shall be deemed "unauthorized" for purposes of this Agreement. All such information, including without limitation, market data and recommendations by Franchisor regarding rates, pricing, inventory, room allocations and rate allocations, is confidential and provided by Franchisor to Franchisee solely for the purposes of operating the Hotel, and Franchisee expressly acknowledges that such information shall not be used or considered in any respect by the Franchisee in reaching decisions for any other hotels owned, operated or franchised by the Franchisee. The information that is the subject of this Section 2 shall be deemed "Confidential Information" for purposes of the Franchise Agreement. The obligations of Franchisee under this Section 2 shall survive the termination of this Agreement.

3. **Extra Services.** Any services not included in the Services shall be performed by Franchisor only when requested by Franchisee in writing and specifically agreed to by Franchisor. Any additional cost or fees to be paid for such extra services shall be agreed to in writing by both parties.

4. **Term and Termination.** The initial term of this Agreement shall begin on the Commencement Date and shall expire either (1) December 31 of that same year, if the Commencement Date is between January 1st and June 30, or (2) December 31 of the next year, if the Commencement Date is between July 1 and December 31. For purposes of clarity, if the Commencement Date is November 5, 2021, the initial term will expire on December 31, 2022. This Agreement shall automatically renew for successive terms of one calendar year each unless either party provides written notice of non-renewal at least ninety (90) days in advance of the expiration of the then-current term. In addition, Franchisee shall have right to terminate this Agreement by providing written notice of such termination to Franchisor within thirty (30) days after receipt of notice of an increase in the fee Franchisor charges for the Services, if such fee increases by more than ten percent (10%) from the prior calendar year, such termination to be effective as of the later of (i) the effective date of the fee increase or (ii) thirty (30) days after such notice of termination is delivered to Franchisor. In the event that Franchisee fails to make any payments required to be made to Franchisor hereunder, which is not cured within ten (10) business days after receipt of notice of non-payment, Franchisor shall have the right to terminate this Agreement upon notice to Franchisee. In addition, if the Franchise Agreement is terminated for any reason during the term of this Agreement, this Agreement shall terminate at the same time as the Franchise Agreement is terminated; provided that if the Franchise Agreement is terminated and a new franchise agreement is entered (with Franchisee or another person or entity) with respect to the Hotel, this agreement shall be assigned to and assumed by the new franchisee and Franchisee will cause the new franchisee to execute any acknowledgements reasonably requested by Franchisor to signify its agreement to be bound by the provisions of this Agreement. Except as otherwise provided in this Section 4, a party shall have the right to terminate this Agreement if the other party materially breaches this Agreement and fails to remedy such breach within thirty (30)

days after receipt of written notice thereof specifying the nature of such breach. The rights of termination under this Section 4 are in addition to whatever rights the non-defaulting party may have at law or in equity; provided that, in no event shall Franchisor be liable to Franchisee in an amount greater than the amounts previously paid by Franchisee for the Services giving rise to the liability.

5. **Fee.** Franchisor will charge Franchisee a fee for each month on the first day of the month for the Services as set forth in Schedule “B” to this Agreement, which shall be pro-rated for any partial month for which the Services are performed. In addition, if the Hotel did not participate in Franchisor’s revenue management services during 2021, Franchisor will provide the set-up services described in Schedule C to this Agreement and charge Franchisee the one-time fee set forth in Schedule C. The fee shall be due in full 60 days after the Commencement Date. Franchisee agrees to pay such fees to Franchisor within fifteen (15) days of receipt of an invoice therefore. Any payments not actually received by Franchisor on or before the due date shall be deemed overdue. Franchisor may modify the fee effective as of the beginning of any renewal term, subject to Franchisee’s right to terminate this Agreement discussed in Section 4, above.

6. **Indemnification.** Franchisee agrees to defend, indemnify and hold harmless Franchisor its affiliates, and each of their officers, directors, agents and employees, from and against any and all actions, costs, claims, losses, expenses and/or damages, including attorney’s fees, arising out of or resulting from the performance of the Services. The obligations of Franchisee under this Section 6 shall survive the termination of this Agreement.

7. **Licenses and Permits.** If any governmental license or permit is required for the provision of the Services, then Franchisor, at its expense, shall duly procure and thereafter maintain such license or permit and make the same available for inspection by Franchisee during normal business hours upon reasonable advance notice.

8. **Limited Delegation of Authority.** In order to efficiently and effectively manage room inventory consistent with the interests of Franchisee, Franchisee appoints Franchisor as its limited agent with authority to take such actions as set forth in the “Inventory Management” portion of Schedule “A” (“Inventory Management Actions”) as Franchisor deems appropriate. Franchisee expressly reserves the right to override any Inventory Management Actions taken by Franchisor. In periodic revenue management meetings (each a “Consultation”), Franchisee shall communicate to Franchisor any concerns with respect to Inventory Management Actions taken by Franchisor since the last Consultation, and shall provide to Franchisor specific guidance for taking future Inventory Management Actions. In the absence of explicit disapproval at a Consultation, Franchisee shall be deemed to have approved and authorized all Inventory Management Actions taken by Franchisor after the previous Consultation.

9. **Independent Contractor.** This Agreement does not create a fiduciary relationship between Franchisor and Franchisee. All persons employed to furnish the Services are employees of Franchisor and not of Franchisee. Franchisor shall perform the Services as an independent contractor, except that Franchisor will have the right to act on Franchisee’s behalf when taking Inventory Management Actions. When Franchisor acts for Franchisee as set forth in the preceding clause, Franchisee retains all risk of loss for unsold or cheaply sold inventory.

10. **Assignment.** This agreement may not be assigned by Franchisee in whole or part without the prior written consent of Franchisor which will not be unreasonably withheld.

Franchisor shall have the right to transfer this Agreement to any person or entity without prior notice to, or consent of, Franchisee, provided the transferee assumes Franchisor's obligations to Franchisee under this Agreement. Franchisee hereby acknowledges and agrees that any such transfer by Franchisor shall constitute a release and novation of Franchisor with respect to this Agreement.

11. **Notices.** Notices, requests, demands and other communication hereunder shall be in writing and shall be forwarded by registered or certified mail as follows:

12. **Entire Agreement.** This Agreement contains the entire agreement between the parties with respect to its subject matter, superseding any prior agreements and writings, and it may not be changed other than by an agreement in writing signed by the parties.

IN WITNESS WHEREOF, the parties hereto have executed the Agreement the day and year first above written.

MANAGEMENT COMPANY:

«Manager»

By: _____

Title: _____

Date: _____

FRANCHISOR:

MARRIOTT INTERNATIONAL, INC.

By: _____
Revenue Management – RMAS

Schedule A
Revenue Management Advisory Services
Tier I 2022

TIER I THEME ROTATION



TIER I is available primarily to Select Brand hotels. Your RMA Revenue Manager (RM) will leverage systems efficiencies to provide daily transient pricing and inventory support. This tier includes a weekly 30-minute strategy review which rotates between the four themes listed below. Staffing ratio is 1 RM to 12 hotels.

RMAS PROVIDES EVERY WEEK:	THEME ROTATION	RMAS PROVIDES MONTHLY WITH THEME:
✓ Weekly strategy meeting ✓ State of the art sales strategy packet ✓ Review One Yield - Supply - Demand - Hurdles - RPO rate recommendations - Inventory - Cancellation forecast - Watch Dates - RPO comp set & weights ✓ Weekly STR report review ✓ Pace vs STLY ✓ KDATE pricing strategy ✓ HPP rate loads ✓ Parity research ✓ High demand date set up & strategy	MONTH END REVIEW 	✓ Review rooms sold, demand and ADR by segment ✓ Segment strategy review and recommendations ✓ Monthly STR report review ✓ Review monthly performance vs budget
	GROUP FOCUS 	✓ Review upcoming group blocks ✓ Complete group to be forecast (next 3 months) ✓ Maintain GRAM Strategy for Quick Group
	FORECAST 	✓ Review daily constrained system forecast for 90 days
	RETAIL RATE ANALYSIS 	✓ Retail rate review through KDATE ✓ Discuss retail rate opportunities ✓ Review LTS pricing strategy (non-extended stay) ✓ Review Tier pricing strategy (extended stay)

Revenue Management Advisory Weekend Services Tier 1 (if applicable)

Schedule B
2022 Cost Matrix
Revenue Management Advisory Service

2022 Cost for Tier I

Annual Fee for 2022 of: **\$12,656 USD / \$14,057 CAD for Tier 1 Services**

The fee is billed in equal payments of \$1,054.67 USD / \$1,171.42 CAD per month.

2022 Cost for Tier I Weekend Services (if applicable)

Annual Fee for 2022 of: \$[] **Tier 1 Weekend Services**

The fee is billed in equal payments of \$_____ USD / \$_____ CAD per month.

****Revenue Management costs are to be allocated equally to all participating properties and trued up annually to ensure all costs are recovered.**

Schedule C
2022 One-Time Set-Up Fee
Revenue Management – Remote Solutions

If the Hotel did not participate in Franchisor's revenue management services during 2021, Franchisor will provide the set-up services described in this Schedule C and charge Franchisee the one-time fee described below. A new-build hotel or a hotel recently converted to a Marriott-brand franchised hotel will not be assessed this fee if the Franchisee signed a letter of intent more than 60 days prior to opening. The fee shall be due in full 60 days after the Commencement Date.

Set-Up Services & Fees

The Revenue Management team will conduct a systems diagnostic audit. The set-up cost for each hotel is \$3,500 USD. Key elements of the fee include the One Yield 5 step inventory process, rate program reviews, special event set up, review of RPO comp set, Super Nova rate parity, High Performance Pricing set up, and eFast set up.

The audit will include:

- Systems Diagnostic Audit report with findings and recommendations
- 60-minute meeting to review findings & recommendations
- Execution of all agreed upon changes to hotel systems.

Schedule A
Revenue Management Advisory Services
Tier II 2022

TIER II THEME ROTATION



TIER II is available primarily to dynamic Select Brand hotels requiring additional time spent than Tier I or group business evaluation. Your RMAS Revenue Manager (RM) will leverage systems efficiencies to provide daily transient pricing and inventory support. This tier includes a weekly 60-minute strategy review, which rotates between the four themes listed below. Staffing ratio is 1 RM to 8 hotels.

RMAS PROVIDES EVERY WEEK:	THEME ROTATION	RMAS PROVIDES MONTHLY WITH THEME:
✓ Weekly strategy meeting ✓ State of the art sales strategy packet ✓ Review One Yield - Supply - Demand - Hurdles - RPO rate recommendations - Inventory - Cancellation forecast - Watch Dates - RPO comp set & weights ✓ Business Evaluation upon request ✓ Weekly STR report review ✓ Pace vs STLY ✓ KDATE pricing strategy ✓ HPP rate loads ✓ Parity research ✓ High demand date set up & strategy	MONTH END REVIEW 	✓ Review rooms sold, demand and ADR by segment ✓ Segment strategy review and recommendations ✓ Monthly STR report review ✓ Review monthly performance vs budget
	GROUP FOCUS 	✓ Review upcoming group blocks ✓ Complete group to be forecast (next 3 months) ✓ Maintain GRAM Strategy for Quick Group
	FORECAST 	✓ Review daily constrained system forecast for 90 days
	RETAIL RATE ANALYSIS 	✓ Retail rate review through KDATE ✓ Discuss retail rate opportunities ✓ Review LTS pricing strategy (non-extended stay) ✓ Review Tier pricing strategy (extended stay)

Revenue Management Advisory Weekend Services Tier 2 (if applicable)

Schedule B
2022 Cost Matrix
Revenue Management Advisory Service

2022 Cost for Tier II

Annual Fee for 2022 of: **\$19,480 USD / \$23,476 CAD for Tier II Services**

The fee is billed in equal payments of \$1,623.33 USD / \$1,956.33 CAD per month.

2022 Cost for Tier II Weekend Services (if applicable)

Annual Fee for 2022 of: \$[] **Tier 2 Weekend Services**

The fee is billed in equal payments of \$_____ USD / \$_____ CAD per month.

**Revenue Management costs are to be allocated equally to all participating properties and trued up annually to ensure all costs are recovered.

Schedule C
2022 One-Time Set-Up Fee
Revenue Management – Remote Solutions

If the Hotel did not participate in Franchisor's revenue management services during 2021, Franchisor will provide the set-up services described in this Schedule C and charge Franchisee the one-time fee described below. A new-build hotel or a hotel recently converted to a Marriott-brand franchised hotel will not be assessed this fee if the Franchisee signed a letter of intent more than 60 days prior to opening. The fee shall be due in full 60 days after the Commencement Date.

Set-Up Services & Fees

The Revenue Management team will conduct a systems diagnostic audit. The set-up cost for each hotel is \$3,500 USD. Key elements of the fee include the One Yield 5 step inventory process, rate program reviews, special event set up, review of RPO comp set, Super Nova rate parity, High Performance Pricing set up, and eFast set up.

The audit will include:

- Systems Diagnostic Audit report with findings and recommendations
- 60-minute meeting to review findings & recommendations
- Execution of all agreed upon changes to hotel systems.

Schedule A
Revenue Management Advisory Services
Tier III 2022



TIER III THEME ROTATION

TIER III is available to Select Brand or Full-Service hotels with CI/TY. Your RMAS Revenue Manager (RM) will leverage systems efficiencies to provide daily transient pricing and inventory support. This tier includes a weekly 60-minute strategy review, which rotates between the four themes listed below including a robust group strategy focus each month. Staffing ratio is 1 RM to 6 hotels allowing additional time spent per hotel.

RMAS PROVIDES EVERY WEEK:	THEME ROTATION	RMAS PROVIDES MONTHLY WITH THEME:
✓ Weekly strategy meeting ✓ State of the art sales strategy packet ✓ Review One Yield - Supply - Demand - Hurdles - RPO rate recommendations - Inventory - Cancellation forecast - Watch Dates - RPO comp set & weights ✓ Weekly STR report review ✓ Pace vs STLY ✓ KDATE pricing strategy ✓ HPP rate loads ✓ Parity research ✓ High demand date set up & strategy	MONTH END REVIEW 	✓ Review rooms sold, demand and ADR by segment ✓ Segment strategy review and recommendations ✓ Monthly STR report review ✓ Review monthly performance vs budget
	GROUP FOCUS 	✓ Group strategy overview to include: - Group pace vs STLY - Manage GPO including seasons, special events and range caps - Maintain GPO minimum 24 months out - GPO test sells - Group Reporting
	FORECAST 	✓ Review current year rooms revenue forecast ✓ Review projection risk – gap to projection ✓ Complete group to be forecast (24 months out)
	RETAIL RATE ANALYSIS 	✓ Retail rate review through KDATE ✓ Discuss retail rate opportunities ✓ Review LTS pricing strategy (non-extended stay)

Revenue Management Advisory Weekend Services Tier 3 (if applicable)

Schedule B
2022 Cost Matrix
Revenue Management Advisory Service

2022 Cost for Tier III

Annual Fee for 2022 of: **\$32,352 USD / \$39,922 CAD for Tier III Services**

The fee is billed in equal payments of \$2,696 USD / \$3,326.83 CAD per month.

2022 Cost for Tier III Weekend Services (if applicable)

Annual Fee for 2022 of: \$[_____] **Tier 3 Weekend Services**

The fee is billed in equal payments of \$_____ USD / \$_____ CAD per month.

****Revenue Management costs are to be allocated equally to all participating properties and true up annually to ensure all costs are recovered.**

Schedule C
2022 One-Time Set-Up Fee
Revenue Management – Remote Solutions

If the Hotel did not participate in Franchisor's revenue management services during 2021, Franchisor will provide the set-up services described in this Schedule C and charge Franchisee the one-time fee described below. A new-build hotel or a hotel recently converted to a Marriott-brand franchised hotel will not be assessed this fee if the Franchisee signed a letter of intent more than 60 days prior to opening. The fee shall be due in full 60 days after the Commencement Date.

Set-Up Services & Fees

The Revenue Management team will conduct a systems diagnostic audit. The set-up cost for each hotel is \$3,500 USD. Key elements of the fee include the One Yield 5 step inventory process, rate program reviews, special event set up, review of RPO comp set, Super Nova rate parity, High Performance Pricing set up, and eFast set up.

The audit will include:

- Systems Diagnostic Audit report with findings and recommendations
- 60-minute meeting to review findings & recommendations
- Execution of all agreed upon changes to hotel systems.

Schedule A Revenue Management Advisory Services Tier IV 2022



TIER IV THEME ROTATION

TIER IV is available to Select Brand or Full-Service hotels with CI/TY. Your RMAS Revenue Manager (RM) will leverage systems efficiencies to provide daily transient pricing and inventory support. In addition to transient strategy, you will have a Group Strategy Manager (GSM) dedicated to group strategy including business evaluation, local catering space releases and group projections. The GSM allows your Sales Leader time for pro-active sales. This tier includes a weekly 60-minute strategy review, which rotates between the four themes listed below. Beginning in January 2022, weekend coverage will be available for reactive revenue impacting tasks on Saturday and Sunday from 9:00 AM to 5:00 PM local time. Staffing ratio is 1 RM and 1 GSM to hotels.

RMAS PROVIDES EVERY WEEK:	THEME ROTATION	RMAS PROVIDES MONTHLY WITH THEME:
✓ Weekly strategy meeting ✓ State of the art sales strategy packet ✓ Review One Yield - Supply - Demand - Hurdles - RPO rate recommendations - Inventory - Cancellation forecast - Watch Dates - RPO comp set & weights ✓ Business Evaluation ✓ Local Catering Space Releases ✓ Weekly STR report review ✓ Pace vs STLY ✓ KDATE pricing strategy ✓ HPP rate loads ✓ Parity research ✓ High demand date set up & strategy ✓ Emergency coverage for unexpected catastrophic events	MONTH END REVIEW 	✓ Review rooms sold, demand and ADR by segment ✓ Segment strategy review and recommendations ✓ Monthly STR report review ✓ Review monthly performance vs budget
	GROUP FOCUS 	✓ Comprehensive group strategy and delivery of group related reporting ✓ Directional group guidance including need times ✓ Collaboration with sales team to pull through key group opportunities ✓ Manage GPO to include: - Season set up, special events, range caps - GPO test sells - Maintain GPO minimum 24 months
	FORECAST 	✓ Review current year rooms revenue forecast ✓ Review projection risk – gap to projection ✓ Complete group to be forecast (24 months out)
	RETAIL RATE ANALYSIS 	✓ Retail rate review through KDATE ✓ Discuss retail rate opportunities ✓ Review LTS pricing strategy (non-extended stay) ✓ Review Tier pricing strategy (extended stay)

Revenue Management Advisory Weekend Services Tier 4 (if applicable)

**Schedule B
2022 Cost Matrix
Revenue Management Advisory Service**

2022 Cost for Tier IV

Annual Fee for 2022 of: **\$64,706 USD / \$79,844 CAD for Tier IV Services**

The fee is billed in equal payments of \$5,392.17 USD / \$6,653.67 CAD per month.

2022 Cost for Tier IV Weekend Services (if applicable)

Annual Fee for 2022 of: \$[] **Tier 4 Weekend Services**

The fee is billed in equal payments of \$_____ USD / \$_____ CAD per month.

**Revenue Management costs are to be allocated equally to all participating properties and trued up annually to ensure all costs are recovered.

**Schedule C
2022 One-Time Set-Up Fee
Revenue Management – Remote Solutions**

If the Hotel did not participate in Franchisor's revenue management services during 2021, Franchisor will provide the set-up services described in this Schedule C and charge Franchisee the one-time fee described below. A new-build hotel or a hotel recently converted to a Marriott-brand franchised hotel will not be assessed this fee if the Franchisee signed a letter of intent more than 60 days prior to opening. The fee shall be due in full 60 days after the Commencement Date.

Set-Up Services & Fees

The Revenue Management team will conduct a systems diagnostic audit. The set-up cost for each hotel is \$3,500 USD. Key elements of the fee include the One Yield 5 step inventory process, rate program reviews, special event set up, review of RPO comp set, Super Nova rate parity, High Performance Pricing set up, and eFast set up.

The audit will include:

- Systems Diagnostic Audit report with findings and recommendations
- 60-minute meeting to review findings & recommendations
- Execution of all agreed upon changes to hotel systems.

Schedule A

Revenue Management Advisory Services

Tier V 2022



TIER V THEME ROTATION

TIER IV is available to Select Brand or Full-Service hotels with CI/TY. Your RMAS Revenue Manager (RM) will leverage systems efficiencies to provide daily transient pricing and inventory support. In addition to transient strategy, you will have a Group Strategy Manager (GSM) dedicated to group strategy including business evaluation, local catering space releases and group projections. The GSM allows your Sales Leader time for pro-active sales. This tier includes a weekly 60-minute strategy review, which rotates between the four themes listed below. Beginning in January 2022, weekend coverage will be available for reactive revenue impacting tasks on Saturday and Sunday from 9:00 AM to 5:00 PM local time. Staffing ratio is 1 RM to 3 hotels and 1 GSM to 6 hotels.

RMAS PROVIDES EVERY WEEK:	THEME ROTATION	RMAS PROVIDES MONTHLY WITH THEME:
✓ Weekly strategy meeting ✓ State of the art sales strategy packet ✓ Review One Yield - Supply - Demand - Hurdles - RPO rate recommendations - Inventory - Cancellation forecast - Watch Dates - RPO comp set & weights ✓ Business Evaluation ✓ Local Catering Space Releases ✓ Weekly STR report review ✓ Pace vs STLY ✓ KDATE pricing strategy ✓ HPP rate loads ✓ Parity research ✓ High demand date set up & strategy ✓ Emergency coverage for unexpected catastrophic events	MONTH END REVIEW 	✓ Review rooms sold, demand and ADR by segment ✓ Segment strategy review and recommendations ✓ Monthly STR report review ✓ Review monthly performance vs budget
	GROUP FOCUS 	✓ Comprehensive group strategy and delivery of group related reporting ✓ Directional group guidance including need times ✓ Collaboration with sales team to pull through key group opportunities ✓ Manage GPO to include: - Season set up, special events, range caps - GPO test sells - Maintain GPO minimum 24 months
	FORECAST 	✓ Review current year rooms revenue forecast ✓ Review projection risk – gap to projection ✓ Complete group to be forecast (24 months out)
	RETAIL RATE ANALYSIS 	✓ Retail rate review through KDATE ✓ Discuss retail rate opportunities ✓ Review LTS pricing strategy (non-extended stay) ✓ Review Tier pricing strategy (extended stay)

Revenue Management Advisory Weekend Services Tier 5 (if applicable)

Schedule B
2022 Cost Matrix
Revenue Management Advisory Service

2022 Cost for Tier V

Annual Fee for 2022 of: **\$92,904 USD / \$114,639 CAD for Tier V Services**

The fee is billed in equal payments of \$7,742 USD / \$9,553.25 CAD per month.

2022 Cost for Tier V Weekend Services (if applicable)

Annual Fee for 2022 of: \$[] **Tier 5 Weekend Services**

The fee is billed in equal payments of \$_____ USD / \$_____ CAD per month.

****Revenue Management costs are to be allocated equally to all participating properties and trued up annually to ensure all costs are recovered.**

Schedule C
2022 One-Time Set-Up Fee
Revenue Management – Remote Solutions

If the Hotel did not participate in Franchisor's revenue management services during 2021, Franchisor will provide the set-up services described in this Schedule C and charge Franchisee the one-time fee described below. A new-build hotel or a hotel recently converted to a Marriott-brand franchised hotel will not be assessed this fee if the Franchisee signed a letter of intent more than 60 days prior to opening. The fee shall be due in full 60 days after the Commencement Date.

Set-Up Services & Fees

The Revenue Management team will conduct a systems diagnostic audit. The set-up cost for each hotel is \$3,500 USD. Key elements of the fee include the One Yield 5 step inventory process, rate program reviews, special event set up, review of RPO comp set, Super Nova rate parity, High Performance Pricing set up, and eFast set up.

The audit will include:

- Systems Diagnostic Audit report with findings and recommendations
- 60-minute meeting to review findings & recommendations
- Execution of all agreed upon changes to hotel systems.

SHARED SERVICES AGREEMENT

THIS SHARED SERVICES AGREEMENT (this “Agreement”) is made and entered into this Month dd, yyyy (the “Commencement Date”) by and between Marriott International Administrative Services, Inc. and Franchisee, as such term is defined in the Franchise Agreement relating to the [INSERT NAME OF HOTEL] and MARSHA code [INSERT MARSHA OF HOTEL] (“Hotel”).

RECITALS:

WHEREAS, Marriott International Administrative Services, Inc. and/or one or more of its affiliates (“Marriott”) and Franchisee are parties to a Franchise Agreement (as it may be amended, modified, supplemented, or restated from time to time, the “Franchise Agreement”).

WHEREAS, Marriott has organized the efforts of associates located within a particular geographic area and/or according to relevant groupings (the “Market”) to perform one or more services behalf of Marriott hotels located within the Market that agree to receive services on a shared basis (“Shared Service(s)”) as listed in Attachment A and whose scope and costs are detailed in an exhibit (the “Exhibits”), attached hereto and made a part hereof;

WHEREAS, such Shared Services are provided in accordance with this Agreement;

WHEREAS, each Shared Service taken together with and subject to this Agreement or a similar agreement constitutes a unique program and takes place within a Market (“Program”);

WHEREAS, Franchisee has independently assessed the Programs and determined that the potential benefits of participating in the Programs justify the risks of participation, and has therefore requested that the Hotel participate in the Programs; and

WHEREAS, Marriott is willing to allow such participation on the terms and conditions set forth herein.

NOW, THEREFORE, in consideration of the benefits to be derived herefrom, the receipt and sufficiency of which are hereby acknowledged by each of the parties hereto, it is hereby agreed as follows:

- 1. Program Participation.** The Hotel will participate in one or more Programs.
- 2. Program Organization.** Marriott will organize and staff the Programs to provide Shared Services for the Hotel and the other hotels participating in each such Program.

3. Allocation of Costs.

a. The costs and expenses of implementing and deploying the Programs will be allocated among the hotels receiving a Shared Service as part of a Program in accordance with the cost and allocation methodology described in the corresponding Exhibits. The Hotel's share of the costs will be allocated and invoiced either (i) as the costs are incurred, or (ii) at the time the Franchisee elects to participate in the Program, whichever is later. The costs of implementing and deploying the Programs do not include the ongoing operating costs that are described in 3.b. below.

b. Costs and expenses of a Program shall include, without limitation, wages, benefits, and bonuses of the Program associates, as well as controllables such as startup expenses, rent, office supplies, postage, telephone expenses, travel expenses, training, entertainment, and depreciation of capital expenditures such as computer systems, and office furniture and facilities (the "Operating Costs"). The Hotel's share of the costs of the Programs, including but not limited to the Operating Costs, will be allocated and invoiced to Franchisee each month.

c. Franchisee shall make payment in compliance with the terms of each invoice, Shared Service Agreement, and the Franchise Agreement.

d. Marriott may periodically evaluate the allocation methodologies set forth above in Attachment A and/or Exhibits attached thereto. Should another allocation basis or methodology be identified that better reflects each participating hotel's share of the costs, as deemed by Marriott in its sole discretion, this basis and/or methodology may be adopted. Any such change will be communicated to the participating hotels, including the Hotel, and shall be applied without need to formally modify this Agreement.

4. Addition or Withdrawal of Hotel from Market. If a hotel is added as a participant in one or more Programs, the percentage share of the costs of such Program for each of the other hotels in the Market may be adjusted proportionately by the new hotel's share of such costs, if deemed practicable by Marriott, as determined in accordance with this Agreement. If a hotel withdraws as a participant in the Shared Service, the percentage share of the costs of the Shared Service for each of the other participating hotels may be adjusted proportionately by the non-participating hotel's share of such costs, if deemed practicable by Marriott, as determined in accordance with this Agreement.

5. Scope of Services; Delegation and Limit of Authority.

a. Franchisee hereby authorizes Marriott to provide Shared Services to the Hotel as part of a Program, which is listed in Attachment A and described in the relevant Exhibit.

b. Franchisee consents to Marriott, through the Programs, entering into any contract or agreement related to the Shared Services, and will, upon request by Marriott, ratify and confirm any such contract or agreement.

c. Franchisee is under no obligation to comply with any recommendations made by Marriott in connection with this Agreement, Attachment A or the Exhibits, including but not limited to recommendations regarding pricing, business mix, inventory or room or rate allocation, and Franchisee acknowledges and agrees that the success of the Hotel's participation in the Programs largely depends upon Franchisee's decisions regarding same.

d. Marriott is entitled to deal directly with the managers at the Hotel, regardless of whether or not such managers are employees of Franchisee (or an affiliate thereof) or any independent

management company operating the Hotel (“Manager”), and to rely on the instructions of same in connection with Marriott’s performance of the Services hereunder.

6. Obligations of Franchisee. Franchisee agrees to the following:

Franchisee, or Manager on behalf of Franchisee, may be required to undertake obligations associated with those Programs in which it will be participating. The obligations and the Shared Services to which they pertain are set forth in Attachment B. Any Franchisee procuring Shared Services listed in Attachment A shall comply with the obligations related to such Shared Services.

Franchisee’s failure to comply with this Paragraph 6 shall be a default under this Agreement.

7. Term and Termination.

a. Term and Termination. The initial term of this Agreement shall begin on the Commencement Date and shall expire either (1) December 31 of that same year, if the Commencement Date is between January 1st and June 30, or (2) December 31 of the next year, if the Commencement Date is between July 1 and December 31. For purposes of clarity, if the Commencement Date is November 5, 2019, the initial term will expire on December 31, 2020. This Agreement shall automatically renew for successive terms of one calendar year each unless either party provides written notice of non-renewal at least ninety (90) days in advance of the expiration of the then-current term.

b. In the event that Franchisee is in default under this Agreement, Marriott may terminate this Agreement by giving thirty (30) days’ written notice to Franchisee.

c. Subject to Section 7.d, Franchisee may terminate this Agreement by giving ninety (90) days’ written notice to Marriott.

d. This Agreement will immediately terminate upon termination of the Franchise Agreement; except in the event that Marriott consents to or approves the transaction (including a sale of the Hotel or other transfer requiring the consent of Marriott) pursuant to which the Franchise Agreement is terminated, in which case this Agreement may be assigned as set forth in any such consent or approval.

e. Franchisee acknowledges that Marriott may be damaged in several ways upon termination of this Agreement pursuant to Paragraph 7.b or Paragraph 7.c (an “Event Termination”). Franchisee acknowledges that certain costs and expenses related to the Hotel’s participation in the Programs, as allocated to Franchisee pursuant to Paragraph 3 and Attachment A (including all of those costs allocated pursuant to Exhibits attached thereto), have already been incurred by Marriott or accrued by Franchisee prior to the date of the Event Termination (“Prior Costs”). Furthermore, certain costs and expenses related to the Hotel’s participation in the Programs, as allocated or allocable to Franchisee pursuant to Paragraph 3 and Attachment A and the Exhibits thereto, to be incurred by Marriott or accrued by Franchisee, after the Event Termination (“Future Costs”) may not be recoverable. In the event of an Event Termination, Marriott shall be entitled to recover from Franchisee, and Franchisee shall be obligated to promptly pay to Marriott, no later than the date of termination of this Agreement, the Prior Costs and Future Costs, as reasonably determined by Marriott. The parties agree that such payment is not a penalty and represents a reasonable estimate of just and fair compensation of Marriott for the damages that it would suffer for an Event Termination. The parties agree that it is reasonable for Marriott to include in the calculation of Future Costs those costs anticipated to be allocated to the Hotel (pursuant to the methodology set forth in Exhibits attached hereto) for the remainder of the Initial Term or Renewal Term (as applicable) as calculated according to Marriott’s most recent projection of such costs.

Franchisee's obligation to pay the Prior Costs and Future Costs shall survive termination of this Agreement.

8. Confidentiality. Franchisee shall not, and if Hotel is managed by a Manager then Franchisee shall ensure that the Manager does not, during the Term of this Agreement or thereafter, without Marriott's prior written consent, communicate, divulge, copy, duplicate, record or otherwise reproduce, or use for the benefit of any third party or business other than the Hotel, in whole or in part, any documentation, software or other confidential information knowledge, or know-how associated with the Programs which may be communicated or provided to Franchisee or the Manager or of which Franchisee or Manager may be apprised, by virtue of Franchisee's participation under this Agreement, or otherwise make the same available to any unauthorized person. Franchisee shall ensure that the Manager shall divulge such information only to such of Franchisee's or Manager's employees or agents as must have access to it in order to operate the Hotel. All such information including without limitation, market data, recommendations by Marriott regarding rates and customer information is confidential and provided by Marriott to Franchisee and Manager solely for the purpose of operating the Hotel and honoring the contracts entered into by Marriott for the Programs. Franchisee expressly acknowledges for itself and the Manager that such information shall not be used or considered in any respect by the Franchisee or Manager in reaching decisions for the other hotels owned, operated or franchised by the Franchisee. Franchisee acknowledges and agrees that any unauthorized use of confidential information would cause irreparable injury to Marriott for which no adequate remedy at law may be available, and Franchisee accordingly consents to the issuance of an injunction prohibiting any conduct in violation of this Paragraph 8.

9. Representations, Warranties and Covenants of Franchisee. Franchisee represents, warrants and covenants to Marriott that:

a. it is a legal entity duly formed, validly existing, and in good standing under the laws of the jurisdiction of its formation, (ii) it has and will continue to have throughout the Term hereof the ability to perform its obligations under this Agreement, and (iii) it has and will continue to have throughout the Term hereof all necessary power and authority to execute and deliver this Agreement;

b. the execution and delivery of this Agreement by Franchisee (and by the person signing this Agreement on behalf of Franchisee) and the performance by Franchisee of its obligations under this Agreement (a) have been duly authorized by all necessary action; (b) do not require the consent of any third parties (including lenders) except for such consents as have been properly obtained; and (c) do not and will not contravene, violate, result in a breach of, or constitute a default under (A) Franchisee's certificate of formation, operating agreement, or other governing documents, (B) any regulation of any governmental body or any decision, ruling, order, or award by which Franchisee or any of Franchisee's properties may be bound or affected, or (C) any agreement, indenture or other instrument to which Franchisee is a party or by which any of Franchisee's properties may be bound or affected; and

c. this Agreement is the legally valid and binding obligation of Franchisee, enforceable against Franchisee in accordance with its terms; and

10. ACKNOWLEDGMENTS OF FRANCHISEE.

A. TO THE EXTENT THAT MARRIOTT IN THE COURSE OF DISCUSSIONS REGARDING PARTICIPATION IN THE PROGRAMS OR BUDGETING FOR THE PROGRAMS HAS PROVIDED ANY FINANCIAL INFORMATION OR PROJECTIONS, FRANCHISEE ACKNOWLEDGES AND AGREES THAT SUCH INFORMATION OR PROJECTIONS WERE NOT INTENDED AS A PROMISE, REPRESENTATION, OR WARRANTY OF PERFORMANCE AND

THAT FRANCHISEE DID NOT RELY ON ANY SUCH INFORMATION OR PROJECTIONS NOT EXPRESSLY CONTAINED IN THIS AGREEMENT IN MAKING ITS DECISION TO SIGN THIS AGREEMENT.

B. FRANCHISEE ACKNOWLEDGES THAT: (1) THE SALES AND MARKETING OF THE HOTEL – AND THE FINANCIAL AND OPERATIONAL SUCCESS OF THE HOTEL - WILL BE LARGELY DEPENDENT UPON THE ABILITY OF FRANCHISEE TO MARKET AND OPERATE THE HOTEL AS AN INDEPENDENT BUSINESS, AND (2) THE SALES VOLUME, REVENUE AND PROFIT OF THE HOTEL MAY DECLINE AFTER THE COMMENCEMENT DATE, WHETHER OR NOT AS A RESULT OF MARRIOTT'S PERFORMANCE OF THE SERVICES OR FRANCHISEE'S PARTICIPATION IN THE PROGRAMS. FRANCHISEE ACKNOWLEDGES AND AGREES THAT MARRIOTT IS NOT ASSUMING OVERALL RESPONSIBILITY FOR THE SUCCESS OR FAILURE OF THE HOTEL BY PROVIDING THE SERVICES, AND MARRIOTT IS NOT PROVIDING ANY WARRANTY OR GUARANTEE, EXPRESS OR IMPLIED, AS TO THE POTENTIAL SALES VOLUME, REVENUE, PROFIT OR SUCCESS OF THE HOTEL AS A RESULT OF MARRIOTT'S PERFORMANCE OF THE SERVICES OR FRANCHISEE'S PARTICIPATION IN THE PROGRAMS.

C. FRANCHISEE ACKNOWLEDGES THAT IT HAS READ AND UNDERSTOOD THIS AGREEMENT, ATTACHMENTS AND EXHIBITS HERETO, AND FRANCHISEE HAS HAD AMPLE TIME AND OPPORTUNITY TO CONSULT WITH ADVISORS AND LEGAL COUNSEL OF FRANCHISEE'S OWN CHOOSING ABOUT THE POTENTIAL BENEFITS AND RISKS OF ENTERING INTO THIS AGREEMENT. FRANCHISEE ACKNOWLEDGES THAT FRANCHISEE HAS HAD AN OPPORTUNITY TO NEGOTIATE, AND HAS FULLY NEGOTIATED, THE ESSENTIAL STIPULATIONS OF THIS AGREEMENT AND THAT SUCH STIPULATIONS WERE NOT UNILATERALLY IMPOSED ON IT BY MARRIOTT.

11. Indemnification. Franchisee agrees to defend, indemnify and hold harmless Marriott, its affiliates, and each of their respective current and former officers, directors, shareholders, agents, representatives and employees, and all other persons or entities acting on their behalf, from and against any and all actions, costs, claims, losses, expenses and/or damages, including attorney's fees, asserted by third parties, arising out of or resulting from the performance of the Services or any other action contemplated by this Agreement.

12. Covenants not to Sue. Franchisee and Marriott hereby acknowledge their mutual understanding that success under the Programs is uncertain, and their mutual desire to ensure that these Programs not damage their existing relationship by resulting in contentious, distracting and expensive litigation. Without limiting the generality of the foregoing, Franchisee further acknowledges that the covenants set forth in this Paragraph 12 were a material inducement to Marriott to enter into this Agreement, because of the impact of those covenants on the risks (and associated economic consequences) of proceeding with this Agreement. In order to implement the foregoing acknowledgments, desires and understandings, Franchisee and Marriott for themselves and their respective affiliates and subsidiaries and the current and former officers, directors, shareholders, partners, employees, predecessors, successors, attorneys, agents, representatives, and assigns and all other persons or entities acting on the behalf or claiming under any of the foregoing, hereby covenant not to bring any suit, action, or proceeding, or make any demand or claim of any type, against each other, or any of the foregoing entities or individuals, with respect to (i) the Shared Services, or (ii) the Programs, or (iii) this Agreement and any action contemplated by this Agreement, except that in the event that Franchisee fails to make payment of Prior Costs or Future Costs in accordance with Paragraph 7.e hereof, Marriott may bring an action for the sole purpose of collecting the payment of Prior Costs and/or Future Costs. Any party intended as a beneficiary of these covenants not to sue may plead or assert this Paragraph 12 as a

complete defense and bar to any claim brought in contravention of this Paragraph 12 and, if any such claim is brought, the party asserting the claim shall indemnify, defend, and hold harmless any and all such beneficiary parties from and against any such claim.

13. Waiver of Trial by Jury. The parties to this Agreement hereby waive trial by jury in any action, proceeding or counterclaim brought by either party against the other pertaining to any matters whatsoever arising out of or in any way connected to this Agreement or the Shared Services.

14. Attorneys' Fees. In the event any controversy, claim or dispute between the parties hereto, arising out of or relating to this Agreement or the breach thereof, results in arbitration or litigation, the prevailing party in such proceedings shall be entitled to recover from the losing party reasonable expenses, attorneys' fees and costs.

15. Limitation of Liability/Specification of Remedy. Franchisee acknowledges and agrees that Marriott is not responsible or liable for any unpaid bills or other failure to perform by any customer pursuant to a contract entered into by Marriott on behalf of the Hotel. NOTWITHSTANDING ANYTHING TO THE CONTRARY HEREIN, UNDER NO CIRCUMSTANCES WILL EITHER PARTY BE LIABLE TO THE OTHER PARTY UNDER THIS AGREEMENT FOR ANY CONSEQUENTIAL, EXEMPLARY, SPECIAL, INCIDENTAL, INDIRECT OR PUNITIVE DAMAGES OR LOST PROFITS, WHETHER FORESEEABLE OR UNFORESEEABLE, BASED ON CLAIMS ARISING OUT OF THE BREACH OF THIS AGREEMENT MISREPRESENTATION, NEGLIGENCE, STRICT LIABILITY IN TORT OR OTHERWISE. EACH PARTY'S SOLE REMEDIES BASED ON CLAIMS ARISING OUT OF THIS AGREEMENT, MISREPRESENTATION, NEGLIGENCE, STRICT LIABILITY IN TORT OR OTHERWISE SHALL BE TERMINATION OF THE AGREEMENT PURSUANT TO PARAGRAPH 7 HEREOF, AND COMPENSATION PURSUANT TO THE FORMULA SET FORTH IN PARAGRAPH 7.E HEREOF.

16. Franchise Agreement Controls. The Franchise Agreement shall control the relationship of the parties and this Agreement shall not amend, modify or affect any obligations or duties of the parties under the Franchise Agreement.

17. Independent Contractor. This Agreement does not create a fiduciary relationship between Marriott and Franchisee. Marriott shall perform its obligations under this Agreement as an independent contractor where all persons employed to furnish the Shared Services are employees of Marriott and not Franchisee, except that Marriott will have the right to act on Franchisee's behalf when booking reservations at the Hotel (or other booking activities) and for all sales activities, including arranging group sales. When Marriott acts for Franchisee as set forth in the preceding clause, Franchisee consigns hotel inventory to Marriott and retains all risk of loss of unsold or cheaply sold inventory.

18. Licenses and Permits. If any governmental license or permit is required for the proper and lawful conduct of Marriott's business or other activity carried on, in or at the Hotel, or if a failure by Marriott to procure such a license or permit might or would in any way affect the operations of the Hotel, then Marriott, shall duly procure and thereafter maintain such license or permit and submit same for inspection by Franchisee.

19. Supplies and Equipment. Franchisee at its sole cost and expense shall furnish all supplies, equipment and related expendables necessary or appropriate to provide the Shared Services.

20. Equal Opportunity Employer. Marriott affirms that it is an Equal Opportunity Employer and will comply with laws and regulations prohibiting employment discrimination in the performance of the Agreement.

21. Insurance. Franchisee and or management company will procure such insurance in such amounts as required by Marriott.

a. At Marriott's request all policies shall be specifically endorsed to provide that the coverages obtained by virtue of this Agreement will be primary and that any insurance carried by the other party shall be excess and non-contributory. All policies shall be specifically endorsed to provide that such coverage shall not be canceled or materially changed without at least ten (10) days prior written notice to the other party. Each party shall deliver certificates of insurance and any renewals thereof to the other party which evidences the required coverages.

22. Assignment. This Agreement may not be assigned by Franchisee in whole or in part without the prior written consent of Marriott.

23. Notices. Notices, requests, demands and other communications hereunder shall be in writing and shall be sent pursuant to the notice provisions of the Franchise Agreement.

24. Choice of Law, Choice of Jurisdiction and Dispute Resolution. The terms of the Franchise Agreement with respect to choice of law, choice of jurisdiction and dispute resolution shall apply to terms of this Agreement.

25. Entire Agreement. This Agreement, including the attachments hereto and any agreements executed in connection with this Agreement, contains the entire agreement between the parties concerning the subject matter herein, superseding any prior agreements and writings, and it may not be changed or modified other than by an agreement in writing signed by the parties.

IN WITNESS WHEREOF, the parties hereto have executed the Shared Service Agreement the day and year first above written.

FRANCHISEE:

By: _____
Title: _____

MARRIOTT:

MARRIOTT INTERNATIONAL ADMINISTRATIVE SERVICES, INC.

By: _____
Name: _____
Title: _____

ATTACHMENT A
PROGRAMS

HOTEL LIST OF PARTICIPATING SHARED SERVICE

Exhibit A.1 - Multi-Hotel Sales

Exhibit B.1 - Area Sales

Exhibit B.2 - Area Sales-Sales Executive-MSB

EXHIBIT A.1 – Multi Hotel Sales /(+ M.com for US Hotels)

METHODOLOGY FOR ALLOCATION OF ONGOING OPERATING COSTS

The Program is comprised of Multi Hotel Sales/(+M.com for US Hotels), which ongoing operating costs will be distributed among the participating Hotels based on the following:

Multi Hotel Sales/(+ M.com for US Hotels) operating costs will be distributed to all participating Hotels each month based on each participating Hotel's estimated share of the annual revenue volumes transacted by the Multi Hotel Sales. The distributions will be subject to a true-up from time to time based on actual year-to-date revenue volumes.

- The cost allocated to each hotel is capped at:
 - For Full Service hotels, 140% of the average cost per “adjusted key” for all represented Full Service hotels and
 - For MSB hotels, 175% of the average cost per “adjusted key” of all represented MSB hotel
- “Adjusted keys” equals the number of keys that a hotel has, plus 1 key for each 100 square feet of meeting space. For example, a hotel that has 300 keys and 10,000 square feet of meeting space would have 400 “adjusted keys.”
 - “Cost per adjusted key” means the hotel's pro-rated share of total organizational costs based on Sales Office annual revenue volumes divided by the hotel's adjusted keys.
- For purposes of this calculation, MSB hotels that are sold by the Core or Large Group teams in Multi Hotel Sales are considered Full Service hotels.

SCOPE OF SERVICES

The objective of the Program is to direct sell participating Hotels and sell group and banquet events, meeting room space and other business for the Hotel to customers to attempt to meet Hotel budget requirement for extended stay and group business.

To accomplish this objective, Multi Hotel Sales Team will provide services that include the following:

- Lead refer opportunities from sales area to sales area to ensure opportunities are developed for hotels across the Market.
- Provide active follow up on business opportunities to close those the Hotel leaders deem most appropriate to the Hotel.
- Work with property Sales leadership to develop and implement direct sales strategies that address market conditions and customer requirements.
- Negotiate and finalize customer contracts based upon pre-approved pricing authorization provided to Marriott by Hotel.
- Support property Sales leadership who periodically meet with Hotel leadership to provide status updates on the Program sales efforts.
- Meet periodically with property Sales leadership to understand the hotel's performance to budget and adapt selling strategy to changing demand conditions in the Market.
- Build and maintain a positive communication link between the Hotel and sales organization in order to keep Hotel leadership effectively informed of market trends and conditions, competitive information and customer needs to help the Hotel best capitalize on the demand available in the Market.

EXHIBIT B.1 - Area Sales

METHODOLOGY FOR ALLOCATION OF ONGOING OPERATING COSTS

The Program is comprised of Area Sales, which ongoing operating costs will be distributed among the participating Hotels based on the following:

Area Sales operating costs will be distributed as follows:

- For **Market Strategy Leaders**, the costs are allocated each period based on each represented hotel's share of the total room keys of all represented hotels.
 - Room keys for any individual hotel or pre-approved complex locations sold together are limited to 750.
- For **Tactical Area Sales Leaders**, the costs are allocated each period based on each represented hotel's share of the total room keys of all represented hotels.
 - Room keys for any individual hotel or pre-approved complex locations sold together are limited to 750.
- For the **Citywide Sales teams**, the costs are allocated each period based on each represented hotel's estimated share of the annual citywide room nights booked for those customers served by the Citywide Sales team.
 - The allocation of Citywide Sales Team operating costs is trued-up on a periodic basis based on each represented hotel's actual year-to-date share of the applicable volume metric(s).

SCOPE OF SERVICES

The objective of the Program is to provide both tactical and strategic leadership support to participating Hotels in order to meet Hotel budget requirement for transient, extended stay and group business.

To accomplish this objective, Area Sales Team will provide services that include the following:

- Serves as the primary sales contact for the General Managers (GMs), AVP's and property leadership teams.
- Focuses on building each property's top line revenue by developing a sales strategy that utilizes on-property and off-property sales channels to deliver results.
- Ensures area Sales and Marketing strategies and programs are in alignment with the overall market goals.
- Manages the development and execution of a strategic account plan for the demand generators in the market, and confirms sales team is leveraging Marriott International (MI) demand engines to full potential.
- Engages with owners and asset managers and communicate account strategy and hotel's performance metrics.
- Assists in the development of key company-wide initiatives by providing detailed feedback, as well as commitment and support.
- Builds effective relationships with all internal and external (e.g., owners / franchisees, General Managers) stakeholders.
- Implements decision-making that balances the needs of the various stakeholder groups and promotes the long-term viability of the business.
- Partners on cross functional initiatives in collaboration with Revenue Management, Marketing and Digital leadership on the pull through of key discipline strategies.

ATTACHMENT B
OBLIGATIONS OF FRANCHISEE

I. Business Processes:

- Hotel will be required to keep office space with at least one “touch down” workspace for Area Sales. Space will include two phones and two high speed internet access lines at no charge to Marriott or the Program.
- Hotel will use Marriott’s standard template materials for all owner meetings including sales reporting.
- Hotel will host Area Sales meetings on a rotating basis at Hotel’s expense.
- General Manager will ensure effective Event Management support at the Hotel and use and support Marriott’s standard group and catering turnover process and billing requirements.
- All Hotel group and catering inventory will be made available to all sales channels and as necessary, maintained by sales channels.
- MSB hotels will use Function Space Inventory (FSI) feature of Sales Force Automation (SFAWeb) to keep and maintain function space availability via Multi Hotel Sales. Hotel in house meetings will be booked by Multi Hotel Sales using FSI. Full Service hotels will use Consolidated Inventory/Total Yield (CI/TY).
- All leads for group, or catering business must be directed to the appropriate Marriott sales channel; Area Sales or Multi Hotel Sales.

II. Communications:

- General Managers, Area Sales Leaders and Area Directors will meet to discuss team performance and progress as established by Area Sales Leader.
- Revenue Management and General Manager will identify sales strategy and General Manager will communicate sales strategy and Hotel need dates to Area Sales Team.
- Hotel will give the Program personnel access to Hotel’s sales and marketing budgets, statements, inventory and sales systems in a form and manner easily accessible to Marriott.
- Hotel will be provided communication on sales organization performance on Marriott’s standard form of report for similarly situated Hotels. Ad hoc reports will be provided only with the approval of the Market Sales Leader.

III. Financial Considerations:

- Hotel will provide the Program personnel with copies of Hotel verified budgets in order to set proper goals for sales engines using One Yield goal setting procedures.
- Budget and Hotel segmentation must be established with consultation of the Program leadership including Area Sales Leader, Area Director and Multi Hotel Sales leadership.
- Budget growth for Hotels should not exceed Marriott-recommended guidelines for RevPAR and revenue growth by brand except as approved by Marriott’s Regional Vice President Sales & Marketing.

IV. Participation:

- General Managers must participate in:
 - Lead Review process established for appropriate brand
 - All other prescribed market and area meetings as determined by Area Sales Leadership

- Hotel will offer all necessary assistance to train sales organization on Hotel facilities, services, selling guidelines, etc. as outlined in Hotel Participation Check List (to be provided upon request).
- Hotel will address all comments or questions related to the performance of the Program team to appropriate Area Sales or Multi Hotel Sales leadership proactively. It is the responsibility of the Hotel General Manager to engage Area Sales and Multi Hotel Sales leadership in concerns, questions and other issues in a manner to gain understanding of plans and performance as Hotel General Manager would any sales force working on behalf of the Hotel.

V. Minimum Revenue Management Requirements:

A. Designated Resources

Every Hotel must have one of the following designated revenue management resources:

1. **In Market Marriott Services Revenue Management.** Revenue management resources are paid for through a service agreement in the Market.
2. **Centralized MI Inventory Services.** Revenue management resources are paid for through a service agreement with Marriott's centralized Inventory Services group.
3. **Franchise Hotel or Company Revenue Management.** With the prior consent of Marriott, the Hotel designates a resource on-property to provide Revenue Management services and support to the Program organization.
4. **Hybrid.** The Hotel elects either of number 2 or number 3, above, and, at Marriott's discretion, provides additional support necessary from General Manager or designee.

B. Services and Support

- Systems: Hotel must have SFAWeb or CI/TY, FSI and One Yield in place.
- Total Hotel Goal Setting: Hotel must have total group, transient, and contract rooms, ADR, and revenue goals for the Hotel's current booking window (minimum 2 years) maintained in the One Yield Total Hotel Goal Setting system. The General Manager will be responsible for setting and having this information entered in One Yield.
- Group Pricing: Hotels must set and communicate pricing to the sales force by using Group Pricing Optimizer (GPO).
- Group Business Evaluation: Hotel must have resources available to handle questions and requests from Sales Managers about group leads for the Hotel. All leads sent to the Hotel during standard business hours for business evaluation must be responded to within one hour (for leads arriving within 6 months) or three hours (for leads arriving beyond 6 months).
- Function Space Inventory Management: Hotel must provide function space inventory availability through their sales and catering systems or through FSI in SFA Web or CI/TY. Meeting rooms

must be set-up and clean availability of diary space maintained for the sales force. The General Manager will be responsible for ensuring that function space is set-up and availability maintained.

- Lead Review: Hotels must review the sales funnel and identify critical leads and communicate these to the Program personnel on a regular (bi-weekly) basis.
- Hotel Strategy Updates: Hotels must communicate any changes in strategy (changes to pricing, contract terms, inventory availability, etc), forecasts, or need times on a timely basis to the Program personnel so that sales action plans can be modified to meet the Hotel's needs.

VI. Other:

Hotel must comply with any other obligations and requirements that are required of all Participating Hotels in the Market, which obligations and requirements may be modified from time to time by Marriott in its reasonable discretion.

EXHIBIT B.2 - Area Sales-Sales Executive-MSB

METHODOLOGY FOR ALLOCATION OF ONGOING OPERATING COSTS

The Program is comprised of Area Sales-Sales Executive-MSB representative, which ongoing operating costs will be distributed among the participating Hotels based on the following:

- 100% of costs based on each participating Hotel's number of rooms.

SCOPE OF SERVICES

The objective of the Program is to drive revenue to achieve Hotel's topline goals for each of the participating Hotels.

To accomplish this objective, Area Sales – Sales Executive – MSB representative will provide services that include the following:

- Drives revenue by proactively soliciting all business segments; to include new business from small business account, sourcing new accounts, identifying new targets, and re-soliciting past business leads. Focuses on properties' BT Pricing strategy. Provides support by coordinating and executing internal mining efforts at assigned hotels. Partners with Leadership to ensure competitive sales strategies are in place for the hotel and stay competitive within the market by aligning on sales activities to generate business and communicate real-time competitor intel. Works closely with hotel GM/Property Sales team, focuses on sales driven tasks. May work with Local Sales and Account Sales/GSO teams to drive production from targeted high priority account including maximizing special corporate business within the represented marketplace.

CUSTOMER ENGAGEMENT CENTER PROPERTY SUPPORT SERVICES AGREEMENT

Hotel Name, Hotel Address, State, City, Postal Code (the “Hotel” or “Participant”).

Marriott International, Inc. or its affiliates (“Marriott”) agrees to provide the following Customer Engagement Center Property Support Services (collectively, the “Services”) for the benefit of the Hotel:

- A. Marriott will handle calls for the Hotel received at the Hotel to make Hotel reservations and will complete the process relating to a booking (the “CEC PSS Calls”).
- B. Upon request, provide services such as data input relating to e-mail, queues, group housing functions and online travel agent manual processing, as required, at rates determined by Marriott.
- C. Dedicated Telephone Line:

Upon execution of this Agreement, Marriott shall provide a dedicated telephone line with **CEC PSS** for the Hotel. By using this number, the **CEC** team will be able to recognize the caller as a customer for the Hotel because the hotel MARSHA code will be displayed on CEC telephones. Participant must advise its switchboard operators and program the number into the Hotel’s switchboard where appropriate.

Hotel shall pay for the telecom costs relating to installation, line rental, and Line usage where relevant.

Hotel agrees that [customer] calls will only be forwarded to the above-referenced property-designated CEC phone line. Hotel further acknowledges and agrees that It is strictly prohibited to forward calls to the central reservation phone line or any brand phone lines. Marriott conducts routine audits of central reservation and brand lines and any phone calls wrongly forwarded by the Hotel in contravention of this Agreement will result in the Hotel being charged for the call or reservation, as applicable, at current PSS rates.

Periodic Performance Updates:

The Marriott **CEC PSS** team will provide periodic updates, which will include information on the number of calls offered, calls handled, and reservations booked for your Hotel.

Expected change in Process:

Participant will inform the **CEC PSS** team regarding any changes of contact information at the Hotel, as well as changes to reservation processes.

Expected change in Call Volume:

Participant will immediately inform the Marriott **CEC** team about any material changes in the expected call volume. This would facilitate the **CEC** team to handle as many calls as possible on behalf of the Hotel.

Fee. Marriott will charge Participant a fee for the Services as set forth in the Shared Service Agreement. Participant agrees to pay such fees within (15) days of receipt of the electronic invoice. Marriott may modify the fee with respect to each renewal term of this Agreement upon notice to Participant, subject to Participant’s right of non-renewal discussed below. Each Participant will be charged throughout the year based on the estimated cost per Transaction or cost per hour, but charges will be trued up to actual cost prior year-end.

Stamp Duty: Participant will pay any stamp duty applicable to these services from its own funds and not as a Deduction.

Term and Termination: The initial term of this Agreement shall begin on the date Services commence and shall expire at the end of Marriott's fiscal year ("Fiscal Year") then in effect. (Marriott's Fiscal Year currently expires at the end of the Friday nearest December 31 in a given calendar year, and a new Fiscal Year begins at the start of the immediately following Saturday, but the parties agree that Marriott may amend its Fiscal Year at any time in its reasonable discretion, in which case the term of this Agreement shall adhere to the new Fiscal Year.) This Agreement shall automatically renew for successive terms of one Fiscal Year unless either party provides electronic notice of non-renewal at least thirty (30) days in advance of the expiration of the then-current term. In addition, if the fee Marriott will charge for the Services during any renewal term increases from the prior Fiscal Year, Participant shall have the right to not renew this Agreement as of the end of the last day of the then-current term by delivering electronic notice of such non-renewal to Marriott within seven (7) days after Participant is notified of the new fee for the Services that will be in effect for the renewal term.

Withholding. The amounts payable to Marriott will not be reduced by any deduction or withholding for any present or future taxes, levies, imposts, duties, fees, charges or liabilities imposed by any governmental authority in the country where the Hotel is located, including any interest, additions to tax or penalties applicable to any of the foregoing (collectively, "Taxes"). If Legal Requirements impose an obligation on Participant to deduct or withhold Taxes directly from any amount paid to Marriott, then Participant will deduct or withhold the required amount and will timely pay the full amount deducted or withheld to the relevant governmental authority in accordance with Legal Requirements. The amount paid to Marriott will be increased so that after the deduction or withholding has been made in accordance with Legal Requirements, the net amount actually received by Marriott will equal the full amount originally invoiced or otherwise payable. To the extent any Legal Requirements require or allow any such deduction, payment or withholding to be paid by Participant directly to a governmental authority, Participant must account for and pay such amounts promptly and provide Marriott with receipts or other proof of such payment promptly upon receipt.

If Legal Requirements do not impose an obligation on Participant to deduct or withhold Taxes directly from any amount paid to Marriott, but require Marriott to pay such Taxes, then Participant will pay Marriott, within 15 days after request, the full amount of the Taxes paid or payable by Marriott with respect to such payment so that the net amount actually retained by Marriott after payment of any Taxes will equal the full amount originally invoiced or otherwise payable.

Value Added Tax & Similar Taxes. The amounts payable to Marriott will not be reduced by any value added, goods and services, sales or similar taxes, all of which will be paid by Participant. Therefore, in addition to making any payment to Marriott required under this Agreement, Participant will (i) pay Marriott the amount of these taxes due with respect to the payment; or (ii) if required or permitted by Legal Requirements, pay these taxes directly to the relevant taxing authority. If a reverse charge mechanism is available to Participant, Participant will promptly account for and pay these taxes in accordance with Legal Requirements.

By Clicking I Agree you represent that you have authority to bind the Hotel/Participant to the terms and conditions of this Agreement.

FRANCHISE OPERATIONS SUPPORT RESOURCES SERVICES AGREEMENT

This Franchise Operations Support Resources Services Agreement (this “Agreement”) is entered into as of (date) , (year) by and between Marriott International Administrative Services, Inc., a _____ corporation (“Marriott”), and (name of company) , a _____ corporation (“Franchisee”).

WHEREAS, an affiliate of Marriott and Franchisee are parties to a Franchise Agreement dated _____ (the “Franchise Agreement”); and

WHEREAS, for a period of time, Franchisee wishes to obtain from Marriott and Marriott agrees to provide to Franchisee certain consulting support;

NOW, THEREFORE, in consideration of the mutual promises contained herein and other good and valuable consideration the receipt and sufficiency of which are hereby acknowledged, the parties hereto, intending to be legally bound, agree as follows:

Section 1. Definitions.

“Employment Based Claim” means a claim raised or made by or on behalf of a present or former Service Provider or beneficiary thereof and that either relates to employment matters or is based on an employer-employee relationship, including, without limitation, any workers’ compensation claim.

“Hotel” means the unit where the Service Provider is working with the Franchisee.

“Loss” means any cost, damage, disbursement, expense, liability, loss, deficiency, diminution in value, obligation, penalty or settlement of any kind or nature, including without limitation interest or other carrying costs, penalties, legal, accounting and other professional fees and expenses incurred in the investigation, collection, prosecution and defense of actions or claims and amounts paid in settlement, that may be imposed on or otherwise incurred or suffered by the specified person.

“Service Provider” means the individual referenced in the attached Schedule;

“Start Date” means the date Service Provider commences work with the Franchisee.

“Term” means the term of the relationship with respect to each Service Provider as set forth in Section 2.B.

“Termination Date” means the date Service Provider is scheduled to end work for the Franchisee.

Capitalized Terms not otherwise defined herein shall have the meanings set forth in the Franchise Agreement.

Section 2. Scope of Support Services and Term.

A. Effective as of the Start Date listed in the Schedule, Marriott shall provide the services of the Service Provider to Franchisee for consulting at the Hotel for the period and on the terms set forth below.

B. The services to be provided by the Service Provider are set forth in the attached Schedule. No Service Provider shall act as, or perform the duties of, General Manager, Director of Finance, or Director of Human Resources, or perform any duties in the engineering or revenue management discipline.

C. Franchisee shall retain the exclusive authority and responsibility for day-to-day management of the Hotel. Franchisee shall employ a General Manager who is not an employee of Marriott. The General Manager shall have, and perform, all duties of the General Manager, as set forth in the Franchise Agreement.

D. Service Provider, in providing support services, may make recommendations or suggestions regarding any aspect of operation of the Hotel, including but not limited to recommendations or suggestions regarding pricing, inventory, room allocation, rate allocation or staffing. Both parties expressly acknowledge and agree that Franchisee is under no obligation to accept any such recommendations or suggestions made by Service Provider in connection with this Agreement. Franchisee expressly reserves the right, and confirms its obligation, independently to make any and all decisions relating to pricing, hiring, scheduling, disciplining and terminating personnel and all other management issues. The Service Provider will not exercise any direction or control over the employment policies or employment decisions of Franchisee.

E. The term of this Agreement with respect to the Service Provider shall commence on the Start Date and shall terminate upon the earliest of:

- (i) the Termination Date provided in the Schedule;
- (ii) fourteen (14) calendar days after receipt by Marriott of written notice from Franchisee that this Agreement is terminated with respect to such Service Provider;
- (iii) a maximum of twelve (12) weeks from the Service Provider's Start Date;
or

- (iv) the date on which such Service Provider terminates employment with Marriott for any reason.

F. Upon the termination of employment with Marriott of the Service Provider for any reason, Marriott shall not have any obligation to provide for the replacement of such Service Provider whether through hire, reassignment or otherwise.

G. During the Term with respect to Service Provider, Marriott will provide all services and benefits relating to such Service Provider, including, without limitation, payroll services and retirement and welfare benefits, substantially as such services and benefits are currently provided in respect of such employee by Marriott prior to the Term.

H. Franchisee shall pay Marriott the daily rate for each day worked by the Service Provider at the Hotel based on the rate forth in the Schedule. The full daily rate will be charged regardless of whether the Service Provider works a full day or partial day. Expenses related to the Service Provider's travel to and from the Hotel and for meals and related travel expenses will be itemized separately and billed to the Franchisee. Marriott will bill Franchisee periodically for all such amounts and payment will be due upon receipt by Franchisee of the bill.

I. Promptly, upon notice, (i) Franchisee shall reimburse Marriott for any Loss related to any Employment Based Claim of Service Provider for which Marriott shall be indemnified by Franchisee pursuant to Section 4.B, and (ii) Marriott shall reimburse Franchisee for any Loss related to any Employment Based Claim of the Service Provider for which Franchisee shall be indemnified by Marriott pursuant to Section 4.A.

J. Franchisee acknowledges and agrees that Marriott has no responsibility for and has made no commitments, warranties or representations relating to the performance of the Hotel during the Term of this Agreement. Nothing contained herein should be considered a representation or warranty by Marriott that any recommendations made by, or actions taken by, the Service Provider will produce, increase or optimize profits of Franchisee.

Section 3. Employee Rights.

A. Nothing herein expressed or implied shall confer upon Service Provider any rights or remedies, including any right to employment or continued employment for any specified period, of any nature or kind whatsoever under or by reason of this Agreement.

B. Nothing in the Agreement shall be deemed to confer upon any person (or any beneficiary thereof) any rights under or with respect to any plan, program or arrangement to be provided by Marriott as part of its obligations under this Agreement, and each person (and any beneficiary thereof) shall be entitled to look only to the express terms of any such plan, program or arrangement, as the same may be amended from time to time in accordance with its terms, for his or her rights thereunder.

C. Except to the extent inconsistent with this Agreement or any applicable law, nothing herein shall prohibit Marriott from establishing, amending or terminating any employee benefit plan, arrangement, program, practice, policy or procedure.

Section 4. Indemnification.

A. Marriott agrees to indemnify and hold harmless Franchisee and its directors, officers, employees, affiliates, agents and assigns, as applicable, from and against any and all Losses based upon or arising from any Employment Based Claim of the Service Provider the basis of which is an act or omission in connection with or relating to the employment of the Service Provider other than during the Term.

B. Franchisee agrees to indemnify and hold harmless Marriott and its directors, officers, employees, affiliates, agents and assigns, as applicable, from and against any and all Losses based upon or arising from (i) any Employment Based Claim of the Service Provider the basis of which is an act or omission in connection with or relating to the employment of the Service Provider during the Term, (ii) the performance of services or duties by the Service Provider under or in connection with this Agreement, including allegations of negligence by Service Provider, and (iii) any Hotel operations, or losses or injury arising as a result of Hotel operations, during the Term.

C. The provision of this Section 4 shall survive the termination of the Term with respect to the Service Provider.

Section 5. Insurance

Franchisee must provide and submit evidence to Marriott of adequate insurance in accordance with the Franchise Agreement and employment practices liability in an amount not less than \$1,000,000 per occurrence including coverage for harassment, discrimination, wrongful termination, and third-party discrimination and harassment (if third-party discrimination and harassment coverage is not part of the commercially general liability policy). Marriott shall be named as an additional insured on the general liability and umbrella/excess liability policies and all coverage specified in the Franchise Agreement and in this Section 5 shall be primary and non-contributory to any other coverages Marriott may carry. All insurance policies required under the Franchise Agreement and in this Section 5 shall contain a waiver of subrogation in favor of Marriott and Franchisee shall waive all rights of recovery against Marriott. Franchisee shall deliver certificates of insurance (and if requested by Marriott original copies of the above policies) which evidence the required coverages, and any renewals thereof prior to the policy expiration to Marriott. Prior to execution of this Agreement, a certificate of insurance evidencing the required insurance and additional insured endorsement shall be attached as Exhibit A.

Section 6. Miscellaneous.

A. Neither this Agreement nor any rights or obligations under it are assignable.

B. 1. Any dispute between Marriott and Franchisee arising out of or in connection with this Agreement or any alleged breach hereof may, at the option of either Marriott or Franchisee, be submitted for discussion and possible resolution by senior officers of Marriott and Franchisee, for a period of 30 days (or such longer period as the parties may in particular cases so decide) before initiating any arbitration pursuant to the provision of Section 6.B.2.

2. Any dispute between Marriott and Franchisee arising out of or in connection with this Agreement or any alleged breach hereof which is not resolved pursuant to the procedure described in Section 6.B.1. shall be subject to final and binding arbitration in accordance with the Commercial Arbitration Rules of the American Arbitration Association. In agreeing to this subsection, Marriott and Franchisee express their desire to have disputes resolved through such private alternative dispute resolution to the fullest extent permitted by law.

C. Any notice or other communication hereunder must be given in writing and shall be deemed received, if mailed, three days after deposit in the mails with first class postage prepaid, or if given by any other means, when actually received. Any notice or other communication hereunder shall be delivered as follows:

If to Marriott, to:

Marriott International, Inc.
10400 Fernwood Road
Bethesda, Maryland 20817
Attn: Lodging Operations Attorney
for the Americas
Dept. 52/923.27

If to Franchisee, to:

(Name of Franchise Co.)
(Address)
(Attention:)

D. This Agreement shall be governed by, and construed under, the laws of the State of Maryland, United States of America, without reference to any conflict of laws rules thereof.

E. This Agreement constitutes the entire agreement between the parties hereto which respect to the subject matter hereof, and supersedes all prior understandings or agreements between the parties hereto related to the subject matter hereof.

F. This Agreement does not create an agency relationship of any kind between Marriott and Franchisee, each of whom is an independent contractor with respect to the other for all purposes.

G. Franchisee agrees that it shall not discuss, solicit, or make an offer for employment, nor allow any future manager of the Hotel (other than Marriott) to discuss, solicit or make an offer for employment, to the Service Provider during the Term of this Agreement and for a period of one (1) year thereafter, without Marriott's prior written consent.

IN WITNESS WHEREOF, the parties hereto have executed this Agreement as of the date first above written.

Marriott International Administrative Services, Inc.

[Franchisee]

By: _____

By: _____

Print Name: _____

Print Name: _____

Title: _____

Title: _____

EXHIBIT M

OPEN OUTLETS/UNOPENED OUTLETS

Tribute Portfolio

List of Open Franchised Outlets (United States)

As of December 31, 2021

Arizona

Hotel Adeline, Scottsdale, a Tribute Portfolio Hotel
Redwood Place Scottsdale, LLC
5101 North Scottsdale Road
Scottsdale, AZ 85250
(480) 284-7700

California

Avenue of the Arts Costa Mesa, a Tribute Portfolio Hotel
Rosanna Inc.
3350 Avenue of the Arts
Costa Mesa, CA 92626
(714) 751-5100

The Glenmark, Glendale, a Tribute Portfolio Hotel
North Brand, LLC
1100 North Brand Boulevard
Glendale, CA 91202
(818) 900-2701

Hotel Citrine, Palo Alto, a Tribute Portfolio Hotel
M10 Dev, LLC
750 San Antonio Road
Palo Alto, CA 94303
(650) 424-8991

The Inn at Rancho Santa Fe, a Tribute Portfolio Resort & Spa
JMIR RSF Operator LLC
5951 Linea Del Cielo
Rancho Santa Fe, CA 92067
(858) 756-1131

The Guild Hotel, San Diego, a Tribute Portfolio Hotel
Hillstone Properties, Inc.
500 West Broadway
San Diego, CA 92101
(619) 795-6000

Colorado

Magnolia Hotel Denver, a Tribute Portfolio Hotel
HEP-Denver, Ltd.
818 17th Street
Denver, CO 80202
(303) 607-9000

District of Columbia

The Ven at Embassy Row, Washington D.C., a Tribute Portfolio Hotel
Dupont ERH Propco LLC
2015 Massachusetts Avenue NW
Washington, DC, DC 20036
(202) 265-1600

Florida

The Karol Hotel, St. Petersburg Clearwater, a Tribute Portfolio Hotel
Princess K Investments LLC
2675 Ulmerton Road
Clearwater, FL 33762
(727) 273-7850

The Dalmar, Fort Lauderdale, a Tribute Portfolio Hotel
299 N Federal Master, LLC
299 North Federal Highway
Fort Lauderdale, FL 33301
(954) 945-9500

Royal Palm South Beach Miami, a Tribute Portfolio Resort
RP Hotel Operating Co. LLC
1545 Collins Avenue
Miami Beach, FL 33139
(305) 604-5700

The Celeste Hotel, Orlando, a Tribute Portfolio Hotel
Pegasus Hotel LLC
4105 N. Alafaya Trail
Orlando, FL 32826
(407) 207-4700

Tribute Portfolio

List of Open Franchised Outlets (United States)

As of December 31, 2021

The Sarasota Modern, a Tribute Portfolio Hotel
Cocoanut Arts, LLC
1290 Boulevard of the Arts
Sarasota, FL 34236
(941) 906-1290

The Westshore Grand, a Tribute Portfolio Hotel, Tampa
GPIF A7 Westshore Operator LLC
4860 West Kennedy Boulevard
Tampa, FL 33609
(813) 286-4400

Georgia

Bellyard, West Midtown Atlanta, a Tribute Portfolio Hotel
Bellyard Partners, LLC
1 Interlock Ave NW
Atlanta, GA 30318
(404) 806-8333

Tribute Portfolio Ellis Hotel, Atlanta
Kelco/FB Winecoff, LLC
176 Peachtree Street NW
Atlanta, GA 30303
(404) 523-5155

The Alida, Savannah, a Tribute Portfolio Hotel
Savannah TRS LLC
412 Williamson Street
Savannah, GA 31401
(912) 715-7000

Illinois

Hotel Zachary, Chicago, a Tribute Portfolio Hotel
HSC Hotel Holdings LLC
3630 North Clark Street
Chicago, IL 60613
(773) 302-2300

Indiana

Hotel Indy, Indianapolis, a Tribute Portfolio Hotel
Hotel Indy Properties, LLC
141 E. Washington Street
Indianapolis, IN 46204
(877) 526-4639

Iowa

The Merrill Hotel, Muscatine, a Tribute Portfolio Hotel
Riverview Hotel Development LLC
119 W Mississippi Drive
Muscatine, IA 52761
(563) 263-6300

Kansas

Cyrus Hotel, Topeka, a Tribute Portfolio Hotel
Topeka Grand Real Estate, LLC
920 South Kansas Avenue
Topeka, KS 66612
(785) 596-0500

Minnesota

Rand Tower, Minneapolis, a Tribute Portfolio Hotel
Rand Tower MN Master Tenant LLC
527 South Marquette Avenue
Minneapolis, MN 55402
(612) 688-4500

Mississippi

Cotton House, Cleveland, a Tribute Portfolio Hotel
Cotton Row Hospitality, LLC
215 Cotton Row
Cleveland, MS 38732
(662) 843-7733

The Threefoot Hotel, Meridian, a Tribute Portfolio Hotel
Meridian Downtown Hotels, L.L.C.
601 22nd Avenue
Meridian, MS 39301
(601) 201-8700

Missouri

Seven Gables Inn, St. Louis West, a Tribute Portfolio Hotel
7 Gables, L.L.C.
26 North Meramec Avenue
St. Louis, MO 63105
(314) 863-8400

Tribute Portfolio

List of Open Franchised Outlets (United States)

As of December 31, 2021

Magnolia Hotel St. Louis, a Tribute Portfolio Hotel
Magnolia STL, LLC
421 North 8th Street
St. Louis, MO 63101
(314) 436-9000

New Mexico

La Posada de Santa Fe, a Tribute Portfolio Resort & Spa
Ashford TRS Posada LLC
330 East Palace Avenue
Santa Fe, NM 87501
(505) 986-0000

New York

Reikart House, Buffalo, a Tribute Portfolio Hotel
Iskalo 5000 Main LLC
5000 Main Street 14226
Buffalo, NY 14226
(716) 839-2200

The Wick, Hudson, a Tribute Portfolio Hotel
41 Cross Street Hospitality LLC
41 Cross Street
Hudson, NY 12534
(518) 249-6825

Ohio

Kinley Cincinnati Downtown, a Tribute Portfolio Hotel
Vision Cincinnati, LLC
636 Race Street
Cincinnati, OH 45202
(513) 381-1100

Oklahoma

The Ellison, Oklahoma City, a Tribute Portfolio Hotel
Classen Curve Hotel LLC
6201 N Western Ave.
Oklahoma City, OK 73118
(405) 463-0055

Oregon

Hotel Vance, Portland, a Tribute Portfolio Hotel
BDC/Broadway Hotel, LLC
1455 Southwest Broadway
Portland, OR 97201
(503) 334-2167

Tennessee

Kinley Chattanooga Southside, a Tribute Portfolio Hotel
Vision Chattanooga Southside, LLC
1409 Market Street
Chattanooga, TN 37408
(423) 598-4500

The Memphian, a Tribute Portfolio Hotel
The Memphian Hotel, LLC
21 South Cooper Street
Memphis, TN 38104
(901) 276-9311

Noelle, Nashville, a Tribute Portfolio Hotel
RB Nashville LLC
200 4th Avenue North
Nashville, TN 37219
(615) 649-5000

Texas

Magnolia Hotel Houston, a Tribute Portfolio Hotel
Holtze Houston, LLLP
1100 Texas Avenue
Houston, TX 77002
(713) 221-0011

Tribute Portfolio Austin South
4140 Governors Row
Austin, TX 78744
(512) 448-2222

Virginia

The Sessions Hotel, Bristol, a Tribute Portfolio Hotel
Sessions Properties LLC
833 State Street
Bristol, VA 24201
(276) 285-5040

Tribute Portfolio

List of Open Franchised Outlets (Canada)

As of December 31, 2021

Ontario

**Tribute Portfolio Hotel Sarnia
Drawbridge Residences Inc.
283 Christina Street North
Sarnia, N7T 5V4
(519) 337-7571**

Quebec

**Hotel PUR, Quebec, a Tribute Portfolio Hotel
WH Hospitality Inc.
395 Rue de la Couronne
Quebec City, G1K 7X4
(418) 647-2611**

Tribute Portfolio

List of Franchised Outlets Not Yet Open (United States)

As of December 31, 2021

Alabama

**Birmingham South-Vestavia Hills, a Tribute Portfolio Hotel
Birmingham, AL
Alta Hotel Investments, LLC
(205) 413-8531**

**Eufaula, a Tribute Portfolio Hotel
Eufaula, AL
RAM Eufaula Hospitality Two, LLC
(706) 660-5616**

**The Alamite, Tuscaloosa, a Tribute Portfolio Hotel
Tuscaloosa, AL
6th Street Development, LLC
(205) 657-3302**

Arizona

**Tribute Portfolio Tucson Downtown
Tucson, AZ
ISC Hotel QOZB LLC
(480) 470-9200**

California

**Tribute Portfolio Ben Lomond
Ben Lomond, CA
Coast Redwood Inn, LLC
(831) 854-7805**

**Tribute Portfolio Laguna Hills
Laguna Hills, CA
Elite Hospitality, Inc.
(831) 854-7805**

**Tribute Portfolio San Jose/Milpitas
Milpitas, CA
Summit Asset Management LLC
(408) 797-7648**

**Tribute Portfolio
Sacramento/Downtown-Railyards
Sacramento, CA
Railyard Hospitality Service I, LLC
(916) 570-5330**

**Tribute Portfolio San Pedro
San Pedro, CA
544 Pacific, LLC
(323) 822-2378**

**Santa Barbara, a Tribute Portfolio Hotel
Santa Barbara, CA
Mustang RE Holdings LLC
(202) 656-1250**

**Tribute Portfolio Ventura
Ventura, CA
FPL, LLC
(714) 427-4343**

**Tribute Portfolio Santa Rosa/Windsor
Windsor, CA
Windsor Town Green Hotel, LLC
(415) 730-8174**

Colorado

**Tribute Portfolio Colorado Springs/Downtown-Ivywild
Colorado Springs, CO
Ivywild Hospitality, LLC
(337) 302-5555**

**Tribute Portfolio Frisco/Town Center
Frisco, CO
510 E. Main St., LLC
(970) 389-2660**

Florida

**Orlando South, a Tribute Portfolio Hotel
Orlando, FL
7800 Universal Blvd TRS LLC
(215) 238-1046**

**Tribute Portfolio Jacksonville St Augustine
St. Augustine, FL
Ormond Land Development, LLC
(561) 207-2700**

**Tribute Portfolio Tampa/St. Petersburg-Edge District
St. Petersburg, FL
DevMar Baum Boutique, LLC
(248) 592-7150**

Tribute Portfolio

List of Franchised Outlets Not Yet Open (United States)

As of December 31, 2021

Tribute Portfolio West Palm Beach Downtown
West Palm Beach, FL
LinCap WPB, LLC
(786) 350-1317

Georgia

Tribute Portfolio Atlanta Fayetteville
Fayetteville, GA
Mainsail Property Management, LLC
(813) 243-2633

Hotel Forty Five, Macon, a Tribute Portfolio
Hotel
Macon, GA
IDP Cherry Tenant LLC
(813) 243-2602

Idaho

Tribute Portfolio Ketchum
Ketchum, ID
PEG Ketchum Hotel LLC
(801) 655-1998

Indiana

Tribute Portfolio Indianapolis Carmel
Carmel, IN
Carmel Hotels, L.L.C.
(770) 904-0765

Louisiana

Tribute Portfolio New Orleans/Downtown
New Orleans, LA
Ashford TRS Le Pavillon LLC
(972) 490-9600

Maine

Hotel 207, a Tribute Portfolio Hotel
Portland, ME
Forefront Hoteliers, LLC
(207) 747-5288

Maryland

Tribute Portfolio Frederick
Frederick, MD
Visitation Hotel Frederick, LLC
(410) 991-2964

Michigan

Tribute Portfolio Landmark Inn Marquette
Marquette, MI
Graves Landmark, LLC
(312) 953-9090

Tribute Portfolio, The St. Clair Inn
St. Clair, MI
Planet Clair LLC and On The Vine LLC
(818) 990-1475

Minnesota

Tribute Portfolio St. Paul/Downtown
Saint Paul, MN
Hotel Mears LLC
(651) 492-7676

Missouri

Cascade Hotel, Kansas City, a Tribute Portfolio
Hotel
Kansas City, MO
Country Club Lodging, LLC
(913) 262-5143

Nebraska

The Scarlet, Lincoln, a Tribute Portfolio Hotel
Lincoln, NE
Site Development Lease Six, LLC
(402) 991-6901

Nevada

The ENGLiSH Hotel, Las Vegas, a Tribute
Portfolio Hotel
Las Vegas, NV
Zlife at 1025 Main St L.L.C.
(702) 417-4488

New Jersey

Flemington, a Tribute Portfolio Hotel
Flemington, NJ
Flemington Center Urban Renewal, LLC
(903) 310-4300

Tribute Portfolio

List of Franchised Outlets Not Yet Open (United States)

As of December 31, 2021

New York

Grand Adirondack Hotel, Lake Placid, a Tribute
Portfolio Hotel
Lake Placid, NY
Lake Placid Hotel Partners, LLC
(901) 573-6955

Tribute Portfolio New York
City/Manhattan/Midtown
New York, NY
37-11 Owner LLC
(718) 380-8882

North Carolina

Tribute Portfolio Asheville
Asheville, NC
Milan CN Asheville Hotel, LLC
(704) 968-2612

Tribute Portfolio Greenville
Greenville, NC
Stark Holdings, LLC
(252) 902-7630

Ohio

BLU-Tique, Akron, a Tribute Portfolio Hotel
Akron, OH
Historic United Building, LLC
(330) 351-0002

Cincinnati Midtown, a Tribute Portfolio Hotel
Cincinnati, OH
CH Clifton Hotel, LLC
(614) 335-2020

Pennsylvania

Radnor, a Tribute Portfolio Hotel
Radnor, PA
TBH Radnor LLC
(908) 868-7170

South Carolina

Beaufort, a Tribute Portfolio Hotel
Beaufort, SC
Beaufort Inn, LLC
(843) 379-4677

Tennessee

Tribute Portfolio Gatlinburg
Gatlinburg, TN
Gatlinburg Historic 108, LLC, Series A
(865) 356-6181

Texas

The Tremont House, Galveston, a Tribute
Portfolio Hotel
Galveston, TX
HAF Hospitality Tremont Operating, LLC
(972) 788-2220

Houston Uptown, a Tribute Portfolio Hotel
Houston, TX
CGD Houston, L.P.
(561) 207-2700

Virginia

Tribute Portfolio Fredericksburg
Fredericksburg, VA
Fredericksburg Hotel Group, L.L.C.
(540) 898-3242

Craddock Terry Hotel, Lynchburg, a Tribute
Portfolio Hotel
Lynchburg, VA
BluffWalk Center L.P.
(434) 941-8595

Wisconsin

Tribute Portfolio Milwaukee Brookfield
Brookfield, WI
Brookfield Corners Hospitality, LLC
(312) 620-2090

Tribute Portfolio Milwaukee Downtown
Milwaukee, WI
125 Water, LLC
(414) 529-3900

Tribute Portfolio

List of Franchised Outlets Not Yet Open (Canada)

As of December 31, 2021

Ontario

**Hotel Vie, Vaughan, a Tribute Portfolio
Vaughan,
Long Valley Hospitality Inc.
(905) 266-2150**

EXHIBIT N

FORMER FRANCHISEES

TRIBUTE PORTFOLIO

FORMER FRANCHISEES

The list below includes all Tribute Portfolio franchisees that had an outlet terminated, canceled, not renewed, or otherwise voluntarily or involuntarily ceased to do business under the franchise agreement during the most recently completed fiscal year or who has not communicated with us within ten (10) weeks of the issuance date of this document. The list includes franchisees whose franchise agreement was terminated prior to the opening of the hotel (as noted below).

If you buy this franchise, your contact information may be disclosed to other buyers when you leave the Tribute Portfolio franchise system.

Operating Hotels:

Georgia

Savannah, GA

RB-CIV Savannah Hotel LLC

Columbus, OH

(614)246-2505

Hotels Not Yet Opened:

Utah

Salt Lake City, UT

West Quarter Lodging I, LLC

Salt Lake City, UT

(801)433-2200

EXHIBIT O

COMFORT LETTER

[Date]

«Lender_Name»
«lender_street»
«lender_city», «lender_state» «lenderZipCode»

Attn: «LenderContact»

Re: «brand»
«address»
«city», «state» «zip» (the “Hotel”)

Dear Lender:

«Franchisor_Licensors» (“Franchisor”) has entered into a Franchise Agreement (the “Franchise Agreement”) dated «exe_date» with «Franchise_Name» (“Franchisee”). **[NOTE: INCORPORATE OWNER IF AN OWNER AGREEMENT HAS BEEN ENTERED INTO IN CONNECTION WITH THE FRANCHISE AGREEMENT.]** As of this date and to the best of Franchisor’s knowledge, the Franchise Agreement is in full force and effect and Franchisor has issued no notice of a default by Franchisee under the Franchise Agreement which default remains uncured as of the date hereof (the “No-Defaults Representation”).

«Lender_Name» (“Lender”) and Franchisee have informed Franchisor that Lender will loan or has loaned funds that will be used for the direct benefit of the Hotel and will be secured by the Hotel (the “Loan”). **[NOTE: CONFIRM DESCRIPTION OF LOAN IS CORRECT.]** Lender and Franchisee have requested that Franchisor enter into this comfort letter. Franchisee will pay the current lender comfort letter processing fee applicable to such request. The undersigned parties agree as follows:

1. Franchisee Defaults. Franchisor will copy Lender on any notice of default or termination issued to Franchisee under the Franchise Agreement. Lender may, on notice to Franchisor, cure such default on Franchisee’s behalf during the cure period established in the default notice. Franchisor may extend Lender’s right to cure for such reasonable period beyond the cure period established in the default notice if: (i) the default is not related to health or safety; (ii) the default is susceptible to cure by Lender; (iii) Lender notifies Franchisor of Lender’s agreement to cure the default as soon as reasonably possible, but by no later than two days before expiration of the cure period established in the default notice; (iv) all fees, charges, and other amounts due Franchisor or any of its Affiliates under the Franchise Agreement or in connection with the Hotel are kept current; (v) Lender diligently pursues cure of the default; and (vi) the Hotel is at all times operated in accordance with the Franchise Agreement, except for the specific default described in the default notice.

2. Lender Foreclosure.

A. If Lender acquires ownership, control or possession of the Hotel by foreclosure, a deed in lieu of foreclosure, or any other exercise of its rights as a secured lender, and Lender desires that the Hotel continue to be operated as part of the «brand» system of hotels, then: (i) Lender may, by notice and payment to Franchisor of a non-refundable \$5,000 application fee within 10 days after Lender acquires ownership, control or possession of the Hotel, request Franchisor to enter into a new franchise



agreement and consent to substitute management for the Hotel; and (ii) within 30 days after such request, Lender and Franchisor will execute a new «brand» franchise agreement, subject to the satisfaction of the terms of Paragraph 2 and Paragraph 4. Such new franchise agreement will be dated as of the date that Lender acquired ownership, control or possession of the Hotel, will be for a term equal to the then-remaining term of the Franchise Agreement, and will otherwise be on the form of franchise agreement in Franchisor's then-current franchise disclosure document, except that Lender will not be required to pay the stated application fee or implement a typical change of ownership property improvement plan. Instead, Lender will only be required to: (a) pay the \$5,000 application fee set forth in the first sentence of this Paragraph 2.A.; (b) pay Franchisor's outside counsel costs in connection with the new franchise agreement and related agreements; (c) cure any quality, service, or other deficiency in Franchisee's prior performance of its obligations under the Franchise Agreement and under any other agreements with Franchisor and its Affiliates relating to the Hotel, but excluding any unpaid liquidated damages; and (d) comply with the renovation and upgrading requirements that are stated in the Franchise Agreement or that are otherwise required of other «brand» franchisees.

B. Franchisor's obligations under Paragraph 2.A. and 3 are subject to: (i) Franchisor's receipt of evidence satisfactory to Franchisor that any party with whom Franchisor enters into a franchise agreement under Paragraph 2.A., any of such party's directors, officers, and Affiliates, and any of their funding sources is not a Competitor, an Affiliate of a Competitor, or a Restricted Person; (ii) Lender or the receiver, as the case may be, and each of its interestholders satisfying Franchisor's then-current owner qualifications; and (iii) Franchisor's receipt of a guaranty on terms acceptable to Franchisor, in its sole discretion.

C. If Lender acquires ownership, control or possession of the Hotel by foreclosure, a deed in lieu of foreclosure, or any other exercise of its rights as a secured lender, and Lender desires that the Hotel no longer be operated as part of the «brand» system of hotels, Lender will notify Franchisor of such desire within 10 days after Lender acquires ownership, control or possession of the Hotel, cooperate with Franchisor in the removal of the Hotel from the «brand» system of hotels, and promptly comply with Paragraph 12.

D. Lender may designate a wholly-owned subsidiary of Lender (a "Lender Entity") to acquire the Hotel and enter into the franchise agreement referred to in Paragraph 2.A., in which case the requirements of this Paragraph 2 shall apply to such Lender Entity.

3. Receivership. If Lender has a receiver appointed for the Hotel during a foreclosure proceeding or through any exercise of its rights as a secured lender, Lender may, by notice and payment to Franchisor of a non-refundable \$5,000 application fee, which is due by no later than the date on which a receiver has taken possession of the Hotel, have the Hotel operated by a management company under Paragraph 4 if: (i) subject to satisfaction of the requirements listed in clauses (b) through (d) of Paragraph 2.A. and the requirements in Paragraph 2.B. above, the receiver enters into a franchise agreement with Franchisor on terms acceptable to Franchisor; (ii) the receiver is specifically authorized to enter into the franchise agreement by order of the court appointing such receiver, and (iii) such court issues an order that requires the Hotel to be operated in accordance with state, local, and federal laws and includes such other provisions about the franchise agreement and the operation of the Hotel as may be requested by Franchisor.

4. Substitute Manager. Lender's right to propose a substitute manager for the Hotel under this comfort letter is subject to the terms of this Paragraph 4. At Lender's request, Franchisor will provide Lender a list of management companies that would be consented to by Franchisor to operate the Hotel. If possible, such list will contain at least three management companies. Franchisor may withhold its consent to any proposed management company that Franchisor determines in its Reasonable Business Judgment:

(i) is not financially capable; (ii) does not have the managerial skills or operational capacity required to operate «brand» hotels; or (iii) is not otherwise able to comply fully with the requirements of the franchise agreement. If at any time during Lender's ownership, control, or possession of the Hotel, the Hotel is operated by a management company not consented to by Franchisor, Franchisor may immediately terminate the Franchise Agreement, this comfort letter, and the Hotel's relationship with the «brand» system of hotels on notice to Lender.

5. Notification of Lender Enforcement Actions. Lender will notify Franchisor at least 10 days before Lender: (i) commences foreclosure proceedings on the Hotel; (ii) petitions for appointment of a receiver, obtains the entry of an order for relief, or takes any action under federal or state bankruptcy laws or similar laws with regard to the Hotel; (iii) accepts a deed for the Hotel in lieu of foreclosure; or (iv) takes ownership, possession, or control of the Hotel, directly or indirectly, in any manner. Such notice will identify the court in which any such action referred to in subsection (i) or subsection (ii) will be filed. Within 30 days after Lender receives notice of another party's commencement of foreclosure proceedings, filing of an action for the appointment of a receiver, or filing of a petition for relief under state or federal bankruptcy laws with regard to the Hotel, Lender will notify Franchisor of such matters. After the initial timely notification of Franchisor required under clauses (i) through (iv) above, Lender will promptly provide to Franchisor a copy of any order appointing a receiver, or any other judicial or administrative order from an action initiated by Lender that materially impacts ownership, control or possession of the Hotel.

6. No Consent to Assignment of Franchise Agreement. Any current and any future collateral assignment, pledge, grant of a security interest or other transfer to Lender or its Affiliates of any interest in the Franchise Agreement: (i) has not been and will not be consented to by Franchisor; (ii) does not and will not affect Franchisor's rights under the Franchise Agreement; (iii) does not and will not grant Lender or any other Person any rights under the Franchise Agreement or any rights relating to the license granted under the Franchise Agreement, including the right to operate the Hotel as part of the «brand» system of hotels; and (iv) is and will be limited by the terms of this comfort letter. Neither Lender nor Franchisee will assign or otherwise transfer any rights under this comfort letter (which is non-assignable) or under the Franchise Agreement without the prior written consent of Franchisor, and any purported assignment or transfer without Franchisor's prior written consent will be void and ineffective. Lender's only rights relating to the Franchise Agreement and the license granted under the Franchise Agreement, including the right to operate the Hotel as part of the «brand» system of hotels, are stated in this comfort letter.

7. Transition of Control of the Hotel. Lender, Franchisor, and Franchisee will cooperate so that any change in ownership, possession or control of the Hotel under this comfort letter will be conducted: (i) efficiently; (ii) without inconvenience to the guests and employees of the Hotel; and (iii) in accordance with applicable law, including the WARN Act (29 U.S.C. §§ 2101 et seq.).

8. No Claims. Franchisor may discuss with Lender, successor mortgagee, any receiver requested by Lender, or any of their respective designees the status of the Hotel, the Franchise Agreement, the terms of any agreement contemplated by this comfort letter, and any matters of which Lender is entitled to receive notice. Franchisor and its Affiliates, agents, employees, officers, directors, successors, assigns, and representatives ("Released Persons") will not be liable to any Person for taking any action or providing any information required or contemplated by this comfort letter ("Comfort Letter Acts"). On behalf of itself and its owners, Affiliates, agents, officers, directors, employees, representatives, successors, and assigns, Franchisee releases, discharges, and holds harmless the Released Persons from any and all actions, causes of action, suits, claims, demands, damages, debts, accounts, and judgments, at law or in equity, for any Comfort Letter Acts. Franchisee also represents as of this date and, to the best of its knowledge, that: (i) there is no existing default by either Franchisee or Franchisor under

the Franchise Agreement; (ii) no event has occurred which, with the giving of notice or passage of time, or both, would constitute a default by either Franchisee or Franchisor under the Franchise Agreement; and (iii) Franchisee has no claims against Franchisor. Franchisor's rights under this Paragraph 8 will survive termination of this comfort letter.

9. Notices. All notices required under this comfort letter will be: (i) in writing; (ii) delivered by hand with receipt, or by courier service with tracking capability; and (iii) addressed as stated below or at any other address designated in writing by the party entitled to receive the notice:

If to Lender, to:

«Lender_Name»
«lender_street»
«lender_city», «lender_state» «lenderZipCode»
Attn: «LenderContact»

With a copy to:

If to Franchisor, to:

Prior to August 1, 2022:

«Franchisor_Licensors»
10400 Fernwood Road
Bethesda, MD 20817
Attn: Law Department 52/923.28

On and after August 1, 2022:

«Franchisor_Licensors»
7750 Wisconsin Avenue
Bethesda, MD 20814
Attn: Law Department 52/923.28

Any notice will be deemed received (i) when delivery is received or first refused, if delivered by hand or (ii) one day after posting of such notice, if sent via overnight courier.

10. No Representations or Warranties; No Third Party Beneficiary. Franchisor has not provided and, by issuing this comfort letter, is not providing: (i) any representation that it endorses, approves, or recommends the Loan or any financial projections delivered to Lender in connection with the Loan; (ii) any guarantee or assurance that Franchisee, or any other party will be able to repay the Loan; or (iii) any endorsement, approval, or recommendation of Franchisee or Franchisee's character or reputation. Because the No-Defaults Representation only covers the status of the Franchise Agreement as of the date of this comfort letter, Lender will not rely on the No-Defaults Representation as to the status of the Franchise Agreement after the date of this comfort letter. On Lender's request, Franchisor will represent to Lender, to the best of Franchisor's knowledge, whether Franchisor has issued any notice of a default by Franchisee under the Franchise Agreement, which default remains uncured as of such date, or any notice of termination under the Franchise Agreement. If Lender makes a decision (for example, to exercise any of its enforcement rights under the Loan) or issues a representation or warranty to another party (for example, in connection with a modification, securitization, or sale of the Loan) without requesting such a representation from Franchisor, then Lender will not: (i) rely on any past notice of default or termination

under the Franchise Agreement; or (ii) rely on its own assumption as to the status of the Franchise Agreement (for example, on the assumption that no default exists because Lender did not receive a copy of a default notice). This comfort letter is solely for the benefit of the addressee named on the first page of this comfort letter and is not intended to create any third party beneficiary.

11. Replacement Comfort Letter. Franchisor will issue a replacement comfort letter on the form of comfort letter in Franchisor's then-current franchise disclosure document, if Lender: (A) transfers the Loan to a successor mortgagee that is a financial institution in the business of routinely financing real estate transactions or designates a trustee of a trust established in connection with the securitization of the Loan (each, a "Replacement Event"), provided that such transferee or designee (i) is not a Competitor, an Affiliate of a Competitor, or a Restricted Person, and (ii) is not an Affiliate of Franchisee; and (B) provides a written request to Franchisor, no later than 90 days after the Replacement Event, to issue a replacement comfort letter, and includes in such request: (i) the name and address of the entity for which the replacement comfort letter is requested to be issued, (ii) the name, address, telephone number, and email address for the contact person for such entity, (iii) the date of the Replacement Event, and (iv) a statement that the Loan is not in default. Franchisee will pay the then-current lender comfort letter processing fee for any such requests. Franchisor reserves the right to require representations and warranties or certifications that the conditions in this Paragraph 11 are met before issuing any replacement comfort letter. Any such replacement comfort letter will supersede this comfort letter.

12. Possession of the Hotel. If Lender or a receiver appointed at the request of Lender owns, controls, or possesses the Hotel, Lender will: (i) at Franchisor's request, after termination of the Franchise Agreement for any reason, immediately perform, or cause the receiver to perform, the requirements of the Franchise Agreement for de-identifying the Hotel as part of the «brand» system of hotels; and (ii) indemnify, defend, and hold harmless Franchisor and its Affiliates against any loss, claim, or other liability of any kind arising from or in connection with the operation of the Hotel as part of the «brand» system of hotels at any time during such ownership, control, or possession. Lender's obligations under this Paragraph 12 will survive termination of this comfort letter. Nothing in this comfort letter (or a court order appointing a receiver) will limit Franchisor's rights or remedies under the Franchise Agreement or to seek legal redress for any unauthorized use of Franchisor's trademarks, service marks, or systems.

13. Termination. This comfort letter will terminate and Lender will have no rights under this comfort letter if:

(A) Lender has been taken over in any manner by any state or federal agency or is in a receivership, conservatorship, reorganization, or liquidation, or Lender or any of its officers or directors has entered into, or is subject to, a cease and desist order or any other formal or informal written agreement with a federal or state regulatory agency;

(B) Lender no longer holds a valid first mortgage or security deed for the Hotel, unless (a) Lender has acquired ownership, possession or control of the Hotel by foreclosure, deed in lieu of foreclosure, or any other exercise of its rights as a secured lender, in which case Lender will have the rights stated in Paragraph 2.A. for the period stated in such Paragraph; or (b) there has been a securitization or transfer of the Loan, in which case Lender will have the rights stated in Paragraph 11 for the period stated in such Paragraph;

(C) the Franchise Agreement has expired by its terms;

(D) the Franchise Agreement has been terminated, unless such a termination is the result of the timely exercise of Lender's rights under Paragraph 2 or Paragraph 3, in which case this

comfort letter will terminate on the exercise or expiration of such rights, but in no event later than 45 days after such termination of the Franchise Agreement; or

(E) Lender breaches this comfort letter.

Lender agrees to notify Franchisor promptly following the occurrence of any of the circumstances described in clause (A) or (B) of this Paragraph 13, but Lender's failure to give such notice will not affect the automatic termination of this comfort letter.

14. Effectiveness. Franchisor will have no obligations under this comfort letter unless and until Lender, Franchisee, and Franchisor have executed this comfort letter and delivered it to the other parties. This comfort letter may be executed in any number of counterparts, each of which will be deemed an original and all of which constitute one and the same instrument. Delivery of electronic signature or an executed signature page by electronic transmission is as effective as delivery of an original signed counterpart. Each party hereto waives any defenses to the enforceability of the terms of this comfort letter based on the foregoing forms of signature.

15. Interpretation of Agreement. Lender, Franchisee, and Franchisor intend that this comfort letter excludes all implied terms to the maximum extent permitted by applicable law. Headings of Paragraphs are for convenience and are not to be used to interpret the Paragraphs to which they refer. Words indicating the singular include the plural and vice versa as the context requires. References to days, months, and years are all calendar references. References that a Person "will" do something mean the Person has an obligation to do such thing. References that a Person "may" do something mean the Person has the right, but not the obligation, to do so. References that a Person "may not" or "will not" do something mean the Person is prohibited from doing so. Examples used in this comfort letter and references to "includes" and "including" are illustrative and not exhaustive. If not defined in this comfort letter **[or in Exhibit A to this comfort letter]**, capitalized terms have the meanings stated in the Franchise Agreement. **[NOTE: IF THE FORM OF THE FRANCHISE AGREEMENT PRE-DATES THE MARCH 31, 2020 FORM, ADD EXHIBIT A TO INCORPORATE NEW OR REVISED DEFINED TERMS.]**

{Signatures appear on the following page}

Very truly yours,

«FRANCHISOR_LICENSOR»

By: _____
Name:
Title:

«Franchise_Name»

By: _____
Name:
Title:

«Lender_Name»

By: _____
Name:
Title:

cc:

[NOTE: ADD THIS EXHIBIT A ONLY IF THE FORM OF THE FRANCHISE AGREEMENT PRE-DATES THE MARCH 31, 2020 FORM.

EXHIBIT A

DEFINITIONS

Definitions. For the purposes of this comfort letter:

“**Affiliate**” means, for any Person, a Person that is directly or indirectly Controlling, Controlled by, or under common Control with such Person.

“**Brand**” means a hotel brand, trade name, trademark, system, or chain of hotels.

“**Competitor**” means any Person that has a direct or indirect Ownership Interest in a Brand or is an Affiliate of such a Person, or any Person that is a Master Franchisee of a Brand, or any officer or director of such Person, but only if the Brand is comprised of at least: (i) 10 luxury hotels; (ii) 20 full-service hotels; or (iii) 50 limited-service hotels. For purposes of this definition: “luxury” hotels are hotels that had a system average daily rate in excess of \$200 for the most recent year; “full-service” hotels are hotels that offer three meals per day and have at least 3,000 square feet of meeting space; and “limited-service” hotels are hotels that are neither “luxury” hotels nor “full-service” hotels. No Person will be considered a Competitor if such Person has an interest in a Brand merely as: (i) a franchisee; (ii) a management company that operates hotels on behalf of multiple brands; or (iii) a passive investor that has no Control over the business decisions of the Brand, such as limited partners or non-Controlling stockholders.

“**Control**” (in any form, including “Controlling” or “Controlled”) means, for any Person, the possession, directly or indirectly, of the power to direct or cause the direction of the management or policies of such Person or the power to veto major policy decisions of such Person. If a Person (or group of Persons acting together collectively) beneficially owns less than 25% of the voting stock of a publicly-traded company, such Person (or group of Persons) will not be considered to have Control of such company solely because of such beneficial ownership.

“**Master Franchisee**” means a Person that has the exclusive rights to develop, operate or sub-license a Brand.

“**Ownership Interest**” means all forms of legal or beneficial ownership of entities or property, including the following: stock, partnership, limited liability company, joint tenancy, leasehold, proprietorship, trust, beneficiary, proxy, power-of-attorney, option, warrant, and any other interest that evidences ownership or Control, whether direct or indirect (unless otherwise specified).

“**Person**” means an individual (and the heirs, executors, administrators or other legal representatives of an individual), a partnership, a joint venture, a firm, a company, a corporation, a governmental department or agency, a trustee, a trust, an unincorporated organization or any other legal entity.

“Reasonable Business Judgment” means:

1. For decisions affecting the System, that the rationale for Franchisor’s decision has a business basis that is intended to: (i) benefit the System or the profitability of the System, including Franchisor, regardless of whether some hotels may be unfavorably affected; (ii) increase the value of the Proprietary Marks; (iii) enhance guest, franchisee or owner satisfaction; or (iv) minimize potential brand inconsistencies or customer confusion; and

2. For decisions unrelated to the System (for example, a requested approval for the Hotel), that the rationale for Franchisor’s decision has a business basis and Franchisor has not acted in bad faith.

“Restricted Person” means a Person: (a) that is identified by any government or legal authority as a Person with whom Franchisor or its Affiliates are prohibited or restricted from transacting business, including: (i) any Person on the Office of Foreign Assets Control List of Specially Designated Nationals and Blocked Persons, under resolutions or sanctions-related lists maintained by the United Nations Security Council, or under the E.U. Consolidated Financial Sanctions; and (ii) any Person ordinarily resident, incorporated, or located in any country or territory subject to comprehensive U.S. or E.U. sanctions, or owned or Controlled by, or acting on behalf of, the government of any such country or territory; or (b) that is an Affiliate of or Controlled by, or in which 10% or more of the Ownership Interests are held by, any Person identified in clause (a).

EXHIBIT P

PRE-OPENING AGREEMENT

[DATE]

{name}
{address}

Re: Proposed Conversion of _____ (the “Hotel”) to a/an
[Autograph Collection] [Delta] [Le Méridien] [[JW] Marriott] [Renaissance]
[Sheraton] [The Luxury Collection] [Tribute Portfolio] [Westin] Hotel

Dear _____:

This letter agreement (“Letter Agreement”) sets forth our understandings regarding the procurement of, and payment for, information and technology systems and related training and other services for the Hotel.

Marriott International, Inc. (“Marriott”) is currently in negotiations with _____ (“Franchisee”), regarding a/an [Autograph Collection] [Delta] [Le Méridien] [[JW] Marriott] [Renaissance] [Sheraton] [The Luxury Collection] [Tribute Portfolio] [Westin] franchise agreement for the Hotel. Franchisee has informed Marriott of its desire to convert the Hotel to a/an [Autograph Collection] [Delta] [Le Méridien] [[JW] Marriott] [Renaissance] [Sheraton] [The Luxury Collection] [Tribute Portfolio] [Westin] Hotel on or about _____. Franchisee acknowledges that Marriott does not typically conduct site visits or place orders for information and technology systems [in certain instances, add: and related training] and other services for the Hotel (the “Goods”) before the execution of a franchise agreement. However, as an accommodation to Franchisee and in order to meet Franchisee’s desired conversion deadline, Marriott is willing to conduct site visits and submit orders for the Goods on the terms of this Letter Agreement.

Marriott and Franchisee agree that Marriott will order the Goods referenced in the attached estimate worksheet (the “Cost Estimate”) before the execution of a franchise agreement. The cost estimate for the procurement of such Goods for the Hotel is \$ _____. Franchisee acknowledges that the costs for such items and services are subject to change and that the actual costs may exceed the Cost Estimate.

Franchisee agrees to pay, or cause to be paid, Marriott’s expenses incurred in connection with such site visits and the Goods ordered by Marriott for the Hotel, regardless of whether the parties enter into a franchise agreement. Such payment shall be due and payable to Marriott within 30 days of Franchisee’s receipt of an invoice from Marriott.

Nothing in this Letter Agreement will be construed as an obligation by Marriott to grant a franchise to Franchisee for the Hotel, authorization to use any of the Goods, or authorization to advertise or present the Hotel as a member (or future member) of the [Autograph Collection] [Delta] [Le Méridien] [[JW] Marriott] [Renaissance] [Sheraton] [The Luxury Collection] [Tribute Portfolio] [Westin] Hotel System. Such franchise and authorizations will only be granted pursuant to a signed franchise agreement between Franchisee and Marriott.

Franchisee represents that it has ownership, possession or control of the Hotel and the Site and the right to enter into this Term Sheet and the Agreements. Franchisee represents and warrants to

Franchisor that no agreement or other arrangement of any type (including any management agreement, franchise agreement, letter of intent, option to purchase, technical services agreement, reservation agreement, or any oral agreement or course of conduct which could be construed to be a contract) exists, as of the date of this Term Sheet, with any third party relating to the Site or the Hotel, which would prohibit or conflict with the Franchisee's ability to enter into this Term Sheet or the Agreements (each, a "Third Party Agreement"). If any Third Party Agreement exists, on request of Franchisor, Franchisee will provide documentation acceptable to Franchisor that evidences the expiration or right to terminate such Third Party Agreement. Franchisee will defend, indemnify and hold harmless Franchisor, its Affiliates, and their respective directors, officers, employees, and agents, from any claim, loss, liability, cost, or expense arising out of any agreement alleged by any third party to be in conflict with this Term Sheet.

Except as required by law or as necessary to enforce this Letter Agreement in any legal proceedings, Franchisee agrees to keep confidential and not disclose (a) the existence or terms of this Letter Agreement and (b) any proprietary information or know-how associated with the technology systems purchased in accordance with this Letter Agreement, in each case, to any person or entity, without the prior written consent of Marriott.

This Letter Agreement (a) sets forth the entire agreement between the parties pertaining to the subject matter of this Letter Agreement, (b) is governed by and construed under the laws of the State of Maryland, which laws will prevail in the event of any conflict of law, (c) is not assignable by Franchisee without the consent of Marriott, (d) is binding upon and inures to the benefit of the parties and their permitted successors and assigns, and (e) may be executed in counterparts, all of which constitute one and the same instrument. Delivery of an executed signature page by electronic transmission is as effective as an original signed counterpart. Upon execution by Franchisee and Marriott of a franchise agreement for the Hotel, this Letter Agreement shall automatically terminate and be superseded by the provisions of the franchise agreement.

Please indicate your acceptance of the terms of this Letter Agreement by signing this Letter Agreement, under seal, in the space provided below and returning an executed version to Marriott.

Respectfully,

MARRIOTT INTERNATIONAL, INC.

By: _____ (SEAL)

Name:

Title:

Agreed to and Acknowledged on this

_____ :

[FRANCHISEE]

By: _____ (SEAL)

Name:

Title:

COST ESTIMATE

EXHIBIT Q

SAMPLE FINANCE AGREEMENTS

Credit Enhancement Commitment Letter

_____, 20__

Attention: _____

Re: Credit Enhancement in connection with a *[brand]* hotel to be located in _____ (“**Project**”)

Dear _____:

We are pleased to inform you that Marriott International Capital Corporation *[MICC (California), LLC for California transactions]* (“**MICC**”), has approved a limited payment guaranty (“**Credit Enhancement**”) of the Loan (as defined below) for the *[construction and]* mini-permanent financing of the Project, subject to the terms and conditions set forth herein (“**Commitment**”).

1. Description of Project: When completed, the Project will consist of a _____ - room *[brand]* hotel (“**Hotel**”) situated on a _____-acre site in _____. *[The Hotel will be constructed on a parcel that is subject to a long-term ground lease (“Ground Lease”) and Borrower is the tenant under the Ground Lease.]*

2. Borrower: _____, a _____, a single asset “bankruptcy remote” entity, whose sole purpose is the development and ownership of the Project.

3. Lender: _____.

4. Loan: _____ Dollars (\$_____.00) loan from Lender to Borrower. The Loan will be secured by a first priority deed of trust or mortgage encumbering the Project (“**Mortgage**”) in favor of Lender.

5. Credit Enhancer: MICC.

6. Guaranteed Amount: MICC shall guarantee a portion of the Loan equal to the lesser of: (i) _____ Dollars (\$_____.00), or (ii) the amount that is equal to *[_____ percent (____ %) of the outstanding principal balance of the Loan / ten percent (10%) of Project Costs (“Maximum Amount”). As used herein, “Project Costs” means (a) the acquisition costs of the land on which the Project is located; (b) all labor, materials, and services needed to design and construct the Hotel; (c) interest and closing costs for the Loan; and (d) all other expenses anticipated by Borrower incident to the acquisition of the property,*

construction of the Hotel and closing the Loan] (“Maximum Amount”). *[Note – conform to specifics of Credit Enhancement Agreement]*

7. **Credit Enhancement Obligations:** MICC and Lender shall execute a Credit Enhancement Agreement setting forth the rights and obligations of those parties and the terms and conditions upon which MICC shall pay guaranteed amounts up to the Maximum Amount. MICC’s obligations to Lender under the Credit Enhancement Agreement shall arise upon the occurrence of a failure by Borrower or _____, as guarantor under the Loan, to make any scheduled monthly payment of principal and/or interest under the Loan or to fund any construction shortfall as determined by the Lender. Upon receipt of a notice of such a default, MICC may elect to:

(a) cure the default by making the delinquent payment of principal and/or interest directly to Lender or by funding the amount of the construction shortfall, as applicable, or

(b) purchase the Loan from Lender, or

(c) direct Lender to pursue its remedies under the Mortgage, after which MICC shall reimburse Lender, up to the Maximum Amount, for any deficiency.

8. **Reimbursement Agreement and Equity Pledge:**

(a) In consideration for MICC’s agreement to provide the Credit Enhancement, Borrower and _____ and _____, its *[members / partners / shareholders]* (“**Members / Partners**”), shall deliver to MICC a Reimbursement Agreement (“**Reimbursement Agreement**”) and shall cause the *[Members / Partners]* to deliver to MICC a first priority Assignment of Equity Interests and Security Agreement (“**Equity Pledge**”) encumbering one hundred percent (100%) of the *[Member / Partner / shareholder]* interests in Borrower and the right to any distributions on account thereof.

(b) The Reimbursement Agreement shall provide that any advance made by MICC to Lender to cure a Borrower default shall be repaid by Borrower and/or *[Members / Partners]* to MICC, together with interest and other fees incurred by MICC. Advances made by MICC under the Credit Enhancement Agreement shall accrue interest at an annual rate of interest equal to one-half of one percent (0.5%) above the rate of interest accruing on the Loan.

(c) The Equity Pledge shall secure the reimbursement obligations to MICC for advances made by MICC to Lender under the Credit Enhancement Agreement. To the extent that advances made by MICC are not repaid in accordance with the terms of the Reimbursement Agreement, the Equity Pledge shall permit MICC to (i) receive any and all net operating income from the operation of the Project and/or sale, refinance or casualty proceeds that would otherwise be payable to Borrower and/or *[Members / Partners]* up to the amount due under the Reimbursement Agreement, and (ii) foreclose the *[Member / Partner]* pledges, which may result in MICC becoming the owner of the *[Member / Partner]* interests in Borrower.

9. **MICC Documents:** As a condition to MICC providing the Credit Enhancement to Lender, the following documents shall be delivered to MICC in form acceptable to MICC: (i) Reimbursement Agreement executed by Borrower and *[Members / Partners]*; (ii) Equity Pledge executed by the *[Members / Partners]*; (iii) UCC Financing Statements; (iv) Guaranty Agreement (limited to non-recourse carveout acts identified in the Guaranty Agreement) executed by _____ and _____ (individually and collectively, “**Limited Recourse Guarantor**”); (v) Environmental Indemnity Agreement executed by Borrower and Limited Recourse Guarantor; and (vi) such other documents as MICC shall require (collectively, “**MICC Documents**”). The MICC Documents shall contain such covenants, conditions and provisions as are customary in MICC’s credit enhancement transactions.

10. **Due on Sale / Due on Encumbrance:** The MICC Documents contain due on sale and due on encumbrance clauses that prohibit the sale or encumbrance of the Project or any of the *[Member / Partner]* interests in Borrower without the prior written consent of MICC, which consent may be granted or withheld in MICC’s sole discretion. The foregoing provisions of this paragraph notwithstanding, the Project may be encumbered by the Mortgage in favor of Lender.

11. **Financial Statements:** Borrower shall furnish to MICC quarterly and annual financial statements of Borrower and the *[Members / Partners]*, annual income statements for the Project, and such other financial or operating information as MICC may from time to time reasonably require.

12. **Default Provisions:** In addition to MICC’s customary provisions concerning defaults, each of the following shall constitute a default under the MICC Documents:

(a) the failure to obtain MICC’s approval in connection with any sale, transfer or encumbrance of the Project or any of the *[Member / Partner]* interests in Borrower;

(b) the occurrence of a default under, or a termination of, the Marriott Franchise Agreement; and

(c) the occurrence of a default beyond any applicable grace period in the performance of any of its obligations under the Mortgage, or any lien, encumbrance, security agreement or ground lease affecting the Project.

13. **Guaranty Fee:** In consideration for MICC’s providing the Credit Enhancement, Borrower shall pay to MICC a *[monthly / one-time upfront]* fee in the amount of _____ *[percent (____ %) of the Loan balance]*. ***[Note – conform to specifics of the deal]***

14. **Legal Fees and Expenses:** By execution of this Commitment, Borrower and *[Members / Partners]* acknowledge that MICC is deemed to have earned the right to reimbursement for the fees, costs and expenses incurred by MICC in connection with the transaction described herein. Borrower and *[Members / Partners]* agrees that in the event the Loan and/or the Credit Enhancement transactions contemplated herein are not consummated for any reason whatsoever, or this Commitment is terminated for any reason whatsoever, Borrower

and/ or *[Members / Partners]* shall nevertheless pay or reimburse MICC, on demand, for all such fees, costs and expenses.

15. Choice of Law: The MICC Documents shall be governed and controlled by the laws of the State of Maryland.

16. Legal Opinions: MICC shall require, and Borrower shall deliver at closing, opinions of Borrower's counsel which address, among other matters: (i) the enforceability of the MICC Documents; (ii) the authority of Borrower, the *[Members / Partners]*, and Limited Recourse Guarantor (to the extent the same are not individuals) to enter into and consummate the transaction; and (iii) such other opinions as MICC deems reasonably appropriate. The form and content of such opinions shall be acceptable to MICC in its reasonable discretion.

17. Conditions to Closing: As a condition to MICC's delivery of the Credit Enhancement Agreement to Lender, MICC shall receive from Borrower, or have evidence of satisfactory completion of, the following items:

- (a) Fully executed MICC Documents;
- (b) Opinions from legal counsel to Borrower, the *[Members / Partners]*, and Limited Recourse Guarantor, and each entity signing on behalf of Borrower, the *[Members / Partners]*, and/or Limited Recourse Guarantor;
- (c) Organizational and authorization documents for Borrower, the *[Members / Partners]*, and Limited Recourse Guarantor (to the extent the same are not individuals), and each upstream entity signing on behalf of the *[Members / Partners]* and/or Limited Recourse Guarantor;
- (d) Evidence that the Franchise Agreement is in full force and effect and that there exist no defaults or Events of Default (as defined in the Franchise Agreement) thereunder;
- (e) Payment to MICC of all fees and expenses required by this Commitment;
- (f) Receipt of budgets, appraisal and feasibility reports, financial statements and other studies or certifications required by this Commitment;
- (g) Receipt of a Phase I environmental study for the Project issued for the benefit of Lender and MICC and prepared by an environmental engineer acceptable to MICC in the exercise of its reasonable discretion;
- (h) Evidence that Lender's loan documents have been executed and delivered and that all conditions to funding of the Loan have been satisfied;
- (i) UCC, tax, judgment and litigation searches for Borrower, the *[Members / Partners]*, and Limited Recourse Guarantor, indicating that there are no liens, pending or

threatened lawsuits, legal proceedings, governmental investigations or similar matters against Borrower, the *[Members / Partners]*, Limited Recourse Guarantor, and/or the Project;

(j) Receipt of legible copies of all recorded title exceptions, a copy of the owner's title insurance policy, and an ALTA 16 mezzanine financing endorsement to the owner's title insurance policy.

(k) Evidence that the Project is fully insured;

If there is a Ground Lease, add -

() [Receipt of the executed Ground Lease and an acknowledgement that the Ground Lease is not in default;

() To the extent required, in the sole and absolute discretion of MICC, fee owner/ground lessor shall execute and deliver to MICC an estoppel certificate confirming that (i) the ground lessor will give MICC notices of default under the Ground Lease, (ii) the ground lessor will permit MICC to cure any defaults under the Ground Lease, (iii) a foreclosure by MICC of the Equity Pledge will not constitute a default or cause a termination under the Ground Lease, nor will it cause the Ground Lease to be amended to the detriment of the ground lessee, (iv) if the Ground Lease is terminated prior to the natural expiration of its term, MICC or its designee shall have the right to acquire from the ground lessor a new lease on substantially the same terms, and (v) such other matters as may be reasonably required by MICC;]

If the Credit Enhancement is effective after completion of construction, add -

() Final "as completed" plans and specifications;

() Final inspection and approval by MICC and Franchisor that the Hotel, as constructed, conforms to Franchisor's requirements and is open and operating;

() Receipt of an ALTA "as built" survey showing the Hotel and other improvements;

If the Credit Enhancement is effective immediately, add -

() Evidence that the plans for the construction of the Hotel have been reviewed by Marriott and determined to be satisfactory;

() Satisfaction of such other conditions as required in the reasonable opinion of MICC.

18. Closing: In the event that all of the terms and conditions described herein have not been satisfied on or before _____, time being of the essence to such date, this Commitment shall automatically terminate without the need for action by or notice from MICC. Upon a termination of this Commitment, MICC shall have no further obligations hereunder.

19. Acceptance Date: This Commitment must be executed and delivered to MICC not later than _____, 20__, otherwise this Commitment shall expire automatically without any required action by, or notice from, MICC. Upon expiration of this Commitment, MICC shall have no further obligations hereunder.

20. Counterparts: This Commitment may be executed in one or more counterparts, each of which alone and all of which together shall be deemed an original.

21. Time of Essence: Time is of the essence with respect to all dates and time periods set forth herein.

It is a pleasure to provide to you this Commitment. We look forward to working with you on this transaction.

Sincerely,

MARRIOTT INTERNATIONAL CAPITAL CORPORATION, a Delaware corporation

By: _____

Name: _____

Title: _____

ACCEPTED AND AGREED TO ON THIS

_____ day of _____, 20__

BORROWER:

By: _____

Name: _____

Title: _____

LIMITED RECOURSE GUARANTOR:

By: _____

Name: _____

Title: _____

REIMBURSEMENT AGREEMENT

THIS REIMBURSEMENT AGREEMENT (“**Agreement**”) is made and entered into as of the ____ day of _____, 20__, by _____, a _____ and _____, a _____ (individually, “**Obligor**” and collectively, “**Obligors**”) for the benefit of **MARRIOTT INTERNATIONAL CAPITAL CORPORATION**, a Delaware corporation (“**MICC**”).

R E C I T A L S

A. _____ (“**Borrower**”) is the owner of a certain *[to be constructed]* _____ hotel located in _____ (“**Project**”).

B. Borrower is entering into a mortgage loan with _____ Bank, a _____ banking corporation (“**Lender**”), pursuant to which Lender is lending up to _____ Dollars (\$_____.00) (“**Loan**”) in connection with the construction and mini-permanent financing for the Project.

C. The Loan is evidenced by a certain promissory note from Borrower to Lender (“**Note**”) and is secured by a *[Deed of Trust / Mortgage]* from Borrower for the benefit of Lender (“***Deed of Trust / Mortgage***”). The Note, the *[Deed of Trust / Mortgage]* and the other documents executed by Borrower to evidence or secure the Loan are hereinafter collectively referred to as the “**Senior Loan Documents**.”

D. Borrower and _____ (“**Marriott**”) have entered into a Franchise Agreement pursuant to which the Project will be operated as a _____ hotel.

E. MICC is providing credit enhancement of a portion of the Loan up to a maximum amount of _____ Dollars (\$_____.00) pursuant to and in accordance with that certain Credit Enhancement Agreement by and between MICC and Lender (“**Credit Enhancement Agreement**”).

F. As a condition to MICC’s agreement to credit enhance the Loan and to enter into the Credit Enhancement Agreement, MICC is requiring that Obligors and certain of their affiliates execute and deliver to MICC: (i) this Agreement, (ii) that certain Assignment of Equity Interests and Security Agreement (“**Equity Pledge**”) and (iii) certain other documents evidencing and/or securing the obligations of Obligors to reimburse MICC for advances made by MICC to Lender under the Credit Enhancement Agreement (“**MICC Loan Documents**”).

In consideration of the foregoing, the covenants and undertakings set forth herein, and other good and valuable consideration, the receipt and sufficiency of which are acknowledged by Obligors, Obligors agree as follows:

1. **Definitions.**

1.1 All capitalized terms not defined herein shall have the meaning set forth in this Section 1, or, if not defined herein, shall have the meaning set forth in the Equity Pledge, unless the context clearly indicates that a different meaning is to be applied.

1.2 The following terms shall have the definitions indicated:

“Advance” means a payment by MICC to Lender as required by the Credit Enhancement Agreement. In no event shall Advances exceed the lesser of (i) the amount then due and owing from Borrower to Lender under the Senior Loan Documents or (ii) the maximum amount of MICC’s credit enhancement obligation to Lender as set forth in the Credit Enhancement Agreement.

“Business Day” means any day other than a Saturday, Sunday or other day on which commercial banks are authorized or required to close under the laws of the State of Maryland.

“Excess Cash Flow” shall mean the amount by which (a) Operating Profit exceeds Senior Debt Service, and (b) proceeds from the sale, refinancing or condemnation of the Project and insurance proceeds other than business interruption or loss of income insurance exceed the amount due under the Senior Loan Documents.

“Interest Rate” shall mean the annual rate of interest equal to _____ percent (_____ %).

“Operating Profit” shall mean all revenues and receipts of every kind derived from operating the Project (excluding gratuities to employees, sales or use taxes, proceeds from the sale, refinancing or condemnation of the Project, and insurance proceeds other than business interruption or loss of income insurance) less all operating expenses, base management fees, real estate and personal property taxes, and insurance premiums relating to the operation of the Project and appropriate reserves for the replacement of furniture, fixtures and equipment at the Project.

“Senior Debt Service” means the next scheduled payment of ordinary interest only or principal and interest, as the case may be, under the Senior Loan Documents.

2. **Reimbursement Obligation.**

2.1 Obligors unconditionally promise and agree to pay to MICC an amount equal to each Advance, plus interest on each Advance at the Interest Rate (**“Reimbursement Obligation”**). The Reimbursement Obligation shall be due and payable by Obligors to MICC immediately upon each Advance. Interest shall be payable on each Advance for the period

commencing on the date MICC makes the Advance to Lender and continuing thereafter until the Advance is repaid by Obligors in full. Interest shall be calculated based on a year of 365 days, and the actual number of days elapsed.

2.2 After each Advance and until the Reimbursement Obligation is paid in full, MICC shall have such rights and remedies as are set forth in the Equity Pledge and the other MICC Loan Documents. In addition, until such time as MICC exercises its remedies under the Equity Pledge and the other MICC Loan Documents, Obligors agree to pay to MICC all Excess Cash Flow. To the extent any Excess Cash Flow is under the control of the manager of the Project, Obligors hereby authorizes and directs the manager of the Project to pay all Excess Cash Flow to MICC upon demand by MICC.

3. Fees and Expenses. In addition to the obligations of Obligors set forth in Section 2 above, Obligors agree absolutely and unconditionally, to pay to MICC the following:

3.1 Any and all fees, costs, charges and expenses (including reasonable attorneys' fees and expenses) incurred by MICC in connection with its payment obligations to Lender or in connection with the preservation of its rights or remedies under the Credit Enhancement Agreement;

3.2 Any and all fees, costs, charges and expenses (including reasonable attorneys' fees and expenses) incurred by MICC in connection with the administration or enforcement of its rights under this Agreement and the other MICC Loan Documents;

3.3 Any and all fees, costs, charges and expenses (including reasonable attorneys' fees and expenses) incurred by MICC in the event MICC purchases the Loan after the occurrence of an "Event of Default" (as defined in the Senior Loan Documents) by Obligors under the Senior Loan Documents; and

3.4 Interest on any and all amounts referred to in subsections 3.1 through 3.3 above, payable at the Interest Rate, from the date first due under this Section until payment of all such amounts in full.

All amounts to be paid pursuant to subsections 3.1 through 3.4 of this Section shall be payable immediately upon demand separate and apart from principal, interest and other amounts due under the Senior Loan Documents.

4. Payments. All payments shall be made in immediately available funds to MICC at 10400 Fernwood Road, Department 52/924.11, Bethesda, Maryland 20817, Attention: Treasury Department, or such other address specified by MICC in a notice to the [\[members / partners\]](#) of Borrower given in accordance with the terms of the Equity Pledge. All payments received by MICC may be applied by MICC to any obligation of Obligors hereunder or under the Equity Pledge in such order as MICC, in its sole discretion, shall elect. Any payment received after 2:00 p.m., Washington, D.C. time, shall be treated as if it were paid at 9:00 a.m., Washington, D.C. time, on the next Business Day.

5. **Subrogation.** Obligors acknowledge that MICC is to be fully subrogated, to the extent of any Advance made by MICC, to the rights of Lender to any moneys paid or payable under the Senior Loan Documents and all security therefor under the Senior Loan Documents. Obligors agree to execute such instruments, and to take such actions as MICC shall request to evidence such subrogation and to perfect the rights of MICC to the extent necessary to provide reimbursement under the Senior Loan Documents.

6. **Termination.** Subject to the provisions of Section 15 of this Agreement, this Agreement and obligations of Obligors hereunder shall terminate upon the later to occur of: (i) the termination of the Credit Enhancement Agreement, or (ii) the payment in full by Obligors of the Reimbursement Obligation set forth in Section 2 above and the fees and expenses set forth in Section 3 above.

7. **Notice.** All notices and other communications required to be given hereunder shall be in writing and shall be delivered personally or shall be sent by registered mail, certified mail or Express Mail service, postage prepaid and return receipt requested, or by a nationally recognized overnight delivery service, addressed to the parties as set forth below. Any notice provided shall be deemed received when delivery is received or refused, as the case may be. Additionally, notices may be given by telephone facsimile or electronic e-mail transmission, provided that an original of said transmission shall be delivered to the addressee by a nationally recognized overnight delivery service on the day following such transmission. Telephone facsimiles and e-mail transmissions shall be deemed delivered on the date of such transmission.

If to Obligors:

Attn: _____
Facsimile: _____
Email: _____

with a copy to:

Attn: _____
Facsimile: _____
Email: _____

If to MICC:

Marriott International Capital Corporation
c/o Marriott International, Inc.
Department 52/923
10400 Fernwood Road
Bethesda, Maryland 20817
Attn: General Counsel
Facsimile: _____
Email: _____

with a copy to:

Attn: _____
Facsimile: _____
Email: _____

8. Independent Obligation. Obligors agree that this Agreement and the other MICC Loan Documents create obligations of Obligors to MICC that are independent of the obligations of Obligors to Lender under the Senior Loan Documents. Obligors agree that any release by Lender of Obligors under the Senior Loan Documents shall not operate as, or be deemed to be, a release by MICC of Obligors under this Agreement or the MICC Loan Documents.

9. Entire Agreement. This Agreement and the other MICC Loan Documents embody the entire agreement between MICC and Obligors with respect to the obligations set forth herein and in the MICC Loan Documents. The MICC Loan Documents supersede all prior agreements and understandings, if any, with respect to the Reimbursement Obligation of Obligors to MICC. This Agreement may not be modified, amended or superseded except in a writing signed by MICC and Obligors.

10. Governing Law. This Agreement was negotiated in the State of Maryland, and accepted by MICC at its corporate offices in the State of Maryland. Any Advance that would give rise to the Reimbursement Obligations hereunder shall be made by MICC from its corporate offices in the State of Maryland and any payment by Obligors on account of such Reimbursement Obligations shall be made to MICC at its corporate offices in the State of Maryland. Obligors agree that the State of Maryland has substantial relationship to the transaction evidenced hereby and further agrees that this instrument shall be construed according to and governed by the internal laws of the State of Maryland without regard to principles of conflicts of law.

11. Consent to Jurisdiction. Notwithstanding the place of execution of this instrument, the parties to this instrument submit and consent to personal jurisdiction of the Courts of the State of Maryland and Courts of the United States of America sitting in Maryland for the enforcement of this Agreement, and waive any and all personal rights under the laws of any state or the United States of America to object to jurisdiction in the State of Maryland. Litigation may be commenced in any state court of general jurisdiction for the State of Maryland or the United States District Court located in that state, at the election of the MICC. Commencement of any such action or proceeding in any other state shall not constitute a waiver of consent to jurisdiction or of the submission made by the parties to this instrument to personal jurisdiction within the State of Maryland. Notwithstanding the foregoing, jurisdiction and venue for litigation arising from or in connection with this Agreement shall be in Montgomery County, Maryland.

12. **Incorporation of Recitals.** The Recitals to this Agreement are an integral part hereof and are hereby incorporated herein.

13. **Waiver.** Obligors hereby (i) waive and renounce any and all homestead exemption rights and the benefits of all valuation and appraisal privileges as against the Reimbursement Obligation; (ii) waive presentment, demand, protest, notice of nonpayment, notice of dishonor and any and all lack of diligence or delays in the collection or enforcement hereof except for the notice requirements, if any, set forth above; and (iii) **waive all rights to trial by jury in any action or proceeding instituted by or against Obligors which pertain directly or indirectly to this Agreement, or which arise out of or are in any way connected to the relationship between Obligors and MICC hereunder.** Obligors represent, warrant and agree that MICC has made no representations or commitments, oral or written, or undertaken any obligations other than as expressly set forth in this Agreement and the MICC Loan Documents.

14. **Not Usurious.** In no event shall the amount of interest due or payable hereunder exceed the maximum amount of interest allowed by applicable law or otherwise violate applicable law, and in the event any payment is made which exceeds such maximum lawful amount, then the amount of such excess sum shall be credited as a payment of the Reimbursement Obligation. It is the express intent hereof that Obligors shall not pay and MICC shall not receive, directly or indirectly, interest in excess of what may lawfully be paid by Obligors under applicable law.

15. **Voidable Preference; Fraudulent Conveyance.** If, at any time, any payment, or portion thereof, made on account of any of the obligations and liabilities hereunder is set aside as a voidable preference or fraudulent conveyance or must otherwise be restored or returned by MICC under any insolvency, bankruptcy or other federal and/or state laws, this Agreement shall continue and remain in full force and effect or be reinstated, as the case may be, all as though such payment or payments had not been made.

16. **Review of Agreement.** Obligors represent and warrant to MICC that they (i) have read each and every provision of this instrument, (ii) have consulted, or has been given the opportunity to have this instrument reviewed by competent legal counsel of their choosing, and (iii) understand, agree to and accept the provisions hereof.

17. **Severability.** If any provision in this Agreement shall be illegal or unenforceable, such provision shall be deemed to be replaced by the valid and enforceable provision that is substantively most similar to such invalid or unenforceable provision, but the remaining provisions shall not be affected thereby.

18. **Successors and Assigns.** This Agreement and all of the terms, conditions and obligations hereunder shall be binding upon and inure to the benefit of Obligors, MICC and their respective successors and assigns. The forgoing provisions of this Section notwithstanding, an assignment of Obligor's obligations under this Agreement shall not release from or relieve Obligors of their obligations hereunder.

19. Confession of Judgment. Each Obligor hereby irrevocably constitutes, appoints and authorizes the clerk of any court or any attorney to appear for such Obligor in any state or federal court having jurisdiction in the State of Maryland, to waive the issuance and service of process, and to confess judgment against such Obligor in favor of MICC in the full amount owing hereunder, plus court costs and an attorney's fee equal to fifteen percent (15%) of the outstanding amount owed under this Agreement. Each Obligor waives the benefit of any and every statute, ordinance or rule of court which may be lawfully waived which confers upon such Obligor any right of appeal, vacating or granting relief from enforcement of a confessed judgment. Each Obligor waives any and all defenses in connection therewith, including, but not limited to, any defense or claim that MICC acted improperly, negligently or unreasonably in connection with the obligations evidenced by this Agreement. No single exercise of the foregoing power to confess the judgment shall be deemed to exhaust the power, whether or not any such exercise shall be held by a court to be valid, voidable or void, but the power shall continue undiminished and it may be exercised from time to time as often as MICC shall elect, until such time as MICC shall have received payment in full of the Reimbursement Obligations, together with interest thereon, plus attorneys' fees and costs as set forth in this Section 19.

20. Business Purpose. Obligors represent and warrant that the indebtedness evidenced by this Agreement was obtained in connection with a business or commercial enterprise.

21. Joint and Several Obligations. To the extent that Obligors are comprised of more than one person or entity, the liabilities and obligations of Obligors under this Agreement shall be joint and several.

22. Captions. The captions used herein are for convenience of reference only and shall not be used to interpret or define the provisions of this Agreement.

TIME IS OF THE ESSENCE WITH RESPECT TO EACH PROVISION OF THIS AGREEMENT.

(SIGNATURES ON FOLLOWING PAGE)

IN WITNESS WHEREOF, intending this instrument under seal, this Agreement has been executed under seal by Obligors as of the day and year first above written.

OBLIGORS:

_____, a _____

By: _____[SEAL]

Name: _____

Title: _____

STATE OF _____:

: ss:

COUNTY OF _____:

I, _____, a Notary Public for the State and County aforesaid, do certify that _____, being the _____ of _____, a _____, the _____ of _____, a _____, an Obligor hereunder, has acknowledged that the foregoing was signed and sealed on behalf of said _____ by authority of the _____ of Obligor, and (s)he acknowledged said instrument to be the free act and deed of said _____.

Given under my hand this _____ day of _____, 20__.

Notary Public

My commission expires: _____

Signature Page for Reimbursement Agreement

ASSIGNMENT OF EQUITY INTERESTS AND SECURITY AGREEMENT

This ASSIGNMENT OF EQUITY INTERESTS AND SECURITY AGREEMENT (“**Security Agreement**”) is made as of the _____ day of _____, 20__ by _____, a _____ (“_____”), and _____, a _____ (“_____”) (individually, a “**Grantor**” and collectively, “**Grantors**”), to and in favor of **MARRIOTT INTERNATIONAL CAPITAL CORPORATION**, a Delaware corporation (together with its successors and assigns, “**MICC**”).

RECITALS

A. Grantors together own one hundred percent (100%) of the *[membership interests / partnership interests / shares]* in _____, a _____ (“**Company**”). _____ is the *[Managing Member / Manager / General Partner]* of the Company.

B. As of the date hereof, Company is entering into a mortgage loan with _____ Bank (“**Senior Lender**”), pursuant to which Senior Lender is lending up to _____ Dollars (\$_____.00) to Company (“**Senior Loan**”) in connection with the construction and mini-permanent financing of a _____ hotel in _____, _____ (“**Project**”).

C. The Senior Loan is evidenced by a certain promissory note from Company to Senior Lender (“**Note**”) and is secured by a *[Deed of Trust / Mortgage]* from Company for the benefit of Senior Lender (“**Deed of Trust / Mortgage**”). The Note, the *[Deed of Trust / Mortgage]* and the other documents executed by Company to evidence or secure the Senior Loan are hereinafter collectively referred to as the “**Senior Loan Documents**.”

D. MICC is providing credit enhancement of a portion of the Senior Loan up to a maximum amount of _____ Dollars (\$_____.00) pursuant to and in accordance with that certain Credit Enhancement Agreement by and between MICC and Senior Lender (“**Credit Enhancement Agreement**”).

E. As a condition to MICC’s entering into the Credit Enhancement Agreement, MICC is requiring that Grantors execute and deliver this Security Agreement to secure the prompt and complete performance of all the obligations and payment of all of the indebtedness under (i) that certain Reimbursement Agreement of even date herewith executed by Grantors and Company for the benefit of MICC (“**Reimbursement Agreement**”), (ii) that certain Guaranty Agreement of even date herewith executed by _____ (“**Guarantor**”) for the benefit of MICC (“**Guaranty Agreement**”), and (iii) that certain Hazardous Substances Indemnity Agreement of even date herewith executed by Company and Guarantor for the benefit of MICC (“**Indemnity Agreement**”) (collectively, with Grantors’ obligations under this Security Agreement, “**Liabilities**”).

F. Grantors acknowledge that they will receive substantial economic benefits from MICC’s agreement to provide credit support for the Senior Loan, and Grantors have agreed to

execute and deliver this Security Agreement to secure the performance and satisfaction of the Liabilities.

NOW, THEREFORE, in consideration of the mutual covenants herein contained and for other good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, the parties hereto agree that the foregoing recitals are hereby incorporated by this reference as if fully restated herein, and further agree as follows:

1. Defined Terms. As used in this Security Agreement, the capitalized terms set forth in this Section 1 shall have the meanings specified below:

“**Advance**” shall mean a payment by MICC to Senior Lender as required by the Credit Enhancement Agreement.

“**Company**” shall have the meaning ascribed to such term in Recital A of this Security Agreement.

“**Code**” shall mean the Uniform Commercial Code as the same may from time to time be enacted, amended or supplemented in the State of Maryland.

“**Collateral**” shall mean:

(i) all of Grantors’ right, title and interest as a *[member / partner / shareholder]* of the Company, including without limitation, all of Grantors’ right to receive distributions, at any time or from time to time, of cash and other property, real, personal or mixed, from the Company;

(ii) all of Grantors’ right, title and interest, if any, to participate in the management and voting of the Company;

(iii) all of Grantors’ right, title and interest in and to:

(a) all rights, privileges, authority and power of Grantors as owners and holders of the items specified in (i) and (ii) above including, but not limited to, all contract rights related thereto and all approval, consent, appointment and other rights, powers and privileges accruing or incidental to the holder of an equity interest in the Company;

(b) all options and other agreements for the purchase or acquisition of any interests in the Company;

(c) any document or certificate representing or evidencing Grantors’ rights and interests in the Company;

(iv) all of Grantors’ right, title and interest in and to any cash or marketable U.S. government securities pledged or deposited from time to time in the Supplemental Collateral Account pursuant to Section 10(a) of this Security Agreement; and

(v) to the extent not otherwise included, all Proceeds and products of any of the foregoing.

“**Credit Enhancement Agreement**” shall have the meaning ascribed to such term in Recital D of this Security Agreement.

“**Event of Default**” shall have the meaning ascribed to such term in Section 9 of this Security Agreement.

“**Grantor**” or “**Grantors**” shall have the meaning ascribed to such terms in the introductory paragraph of this Security Agreement.

“**Guarantor**” shall have the meaning ascribed to such term in Recital E of this Security Agreement.

“**Guaranty Agreement**” shall have the meaning ascribed to such term in Recital E of this Security Agreement.

“**Indemnitees**” shall have the meaning ascribed to such term in Section 10 of this Security Agreement.

“**Indemnity Agreement**” shall have the meaning ascribed to such term in Recital E of this Security Agreement.

“**Liabilities**” shall have the meaning ascribed to such term in Recital E of this Security Agreement.

“**Manager**” shall mean _____, the manager of the Project.

“**MICC**” shall have the meaning ascribed to such term in the introductory paragraph of this Security Agreement.

“**MICC Loan Documents**” shall mean this Security Agreement, the Reimbursement Agreement, the Guaranty Agreement, the Hazardous Substances Indemnity Agreement, and any and all other documents and instruments executed in connection therewith.

“**Note**” shall have the meaning ascribed to such term in Recital C of this Security Agreement.

“**Organizational Documents**” shall mean (i) if the Company is a corporation, the charter and by-laws of the Company, as well as any shareholders’ agreement among the shareholders of the Company, (ii) if the Company is a limited liability company, the articles or certificate of organization and the operating agreement of the Company, or (iii) if the Company is a partnership, the partnership agreement and, if applicable, any certificate, filing or registration maintained in the public records of the Company’s state of formation showing the Company to

have been organized, all as such documents may be amended from time to time in accordance with the terms of this Security Agreement.

“Person” shall mean any corporation, limited liability company, partnership, co-tenancy, joint venture, individual, trust or other legal entity.

“Proceeds” shall mean “proceeds,” as such term is defined in the Code, whether cash or non-cash, and, in any event, shall include, but not be limited to: (i) any and all payments (in any form whatsoever) made, or due and payable, to Grantors from time to time in connection with any requisition, confiscation, condemnation, seizure or forfeiture of all or any part of the Collateral by any governmental body, authority, bureau or agency (or any person acting under color of governmental authority), (ii) any and all amounts paid or payable to Grantors for or in connection with any sale or other disposition of Grantors’ interests in the Company, and (iii) all dividends, distributions and any and all other amounts from time to time paid or payable under or in connection with any of the Collateral.

“Project” shall have the meaning ascribed to such term in Recital B of this Security Agreement.

“Reimbursement Agreement” shall have the meaning ascribed to such term in Recital E of this Security Agreement.

“Reimbursement Obligations” shall mean the amount equal to each Advance made by MICC, plus interest on each Advance at the Interest Rate, as defined and established in the Reimbursement Agreement.

“Senior Lender” shall have the meaning ascribed to such term in Recital B of this Security Agreement.

“Senior Loan” shall have the meaning ascribed to such term in Recital B of this Security Agreement.

“Senior Loan Documents” shall have the meaning ascribed to such term in Recital C of this Security Agreement.

“Supplemental Collateral” shall have the meaning ascribed to such term in Section 10 of this Security Agreement.

“Supplemental Collateral Account” shall have the meaning ascribed to such term in Section 10 of this Security Agreement.

“Transferee” shall have the meaning ascribed to such term in Section 4 of this Security Agreement.

2. Grant of Security Interest; Assignment of Collateral; Subordination of [Member / Partner / Shareholder] Indebtedness.

(a) As security for the prompt and complete payment and performance of the Liabilities when due, each Grantor hereby grants to MICC a security interest in all of such Grantor's right, title, and interest in the Collateral and further assigns to MICC the Collateral.

(b) Each Grantor hereby subordinates its right to receive payments of indebtedness owed by the Company to Grantors (whether arising out of a *[member / partner / shareholder]* loan, capital call loan or otherwise) to MICC's right to repayment in full of the Liabilities. In the event a Grantor receives any payment from the Company in connection with any subordinated indebtedness described in the preceding sentence, such Grantor shall be deemed to have received such payment in trust for the benefit of MICC and shall promptly forward such payment to MICC to be applied against the Liabilities. This subordination shall be effective immediately upon the execution of this Security Agreement and is not conditioned upon the occurrence of any act, condition or event that is or would be, with notice and/or the passage of time, an Event of Default. Notwithstanding the foregoing, until the occurrence of any act, condition or event that is or would be, with notice and/or the passage of time, an Event of Default, MICC hereby permits Grantors to receive any payment from the Company in connection with any subordinated indebtedness free from MICC's security interest and any rights of MICC hereunder. Upon the occurrence of any act, condition or event that is or would be, with notice and/or the passage of time, an Event of Default, Grantors' privilege to receive any payment from the Company in connection with any subordinated indebtedness shall immediately cease without the requirement of any notice from MICC and shall not be reinstated until such Event of Default is cured.

3. Representations and Warranties. Each Grantor represents and warrants that, as of the date hereof:

(a) Grantors are the sole owners of the Collateral, free and clear of any and all liens and claims whatsoever, except for the security interest granted to MICC pursuant to this Security Agreement.

(b) No security agreement, financing statement, assignment, equivalent security or lien instrument or financing statement amendment covering all or any part of the Collateral has been given or is on file or of record in any public office or at the office or in the records of Grantors, except financing statements with respect to the Collateral filed by MICC pursuant to this Security Agreement.

(c) _____'s interest in the Company consists of _____ percent (___ %) of the total ownership interests in the Company. _____'s interest in the Company consists of _____ percent (___ %) of the total ownership interests in the Company. As the owners of such interests, Grantors are entitled to receive One Hundred Percent (100%) of all distributions by the Company to its *[members / partners / shareholders]* of cash or other property, as and to the extent set forth in the Organizational Documents.

(d) Each Grantor has all necessary power, statutory and otherwise, to execute and deliver this Security Agreement, to perform such Grantor's obligations hereunder and to

subject the Collateral owned by such Grantor to the security interest created hereby, all of which has been duly authorized by all necessary action.

(e) The Company is a *[limited liability company / limited partnership / general partnership / corporation]* duly organized and validly existing under the laws of the _____ *of* _____ and is qualified to own its property and transact its business in _____. No amendments or supplements have been made to the Organizational Documents of the Company since they were originally entered into (other than as provided to MICC), and the Organizational Documents remain in full force and effect. No party to the Organizational Documents is presently in violation of any provision thereof or in breach thereunder.

(f) Each Grantor has the right to transfer to MICC all or any part of the Collateral owned by such Grantor, free and clear of any lien or encumbrance.

(g) No authorization, approval, or other action by, and no notice to or filing with, any governmental authority or regulatory body is required (i) for Grantors' granting of a security interest in the Collateral pursuant to this Security Agreement, (ii) for the execution, delivery or performance of this Security Agreement by any Grantor, or (iii) to Grantors' knowledge for the exercise by MICC of the rights and powers provided for in this Security Agreement or the remedies in respect of the Collateral pursuant to this Security Agreement (except as may be required in connection with such disposition by laws affecting the offering and sale of securities generally).

(h) As of the date hereof, there are no certificates, instruments or other documents evidencing any of the Collateral, other than the Organizational Documents.

(i) As of the date hereof and except as disclosed to MICC in writing *[and described in Exhibit A]*, Grantors have not made to the Company any *[member / partner / shareholder]* loan or capital call loan pursuant to the terms and provisions of the Organizational Documents, nor have Grantors been required to make any additional contributions pursuant to the Organizational Documents.

(j) _____ *[fill in for each Grantor]* is a *[limited liability company / limited or general partnership / corporation]* duly organized and validly existing under the laws of the state of _____ and is duly qualified to own its property and transact its business. *Grantor's organizational identification number assigned by its jurisdiction of organization is _____ [or Grantor has no organizational identification number assigned to it by its jurisdiction of organization]. [If Grantor is an individual, the jurisdiction of Grantor's principal residence is _____. If Grantor is a general partnership, the jurisdiction of Grantor's place of business, or if it has more than one place of business, its chief executive office is _____.]*

4. Covenants. Grantors covenant and agree that from and after the date of this Security Agreement and until the Liabilities are fully satisfied:

(a) Further Documentation; Delivery of Certificates; Assignment of Instruments. At any time and from time to time, upon the written request of MICC, and at the sole expense of Grantors, Grantors will promptly and duly (1) execute and deliver to MICC, or MICC's designee, (i) all certificates, endorsements, instruments or other documents evidencing any of the Collateral which may at any time come into the possession of such Grantor, (ii) a notice of MICC's security interest in the Collateral (which notice shall be satisfactory to MICC in form and substance and which shall require acknowledgment from the addressee) to any third party which either has possession of the Collateral or any certificates evidencing any of the Collateral or otherwise has the ability under applicable law or the terms of any agreement to record transfers or transfer ownership of any of the Collateral (whether at the direction of such Grantor or otherwise), and (iii) any and all such further instruments and documents, and (2) furnish to MICC such information, and (3) take such further actions as MICC may reasonably deem desirable to obtain the full benefits of this Security Agreement and of the rights and powers herein granted including, without limitation, the execution and delivery of control agreements, and, if otherwise required by MICC, Grantors shall transfer the Collateral to the possession of MICC. If any amount payable under or in connection with any of the Collateral shall be or become evidenced by any promissory note or other instrument (other than an instrument which constitutes chattel paper under the Code), such note or instrument shall be immediately assigned hereunder and a security interest therein hereby granted to MICC, and such note or other instrument shall be duly endorsed without recourse or warranty in a manner satisfactory to MICC and delivered to MICC. If, at any time, any Grantor's right or interest in any of the Collateral becomes an interest in real property, such Grantor immediately shall execute, acknowledge and deliver to MICC such further documents as MICC deems necessary or advisable to create a perfected lien in favor of MICC in such real property interest. Such lien in favor of MICC shall be subordinate only to the lien of the Senior Loan Documents. Grantors agree that this Security Agreement or a photocopy of this Security Agreement shall be sufficient as a financing statement, if permitted by applicable law.

(b) Priority of Liens. Grantors will defend the right, title and interest hereunder of MICC, as a first priority security interest in the Collateral against the claims and demands of all persons whomsoever.

(c) Further Identification of Collateral. Grantors will furnish to MICC from time to time such reports in connection with the Collateral as MICC may reasonably request.

(d) Notices. Grantors will advise MICC promptly, in reasonable detail of: (i) any lien, security interest, encumbrance or claim made or asserted against any of the Collateral, and/or (ii) any capital distribution of cash or other property made by the Company, whether in complete or partial liquidation or otherwise made after any act, condition or event that is or would be, with notice and/or the passage of time, an Event of Default, and of any other change in the composition of the Collateral, Grantor or the Company.

(e) Continuous Perfection. No Grantor will change its name in any manner which might make any financing statement or financing statement amendment filed hereunder seriously misleading within the meaning of Section 9-506 (or any other then applicable provision) of the Uniform Commercial Code as in effect in the jurisdiction in which such

financing statement or financing statement amendment is filed unless such Grantor shall have given MICC at least thirty (30) calendar days prior written notice thereof and shall have taken all action (or made arrangements to take such action substantially simultaneously with such change if it is impossible to take such action in advance) necessary or reasonably requested by MICC to amend such financing statement or financing statement amendment so that it is not seriously misleading.

(f) Legal Status. No Grantor will change its place of business (or if it has more than one place of business, its chief executive office), mailing address, organizational identification number, jurisdiction of organization, type of organization or other legal structure unless such Grantor has (i) taken such action as is necessary to cause the security interest of MICC in the Collateral to continue to be perfected, and (ii) given to MICC prior written notice of such changes. If Grantor does not have an organizational identification number and later obtains one, Grantor shall promptly notify MICC of such organizational identification number.

(g) Transfers of Interests. Without MICC's prior written consent, no Grantor shall, directly or indirectly, (i) permit the creation of any new ownership interest in any Grantor or the Company, (ii) sell, pledge, mortgage, assign, transfer or otherwise dispose of or create or suffer to be created any lien, security interest, charging order, or encumbrance on all or any part of the Project (except for the lien of the Senior Loan Documents), any ownership interests in the Company, any ownership interest in any Grantor, or any of the Collateral or the assets of any Grantor to or in favor of any Person, or (iii) permit the Company to, directly or indirectly, sell, pledge, mortgage, assign, transfer or otherwise dispose of or create or suffer to be created any lien, security interest, charging order, or encumbrance on the Project (except for the lien of the Senior Loan Documents), any ownership interests in the Company, or the assets of the Company to or in favor of any Person.

(h) Performance of Obligations. Each Grantor will perform all of such Grantor's obligations under the Organizational Documents prior to the time that any interest or penalty would attach against such Grantor or any of the Collateral as a result of such Grantor's failure to perform any of such obligations, and Grantors will do all things necessary to maintain the Company as a *[limited liability company / limited or general partnership / corporation]* under the laws of its state of formation and to maintain in full force and effect, without diminution, each Grantor's interest as a *[member / partner / shareholder]* of the Company.

(i) Stay or Extension Laws. Grantors will not at any time claim, take, insist upon or invoke the benefit or advantage of or from any law now or hereafter in force providing for the valuation or appraisal of the Collateral prior to any sale or sales thereof to be made pursuant to the provisions hereof or pursuant to the decree, judgment, or order of any court of competent jurisdiction; nor, after such sale or sales, claim or exercise any right under any statute now or hereafter made or enacted by any state to redeem the property so sold or any part thereof, and each Grantor hereby expressly waives, on behalf of such Grantor and each and every person or entity claiming by, through and under such Grantor, all benefit and advantage of any such law or laws, and covenants that such Grantor will not invoke or utilize any such law or laws or otherwise hinder, delay or impede the execution of any power, right or remedy herein or hereby

granted and delegated to MICC, but will authorize, allow and permit the execution of every such power, right or remedy as though no such law or laws had been made or enacted.

(j) Organizational Documents. Without the prior written consent of MICC, Grantors will not (i) permit any amendment or modification of the Organizational Documents, or (ii) admit new *[members / partners / shareholders]* or otherwise take any action to dilute the rights pledged to MICC with respect to the Collateral, or (iii) waive, release, or compromise any rights or claims Grantors may have against any other party which arise under the Organizational Documents.

(k) Records of the Company. Grantors shall cause the Company to (i) make a notation in the records of the Company indicating the security interest granted hereby, and (ii) if requested by MICC, execute and deliver to MICC the consent of the Company in which the Company agrees to comply with the MICC's instructions without Grantors' further consent.

(l) Continued Existence of the Company. Grantors shall elect to continue the existence of the Company following a transfer of the *[membership / partnership / shareholder]* interests to MICC, its designee, or to the purchaser of such *[membership / partnership / shareholder]* interests at any public or private sale held in connection with the exercise of MICC's remedies hereunder (collectively, "Transferee"), and do hereby permit the unconditional and unqualified admission of Transferee as a *[member / partner / shareholder]* of the Company.

(m) Insurance. Grantors shall cause the Company to maintain such property and liability insurance as required by the Senior Loan Documents and to name MICC as an additional insured under all such liability insurance policies, with such insurance being primary and non-contributory.

(n) Project Documents. Grantors shall cause the Company to deliver to MICC the following materials at such time as Company delivers such materials to Senior Lender: (i) periodic construction budget and schedule updates; (ii) draw request packages and related materials; and (iii) other documents submitted to Senior Lender relating to construction of the Project. [Use only if new construction is involved]

5. Grantors' Powers.

(a) So long as no act, condition or event shall have occurred that is or would be, with notice and/or the passage of time, an Event of Default, Grantors shall be entitled to exercise for any purpose any and all (i) voting rights, and (ii) powers, arising from or relating to the Collateral; provided, however, that Grantors shall not exercise such rights or powers, or consent to any action of the Company that would be in contravention of the provisions of, or constitute an Event of Default, or in any way be inconsistent with the provisions of this Security Agreement or any of the other MICC Loan Documents.

(b) Upon the occurrence of an act, condition or event that is or would be, with notice and/or the passage of time, an Event of Default, any and all voting rights and powers

included in the Collateral or otherwise described in Section 5(a) shall thereupon become vested in MICC, and MICC shall thereafter have the sole and exclusive right and authority to exercise such voting rights and powers. Each Grantor shall execute such documents and instruments including, but not limited to, statements that such Grantor no longer has the right to act as a *[member / partner / shareholder]*, or otherwise relating to such change, as MICC may request. Each Grantor agrees that the Company and any *[member / partner / shareholder]* of the Company may rely conclusively upon any notice from MICC that MICC has the right and authority to exercise all rights and powers of each Grantor as a *[member / partner / shareholder]* under the Organizational Documents. Each Grantor irrevocably waives any claim or cause of action against the Company or any *[member / partner / shareholder]* in the Company who deals directly with MICC following receipt of such notice from MICC.

6. MICC's Appointment as Designee or Attorney-in-Fact.

(a) Each Grantor hereby irrevocably constitutes, delegates and appoints MICC and each officer or agent of MICC with full power of substitution, as such Grantor's true and lawful designee and attorney-in-fact with full irrevocable power and authority in the place and stead of such Grantor and in the name of such Grantor or in such designee's or attorney-in-fact's own name, from time to time in the discretion of each such designee or attorney-in-fact, to take any and all appropriate action and to execute any and all documents and instruments which may be necessary or desirable to accomplish the purposes of this Security Agreement. Without limiting the generality of the foregoing, and for so long as any act, condition or event shall exist that is or would be, with notice and/or the passage of time, an Event of Default, each Grantor hereby gives each such designee or attorney-in-fact the power and right to act on behalf of such Grantor, without notice to or assent by such Grantor, to do the following:

(i) to ask, demand, collect, receive and give acceptances and receipts for any and all moneys due and to become due under any Collateral and, in the name of such Grantor or such designee's or attorney-in-fact's own name or otherwise, to take possession of and endorse and collect any checks, drafts, notes, acceptances or other instruments for the payment of moneys due under any Collateral and to file any claim or to take any other action or proceeding in any court of law or equity or otherwise deemed appropriate by such designee or attorney-in-fact for the purpose of collecting any and all such moneys due under any Collateral whenever payable;

(ii) to pay or discharge taxes, liens, security interests or other encumbrances levied or placed on or threatened against the Collateral, to effect any repairs or any insurance with respect to any of the Collateral and to pay all or any part of the premiums therefor and the costs thereof; and

(iii) **(A)** to direct any party liable for any payment under any of the Collateral to make payment of any and all moneys due and to become due thereunder directly to MICC or as such designee or attorney-in-fact shall direct; **(B)** to receive payment of and receipt for any and all moneys, claims and other amounts due and to become due at any time in respect of or arising out of any Collateral; **(C)** to commence and prosecute any suits, actions or proceedings at law or in equity in any court of competent jurisdiction to collect the Collateral or

any portion thereof and to enforce any other right in respect of any Collateral; **(D)** to defend any suit, action or proceeding brought against such Grantor with respect to any Collateral; **(E)** to settle, compromise or adjust any suit, action or proceeding described above and, in connection therewith, to give such discharges or releases as such designee or attorney-in-fact may deem appropriate; and **(F)** generally to sell, transfer, pledge, make any agreement or exercise any options, voting or consent rights with respect to or otherwise deal with any of the Collateral as fully and completely as though such designee or attorney-in fact were the absolute owner thereof for all purposes, and to do, at the option of such designee or attorney-in-fact at such Grantor's expense, at any time, or from time to time, all acts and things which such designee or attorney-in-fact reasonably deems necessary to protect, preserve or realize upon the Collateral and the security interest of MICC therein, in order to effect the intent of this Security Agreement, all as fully and effectively as such Grantor might do.

Each Grantor hereby ratifies, to the extent permitted by law, all that said designee or attorney shall lawfully do or cause to be done by virtue hereof. This delegation and power of attorney are powers coupled with an interest and are irrevocable.

(b) The powers conferred on each designee and attorney-in-fact hereunder are solely to protect the interest in the Collateral of MICC and shall not impose any duty upon any such designee or attorney-in-fact to exercise any such powers. Each such designee or attorney-in-fact shall be accountable only for amounts that it actually receives as a result of the exercise of such powers and neither it nor any of its officers, directors, employees or agents shall be responsible to such Grantor for any act or failure to act unless such action or failure to act constitutes gross negligence or willful misconduct.

(c) Each Grantor also authorizes MICC and each officer or agent of MICC upon the occurrence of any act, condition or event that is or would be, with notice and/or the passage of time, an Event of Default, to execute, in connection with the sale provided for in Section 10 of this Security Agreement, any endorsements, assignments or other instruments of conveyance or transfer with respect to any of the Collateral.

7. Distributions. Each Grantor hereby grants MICC full irrevocable power and authority to receive and hold, at any time and from time to time, cash and non-cash distributions by the Company on account of any of the Collateral, which may be held free and clear of the liens created hereby, and to convert any such non-cash distributions to cash, and to apply any such cash distributions, interest or proceeds of conversion in the manner specified in Section 10(e) of this Security Agreement. This assignment shall be effective immediately upon the execution of this Security Agreement and is not conditioned upon the occurrence of any act, condition or event that is or would be, with notice and/or the passage of time, an Event of Default. Notwithstanding the foregoing, until the occurrence of an act, condition or event that is or would be, with notice and/or the passage of time, an Event of Default, MICC hereby permits Grantors to receive any distribution free from MICC's security interest and any rights of MICC hereunder. Upon the occurrence of any act, condition or event that is or would be, with notice and/or the passage of time, an Event of Default, Grantors' privilege to receive any distribution shall immediately cease without the requirement of any notice from MICC and shall not be reinstated until such Event of Default is cured.

8. Performance by MICC of Grantor's Obligations. If Grantors fail to perform or comply with any of Grantors' obligations or agreements contained herein, MICC shall give written notice of such failure to Grantors. If such failure continues for more than ten (10) calendar days after receipt of MICC's notice, MICC may itself perform or comply, or otherwise cause performance or compliance, with such obligation or agreement, and the expenses incurred by MICC in connection with such performance or compliance, together with interest thereon at the interest rate specified in the Reimbursement Agreement shall be payable by Grantors to MICC on demand and shall constitute Liabilities secured by this Security Agreement.

9. Default. The occurrence of any of the following shall constitute an "Event of Default" hereunder:

(a) A failure by any Grantor, the Company or any Guarantor to observe or perform any obligation, covenant, condition, or agreement in this Security Agreement or any other MICC Loan Document that involves the payment of money, including without limitation, the occurrence of any event identified as one of the "Guaranteed Events" in section 1.3 of the Guaranty;

(b) A failure by any Grantor, the Company or any Guarantor to observe or perform any nonmonetary obligation, covenant, condition, or agreement in this Security Agreement or any other MICC Loan Document to be performed by any Grantor, the Company or any Guarantor, including without limitation, the occurrence of any event identified as one of the "Guaranteed Events" in section 1.3 of the Guaranty;

(c) If any Grantor, the Company or any Guarantor shall make an assignment for the benefit of creditors, or if any Grantor shall generally not be paying its debts as they become due;

(d) If a custodian, receiver, liquidator or trustee of all or any portion of the assets of any Grantor, the Company or any Guarantor shall be appointed, or if any Grantor, the Company or any Guarantor shall be adjudicated bankrupt or insolvent, or if any petition for bankruptcy, reorganization or arrangement pursuant to federal bankruptcy law, or any similar federal or state law, shall be filed by or against, consented to, or acquiesced by any Grantor, the Company or any Guarantor, or if any proceeding for the dissolution or liquidation of any Grantor, the Company or any Guarantor shall be instituted; provided, however, that such appointment, adjudication, petition or proceeding, if involuntary and not consented to by such Grantor, shall constitute an Event of Default only if not discharged, stayed or dismissed within ninety (90) calendar days;

(e) Any statement, report, certificate, representation or warranty made by any Grantor *for any member / partner / shareholder of a Grantor* in this Security Agreement, or by Grantor, the Company or any Guarantor in any other MICC Loan Document, or in connection with the Senior Loan is not true and correct in any material respect; or

(f) The death of any individual Grantor or Guarantor.

10. Remedies; Rights Upon Default.

(a) Upon the occurrence of an Event of Default, MICC, at its option, may declare all Liabilities to be immediately due and payable, regardless of whether Senior Lender has made any demand upon MICC under the Credit Enhancement Agreement, and may require Grantors to (i) pledge and grant to MICC a security interest in additional collateral in the form of cash or readily marketable U.S. government securities acceptable to MICC, in an amount equal to the maximum amount of Advances that MICC may be required to pay under the Credit Enhancement Agreement, as determined by MICC in its sole discretion (“**Supplemental Collateral**”) and shall require that any Supplemental Collateral that is comprised of cash be placed in a segregated deposit account (“**Supplemental Collateral Account**”, which shall be deemed part of the Collateral for purposes of this Security Agreement), and (ii) execute and deliver to MICC such security agreements, endorsements, control agreements and other documents necessary to perfect MICC’s security interest in the Supplemental Collateral and/or the Supplemental Collateral Account.

(b) Upon the occurrence of any Event of Default, MICC or MICC’s designee may, at MICC’s option, elect to become a substituted *[member / partner / shareholder]* of the Company with respect to the Collateral, and Grantors shall execute or cause to be executed all documents necessary to evidence MICC so becoming substituted *[member / partner / shareholder]*. If any Event of Default shall occur, MICC or MICC’s designee may exercise, in addition to all other rights and remedies granted to them in this Security Agreement (including without limitation those provided in Sections 6 and 7) and in any other MICC Loan Document or instrument or agreement securing, evidencing or relating to the Liabilities, all rights and remedies of a secured party under the Code. Without limiting the generality of the foregoing, Grantors expressly agree that in any such event, MICC, without demand of performance or other demand, advertisement or notice of any kind (except the notice specified below of time and place of public or private sale) to or upon Grantors or any other person (all and each of which demands, advertisements and/or notices are hereby expressly waived), may forthwith collect, receive, appropriate and realize upon the Collateral, or any part thereof, and/or may forthwith sell, lease, assign, give option or options to purchase, or sell or otherwise dispose of and deliver said Collateral (or contract to do so), or any part thereof, in one or more parcels at public or private sale or sales, at any exchange or broker’s board or at any of MICC’s offices or elsewhere at such prices as it may deem best, for cash or on credit or for future delivery, without the assumption of any credit risk. Grantors expressly acknowledge that private sales may be less favorable to a seller than public sales, but that private sales shall nevertheless be deemed commercially reasonable and otherwise permitted hereunder. Because federal and state securities laws and/or other applicable laws may impose certain restrictions on the method by which a sale of the Collateral may be effected, Grantors agree that upon the occurrence of an Event of Default, MICC may, from time to time, attempt to sell all or any part of the Collateral by means of a private placement, restricting the prospective purchasers to those who will represent and agree that they are purchasing for investment only and not for distribution. In so doing, MICC may solicit offers to buy the Collateral, or any part thereof, for cash, from a limited number of investors deemed by MICC in its sole judgment, to be financially responsible parties who might be interested in purchasing the Collateral, and, if MICC solicits such offers, then the

acceptance by MICC of the highest offer obtained therefrom shall be deemed to be a commercially reasonable method of disposing of the Collateral.

MICC or MICC's designee shall have the right upon any such public sale or sales, and, to the extent permitted by law, upon any such private sale or sales, to purchase the whole or any part of said Collateral so sold, free of any right or equity of redemption, which equity of redemption Grantors hereby release. Grantors further agree, at the request of MICC, to assemble the Collateral and make it available to MICC at places which MICC shall reasonably select, whether at Grantors' premises or elsewhere. MICC shall apply the net proceeds of any such collection, recovery, receipt, appropriation, realization or sale in the manner set forth in Section 10(e) of this Security Agreement. MICC must account for the surplus, if any, to Grantors only after so paying over such net proceeds and after the payment by MICC of any other amount required by any provision of law, including Section 9-615(a)(3) of the Code. To the extent permitted by applicable law, Grantors waive all claims, damages, or demands against MICC arising out of the repossession, retention or sale of the Collateral except, in each case, such claims, damages, or demands that arise solely from the gross negligence or willful misconduct of MICC. Grantors agree that MICC shall not be required to give more than ten (10) calendar days' notice (which notification shall be deemed given in accordance with Section 12 hereof) of the time and place of any public sale or of the time after which a private sale may take place and that such notice is reasonable notification of such matters.

(c) In addition to the Liabilities, Grantors will pay all costs of MICC, including reasonable attorneys' fees and expenses, incurred with respect to the collection of any of the Liabilities or the enforcement of any of MICC's rights hereunder.

(d) Grantors hereby waive presentment, demand, or protest (to the extent permitted by applicable law) of any kind in connection with this Security Agreement or any Collateral. Except for notices provided for herein, Grantors hereby waive notice (to the extent permitted by applicable law) of any kind in connection with this Security Agreement.

(e) The proceeds of any sale, disposition or other realization upon all or any part of the Collateral shall be distributed by MICC in the following order of priorities:

First, to MICC in an amount sufficient to pay in full the reasonable expenses (including reasonable attorneys' fees and expenses), liabilities and advances incurred or made by MICC in connection with the collection of the Liabilities, and in connection with the sale, disposition or other realization of the Collateral;

Second, to MICC until all Reimbursement Obligations then-outstanding and other then-ascertainable Liabilities consisting of fees, costs, charges and expenses incurred by MICC are paid in full;

Third, to the Supplemental Collateral Account until the requirement for Supplemental Collateral set forth in Section 10(a) is fully funded;

Fourth, to payment in full of all other unpaid Liabilities; and

Finally, upon the unconditional release or termination of MICC's obligations under the Credit Enhancement Agreement, to Grantors, in accordance with their pro rata interests or as a court of competent jurisdiction over Grantors may direct, or as otherwise required by law.

Each Grantor agrees to indemnify and hold harmless MICC, its directors, officers, employees, agents, and parent and subsidiary corporations (collectively, "**Indemnitees**"), and each of them, from and against any and all liabilities, obligations, claims, damages, or expenses incurred by any of them, arising out of or by reason of such Grantor's respective acts or omissions with respect to the Collateral, this Security Agreement, the Reimbursement Agreement or other MICC Loan Documents, and to pay or reimburse Indemnitees for the reasonable fees and disbursements of counsel incurred in connection with any investigation, litigation or other proceedings (whether or not Indemnitees are a party thereto) arising out of or by reason of claims by third parties in connection with or in any way related to the Collateral, the Reimbursement Agreement or this Security Agreement. The foregoing provisions of this paragraph notwithstanding, such indemnity shall not apply to liabilities, obligations, claims, damages or expenses resulting from the gross negligence or intentional misconduct of Indemnitees, as determined by a final adjudication in a court of competent jurisdiction. Indemnitees will promptly give such Grantor written notice of the assertion of any claim which it believes is subject to the indemnity set forth in this Section 10 and will, upon the request of such Grantor, promptly furnish such Grantor with all material in its possession relating to such claim or the defense thereof to the extent that Indemnitees may do so without breach of duty to others. Any amounts properly due under this Section 10 shall be payable to Indemnitees immediately upon demand.

11. Limitation on MICC's Duty in Respect of Collateral. Except as expressly provided in the Code, and except in the case of MICC's gross negligence or willful misconduct, MICC shall have no duty as to (i) any Collateral in its possession or control or in the possession or control of any agent or nominee of MICC, or (ii) any income on the Collateral, or (iii) the preservation of rights against prior parties or any other rights pertaining thereto.

12. Notices. Notwithstanding any provision of law permitting alternate methods of communication, any notice or other communication required or permitted to be given shall be in writing and shall be delivered personally or shall be sent by registered mail, certified mail or Express Mail service, postage prepaid and return receipt requested, or by a nationally recognized overnight delivery service, addressed to the parties as set forth below. Any notice provided shall be deemed received when delivery is received or refused, as the case may be. Additionally, notices may be given by telephone facsimile or electronic e-mail transmission, provided that an original of said transmission shall be delivered to the addressee by a nationally recognized overnight delivery service on the day following such transmission. Telephone facsimiles and e-mail transmissions shall be deemed delivered on the date of such transmission.

Notices to Grantors: _____

Facsimile: _____
Email: _____

Facsimile: _____
Email: _____

With a copy to: _____

Facsimile: _____
Email: _____

Notices to MICC: Marriott International Capital Corporation
Department 52/924.11
10400 Fernwood Road
Bethesda, Maryland 20817
Attention: Treasurer
Facsimile: _____
Email: _____

With copies to: *[Franchisor entity, c/o]* Marriott International, Inc.
Department 52/923
10400 Fernwood Road
Bethesda, Maryland 20817
Attention: _____
Facsimile: _____
Email: _____

Facsimile: _____
Email: _____

Any party may change its respective address for the giving of notice to another address by giving at least ten (10) calendar days notice of such change.

13. Severability. Any provision of this Security Agreement which is prohibited or unenforceable shall be ineffective to the extent of such prohibition or unenforceability without

invalidating the remaining provisions hereof. Any such prohibition or unenforceability shall not invalidate or render unenforceable any other provisions of this Security Agreement.

14. No Waiver; Cumulative Remedies.

(a) MICC shall not, by any act, delay, omission or otherwise, be deemed to have waived any of its rights or remedies hereunder. No waiver hereunder shall be valid except to the extent therein set forth. A waiver of any right or remedy hereunder on any one occasion shall not be construed as a bar to any right or remedy which MICC would otherwise have had on any future occasion. No failure to exercise nor any delay in exercising on the part of MICC any right, power or privilege hereunder shall operate as a waiver thereof, nor shall any single or partial exercise of any right, power or privilege hereunder preclude any other or future exercise thereof or the exercise of any other right, power or privilege.

(b) Unless expressly waived, the rights and remedies hereunder are cumulative and may be exercised singly or concurrently, and are not exclusive of any rights and remedies provided by law. MICC may resort to, and realize on, the Collateral simultaneously with any acts or proceedings initiated by MICC in its sole and conclusive discretion. None of the terms or provisions of this Security Agreement may be waived, altered, modified or amended except by an instrument in writing, duly executed by Grantors and MICC.

15. Successors and Assigns. This Security Agreement and all obligations of Grantors hereunder shall be binding upon the successors and assigns of Grantors. Notwithstanding the foregoing, Grantors shall not have the right to assign their rights or obligations hereunder or any interest herein to any third party. This Security Agreement shall, together with the rights and remedies of MICC hereunder, inure to the benefit of MICC and its successors and assigns.

16. Governing Law. This Security Agreement was negotiated in the State of Maryland, and accepted by MICC at its corporate offices in the State of Maryland. Any Advance that would give rise to the obligations of Grantors hereunder shall be made by MICC from its corporate offices in the State of Maryland and any payment by Company or Grantors as reimbursement for such Advance shall be made to MICC at its corporate offices in the State of Maryland. Grantors agree that the State of Maryland has a substantial relationship to the transaction evidenced hereby and further agrees that this instrument shall be construed according to and governed by the internal laws of the State of Maryland without regard to principles of conflicts of law.

17. Termination. This Security Agreement, and the assignments, pledges and security interests created or granted hereby, shall terminate when the Liabilities have been fully paid and satisfied, at which time MICC shall release, reassign, and deliver to Grantors all Collateral and related documents then in the custody or possession of MICC, including termination statements under the Code, all without recourse upon, or warranty whatsoever, by MICC.

18. **Injunctive Relief.** Grantors recognize that if Grantors fail to perform, observe or discharge any of Grantors' obligations hereunder, no remedy of law will provide adequate relief to MICC. Grantors agree that MICC shall be entitled to temporary and permanent injunctive relief in any such case, without the necessity of proving actual damages.

19. **Waiver of Subrogation.** Grantors shall have no right of subrogation as to any of the Collateral until full and complete performance and payment of the Liabilities.

20. **Waiver of Jury Trial.** GRANTORS AND MICC, BY ACCEPTANCE OF THIS SECURITY AGREEMENT, HEREBY WAIVE THEIR RESPECTIVE RIGHTS TO A TRIAL BY JURY IN ANY ACTION OR PROCEEDING BASED UPON, OR RELATED TO, THE SUBJECT MATTER OF THIS SECURITY AGREEMENT AND THE BUSINESS RELATIONSHIP THAT IS BEING ESTABLISHED. THIS WAIVER IS KNOWINGLY, INTENTIONALLY AND VOLUNTARILY MADE BY GRANTORS AND MICC, AND GRANTORS ACKNOWLEDGE THAT NEITHER MICC NOR ANY PERSON ACTING ON BEHALF OF MICC HAS TAKEN ANY ACTIONS WHICH IN ANY WAY MODIFY OR NULLIFY THE EFFECT OF THIS WAIVER. GRANTORS AND MICC ACKNOWLEDGE THAT THIS WAIVER IS A MATERIAL INDUCEMENT TO ENTER INTO A BUSINESS RELATIONSHIP, THAT EACH OF THEM HAS ALREADY RELIED ON THIS WAIVER IN ENTERING INTO THIS SECURITY AGREEMENT AND THAT EACH OF THEM WILL CONTINUE TO RELY UPON THIS WAIVER IN THEIR RELATED FUTURE DEALINGS. GRANTORS AND MICC FURTHER ACKNOWLEDGE THAT THEY HAVE BEEN REPRESENTED (OR HAVE HAD THE OPPORTUNITY TO BE REPRESENTED) IN THE SIGNING OF THIS SECURITY AGREEMENT AND IN THE MAKING OF THIS WAIVER BY INDEPENDENT LEGAL COUNSEL OF THEIR CHOOSING.

21. **Venue.** GRANTORS AGREE THAT ALL ACTIONS OR PROCEEDINGS ARISING DIRECTLY, INDIRECTLY OR OTHERWISE IN CONNECTION WITH OR RELATED TO THIS SECURITY AGREEMENT SHALL BE LITIGATED ONLY IN COURTS HAVING A SITUS WITHIN THE STATE OF MARYLAND. GRANTORS HEREBY CONSENT AND SUBMIT TO THE JURISDICTION OF ANY LOCAL, STATE OR FEDERAL COURT HAVING JURISDICTION IN THE STATE OF MARYLAND.

22. **Joint and Several Obligations.** The liabilities and obligations of the Grantors under this Security Agreement shall be joint and several. Each Grantor hereby agrees that this Security Agreement may be enforced by MICC against any Grantor without first resorting to or exhausting any other security or Collateral and without first having, or concurrently seeking, recourse to any other Grantor or any of the Collateral secured by this Security Agreement through foreclosure proceedings, trustee's sale or otherwise.

23. **Counterparts.** This Assignment of Equity Interests and Security Agreement may be executed in one or more counterparts, each of which alone and all of which together shall be deemed an original.

24. Agreement by Company. By the signature below of its authorized representative, the Company acknowledges the provisions of this Security Agreement and, notwithstanding any contrary provisions set forth in the Organizational Documents, hereby agrees to cause any proceeds that may be available for distribution to any Grantor under the Organizational Documents to be distributed as follows: Following an (i) Advance by MICC (and until such Advance shall have been fully repaid by Grantors) and/or (ii) Event of Default (and for so long as such Event of Default shall remain uncured and is not waived), upon MICC's request, the Company shall either pay directly to MICC or shall execute and deliver a letter of direction to the Manager in the form of the letter attached as [Exhibit](#) hereto. Any payment made to MICC by either the Company or the Manager shall constitute distributions from the Company to Grantors.

IN WITNESS WHEREOF, Grantors have executed this Security Agreement as of the date first above written.

GRANTORS:

By: _____[SEAL]

Name: _____

Title: _____

STATE OF _____)
COUNTY OF _____) ss:

On the _____ day of _____, before me personally appeared _____, who being by me duly sworn, did depose and say that he executed the foregoing Security Agreement in his capacity as _____ of _____, a _____, as its true act and deed.

Notary Public
Commission expires: _____

Acknowledged and Agreed to:

COMPANY:

a _____,
by its duly authorized officers

By: _____

Name: _____

Title: _____

EXHIBIT

FORM LETTER OF DIRECTION

[date]

[Management Company]

Attn: _____

Re: *[property brand and location]*

Dear Ladies/Gentlemen:

This letter of instruction relates to the Management Agreement dated _____, as amended (“**Management Agreement**”), by and between _____ (“**Manager**”) and _____ (“**Company**”).

Prior to remitting to Company or any of its *[members / partners/ shareholders]* any remittance amount under the Management Agreement, you are hereby directed to pay to Marriott International Capital Corporation (“**MICC**”) any funds to be otherwise remitted to Company and/or its *[members / partners/ shareholders]* under the Management Agreement. All payments are to be made to Marriott International Capital Corporation, at 10400 Fernwood Road, Department 52/924.11, Bethesda, Maryland 20817, Attention: Treasury Department, Reference: *[property brand and location]*.

Company knowingly and voluntarily gives the foregoing irrevocable directions to Manager for the benefit of MICC. These directions may not be rescinded, amended or modified without the prior written consent of MICC. Company agrees that these directions do not modify, diminish or affect any of its or any *[member’s / partner’s/ shareholder’s]* liabilities to MICC.

Please do not hesitate to contact me should you have any questions about the instructions contained in this letter.

Very truly yours,

GUARANTY AGREEMENT

THIS GUARANTY AGREEMENT (“**Guaranty**”) is made as of _____, 20__, by _____, a _____ (“**Guarantor**”) in favor of **MARRIOTT INTERNATIONAL CAPITAL CORPORATION**, a Delaware corporation (“**MICC**”).

RECITALS

- A. _____ (“**Borrower**”) is the owner of certain real property containing approximately _____ acres situated in _____ (“**Property**”).
- B. _____ (“**Member / Partner**”) is the owner of the *[member / partner]* interests in Borrower.
- C. As of the date hereof, Borrower is entering into a mortgage loan with _____ Bank, a _____ banking corporation (“**Lender**”), pursuant to which Lender is lending up to _____ Dollars (\$_____.00) to Borrower (“**Loan**”) in connection with the construction and mini-permanent financing of a _____ hotel on the Property (“**Project**”).
- D. The Loan is evidenced by a certain promissory note from Borrower to Lender (“**Note**”) and is secured by a *[Deed of Trust / Mortgage]* given by Borrower for the benefit of Lender (“**Mortgage**”). The Note, the Mortgage and the other documents executed by Borrower to evidence or secure the Loan are hereinafter collectively referred to as the “**Senior Loan Documents**.”
- E. MICC has agreed to provide credit enhancement of a portion of the Loan up to a maximum amount of _____ Dollars (\$_____.00) pursuant to and in accordance with that certain Credit Enhancement Agreement by and between MICC and Lender (“**Credit Enhancement Agreement**”).
- F. As a condition to MICC’s entering into the Credit Enhancement Agreement, MICC is requiring that Guarantor execute and deliver to MICC this Guaranty, and that Borrower and *[Member / Partner]* execute and deliver to MICC that certain Reimbursement Agreement of even date herewith (“**Reimbursement Agreement**”) and certain other documents evidencing and securing Borrower’s, *[Member’s / Partner’s]* and Guarantor’s obligations to MICC (together with the Reimbursement Agreement, collectively, “**MICC Documents**”).

In consideration of the foregoing, the covenants and undertakings set forth herein, and other good and valuable consideration, the receipt and sufficiency of which are acknowledged, Guarantor hereby acknowledges and agrees as follows:

1. Guaranteed Events.

- 1.1 Guarantor hereby absolutely and unconditionally indemnifies, defends, holds harmless, and guarantees to MICC the full, prompt and unconditional payment of any

“Losses” (as defined in Section 1.2 below) arising out of the “Guaranteed Events” (as defined in Section 1.3 below). This Guaranty is a primary obligation of Guarantor and shall be a continuing inexhaustible Guaranty. MICC may, to the extent herein provided, require Guarantor to fulfill its obligations under this Guaranty and may proceed immediately against Guarantor without being required to bring any proceeding or take any action against Borrower, *[Member / Partner]*, any other guarantor or any other person, entity or collateral belonging to any of the foregoing prior thereto. The liability of Guarantor hereunder is independent of and separate from the liability of Borrower, *[Member / Partner]*, any other guarantor or person. All sums due and payable hereunder by Guarantor shall be payable within ten (10) calendar days after demand. MICC shall have full recourse to all of the assets of Guarantor in connection with Guarantor’s obligations hereunder. It is the intention of Guarantor that this Guaranty shall not be deemed discharged until such time as the Guarantor’s obligations hereunder have been paid in full and/or performed, as appropriate.

1.2 The term “**Losses**” shall mean all claims, suits, liabilities, actions, proceedings, obligations, debts, damages (including, without limitation, punitive damages and/or consequential damages), losses, costs, expenses, fines, penalties, charges, interest, fees, judgments, awards, amounts paid in settlement, costs of defense and reasonable attorneys’ fees incurred by MICC in connection with the Guaranteed Events.

1.3 The term “**Guaranteed Events**” shall mean:

(a) The willful misconduct of Borrower, *[Member / Partner]*, Guarantor, or their respective agents, managers, officers or employees with respect to the operation of the Project;

(b) The physical waste of the Property or the Project by Borrower, *[Member / Partner]*,

Guarantor, or their respective agents, managers, officers or employees;

(c) The removal or disposal of any property by Borrower, *[Member / Partner]*, or any agent or employee of Borrower, or *[Member / Partner]*, other than personal property which is, in the ordinary course, replaced by comparable personal property having an equal or greater value;

(d) Borrower’s or *[Member’s / Partner’s]* failure to pay taxes, assessments, charges for labor or materials or other charges that result in liens on any portion of the Property or the Project, except to the extent that escrows or impounds for such taxes or other charges are being and have been properly deposited with and paid to Lender or MICC;

(e) Borrower’s or *[Member’s / Partner’s]* failure to maintain insurance required under the Mortgage and under *[that / those]* certain *[Assignment of Equity Interests and Security Agreement]* given by *[Members / Partners]* to MICC (“**Equity Pledge**”) in respect of the Project; provided, however, that Guarantor shall have no liability hereunder for any failure to maintain such insurance from and after such date, if any, that Lender forecloses on

the Mortgage or MICC forecloses on the Pledge Agreement, or either Lender or MICC accepts a deed or assignment in lieu of foreclosure;

(f) Borrower's or *[Member's / Partner's]* failure to promptly remediate any environmental contamination or correct any violation of any federal, state or local laws applicable to environmental conditions or governing hazardous substances or infectious wastes, as such laws may be amended from time to time;

(g) Fraud, or intentional or grossly negligent misrepresentation by Borrower, *[Member / Partner]* or Guarantor in connection with the Loan Documents or the MICC Documents;

(h) Distributions to *[Member / Partner]* following a default or breach (as to which Borrower and/or *[Member / Partner]* has received notice) under either the Loan Documents or the MICC Documents;

(i) The misappropriation or conversion by Borrower or *[Member / Partner]* of any: (i) insurance proceeds paid by reason of any loss, damage or destruction to the Property or the Project, (ii) awards or other amounts received in connection with the condemnation of all or a portion of the Property or the Project, or (iii) rents, issues, profits, proceeds, deposits, accounts, or other amounts;

(j) Borrower's failure to obtain MICC's written consent prior to any sale or transfer of the Property or the Project, or any sale or transfer of any *[Member / Partner]* interest in Borrower, except as expressly permitted by the Equity Pledge;

(k) Borrower's failure to obtain MICC's written consent prior to (i) encumbering the Property or the Project with additional debt, or (ii) creating, incurring, assuming, or permitting to exist any lien upon or with respect to the Property, the Project or the *[member / partner]* interests in Borrower, except as expressly permitted by the Equity Pledge;

(l) Borrower's assignment for the benefit of creditors, or the appointment of a receiver for Borrower, any *[Member / Partner]*, or for the Project, or any part thereof, or if Borrower or any *[Member / Partner]* is the subject of any bankruptcy, reorganization, or insolvency proceeding; and

(m) The termination of the Franchise Agreement between Borrower and Marriott International, Inc.

2. Subordination.

2.1 Any indebtedness or obligations of Borrower and *[any Member / Partner]* to Guarantor now or hereafter existing (including, but not limited to, any rights of subrogation Guarantor may have as a result of any payment by Guarantor under this Guaranty), together with any interest thereon, shall be, and such indebtedness hereby is, subordinated to the prior payment in full of the indebtedness of Borrower and *[Member / Partner]* to MICC under the MICC

Documents. Guarantor agrees that, following any default or event of default under either the Loan Documents or the MICC Documents, Guarantor will not accept any payment or satisfaction of any kind of any indebtedness of Borrower or *[any Member / Partner]* to Guarantor, and Guarantor hereby assigns to MICC all right, title and interest in such indebtedness, including the right to file proof of claim and to vote thereon in connection with any bankruptcy, insolvency or reorganization proceeding, and including the right to vote on any plan of arrangement or reorganization. Further, Guarantor agrees that following any default or event of default under the Loan Documents or the MICC Documents, if Guarantor should receive any payment, satisfaction or security for any indebtedness of Borrower or *[any Member / Partner]* to Guarantor, the same shall be delivered to MICC in the form received, endorsed or assigned as may be appropriate for application on account of or as security for the indebtedness of Borrower and *[Member / Partner]* to MICC and, until so delivered, shall be held in trust for MICC as security for the indebtedness of Borrower and *[Member / Partner]* to MICC.

2.2 Any lien or charge on the Property, the Project and/or the *[member / partner]* interests in Borrower, or the revenue and income to be realized from any of the foregoing, and all rights in and to the Property, the Project and/or the *[member / partner]* interests in Borrower, which Guarantor may have or obtain as security for any loans, advances or costs in connection with the Project shall be, and such lien or charge hereby is, subordinated to the indebtedness of Borrower and *[Member / Partner]* to MICC under the MICC Documents.

3. Continuing and Absolute Obligation.

3.1 It is expressly understood and agreed that this is a continuing guaranty and that the obligations of Guarantor hereunder are and shall be absolute under any and all circumstances, without regard to the validity, regularity or enforceability of the MICC Documents. Guarantor hereby acknowledges having received and reviewed true copies of the MICC Documents.

3.2 Guarantor agrees that the validity of this Guaranty and the obligations of Guarantor hereunder shall in no way be terminated, affected or impaired by reason of the assertion by MICC of any rights or remedies which it may have under or with respect to the MICC Documents, or against any person obligated thereunder, or by reason of MICC's failure to exercise, or delay in exercising, any such right or remedy MICC may have hereunder or in respect to this Guaranty, or by reason of the adjudication in bankruptcy of any person obligated under the MICC Documents, or the filing of a petition for any relief under any federal or state bankruptcy or insolvency law by any such person, or the dissolution of Guarantor.

3.3 Guarantor covenants that this Guaranty shall remain and continue in full force and effect as to any assignment, sale, modification, extension or renewal of the MICC Documents, or the release or exchange of any collateral for the MICC Documents, and that other indulgences or forbearance may be granted under the MICC Documents, all of which may be made, done or suffered without notice to, or further consent of, Guarantor.

3.4 Guarantor further agrees that the provisions of this Guaranty shall not:

(a) Constitute a waiver, release or impairment of any obligation evidenced by the MICC Documents, or constitute a waiver by MICC of any rights to damages; and

(b) Impair the right of MICC to name Borrower and/or *[any Member / Partner]* as a party defendant in any action or suit or otherwise impair the right of MICC to enforce its remedies under the MICC Documents including, but not limited to, the right to obtain the appointment of a receiver.

3.5 Guarantor agrees that, if at any time any payment, or portion thereof, made on account of any of the obligations and liabilities hereunder is set aside as a voidable preference or fraudulent conveyance or must otherwise be restored or returned by MICC under any insolvency, bankruptcy or other federal and/or state laws, this Guaranty shall continue and remain in full force and effect or be reinstated, as the case may be, all as though such payment or payments had not been made.

4. Waiver of Exemptions. To the full extent that Guarantor may do so, Guarantor hereby waives the benefit of homestead and all other exemptions to which Guarantor may be entitled, and Guarantor waives notice of the acceptance hereof, presentment, demand for payment, protest, notice of protest or any and all notices of non-payment, non-performance, or non-observance, or other proof, or notice of demand.

5. MICC Assignment. MICC may sell, assign or transfer all or any portion of the indebtedness, obligations and liabilities of Borrower and *[Member / Partner]*, and, in such event, each and every successive assignee, transferee or holder of all or any part of said indebtedness, obligations or liabilities shall have the right to enforce this Guaranty as fully as if such assignee, transferee or holder were named herein.

6. Not Subject to Enforcement of Other Remedies. This Guaranty may be enforced by MICC against the Guarantor without first resorting to or exhausting any other security or collateral; provided, however, that nothing herein shall prevent MICC from bringing legal action under any of the MICC Documents or from exercising any of its rights thereunder.

7. Enforcement; Attorneys' Fees. Guarantor shall pay on demand all reasonable costs, fees, and expenses of MICC arising from the enforcement or the exercise of any remedy or other action taken by MICC under this Guaranty, in each case including the reasonable fees and disbursements of MICC's legal counsel and other reasonable out-of-pocket expenses, together with interest on all such amounts until paid at the Interest Rate set forth in the Reimbursement Agreement.

8. Joint and Several Obligations. The liability of Guarantor hereunder is joint and several, and independent of and separate from the liability of Borrower and *[Member / Partner]*, any other guarantor or person, and the availability of other collateral security for the MICC Documents.

9. **Binding Effect.** This Guaranty shall be binding upon the Guarantor and each of its successors, heirs, personal representatives and assigns, and shall inure to the benefit of and be enforced by MICC and its successors and assigns.

10. **Right of Set-Off.** In addition to all liens upon and rights of set-off against the money, securities or other property of Guarantor given to MICC by law, MICC shall have a lien upon and a right of set-off against all money, securities and other property of Guarantor now or hereafter in the possession of or on deposit with MICC, whether held in a general or special account or deposit, or for safe-keeping or otherwise, and every such lien and right of set-off may be exercised without demand upon, or notice to, Guarantor. No lien or right of set-off shall be deemed to have been waived by any act or conduct on the part of MICC, or by any neglect to exercise such right of set-off or to enforce such lien, or by any delay in so doing, and every right of set-off and lien shall continue in full force and effect until such right of set-off or lien is specifically waived or released by an instrument in writing executed by MICC.

11. **Governing Law.** This Guaranty was negotiated in the State of Maryland, and accepted by MICC at its corporate offices in the State of Maryland. Guarantor agrees that the State of Maryland has substantial relationship to the transaction described herein and further agrees that this Guaranty shall be construed according to and governed by the internal laws of the State of Maryland without regard to principles of conflicts of law. Guarantor hereby irrevocably submits to the nonexclusive jurisdiction of any State or Federal court sitting in Maryland over any suit, action or proceeding arising out of, or relating to, this Guaranty.

12. **Amendments.** This Guaranty cannot be modified, amended or terminated without a writing signed by both Guarantor and MICC.

13. **Trial by Jury Waiver.** **GUARANTOR AND MICC HEREBY WAIVE ALL RIGHTS TO TRIAL BY JURY IN ANY ACTION OR PROCEEDING INSTITUTED BY OR AGAINST GUARANTOR OR MICC PERTAINING DIRECTLY OR INDIRECTLY TO THIS GUARANTY.**

14. **Severability.** If any provision in this Guaranty shall be illegal or unenforceable, such provision shall be deemed to be replaced by the valid and enforceable provision that is substantively most similar to such invalid or unenforceable provision, but the remaining provisions shall not be affected thereby.

15. **Confession of Judgment.** Guarantor hereby irrevocably constitutes, appoints and authorizes the clerk of any court or any attorney to appear for Guarantor in any state or federal court having jurisdiction in the State of Maryland, to waive the issuance and service of process, and to confess judgment against Guarantor in favor of MICC in the full amount owing hereunder, plus court costs and an attorney's fee equal to fifteen percent (15%) of the outstanding amount owed under this Guaranty. Guarantor waives the benefit of any and every statute, ordinance or rule of court which may be lawfully waived which confers upon Guarantor any right of appeal, vacating or granting relief from enforcement of a confessed judgment. Guarantor waives any and all defenses in connection therewith including, but not limited to, any defense or claim that MICC acted improperly, negligently or unreasonably in connection with

the enforcement of this Guaranty. No single exercise of the foregoing power to confess the judgment shall be deemed to exhaust the power, whether or not any such exercise shall be held by a court to be valid, voidable or void, but the power shall continue undiminished and it may be exercised from time to time as often as MICC shall elect, for so long as this Guaranty shall remain in effect.

16. Loss of Guaranty. Upon notice from MICC of the loss, theft, or destruction of this Guaranty, and upon receipt of an indemnity reasonably satisfactory to Guarantor from MICC; or in the case of mutilation of the Guaranty, upon surrender of the mutilated Guaranty Guarantor shall make and deliver to MICC a new guaranty of like tenor in lieu of the then - superseded Guaranty.

17. Represented by Counsel. Guarantor acknowledges that it was represented by counsel in connection with the execution of this Guaranty and knowingly agreed to the terms of this Guaranty.

18. Captions. All captions, headings, paragraphs and subparagraph numbers and designations are solely for the purpose of facilitating reference to this Guaranty and shall not supplement, limit or otherwise vary in any respect the text of this Guaranty. As used herein, the singular shall refer to the plural and the plural shall refer to the singular.

19. Counterparts. This Guaranty Agreement may be executed in one or more counterparts, each of which alone and all of which together shall be deemed an original.

20. Financial Statements. Not later than one hundred and twenty (120) calendar days after the close of each fiscal year, Guarantor shall furnish to MICC annual financial statements and a balance sheet for the preceding fiscal year, in such detail as MICC may reasonably require.

SIGNATURES ON FOLLOWING PAGE

IN WITNESS WHEREOF, the Guarantor has duly executed this Guaranty Agreement under seal as of the date first above written.

GUARANTOR:

By: _____ [SEAL]

Name: _____

Title: _____

_____)) ss:
_____))

I HEREBY CERTIFY that on _____, 20__, before me, a Notary Public for the aforesaid jurisdiction, personally appeared _____, who *[acknowledged himself / herself to be the _____ of _____, a _____, and that he / she, as such officer of _____, being authorized so to do,]* executed the foregoing instrument for the purposes therein contained *[by signing the name of the aforesaid by himself / herself as such officer]*.

WITNESS my hand and Notarial Seal.

Notary Public

My Commission Expires: _____

Signature Page for Guaranty Agreement

STATE EFFECTIVE DATES & FDD RECEIPT

STATE EFFECTIVE DATES

The following states have franchise laws that require that the Franchise Disclosure Document be registered or filed with the states, or be exempt from registration: California, Hawaii, Illinois, Indiana, Maryland, Michigan, Minnesota, New York, North Dakota, Rhode Island, South Dakota, Virginia, Washington, and Wisconsin.

This document is effective and may be used in the following states, where the document is filed, registered, or exempt from registration, as of the Effective Date stated below:

State	Effective Date
California	March 31, 2022
Hawaii	April 8, 2022
Illinois	April 19, 2022
Indiana	March 31, 2022
Maryland	April 5, 2022
Michigan	March 31, 2022
Minnesota	April 5, 2022
New York	March 31, 2022
North Dakota	April 7, 2022
Rhode Island	April 12, 2022
South Dakota	March 31, 2022
Virginia	April 1, 2022
Washington	July 20, 2022
Wisconsin	March 31, 2022

Other states may require registration, filing, or exemption of a franchise under other laws, such as those that regulate the offer and sale of business opportunities or seller-assisted marketing plans.

RECEIPT

- | | | |
|---|--|--|
| ☐ Autograph Collection | ☐ Le Méridien | ☐ The Luxury Collection |
| ☐ Delta Hotels by Marriott | ☐ Renaissance Hotels | ☒ Tribute Portfolio |
| ☐ JW Marriott /
Marriott Hotels | ☐ Sheraton Hotels | ☐ Westin Hotels |

This disclosure document summarizes certain provisions of the franchise agreement and other information in plain language. Read this disclosure document and all agreements carefully.

If Marriott International, Inc. ("Marriott") offers you a franchise, it must provide this disclosure document to you 14 calendar days before you sign a binding agreement with, or make a payment to, the franchisor or an affiliate in connection with the proposed franchise sale.

Applicable state law may require Marriott to provide this disclosure document to you earlier than required by federal law.

Marriott authorizes the respective state agencies identified on Exhibit F to receive service of process for it in the particular state.

If Marriott does not deliver this disclosure document on time or if it contains a false or misleading statement, or a material omission, a violation of federal law and state law may have occurred and should be reported to the Federal Trade Commission, Washington, D.C. 20580, and the applicable state agency identified on Exhibit G.

Issuance Date: March 31, 2022 (effective dates in the franchise registration states are as noted immediately before this receipt)

Attached as Attachment A to this receipt is a list containing the name, principal business address and telephone number of each franchise seller (as defined on Attachment A) who may be involved in this transaction. We have placed a mark next to the names of those persons whom we believe, as of the date hereof, will be a franchise seller in this transaction. Please place a mark next to the names of any additional persons listed on Attachment A (or add the names of any others not listed) who have also been franchise sellers in this transaction.

I received a disclosure document with an issuance date of March 31, 2022, that included the following Exhibits:

- | | | |
|--|---|---|
| A. Term Sheet | H. System Agreements | 31, 2021; Guarantee of MIF, |
| B. Application | I. Lodging Laws and Regulations | L.L.C. |
| C. Franchise Agreement and
Related Agreements | J. Audited Consolidated Financial
Statements of Marriott | K. Manuals, Standards, and
Resources |
| D. State Amendments to Disclosure
Document | International, Inc. for the Three
Fiscal Years in the Period Ended | L. Service Agreements |
| E. State Amendments to Franchise
Agreement | December 31, 2021; Audited
Financial Statements of MIF, | M. Open Outlets/Unopened Outlets |
| F. Agents for Service of Process | L.L.C. for the Three Fiscal Years
in the Period Ended December | N. Former Franchisees |
| G. State Regulatory Authorities | | O. Comfort Letter |
| | | P. Pre-Opening Agreement |
| | | Q. Sample Financing Agreements |

<u>Printed Name</u>	<u>Title</u>	<u>Signature</u>	<u>Date</u>
(1) _____	_____	_____	_____
(2) _____	_____	_____	_____

Company or Partnership Name: _____

Location of Property: _____

Before August 1, 2022, return this Receipt to:

MARRIOTT INTERNATIONAL, INC.
Lodging Development (Dept. 30/921.09)
10400 Fernwood Road
Bethesda, MD 20817

On or after August 1, 2022, return this Receipt to:

MARRIOTT INTERNATIONAL, INC.
Lodging Development (Dept. 30/921.09)
7750 Wisconsin Avenue
Bethesda, MD 20814

Copy 1 - Return this copy to us.

ATTACHMENT A

Marriott Lodging Development Full-Service Brands

Please note: “Franchise seller” means a person that offers for sale, sells, or arranges for the sale of a franchise. It includes the franchisor and the franchisor’s employees, representatives, agents, subfranchisors, and third-party brokers who are involved in franchise sales activities. It does not include existing franchisees who sell only their own outlet and who are otherwise not engaged in franchise sales on behalf of the franchisor.

DEVELOPMENT

**c/o NALO Lodging Development
10400 Fernwood Road
Bethesda, MD 20817
(301) 380-3000**

- ☐ Noah Silverman
Global Development Officer -
U.S. & Canada
- ☐ Tom Brinkman
Chief Development Officer,
U.S. Full-Service Brands

EAST REGION

- ☐ Lisa Sexton
Regional VP, U.S. Full-Service
Development
(301) 380-8548
- ☐ Keith Biumi
VP, Full-Service Development
(770) 403-3464
- ☐ Robert Boule
VP, Full-Service Development
(301) 380-4198
- ☐ Kyle Gagne
VP, Full-Service Development
(301) 380-3051

WEST REGION

- ☐ Paul Loehr
Regional VP, U.S. Full-Service
Development
(602) 362-0469
- ☐ Anne Bertsch
VP, Full-Service Development
(240) 463-0782
- ☐ Soo Yeon Noh
VP, Full-Service Development
(301) 642-9891
- ☐ Nathan Siehr
VP, Full-Service Development
(202) 355-3393

OTHER TEAMS

**10400 Fernwood Road
Bethesda, MD 20817
(301) 380-3000**

- ☐ Liam Brown
Group President, U.S. & Canada
- ☐ Dana Jacobsohn
Chief Development Officer,
U.S. Managed Luxury Brands
and Global Mixed-Use
- ☐ Tina Edmundson
Global Officer, Brand and
Marketing
- ☐ Raymond Bennett
President, U.S. & Canada
Franchising and MxM MSB
Hotels
- ☐ Kip Vreeland
SVP, Owner & Franchise
Services, Full-Service
Franchising
- ☐ Catherine L. Young
SVP, Asset Management and
Analysis, U.S.
- ☐ Tara R. Cowan
VP, Owner & Franchise
Services
- ☐ Tom Gilliland
VP, Owner & Franchise
Services
- ☐ Michael Rosenman
VP, Owner & Franchise
Services
- ☐ Sarah Khalifa
VP, Global Mixed-Use
Development

- ☐ Naomi Paulraj
Sr. Manager, Owner &
Franchise Services
- ☐ Brandon Booker
Manager, Franchise
Transactions
- ☐ Kathi Perry
Manager, Owner & Franchise
Services
- ☐ Brett Werblow
Manager, Business Operations
- ☐ Luana Arce
Program Specialist, Owner &
Franchise Services

ADDITIONAL CONTACTS

- ☐ Name: _____
Address: _____

Phone: _____
- ☐ Name: _____
Address: _____

Phone: _____

RECEIPT

- | | | |
|---|--|--|
| ☐ Autograph Collection | ☐ Le Méridien | ☐ The Luxury Collection |
| ☐ Delta Hotels by Marriott | ☐ Renaissance Hotels | ☒ Tribute Portfolio |
| ☐ JW Marriott /
Marriott Hotels | ☐ Sheraton Hotels | ☐ Westin Hotels |

This disclosure document summarizes certain provisions of the franchise agreement and other information in plain language. Read this disclosure document and all agreements carefully.

If Marriott International, Inc. ("Marriott") offers you a franchise, it must provide this disclosure document to you 14 calendar days before you sign a binding agreement with, or make a payment to, the franchisor or an affiliate in connection with the proposed franchise sale.

Applicable state law may require Marriott to provide this disclosure document to you earlier than required by federal law.

Marriott authorizes the respective state agencies identified on Exhibit F to receive service of process for it in the particular state.

If Marriott does not deliver this disclosure document on time or if it contains a false or misleading statement, or a material omission, a violation of federal law and state law may have occurred and should be reported to the Federal Trade Commission, Washington, D.C. 20580, and the applicable state agency identified on Exhibit G.

Issuance Date: March 31, 2022 (effective dates in the franchise registration states are as noted immediately before this receipt)

Attached as Attachment A to this receipt is a list containing the name, principal business address and telephone number of each franchise seller (as defined on Attachment A) who may be involved in this transaction. We have placed a mark next to the names of those persons whom we believe, as of the date hereof, will be a franchise seller in this transaction. Please place a mark next to the names of any additional persons listed on Attachment A (or add the names of any others not listed) who have also been franchise sellers in this transaction.

I received a disclosure document with an issuance date of March 31, 2022 that included the following Exhibits:

- | | | |
|---|---|---|
| A. Term Sheet | H. System Agreements | in the Period Ended December 31, 2021; Guarantee of MIF, L.L.C. |
| B. Application | I. Lodging Laws and Regulations | |
| C. Franchise Agreement and Related Agreements | J. Audited Consolidated Financial Statements of Marriott International, Inc. for the Three Fiscal Years in the Period Ended December 31, 2021; Audited Financial Statements of MIF, L.L.C. for the Three Fiscal Years | K. Manuals, Standards, and Resources |
| D. State Amendments to Disclosure Document | | L. Service Agreements |
| E. State Amendments to Franchise Agreement | | M. Open Outlets/Unopened Outlets |
| F. Agents for Service of Process | | N. Former Franchisees |
| G. State Regulatory Authorities | | O. Comfort Letter |
| | | P. Pre-Opening Agreement |
| | | Q. Sample Financing Agreements |

<u>Printed Name</u>	<u>Title</u>	<u>Signature</u>	<u>Date</u>
(1) _____	_____	_____	_____
(2) _____	_____	_____	_____

Company or Partnership Name: _____

Location of Property: _____

Before August 1, 2022, return this Receipt to:

MARRIOTT INTERNATIONAL, INC.
Lodging Development (Dept. 30/921.09)
10400 Fernwood Road
Bethesda, MD 20817

On or after August 1, 2022, return this Receipt to:

MARRIOTT INTERNATIONAL, INC.
Lodging Development (Dept. 30/921.09)
7750 Wisconsin Avenue
Bethesda, MD 20814

Copy 2 - Keep this copy for your records.

ATTACHMENT A

Marriott Lodging Development Full-Service Brands

Please note: “Franchise seller” means a person that offers for sale, sells, or arranges for the sale of a franchise. It includes the franchisor and the franchisor’s employees, representatives, agents, subfranchisors, and third-party brokers who are involved in franchise sales activities. It does not include existing franchisees who sell only their own outlet and who are otherwise not engaged in franchise sales on behalf of the franchisor.

DEVELOPMENT

**c/o NALO Lodging Development
10400 Fernwood Road
Bethesda, MD 20817
(301) 380-3000**

- ☐ Noah Silverman
Global Development Officer -
U.S. & Canada
- ☐ Tom Brinkman
Chief Development Officer,
U.S. Full-Service Brands

EAST REGION

- ☐ Lisa Sexton
Regional VP, U.S. Full-Service
Development
(301) 380-8548
- ☐ Keith Biumi
VP, Full-Service Development
(770) 403-3464
- ☐ Robert Boule
VP, Full-Service Development
(301) 380-4198
- ☐ Kyle Gagne
VP, Full-Service Development
(301) 380-3051

WEST REGION

- ☐ Paul Loehr
Regional VP, U.S. Full-Service
Development
(602) 362-0469
- ☐ Anne Bertsch
VP, Full-Service Development
(240) 463-0782
- ☐ Soo Yeon Noh
VP, Full-Service Development
(301) 642-9891
- ☐ Nathan Siehr
VP, Full-Service Development
(202) 355-3393

OTHER TEAMS

**10400 Fernwood Road
Bethesda, MD 20817
(301) 380-3000**

- ☐ Liam Brown
Group President, U.S. & Canada
- ☐ Dana Jacobsohn
Chief Development Officer,
U.S. Managed Luxury Brands
and Global Mixed-Use
- ☐ Tina Edmundson
Global Officer, Brand and
Marketing
- ☐ Raymond Bennett
President, U.S. & Canada
Franchising and MxM MSB
Hotels
- ☐ Kip Vreeland
SVP, Owner & Franchise
Services, Full-Service
Franchising
- ☐ Catherine L. Young
SVP, Asset Management and
Analysis, U.S.
- ☐ Tara R. Cowan
VP, Owner & Franchise
Services
- ☐ Tom Gilliland
VP, Owner & Franchise
Services
- ☐ Michael Rosenman
VP, Owner & Franchise
Services
- ☐ Sarah Khalifa
VP, Global Mixed-Use
Development

- ☐ Naomi Paulraj
Sr. Manager, Owner &
Franchise Services
- ☐ Brandon Booker
Manager, Franchise
Transactions
- ☐ Kathi Perry
Manager, Owner & Franchise
Services
- ☐ Brett Werblow
Manager, Business Operations
- ☐ Luana Arce
Program Specialist, Owner &
Franchise Services

ADDITIONAL CONTACTS

- ☐ Name: _____
Address: _____
Phone: _____
- ☐ Name: _____
Address: _____
Phone: _____